



MANGALORE REFINERY AND PETROCHEMICALS LTD.

(A Govt. of India Enterprise and A Subsidiary of ONGC Ltd.)

**FUELLING
NATION** FOR 25 YEARS

and beyond...

**34th ANNUAL REPORT
2021-22**



Mangalore Refinery and Petrochemicals Limited

(A Government of India Enterprise and Subsidiary of ONGC)

CIN: L23209KA1988GOI008959

Website: www.mrpl.co.in E-mail: investor@mrpl.co.in

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COMPANY SECRETARY

Shri K B Shyam Kumar

JOINT STATUTORY AUDITORS

M/s. Ram Raj & Co, Chartered Accountants, Bengaluru
M/s. Sankar & Moorthy, Chartered Accountants, Kannur

COST AUDITORS

M/s. Musib & Co,
Cost Accountants, Mumbai

SECRETARIAL AUDITORS

M/s. Ullas Kumar Melinamogaru,
Practising Company Secretaries, Mangaluru

DEBENTURE TRUSTEES

M/s. SBICAP Trustee Company Limited, Mumbai

REGISTERED OFFICE AND INVESTOR RELATION CELL:

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Tel: 022-22173000 Fax : 022-22173233

BENGALURU:

Plot A-1, Opp KSSIDC A.O. Building, Industrial Estate
Rajajinagar, Bengaluru – 560010 (Karnataka)
Tel : 080-22642200 Fax : 080-23505501

REGISTRARS & SHARE TRANSFER AGENT

M/s. LINK INTIME INDIA PRIVATE LIMITED
C-101, 247 Park, L.B.S. Marg, Vikhroli (West),
Mumbai- 400 083
Tel.: 022-49186270 Fax No.: 022-49186060
E-mail: mrplirc@linkintime.co.in

BOARD OF DIRECTORS



Dr. Alka Mittal
Chairperson



Shri. M. Venkatesh
Managing Director



Shri Sanjay Varma
Director (Refinery)



Smt. Pomila Jaspal
ONGC Nominee



Shri Vinod S. Shenoy
Director, HPCL Nominee



Shri Rohit Mathur
Govt. Nominee Director



Shri Asheesh Joshi
Govt. Nominee Director



Shri Rajkumar Sharma
Independent Director



Smt. Nivedita Subramanian
Independent Director



Shri Manohar Singh Verma
Independent Director



Shri Pankaj Gupta
Independent Director

CHAIRPERSON'S MESSAGE TO STAKEHOLDERS



Dear Share Holders,

It is my privilege to present, on behalf of the Board of Directors of MRPL, the 34th Annual Report for the year 2021-22 to our valued shareholders and also present few highlights for the year's performance.

FY 2021-22 ushered in on the back of dismal preceding year and your company's capacity utilization was affected at the beginning of the year due to travel restrictions caused by the second wave of COVID pandemic. The capacity utilization in H1 was just above 80% and with removal of travel restrictions, pick up in industrial activity and improvement in fuel demand the Capacity Utilization in H2 was commendable and the company ended the year at near 100% throughput. The product cracks improved during the year and the company turned around from loss in the previous year and registered a profit of ₹ 2955 Crore.

The Company has assessed the possible effect of COVID-19 pandemic and Russia-Ukraine conflict, which is not significant on the carrying amounts of Property, Plant and Equipment, Inventories, Receivables and Other Current Assets. The demand for Company's products is expected to be lower in the short term which is, however, not likely to have a continuing impact on the business operations of the Company.

Financial Performance

- Your Company achieved a turnover of ₹86,037 crore during the financial year 2021-22 as against ₹50,739 crore during the financial year 2020-21.
- Your Company earned profit after tax of ₹2955.27 crore during the financial year 2021-22 against loss of ₹761.17 crore incurred during the financial year 2020-21.
- The Gross Refining Margin (GRM) for financial year 2021-22 was 8.73 \$/bbl as against 3.90 \$/bbl during the financial year 2020-21.
- Your Company secured AAA from ICRA and CRISIL for ₹2,560 Crore NCDs and AAA from CARE and India Rating (Fitch Group) for ₹5000 Crore NCDs.

Physical Performance

- Gross Crude Throughput of 14.871 MMT achieved during FY 2021-22 and Refinery Net Throughput of 15.040 MMT was achieved which includes Intermediates & Other Inputs.
- Your Company has successfully commissioned FCC Gasoline Treating Unit (FGTU) of 800 KTPA Feed capacity as part of its BS-VI Project, on 11/07/2021.
- MRPL has also successfully commissioned Desalination Plant based on Reverse Osmosis Technology using Seawater with design capacity of 30 MLD process grade water, on 17/12/2021.
- Your Company has successfully commissioned Sulfur Recovery Unit (SRU-7) with design capacity of 185 TPD Sulfur production as part of its BS-VI Project, on 28/03/2022.
- Five (5) new Crudes were processed for the first time during the FY 2021-22: Tupi Crude (API-30.2) from Brazil, Amna Crude (API-37.2) from Libya, Egina Crude (API-27.6) from Nigeria, Basrah Medium Crude (API- 28.57) from Iraq, Baobab Crude (API-22.6, High TAN) from Ivory Coast.
- For the first time, Vacuum Gas Oil (VGO) was imported coastally from M/s. HPCL, Vizag, in the month of September, 2021
- Naphtha to M/s. ONGC Petro additions Ltd (OPaL) was supplied for the first time in the month of September, 2021.
- ATF Defense grade was supplied to M/s. IOCL, for the first time in the month of September, 2021.
- Marine Fuel oil (MFO) - 0.35% SUL was exported for the first time in the month July, 2021.
- Highest Ever LPG production of 1049 TMT achieved for FY 2021-22, against Previous Highest of 970 TMT for FY 2018-19.

- Highest Ever MS Production of 1727 TMT achieved for FY 2021-22, against Previous Highest of 1279 TMT for FY 2018-19.
- Highest Ever LPG Dispatch of 105.2 TMT done for the month of December, 2021.

Amalgamation of ONGC Mangalore Petrochemicals Limited with Mangalore Refinery and Petrochemicals Limited

The Ministry of Corporate Affairs vide its Final Order dated 14/04/2022 approved the amalgamation of ONGC Mangalore Petrochemicals Limited (OMPL) with Mangalore Refinery and Petrochemicals Limited (MRPL) with 01/04/2021 as Appointed Date and the Effective Date for Scheme of Amalgamation as 01/05/2022. This will enable optimization of both the plants to maximize combined margins of refinery and petrochemicals in tune with market dynamics.

Safety

- Your Company has successfully achieved ZERO RLTI in the FY 2021-22
- Your Company has also bagged 2 state level awards from Department of Factories, Boilers, Industrial Safety & Health, GoK, for the year 2021:
 - Best Safe Industry award under Oil Industry Category.
 - Safe Operation, Maintenance & reliable boiler under Cogen Boiler category
- Carried out OISD Pre-commissioning safety audit for SRU 7, offsite facility & HSD line to jetty.
- Your Company continued to have focus on safety and has achieved 2120 & 638 accident free days as on 31/03/2022, in case of employee & contract workers respectively. It has also achieved 29.4 Million Man hours worked in the year 2021-22 as against 24.17 million man hours worked during the previous financial year.
- Several awareness programs were undertaken in the refinery to ensure safety of people, process and assets. Your Company is committed towards providing a healthy and safe work environment to employees, contractors and all the visitors to the Refinery by adopting the best industry practices. Robust systems and standards have been built for continuously reducing the risks in the refinery associated with Health, Safety and Environment (HSE).
- Innovative approaches to safety like tool-box talk and buddy system have been implemented with a view to further improving safety performance. Two Occupational Health Centres (OHC) in Refinery, one in Aromatic Complex and one Hospital in the township area which are equipped with emergency

medical aids with round the clock Ambulance facility, doctors, paramedic, shower facility for Chemical contact, emergency medicines and antidotes.

Direct Marketing

- Your Company continues to maintain major share of the direct sales segment of petroleum products market in Karnataka and adjoining states. Your Company maintained leadership position in its marketing zone for all direct sales products such as Bitumen, Diesel, Sulphur, Petcoke, ATF, Polypropylene, Xylol (Xylenes) etc. The total domestic sales volume of all products during FY 2021-22 has been 1988 TMT with a sales value of ₹11033 Crores against turnover of 1691 TMT and sales value of ₹7207 Crores in FY 2020-21.
- Your Company is continuously focusing on its retail expansion in the States of Karnataka & Kerala and so far has successfully commissioned 32 retail outlets with another 20 retail outlets under various stages of construction. Plans are in place for adding 50 new retail outlets every year for the next 5-10 years and for entering new geographical areas of Tamil Nadu, Andhra Pradesh and Telangana in near to medium term.
- Your company's PP Production has achieved a milestone by crossing the 440 KTPA Name plate capacity, as on 15th March 2022 and annual PP Sales achieved the pinnacle feat of 450 KTPA for the 1st time since inception, during FY 2021-22.
- Shell MRPL Aviation Fuel and Services Limited has steadily acquired business for sale of Aviation Turbine Fuel (ATF) at Indian airports. The company achieved a turnover of ₹673.19 Crores during FY 2021-22 against turnover of ₹260.50 Crores in the previous FY 2020-21.

Employee Relations

- Your Company holds its employees in the highest esteem and accordingly follows the best HR practices, reviews them periodically and strives to further improve upon that. As a result, the employee relations continue to be cordial and harmonious. As in the past years, this year too I am happy to report that not a single man-hour was lost on account of any industrial disturbance in the year 2021-22.

Environment, Social Responsibility and Sustainable Development

- Your Company envisages sustainability as a major driver for building future readiness in a dynamic market environment. Taking cognizance of the social and environmental challenges, MRPL is pursuing projects related to decreasing carbon foot print by energy conservation, improving the energy

efficiency in its processes, use of renewable energy, sustainable water management by recycling/ use of treated effluent and effective waste management through reduce, reuse and recycle initiatives.

- Environmental Clearance was recommended by State Environment Impact Assessment Authority (SEIAA), GoK for proposed 2G-Ethanol project at Davangere. Wildlife Conservation plan authentication from PCCF-WL, Bangalore is in progress.
- Baseline monitoring for Environment Impact Assessment study of proposed Petro Addition & Capacity Enhancement Project (PACE) completed.
- MRPL hosted Activity Committee Meet (ACM) on Environment and Water Management in association with Centre for High Technology (CHT), MoPNG. The objective of the ACM is to share best operational practices, case studies, modifications and troubleshooting by Refineries.
- MRPL was awarded Gold Medal by International Research Institute for Manufacturing (IRIM), for India Green Manufacturing Challenge 2020-21.
- MRPL's social welfare and community development initiatives focus on the key areas of education, health care and sanitation and overall development of basic infrastructure in and around its operational areas, Dakshina Kannada and Udupi District/ Karnataka State. The key objectives of the MRPL's CSR Policy is to ensure an increased commitment at all levels in the organization, to operate its business in an economically, socially and environmentally sustainable manner, while recognizing the interests of all its stakeholders.
- MRPL Hospital with 24x7 manning of Doctors and trained Nursing Staff and a panel of various specialist Consultants is open to residents of the nearby villages.
- Climate change is a major issue that the world is facing today and MRPL is taking actions to reduce its the environmental impact. In this process MRPL is pursuing several sustainable projects.
 - In FY 2021-22 total solar energy generated in MRPL's own solar plant is 28,405 KWh and total solar energy consumed by the company is 29,097 KWh (including the solar energy imported).
 - Through the different energy efficiency improvement measures, MRPL has achieved a fuel savings of 19,213 metric ton of oil equivalent (MTOE).
- MRPL is utilizing Mangalore City treated sewage water to reduce our fresh river water conversation. In FY 2021-22 total Mangalore City treated sewage water utilized in the Refinery is 65,87,079 M3

- To ensure the sustainable utilization of life support systems on earth, MRPL is taking major initiatives towards bio diversity conservation. MRPL is establishing a bio-diversity park in 41 acres of marshy land where the marshy land is being converted to a full-fledged bio diversity park. The bio-diversity park will have native tree species of Western Ghats which will act as a habitat for different varieties of Birds and insects.
- MRPL has taken several Greenbelt development and compensatory afforestation initiatives to increase its green cover.
 - MRPL has developed 50 acres of Greenbelt in Pilikula Biodiversity Park with approximately 4000 numbers of different western ghat plant species
 - MRPL has developed green belt in 25 acres at Bengre near Thannirbhavi sea shore and raised approximately 4000 numbers of plants saplings in co-ordination with Karnataka Forest Department.
 - In addition, 969 numbers of saplings were planted during the FY 2021-22 in Refinery.
- MRPL has commissioned a Vermi compost facility for efficient management of cut grass, tree branches & leaves. 12,076 Kg of Vermi-compost was harvested in FY 2021-22. Two more Vermi compost facility construction is under progress.
- MRPL is committed towards the conservation of ecological system and Bio-diversity, in this regard MRPL has adopted wild animals in Pilikula Biological Park, Mangalore.

Lastly, I would like to acknowledge the crucial support and guidance of the Govt. of India, especially our Administrative Ministry of Petroleum and Natural Gas.

I also place on record my admiration for our employees for their excellent contribution and to the Board of Directors for their expertise and guidance.

On behalf of the Board, I would also like to express my gratitude to all our stakeholders for their continued support, patronage, trust and confidence.

Jai Hind

Date: 15/07/2022
Place: New Delhi

Sd/-
(Alka Mittal)
Chairperson

Highlights



VISION AND MISSION

VISION

To be a world-class Refining and Petrochemicals Company, with a strong emphasis on Productivity, Customer Satisfaction, Safety, Health and Environment Management, Corporate Social Responsibility and Care for Employees.

MISSION

- Sustain Leadership in energy conservation, efficiency, productivity and innovation.
- Capitalise on emerging opportunities in the domestic and international market.
- Strive to meet customers' requirements to their satisfaction.
- Maintain global standards in health, safety and environmental norms with a strong commitment towards community welfare.
- Continuing focus on employee welfare and employee relations.
- Imbibe highest standards of business ethics and values



Shri Hardeep Singh Puri & Shri Rameswar Teli & Shri Tarun Kapoor Inaugurates Oxygen Plant (1)



MRPL HiQ - First Retail Dealers Meet



Medical Grade Oxygen Inauguration



Vigilance Awareness Week - 2021



NMPA Excellence Award: Handling of highest volume of liquid bulk cargo (Crude Oil)



SAKSHAM 2022: Cyclothon

BOARD'S REPORT

Dear Members,

The Board of Directors of your Company are pleased to share the highlights of developments and progress of your Company since its last report along with audited financial statements, Auditors' Report thereon and comments on the financial statements by the Comptroller and Auditor General (C&AG) of India.

STATE OF COMPANY'S AFFAIRS

Your Board is reporting the affairs of the Company for the FY 2021-22 as under:

Financial Performance

The standalone / consolidated financial highlights for the year ended 31/03/2022 are summarized below:

(₹ in crores)

Particulars	Standalone		Consolidated	
	Year ended 31 st March, 2022	Year ended 31 st March, 2021*	Year ended 31 st March, 2022	Year ended 31 st March, 2021*
PROFIT BEFORE TAX	2,708.33	(915.13)	2,711.31	(918.93)
Less: Current Tax (Current Year & Earlier Years)	477.29	(1.09)	477.29	(1.09)
Deferred Tax	(724.23)	(152.87)	(724.23)	(152.87)
PROFIT FOR THE YEAR	2,955.27	(761.17)	2,958.25	(764.97)
Add: Other Comprehensive Income	3.15	2.09	3.19	2.09
TOTAL COMPREHENSIVE INCOME FOR THE YEAR	2,958.42	(759.08)	2,961.44	(762.88)
Less: Total Comprehensive Income Attributable to Non-Controlling Interest	-	-	-	-
TOTAL COMPREHENSIVE INCOME ATTRIBUTABLE TO OWNERS OF THE COMPANY	2,958.42	(759.08)	2,961.44	(762.88)
Add: Opening Balance in Profit and Loss Account	3,355.10	4,114.18	3,365.09	4,127.97
SUB-TOTAL	6,313.52	3,355.10	6,326.53	3,365.09
LESS: APPROPRIATION				
Payment of Dividend on Equity Shares	-	-	-	-
CLOSING BALANCE (INCLUDING OTHER COMPREHENSIVE INCOME)	6,313.52	3,335.10	6,326.53	3,365.09

***Restated (refer Note - 50 to the Financial Statements)**

Your company achieved a turnover of ₹86,037 crore during the financial year 2021-22 as against ₹50,739 crore during the financial year 2020-21. The company earned profit of ₹2,955.27 crore (profit after tax) during the financial year 2021-22 against loss of ₹761.17 crore incurred during the financial year 2020-21.

Impacts of COVID on Financial performance

The Company has assessed the possible effect that may result from COVID-19 pandemic / Russia-Ukraine War, which is not significant on the carrying amounts of Property, Plant and Equipment, Inventories, Receivables and Other Current Assets. The demand for Company's products is expected to be lower in the short term which is not likely to have a continuing impact on the business operations of the Company. In the opinion of the management, the carrying amount of these assets will be recovered.

During the FY 2021-22, the Company has issued Non-Convertible Debentures (NCDs) aggregating ₹1,200 Crore. The NCDs are listed on BSE Limited and National Stock Exchange of India Limited (NSE). The company has also taken Capex loans from Federal Bank and State Bank of India - FCTL amounting to ₹234.30 crores and ₹111.67 crores respectively.

ICRA has reaffirmed the long-term rating of [ICRA] AAA (pronounced ICRA "Triple A rating with stable outlook) and the short-term rating of [ICRA] A1+ (pronounced ICRA A one plus) on the ₹19,200 Crore bank facilities and also reaffirmed the rating of "[ICRA]A1+" (pronounced ICRA A one plus) for ₹4000 Crore Commercial Paper (CP) / Short

Term Debt (STD) programme. ICRA has also reaffirmed rating of [ICRA] AAA (pronounced as ICRA “Triple A rating with stable outlook”) for the ₹2,560 Crore Non-Convertible Debenture (NCD) Program of Mangalore Refinery and Petrochemicals Limited. CRISIL has reaffirmed “CRISIL AAA/Stable” (pronounced “CRISIL triple A rating with stable outlook”) for the ₹2,560 Crore Non-Convertible Debenture, reaffirmed its Corporate Credit Rating (CCR) “CCR AAA/Stable”, reaffirmed short-term rating of ₹1,000 Crore “CRISIL A1+” and also reaffirmed the rating of “CRISIL A1+” ₹3,500 Crore Commercial Paper (CP) / Short Term Debt (STD) programme of Mangalore Refinery and Petrochemicals Limited.

CARE Ratings has reaffirmed “CARE AAA/Stable (pronounced “Triple A rating with stable outlook”) for the ₹5,000 Crore Non-Convertible Debenture and the short-term rating of A1+ for ₹3,000 Crore Commercial Paper (CP) / Short Term Debt (STD) program of Mangalore Refinery and Petrochemicals Limited.

India Ratings (Fitch Group) has reaffirmed “IND AAA/Stable (pronounced “Triple A rating with stable outlook”) for the ₹5,000 Crore Non-Convertible Debenture program, long-term Rating of ₹1,000 Crore “IND AAA/Stable” and also reaffirmed foreign currency loan ratings of “IND AAA/Stable” for \$524.66 Mn programme of Mangalore Refinery and Petrochemicals Limited.

MERGER OF OMPL WITH MRPL

The amalgamation of ONGC Mangalore Petrochemicals Limited (OMPL) with Mangalore Refinery and Petrochemicals Limited (MRPL) was approved by the Ministry of Corporate Affairs, New Delhi vide its Final Order dated 14/04/2022 with 01/04/2021 as Appointed Date and the Effective Date for Scheme of Amalgamation of OMPL and MRPL is 01/05/2022.

OPERATIONAL PERFORMANCE FOR FY 2021-22

Some of the major highlights for the FY 2021-22 are as under:

- Gross Crude Throughput of 14.871 MMT achieved during FY 2021-22 and Refinery Net Throughput of 15.040 MMT was achieved which includes Intermediates & Other Inputs.
- MRPL successfully commissioned FCC Gasoline Treating Unit (FGTU) of 800 KTPA Feed capacity as part of its BS-VI Project, on 11/07/2021.
- MRPL successfully commissioned Desalination Plant based on Reverse Osmosis Technology using Seawater with design capacity of 30 MLD process grade water, on 17/12/2021.
- MRPL successfully commissioned Sulfur Recovery Unit (SRU-7) with design capacity of 185 TPD Sulfur production as part of its BS-VI Project, on 28/03/2022.
- 4 New HSD tanks @ Beta Land with the capacity of 30200 KL each of gross storage capacity along with the New HSD coastal line to Jetty were commissioned during FY 2021-22.
- Five (5) new Crudes were processed for the first time during the FY 2021-22:
Tupi Crude (API-30.2) from Brazil, Amna Crude (API-37.2) from Libya, Egina Crude (API-27.6) from Nigeria, Basrah Medium Crude (API- 28.57) from Iraq, Baobab Crude (API- 22.6, High TAN) from Ivory Coast.
- For the first time, Vacuum Gas Oil (VGO) was imported coastally from M/s. HPCL, Vizag, in the month of September, 2021.
- Naphtha to M/s. ONGC Petro additions Limited (OPaL) was supplied for the first time in the month of September, 2021.
- ATF Defense grade was supplied to M/s. IOCL, for the first time in the month of September, 2021.
- Marine Fuel oil (MFO) - 0.35% SUL was exported for the first time in the month July, 2021.
- Ever Highest Capacity Utilization of DHDT (108.8%) was achieved in the month of November, 2021.
- Ever Highest Capacity Utilization of DCU (105.6%) was achieved in the month of January, 2022.
- Highest PP production of 43.267 TMT achieved for the month of October, 2021 against Previous highest 43.111 TMT during July, 2021 . Ever Highest Polypropylene production of 460 TMT achieved for FY 2021-22 against nameplate Capacity of 440 TMT.
- Ever Highest LPG production of 1049 TMT achieved for FY 2021-22, against Previous Highest was 970 TMT for FY 2018-19.
- Ever highest MS production of 203.86 TMT in the month of March, 2022 against Previous highest was 198.2 TMT in the month of December, 2021. Ever Highest MS Production of 1727 TMT achieved for FY 2021-22, against Previous Highest was 1279 TMT for FY 2018-19.

- Ever highest LPG Dispatch of 105.2 TMT done for the month of December, 2021.
- ATF Export of 60 KT Cargo size was supplied for the first time in the month of October, 2021.
- Ever highest HSD Dispatch of 664.6 TMT for the month of March, 2022 against Previous highest was 662.6 TMT in the month of December, 2021.
- Produced 389.976KT Para-Xylene, 148.240KT Benzene, 124.281 KT Paraffinic Raffinate and 293.903 KT Reformate.

MARKETING AND BUSINESS DEVELOPMENT

- Your company continues to maintain major share of the direct sales segment of petroleum products market in Karnataka and adjoining states. Your Company maintained leadership position in its marketing zone for all direct sales products such as Bitumen, Diesel, Sulphur, Petcoke, ATF, Polypropylene, Xylol (Xylenes) etc. The total domestic sales volume of all products during FY 2021-22 has been 1988 TMT with a sales value of ₹11033 Crores against turnover of 1691 TMT and sales value of ₹ 7207 Crores in FY 2020-21.
- Retail marketing plan: MRPL is continuously focusing on its retail expansion in the States of Karnataka & Kerala and so far has successfully commissioned 32 retail outlets with another 20 retail outlets under various stages of construction. MRPL had given advertisement in FY 2021-22 for more than 400 locations in Karnataka & 100 locations in Kerala. Plans are in place for adding 50 new retail outlets every year for the next 5-10 years and will be entering new geographical areas of Tamil Nadu, Andhra Pradesh and Telangana in near to medium term.
- Your company's Polypropylene Production has achieved a milestone by crossing the 440 KTPA Name plate capacity, as on 15th March, 2022 and annual PP Sales achieved the pinnacle feat of 450 KTPA for the 1st time since inception, during FY 2021-22. MRPL is increasing focus in core PP markets of Southern and Western parts of the country and also targeting Northern and Eastern locations for garnering more volume.
- Your Company's Joint Venture, Shell MRPL Aviation Fuel and Services Limited has steadily acquired business for sale of Aviation Turbine Fuel (ATF) at Indian airports. The company achieved a turnover of ₹673.19 Crores during FY 2021-22 against turnover of ₹260.50 Crores in the previous FY 2020-21.
- The COVID-19 pandemic impacted adversely in FY 2021-22 and resulted in squeezed Aromatic spreads/margins. In order to mitigate the impact of reduced spreads/margins, mode of operation was changed to Reformate from Paraxylene/Benzene in Q3.
- Aromatics complex posted sales of approx. 400 KT of PX during the year. Exports constituted majority of the sales. North East Asia (NEA) constituted bulk of the Exports (77 %) with other regions viz., America and Europe comprising the rest.
- A significant milestone during the year was commencement of supplies to a major domestic Purified Terephthalic Acid (PTA) producer via coastal vessels.
- Benzene sales were at 147 KT an increase of 14% compared to FY 2020-21. New customers were added in the domestic market during the year expanding its reach and catering to Western India.
- Term contracts were entered into with major downstream producers in South India. For FY 2022, Export contract was entered into with one of the largest consumers of BZ in Middle East.
- Aromatics complex (SEZ Unit) switched over to Reformate mode in Q3. Sale of Reformate during the year was at 273 KT with Middle East (90 %) being the major Export destination.
- Paraffinic Raffinate and Heavy Aromatic sales were at 148 KT and 4 KT respectively.
- Exported Para-Xylene worth ₹1,967 Crore, Benzene worth ₹790 Crore, Paraffinic Raffinate worth ₹711 Crore and Reformate worth ₹ 1758 Crore.

RECOGNITION

1. Indian Green Manufacturing Challenge (IGCM) 2020-21 – Gold Medal
2. Won two state level Safety Awards for best co-generation boiler.
3. Won best safety practices in Oil & Gas Industry award.

PROCUREMENT OF GOODS AND SERVICES FROM MSMEs

In line with the Public Procurement Policy, 2012 issued by Ministry of Micro, Small and Medium Enterprises, for the year 2021-22, your Company has achieved 28.79% procurement of goods and services from Micro and Small Enterprises against the target of 25%

PROJECTS**BS VI upgradation**

As per Auto Fuel Policy and directives from Ministry of Petroleum and Natural Gas (MoP&NG), the entire country has moved towards BS VI quality specifications for MS and HSD. The project involved setting up of new units and additional facilities. M/s. Engineers India Limited (EIL) was the Engineering, Procurement and Construction Management Consultant for the job. The main unit – FGTV was commissioned on 11/07/2021 resulting in additional 25 TMT/month BS VI MS. The balance two units – Nitrogen plant and SRU-7 were commissioned on 16/03/2022 and 28/03/2022 respectively.

Desalination Plant

Desalination Plant of 30 MLD capacity (scalable to 70 MLD) is set up to ensure continuous operation of Refinery during summer / weak monsoons and to eliminate risk of Nethravathi river being the only source of fresh water. The plant is set up on the shore of the Arabian Sea at Thannirbhavi in Mangalore on land leased from New Mangalore Port Trust. M/s. Fichtner India was the Project Management Consultant and M/s VA Tech Wabag Limited was the LSTK contractor. The plant was commissioned on 30/12/2021 and is operating at designed load consistently while the permeate (Desalinated water) is as per the required specifications.

Marketing Terminal at Devongonhi, Bengaluru

Marketing Terminal at Devongonhi, Bengaluru is being constructed to cater to business primarily in the state of Karnataka. The terminal would receive finished petroleum products (MS, HSD and ATF) through the existing PMHB pipeline from MRPL. The supplies of petroleum products to the retail outlets / customer / aviation stations would be met through road tankers. M/s. Nauvata Engineering Private Limited is the Consultant for the project. LSTK tender for Tankages and associated civil, mechanical, piping, electrical, instrumentation and fire-fighting is placed on M/s. Vishal Structurals Private Limited and for Civil and Structural works on M/s. SRR Projects Private Limited. Construction activities have commenced and the Terminal is scheduled to be completed by third quarter of FY 2023-24.

2G Ethanol

MRPL has been informed by MoP&NG to set up a 2G Ethanol Project in the state of Karnataka. Land for the same has been allotted by the Karnataka Industrial Areas Development Board (KIADB) at Harihara, Davanagere. Technology for the project has been selected and Detailed Feasibility Report has been prepared. MRPL has applied for the Viability Gap funding from GoI and Environmental clearance for the Project is awaited.

Modification of Gas Turbines for Natural Gas firing

MRPL has two Gas Turbines. Presently, GT-1 is fired using Light Cycle Oil and GT-2 by Refinery Fuel Gas. Both the Gas Turbines are designed to operate with Natural Gas. The project involved modifications to the Gas Turbines for Natural Gas firing. M/s. L&T-SL was the Project Management Consultant and M/s. BGGTS was awarded the contract for execution of the project. The project was commissioned on 24/12/2021.

CCR-1 Revamp

CCR-1 converts heavy naphtha feedstock into high octane reformat for gasoline blending and produces hydrogen for hydro-treating / hydrocracking. Revamp of Regenerator section of CCR-1 is being carried out to increase Regenerator Coke burn capacity thereby resulting in overall capacity increase to 80 m3/hr (from current 75 m3/hr). M/s. Triune Energy Services Private Limited is the Engineering, Procurement and Construction Management Consultant for the project. Major ordering is completed and equipment deliveries to site have commenced. Mechanical Completion of the project is scheduled in first quarter of FY 2023-24.

PFCC Stack Wet Gas Scrubber System

Petrochemical Fluidized Catalytic Cracking (PFCC) unit processes unconverted oil from Hydrocracker units, straight run low sulphur vacuum gas oil and hydro treated heavy coker gas oil and converts into value added products such as propylene, LPG and gasoline. During this process, carbon is deposited on the catalyst which reduces the ability of the catalyst to aid the cracking process. The carbon is then burnt off and the catalyst is regenerated. The regeneration process produces flue gas which passes through a system of cyclones and separators to remove catalyst fines. The project is

conceived to reduce SPM limit in flue gas of PFCC as pollution control measure. M/s. Thyssenkrupp Industrial Solutions (India) Private Limited is the Project Management Consultant and M/s. Kalpataru Power Transmission Limited is the LSTK contractor for the project. Mechanical Completion of the project is scheduled in second quarter of FY 2023-24.

PFCC LPG + Propylene Amine Scrubber

While processing feed with high Sulphur content in Petrochemical Fluidized Catalytic Cracking (PFCC), higher Hydrogen Sulfide (H₂S) is expected in LPG and Propylene stream. Current system to meet H₂S in LPG and Propylene product is caustic wash. Amine Scrubber System reduces dependency on caustic wash to a large extent. The system removes H₂S in the LPG and Propylene streams and minimizes the spent caustic generation in existing Caustic Treatment System. M/s. Triune Energy Services Private Limited is the Engineering, Procurement and Construction Management Consultant for the project. Mechanical Completion of the project is scheduled in second quarter of FY 2023-24.

New Bitumen Blowing Train as a part of extension of existing Bitumen Blowing Unit

The project envisages setting up of additional Bitumen Blowing Train with a capacity of 144 KTPA as a part of extension of existing Bitumen Blowing Unit to cater to the simultaneous demand of VG-30 and VG-40 grades of bitumen to leverage market demand. M/s. Engineers India Limited is the Engineering, Procurement and Construction Management Consultant for the project. Mechanical Completion of the project is scheduled in third quarter of FY 2023-24.

DIGITAL TRANSFORMATION AND IT SECURITY

information technology (IT) has become a vital and integral part of every business plan. With the view to support organizational demands and for effectively utilizing Information technology, MRPL has been undertaking several digital transformation initiatives.

MRPL has a state of art Data Center (DC) and Disaster Recovery (DR) Site. The Data Center hosts a set of hardware infrastructures which caters to the day to day business needs of the organization. Presently MRPL ERP is running on SAP Suite on HANA (SoH) which is catering to day to day business transactions through its various modules. SAP HANA is an in-memory database technology that runs the SAP Landscape serving as a backend database. This has helped business achieve better performance and also future ready for upcoming versions.

On the IT security front, MRPL has been awarded the ISO-27001:2013 certification for MRPL Data Center and Disaster Recovery Center. ISO 27001:2013 is an international standard that provides a framework for Information Security Management Systems (ISMS). The standard describes best practices for an information security management system (ISMS) and helps organizations improve their IT security, comply with cyber security regulations, protect its information assets and enhance reputation.

As part of Digital India initiatives, MRPL has taken several initiatives with the emphasis on increased use of information technology to go digital and to promote transparency and efficiency in the system. In order to achieve the said objective, MRPL has successfully implemented the E-Office system. It is a digital workplace solution that replaces the existing manual handling of files and documents with efficient electronic system. The solution seeks to achieve a set of objectives like increasing efficiency & effectiveness of the processes, employee productivity, and efficient management of data, documents, files, information & knowledge, project tracking & monitoring etc within MRPL for better communication & co-ordination among departments.

SECRETARIAL STANDARDS

The Secretarial Auditor has certified that your Company has complied with the applicable Secretarial Standards, i.e. SS-1 and SS-2, relating to 'Meetings of the Board of Directors' and 'General Meetings', respectively, during the financial year 2021-22.

HEALTH, SAFETY & ENVIRONMENT PERFORMANCE

Occupational Health

- Two Occupational Health Centres (OHC) in Refinery and one Hospital in the township area are functional. It is equipped with emergency medical aids, ambulance facility, doctors, paramedic, shower facility for Chemical contact, emergency medicines and antidotes.

- During the outbreak of Covid-19, Occupational Health Centre was aptly and adequately supported by making all possible arrangements to combat and contain the spread of Covid-19. MRPL Hospital was made to stand as equipped enough as per the approved protocol & was declared the designated location for the benefit of all stakeholders for the purpose of initial screening & treatment before being referred for further medical management, if required to combat Covid-19.
- Dedicated Covid 19 vaccination centre established inside MRPL premises for vaccine coverage to employees, secondary workforce, dependants and CISF staff. Total number of beneficiaries of vaccination are 15,217 as on 31/3/2022.
- Oral Polio Vaccination program conducted at MRPL Hospital in association with Katipalla primary health centre. Total 145 children were benefitted.

Safety

- MRPL successfully achieved ZERO RLTI in the FY 2021-22.
- MRPL achieved 2120 & 638 days without Reportable Lost time injuries (RLTI) as on 31/03/2022, in case of employee & contract workers respectively.
- MRPL bagged 2 state level awards by Department of Factories, Boilers, Industrial Safety & Health, GoK, for the year 2021:
 - ❖ Best Safe Industry award under Oil Industry Category.
 - ❖ Safe Operation, Maintenance & reliable boiler under Cogen Boiler category.
- As on 31/03/2022, MRPL employees achieved 29.4 safe million man hours.
- Carried out OISD Pre-commissioning safety audit for SRU 7, offsite facility & HSD line to jetty.

Environment Management

- Consent for Operation (CFO) granted by KSPCB for BS-VI Project namely FGTU, SRU-7 and Offsite facilities & commissioned.
- Consent for Operation (CFO) granted by KSPCB for 30MLD Desalination unit at Thannirbavi village & commissioned.
- Consent for Establishment (CFE) obtained for setting up Marketing Terminal at Devangonthi, Bangalore.
- Environmental Clearance was recommended by State Environment Impact Assessment Authority (SEIAA), GoK for proposed 2G-Ethanol project at Davangere. Wildlife Conservation plan authentication from PCCF-WL, Bangalore in progress.
- Baseline monitoring for Environment Impact Assessment study of proposed Petro Addition & Capacity Enhancement Project (PACE) completed.
- 81.43 MT of Oily Sludge, 208.99 MT of PFCC Spent catalyst and 183.8 MT of Spent clay have been Co-processed in SPCB authorized cement industries.
- 846.5 MT of Spent catalysts has been disposed through SPCB authorized Recyclers/ Reprocessors.
- 7.31 MT of Waste White Oil have been disposed to SPCB authorized Incineration Facility.
- 304.19 MT of Non-Recyclable/ Non-Reusable Hazardous waste handed over to secured landfill (TSDF).
- 65,87,079 M3 of Tertiary Treated Municipal Sewage water from Mangalore city was utilized in MRPL during FY 2021-22.
- MRPL hosted Activity Committee Meet (ACM) on Environment and Water Management in association with Centre for High Technology (CHT), MoP&NG. The objective of the ACM is to share best operational practices, case studies, modifications and troubleshooting by Refineries.
- MRPL awarded Gold Medal by International Research Institute for Manufacturing (IRIM), for India Green Manufacturing Challenge 2020-21.

Sustainability Initiatives

Sustainable development is a key consideration for MRPL. Climate change is a major issue that the world is facing today and MRPL is taking actions to reduce the environmental impact. MRPL is taking relevant initiatives to reduce carbon footprint and conserve resources. In this process MRPL is pursuing several sustainable projects.

- MRPL is adopting projects to reduce overall emissions through energy conservation, improving the energy efficiency in its processes and use of renewable energy.
- In FY 2021-22 total solar energy generated in MRPL's own solar plant is 28,405 KWh and total solar energy consumed by the company is 29,097 KWh (including the solar energy imported).
- MRPL has taken up different energy efficiency improvement measures and has achieved a fuel savings of 19,213 metric ton of oil equivalent (MTOE).
- To mitigate the risk of river water as a single source of water, a 30 MLD Desalination plant has been installed at sea coast of Arabic ocean.
- In addition to the de-salination plant, MRPL is utilizing Mangalore city treated sewage water to reduce our fresh river water conservation. In FY 2021-22 total Mangalore city treated sewage water utilized in the refinery is 65,87,079 M³
- Recycling and reusing is a key component of waste management and MRPL is adopting sustainable methods to recycle and re-use the waste generated.
- In FY 2021-22, 89% of ETP feed flow was recycled and re-used in the refinery.
- Oily sludge generated in ETP is re-used in the DCU unit.
- Hazardous wastes are co-processed through SPCB authorized cement industries, where hazardous waste materials are used in the cement kiln for the alternate source of energy.
- Recycling of hazardous wastes is done through SPCB authorized recyclers where spent catalysts are recycled and precious metals are recovered.
- In FY 2021-22, 63.7% of total hazardous and non-hazardous waste was recycled and re-used.
- To ensure the sustainable utilization of life support systems on earth, MRPL is taking major initiatives towards bio diversity conservation. MRPL is establishing a bio-diversity park in 41 acres of marshy land where the marshy land is being converted to a full-fledged bio diversity park. The bio-diversity park will have native tree species of Western Ghats which will act as a habitat for different varieties of Birds and insects.
- MRPL has taken several greenbelt development and compensatory afforestation initiatives to increase its green cover.
- MRPL has developed 50 acres of Greenbelt in Pilikula Biodiversity Park with approximately 4000 numbers of different western ghat plant species
- MRPL has developed green belt in 25 acres at Bengre near Thannirbhavi sea shore and raised approximately 4000 numbers of plants saplings in co-ordination with Karnataka Forest Department.
- In addition, 969 numbers of saplings were planted during the FY 2021-22 in Refinery.
- MRPL has commissioned a Vermi compost facility for efficient management of cut grass, tree branches & leaves. 12,076 Kg of Vermi-compost was harvested in FY 2021-22. Two more Vermi compost facility construction is under progress.
- MRPL is committed towards the conservation of ecological system and Bio-diversity, in this regard MRPL has adopted wild animals in Pilikula Biological Park, Mangalore.

HEALTH, SAFETY & ENVIRONMENT PERFORMANCE OF AROMATIC COMPLEX

Health

Annual Medical Checkup of employees was carried out in compliance with the Rules under Factories Act and Karnataka Factories Rules. 100% health check-up of employees completed as per schedule during the year 2021-22.

Occupational Health Centre (OHC) with 24X7 availability of Medical Staff is functional.

Safety Performance

The major achievements in the Safety are summarized as under:

- Aromatic Complex has achieved Zero Loss Time Incident (LTI) for FY 2021-22 it is an exemplary achievement to achieve 2346 Safe working days without LTI as on 31 March, 2022 which is equal to 15.20 Million man hours.
- Aromatic Complex has also received Prashansa Patra Award (4th position) from National Safety Council –Mumbai in Refinery and Petrochemical Sector (Manufacturing).
- Aromatic Complex has also been audited by British Safety Council- Mumbai for five star health and safety audit and Scored 87.31% (4 Star) on Health and safety Management system.
- Internal Safety Audits as well as External Safety Audits were conducted successfully in FY 2021-22 as per statutory requirement.
- Aromatic Complex observed Chemical Disaster prevention day on 04/12/2021.
- Public Awareness Programme on Safety and Environment was also conducted at SNTD College Kattel, Mangaluru.
- Various safety awareness program also conducted for District disaster Management Authorities of Kerala and Karnataka state on Tanker handling Emergency.

Environment Management

Inline with your Company's commitment towards water conservation various steps have been taken for increasing treated effluent recycle in absolute terms. The technical/ Engineering solutions include: Adoption of Improved Chemical Treatment Program by introduction of ClO₂ dosing with Hypochlorite, a better oxidizing agent to maintain better oxidation reduction potential (ORP) in recirculation cooling water thereby to have increased load of Treated effluent.

- At ETP, Impeller size of treated effluent Recycle transfer Pump to Cooling tower was increased resulting in increase in treated effluent flow capacity to Cooling Tower. By this, the effluent recycle has increased by approx. 50% in 2021-22 over 2020-21. Your Company is encouraging various initiatives in line with GOI Sustainable Development Goals, as chartered in UN summit such as usage of Gaseous fuel from Process Blocks instead of flaring, in Dual Mode Fired Heaters and usage of Hydrogen Peroxide reagent as substitute to Fenton's reagent while treating effluent from Aromatic Complex in the Effluent Treatment Plant by which sludge generation is almost NIL.
- Your company is extensively promoting usage of Environment friendly Electric Vehicles as mode of transportation, to bring down carbon foot print. Usage of cleaner fuels, efficient usage of heat recovery systems have resulted in the decrease of SOX load by approx. 16% in 2021-22 over 2020-21. Your company's fruitful measures have resulted in CO₂ reduction by 5% in 2020-21 over previous financial year. Your company has undertaken extensive forestation program and is maintaining the Greenery around the plant in more than Regulatory Body stipulated 33% area manifesting your company's commitment to achieve Environment safeguards.

CORPORATE SOCIAL RESPONSIBILITY AND SUSTAINABILITY DEVELOPMENT

Corporate Social Responsibility:

MRPL's social welfare and community development initiatives focus on the key areas of education, health care & sanitation and overall development of basic infrastructure in and around its operational area/ Dakshina Kannada & Udupi District/Karnataka State. These projects are largely in accordance with Schedule VII of the Companies Act, 2013. The key objectives of the MRPL's CSR Policy is to ensure an increased commitment at all levels in the organization, to operate its business in an economically, socially and environmentally sustainable manner, while recognizing the interests of all its stakeholders.

The Company has identified following focus areas for CSR engagement:

1. Shiksha Samrakshan
2. Arogya Samrakshan
3. Bahujan Samrakshan
4. Prakruti Samrakshan
5. Sanskrithi Samrakshan

The CSR & SD Policy may be accessed on the Company's website at <http://www.mrpl.co.in/csr>. The Annual Report on CSR activities for FY 2021-22 is annexed herewith as **"Annexure-A"**

PERFORMANCE AND FINANCIAL POSITION OF JOINT VENTURES/ ASSOCIATE

As per the Material Subsidiary Policy, there is no material subsidiary to the Company, applying the test of materiality for the FY 2021-22. A scheme of amalgamation of OMPL with MRPL has been filed with the Ministry of Corporate Affairs, pursuant to the provisions of Section 230 to 232 of the Companies Act, 2013 and other applicable statutes, Regulations and Guidelines. Pursuant to Section 129(3) of the Companies Act, 2013 read with Rule (5) of the Companies (Accounts) Rules, 2014, and has been approved on 14/04/2022 with 01/04/2021 as Appointed Date. The Effective Date for Scheme of Amalgamation of ONGC Mangalore Petrochemicals Limited and Mangalore Refinery and Petrochemicals Limited is 01/05/2022. A statement on the performance and financial position of the Joint Venture Companies is provided as an Annexure to the Consolidated Financial Statements. The details on the performance and financial position of Associate and Joint Venture Companies are given in Management Discussion and Analysis (MDA) Report.

In accordance with the provisions of the SEBI guidelines, the Company has framed a policy for determining material subsidiaries that can be accessed on the Company's website.

ANNUAL REPORT OF CONSOLIDATED FINANCIAL STATEMENT

The Audited Consolidated Financial Statements for the year ended 31st March, 2022 of the Company and its subsidiaries form part of the Annual Report in accordance with Section 129 of the Companies Act, 2013 and Ind AS 110 on "Consolidated Financial Statements" read with Ind AS 28 on "Investments in Associates and Joint Ventures". In accordance with section 136 of the Companies Act, 2013, the audited financial statements, including the consolidated financial statements and related information of the Company are available on the Company's website. These documents will also be available for inspection during business hours at the registered office of the Company at Mangalore.

INDIAN ACCOUNTING STANDARDS (IND AS) – IFRS CONVERGED STANDARDS

The Ministry of Corporate Affairs (MCA) on February 16, 2015, notified that Indian Accounting Standards (Ind AS) are applicable to certain classes of companies from April 1, 2016 with a transition date of April 1, 2015. Ind AS has replaced the previous Indian GAAP prescribed under Section 133 of the Companies Act, 2013 ("the Act") read with Rule 7 of the Companies (Accounts) Rules, 2014 and are applicable to the Company from April 1, 2016.

TRANSFER TO RESERVES

No amount has been transferred to General Reserves for the financial year 2021-22.

DIVIDEND

The Board has not recommended any dividend for the FY 2021-22. The Dividend Distribution Policy, in terms of Regulation 43A of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations"), is available on the Company's website www.mrpl.co.in.

DEPOSITS

Your company has not accepted any deposits during the year pursuant to Section 74 of the Companies Act, 2013 and Rules there under.

PARTICULARS OF LOANS, GUARANTEES AND INVESTMENTS

There have been no loans / guarantees given or securities provided during FY 2021-22 under the provisions of Section 185 / 186 of the Companies Act, 2013. The details of investments covered under the provisions of Section 186 of the Act are given in notes to financial statements provided in this Annual Report.

SHARE CAPITAL

The company has not issued any shares during FY 2021-22. The Issued, Subscribed and Paid up Equity Share Capital of your Company as on 31/03/2022 was ₹1,753 Crore. The Company has not issued any equity shares with differential rights as to dividend, voting or otherwise and also sweat equity shares to employees of the Company under any scheme during the FY 2021-22.

DISCLOSURE OF ACCOUNTING TREATMENT:

In the preparation of Annual Financial Statements for the year ended March 31, 2022, the applicable Ind AS have been followed. So there is no treatment different from that prescribed in an Indian Accounting Standards.

DETAILS IN RESPECT OF FRAUDS REPORTED BY AUDITORS UNDER SUB-SECTION (12) OF SECTION 143 OF COMPANIES ACT, 2013 OTHER THAN THOSE WHICH ARE REPORTABLE TO THE CENTRAL GOVERNMENT.

As far as Section 143 (12) of Companies Act 2013 is concern, there have been no instances of fraud as mentioned above.

MATERIAL CHANGES AND COMMITMENTS AFFECTING FINANCIAL POSITION BETWEEN THE END OF FINANCIAL YEAR AND DATE OF REPORT

No material changes or commitments have occurred after close of the year till date of review of financial by Audit Committee and subsequent approval of same by Board of Directors of the Company which affects the financial position of the Company except Government of India vide Excise Notifications No. 02/2022 to 11/2022- CE dated 30.06.2022 has levied Special Additional Excise Duty (SAED) and Road and Infrastructure Cess (RIC) on export of MS, HSD and ATF at the rate of ₹6, ₹13 and ₹6 per litre respectively (approx. \$ 26.5/bbl for HSD, \$12.5/bbl each for MS and ATF). Such levy is effective from 01/07/2022 which and is payable in addition to the existing levies. It is understood from the media reports that the levy has been imposed due to extra-ordinary situation prevailing in the global energy markets and to ensure domestic availability of Refined Products. Further, there is corresponding decrease in domestic Refinery Transfer Price (RTP). As the levy and reduction in RTP will have substantial financial impact on the company. The company has suitably represented to the Govt. of India for review of such levy and removal of deduction in RTP.

HUMAN RESOURCES

Your company values its human resources the most. To keep their morale high, your company extends several welfare benefits to the employees and their families by way of compensative medical care, education, housing and social security. During the financial year 2021-22, various welfare related policies have been implemented by the Company for its employees.

The Company maintains a MRPL Employees Recreation Centre. The Centre offers a wide range of pastime activities for the employees and their dependents.

Your Company continues to enjoy cordial and harmonious relations and not a single man-hour was lost on account of any industrial disturbance during the year 2021-22.

The welfare policies of the company are being revised consistent with the industry policies so as to enable employees to get enhanced benefits.

Reporting on SC / ST / PWD

Presidential Directives and other guidelines issued by Department of Public Enterprises, Ministry of Petroleum & Natural Gas, Ministry of Social Justice and empowerment from time to time with regard to reservation in services for Scheduled Castes, Scheduled Tribes, other backward castes and Persons with disabilities have been complied with. An adequate monitoring mechanism has been put in place for sustained and effective compliance. Liaison officers are appointed to ensure implementation of the Government Directives. Reservation Rosters are maintained as per the directives and are regularly inspected by the Liaison officer of the company as well as the officials from MoP&NG to ensure proper compliance of the Directives. MRPL also complies with provisions under “The Persons with Disabilities (Equal Opportunities, Protection of Rights and Full Participation) Act, 1995 relating to providing employment opportunities for Persons with Disabilities (PWDs). As on 31/03/2022, there are 37 permanent employees with disabilities on the roll of MRPL.

During the financial year 2021-22, company has recruited 213 employees comprising of 34 Scheduled Caste (SC) employees and 17 Scheduled Tribe (ST) employee and 12 women employees.

During the Year 2021-22, the Company devoted 4229 Mandays for training, development and learning, which amounts to 1.82 average Mandays per employee for Management staff and 2.57 Mandays per employee for Non-Management staff.

In accordance with para-29 of the Presidential Directive, statistics relating to representation of SCs / STs in the prescribed performa, SC / ST / OBC Report – I and SC / ST / OBC Report –II are attached as ‘Annexure – B’ to the report.

EMPLOYEE WELFARE POLICIES:

The company, over a period of time, has introduced several welfare policies for its employees and their dependent family members in order to improve their quality of life, besides improving the morale and motivation of its employees. The welfare policies of the company are being revised from time to time with the industry practise so as to enable employees to get enhanced benefits.

SKILL DEVELOPMENT CENTER:

As part of National Skill Development Mission, Govt. of India, MRPL has undertaken skill development initiatives. MRPL has partnered with NTTF, Bengaluru & CIPET, Mysuru for imparting skill development training for unemployed youths.

In FY 2021-22, training could not be given to any of the candidates due to two waves of Covid-19.

WOMEN EMPOWERMENT

Women employees constituted 6.95 percent of the Company's workforce.

Your Company has an Internal Complaints Committee (ICC) required under Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013. There have been no cases reported to the committee for the FY 2021-22. Annual Report pertaining to sexual Harassment of Women at workplace is attached at 'Annexure -C'

HUMAN RESOURCES / PERSONNEL OF AROMATIC COMPLEX

Total employee strength in Aromatic Complex as on 31/03/2022 was 472. Out of which, 179 employees belonged to Management cadre and 293 employees belonged to Non-Management cadre. It included 297 Project Displaced Family (PDFs) Candidates. 83 Women employees constituted over 18 percent of Aromatic Complex's workforce. During the year 2021-22, Aromatic Complex devoted 669.83 Man-days for Training, Development and Learning which amounted to an average of 1.43 Man-days per employee. This included functional, developmental and special training programmes covering the entire spectrum of employees.

OFFICIAL LANGUAGE

Annual Hindi Implementation Report for the year 2021-22

Your company is implementing Official Language Policy in letter and spirit as per the Annual Programme prescribed by the Department of Official Language, Ministry of Home Affairs, Govt. of India. In order to propagate and promote Hindi among the employees, Hindi Workshops are organized on a regular basis at Mangalore, Mumbai, Delhi & Bangalore Offices. At regular intervals inspection of internal departments and subordinate offices were carried out. Besides, Hindi Fortnight was celebrated and many online Hindi competitions such as Hindi Knowledge competition, Admin. Glossary, Letter writing etc., were conducted for the employees in the month of September, 2021. Hindi usage is promoted by conducting special quiz competitions at all levels including senior officials during Hindi month celebrations.

In addition to the above, online Hindi competition (Admin. Glossary) during World Hindi Diwas was conducted in January, 2022 for employees. Competitions were held in Hindi language for employees and their family members during National Safety Day, Environment Day, Security awareness week and Vigilance awareness week.

Your Company participated at Town Official Language Implementation Committee (TOLIC) Mangaluru level Hindi competitions and won Seven prizes and stood First at the TOLIC-Mangaluru level competitions. Online Hindi Essay competition was conducted for employees of TOLIC member organizations in October, 2021. In addition to this, your company participated in one more competition on the occasion of Vishwa Hindi Diwas and won First prize. To promote Hindi usage in neighboring Schools, Hindi Books were distributed to Eight Govt. Higher Primary and High Schools. Hindi classes were conducted regularly to employees to qualify in Prabodh, Praveen & Pragya examinations. Employees are motivated to pass final Hindi examinations through Incentive schemes such as Cash award & Personal Pay etc. To increase the correspondence in Hindi in the organization, Unicode facilities were activated on all computers used for daily office work.

Special awards were given to 04 students of DPS (Delhi Public School) in MRPL Township, who have scored highest marks in Class-X Hindi examination.

To implement Hindi in organization, sign boards have been made in bilingual/trilingual.

In order to propagate and to promote usage of Hindi in the company, in house Hindi Journal "MRPL PRATIBIMB" is being annually published. MRPL follow the guidelines of OL (Official Language), and conducted OLIC (Official Language Implementation Committee) meeting during four quarters of the year under the chairmanship of MD. Your company is making Continuous efforts for promoting Hindi usage in the organization by encouraging employees through trainings, workshops, seminars and incentives.

In view of the above activities and initiatives taken in Official Language Implementation, MRPL has been awarded II place by TOLIC- Mangalore.

RIGHT TO INFORMATION ACT, 2005

Your company has put in place an elaborate mechanism to deal with matters related to the Right to Information Act, 2005. The company has designated one Nodal Officer based at Registered Office at Mangalore and one First Appellate Authority (FAA), one Central Public Information Officers (CPIO) and Two Assistant Public Information Officers (APIOs). RTI manual is hosted on the website of the Company as per Section 4(2) of the RTI Act. Your company has aligned with the online RTI portal launched by DoPT and all the applications/appeals received through the portal have been disposed off through the portal.

The Quarterly Reports / Annual Reports have been submitted through the online portal of Central Information Commission www.cic.gov.in within the prescribed time limit. The data on RTI applications received and disposed off by your company is available online at www.mrpl.co.in/Content/RTI.

SECURITY MEASURES

Security of MRPL Refinery is designed to comply with Oil Sector Infrastructure Protection Plan (OSIPP) and the Security Audit recommendations given by MHA from time to time.

Physical Protection of the Refinery is handled by Central Industrial Security Force (CISF). They are fully equipped with adequate gadgets and weapons to handle all kinds of security threats to the Refinery. The Refinery has a state-of-the-art electronic surveillance system with an integrated CCTV cum Electronic Intrusion Detection system which is monitored from a Central Command & Control Centre.

Security is on top of the agenda of your Company and to ensure preparedness, periodic mock drills are conducted. To promote awareness of security issues among all stakeholders, Security Awareness Weeks are organised periodically.

VIGILANCE FUNCTION

Your company has developed a structured mechanism of vigilance functions. Its practices are focused towards creation of value to stakeholders. The practices involve multi-layer checks and balances to improve transparency. Vigilance awareness and preventive vigilance activities were continuously carried out during the year.

Your company has adopted a complaint handling procedure in accordance with CVC regulations, in which all complaints received from various sources are documented and investigated by vigilance. The details on the best vigilance practices and links to various useful websites is also provided in the MRPL Corporate website. Your company has achieved high compliance level with regard to e-procurement, e-tender and e-payment. Vigilance function focus on regular study of systems and procedures for continuous improvement and enhanced efficiency. Company is always looking forward to implement Technology based Innovation to ensure greater transparency and accountability.

In line with instructions of CVC, your company had conducted Vigilance Awareness programs for spreading awareness on Integrity. Sensitization programme conducted on the importance of ethics and moral values in public life for employees at entry level. Many awareness activities were designed to touch all walks of life. Sixth edition of in-house Vigilance Souvenir “Pardarshak” was released. Vigilance Awareness Online Quiz Competition was organized for Colleges by Mangalore Refinery (MRPL) on Vigilance related topics for creating awareness among college students and citizens. More than 3000 students participated in this quiz from almost all states and 16 different countries. PIDPI (Public Interest Disclosure and Protection of Informers) Resolution awareness posters and booklet was prepared and distributed by MRPL for creating awareness among employees and citizens about PIDPI. MRPL Vigilance Manual was released as a reference book covering all the relevant sections of CVC Vigilance Manual and MRPL Conduct, Discipline and Appeal rules. MRPL Vigilance Manual on Disciplinary Proceedings was prepared and released. It’s a compilation of all the instructions, guidelines and process of disciplinary proceedings. Various other activities such as Kiosk for Integrity Pledge, Vendors meet, various awareness program were conducted for stakeholders. Sensitization programme on the importance of ethics and moral values in public life.

Online essay competition for school and college students with the theme "Independent India @ 75: Self Reliance with Integrity" was conducted. Online poster competition was conducted for College students. The students of several schools and colleges participated in large number in the programme. Promotional videos and number of competitions like poster making, slogan writing, online quiz, essay writing etc. were conducted for employees and dependents. Short films, posters etc. were put in MRPL social media handle for creating awareness. Using technology to improve transparency has been a major focus area in which vigilance has played a key role.

During the FY 2021-22, 7 vigilance cases were received from PIDPI and all 7 complaints were disposed-off. Further 5 complaints were received from other Sources (Non-PDPI) and all 5 complaints were disposed-off. There were no pending vigilance complaints as on 31/03/2022.

WHISTLE BLOWER POLICY

The Whistle Blower Policy is formulated to provide a vigil mechanism for Directors and Employees to raise genuine concerns about unethical behaviour, actual or suspected fraud or violation of the Company's code of conduct or ethics policy. The Policy provides necessary safeguards for protection of Directors and Employees who avail the vigil mechanism from reprisals or victimization, for whistle blowing in good faith and to provide opportunity to Directors and Employees for Direct access to the Chairperson of the Audit Committee in exceptional cases. The policy is available on the Company's website. During the year, no complaints were received under Whistle Blower Policy.

The Central Vigilance Commission (CVC) has advised Government organisations to adopt Integrity Pact voluntarily in their major procurement activities.

The Integrity Pact essentially envisages an agreement between the prospective vendors / bidders and the buyer, committing the persons / officials of both sides not to resort to any corrupt practices in any aspect / stage of the contract.

Only those vendors / bidders, who commit themselves to such a pact with the buyer, would be considered competent to participate in the bidding process.

The CVC guidelines further advises CPSUs to appoint Independent External Monitors as approved by the CVC to oversee the compliance of obligations under the Integrity Pact.

MRPL has implemented Integrity Pact in compliance with CVC guidelines and as per its recommendation, appointed Ms Alka Sirohi, IAS (Retd) and Mr. Sunil Kumar Chhourasia, IOFD (Retd) Former CVC as Independent External Monitor.

CONSERVATION OF ENERGY, TECHNOLOGY ABSORPTION AND FOREIGN EXCHANGE EARNINGS & OUTGO:

Information required to be disclosed pursuant to Section 134(3)(m) of the Companies Act, 2013 read with Rule 8(3) of the Companies (Accounts) Rules, 2014 with respect to Conservation of Energy, Technology Absorption and Foreign Exchange Earnings & Outgo are furnished in 'Annexure- D' which forms part of this Report.

MANAGERIAL REMUNERATION AND PARTICULARS OF EMPLOYEES:

MRPL, being a Government Company, is exempted from the provisions of Section 197(12) of the Companies Act, 2013 and relevant Rules in view of the Notification dated 05/06/2015 issued by Ministry of Corporate Affairs (MCA).

The functional Directors of the Company are appointed by the administrative Ministry i.e., MoP&NG within the framework of DPE guidelines.

ANNUAL RETURN:

Pursuant to Section 92(3) read with Section 134(3)(a) of the Companies Act, 2013 the Annual Return as on 31/03/2022 is available on the Company's website on www.mrpl.co.in/content/shareholders

RELATED PARTY TRANSACTIONS & PARTICULARS OF CONTRACTS/ARRANGEMENTS WITH RELATED PARTY:

All transactions entered with related parties during the FY 2021-22 were on arm's length basis and in ordinary course of business. Further, there were no material related party transactions during the year with the Promoters, Directors or Key Managerial Personnel and no related party transactions were made which could have had a potential conflict with interests of the Company at large. The Company's major related party transactions are generally with its holding Company, subsidiary, joint Venture Company and associates. All the contracts/arrangements/transactions entered into with related parties were on arm's length basis, intended to further the Company's interest. The Company has adopted a Related Party policy and procedure, which is available at company's website.

The particulars of every contract or arrangements entered into by the Company with Related Parties referred in Section 188(1) of the Companies Act, 2013, is attached in the prescribed Form No. AOC – 2 as ‘**Annexure-E**’. MCA vide Notification dated 05/06/2015, has exempted the applicability of proviso 1 and 2 of Section 188(1) of the Companies Act, 2013 for transactions entered into between two Government Companies.

DIRECTORS & KEY MANAGERIAL PERSONNEL:

Changes in the Board of Directors and Key Managerial Personnel during the financial year 2021-22

MRPL being a Central Public Sector Enterprise (CPSE), Directors on the Board of the company are appointed by the Administrative Ministry i.e., Ministry of Petroleum and Natural Gas (MoP&NG), Government of India and therefore the provisions of Section 134(3) of the Companies Act, 2013 regarding policy on Directors appointment and remuneration shall not apply in view of the MCA notification dated 05/06/2015.

- Shri Shashi Shanker, Chairman/Director - MRPL has resigned from the Board of MRPL w.e.f. 01/04/2021 consequent to his superannuation from the services of Oil and Natural Gas Corporation Limited as Chairman & Managing Director on 31/03/2021.
- Shri Subhash Kumar has been nominated as the Chairman on the Board of MRPL by ONGC with effect from 05/04/2021.
- Shri K B Shyam Kumar was appointed as Company Secretary and Compliance Officer with effect from 17/05/2021 in place of Shri Dinesh Ranjan Mishra who ceased to be Company Secretary and Compliance Officer due to sad demise on 02/05/2021.
- Shri Om Prakash Singh has been appointed as Additional Director of MRPL by ONGC with effect from 07/06/2021.
- Shri Rajkumar Sharma, Smt Nivedita Subramanian, Shri Manohar Singh Verma, and Shri Pankaj Gupta were appointed as Independent Directors on the Board of MRPL with effect from 15/11/2021
- Shri Subhash Kumar, Chairman/ Director – MRPL has resigned from the Board of MRPL w.e.f. 01/01/2022 on the attaining the age of Superannuation from the services of Oil and Natural Gas Corporation Limited as Chairman & Managing Director on 31/12/2021.
- Dr. Alka Mittal was nominated as the Chairperson on the Board of MRPL by ONGC with effect from 11/01/2022. The Board placed on record its appreciation for the valuable services rendered by the outgoing Directors during their respective tenures.

All Independent Directors have given a declaration that they meet the criteria of independence as laid down under Section 149(6) of Companies Act, 2013 and SEBI (Listing Obligations & Disclosure Requirement) Regulations, 2015.

Changes in the Board of Directors after 31/03/2022

- Smt Pomila Jaspal, Director (Finance) has resigned from the Board of MRPL w.e.f. 18/04/2022 consequent upon her appointment as Director (Finance), Oil and Natural Gas Corporation Limited.
- Shri Asheesh Joshi, Director, has been appointed on the Board of MRPL vice Smt. Esha Srivastava, as Government Nominee Director w.e.f. 14/06/2022.
- Shri Om Prakash Singh ceased to be director w.e.f. 23/06/2022 on withdrawal of nomination by ONGC.
- Smt. Pomila Jaspal, Director (Finance), ONGC has been appointed as Nominee Director on the Board of MRPL w.e.f. 15/07/2022.

Changes in the Key Managerial Personnel after 31/03/2022

- Smt Pomila Jaspal, Director Finance & CFO, has resigned from the office of MRPL w.e.f. 18/04/2022 consequent upon her appointment as Director (Finance), Oil and Natural Gas Corporation Limited.
- Shri Yogish Nayak S. was appointed as Chief Financial Officer w.e.f. 27/04/2022.

FORMAL ANNUAL EVALUATION:

MRPL, being a Government Company, the provisions of Section 134(3) (p) of the Companies Act, 2013 in respect of annual evaluation of the Board Committees and individual Directors shall not apply in view of the MCA notification dated 05/06/2015. However, as per Regulation 17 of SEBI (LODR) Regulations, 2015 formal annual evaluation of Independent Director for the FY 2021-22 had been carried out by the Board.

DIRECTORS' RESPONSIBILITY STATEMENT

Pursuant to provisions of Section 134 of the Companies Act, 2013, the Board of Directors of your Company has made the following statement for FY 2021-22:

- a) In the preparation of the Annual Financial Statements for the year ended March 31, 2022, the applicable Ind AS have been followed along with proper explanation relating to material departures;
- b) The Directors have selected such accounting policies and applied them consistently and made judgments and estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of the company at the end of the financial year and of the profit of the company for that period;
- c) The Directors have taken proper profit and sufficient care for the maintenance of adequate accounting records in accordance with the provisions of the Companies Act, 2013 for safeguarding the assets of the company and for preventing and detecting fraud and other irregularities;
- d) The Directors have prepared the Annual Financial Statements on a going concern basis;
- e) The Directors have laid down internal financial controls to be followed by the company and that such internal financial controls are adequate and were operating effectively; and
- f) The Directors have devised proper systems to ensure compliance with the provisions of all applicable laws and that such systems are adequate and operating effectively.

NUMBER OF BOARD MEETINGS

The Board of Directors of your Company had seven (7) Meetings during the FY 2021-22. The maximum interval between any two meetings did not exceed 120 days as prescribed in the Companies Act, 2013. Details of the Board Meetings held, have been furnished in the Corporate Governance Report which forms part of this Report.

AUDIT COMMITTEE

The Audit Committee has been constituted as per the terms of reference prescribed under Section 177 of the Companies Act, 2013 read with Rule 6 of the Companies (Meetings of the Board and its Powers) Rules, 2014, Listing Regulation, 2015 and Guidelines on Corporate Governance for Central Public Sector Enterprise issued by Department of Public Enterprise, Government of India. There have been no instances where the recommendations of the Audit Committee were not accepted by the Board of Directors. The details of Audit Committee are disclosed in the Corporate Governance Report which forms part of this Report.

NOMINATION & REMUNERATION COMMITTEE (NRC) :

MRPL being a Central Public Sector Enterprise (CPSE), Directors on the Board of the company are appointed by the Administrative Ministry i.e., Ministry of Petroleum and Natural Gas (MoP&NG), Government of India. Accordingly, the Company has not adopted any Nomination & Remuneration policy.

Pursuant to Section 178 of the Companies Act, 2013 and Regulation 19 of SEBI (LODR) Regulations, 2015 and DPE guidelines on Corporate Governance for CPSE, your Company has constituted a Nomination & Remuneration Committee.

The details on the Nomination & Remuneration are disclosed in Corporate Governance Report which forms part of this report.

MRPL is a 'Schedule-A' Category-1 Miniratna Central Public Sector Enterprise (CPSE). The appointment, terms, conditions and remuneration of Managing Director and Functional Directors (Whole-time Directors) are fixed by the Department of Public Enterprises (DPE), Govt. of India.

RISK MANAGEMENT POLICY:

In line with the requirements of SEBI (Listing Obligations & Disclosure Requirement) Regulations, 2015, your Company has developed and rolled out a comprehensive Enterprise-wide Risk Management (ERM) Policy throughout the organization. The Audit Committee periodically reviews the risk assessment and mitigation actions in MRPL.

SIGNIFICANT AND MATERIAL ORDERS PASSED BY THE REGULATORS/COURTS:

There are no significant and material orders passed by the Regulators/ Courts/ Tribunals that would impact the going concern status of the Company and its future operations.

CORPORATE GOVERNANCE:

The Companies Act, 2013 and SEBI (LODR) Regulations, 2015 have strengthened the governance regime in the country. Your Company is in compliance with the governance requirements provided under the Companies Act, 2013, SEBI Listing Regulations, 2015 and has complied with all the mandatory provisions of Companies Act, 2013 and Rules made there under, SEBI Listing Regulation, 2015 relating to the Corporate Governance requirements and mandatory guidelines on Corporate Governance for CPSEs issued by DPE, Government of India. The Corporate Governance Report for the FY 2021-22 forms part of this Report.

Pursuant to Schedule V of the SEBI Listing Regulations, 2015, the compliance certificate from Practicing Company Secretaries regarding compliance of conditions of Corporate Governance also forms part of the Annual Report. The Secretarial Auditors have made observations on non-availability of requisite number of Independent Directors on the Board of the Company from 01/04/2021 to 15/11/2021, constitution of Audit Committee from 01/04/2021 to 16/01/2022 and Nomination and Remuneration Committee from 01/04/2021 to 31/03/2022. The matter for appointment of requisite number of independent Directors is being pursued with MoP&NG and the same is under active consideration of MoP&NG.

Pursuant to requirements of the Companies Act, 2013 and SEBI Listing Regulations, 2015, following policies/codes have been formulated and uploaded on the Company's website at www.mrpl.co.in

a	Code of Conduct for Board Members and Senior Management Personnel;	https://admin.mrpl.co.in/img/UploadedFiles/StatutoryDisclosure/Files/English/7c811268609547e78fc6a9c74e9368ee.pdf
b	Whistle Blower Policy;	https://www.mrpl.co.in/sites/default/files/Whistle%20Blower%20Policy%20-27.12.2018_0.pdf
c	Related Party Transactions – Policy and Procedures;	https://mrpl.co.in/sites/default/files/Statutory%20Disclosures/RELATED%20PARTY%20%20TRANSACTION%20POLICY_1482132378.pdf
d	CSR & SD Policy;	https://admin.mrpl.co.in/img/UploadedFiles/CSR/Files/English/d1403bfdf2c24acfb2ef8fb62e4f3504.pdf
e	Material Subsidiary Policy;	https://www.mrpl.co.in/sites/default/files/Material%20subsidiary%20policy-27.12.2018_0.pdf
f	The Code of Internal Procedures and Conduct for prohibition of Insider Trading in Dealing with the securities of MRPL;	https://admin.mrpl.co.in/img/UploadedFiles/StatutoryDisclosure/Files/English/05b56a5b278241e9824384499f5ebaef.PDF
g	Policy on Materiality for disclosure of events to the Stock Exchanges;	https://mrpl.co.in/sites/default/files/Statutory%20Disclosures/Policy%20on%20Disclosure%20of%20Material%20Events%20and%20Information_revised_1482129748.pdf
h	Policy on preservation of Documents;	https://mrpl.co.in/sites/default/files/Statutory%20Disclosures/POLICY%20FOR%20PRESERVATION%20OF%20DOCUMENTS_1480744935-3_1482130344.pdf
i	Training Policy for Board of Directors;	https://mrpl.co.in/sites/default/files/Statutory%20Disclosures/TRAINING%20POLICY%20FOR%20BOARD%20OF%20DIRECTORS%281%29_1436511967_1443174117.pdf
j	Dividend Distribution Policy.	https://mrpl.co.in/sites/default/files/Statutory%20Disclosures/Dividend%20Distribution%20Policy_1482132372.pdf

INVESTOR EDUCATION AND PROTECTION FUND (IEPF):

Pursuant to the applicable provisions of the Companies Act, 2013, read with the IEPF Authority (Accounting, Audit, Transfer and Refund) Rules, 2016 ("the IEPF rules"), all unpaid or unclaimed dividends are required to be transferred by the Company to the IEPF, established by the Government of India, after the completion of seven years. Further, according to the Rules, the shares on which dividend has not been paid or claimed by the shareholders for seven consecutive years or more shall also be transferred to the demat account of the IEPF Authority. During the financial year no amounts of unclaimed dividend and corresponding shares were due for transfer to Investor Education & Protection Fund (IEPF). The details are provided in the Shareholder Information Section of this Annual Report and are also available on website of the company www.mrpl.co.in.

ANNUAL BUSINESS RESPONSIBILITY REPORT:

SEBI Listing Regulations, 2015 mandated inclusion of Annual Business Responsibility Report (ABRR) as part of the Annual Report for top 1,000 Listed Entities based on market capitalization. In compliance with the Regulation, ABRR for the FY 2021-22 forms part of this Report.

MANAGEMENT DISCUSSION AND ANALYSIS:

In terms of Regulation 34 of the SEBI Listing Regulations, 2015 the Management's Discussion and Analysis (MDA) Report for the FY 2021-22 forms part of this Report.

INTERNAL FINANCIAL CONTROL:

Your Company has a well-established and efficient internal financial control system to ensure an adequate and effective internal control environment that provides assurance on efficiency of conducting business, including adherence to Company's policies, safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of accounting records and the timely preparation of reliable financial information.

The Company has in-house Internal Audit Department commensurate with its size of operations. Audit observations are periodically reviewed by the Audit Committee of the Board and necessary directions are issued whenever required. The highlights on Internal Control system are disclosed in the Management Discussion Analysis Report which forms part of this report.

As regards Financial Reporting controls, the internal auditor verifies the adequacy and effectiveness of controls.

Your Company has also obtained a certificate from the Joint statutory auditors under Sec 143(3)(I) of the Companies Act, 2013 towards the existence of adequate Internal Financial control system over Financial reporting and its operating effectiveness, as at 31st March 2022.

AUDITORS:

Joint Statutory Auditors

M/s Sankar & Moorthy, Chartered Accountants, Kannur and M/s Ram Raj & Co, Chartered Accountants, Bengaluru were the Joint Statutory Auditors of the Company for the FY 2021-22. They have audited the Financial Statements for FY 2021-22 and submitted their report which forms part of this report. There is no qualification in the Auditors Report on the financial statements of the Company. Notes to the Accounts referred to in the Auditors Report are self-explanatory and therefore do not call for any comments. Total fees paid to the Joint Statutory Auditors for the financial year 2021-22 was ₹ 28 lakh consolidated basis.

Secretarial Auditors

Your Company engaged M/s Ullas Kumar Melinamogaru & Associates, Practising Company Secretaries, Mangaluru for conducting Annual Secretarial Audit for FY 2021-22 pursuant to Section 204 of the Companies Act, 2013. M/s Ullas Kumar Melinamogaru & Associates, Practising Company Secretaries, Mangaluru has issued Secretarial Audit Report for the FY 2021-22 which forms part of this report as 'Annexure-F'. The Auditors have made observations on the composition of the Board with regard to requisite number of Independent Directors on the Board of the Company. The matter for appointment of requisite number of independent Directors is being pursued with MoP&NG and the same is under active consideration of MoP&NG.

Cost Auditors

Pursuant to Section 148 of the Companies Act, 2013 read with the Companies (Cost Records and Audit) Amendment Rules, 2014, the Cost Accounts maintained by the company for the FY 2021-22 are being audited by Cost Auditors M/s. Musib & Co. Cost Accountant, Mumbai.

COMMENTS OF C&AG ON THE JOINT STATUTORY AUDITORS' REPORT ON THE CONSOLIDATED AND STANDALONE FINANCIAL STATEMENTS FOR THE FY 2021-22

The Comments of Comptroller & Auditor General of India (C&AG) forms part of this report and are attached as 'Annexure-G'. You would be pleased to know that there are no comments from C&AG on the Auditor's Report or on the Financial Statements for the year 2021-22. There were no pending audit para as far as financials concerned.

ACKNOWLEDGEMENT

Your Board of Directors wish to thank the shareholders for the continued confidence reposed on their Company. Your Directors sincerely thank the Government of India (GoI), Ministry of Petroleum and Natural Gas (MoP&NG), Ministry of Finance (MoF), Ministry of Corporate Affairs (MCA), Department of Public Enterprises (DPE), Ministry of Environment and Forest (MoEF), Ministry of External Affairs (MEA), Ministry of Shipping (MoS), Ministry of Home Affairs (MHA), other Ministries and Departments of the Central Government for their valuable support, guidance and continued co-operation. Your Directors also place on record their appreciation for the support from Government of Karnataka.

Your Directors gratefully acknowledge support and direction provided by the parent company, Oil and Natural Gas Corporation Limited (ONGC) and the support of Hindustan Petroleum Corporation Limited (HPCL) as Promoters of the company. Your Directors acknowledge the continuous cooperation and support received from New Mangalore Port Trust, Financial Institutions, Banks and all other stakeholders. Your Directors recognize the patronage extended by the valued customers for the products of the Company and promise to provide them the best satisfaction. The Board would like to express its sincere appreciation for the dedicated efforts made and valuable services rendered by all the employees collectively and concertedly as a team known as "Team MRPL" towards the Company's achievements during the year 2021-22.

For and on behalf of the Board

Place: New Delhi
Date: July 15, 2022

Sd/-
(Alka Mittal)
Chairperson
(DIN: 07272207)

ANNEXURE -A
REPORTING PERIOD: APRIL, 2021 TILL MARCH, 2022
ANNUAL REPORT ON CORPORATE SOCIAL RESPONSIBILITY (CSR) ACTIVITIES FOR THE FINANCIAL 2021-22

[Pursuant to clause (0) of sub-section (3) of section 134 of the Act and Rule 8(1) of the Companies (Corporate Social Responsibility) Rules 2014]

1. Brief outline on CSR Policy of the Company.

Mangalore Refinery and Petrochemicals Limited (MRPL) is a Schedule “A” Mini Ratna PSU, a subsidiary of ONGC. Right from the inception, MRPL has been undertaking CSR activities under the brand name “SAMRAKSHAN”.

CSR Policy of MRPL has been drafted in line with Section 135 & Schedule VII of the Companies Act 2013, followed by release of Company (Corporate Social Responsibility Policy) Rules, 2014 issued by Ministry of Corporate Affairs and “Guidelines on Corporate Social Responsibility & Sustainability” issued by Department of Public Enterprises, w.e.f., 01/04/2014. The Policy is duly recommended by the CSR&SD Committee and approved by MRPL Board.

Further, MRPL Board, during its 242 meeting held on 28/01/2022 approved amendment to CSR logo wherein an attempt has been made to highlight promotion of MRPL in the public.

Overview of the projects & programs undertaken by the Company is listed at the end of this report.

2. Composition of CSR Committee :

Sl. No.	Name of Director	Designation / Nature of Directorship	Number of meetings of CSR Committee held during the year	Number of meetings of CSR Committee attended during the year
1	Smt. Nivedida Subramanian	Chairperson	4	2
2	Smt. Esha Srivastava *	Member	4	3
3	Shri. M. Venkatesh	Member	4	4
4	Smt. Pomila Jaspal \$	Member	4	2
5	Shri. Sanjay Varma \$	Member	4	2
6	Shri R T Agarwal \$	Member	4	2

*Chairperson upto December 2021

\$ Members upto December 2021

3. Provide the web-link where Composition of CSR committee, CSR Policy and CSR projects approved by the board are disclosed on the website of the company :

www.mrpl.co.in/CSR

4. Provide the details of Impact assessment of CSR projects carried out in pursuance of sub-rule (3) of rule 8 of the Companies (Corporate Social Responsibility Policy) Rules, 2014, if applicable (attach the report).

5. Details of summarised overall conclusion report is attached as Annexure –I.

Details of the amount available for set off in pursuance of sub-rule (3) of rule 7 of the Companies (Corporate Social Responsibility Policy) Rules, 2014 and amount required for set off for the financial year, if any

Sl. No.	Financial Year	Amount available for set-off from preceding financial years (in ₹)	Amount required to be setoff for the financial year, if any (in ₹)
1	NA	NA	NA

6. Average net profit of the company as per section 135(5) for FY 2021-22: ₹ -1198.50 Crores (Derived from PBT)

7.

Sl. No.	Particulars	Amount(₹ in crores)
(a)	Two percent of average net profit of the company as per section 135(5)	0.00
(b)	Surplus arising out of the CSR projects or programmes or activities of the previous financial years	21.68 Crores (Carry forward Budget).
(c)	Amount required to be set off for the financial year, if any	Nil.
(d)	Total CSR obligation for the financial year (7a+7b+7c) 21.68 Crores.	

8. (a) CSR amount spent or unspent for the financial year: 2021-22.

Total Amount Spent for the Financial Year. (₹ in Crores)	Amount Unspent (₹ in Crores)				
	Total Amount transferred to Unspent CSR Account as per section 135(6).		Amount transferred to any fund specified under Schedule VII as per second proviso to section 135(5).		
	Amount	Date of transfer	Name of the Fund	Amount	Date of transfer
₹9.73 Crores	₹21.68	30/04/2021	Nil	Nil	Nil

(b) Details of CSR amount spent against ongoing projects for the financial year, 2021-22: (₹5.64 Crores **Annexure-II**)(c) Details of CSR amount spent against other than ongoing projects for the financial year, 2021-22: (₹4.09 Crores **Annexure -III**).

(d) Amount spent in Administrative Overheads: Nil.

(e) Amount spent on Impact Assessment, if applicable: Nil.

(f) Total amount spent for the Financial Year (8b+8c+8d+8e): ₹9.73 Crores.

(g) Excess amount for set off, if any - Nil

Sl. No.	Particulars	Amount(₹ in crores)
(i)	Two percent of average net profit of the company as per section 135(5)	0.00
(ii)	Total amount spent for the Financial Year	9.73
(iii)	Excess amount spent for the financial year [(ii)-(I)]	Nil
(iv)	Surplus arising out of the CSR projects or programmes or activities of the previous financial years, if any	Nil
(v)	Amount available for set off in succeeding financial years [(iii)-(iv)]	Nil

9. (a) Details of Unspent CSR amount for the preceding three financial years :

Enclosed as **Annexure –IV**.

(b) Details of CSR amount spent in the financial year for ongoing projects of the preceding financial years:

Enclosed as **Annexure-V**.

10. In case of creation or acquisition of capital asset, furnish the details relating to the asset so created or acquired through CSR spent in the financial year:

(Asset-wise details).

(a) Date of creation or acquisition of the capital asset(s) – NA.

(b) Amount of CSR spent for creation or acquisition of capital asset – NA.

- (c) Details of the entity or public authority or beneficiary under whose name such capital asset is registered, their address etc. – NA.
- (d) Provide details of the capital asset(s) created or acquired (including complete address and location of the capital asset) – NA.

11. Specify the reason(s), if the company has failed to spend two per cent of the average net profit as per section 135

Budget for FY 2021-22 is Nil. However, ongoing projects are being executed with the available carry forward budget.

sd/-

M Venkatesh
(Managing Director)
(DIN: 07025342)

sd/-

Nivedida Subramaninan
(Chairperson CSR Committee)
(DIN: 08646502)

CSR projects Impact Assessment Report

Annexure -I

Toilet and other related sanitation facility for Shri Krishna Math Parisra Vikasa Prathistana, Udupi

SUMMARY

Udupi Shri Krishna Temple is a well-known historic Hindu temple dedicated to Lord Krishna and Dvaita Matha located in the city of Udupi in Karnataka. The temple was founded in the 13th century by the Vaishnavite saint and founder of the Dvaiti school of Vedanta, Shri Madhvacharya. It is believed that the saint found the idol of Lord Krishna buried in a large stone ball of sandalwood. The Udupi Shri Krishna Matha is an important religious centre for the Hindus and is placed among the principal pilgrimage sites in India. It is a conspicuous centre of the Dvaita Vedanta Hindu philosophy that believes Lord Vishnu (the Supreme Soul) and the individual souls have independent existential realities.

PROJECT INTRODUCTION

MRPL has contributed funds for Toilet and Sanitation projects in Shri Krishna Math Parisra Vikasa Prathistana in Udupi, Karnataka. Implementing agencies were appointed by beneficiary for toilet construction. Additionally, toilet construction (including maintenance) has been undertaken by Shri Krishna Math Parisra Vikasa Prathistana. On the second floor, large scale toilet and bathroom facilities have been developed which is very clean, hygienic and sanitized.

IMPACT

After the implementation of the program, significant changes have occurred as open defecation in nearby areas has reduced and people have started using toilets. For devotees, open defecation in nearby areas has reduced from 32% to 4%. Awareness campaign has also spread knowledge to the nearby population. Before the implementation of the project, majority of the devotees were not using toilets and in case of open defecation, they were facing many problems. Walking a long distance was a major problem for women, before the project was implemented. The program has successfully reached out to the people in the community and people have benefited with improved health, hygiene and awareness. The improvements in sanitation services and personal hygiene have positive health impacts, such as, reduced incidents of infectious diseases and diarrhoeal diseases. In addition, safety has also improved.

The activities were carried out as they were planned. Based on the respondent's records there has been a great change and acceptance of healthy sanitation practices, people in the community also changed their attitudes and visitors developed better sanitation habits through the successful program. A behavioural change also occurred.

POSITIVE IMPACT OF THE PROJECT

1. The construction quality was found to be good. Glazed tiles and granites, quality wash basins and commodes have been installed. Provision for hot water has been made. Overall the complex has an aesthetic look both from outside as well as inside.
2. The operation and maintenance of the toilets is being done by MRPL. The toilets are open on all the 365 days. The timing is from morning 4.00 am to 11.00 pm depending up on demand and number of people using.
3. Safety: The toilets are approachable by physically challenged since ramps are constructed with sturdy hand rails. There are hand rails in the toilets for physically challenged also. The toilets are located in easily accessible places and not in secluded corners, which makes it safe for women to use during night times also. A curtain has also been put in all locations at the entrance to the ladies unit, thus giving a sense of privacy.
4. Public Toilet Shri Krishna Math Parisara Vikasa Prathistana very Helpful for peoples.
5. Understanding that cleanliness can contain spread of diseases.
6. Absence of this basic facility was leading to environmental pollution and breeding of diseases due to open defecation.

RECOMMENDATION

The project has benefitted the area in the form of improvement in health and hygiene and has also improved awareness about the usage of toilets. The toilet construction program of MRPL is relevant to the needs of beneficiaries and has led to positive impact on the health and hygiene and largely, moving towards achieving the physical target set. It is recommended to MRPL to increase participation in such large scale community beneficial projects by converging with Swachh Bharat Mission.

SUSTAINABILITY

The toilet facility is on pay and use basis to ensure hygiene standards are maintained. Shri Krishna Math Parisara Vikasa Prathistana, Udupi has taken over the complete maintenance and upkeep of the facility and shall continue to do so in the future.

KEY POINTS OF STAKEHOLDERS CONSULTATIONS - TOILET AND OTHER RELATED SANITATION FACILITY FOR SHRI KRISHNA MATH PARISARA VIKASA PRATHISTANA, UDUPI

As informed by maintenance team, Toilet and sanitation facility is very helpful for people and devotees. The infrastructure is very hygienic, safe and clean. The facilities are open 365 days.

Before and After Process Change

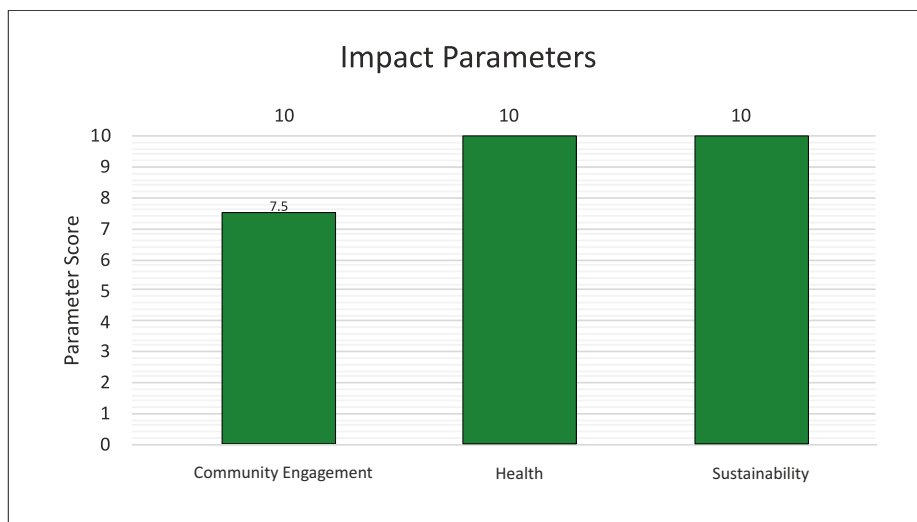
BEFORE

- Due to lack of water, the toilets were not cleaned properly.
- The old toilets were unhygienic.
- Build quality of the old toilets were not good

AFTER

- New and clean toilets
- Sufficient water is available in the toilets
- Toilet are very hygienic
- The new toilets constructed are very airy and large sized

PROJECT SCORE



The project is evaluated on parameters of community engagement, health and sustainability. The project is given an overall score of **9.17 out of 10** based on assessment parameters.

CONCLUSION

The project is a great success and it was observed that the users and beneficiaries conveyed their profound gratitude for much needed support to them by MRPL, which is proof of successful and meaningful implementation of CSR projects by MRPL.

Project - Infrastructural development for SC/ST Community through Concerned Govt. Department

INTRODUCTION

Under CSR project of MRPL, hostels have been set up in various campuses to provide comfortable accommodation to the for SC/ST Community students pursuing studies. The hostel provides comfortable accommodation and environment to students, free of cost. Students mostly belong to lower stratum of the society from different states. Scheduled castes are those castes/races in the country that suffer from extreme social, educational and economic backwardness arising out of age-old practice of untouchability and certain others on account of lack of infrastructure facilities and geographical isolation, and who need special consideration for safeguarding their interests and for their accelerated socio-economic development. These communities were notified as Scheduled Castes as per provisions contained in Clause 1 of Article 341 of the Constitution.

Various scholarships are provided to the students belonging to the Scheduled Castes (SCs) to ensure that education is not denied due to the poor financial condition of their families. These Scholarships are provided at both pre-matric and post-matric levels. Scholarships are also provided to SC students for obtaining higher education, including premier educational institutions.

The objectives for educational advancement of SCs and STs include improving the literacy rate, female literacy rate, universal education, improving the educational status, increasing the enrolment rate, reducing dropout rate, repetition and retention rate at all levels, improving the pass percentage, improving the performance in competitive examinations, improving the quality of teaching and encouraging the integration of ST with the rest of the society.

The strategies for achieving these objectives include equipping all the schools/ hostels with necessary infrastructural facilities, providing basic amenities to all schools, opening of new ADW/ GTR schools/ hostels, upgradation of schools, special coaching, educational concessions, increasing the coverage under provision of incentives to girl students etc.

OBJECTIVES

- ❖ Improving standard of living of SC & ST
- ❖ Reducing the incidence of poverty among SC & ST
- ❖ Improving the employment opportunities for educated youth of poor families.
- ❖ Improving the educational status, enhance the entrepreneurial capacity.
- ❖ Improving the living conditions

STRATEGIES

- ❖ Improving the literacy rate
- ❖ Reducing the gap in poverty percentage between SC, ST and other sections of the population
- ❖ Improving the health and nutritional status
- ❖ Creating awareness on the schemes
- ❖ Ensuring removal of disparities
- ❖ Increasing the enrolment rate
- ❖ Providing opportunity to SC women to form Self Help Group

IMPACT

The hostel provides an excellent environment with modern facilities such as solar light, UV RO water plant, study table, Sleeping beds, chairs. The students are quite satisfied with the facilities provided. All the facilities in the hostel are in proper working condition. Hostel has two types of shared rooms. Some are shared between two students and others are shared between three students. The rooms are large enough to accommodate two to three students. Students from different geographical backgrounds share the rooms.

Rooms are cleaned everyday while the washrooms and toilets are cleaned twice a day. Students are extremely satisfied with the upkeep and maintenance of the hostel. Students expressed their great satisfaction on the quality of food. The hostel is very well ventilated. The students staying for last one year are very much attached with the hostel. The freshers are in awe of the infrastructure. The students expressed that the wardens are very co-operative and helpful.

POSITIVE IMPACT OF THE PROJECT

- ❖ The hostel provided excellent study environment with good facilities.
- ❖ The rooms are cleaned every day
- ❖ Improved education for SC/ST community students
- ❖ All infrastructure is of excellent quality
- ❖ In Covid period, students have left for their homes so infrastructure is not in use at present
- ❖ Some Hostels were converted into covid centres at the peak of Covid
- ❖ Provision of Coir bed & Pillow, Solar Street light, Solar Light, Water Purifier, Computer with UPS, Study Chair with Writing pads for all hostels. This has greatly improved the standard of living and conditions.
- ❖ Strengthened the monitoring mechanisms through teachers and hostel incharges

RECOMMENDATION

The project has benefitted the area in the form of improvement in Education system for lower stratum SC/ST Community students pursuing studies. It has also improved awareness about Education in general. Providing Infrastructural development for SC/ST Community is relevant to the needs of beneficiaries and has led to positive impact on the Education and largely increased enrolments. It is recommended to MRPL to increase participation in such large scale projects in the future.

SUSTAINABILITY

Hostel Wardens and support staff have taken over the complete maintenance and upkeep of the facility and shall continue to do so in the future.

KEY POINTS OF STAKEHOLDERS CONSULTATIONS

As informed by the beneficiaries, Infrastructural development for SC/ST, Community Beds, Pillows, solar panel, Mattresses are very helpful to students. The key objective of the project was to promote quality education and provide comfort to students.

BEFORE & AFTER PROCESS CHANGERULE

BEFORE

- Poor quality beds for students
- No proper mattress and pillow
- No proper Chairs
- No proper Lighting System
- No RO water System

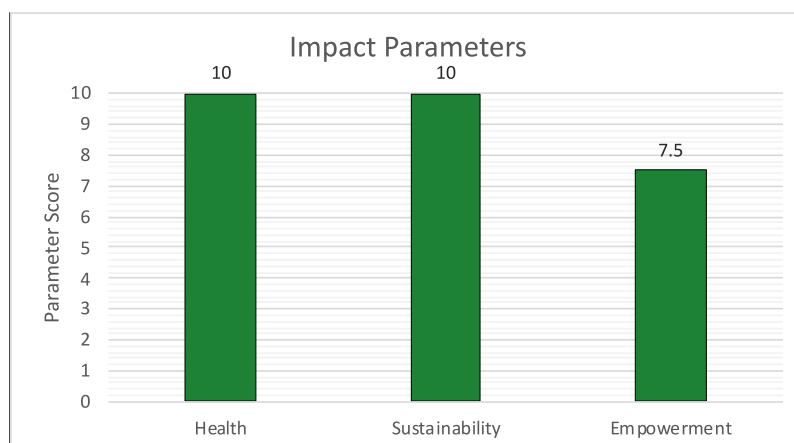
AFTER

- Enough high quality bed for all students
- All equipments with latest and good facilities
- Tables, Chair, Mattresses, RO provided in all hostels
- Proper Solar light system for all Hostels

INFRASTRUCTURE FACILITIES PROVIDED FOR HOSTELS BY MRPL

Infrastructural development for SC/ST Community through Concerned Govt. Department

Sl. No.	Hostels	Coir bed & Pillow	Solar Street light	Solar Light	Water Purifier	Computer with Ups	Study Chair with Writing pad
1	Pre metric Boys Hostel, Yedapadavu Mangalore	25	3	1	1	2	40
2	Post metric boys hostel, Kadri (Kodical)	25	3	1	1	2	40
3	Post metric boys hostel, Kadri	25	3	1	1	2	40
4	Post metric Girls Hostel, Marigudi	25	3	1	1	2	40
5	Premetric Boys Hostel, Moodabidri	25	3	1	1	2	40
6	Premetric Girls Hostel, Bannadka Moodabidri	25	3	1	1	2	40
7	Premetric Boys Hostel, Kadri	25	3	1	1	2	40
8	Premetric Boys Hostel, Bajpe	25	3	1	1	2	40
9	Premetric Boys Hostel, Mulki	25	3	1	1	2	40
10	Premetric Boys Hostel, Modamkapu	25	3	1	1	2	40
11	Premetric Girls Hostel, Panemangalore	25	3	1	1	2	40
12	Premetric Boys Hostel, Kanyana	25	3	1	1	2	40
13	Ashrama School, Bantwal	25	3	1	1	2	40
14	Pre metric Boys Hostel, Kombettu	25	3	1	1	2	40
15	Pre metric Girls Hostel, Harady	25	3	1	1	2	40
16	Pre Metric Boys Hostel, Konalu	25	3	1	1	2	40
17	Pre metric Boys Hostel, Kadaba	25	3	1	1	2	40
18	Premetric Girls Hostel, Belthangady	25	3	1	1	2	40
19	Postmetric Boys Hostel, Belthangady	25	3	1	1	2	40
20	Premetric Girls Hostel, Venoor	25	3	1	1	2	40
21	Premetric Boys Hostel, APMC Sullia	25	3	1	1	2	40
22	Premetric Girls Hostel, Taluk Panchayath	25	3	1	1	2	40
23	Premetric Girls Hsotel, Ajjavara	25	3	1	1	2	40
24	Postmetric Boys Hostel, Sullia	25	3	1	1	2	40

PROJECT SCORE

The project is evaluated on parameters of employee engagement, health, sustainability and empowerment. The project is given an overall score of **9.2 out of 10** based on assessment parameters.

CONCLUSION

The project is a great success and will enable the students to access. Better facilities. The students and administration are thankful to MRPL for this invaluable contribution and ensure to make the best usage of these provisions.

Project - Providing Mid-day meal to the Students of Government and Govt. Aided Schools in Dakshina Kannada District through Akshaya Patra Foundation.

Project: Providing Mid-day meal to the Students of Government and Govt. Aided Schools in Dakshina Kannada District through Akshaya Patra Foundation

SUMMARY

The Akshaya Patra Foundation is a non-profit organisation in India that operates a school lunch programme. The organisation was established in 2000. It aims to counter classroom hunger and aid in education of children. It feeds 1,800,907 children every day across India.

Vision

No Child in India Shall be Deprived of Education because of Hunger

Mission

To feed 5 Million Children by 2025 through our Mid-Day Meal Programme, the attempt is to feed millions of children in India who lack the means, but, have the zeal to learn and achieve. By feeding them one wholesome meal a day, the organization gives them the nourishment and motivation they need to pursue an education for a better future. It is an endeavour to reach out to every child at the grass root level of the society.

PROJECT INTRODUCTION

MRPL has supported Mid-day meal to the Students of Government & Govt. Aided Schools in Dakshina Kannada District through Akshaya Patra Foundation. The initiative has been very impactful in Dakshina Kannada District Schools.

While the Government provides partial support per child per day, the balance is covered by MRPL for 2500 students in schools of Dakshina Kannada District. MRPL's contribution to the programme is crucial in sustaining the MDM in select schools and provisioning of good quality meals.

The Mid Day Meal initiative was conceived in June 2000 by The Akshaya Patra Foundation with a vision that "No child in India shall be deprived of education because of hunger." With a desire to serve food to those in need, Akshaya Patra envisioned the Mid-Day Meal project in schools which also served the underprivileged children. After the success of the programme in Karnataka, it was expanded to other parts of the country as a public-private partnership. The Central and State Governments as well as individual and institutional funders have joined hands in implementation of Mid-Day Meal in schools covered by Akshaya Patra. The objectives of the Mid-Day Meal Scheme are to reduce classroom hunger and increase school enrolment and attendance, thereby improving socialisation among castes and addressing malnutrition. This is also expected to empower women through employment.

The introduction of Akshaya Patra in the Mid-day Meal (MDM) Scheme of the Government has resulted into savings of food grains allocated for the schools. Since Akshaya Patra supplies food based on the expected actual attendance instead of enrolments, more optimum allocations are made.

IMPACT

The biggest impact area of the project is the health of the school children. The entire cooking and delivery process in the Akshaya Patra project has been designed such that the nutritive value of the food is maximised, based on a basic set of guidelines prepared by a body of nutrition experts covering food preparation, storage and supply. The processes are not only standardised but have also been quality tested and certified by ISO. This ensures that hygienic and nutritious food reaches the children. This impact on health was observed to be particularly high on children from very poor families.

Moreover, cooking for the MDM, when carried out by the school authorities, was done using fuel-wood, which is not only difficult to source but is also a polluting source of energy. Akshaya Patra cooking is done through steam generated by boilers that run on gas, which is environmentally more benign and ensures a cleaner ambience in the school premises.

POSITIVE IMPACT OF THE PROJECT

- ❖ Increased school enrolment and attendance.
- ❖ Helps avoid classroom hunger.
- ❖ Improved socialization among caste.
- ❖ Women empowered through employment.
- ❖ Quality of food is at par at all locations.

RECOMMENDATIONS

- ❖ To ensure increase the enrolment in the schools of the children who belong to disadvantaged sections of the society.
- ❖ To give nutritional support to the children studying in the elementary stage, especially in the drought-affected areas.
- ❖ To address hunger and malnutrition and improve socialisation among different sections and castes.

SUSTAINABILITY

Children in government schools in Karnataka are provided cooked mid-day meals. The aim of this initiative is to provide a nutritious meal to school children (who mostly hail from the lower economic strata) to enhance their nutritional status and as an incentive to minimize dropouts. Akshaya Patra Foundation has taken over the Mid-day meal facility and upkeep of the facility and shall continue to do so in the future.

KEY POINTS OF STAKEHOLDERS CONSULTATIONS - PROVIDING MID-DAY MEAL TO THE STUDENTS OF GOVERNMENT & GOVT.AIDED SCHOOLS

Components of the project	School	Stakeholders Students	Akshaya Patra
Mid-day Meal	The schools were satisfied with the nutritive value of food. However school teachers and principals shared that more variety could be added to the menu. With respect to taste of the food, there was a mixed response. Schools where students were not completely happy with the taste shared that it was because of preference for specific local manner of cooking among different groups or other communities. All schools shared that children received hot meals every day.	There was mixed response from students on the taste and variety of food. Students who ate regularly and for whom the Mid-Day Meal was either the first meal or best meal of the day liked the taste of the food. Some students liked taste of particular items. More variety in menu was desired by students.	The team was aware of the preferences for particular types of tastes and items in the menu. However following challenges limited the teams' efforts in fulfilling all beneficiaries preferences: -Limitation of funds -Need to maintain the nutritive value of food than giving preference to taste in the cooking method -Diversity in the taste preferences of the beneficiaries belonging to different communities and regions.
Sensitization and exposure to the Project	Need for sensitization and more awareness on the project among teachers, parents as well as students will help in converting the reluctant parents and children to eat MDMs provided by Akshaya Patra-MRPL. Many children spend meagre resources on unhealthy food instead of eating the MDM, as they and their parents are not aware of the importance of healthy diet.		Akshaya Patra team has already envisaged a separate awareness creation and sensitization component in the project. However, due to inadequate funds, it has not been implemented.
School management and former cooking staff			Akshaya Patra
Engagement of earlier MDM cooks under Akshaya Patra	The workers who were responsible for cooking food before Akshaya Patra's intervention continue to be engaged in the MDM as they ensure systematic serving of food to children. However, the challenge is ensuring the provision of their salaries on time.		Akshaya Patra continues to engage with the former cooking staff of the school to ensure that women are not displaced from their jobs due to Akshaya Patra's intervention and continue to receive their incomes.

BEFORE & AFTER PROCESS CHANGE

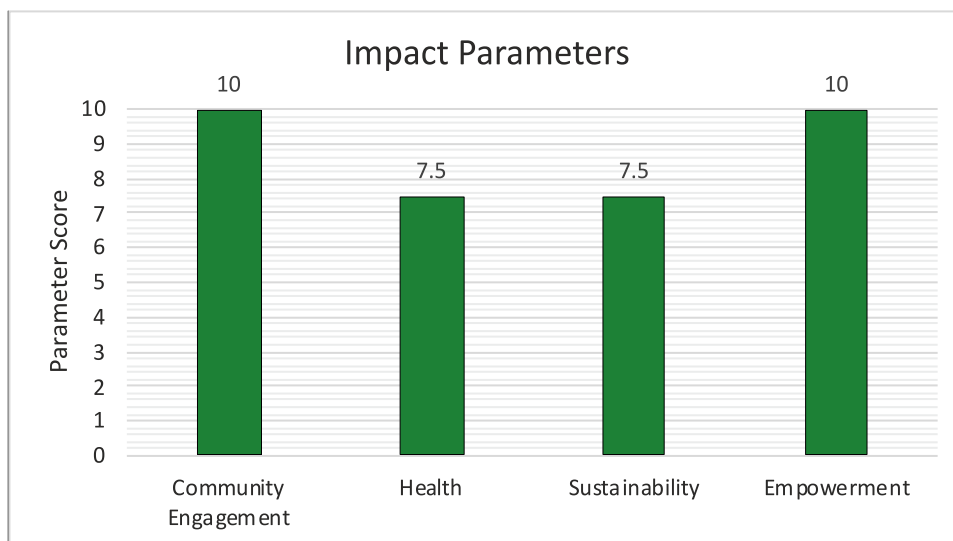
BEFORE

- It was found that almost one third of students came to school on the day of survey without having any breakfast or meal for lunch.
- Students do not attend school

AFTER

- Mid-day meal seems to have resolved this problem and for most of these students the meal served in the school was the first complete meal they received in a day.
- Increased numbers of attendance
- Healthy meal served

PROJECT SCORE



The project is evaluated on the above parameters. The project is given an overall score of 8.75 out of 10 based on assessment parameters.

CONCLUSION

MRPL's contribution has been able to fill the last mile gap in contributing towards the national goals envisaged under the Mid-Day Meal Scheme of the Central Government. The project is a grand success and has benefitted large numbers of students and their families.

Project - Construction of Class room for St. Ignatius School, Moodabidri

SUMMARY

St. Ignatius UPS, Kadalakere was established in 1923. St. Ignatius UPS, Kadalakere is a Co-ed located at Moodabidri, Moodabidre in Dakshina Kannada district of Karnataka, India. It is affiliated with Karnataka Board of the Pre-University Education (PUE).

It believes in overall development of the students by balancing academics, extracurricular activities, and sports in the state of art infrastructure within the campus. The school offers playgrounds for cricket, basketball, volleyball, table tennis, badminton and other sports. The admission process for this School starts every year in the month of May and School starts in July.

St. Ignatius UPS, Kadalakere School believes in development of the students by balancing academics, extracurricular activities, and sports in the state of art infrastructure within the campus. Provides following facilities:

- ❖ Classroom
- ❖ Library
- ❖ Playground
- ❖ Bus Transport
- ❖ Computer Laboratory
- ❖ Science Laboratory

PROJECT INTRODUCTION

MRPL has Construction of class room for St. Ignatius School, Moodabidri. The initiative has been very impactful for School students.

The objective was to meet the infrastructural requirements of the school based on their request. Given the strength of students coming to school, the infrastructure was unmatched to the requirements and hence additional rooms were required as due to lack of these, two classes were held in a single room. Hence room convenience is provided to them as well as to increase the attendance of students.

IMPACT

- ❖ The building constructed from the financial support of MRPL is helping the school authorities in various ways. The construction of 10 rooms and toilet were done. One of the rooms is used as office room where all the clerical work is done.
- ❖ Tremendous changes have been seen after the implementation of the CSR programme in this school. Students especially from underprivileged background are getting the benefits and will be benefitted in the future.
- ❖ Building constructed has ramps built in the school which would help specially abled persons to travel easily.
- ❖ The constructed building has all the requisites such as wiring, windows and doors. The rooms constructed were spacious and proper flooring was done.

POSITIVE IMPACT OF THE PROJECT

- ❖ The construction quality was found to be good.
- ❖ Construction of class room's facility for St. Ignatius School, Moodabidri is very helpful to students and school staff. Increasing the attendance and Students capacity.
- ❖ It was observed that the users and beneficiaries conveyed their profound gratitude for the much needed support to them by MRPL, which is proof of successful and meaningful implementation of CSR projects by MRPL
- ❖ Classrooms are ready but in Covid pandemic, students are not able to attend physical classes.

RECOMMENDATIONS

The goal of infrastructure development in the school is based on the belief that availability of basic infrastructure has a direct impact on school attendance, motivation to students, staff and parents/guardians as well as academic performance of the students. Also, the school has various activities where each needs a separate room since if two classes are taken in one room, it affects the focus of children as well as is a distraction for teachers. Hence an optimum infrastructure is a primary requirement to any educational institution. MRPL is recommended to undertake similar development activities in the future.

SUSTAINABILITY

The Construction of class room for St. Ignatius School, Moodabidri ensure hygiene standards are maintained. St. Ignatius School has taken over the complete maintenance and upkeep of the facility and shall continue to do so in the future.

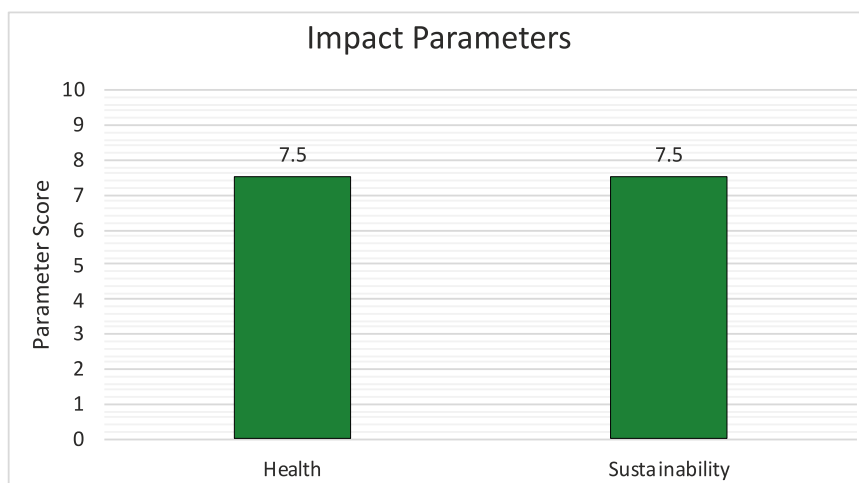
KEY POINTS OF STAKEHOLDERS CONSULTATIONS - CONSTRUCTION OF CLASS ROOM

The teachers and staffs of the school congratulate MRPL to commence such a programme for the society as it is a blessing for the underprivileged children. Undoubtedly, constructive work for the betterment of students must be encouraged so that others also get benefitted from this priority programme. MRPL should extend such programme in other schools to bring about a change.

BEFORE & AFTER PROCESS CHANGE

BEFORE	AFTER
● Insufficient class rooms available ● Students were very uncomfortable with taking a class due to lack of space ● Students do not attend regularly	● The new classrooms are very comfortable and have all facilities. ● Clean and Hygienic classrooms ● Increased numbers of attendance

PROJECT SCORE



The project is evaluated on parameters of health and sustainability. The project is given an overall score of **7.5 out of 10** based on assessment parameters.

CONCLUSION

The project is a great success and will enable the school to further progress in its mission. The students, staff and administration are thankful to MRPL for this invaluable contribution and ensure to make the best use of these new facilities provided.

Project - Installation of Sanitary Napkin Vending Machine and Incinerators at High Schools and Colleges of Raichur and Yadgiri District

Project: Installation of Sanitary Napkin Vending Machine and Incinerators at high schools and colleges of Raichur and Yadagir District

INTRODUCTION

In the districts of Yadgir and Raichur in the state of Karnataka, MRPL has installed Napkin Vending Machines and Incinerators in 329 Government and Government Aided Schools and Colleges.

As per study in India only 12% of women uses Sanitary Napkins and the percentage is much lower in Rural Areas. It is observed that 20 percent of girls did not use toilet in school during menstruation for fear of staining it, and more than two out of five girls had no idea about menstruation when they started with their periods. Of those who had some idea, only 16 percent received any information in school.

There is a potential loss on economic and social front to India as a result of girls dropping out of school due to menstrual health issues and thus getting into early marriages and early pregnancies. More girls in schools means universal primary education and increased gender parity while contributing to eradication of poverty. Educated mothers also contribute to improved maternal health and reduction in child mortality. Hence, educating and creating awareness for use of Sanitary Napkins and as well provide easy access to Sanitary Napkins using Vending Machine is of prime need.

PROJECT DETAILS

To educate and create awareness of use of Sanitary Napkins and provide easy access to Sanitary Napkins by installation Simple Vending Machines with replenishment program are installed in Rural Schools and Colleges so that Girls/Women get habituated to use this Sanitary Napkins for their better health care.

Secondly, to solve the problem of sanitary napkin disposal by installing incinerators which shall reduce spread of infection due to unhygienic disposal of sanitary napkins, reduce environmental pollution due to no biodegradable sanitary napkins and reduce clogging of public drainage system due to spongy nature of napkins.

PROBLEM STATEMENT

As per study in India only 36% of girls use Sanitary Napkins all over India. It's observed that 20 percent of girls didn't use toilet in class during menstruation for fear of staining it, and over 2 out of 5 girls had no idea about menstruation after they started with their periods. Of those who had some idea, only 16 percent received any information in class. There is a

possible loss on economic and social front to India; as a result many of the girls are not able to share their menstrual health issues and thus stepping into early marriages and early pregnancies. More girls in schools means universal primary education are not at all educating the girls about periods and what all things we need to take care while period's stage comes. Educated mother should contribute and educate her child of taking precautions using of sanitary napkins. Hence, educating and creating awareness to be used of Sanitary Napkins and furthermore provide quick access to Sanitary Napkins using machine is of prime need. Thus in India some places the ladies uses clothes rather than sanitary napkins the employment of garments may causes health issues. If the girls come to the menstruating age the families are making their child to drop of colleges and getting married, 79 percent of women and girls are not alert to menstrual hygiene practice.

OBJECTIVE

The main objective of the sanitary vending machine is to get the hygiene sanitary napkins with reasonable cost and it can be easily fit at any place without any acquiring large amount of space .The napkins should be reachable to all ladies in every place where they are working and going. It is to make a country hygiene and safe free napkins.

- ❖ The vending machines were being installed to make sure a good and convenient mode for any time access to the sanitary napkins.
- ❖ To design and fabricate a transportable machine using simple techniques
- ❖ The aim is to country safe and hygienic sanitary practices among the girls
- ❖ To supply portable sanitary napkins at economical cost
- ❖ To develop modelling and simulation.

Installation of Sanitary Napkin Vending Machine and Incinerators at High schools and colleges of Raichur and Yadgir District

RAICHUR DISTRICT

Sl. No	BLOCK NAME	SCHOOL ID	SCHOOL NAME
1	Raichur	29060716609	Adarsh Vidyalaya Rmsa Yeramaras
2	Raichur	29060711601	Government Higher Primary School Upgraded Rmsa Sagamakunta
3	Raichur	29060716401	Government High School Askihal
4	Raichur	29060702602	Government High School Devanaplli
5	Raichur	29060704603	Government High School Gunjalli
6	Raichur	29060716386	Government High School Siyatalab
7	Raichur	29060705906	Government High School Urdu Idapanur
8	Raichur	29060712004	Government High School Baidoddi
9	Raichur	29060703405	Government High School Idapanoor
10	Raichur	29060716903	Government High School Keb
11	Raichur	29060703403	Government High School Panchamukhi
12	Raichur	29060712003	Government High School Singanodi
13	Raichur	29060716521	Government High School Station Bazar Raichur
14	Raichur	29060712304	Government High School Talamari
15	Raichur	29060719806	Government High School Yermarus Camp
16	Raichur	29060713901	G M Higher Primary School Yaragera Upgraded RMSA
17	Raichur	29060719602	Government Higher Primary School Yaramarus
18	Raichur	29060717808	Government High And Pu College Munnarwadi, Raichur
19	Raichur	29060704111	Government PU College Gillesugur
20	Raichur	29060713603	Government PU College Yapaladinni
21	Raichur	29060716518	Government PU College for Girls High School Section Station Road Raichur

YADGIR DISTRICT

Sl. No	BLOCK NAME	SCHOOL ID	SCHOOL NAME
1	Yadgir	29331028408	Government High School Station Bazar Yadgir
2	Yadgir	29330707804	Government High School Khanapur
3	Yadgir	29331000701	Government High School Rmsa Arakera K
4	Yadgir	29331005403	Government HPS Urdu Kadechur (Rmsa)
5	Yadgir	29331011009	Government High School Saidapur
6	Yadgir	29331001511	Government High School Balichakra
7	Yadgir	29331005404	Government High School Kadechur
8	Yadgir	29331010806	Government High School Ramasamudra
9	Yadgir	29331026207	Government JR College Yadagir
10	Yadgir	29331026208	Government JR College Girls
11	Yadgir	29330710905	Government High School Naikal
12	Yadgir	29330708803	Government High School Tadibidi

POSITIVE IMPACT OF THE PROJECT

- Improvement in health and hygiene and has also improved awareness about the usage of Sanitary Napkin.
- Increase the school attendance
- Awareness about usage of Sanitary Napkin
- Continued trainings and awareness campaigns for removal of stigmas attached.

RECOMMENDATION

The project has benefitted the area in the form of improvement in health and hygiene and has also improved awareness about the usage of Sanitary Napkin. The Installation of Sanitary Napkin Vending Machine and Incinerators program of MRPL is relevant to the needs of beneficiaries and has led to positive impact on the health and hygiene and largely, moving towards achieving the physical target set. It is recommended to MRPL to increase participation in such large scale community beneficial projects.

SUSTAINABILITY

The facility is use basis to ensure hygiene standards are maintained. High schools and colleges of Raichur and Yadgir District have taken over the complete maintenance and upkeep of the facility and shall continue to do so in the future.

KEY POINTS OF STAKEHOLDERS CONSULTATIONS

As informed by Students, Provision of sanitary napkin vending machine in schools has been very helpful to teenage girls. It has improved the attendance levels of girls during menstruation. This has enhanced their health, hygiene and improved class presence and performance.

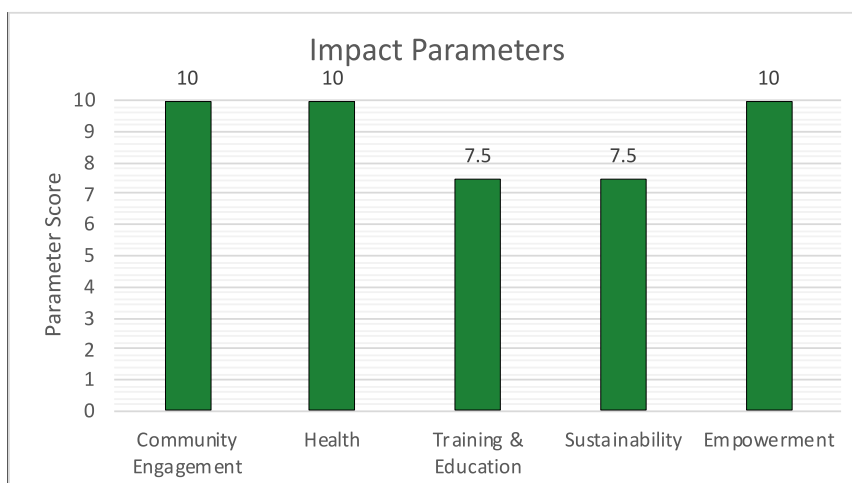
BEFORE & AFTER PROCESS CHANGE
BEFORE

- No Sanitary Napkin Vending Machine in school
- Low awareness level about sanitary napkin
- Decreased attendance level in school

AFTER

- Proper installation of sanitary vending machine in school
- Awareness about the sanitary napkin
- Increase in attendance

PROJECT SCORE



The project is evaluated on parameters above. The project is given an overall score of **9.0 out of 10** based on assessment parameters.

CONCLUSION

The project is a great success and will enable the schools to further progress in its mission. The students, staff and administration are thankful to MRPL for this contribution and pledge to continue supporting this project wholeheartedly.

Project - Restoration and Development of Kempaje Lake in Moodabidri by Rotary Charitable Trust, Moodabidri

SUMMARY

Rotary started with the vision of one man — Paul Harris. The Chicago attorney formed the Rotary Club of Chicago on 23 February 1905, so professionals with diverse backgrounds could exchange ideas and form meaningful, lifelong friendships.

Over time, Rotary's reach and vision gradually extended to humanitarian service. Members have a long track record of addressing challenges in their communities and around the world.

Rotary is a global network of 1.4 million neighbors, friends, leaders, and problem-solvers who see a world where people unite and take action to create lasting change — across the globe, in our communities, and in ourselves.

Solving real problems takes real commitment and vision. For more than 110 years, Rotary's people of action have used their passion, energy, and intelligence to take action on sustainable projects. From literacy and peace to water and health, we are always working to better our world, and we stay committed to the end.

MISSION

Provide service to others, promote integrity, and advance world understanding, goodwill, and peace through our fellowship of business, professional, and community leaders.

VISION

See a world where people unite and take action to create lasting change — across the globe, in our communities, and in ourselves.

INTRODUCTION

MRPL has contributed towards construction, restoration and development of Kemplaje Lake in Moodabidri by Rotary Charitable Trust, Moodabidri. The project of Restoration and Development of Kemplaje Lake in Moodabidri, taken up as a part of Prakrithi Samrakshan programme has been useful in holding the rain water and increasing the groundwater level in the region. This has resulted in abundant availability of water in the surrounding area both for domestic and agricultural purpose.

Economic benefits of Kemplaje Lake are:

- ❖ Provides water for irrigation
- ❖ Provide water for drinking
- ❖ Assists in fishing
- ❖ Aids in tourism and recreation

IMPACT

The objective has been to create traditional water harvesting structures along with developing natural habitat for humans with local communities and village elders. The Lake has been restored and is of essential use to the village and residents of the area. It is also a model for further restorations and environmental conservation efforts.

During the rainy season, it prevents flooding and during the dry season it helps to maintain the flow of water. The lake moderates the climate of the surrounding areas and maintains an aquatic ecosystem which helps in developing tourism as well.

Further, the Lake also helps support rich and diverse flora and fauna, with some species relying on these habitats for their entire lifecycle.

VILLAGERS PROBLEMS ADDRESSED

Rainwater harvesting and recycled wastewater also allows reducing scarcity and easing pressures on groundwater and other natural water bodies. Groundwater recharge, that allows water moving from surface water to groundwater, is a well-known process to prevent water scarcity.

- ❖ Recycled Wastewater.
- ❖ Improved Irrigation and Agriculture Water Use.
- ❖ Water abundance.
- ❖ Efficient resource usage.
- ❖ Rain Water Harvesting.

THE DETAILED PROJECT REPORT

A feasibility study was conducted to investigate the flora and fauna, hydrogeological conditions, socioeconomic characteristics, topography, meteorology, point and nonpoint sources of pollution, physical components and environmental impact of the pollution on the local community. The parameters assessed include the sources of water, rainfall, water and soil quality, annual runoffs, temperature, water loss, flood discharge and so on. The interpretation of the findings shaped the planning, adoption of suitable remediation techniques and resource allocation for the revival of Kemplaje lake.

After the rejuvenation, there is no mixing of rainwater and sewage. The evaporation and percolation are balanced in such a way that during the rainy season it will be full, during winter it will be at 70% capacity, and in summer, the water level will be at 50%, to maintain a proper water cycle. In addition, the native flora and fauna has been restored to support the local biodiversity, by planting of 100s of different types of saplings to provide shelter and food to birds and small animals.

STAKEHOLDER ENGAGEMENT

A multi sectorial convergence approach had been espoused to bring in government agencies, residents, activists and elected representatives for successful project delivery. The subject-matter expertise and actions of the teams from Rotary have eminently contributed to the project outcomes. An employee volunteering initiative of Rotary has spearheaded several drives for plantation, cleaning and beautification of the areas around the lake.

GREENBELT DEVELOPMENT

Experts were roped in to develop a customised plan for biodiversity augmentation to create a hotspot brimming with plants, insects, birds and aquatic life. Indigenous species consisting of canopy trees, heterogeneous and aromatic plants and medicinal shrubs are used to create a natural perimeter around the lake.

PUBLIC INFRASTRUCTURE

Public open space is adequately added around the lake in the form of green area and walkways for physical activity, recreation and to generate a sense of belonging in the local residents. A waste segregation yard is maintained for effective solid waste management.

WATER QUALITY IMPROVEMENT

The pH of water is maintained between the appropriate levels of 6.5 and 8.5. The significant reduction of COD & BOD are indicative of the low level of organic pollutants in the water. Dissolved Oxygen (DO) level has increased to 2.9 mg/L from nil.

THE WAY FORWARD

Key partnerships with and continuing support from government agencies and community groups have immensely contributed to the success of this environmental initiative. The proof of concept, learnings and experience of the rejuvenation of Kemplaje Lake will significantly increase the efficiency with which we approach and manage the revival of more water bodies in the time to come. Rotary Foundation will continue to address the pressing social and environmental issues with strong community engagement and innovative solutions towards the fulfilment of UN Sustainable Development Goals.

POSITIVE IMPACTS OF THE PROJECT

- ❖ Natural development as a model.
- ❖ Traditional Water Harvesting measures.
- ❖ It was observed that the users and beneficiaries conveyed their profound gratitude for much needed support to them by MRPL, which is proof of successful and meaningful implementation of CSR projects by MRPL
- ❖ Provides water for irrigation.
- ❖ Proper lake functioning eases the impact of floods and droughts by eliminating these possibilities.
- ❖ It further helps enhance the natural beauty of the environment, thus helping to develop tourism and provide recreation facilities.

RECOMMENDATIONS

Rotary Charitable Trust, Moodabidri team appreciates the efforts of MRPL for its help towards Restoration and Development of Kemplaje lake facility which could be used by surrounding villages.

- ❖ MRPL may take up the similar task at different places and Rural within its catchment area creating a massive urge of public hygiene which is an essential requirement of a healthy population.
- ❖ It is also recommended that a wide publicity campaign be taken up to create awareness about Save and Conserve Water.

SUSTAINABILITY

Rotary Charitable Trust, Moodabidri along with Village head team have taken over the complete maintenance and upkeep of the facility and shall continue to do so in the future.

KEY POINTS OF STAKE HOLDERS CONSULTATIONS:

As inform by beneficiaries this project of Kemplaje lake is very beneficial to the villagers. In summer time, there is generally shortage of water in the village and water level in the lake used to be low. After restoration for water harvesting of Kemplaje lake, this problem has been solved. The residents are thankful to MRPL for its sincere efforts.

BEFORE & AFTER PROCESS CHANGE

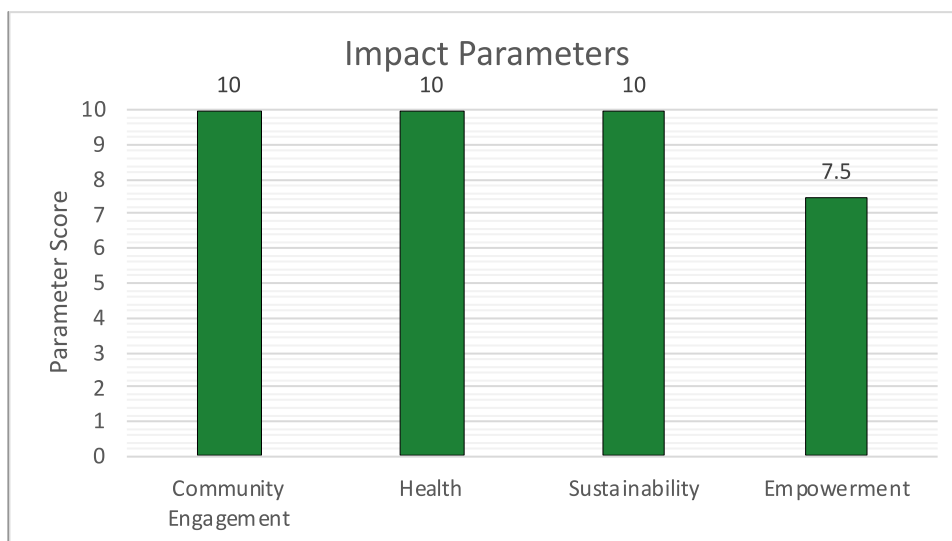
BEFORE

- Big challenge for villagers facing shortage of water
- Water loss owing to downstream irrigation during summer

AFTER

- No shortfall of water in villages
- Safe and clean water in lake
- Proper use and no shortfall in summers
- Natural beauty of the environment
- Helps in water irrigation
- Water recycling

PROJECT SCORE



The project is evaluated on parameters above. The project is given an overall score of 9.38 out of 10 based on assessment parameters.

CONCLUSION

The project is a great success and will enable the villagers to access clean water. The residents are thankful to MRPL for this invaluable contribution and pledge to ensure sustainability of this lake.

Details of CSR amount spent against ongoing projects for the financial year: 2021-22

ANNEXURE-II

(₹ in Lakhs)												
1	2	3	4	5		6	7	8	9	10	11	
Sl. No.	Name of the Project	Item from the list of activities in Schedule VII to the Act	Local area (Yes/No)	Location of the project		Project duration	Amount allocated for the project (₹ in Lakhs)	Amount spent in the current financial Year (₹ in Lakhs)	Amount transferred to Unspent CSR Account for the project as per Section 135(6) (₹ in Lakhs)	Mode of Implementation Direct (Yes/No)	Mode of Implementation - Through Implementing Agency	
				State	District						Name	CSR Registration number
1	Shiksha Samrakshan											
1	Construction of toilet & Bath Room for Govt. Polytechnic for Women, Bondel, Mangalore	Schedule VII of the Companies Act. Sl.No.ii promoting education	Yes	Karnataka	Dakshina Kannada	12 months	4.55	1.32	3.23	Yes	NA	NA
2	Construction of Classroom building and Science Laboratory at Govt. Junior College, Chikkamagaluru.	-do-	Yes	Karnataka	Chikka-magaluru	12 months	31.49	26.57	4.93	Yes	NA	NA
3	Infrastructure upgradation to the School including provision for construction of Rangamandira in first floor for Govt. Upgraded HP School, Balpa, Sullia Taluk.	-do-	Yes	Karnataka	Dakshina Kannada	12 months	57.85	0.00	57.85	Yes	NA	NA
4	Construction of toilet for Govt. High School, Navoor.	-do-	Yes	Karnataka	Dakshina Kannada	12 months	7.30	3.55	3.75	Yes	NA	NA
5	Construction of toilet block for DKZPHP School,Nadugodu.	-do-	Yes	Karnataka	Dakshina Kannada	6 months	8.00	4.69	3.31	Yes	NA	NA

6	Construction of Ladies Rest Room building with Washroom for Karnataka (Govt.) Polytechnic, Kadri Hill, Mangalore.	-do-	Yes	Karnataka	Dakshina Kannada	6 months	23.52	16.62	6.90	Yes	NA	NA
7	Construction of toilets for Govt Schools in Belthangady Taluk (55 Toilets)	-do-	Yes	Karnataka	Dakshina Kannada	6 months	58.75	33.68	25.07	Yes	NA	NA
8	Construction of Additional classrooms for DKZHP School, Muchhuru, Mangalore.	-do-	Yes	Karnataka	Dakshina Kannada	6 months	39.80	36.91	2.89	Yes	NA	NA
9	Construction of additional class room in first floor of Shree Narayanaguru P U College, Katipalla, Mangalore.	-do-	Yes	Karnataka	Dakshina Kannada	6 months	19.29	14.71	4.57	Yes	NA	NA
10	Construction of classroom and toilet block for Govt. Primary School, Kinnikambala, Mangalore.	-do-	Yes	Karnataka	Dakshina Kannada	6 months	29.98	11.69	18.29	Yes	NA	NA
11	Construction of Anganwadi Building for Soorinje Grama Panchayath.	-do-	Yes	Karnataka	Dakshina Kannada	6 months	16.52	15.28	1.24	Yes	NA	NA
12	Construction of School Building for DKZP Higher Primary School, Kilenjaru, Kuppepadavu, Mangalore Taluk.	-do-	Yes	Karnataka	Dakshina Kannada	6 months	42.52	39.66	2.87	Yes	NA	NA
13	Renovation of School Building for DKZP HP School, Paduperara, Kinnikambala, Mangalore Taluk.	-do-	Yes	Karnataka	Dakshina Kannada	6 months	5.13	3.76	1.37	Yes	NA	NA

14	Construction of Anganwadi for Pernude Grama Panchayath.	-do-	Yes	Karnataka	Dakshina Kannada	12 months	11.80	0.00	11.80	0.00	11.80	Yes	NA	NA
15	Construction of Anganawadies in Dakshina Kannada District by Dakshina Kannada Zilla Panchayath, Mangalore.	-do-	Yes	Karnataka	Dakshina Kannada	12 months	62.45	39.83	22.62	Yes	NA	NA	NA	NA
16	Construction of class room for Govt. Pre-University College (High School Section), Chelairu.	-do-	Yes	Karnataka	Dakshina Kannada	12 months	26.62	3.00	23.61	Yes	NA	NA	NA	NA
17	Financial assistance for construction of classroom for DKZP HP School Chandalike, Vitla.	-do-	Yes	Karnataka	Dakshina Kannada	6 months	8.80	0.93	7.88	Yes	NA	NA	NA	NA
18	Infrastructure development of Schools in and around Mangalore City Corporation area.	-do-	Yes	Karnataka	Dakshina Kannada	12 months	10.97	6.71	4.26	Yes	NA	NA	NA	NA
19	Construction of class room for DKZP Higher Primary School, Ananthady, Bantwal Taluk.	-do-	Yes	Karnataka	Dakshina Kannada	6 months	14.75	14.75	0.00	Yes	NA	NA	NA	NA
20	Construction of Anganawadi Building for Kadthala Grama Panchayath in Karkala, Udupi District.	-do-	Yes	Karnataka	Udupi	6 months	11.80	0.00	11.80	Yes	NA	NA	NA	NA
21	Construction of Indoor Stadium at Gonikoppal High School ground, Kodagu District.	-do-	Yes	Karnataka	Kodagu	12 months	41.30	0.00	41.30	Yes	NA	NA	NA	NA

22	Scaling up of Technology enabled education in Government High Schools In Yadgir District.	-do-	Yes	Karnataka	Yadgir	12 months	28.32	0.00	28.32	Yes	NA	NA
23	Construction of class rooms for DKZP HP School, Kuthethur, Mangalapete	-do-	Yes	Karnataka	Dakshina Kannada	12 months	29.50	11.45	18.05	Yes	NA	NA
24	Construction of Toilet for DKZP Higher Primary School, Daregudde, Moodabidre	-do-	Yes	Karnataka	Dakshina Kannada	12 months	13.50	5.23	8.27	Yes	NA	NA
25	Construction of Toilet for DKZP Higher Primary School, Kallige, Bantwala	-do-	Yes	Karnataka	Dakshina Kannada	12 months	15.00	3.07	11.93	Yes	NA	NA
II	Arogya Samrakshan:											
1	Organizing Artificial limb camp at Dandeli/Haliyal, Uttara Kannada Dist.	Schedule VII of the Companies Act. Sl.No.i	Yes	Karnataka	Uttara Kannada	6 months	5.90	0.00	5.90	Yes	NA	NA
2	Running a Free Primary Health Centre at Chelairu Rehabilitation Colony.	-do-	Yes	Karnataka	Dakshina Kannada	12 months	1.11	1.10	0.01	Yes	NA	NA
3	Running a Free Primary Health Centre at Kalavar.	-do-	Yes	Karnataka	Dakshina Kannada	12 months	6.12	1.23	4.90	Yes	NA	NA
4	Construction of OPD Block for Primary Health Centre, Mulki.	-do-	Yes	Karnataka	Dakshina Kannada	6 months	40.50	19.33	21.18	Yes	NA	NA
5	Running free Primary Health Centres at Chelairu and Kalavar including medicine	-do-	Yes	Karnataka	Dakshina Kannada	12 months	4.10	2.21	1.89	Yes	NA	NA

6	Excess budget recovery towards Govt. Lady Goschen Hospital, Mangalore	-do-	Yes	Karnataka	Dakshina Kannada	12 months	13.92	0.00	13.92	0.00	13.92	Yes	NA	NA
III	Bahujan Samrakshan :													
1	Construction of toilet Block at Panambur/ Tannirbhavi/Talapady in Mangalore Taluk.	Schedule VII of the Companies Act. Sl.No.i Sanitation	Yes	Karnataka	Dakshina Kannada	12 months	48.72	28.86	19.86	Yes	NA	NA	NA	NA
2	Construction of over head water tank at Gudigar, Yekkar.	Schedule VII of the Companies Act. Sl.No.i making available safe drinking water	Yes	Karnataka	Dakshina Kannada	6 months	13.06	10.66	2.40	Yes	NA	NA	NA	NA
3	Construction of Over head water tank at Adyapady, Kandavara Village.	-do-	Yes	Karnataka	Dakshina Kannada	6 months	11.80	0.00	11.80	Yes	NA	NA	NA	NA
4	Construction of Over head tank at Neermarga, Mangalore	-do-	Yes	Karnataka	Dakshina Kannada	6 months	9.75	0.00	9.75	Yes	NA	NA	NA	NA
5	Construction of Overhead water tank at Kakkebettu in Moodubidre Town Panchayath	-do-	Yes	Karnataka	Dakshina Kannada	12 months	47.20	0.00	47.20	Yes	NA	NA	NA	NA
6	Road in Sarpady Village in Bantwal Taluk.	Schedule VII of the Companies Act. Sl.No. x Rural Development	Yes	Karnataka	Dakshina Kannada	12 months	29.40	9.54	19.86	Yes	NA	NA	NA	NA
7	Construction of Sheet roofing training barrack for Karnataka State Fire Service, Mangalore Zone.	Schedule VII of the Companies Act. Sl.No. ii Employment enhancing vocational skills	Yes	Karnataka	Dakshina Kannada	12 months	52.16	0.00	52.16	Yes	NA	NA	NA	NA

8	Construction of Auditorium for Soorinje Grama Panchayath.	Schedule VII of the Companies Act. Sl.No. x Rural Development	Yes	Karnataka	Dakshina Kannada	6 months	29.31	11.10	18.21	Yes	NA	NA
9	GouSwarga - Construction of research center on cow breeding and products at Siddapura, Uttara Kannada.	Schedule VII of the Companies Act. Sl.No.iv Animal welfare	Yes	Karnataka	Uttara Kannada	8 months	25.05	1.71	23.33	Yes	NA	NA
10	Infrastructure Development of Bala Samudaya Bhavana.	Schedule VII of the Companies Act. Sl.No. x Rural Development	Yes	Karnataka	Dakshina Kannada	6 months	5.92	0.00	5.92	Yes	NA	NA
11	Construction of Community Hall in Huvina Hadagali, Bellary.	-do-	Yes	Karnataka	Bellary	12 months	254.88	0.81	254.07	Yes	NA	NA
12	Construction of Women Centre at Mudipu for Prajna Counselling Centre, Mangalore.	Schedule VII of the Companies Act. Sl.No.iii setting up homes and hostels for women and orphan	Yes	Karnataka	Bangalore	12 months	216.01	92.65	123.36	Yes	NA	NA
13	Construction of Samudaya Bhavana at Panambur Kulai Mogaveera Mahasabha (R)	Schedule VII of the Companies Act. Sl.No. x Rural development	Yes	Karnataka	Dakshina Kannada	12 months	80.24	46.72	33.52	Yes	NA	NA
14	Electrical Charges of Samudaya Bahvana Chellairu	Schedule VII of the Companies Act. Sl.No. x Rural development	Yes	Karnataka	Dakshina Kannada	12 months	0.22	0.06	0.16	Yes	NA	NA

15	Maintenance of Surathkal Flyover by Rotary Club of Surathkal Educational and Charitable Trust	Schedule VII of the Companies Act. Sl.No.i Promoting health care including Preventive Health care	Yes	Karnataka	Dakshina Kannada	12 months	4.25	3.54	0.71	Yes	NA	NA
16	Beach Development by Office of Regional Director Environment, Mangalore	Schedule VII of the Companies Act. Sl.No.i Sanitation	Yes	Karnataka	Dakshina Kannada	12 months	4.72	0.00	4.72	Yes	NA	NA
17	Construction of toilets for Balpa Grama Panchayath.	-do-	Yes	Karnataka	Dakshina Kannada	12 months	6.18	0.00	6.18	Yes	NA	NA
18	Drilling of Borewell and submersible pump, pipeline at Janata Colony, Surathkal (MCC Limited)	Schedule VII of the Companies Act. Sl.No.i Sanitation	Yes	Karnataka	Dakshina Kannada	12 months	16.52	0.00	16.52	Yes	NA	NA
IV	Prakruthi Samrakshan :											
1	Development of Public Park near Karkala Taluk Office, Karkala, Udupi District.	Schedule VII of the Companies Act. Sl.No. iv conservation of natural resources	Yes	Karnataka	Udupi	12 months	166.34	0.00	166.34	Yes	NA	NA
V	Samskruthi Samrakshan :											
1	Construction of Stage Building to Koti Chennaya Jodukare Kambala Samithi, Ontikatte, Moodabidri.	Schedule VII of the Companies Act. Sl.No.v Protection of art and culture	Yes	Karnataka	Dakshina Kannada	12 months	41.30	40.90	0.40	Yes	NA	NA
	Total					1754.17	563.80	1190.37				

Annexure III

Details of CSR amount spent against other than ongoing projects for the financial year: 2020-21

1	2	3	4	5		6	7	8	9	
Sl. No.	Name of the Project	Item from the list of activities in Schedule VII to the Act	Local area (Yes/No).	Location of the project		Amount spent for the project (₹ in lakhs)	Amount spent in the current financial Year (₹ in lakhs)	Mode of Implementation Direct (Yes/No)	Mode of Implementation - Through Implementing Agency	
				State	District				Name	CSR Registration number
1	Construction of toilets for P.U.College in Belthangady Taluk	Schedule VII of the Companies Act. Sl.No.ii promoting education	Yes	Karnataka	Dakshina Kannada	0.46	0.46	Yes	NA	NA
2	Construction of Auditorium for Govt. High School, Katipalla 5th Block, Krishnapura	-do-	Yes	Karnataka	Dakshina Kannada	0.72	0.72	Yes	NA	NA
3	Renovation of School Building for DKZPHP School, Boliya, Mangalore.	-do-	Yes	Karnataka	Dakshina Kannada	6.01	6.01	Yes	NA	NA
4	Construction of School Building for Govt. High School, Polali.	-do-	Yes	Karnataka	Dakshina Kannada	3.48	3.48	Yes	NA	NA
5	Extension of School Building for Vivekananda Aided Higher Primary School, Jalsoor.	-do-	Yes	Karnataka	Dakshina Kannada	23.66	23.66	Yes	NA	NA
6	Funding Construction of cultural hall for Shree Swamy Vivekananda High School Heggarane, Siddapura, Uttara Kannada District	-do-	Yes	Karnataka	Uttara Kannada	1.42	1.42	Yes	NA	NA
7	Infrastructure Development for BEM Aided High School Mangalore	-do-	Yes	Karnataka	Dakshina Kannada	7.08	7.08	Yes	NA	NA
8	Infrastructure for Besant National High School, Mangalore	-do-	Yes	Karnataka	Dakshina Kannada	4.96	4.96	Yes	NA	NA
9	Providing Sports material for Aided Shri Venkataramana Higher Primary School, Kulai	-do-	Yes	Karnataka	Dakshina Kannada	3.54	3.54	Yes	NA	NA

10	Medical Equipments for Moodabidri Samudya Health Centre	Schedule VII of the Companies Act. Sl.No.i Promoting Preventive Health care	Yes	Karnataka	Dakshina Kannada	25.96	25.96	Yes	NA	NA
11	Construction of toilet block for DKZPLP School,Kompadavu.	Schedule VII of the Companies Act. Sl.No.ii promoting education	Yes	Karnataka	Dakshina Kannada	2.50	2.42	Yes	NA	NA
12	Renovation of School building and Compound wall for DKZP HP School Daddi Badaga, Edapadavu, Mangalore.	-do-	Yes	Karnataka	Dakshina Kannada	7.12	6.95	Yes	NA	NA
13	Renovation of DKZP HP School Building, Mundabettu, Paduperara.	-do-	Yes	Karnataka	Dakshina Kannada\	4.43	4.24	Yes	NA	NA
14	Construction of toilets for Shree Marikamba Govt. High School and PU College, Sirsi, Uttara Kannada District.	-do-	Yes	Karnataka	Dakshina Kannada	16.46	16.39	Yes	NA	NA
15	Construction of Classroom for DKZP Higher Primary School, Nadumogaru, Maninalkur, Bantwal Taluk	-do-	Yes	Karnataka	Dakshina Kannada	23.60	23.44	Yes	NA	NA
16	Furniture for Govt. High School, Kallarakodi, Bantwala Taluk	-do-	Yes	Karnataka	Dakshina Kannada	3.65	3.63	Yes	NA	NA
17	Uniform and Note book distribution to Aided Higher Primary Schools in Kodikere, Chellairu and Jokatte	-do-	Yes	Karnataka	Dakshina Kannada	1.83	1.39	Yes	NA	NA
18	Procurement of ECG Machines for Janaushadhi Kendras	Schedule VII of the Companies Act. Sl.No.i Promoting Preventive Health care	Yes	Karnataka	Dakshina Kannada	11.80	11.28	Yes	NA	NA

19	Support for Construction of Community Hall by Dakshina Kannada Mogaveera Mahajana Sangha @ in Uchila, Udupi District.	Schedule VII of the Companies Act. Sl.No. x Rural Development	Yes	Karnataka	Udupi	249.37	249.37	Yes	NA	NA
20	Skill development programme by Keshava Seva Samithi, Bengaluru.	Schedule VII of the Companies Act. Sl.No. ii Employment enhancing vocational skills	Yes	Karnataka	Bengaluru	0.43	0.00	Yes	NA	NA
21	Swachh Surathkal - 2nd Phase cleaning programme	Schedule VII of the Companies Act. Sl.No.i Sanitation	Yes	Karnataka	Dakshina Kannada	3.00	3.00	Yes	NA	NA
22	Sponsorship to Mani Krishna Swamy Academy @, Surathkal for "Udayaraga", Programme	Schedule VII of the Companies Act. Sl.No.v Protection of art and culture	Yes	Karnataka	Dakshina Kannada	0.22	0.00	Yes	NA	NA
23	Construction of Ranga Mandira and Gymnasium Building for Kodikal Mogaveera Mahasabha, Kodikal, Mangalore.	Schedule VII of the Companies Act. Sl.No. x Rural development	Yes	Karnataka	Dakshina Kannada	11.83	10.07	Yes	NA	NA
	Total					413.53	409.35			

Annexure IV

Details of Unspent CSR amount for the preceding three financial year:

Sl. No	Preceding Financial Year	Amount transferred to Unspent CSR Account under section 135 (6) (₹ in lakhs)	Amount spent in the reporting Financial Year (₹ in lakhs)	Amount transferred to any fund specified under Schedule VII as per section 135(6), if any.		Amount remaining to be spent in succeeding financial years (₹ in lakhs)	
				Name of the Fund	Amount (in ₹).	Date of transfer	
1	2018-19	NA	3132	NA	NA	NA	5931
2	2019-20	NA	7609	NA	NA	NA	4651
3	2020-21	NA	2536	NA	NA	NA	2168

Annexure V

Details of CSR amount spent in the financial year for ongoing projects of the preceding financial year (s)

1	2	3	4	5	6	7	8	9
Sl. No	Project ID	Name of the Project	Financial Year in which the project was commenced	Project duration	Total amount allocated for the project (₹ in lakhs).	Amount spent on the project in the reporting Financial Year (₹ in lakhs).	Cumulative amount spent at the end of reporting Financial Year. (₹ in lakhs)	Status of the project - Completed / Ongoing.
1	NA	Development of Public Park near Karkala Taluk Office, Karkala, Udupi District.	2017-18	24 months	177.00	10.66	10.66	Ongoing
2	NA	Construction of Over head water tank at Adyapady, Kandavara Village.	2018-19	12 months	29.50	17.70	17.70	Ongoing
3	NA	Construction of Over head tank at Neermarga, Mangalore.	2018-19	12 months	29.00	19.25	19.25	Ongoing
4	NA	Construction of Anganawadies in Dakshina Kannada District by Dakshina Kannada Zilla Panchayath, Mangalore.	2019-20	12 months	148.00	11.80	85.54	Ongoing
5	NA	Infrastructure development of Schools in and around Mangalore City Corporation area.	2019-20	12 months	13.54	1.11	2.57	Ongoing
6	NA	Construction of Indoor Stadium at Gonikoppal High School ground, Kodagu District.	2019-20	12 months	59.00	17.70	17.70	Ongoing
7	NA	Running a Free Primary Health Centre at Chelairu Rehabilitation Colony.	2019-20	12 months	11.90	3.31	10.01	Ongoing
8	NA	Running a Free Primary Health Centre at Kalavar.	2019-20	12 months	10.33	1.23	5.43	Ongoing
9	NA	Construction of OPD Block for Primary Health Centre, Mulki.	2019-20	12 months	118.00	18.50	77.50	Ongoing
10	NA	Construction of Community Hall in Huvina Hadagali, Bellary.	2019-20	12 months	381.14	126.26	126.26	Ongoing
11	NA	Construction of Women Centre at Mudipu for Prajna Counselling Centre, Mangalore.	2019-20	24 months	316.00	99.99	99.99	Ongoing

12	NA	Construction of toilets for Balpa Grama Panchayath.	2019-20	12 months	9.16	2.99	2.99	Ongoing
13	NA	Construction of Samudaya Bhavana at Panambur Kulai Mogaveera Mahasabha (R)	2019-20	12 months	94.40	14.16	14.16	Ongoing
14	NA	Swachh Surathkal - 2nd Phase cleaning programme	2019-20	24 months	3.54	0.54	0.54	Ongoing
15	NA	Electrical Charges of Samudaya Bahvana Chellairu	2019-20	12 months	0.30	0.08	0.08	Ongoing

Note 1: CSR projects consisting of civil construction jobs commenced in the FY 2017-18 & 2018-19 and 2019-20 are still going on and will be completed during the FY 2022-23

Annexure -B

SC/ST/OBC REPORT - I

Annual Statement showing the representation of SCs STs and OBCs as on 1st January 2022 and number of appointments made during the Preceding Calendar Year 2021.

Name of the Public Enterprises: Mangalore Refinery and Petrochemicals Limited

Groups		Representation of SCs/STs/OBCs				Number of appointments made during the Calendar year 2021									
		(As on 01/01/2022)				By Direct Recruitment			By Promotion			By Deputation/Absorption			
		Total No. of Employees	SCs	STs	OBCs	Total	SCs	STs	OBCs	Total	SCs	STs	Total	SCs	STs
1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16
Group A	927	76	32	213	8	2	-	3	225	24	13	-	-	-	-
Group B	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Group C	1173	156	59	485	186	31	14	56	320	51	27	-	-	-	-
Group – D (Excluding Safai Karmacharis)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Group – D (Safai Karmacharis)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total	2100	232	91	698	194	33	14	59	545	75	40	-	-	-	-

No direct recruitment in Group B and Group D in MRPL

The data is of employees joined after MRPL become PSU i.e. 06/01/2005.

SC/ST/OBC REPORT - II

Annual Statement showing the representation of Scs, STs and OBCs as on 1st January 2022 and number of appointments made during the Preceding Calendar Year 2021.

Name of the Public Enterprises: Mangalore Refinery and Petrochemicals Limited

Pay Scales (In Rs)		Representation of SCs/STs/OBCs (As on 01/01/2022)				Number of appointments made during the Calendar year 2021									
		Total No. of Employees	SCs	STs	OBCs	By Direct Recruitment			By Promotion			By Deputation/Absorption			
						Total	SCs	STs	OBCs	Total	SCs	STs	Total	SCs	STs
1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16
60000-180000 (A)	164	16	12	43	3	1	-	1	-	-	-	-	-	-	-
70000-200000 (B)	106	08	01	36	2	-	-	1	-	-	-	-	-	-	-
80000-220000 (C)	246	20	04	61	2	-	-	1	-	-	-	-	-	-	-
90000-240000 (D)	155	17	05	40	-	-	-	-	-	-	-	-	-	-	-
100000-260000 (E)	90	12	07	13	1	1	-	-	-	-	-	-	-	-	-
120000-280000 (F)	47	01	02	09	-	-	-	-	-	-	-	-	-	-	-
120000-280000 (G)	72	01	01	09	-	-	-	-	-	-	-	-	-	-	-
120000-280000 (H)	31	-	-	02	-	-	-	-	-	-	-	-	-	-	-
120000-280000 (H2)	11	-	-	1	-	-	-	-	-	-	-	-	-	-	-
150000-300000 (I)	02	01	-	-	-	-	-	-	-	-	-	-	-	-	-
180000-340000 (Dir)	02	-	-	-	-	-	-	-	-	-	-	-	-	-	-
200000-370000 (MD)	01	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total	927	76	32	213	8	2	-	3	-	-	-	-	-	-	-

The data is of employees joined after MRPL become PSU i.e 06/01/2005.

ANNUAL STATEMENT SHOWING REPRESENTATION OF THE PERSONS WITH DISABILITIES IN SERVICE AS ON 1st JANUARY 2022 AND DIRECT RECRUITMENT / PROMOTION DURING THE CALENDAR YEAR 2021.

Name of the Public Enterprises: Mangalore Refinery and Petrochemicals Limited

Groups	Number of employees					Direct Recruitment-2021					Promotion - 2021					No. of Appointments Made by Promotions							
	(As on 01/01/2022)					No. of Vacancies Reserved					No. of Vacancies Reserved					No. of Appointments Made by Recruitment							
	Total	(a)	(b)	(c)	(d&e)	(a)	(b)	(c)	(d&e)	Total	(a)	(b)	(c)	(d&e)	Total	(a)	(b)	(c)	(d&e)				
1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16	17	18	19	20	21	22	23	24
A	927	01	03	08	-	-	-	-	-	8	-	-	-	-	-	-	-	-	225	-	-	1	-
B	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
C	1173	01	10	14	-	1	2	2	-	186	1	2	2	-	-	-	-	-	320	-	-	-	-
D/DS	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total	2100	02	13	22	-	1	2	2	-	194	1	2	2	-	-	-	-	-	545	-	-	1	-

No direct recruitment in Group B and Group D in MRPL

Data with effect from 06/01/2005 (date on which MRPL became a PSU)

- (a) Persons suffering from blindness or low vision
- (b) Persons suffering from deaf and hard of hearing
- (c) Persons suffering from locomotor disability or cerebral palsy, leprosy cured, dwarfism, acid attack victims and muscular dystrophy
- (d) Persons suffering from autism, intellectual disability, specific learning disability and mental illness
- (e) Persons suffering from multiple disabilities from amongst persons under clauses (a) to (d) including deaf-blindness.

Annexure -C

ANNUAL REPORT FOR THE YEAR ENDING 31st MARCH 2022 UNDER SECTION 21 OF THE SEXUAL HARASSMENT OF WOMEN AT WORKPLACE (PREVENTION, PROHIBITION AND REDRESSAL) ACT, 2013 (PRSH ACT)

Reporting Period	: FY 2021-22(01/04/2021-31/03/2022)
No. of Complaints received during the year	: NONE
No. of Complaints disposed off during the year	: NOT APPLICABLE
No. of cases pending for more than 90 days	: NONE
No. of Workshops or Awareness programs	:
	(i) The email/s sent to the Visitor/s continues to have the message -“Sexual Harassment is a prohibited Act in MRPL”.
	(ii) The General Terms and Conditions of all Work Orders issued by MRPL continues to have a mention about the statutory provisions w.r.t The Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act 2013, The Repealing and Amending Act 2016.
	(iii) Gender Sensitisation Training programs for Employees are organized during the year by MRPL.
	(iv) Awareness about Gender Sensitisation is also routinely imparted to newly joined employees during the induction programs by MRPL.
Nature of Action	: Annexure – 1

Annexure -1

The following action was taken by the employer in respect of the complaints received during the year:

No. of Complaints during the year	: NONE
Investigated and Completed by the Committee	: NOT APPLICABLE
Action Taken	: NOT APPLICABLE
Written Apology	:
Warning	:
Reprimand or Censure	:
Withholding of Promotion	:
Withholding of Pay Rise / Increment	:
Termination	:
Transfer	:
Undergo Counselling	:
Carrying out Community Service	:

Sd/-

PRESIDING OFFICER – INTERNAL COMMITTEE, MRPL

ANNEXURE-D
**CONSERVATION OF ENERGY, TECHNOLOGY ABSORPTION AND
FOREIGN EXCHANGE EARNINGS AND OUTGO**

[Section 134(3) (m) of The Companies Act, 2013 read with Rule 8(3) of The Companies (Accounts) Rules, 2014]

A. CONSERVATION OF ENERGY

Your company accords highest priority for energy conservation and takes proactive measures through Process Optimization, Continuous monitoring and implementation of several energy conservation measures.

i. Major Energy Conservation measures carried out for reduction of energy consumption during FY -2021-22 were,

S.NO	SCHEMES DESCRIPTION	SAVINGS IN MTOE/ANNUM
1	Thermal Efficiency improvement of CDU1 heater (BA 1001 and VDU- heater (BA 1101) by stack temperature optimization	2,360
2	CDU-1/2 Kero-interconnection for heat recovery in the Pre Heat Train exchanger leading to the heaters.	2,727
3	Economiser performance improvement through dry ice blasting	2,707
4	PFCC unit – Naphtha Splitter Unit (NSU) Stoppage	4,110
5	Replacing Naphtha in Hydrogen Generation Unit (HGU-3) with RLNG	400
6	Reduction of Vacuum Column Top Pressure in Vacuum Distillation Unit (VDU) III	1,250
7	Replacement of Coker Heavy Gas oil Hydrotreating (CHT) unit Feed Charge pump GA 34101 A/B, with larger capacity.	875
8	Stopping of quench column bottom pump in Tail Gas Treatment Unit (TGTU) in Sulphur recovery units (Unit no. 614/714/814)	63
9	Wet Gas Compressor (WGC) anti surge controller tuning in Delayed Coker Unit (DCU)	346
10	VDU Heater coil MP steam reduction post changing packings inside the Vacuum column.	297
11	Arresting Hydrogen flaring by internal recycle of hydrogen to compressor suction via Spill back in Polypropylene unit (PPU)	134.4
12	Attending Steam leakages at ICPR/OSBL	336
13	Stoppage of one FD fan in DHDT unit	118
14	Stoppage of three fin-fan motors in EC33304 by lining up additional product trim cooler (EA33314) in DHDT	36.6
15	Stoppage of three fin-fan motors in SWS1/2 unit.	34.7
16	Stoppage of one fin fan motor in Hydrogen product cooler	53.3
17	Hydrogen recovery scheme from separator off gas in Aromatic complex.	2741
18	Oxygen stripper optimization and routing of off gas to heater in Aromatic complex	937
19	Steam Trap Management system to minimize condensate loss in Aromatic complex	936
20	Boiler Feed water Pump has been converted from motor driven to steam turbine driven to save power in Aromatic complex	1455

1MTOE = Fuel equivalent of 10000 kcal/kg

Above measures have resulted in estimated fuel saving of 15,848 Metric Tons of Oil Equivalent (MTOE)

ii) Steps taken by the company for utilizing the alternate sources of Energy

Solar power plant was fully operational during the financial year and power equivalent to 8.082 Million units (includes 7.89 Million units of solar power generated inside refinery and 0.192 million units of solar power purchased from MBPL) have been generated.

Solar power plant in Aromatic complex was also fully operational during the financial year and power equivalent to 2.79 Million units have been generated.

Above efforts demonstrates, commitment towards sustainable development and reduction in carbon emission.

B. TECHNOLOGY ABSORPTION:

(i) Efforts made towards technology absorption.

- Completed implementation of Advanced process controller in CDU/VDU1, DHDT and PFCC Units.
- Implementation of Advance process controller in Isomerisation Unit, CDU/VDU 2 and FGTU has been initiated.

(ii) Benefits derived like product improvement, cost reduction, product development or import substitution.

- MRPL has developed 65MFI Injection molding grade (TWIM), 25MFI injection molding (IM) grade and 3MFI Thermoforming Grade Poly Propylene during the year. These grades will be utilized for applications such as packaging/utility wherein high strength is needed.
- With the implementation of MARPOL specifications, refinery has produced a Very Low Sulfur Fuel Oil with Sulfur specification of 0.35%, instead of regular Sulfur specification of 0.5%
- Grid power import to the refinery was maximized.

(iii) In case of imported technology (imported during last 3 years reckoned from the beginning of the financial year)

a. FCC Gasoline Treatment Unit (FGTU)

Details of technology:

Prime G+ technology has been imported from M/s Axens IFP group technologies France as a part of BS-VI projects, for meeting BS-VI MS Sulphur specification.

Year of Import: FY2017-18

Whether the technology has been fully absorbed: The unit has been commissioned with feed cut in in July 2021.

b. Bitumen Blowing Train

Details of technology

Bitumen blowing technology has been imported from M/S Poerner, Austria for increasing bitumen production

Year of Import: FY2021-22

Whether the technology has been fully absorbed: The train is expected to be commissioned by Q4 FY2023-24

c. LPG amine treating unit in PFCC

Details of technology:

Processing of increased high Sulfur-Straight run VGO feed in Petro Fluidization catalytic cracking unit, provides opportunity and flexibility to maximize light distillates in PFCC unit and diesel production in upstream Hydrocracker units. In order to achieve the objective of increasing processing of straight run VGO, a new LPG amine absorber has been conceptualized to meet the Propylene and LPG streams quality in terms of H₂S. Technology for LPG amine absorber is being imported from M/s Technip Shaw Stone and Webster Process Technology, USA, the original process licensor of PFCC unit.

Whether the technology has been fully absorbed: Project is in implementation stage. Anticipated completion by Q3 FY2023-24.

- d. Wet gas Scrubber in PFCC
Details of technology
In order to reduce emission of catalyst dust from Petro Fluidized catalytic cracking unit, Wet gas scrubber technology is being imported from M/s Hammon Research- Cottrell Inc, USA.
Whether the technology has been fully absorbed: Project is in implementation stage. Anticipated completion by Q3 FY2023-24.

i. Research and Development

1. Specific Areas of R&D:

The R&D activities of MRPL are primarily categorized under technology cum catalyst development, process optimization and niche product development through in-house and/or collaborative projects with other institutions. In house research projects are related to product or process development, residue value-addition, super hydrophobic coatings/adsorbents, polymer blends & composites, odor abatement in off gas streams and data driven research to improve yield and energy efficiency. Through collaborative research, MRPL R&D has under taken research projects with premier institutions like NCL-Pune, IIT-Guwahati, NITK-Surathkal, CIPET-Chennai and NMAMIT, Nitte.

2. Benefits Derived:

The technologies developed are under various levels of maturity and are expected to be commercialized in future. MRPL has drafted a procedure to screen the patented technologies, estimate the potential for scale up along with the commercial benefit and accordingly priority of commercialization of various patents granted shall accordingly be taken up. MRPL has filed for one new provisional patent and two new complete patent specifications in the year 2021-22. With this, MRPL's cumulative count of intellectual property filed in patent form till FY 2021-22 is fifteen. As a part of commercialization of the Patent No-348528, "A Process for distillation of hydrocarbon fractions", modification of the CDU unit has been completed. Test run was conducted on the first week of March 2022. AI/ML based MFI (Melt Flow Index) and XS (Xylene Solubility) predictor for PPU and PONA prediction modelling for CCR units have been completed and prediction models have been implemented in the respective units.

3. Future Plan of Action

MRPL's has two-pronged future plan of action: developing the patented technologies identified by commercialization priority procedure to maturity and carrying out grassroot research in-line with MRPL's R&D objective. There are many grass-root research projects ongoing in both in-house and collaborative mode.

4. Expenditure on R&D:

- a. Total Capital Expenditure, in Lakhs : 98.23
b. Total Revenue Expenditure, in Lakhs : 2.68
c. Total Expenditure for R&D in FY 2021-22, in Lakhs : 100.91

C. FOREIGN EXCHANGE EARNINGS AND OUT GO:

Particulars	2021-22 (₹in Crores)	2020-21 (₹in Crores)
Foreign Exchange Earnings	31,012.27	8,509.59
Foreign Exchange Outgo	50,591.49	28,165.80

ANNEXURE E

Form AOC-2

(Pursuant to clause (h) of sub-section (3) of section 134 of the Act and Rule 8(2) of the Companies (Accounts) Rules, 2014)

Form for disclosure of particulars of contracts/arrangements entered into by the Company with Related Parties referred to in sub-section (1) of section 188 of the Companies Act, 2013 including certain arm's length transactions under third proviso thereto.

1. Detail of contracts or arrangements or transactions not at arm's length basis:

Name(s) of the related party and nature of relationship	Nature of contracts/ arrangements/ transactions	Duration of the contracts/ arrangements/ transactions	Salient terms of the contracts or arrangements or transactions including the value, if any	Justification for entering into such contracts or arrangements or transactions	Date(s) of approval by the Board	Amount paid as advances, if any	Date on which the special resolution was passed in general meeting as required under first proviso to section 188
Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil

2. Details of material contracts or arrangements or transactions at arm's length basis

	Name(s) of the related party and nature of relationship	Nature of contracts/ arrangements/ transactions	Duration of the contracts/ arrangements/ transactions	Salient terms of the contracts or arrangements or transactions including the value, if any	Date(s) of approval by the Board	Amount paid as advances, if any
1(a)	ONGC*	Crude Oil Sale Agreementsw.	e.f 01.04.2018 to 31.03.2023 & Ongoing	Purchase of crude oil from ONGC at the delivery point of the quantity allocated at prices fixed as per price built up formula.	#	Nil
1(b)	ONGC*	Supply of HFHSD at ONGC offshore locations	Ongoing Contract	Supply of HFHSD at ONGC offshore locations by free delivery at MRPL Jetty, Mangalore as and when required.	#	Nil
1(c)	ONGC*	Parental Guarantee given by ONGC on behalf of MRPL to Saudi Arabian Oil Company for upliftment of Arab grade crude oil	01.09.2020 to 31.08.2022	Parental Guarantee given by ONGC on behalf of MRPL to Saudi Arabian Oil Company for upliftment of Arab grade crude oil by MRPL for which ONGC is charging guarantee commission from MRPL for every cargo / parcel of crude oil that MRPL imports under such parental company guarantee .	#	Nil
1(d)	ONGC*	Office premises taken lease	01.04.2016 to 31.03.2026 & 01.01.2017 to 31.12.2026	Office premises taken at Mumbai & Delhi on lease from ONGC	#	Nil

1(e)	ONGC*	Contribution of startup fund	FY 2021-22	Contribution to ONGC AIF fund for promoting Startup under Startup India Program of GOI.	#	Nil
1(f)	ONGC*	Procurement of oxygen concentrator.	FY 2021-22	Procurement of oxygen concentrator as per Ministry of Petroleum and Natural Gas directives.	#	Nil
2	ONGC Petro Additions Limited	Supply of Naphtha	October 2021	For supply of NAPHTHA for their Petrochemical complex at Dahej, SEZ Unit in Gujarat.	#	Nil
3	Shell MRPL Aviation Fuels & Services Ltd.	Jet Fuel Sale Purchase & Infrastructure sharing Agreement	Ongoing Contract	Sale and purchase of Jet fuel in line with the domestic sale to Oil Marketing company in India and sharing of infrastructure at prices fixed as per price built up formula.	#	Nil
4(a)	Hindustan Petroleum Corporation Limited (HPCL) - Promoter Company*	MOU between MRPL & HPCL for Product Sale-Purchase, Providing Infrastructure services and Co-operation in Energy & Related fields	Ongoing Contract	(1) Product sale-purchase, providing infrastructure services and co-operation in Energy and related fields. Pricing for products (MS/ HSD/SKO/ATF/LPG) shall be in line with PSU OMCs' existing terms as prevailing from time to time, unless otherwise mutually agreed. (2) HPCL shall offer Road and Rail terminalling services under hospitality arrangements from HPCL's Mangalore, Hassan and Devangunthi Terminals to MRPL for supplies to ROs/ Customers.	#	Nil
4(b)	Hindustan Petroleum Corporation Limited (HPCL) - Promoter Company *	MOU between MRPL & HPCL for Purchase of HSD for KSRTC sales	3 years up to 30.06.2023 with option of further extension for 2 years	Objective of catering HSD demand of KSRTC and its sister corporations as per the agreed terms and conditions of the MOU	#	Nil
4(c)	Hindustan Petroleum Corporation Limited (HPCL) - Promoter Company *	Arrangement between MRPL & HPCL for supply of Auto Fuels (MS & HSD) to HPCL Gulbarga up to 31.03.2022.	Up to 31.03.2022	Supply of HSD and MS to Gulbarga depot of HPCL as per the agreed terms and conditions of the arrangement	#	Nil
4(d)	Hindustan Petroleum Corporation Limited (HPCL) - Promoter Company *	Arrangement between MRPL & HPCL for supply of HSD to HPCL Coimbatore	Ongoing Arrangement	Supply of HSD to Coimbatore depot of HPCL as per the agreed terms and conditions of the arrangement	#	Nil

4(e)	Hindustan Petroleum Corporation Limited (HPCL) - Promoter Company *	MOU between MRPL & HPCL for ATF supply to HPCL in Karnataka	Up to 31.03.2022 with option of extension till 31.03.2023	Supply of ATF to HPCL in Karnataka as per the agreed terms and conditions of the MOU	#	Nil
4(f)	Hindustan Petroleum Corporation Limited (HPCL) - Promoter Company *	Supply of Lube Oil on Annual Rate Contract basis.	24.07.2020 to 23.07.2021 04.08.2021 to 03.08.2022	Supply of Lube Oil on Annual Rate Contract basis.	#	Nil
4(g)	Hindustan Petroleum Corporation Limited (HPCL) - Promoter Company *	Agreement for Purchase of Vacuum Gasoil (VGO)	21.08.2021 to 31.08.2021	Purchase of Vacuum Gas Oil (VGO)	#	Nil
4(h)	Hindustan Petroleum Corporation Limited (HPCL) - Promoter Company *	Sale of HPCL branded lubricants	Ongoing Contract w.e.f 19.09.2018	Incentive on sale of HPCL branded lubricants from the retail outlet networks of MRPL.	#	Nil
4(I)	Hindustan Petroleum Corporation Limited (HPCL) - Promoter Company *	Purchase of products- Aromatic Complex	Up to April 2021	ARC Contract for Supply of Lubricant Oil	#	Nil
5(a)	Mangalore SEZ Limited	Agreement for Supply of Water and Disposal of Treated Effluents	Ongoing Contract	Development of water infrastructure & treated effluent disposal infrastructure for MRPL in the land acquired by MSEZL, comprising of setting up of water sourcing infrastructure, pipeline conveyance system up to the battery limits of MRPL, storing and distributing water and setting up the necessary infrastructure for disposal of treated effluents.	#	Nil
5(b)	Mangalore SEZ Limited	Setting up Pipeline cum Road Corridor	w.e.f. 19.03.2016	MRPL is entitled to utilize the pipe rack/sleepers section of the pipeline-cum-road corridor for the purpose of the operations and also assigned right of way to the extent of "effective space" utilized.	#	Nil

5(c)	Mangalore SEZ Limited	Setting up PP-Pet coke evacuation road & truck parking	w.e.f 05.12.2016	MRPL has paid onetime non-refundable amount ₹11.34 crores to MSEZL towards construction of evacuation road (10.1757 acres) along with truck parking area (1.30 acres). Lease period of above said agreement commences from 05.12.2016 and valid till 27.01.2060.	#	Nil
5(d)	Mangalore SEZ Limited	Lease Rent-Aromatic Complex	Lease for 47 years unto 26.01.2060	The land lease agreement is for setting up SEZ unit with Mangalore SEZ Limited. Further the Company has made upfront payments at the time of the execution of the lease arrangement followed by annual lease rentals without escalation for such period. The Company has an option to renew the lease agreement for further period after the expiry of the lease term on mutually agreed terms.	#	Nil
5(e)	Mangalore SEZ Limited	Water, Marine Outfall-Aromatic Complex	Ongoing Contract	Development of water infrastructure & treated effluent disposal infrastructure in the land acquired by MSEZL, comprising of setting up of water sourcing infrastructure, pipeline conveyance system up to the battery limits of Aromatic Complex, storing and distributing water and setting up the necessary infrastructure for disposal of treated effluents	#	Nil
5(f)	Mangalore SEZ Limited	Power-Aromatic Complex	Ongoing Contract	Power Supply Agreement for Supply of Grid Power to the Aromatic Complex	#	Nil
5(g)	Mangalore SEZ Limited	Zone O & M Charges-Aromatic Complex	Ongoing Contract	Zone O&M Agreement with Mangalore SEZ Limited for the various Common facilities like security gate, surveillance, internal road networks, street lights, etc. being used by the Units in the Zone.	#	Nil
5(h)	Mangalore SEZ Limited	Corridor O & M Charges-Aromatic Complex	Ongoing Contract	Entitlement to utilize the pipe rack/sleepers section of the pipeline-cum-road corridor for the purpose of the operations and also assigned right of way to the extent of "effective space" utilized.	#	Nil

6(a)	Petronet MHB Limited *	Transportation of petroleum products through Pipeline	w.e.f 01.04.2003 ongoing contract	MRPL is utilizing the services of pipeline of PMHBL for transfer of Petroleum products from Mangalore to Hassan and Devangunthi as per PNGRB notified Tariff.	#	Nil
6(b)	Petronet MHB Limited *	Supply of Power to PMHBL	w.e.f 01.06.2019 ongoing contract	MRPL supplies power to PMHBL and power cost is reimbursed by PMHBL at MESCOM Notified Tariffs.	#	Nil
6(c)	Petronet MHB Limited *	Agreement for leasing of PMHBL pipeline corridor facility up to PMHBL Mass Flow Meter	w.e.f 05.08.2019 validity 10 years	MRPL uses pipeline corridor at Petronet's pumping station at Mangalore for its supply of petroleum products to OMC's at Hassan and Devangunthi. MRPL's pays lease rent for the pipeline corridor.	#	Nil
6(d)	Petronet MHB Limited *	Supply of Solar Power by PMHBL	w.e.f 01.06.2019	PMHBL supplies Solar Power to MRPL and charges are reimbursed by MRPL to PMHBL as per MESCOM tariff rate.	#	Nil
7	MRPL Provident Fund Trust	Employees Provident Fund	Ongoing arrangement	Contributions to Provident Fund.	#	Nil
8	MRPL Gratuity Fund	Employees Gratuity Fund	Ongoing arrangement	Contributions to Gratuity Fund.	#	Nil
9	MRPL Education Trust	Management of School	Ongoing arrangement	Contributions for running of School as per Trust Deed and rendering services.	#	Nil
10	MRPL Janaseva Trust	Management of MRPL hospital and hospitality facilities	Ongoing arrangement	Contributions to MRPL hospital, hospitality facilities and rendering services.	#	Nil

*Government Companies

Board approval is not applicable in the case of transactions between Government companies and in the case of transactions entered into by the company in its ordinary course of business other than transactions which are not on arm's length basis.

Note: Consequent to amalgamation of ONGC Mangalore Petrochemicals Ltd. the details of transactions with same are not disclosed considering transactions being in nature of inter unit transactions as per applicable Accounting Standards.

Form No. MR-3

**SECRETARIAL AUDIT REPORT
FOR THE FINANCIAL YEAR ENDED 31ST MARCH, 2022**

[Pursuant to section 204(1) of the Companies Act, 2013 and Rule No.9 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014]

To,
The Members,
Mangalore Refinery and Petrochemicals Limited,
CIN: L23209KA1988GOI008959
Regd. Office: Mudapadav, Post Kuthethoor,
Via Katipalla, Mangalore – 575030
Karnataka

We have conducted the secretarial audit of the compliance of applicable statutory provisions and the adherence to good corporate practices by **Mangalore Refinery and Petrochemicals Limited** (hereinafter called “the Company”) (CIN: L23209KA1988GOI008959) having its Registered Office at Mudapadav, Post Kuthethoor, Via Katipalla, Mangalore – 575030 Karnataka. Secretarial Audit was conducted in a manner that provided us a reasonable basis for evaluating the corporate conducts/statutory compliances and expressing our opinion thereon.

Based on our verification of the Company's books, papers, minute books, forms and returns filed and other records maintained by the Company and also the information provided by the Company, its officers, agents and authorized representatives during the conduct of Secretarial Audit, we hereby report that in our opinion, the Company has, during the audit period covering the financial year ended on 31st March, 2022 complied with the statutory provisions listed hereunder and also that the Company has proper Board-processes and compliance-mechanism in place to the extent, in the manner and subject to the reporting made hereinafter:

We have examined the books, papers, minute books, forms and returns filed and other records maintained by the Company for the financial year ended on 31st March, 2022 according to the provisions of:

- (i) The Companies Act, 2013 (the Act) and the rules made thereunder;
- (ii) The Securities Contracts (Regulation) Act, 1956 ('SCRA') and the rules made thereunder;
- (iii) The Depositories Act, 1996 and the Regulations and Bye-laws framed thereunder;
- (iv) Foreign Exchange Management Act, 1999 and the rules and regulations made thereunder to the extent of External Commercial Borrowings;
- (v) The following Regulations and Guidelines prescribed under the Securities and Exchange Board of India Act, 1992 ('SEBI Act'):-
 - (a) The Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulations, 2011;
 - (b) The Securities and Exchange Board of India (Prohibition of Insider Trading) Regulations, 2015;
 - (c) The Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018; (Not applicable to the Company during the financial year under review);

- (d) The Securities and Exchange Board of India (Employee Stock Option Scheme and Employee Stock Purchase Scheme) Guidelines, 1999 and The Securities and Exchange Board of India (Share Based Employee Benefits) Regulations, 2014; (Not applicable, as the Company has not offered any shares or granted any options pursuant to any employee benefits scheme during the financial year under review).
- (e) The Securities and Exchange Board of India (Issue and Listing of Debt Securities) Regulations, 2008;
- (f) The Securities and Exchange Board of India (Registrars to an Issue and Share Transfer Agents) Regulations, 1993 regarding the Companies Act and dealing with client;
- (g) The Securities and Exchange Board of India (Delisting of Equity Shares) Regulations, 2009; (Not applicable, as the Company has not delisted/proposed to delist its equity shares from any Stock Exchange during the financial year under review); and
- (h) The Securities and Exchange Board of India (Buyback of Securities) Regulations, 2018; (Not applicable, as the Company has not bought back/proposed to Buyback any of its securities during the financial year under review).
- (i) The Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018.
- (vi) The other laws/Guidelines, as informed and certified by the management of the Company which, are specifically applicable to the Company based on their sector/industry are:
 - (a) Petroleum Act, 1934 and Rules made thereunder;
 - (b) India Boiler Act, and rules and regulations thereunder;
 - (c) Provision of Gas Cylinder Rules;
 - (d) Guidelines on Corporate Governance for Central Public Sector Enterprises as stipulated in the O.M. No.18(8)/2005-GM dated 14th May, 2010 issued by Department of Public Enterprises (DPE), Ministry of Heavy Industries and Public Enterprises, Government of India.
 - (e) Guidelines on Capital Restructuring of Central Public Sector Enterprises (CPSEs) as stipulated in the O.M.F.No.5/2/2016-Policy dated 27th May, 2016 issued by Department of Investment and Public Asset Management (DIPAM), Ministry of Finance, Government of India.
 - (f) The Factories Act, 1948;
 - (g) The Contract Labour (Regulation & Abolition) Act, 1970;
 - (h) The Industrial Employment (Standing orders) Act, 1946;
 - (i) The Payment of Wages Act, 1936;
 - (j) Industrial Disputes Act, 1947;
 - (k) The Employees State Insurance Act, 1948;
 - (l) Employees Provident Fund and Misc. Provisions Act, 1952;
 - (m) Equal Remuneration Act, 1976;
 - (n) Maternity Benefit Act, 1961;
 - (o) Minimum Wages Act, 1948;

- (p) Trade Union Act, 1926;
- (q) Payment of Bonus Act, 1965;
- (r) Payment of Gratuity Act, 1972;
- (s) Provisions of Environment (Protection) Act, 1986;
- (t) Explosives Act, 1884;
- (u) Income Tax Act, 1961, Karnataka Tax on professions, Trades, Calling and Employments Act, 1976 and Customs Act, 1962;
- (v) The Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013;
- (w) The Apprentices Act, 1961;
- (x) The Public Liability Insurance Act, 1991;
- (y) The Information Technology Act, 2000;
- (z) Sale of Goods Act, 1930;
- (aa) Karnataka Labour Welfare Fund Act, 1965 and
- (bb) Karnataka Industrial Establishment (National and Festival Holiday) Act, 1963.
- (cc) Indian Electricity Act, 2003
- (dd) Indian Electricity Rules, 1956.
- (ee) Provisions of The Water (Prevention & Control of Pollution) Act, 1974
- (ff) The Air (Prevention & Control of Pollution) Act, 1981 and rules made thereunder.

For the compliances of Labour Laws & other General Laws, our examination and reporting is based on the documents, records as produced and shown to us and the information and explanations as provided to us, by the officers and management of the Company and to the best of our judgment and understanding of the applicability of the different enactments upon the Company. In our opinion, there are adequate systems and processes exist in the Company to monitor and ensure compliance with applicable General laws and Labour Laws.

The compliance by the Company of applicable financial laws, like direct and indirect tax laws, has not been reviewed in this audit since the same have been subject to review by the statutory financial auditor and other designated professionals.

We have also examined compliance with the applicable clauses of the following:

- (i) Secretarial Standards issued by The Institute of Company Secretaries of India.
- (ii) Securities and Exchange Board of India (Listing Obligations and Disclosure Requirement) Regulations, 2015.

During the period under review the Company has generally complied with the provisions of the Act, Rules, Regulations, Guidelines, Standards, etc. mentioned above subject to the following observations:

1. The Company did not have the required number of Independent Directors as required under section 149(1)(4) of the Companies Act, 2013 for the period from 1st April 2021 to 15th November 2021.
2. During the year under review the company did not have the required number of Independent Directors as required under Regulation 17 (1) of Securities and Exchange Board of India (Listing Obligations and Disclosure

Requirements) Regulations, 2015 and Para 3.1.4 of DPE Guidelines on Corporate Governance with regard to Composition of the Board of Directors and thereby not meeting the provisions relating to composition of Board.

3. During the year under review, the company did not have Independent Woman Director on its Board as required under Regulation 17(1) of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 for the period from 1st April 2021 to 15th November 2021.
4. During the year under review, the Company did not have the plans in place for orderly succession for appointment to the board of directors and senior management to the satisfaction of its Board of Directors as required under Regulation 17(4) of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 as the Company being a Central Public Sector Enterprise (CPSE), the Plan for orderly succession for appointment of Directors is handled by Administrative Ministry, i.e., Ministry of Petroleum and Natural Gas (MoP&NG), Government of India, pursuant to DPE Guidelines.
5. During the year under review the provisions relating to composition of Audit Committee as required under Regulation 18 (1) of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 were not complied by the Company for period from 1st April 2021 to 16th January 2022. Further, the provisions pertaining to quorum of the Audit committee as required under Regulation 18(2)(b) of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 were not met during the said period.
6. The provisions relating to composition of Nomination and Remuneration Committee as required under Regulation 19 (1) and (2) of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 were not met by the Company during the year under review i. e. from 1st April 2021 to 31st March 2022.
7. During the year under review the provisions relating to composition of Risk Management Committee as required under Regulation 21 (2) of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 were not met by the Company for the quarters ended 30th September 2021 and 30th December 2021. The Company has been in compliance with the provisions w.e.f. 17th January 2022.
8. During the year under review, the Company has not complied with the laws/ rules/guidelines with regard to Overtime working hours required under the Factories Act, 1948.

We further report that,

The Board of Directors of the Company is constituted with proper balance of Executive Directors, Non-Executive Directors and Independent Directors except for the reporting made hereinabove. The changes in the composition of the Board of Directors that took place during the audit period were carried out in compliance with the provisions of the Act.

The Company, being a Central Public Sector Enterprise (CPSE) the appointment of Directors on the Board of the Company are made by the Administrative Ministry, i.e., Ministry of Petroleum and Natural Gas (MoP&NG), Government of India (GoI). The Company has been continuously following up with MoP&NG for appointment of requisite number of Independent Directors on the Board of the Company and the same has been under active consideration with MoP&NG.

Adequate notice was given to all directors to schedule the Board Meetings including committees thereof along with agenda and detailed notes on agenda were sent at least seven days in advance and a system exists for seeking and obtaining further information and clarifications on the agenda items before the meeting and for meaningful participation at the meeting.

Majority decision is carried through while the members' views were captured and recorded as part of the minutes.

The 33rd Annual General Meeting of the Company was held on Saturday, 4th September, 2021 at 4 PM (IST) through Video Conferencing ("VC") / Other Audio-Visual Means ("OAVM"). The Ministry of Corporate Affairs ("MCA") has vide its circular numbers 14/2020 and 17/2020 dated 08/04/2020 and 13/04/2020 respectively, in relation to "Clarification on passing of ordinary and special resolutions by companies under the Companies Act, 2013 and the rules made thereunder on account of the threat posed by COVID-19", circular no. 20/2020 dated 05/05/2020 in relation to "Clarification on holding of Annual General Meeting (AGM) through Video Conferencing (VC) or Other Audio Visual Means (OAVM)" and Circular no. 02/2021 dated 13/01/2021 in relation to "Clarification on holding of Annual General Meeting (AGM) through Video Conferencing (VC) or Other Audio Visual Means (OAVM)" (collectively referred to as "MCA Circulars") and Securities and Exchange Board of India ("SEBI") vide its circular no. SEBI/HO/CFD/CMD1/CIR/P/2020/79 dated 12/05/2020 in relation to "Additional relaxation in relation to compliance with certain provisions of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015 - COVID-19 pandemic" and circular no. SEBI/HO/CFD/ CMD2/CIR/P/2021/11 dated 15/01/2021 in relation to "Relaxation from compliance with certain provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 due to the COVID -19 pandemic" (collectively referred to as "SEBI Circulars") permitted the holding of the Annual General Meeting ("AGM") through VC / OAVM, without the physical presence of the Members at a common venue. In compliance with the MCA Circulars and SEBI Circulars, the Annual General Meeting (AGM) of the members of the Company was held through VC / OAVM.

The Meeting of the equity shareholders of the Company was convened pursuant to the order dated September 27, 2021 passed by the Ministry of Corporate Affairs, Government of India, on Friday, November 26, 2021 at 10 AM (IST) through Video Conference ("VC")/Other Audio-Visual Means ("OAVM") ("Meeting") in compliance with the applicable provisions of the Companies Act, 2013; General Circulars No. 14/2020 dated April 8, 2020; No. 17/2020 dated April 13, 2020; 20/2020 dated May 5, 2020; No. 22/2020 dated June 15, 2020; No. 33/2020 dated September 28, 2020; No. 39/2020 dated December 31, 2020; and No. 10/2021 dated June 23, 2021 issued by the MCA (collectively referred to as the "MCA Circulars"); and Circulars No. SEBI/HO/CFD/CMD1/ CIR/P/2020/79 dated May 12, 2020 and No. SEBI/HO/CFD/CMD2/CIR/P/2021/11 dated January 15, 2021 (collectively referred to as the "Circulars issued by SEBI") to approve the Scheme of Amalgamation between ONGC Mangalore Petrochemicals Limited and Mangalore Refinery and Petrochemicals Limited and their respective shareholders and creditors ("Scheme") pursuant to the provisions of Sections 230 to 232 of the Companies Act, 2013 ("Companies Act") and the other applicable provisions thereof and applicable rules thereunder.

The meetings of Secured and Unsecured Creditors of the Company, whose debt is of value more than Rs.10 Lakhs as on 31st May 2021, was held pursuant to the Order of MCA dated 27th September 2021, through video conferencing on 26th November 2021 at 2.30 PM and 3.30 PM respectively to approve the Scheme of Amalgamation between ONGC Mangalore Petrochemicals Limited and Mangalore Refinery and Petrochemicals Limited.

No Extraordinary General Meeting of the Company was held during the Financial Year 2021-22.

We further report that based on the compliance mechanism established by the Company and on the basis of review of compliance reports pertaining to all applicable laws to the Company laid before and taken note by the Board of the Company, we are of the opinion that the management has systems and processes in the Company commensurate with the size and operations of the Company to monitor and ensure compliance with applicable laws, rules, regulations and guidelines.

We further report that during the audit period, there was no other specific event/ action in pursuance of the above referred laws, rules, regulations, guidelines, etc. having a major bearing on the Company's affairs except the following:

- The Board of Directors of the Company in their 237th Meeting held on 10th June 2021 approved the scheme of amalgamation of ONGC Mangalore Petrochemicals Limited ("OMPL") with Mangalore Refinery and Petrochemicals Limited ("MRPL") pursuant to the provisions of Section 230 to Section 232 of the Companies

Act, 2013. Accordingly, scheme of amalgamation with OMPL with MRPL along with the necessary annexure was filed with the Ministry of Corporate Affairs (MCA) on 7th July 2021. The MCA vide its letter dated 27th July 2021 requested some additional information / documents pertaining to MRPL and OMPL for further processing of the application. The desired information / documents were submitted to MCA. The MCA vide its letter dated 2nd September 2021 fixed 15th September 2021 as the date of hearing though video conferencing and further requested for some additional documents / information to be submitted at-least three days prior to the date of hearing, which were duly submitted. A hearing through Video conferencing was conducted by MCA on 15th September 2021 and passed the order dated 27th September 2021 along with its directors.

Pursuant to the Order of MCA dated 27th September 2021, it was directed to convene the meeting of Equity Shareholders of the Company, Secured and Unsecured Creditors of the Company whose debt is of value more than Rs.10 Lakhs as on 31st May 2021 to approve the Draft Scheme of Amalgamation. As per the directives of the MCA, Shri Rohit Mathur, Joint Secretary – General MoP&NG, was appointed as Chairman of the Meetings.

The Meetings of Equity Shareholders, secured and unsecured credited of the Company were convened through video conferencing on 26th November 2021 at 10.00 AM, 2.30 PM and 3.30 PM respectively. The majority of the equity shareholders, secured creditors and unsecured creditors of the Company having debt value more than Rs.10 Lakhs (who have voted through e-voting system or remote e-voting system) representing more than three-fourth in value, approved the draft scheme of amalgamation. The outcomes of these meetings were informed to the Stock Exchanges and the voting reports were also filed with Stock Exchanges on the same day i.e. 26th November 2021. The Chairman report was filed with MCA on 30th November 2021. Further, the joint confirmation petition was filed with MCA on 3rd December 2021.

The final hearing of the matter was held on 31st March 2022 and in the said hearing, the Scheme of Amalgamation of ONGC Mangalore Petrochemicals Limited (OMPL) (Transferor Company) with Mangalore Refinery and Petrochemicals Limited (MRPL) (Transferee Company) under section 230 to 232 of the Companies Act, 2013 was approved.

The Certified Copy of the Ministry's Order dated 14th April 2022 was received by the Company on 19th April 2022.

- In the 33rd Annual General Meeting of the Company held on Saturday, 4th September, 2021, the Shareholders approval by way of passing Special Resolution was obtained for the following:
 - I. To enhance the Borrowing powers of Board from ₹25,000 crore to ₹33,500 crore.
 - ii. To create charge on the movable and immovable properties of the Company, both present and future, in respect of borrowings.
 - iii. To raise funds upto ₹5,000 crore through issue of non-convertible debentures (NCDs)/ Bonds.
For Ullas Kumar Melinamogaru & Associates
Practising Company Secretaries

CS Ullas Kumar Melinamogaru
Proprietor
FCS 6202, CP No. 6640
UDIN: F006202D000442264

Date : 31/05/2022

Place : Mangaluru

This report is to be read with our letter of even date which is annexed as Annexure A and forms an integral part of this report.

Annexure A

To,
Mangalore Refinery and Petrochemicals Limited,
CIN: L23209KA1988GOI008959
Regd. Office: Mudapadav, Post Kuthethoor,
Via Katipalla, Mangalore – 575030
Karnataka

Our report of even date is to be read along with this letter.

1. Maintenance of Secretarial Record is the responsibility of the management of the Company. Our responsibility is to express an opinion on these Secretarial Records based on our audit.
2. We have followed the audit practices and processes as were appropriate to obtain reasonable assurance about the correctness of the contents of the Secretarial Records. The verification was done on test basis to ensure that correct facts are reflected in Secretarial Records. We believe that the processes and practices, we followed, provide a reasonable basis for our opinion.
3. We have not verified the correctness and appropriateness of Financial Records and Books of Accounts of the company. We have relied upon the Reports of Statutory Auditors regarding compliance of Companies Act, 2013 and Rules made thereunder relating to maintenance of Books of Accounts, Papers and Financial Statements of the relevant financial year, which give a true and fair view of the state of the affairs of the Company.
4. We have relied upon the reports of Statutory Auditors regarding compliance of Fiscal Laws including Goods and Service Tax and not gone into that.
5. Where ever required, we have obtained the Management Representation about the compliance of laws, rules and regulations and happening of events etc.
6. The compliance of the provisions of Corporate and other applicable laws, rules, regulations, standards is the responsibility of the management. Our examination was limited to the verification of procedures on test basis.
7. The Secretarial Audit Report is neither an assurance as to the future viability of the company nor of the efficacy or effectiveness with which the management has conducted the affairs of the company.

For **Ullas Kumar Melinamogaru & Associates**
Practising Company Secretaries

sd/-
CS Ullas Kumar Melinamogaru
Proprietor
FCS 6202, CP No. 6640
UDIN: F006202D000442264

Date : 31/05/2022
Place : Mangaluru

CERTIFICATE OF NON-DISQUALIFICATION OF DIRECTORS

(Pursuant to Regulation 34(3) and Schedule V Para C clause (10)(i) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015)

To,
The Members
Mangalore Refinery and Petrochemicals Limited,
CIN: L23209KA1988GOI008959
Regd. Office: Mudapadav, Post Kuthethoor,
Via Katipalla, Mangalore – 575030
Karnataka

We have examined the relevant registers, records, forms, returns and disclosures received from the Directors of **Mangalore Refinery and Petrochemicals Limited** having CIN: L23209KA1988GOI008959 and registered office at Mudapadav, Kuthethoor Post, Via Katipalla, Mangalore - 575030 (hereinafter referred to as 'the Company'), produced before us by the Company for the purpose of issuing this Certificate, in accordance with Regulation 34(3) read with Schedule V Para-C clause 10(i) of the Securities Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

In our opinion and to the best of our information and according to the verifications [including Directors Identification Number (DIN) status at the portal www.mca.gov.in] as considered necessary and explanations furnished to us by the Company & its officers, we hereby certify that none of the Directors on the Board of the Company as stated below for the Financial Year ending on 31st March, 2022 have been debarred or disqualified from being appointed or continuing as Directors of companies by the Securities and Exchange Board of India, Ministry of Corporate Affairs, or any such other Statutory Authority:

Sl. No.	Name of Director	Directors Identification Number (DIN)	Date of Appointment in Company	Date of Cessation
1.	Shri Shashi Shanker	06447938	01/10/2017	01/04/2021
2.	Shri Venkatesh Madhava Rao	07025342	01/04/2015	Continuing
3.	Smt. Pomila Jaspal	08436633	15/10/2019	Continuing *
4.	Shri Subhash Kumar	07905656	15/05/2018	01/01/2022
5.	Shri Vinod Sadanand Shenoy	07632981	08/11/2016	Continuing
6.	Shri Ram Tirath Agarwal	01937329	12/07/2019	Continuing
7.	Shri Sanjay Varma	05155972	09/06/2020	Continuing
8.	Ms. Esha Srivastava	08504560	10/12/2020	Continuing
9.	Shri Rohit Mathur	08216731	10/12/2020	Continuing
10.	Shri Om Prakash Singh	08704968	07/06/2021	Continuing
11.	Shri Raj Kumar Sharma	01681944	15/11/2021	Continuing
12.	Ms. Cheruvally Nivedida Subramanian	08646502	15/11/2021	Continuing
13.	Shri Manohar Singh Verma	09393215	15/11/2021	Continuing
14.	Shri Pankaj Gupta	09393633	15/11/2021	Continuing
15.	Dr. Alka Mittal	07272207	11/01/2022	Continuing

* Smt. Pomila Jaspal (DIN: 08436633) ceased to be Director of the Company w.e.f. 18/04/2022

Ensuring the eligibility of the appointment/ continuity of every Director on the Board is the responsibility of the management of the Company. Our responsibility is to express an opinion on these based on our verification. This certificate is neither an assurance as to the future viability of the Company nor of the efficiency or effectiveness with which the management has conducted the affairs of the Company.

For **Ullas Kumar Melinamogaru & Associates**
Practising Company Secretaries

sd/-
CS Ullas Kumar Melinamogaru
Proprietor
FCS 6202, CP No. 6640
UDIN: F006202D000442297

Date : 31/05/2022
Place : Mangaluru

ANNEXURE-G**COMMENTS OF THE COMPTROLLER AND AUDITOR GENERAL OF INDIA UNDER SECTION 143(6)(b) OF THE COMPANIES ACT, 2013 ON THE FINANCIAL STATEMENTS OF MANGALORE REFINERY AND PETROCHEMICALS LIMITED FOR THE YEAR ENDED 31 MARCH 2022.**

The preparation of financial statements of Mangalore Refinery and Petrochemicals Limited for the year ended 31 March 2022 in accordance with the financial reporting framework prescribed under the Companies Act, 2013 (Act) is the responsibility of the management of the company. The statutory auditor appointed by the Comptroller and Auditor General of India under section 139(5) of the Act is responsible for expressing opinion on the financial statements under section 143 of the Act based on independent audit in accordance with the standards on auditing prescribed under section 143(10) of the Act. This is stated to have been done by them vide their Audit Report dated 11 May 2022.

I, on behalf of the Comptroller and Auditor General of India, have conducted a supplementary audit of the financial statements of Mangalore Refinery and Petrochemicals Limited for the year ended 31 March 2022 under section 143(6)(a) of the Act. This supplementary audit has been carried out independently without access to the working papers of the statutory auditors and is limited primarily to inquiries of the statutory auditors and company personnel and a selective examination of some of the accounting records.

On the basis of my supplementary audit nothing significant has come to my knowledge which would give rise to any comment upon or supplement to statutory auditors' report under section 143(6)(b) of the Act.

**For and on behalf of the
Comptroller & Auditor General of India**
sd/-

(DEVIKA NAYAR)

Director General of Commercial Audit, Chennai

Place: Chennai
Date: 06.07.2022

COMMENTS OF THE COMPTROLLER AND AUDITOR GENERAL OF INDIA UNDER SECTION 143(6) (b) READ WITH SECTION 129 (4) OF THE COMPANIES ACT, 2013 ON THE CONSOLIDATED FINANCIAL STATEMENTS OF MANGALORE REFINERY AND PETROCHEMICALS LIMITED FOR THE YEAR ENDED 31 MARCH 2022.

The preparation of consolidated financial statements of Mangalore Refinery and Petrochemicals Limited For the year ended 31 March 2022 in accordance with the financial reporting framework prescribed under the Companies Act, 2013(Act) is the responsibility of the management of the company. The statutory auditors appointed by the Comptroller and Auditor General of India under section 139 (5) read with section 129 (4) of the Act are responsible for expressing opinion on the financial statements under section 143 read with section 129 (4) of the Act based on independent audit in accordance with the standards on auditing prescribed under section 143(10) of the Act. This is stated to have been done by them vide their Audit Report dated 11 May 2022.

I, on behalf of the Comptroller and Auditor General of India, have conducted a supplementary audit of the consolidated financial statements of Mangalore Refinery and Petrochemicals Limited for the year ended 31 March 2022 under section 143(6)(a) read with section 129(4) of the Act. We conducted a supplementary audit of the financial statements of Mangalore Refinery and Petrochemicals Limited, but did not conduct supplementary audit of the financial statements of Shell MRPL Aviation Fuels and Services Limited for the year ended on that date. Further, section 139(5) and 143 (6) (b) of the Act are not applicable to Shell MRPL Aviation Fuels and Services Limited being private entity. Accordingly, Comptroller and Auditor General of India has neither appointed the Statutory Auditors nor conducted the supplementary audit of this company. This supplementary audit has been carried out independently without access to the working papers of the statutory auditors and is limited primarily to inquiries of the statutory auditors and company personnel and a selective examination of some of the accounting records.

On the basis of my supplementary audit nothing significant has come to my knowledge which would give rise to any comment upon or supplement to statutory auditors' report under section 143(6)(b) of the Act.

**For and on behalf of the
Comptroller & Auditor General of India**
sd/-

(DEVIKA NAYAR)

Director General of Commercial Audit, Chennai

Place: Chennai
Date: 06.07.2022

MANAGEMENT DISCUSSION AND ANALYSIS

1. Economic Overview

1.1. Global Economy

The year saw the global economy starting to recover from the effects of the pandemic. The world economy grew at 5.9% in 2021. Though the world would eventually come out of the pandemic the recovery has been protracted so far. Inaccessibility to vaccines especially for the poorer nations has resulted in an uneven recovery. The growth forecast for 2022 continues to be low. As fiscal stimulus and government spending soften due to fiscal space limitations the growth could slow further. Private consumption is yet to pick up to pre-covid levels and there are inflationary pressures due to rising energy costs and supply chain disruptions.

Geo-political events are influencing and crystallizing effects across countries. International co-operation is required for ensuring health of people. Countries would require to monitor their monetary policies to contain inflation. Debt restructuring and access to capital are essential for economic recovery of nations especially for the poorer and developing countries. Amidst all this, the world must, and is, continuing on a concerted effort to address climate change before it turns catastrophic.

The war in Ukraine is having multiple effects. Commodities are disrupted, trade is affected, financial flows are impacted and people are displaced. If protracted, the war could dampen global confidence and weaken global growth, worsen food insecurity, and increase financing costs and the risk of financial crisis especially in developing countries.

1.2. Indian Economy

India's GDP is moving towards pre-covid levels. The improvement in the economy comes over a GDP contraction of 7.3 percent during FY 2020-21 due to the pandemic and the resultant lockdown. The GDP growth of 8.0% as estimated by IMF for the year 2022 will be the highest among big countries. In terms of size of stock market, India has already reached the fourth largest position after USA, China and Japan. The economy is likely to remain one of the fastest-growing economies in the world. Government intervention should be continued towards expanding the demand through high Capital Expenditure (CAPEX) and removing the supply-side bottlenecks.

The government has undertaken several important initiatives such as recapitalisation, reforms and amalgamation of banks to improve the banking sector. These steps are expected to improve the financial health of public sector banks and amalgamation would bring operational efficiency and big-ticket project funding.

A situation where the large firms are recovering and the medium and smaller firms are still distressed would lead to uneven recovery. Any lingering COVID infections could have some adverse impact on contact intensive sectors in general and the MSME sector in particular. The growth of the MSME sector is crucial not only for job creation but for income distribution as well. The government has taken several steps, including the guaranteed credit scheme, in the recent past to enhance credit flows to MSME sector units under its post-Covid support initiative.

High oil prices, global supply chain issues, tight monetary policy for containing inflation could pose short term challenges. However, the record vaccinations, recovery of the industrial sector, positive business expectations propelled by reforms and improved consumer demand, would further industrial performance.

2. Overview of Energy Industry

2.1. Global scenario

The energy mix is more heterogeneous today unlike decades ago. Globally the largest contributor to primary energy is oil and gas. This is followed by coal. Solar and Wind have emerged commercially in the last decade but their proportions in the total mix remain small. The climate issue is challenging by the sheer size and scale of energy transition that is required by the world in a short time from fossil fuels that have been the mainstay for

more than a 100 years. The falling costs of low carbon energy sources are accelerating this transition. Newer technology like Green H2 is evolving for energy generation, storage and transportation but has to mature and become affordable for large scale adoption in the near future.

Natural events that have occurred in the recent past such as the severely cold and long winters in Europe and North America have exposed the vulnerabilities associated with 100% solar and wind energy for powering homes. This has brought the inevitability of fossil fuels to balance energy requirements. A rush to renewables without the security of uninterrupted supplies would be disastrous. Oil and gas are the largest traded commodities in the world by sheer volume, value, complexity and reach. Any underinvestment in oil and gas that could potentially lead to supply constraints would lead to energy crunch and soaring prices when the world has not veered itself to clean sources substantially and reliably. The de-coupling of fossil fuels can only be gradual.

Russia is the third largest producer of crude oil behind US and Saudi Arabia and the second largest exporter of crude oil behind Saudi Arabia. The Ukraine war and the resultant sanctions on Russia have severely affected crude oil supplies and prices are at historic highs. This has resulted in costly energy supply and logistics problems and stresses global economic recovery.

2.2. Indian scenario

India has the third largest consumption of primary energy in the world behind China and USA. The per capita energy consumption is low. A growing economy and large population would drive energy requirements over the next two decades. India has made big strides in providing electricity access to its people from about 60% of the population covered in 2000 to near 100% now. As industrial output increases and more households buy appliances and vehicles there would be more demand for energy and the country's power system would have to increase substantially.

Although Coal and Oil continue to predominate in energy contribution, the growth of alternate energy, particularly solar, has enabled India's transition to provide electricity access to all homes particularly in a short time. Solar energy is a global industry. The size and scale of the Solar Industry is an important area of employment generation even as the country moves away from carbon intensive industries.

The government has unveiled the National Green Hydrogen Policy recently, which includes PLI, and an entire eco system including renewable energy production, electrolyzer manufacturing, Green H2 generation and decarbonization of industries is anticipated to be positively affected. This would contribute to meeting the renewable energy targets, diversify clean energy basket, enable trade in green energy and generate employment.

Apart from power capacity additions in Solar and Wind, the government is also focusing on other areas like transmission efficiency in electricity, fuel efficiency in vehicles, use of bio-fuels and support of other sources of energy like bio CNG.

Oil meets 27% of India's primary energy needs today. With a changing energy land scape there may not be significant increase in its use. However, oil would continue to meet the baseload of the country for the medium term.

3. Markets

Crude Oil saw a recovery in 2021 after the slump in energy prices in the preceding year due to pandemic. From the abysmal lows of April 2020 crude oil and natural gas prices rose on the back of a prolonged winter and particularly hot summer in Northern America and Europe resulting in depleting reserves especially of Natural Gas in Europe. The recovery in oil was sharp with price breaching USD 80/bbl in November 2021. While it was anticipated that the crude prices would reduce and stabilize with the passing of winter, the turmoil and uncertainty from the Russian action in Ukraine in February 2022 has exacerbated the situation. The average price of Brent crude for the month of Mar rose to USD 118/bbl. This is a risk to global recovery from the pandemic. The risk driven by high energy price. India with high import dependency is watchful to volatile crude price as it has a bearing on its current account deficit.

Economic recovery and easing of travel restrictions aided the demand recovery for petroleum products for the refiners. The Singapore GRM was less than a dollar the previous year. From such a distressed situation the

benchmark GRM rose to USD 10/bbl by the end of the year. Refinery Capacity Utilization was affected during the beginning of the year due to onset of the second wave in India. The robust demand thereafter has ensured high capacity utilization for the refiner and improvement in product margins that have shored up the revenues.

4. Crude Basket

Your company meets its crude oil requirement from various National Oil Companies of exporting countries on term basis and from open market on spot basis. During 2021-22, the company procured 14.671 MMT of crude oil of which 12.085 MMT was imported and the balance was sourced indigenously from Bombay High, Ravva and Mangala of ONGC and Cairn India. Crude oil was imported from Kuwait Petroleum Corporation, Saudi Aramco, Abu Dhabi National Oil Company and SOMO. To meet the Low Sulphur Heavy Stock (LSHS) requirement and shortfall in term crude requirement, MRPL also imported crude oil (1.525 MMT) through spot tender during the year.

New Crudes Tupi (API 29.9, Brazil), Amna (Libya, API- 37.6), Egina (API 27.6-LS Crude from Nigeria), Basrah medium (Iraq, API 27.9) and Baobab (Ivory Coast, API 22.59) were processed during the year.

Crude	Purchase		Consumption	
	'000 MT'	₹Crore	'000 MT'	₹Crore
MH Crude	1151	4882	1151	4883
RAVVA	189	832	189	832
EOA	4	21	4	21
KG	22	103	22	103
Mangala	1180	5105	1241	5255
Nagayalanka	10	51	10	51
CB Crude	25	129	25	129
Upper Zakum	835	3606	835	3607
Arab Heavy	2253	9476	2112	8618
Arab Extra Light	86	370	86	370
Arab Light	1333	6046	1333	6046
Kuwait	1701	7413	1846	7916
Dalia	213	769	213	769
Egina	140	573	140	573
Quaiboe Light	125	612	125	612
Basrah Light	2080	8368	2208	8820
Basrah Heavy	663	2721	663	2721
Basrah Medium	710	3785	517	2591
Bonga	130	882	130	882
Bonny Light	0	0	128	471
Baobab	145	915	145	915
WTI Midland	183	796	183	797
Girassol	131	514	131	514
Forcados Blend	134	676	134	676
Pazflor	142	747	142	747
Sokol	0	0	71	244
Tupi	136	484	136	486
Amna	83	348	83	348
Aseng	89	371	89	371
ISPRL Mix	760	3017	760	3017

5. Products

The production details are given below:

Products	Quantity Produced TMT	Quantity Sold TMT	Exports TMT
HSD	6364	6358	2959
MS	1727	1766	635
LPG	1049	1051	Nil
ATF	855	857	696
Petcoke	835	828	44
Polypropylene	460	457	63
Paraxylene	390	399	315
Marine Fuel Oil	328	328	328
Reformate	295	273	273
Sulphur	195	191	21
Naphtha	157	161	61
Benzene	148	147	108
Bitumen	131	132	Nil
Paraffin Rich Raffinate	123	148	148
Kerosene	48	46	Nil
Xylol	3	2	Nil
Heavy Aromatics	3	4	Nil

6. Performance

FY 2021-22 ushered in on the back of dismal preceding year when the average Benchmark GRM was 0.53/bbl. Your company's capacity utilization was affected at the beginning of the year due to lockdown and travel restrictions caused by the second wave of COVID pandemic. The capacity utilization in H1 was just above 80% and a GRM of USD 3.33/bbl was clocked. The Benchmark GRM for the same period was USD 2.92/bbl. With removal of travel restrictions, pick up in industrial activity and improvement in fuel demand the Capacity Utilization in H2 was commendable and the company ended the year at near 100% throughput. The product cracks improved during the year and the company turned around from loss in the previous year and registered a profit of ₹ 2955 Crore.

The Refinery has been continuously exceeding its operational excellence. After the initial dip in throughput in H1, the capacity utilization in H2 was 116 %. Operational and maintenance discipline has ensured high operating factor of all units and particularly key units like PFCC, DCU and PPU that deliver superior margins. Additionally, a feed pre-heating system in the Delayed Coker Unit has been incorporated that would enable longer run lengths. The polypropylene production at 460 KTPA was the highest achieved. The LPG production exceeded 1 MMT for the first time.

The year also saw the commissioning of major projects like BS-VI and Desalination Plant. The FGT Unit of the BS-VI project has enabled higher production of BS-VI grade Motor Spirit. During the year, your company produced the highest ever Motor Spirit of 1.72 MMT. Desalination Plant has effectively mitigated refinery risk associated with river water dependency and the refinery operations would not be exposed to drought condition.

The much awaited Marketing Terminal infrastructure project has been kick-started and on completion by October 2023 would propel MRPL's marketing expansion plans. MRPL presently has 35 Retail Outlets. The company intends to have nearly 250 Retail Outlets by March 2025.

7. Key financial parameters and ratios

Key financial Ratios are presented below:

Sl No.	Ratio Name	Formula	UoM	FY 2021-22	FY 2020-21*	Change in %
				Ratio		
1.	Debtor Turnover Ratio	Sales / Average Trade Receivable	No. of times	25.39	29.26	(13.25%)
2.	Inventory Turnover Ratio	Sales / Average Inventory	No. of times	9.78	8.95	9.27%
3.	Interest Service Coverage Ratio (ISCR)	Ebitda / (Interest & Finance Charges Net Of Amount Transferred To Expenditure During Construction)	No. of times	4.14	1.44	188.17%
4.	Current Ratio	Current Assets / Current Liabilities	No. of times	0.86	0.73	18.12%
5.	Debt Equity Ratio	Total Debt / Share Holder's Equity	No. of times	2.93	5.62	47.90%
6.	Operating Profit Margin	(Profit Before Exceptional Item And Tax + Finance Cost - Other Income) / Revenue From Operations Net Of Excise Duty	%ge	5.51	(1.44)	481.85%
7.	Net Profit Margin	Profit After Tax For The Period / Revenue From Operations Net Of Excise Duty	%ge	4.24	(2.39)	277.71%
8.	Return On Net Worth	(Total Comprehensive Income - Preferred Dividend) / Equity (Net Worth)	%ge	41.11	(17.91)	329.53%

*Figures for FY 2020-21 are restated on account of amalgamation of erstwhile subsidiary company ONGC Mangalore Petrochemicals Limited (Refer Note No. 50 of the Financial Statements) and also due to revision in formula as per revised Schedule III of Companies Act, 2013.

Major Reasons:

1. Mainly on account of increase in average trade receivables during current financial year.
2. Mainly on account of increase in Sales value during the current financial year
3. Mainly due to increase in EBIDTA during the current financial year.
4. Mainly due to reduction in overall borrowings on account of higher profit during the current financial year
5. Mainly due to reduction in overall borrowings on account of higher profit during the current financial year
6. Mainly due to increase in operational profit during current financial year.
7. Mainly due to increase in Profit After Tax (PAT) during current financial year
8. Mainly due to increase in Total Comprehensive Income (TCI) during current financial year.

8. Opportunities and Threats

8.1. Opportunities

Oil is an important source of energy and petrochemicals in India's quest for growth. With low per capita energy and petrochemicals base the contribution of oil would be significant. The pandemic resulted in demand destruction and inventory build-up. This caused the prices to crash to historic lows. Demand has picked up

since then and product margins have improved. The refinery capacity utilization has normalized in the country, revenues have improved and profits have been registered. Though oil demand growth could fall in the long term, oil would continue to serve the non-transient of India in the next two decades.

Petrochemical growth is resilient and in future the role of integrated fuel and petrochemical refineries would only be more relevant. Refineries have large upfront costs. The legacy asset of MRPL would be utilized for cost optimization during next expansion which would reconfigure your company with end to end integration. The petrochemicals market is well growing but is smaller than the fuels market in volumes. The investments would be calibrated for better returns.

There are emerging trends in Bio-fuels and Green H₂. The company cannot afford to ignore these developments. They are maturing and their costs are still high. However, your refinery would not continue to rely on only its fuels portfolio in the future.

8.2. Threats

Like all commodities oil is very volatile and complex with events in one part of the world having a ripple effect on another. While the world economy was slowly recovering, the crisis triggered by the Russia-Ukraine events caused a turmoil and one is unsure how long the consequences would last and to what extent the effects would be. The world oil demand recovery to pre-covid levels would probably be pushed to 2024.

Notwithstanding the recent geo-political events, fuel demand has picked up and the product cracks have much improved over the historic lows of the previous year. The refinery typically has been exporting one third of its products and therefore the normalcy in domestic and foreign markets are both important for its operations. The road transportation fuels (MS and HSD) and the air transportation fuel (ATF) together comprise about 60% of the products. An uneven demand recovery poses a challenge to the Refinery.

Government is pushing clean energy adoption. Hydrogen technology is emerging in the firmament. Electrification of transport is seeing large traction as part of clean fuel transition. All these events foretell the imminent threat that refiners must be prepared for. The government regulations in this context could require capital investment for compliance. New capacity additions in India and the Asian region would continue to maintain a margin pressure and not allow the product cracks to rise significantly. Most of the modern refineries built are complex in nature capable of processing sour and medium to heavy crudes.

The alternative fuels like EVs, LNG/CNG and Hydrogen are not anticipated to displace traditional fuels in the medium term. The medium term threat is limited. The transition period would be utilized for consolidation before the next transformational change.

New Mangalore Port Authority intends to give out the captive jetties of MRPL to other parties apparently under the Captive Policy of the Ministry of Shipping. The company is engaged with the port for resolution and has asserted its contractual rights over the jetties.

9. Strengths and Weaknesses

9.1 Strengths

Your company's growth has evolved with changing dynamics of market forces and advances in refinery processes and configurations. The Refinery is capable of processing heavy and sour crude to produce lighter and sweeter products. The company has seen a directional shift with petrochemicals production. The by-products of its fuel processes are now being utilized for manufacture of aromatics and polyolefin molecules. The number of end products from crude have increased over time. The technologies incorporated ensure compliance to changing environment regulations. The presence of petrochemicals improves the refinery performance as a profit centre. Amalgamation of subsidiary OMPL with itself aims to achieve this. In a decade the company would be strategically investing in technologies that reposition its assets to changing markets. It would aim to lock in value with deeper penetration into petrochemicals.

The energy transition would guide the timelines that the company would set upon itself for investment in future products. The intervening period would also allow the Refinery to taper debt before the next big capital investment. The aim would be to transform the company to a second generation integrated complex that is defined by high petrochemical contribution way more than the traditional 10-15%. Meanwhile, performance opportunities are being identified through capital discipline, efficient asset utilization and purposeful marketing strategies for better margins.

The company continues to evaluate opportunities in clean fuels (bio fuels) on an economic proposition for value maximization to stakeholders. Companies of the future would be identified by their carbon credentials. This would be important not only for the sake of environment but also for operational sustenance as this could be one of the metrics for credit worthiness. The refinery intends to have a portion of its energy requirements met by green power from grid in the future.

9.2 Weaknesses

Your company has a high exposure to transportation fuels. This is also systemic. There are changes occurring in the type of primary energy being used. Rapid electrification, surplus electricity generation, adoption of electric power train for vehicles and rising fuel economy standards could alter the fuel consumption pattern. This could create an imbalance within and across sectors. With only 10% of its products being petrochemicals the refinery is constrained by its ability to swing production with decreasing fuel demand. India's fuel momentum that is projected to slow later than that in the west would provide your company with time to address these challenges through product hedging with petrochemicals production.

Your Refinery is dependent on Oil Marketing Companies for product upliftment. The company has a well drawn retail expansion plan and has also started work on its new oil marketing terminal near Bengaluru. The present refining capacity in India exceeds demand. Being a coastal refinery has enabled the company to export surplus products after satisfying domestic demand. This has ensured Capacity Utilization. Its coastal location has enabled the company to export its products for sustaining operations without compromising on operations. This will allow your company to navigate through the medium term while strategizing for the long term.

Refining and Petrochemicals is a multibillion industry where investments would depend on predictability of profits over a long time frame. As there is more visibility on the markets in future, your company would be better placed with projections and capital for the next phase of expansion.

Crude is a feedstock. Additionally, it is also a fuel source for steam and power generation. The energy cost for the company is linked to the price of crude and is significant in the total input cost. Captive Power Generation was considered for reliable operations previously. With a changing energy landscape and falling costs, your company intends to offset the use captive power with cheaper grid power through capacity augmentation.

10. Risks

10.1 Crude Supply and Price Risk

The availability of stable and affordable crude oil supplies is important. Crude procurement is integrated with refinery economic model and market demand to optimize margins. Oil prices can be impacted by geo-political and natural causes. The pandemic wreaked havoc on the crude prices.

MRPL enters into term contracts with National Oil Companies for security of supply to ensure it receives certain volume of crude oil every month as base load for its plant. The company goes out into the spot market for additional cargoes. The presence of the refinery on the western coast provides it with a short haul advantage for crude procurement. This gives it the flexibility to store just the optimum quantity of crude for its operations resulting in lesser working capital requirements. The optimum quantity of crude storage coupled with product inventory keeps the product cycle minimum and reduces time lag in crude and product prices. To reduce dependence on select countries, your company has been continuously diversifying. Five new types of crudes were processed during the year.

The feedstock for the refinery is selected based on a complex operating model, run monthly, to deliver maximum worth of product. Rolling plans and reviews are done on a monthly basis for market assessment, crude procurement, optimization of inventory holdings and business process evaluation on back cast mode. The refinery is designed to process wide range of raw material supplies that do not have fixed quality parameters. The design ensures efficient refinery operations despite variability.

Specifically, to the ongoing Ukraine-Russia war higher crude prices do have an impact on the margins of the company on account of the impact on cost of production (F&L) component. However, in the present rally, the high crude price is on account of supply side disruption with no changes to demand. This has resulted in the product prices also going up significantly. It is assessed that while there are some negative impacts on account of the crude price hike, the current

product prices more than compensate these effects. A quicker deal with Iran and Venezuela crude coming back into the market would ease the price burdens significantly in the event the Ukraine war prolongs.

Mechanism of hedging of price of crude is being evaluated and is expected to be put in place soon.

10.2 Refinery Margin Risk

The crude cost and product price are internationally determined over which the company does not have control. Crude is selected on the basis of maximum economic value accrued to the company. Crude and Product inventory is determined at optimum based on operational schedule and requirement. This mitigates the risk of value of the holdings although the price is market determined. A major consideration for boosting the profitability of the company is to keep operating units running and available. Your refinery has ensured equipment reliability for extended run lengths, improvement in energy efficiency through integration and reduction in energy loss. A high operation availability is ensured to spread the operating and fixed costs over larger production runs to improve margins. This lengthens the interval time between shutdowns and overhaul. Debottlenecks are being identified and eliminated within units for marginal expansion in unit throughputs.

An important aspect of the refinery is to identify margin drivers. Secondary Feed is sourced suitably to supplement crude to saturate units that are high margin drivers.

The Refinery is focussed on controlling cost. The energy costs are being lowered. The refinery undertakes capital investment for a variety of reasons, including expanding existing production facilities (revamps), implementing new or enhanced technology and regulatory compliance. With the exception of investments to ensure compliance with environmental and other regulations, other activities are strictly treated to be competing for capital resources based on potential returns.

On the asset side, OMPL has been merged with MRPL. Structurally, this is a process of economic rationalization through removal of operational inefficiencies. On the output side, the marketing expansion activity by the company would result in a refining cum marketing entity which on an integrated basis would be a superior profit centre. Having stated that, it must be noted that for performance evaluation your company continues to monitor gross refining margin and improve net refining margin by reducing internal energy costs and other operating costs.

Setting of new capacities is expensive business. Your company has been identifying and implementing revamp opportunities for superior returns with low investments. The revamp of the CCRs is a case in point. This is the cheapest way of producing additional quantity of product for the market because it eliminates the fixed costs associated with a new asset, gains from economy of scale of expanded asset and is less time consuming to implement.

A thrust on clean energy adoption in transportation would result in falling demand growth. This would represent the quantity of oil that the Refinery would not have to process in the future for producing fuels. The aromatic and olefinic production pathways presently buffer any downward pressure on margins on the fuels. In the long term, capital investments would be made in building newer products and not adding capacities to existing products.

Mechanism for hedging of product margins is being evaluated and is expected to be put in place soon.

10.3 Water Supply Risk

The risk of Refinery Operations being impacted by shortage of water has been addressed by the commissioning of the Desalination Plant in December 2021. The desalination plant has been set up at an installed capacity of 6 MGD expandable to 15 MGD. Shutdowns necessitated due to water shortage during summer would henceforth be an occurrence of the past.

MRPL has also been consuming about 3~4 MGD of treated sewage water. This intake could further be increased as additional treatment capacities are installed by the city authorities. With an eventual Desalination Plant capacity of 15 MGD and supplemented by treated sewage water the company's water requirements arising due to future expansions have also been taken care off.

With the commissioning of the Desalination Plant it is believed that the risk to operations by disruption of river water supply is fully mitigated.

11. Human Resources

During the financial year 2021-22, your Company continued to enjoy cordial and harmonious relations with all the employees and as evidence to the same not a single man-hour was lost on account of any industrial disturbance. The Long Term Settlement for the period upto 31st December 2026, with the MRPL Employees Union was reached in the current fiscal.

Total employee strength was 2100 including 146 women employees, 322 SC/ST employees and 37 Physically Challenged employees. 923 employees belong to Management cadre whereas 1177 employees belong to Non-Management cadre.

11.1 Total employee strength of Aromatic Complex

Total employee strength in Aromatic Complex as on 31/03/2022 was 472. Out of which, 179 employees belonged to Management cadre and 293 employees belonged to Non-Management cadre. It included 297 Project Displaced Family (PDFs) Candidates. 83 Women employees constituted over 18 percent of Aromatic Complex's workforce.

12. Internal Control Systems

Your Company has a well-established internal control mechanism which ensures effective internal control environment. Your Company is constantly improving and upgrading its system of internal control towards ensuring management effectiveness and efficiency, reliable reporting on operations and finances and securing high level legal compliance and risk management. Adequate systems of internal control commensurate with the Company's size and nature of its operations are in place. These have been designed to provide reasonable assurance with regard to recording and providing reliable financial and operational information, complying with applicable statutes, safeguarding assets from unauthorized use or losses, executing transactions with proper authorization and ensuring compliance of corporate policies.

The Internal Audit is supervised by the Audit Committee which continuously monitors the effectiveness of the internal control systems with an objective to provide to the Board of Directors, an independent, objective and reasonable assurance on the adequacy and effectiveness of the organization's risk management control and governance process. The Audit Committee reviews adequacy and effectiveness of the Company's internal control environment and monitors the implementation of audit recommendations and follow up actions.

Your company is also covered by regular compliance and performance audits by the Comptroller and Auditor General of India. CAG has deputed a Resident auditor to the company. The company is also under the jurisdictional oversight of the Central Vigilance Commission and has a full-fledged Vigilance Department headed by a Chief Vigilance Officer.

13. Subsidiaries and Joint Ventures

13.1. Amalgamation of ONGC Mangalore Petrochemicals Limited (OMPL) with MRPL

OMPL (erstwhile subsidiary) has been merged with MRPL with appointed date as 1st April 2021.

13.2 Shell MRPL Aviation Fuel Services Limited (SMAFSL)

The company has Joint Venture viz. Shell MRPL Aviation Fuel Services Limited (SMAFSL) with Shell B.V. Netherlands wherein your company holds 50% of share capital and the balance is held by Shell Gas BV, The Netherlands. The accounts of SMAFSL have been consolidated with MRPL's Accounts.

SMAFSL supplies aviation turbine fuel (ATF) to both domestic and international airlines at several Indian airports and acts as a contracting company for Indian carrier's International Aviation Fuel requirements. The total income for FY 2021-22 is ₹673.19 Cr as against ₹260.49 Crores in FY 2020-21 with Pre-tax profit of ₹24.0 Crore (Previous Year ₹1.25 Crore) and post-tax profit of ₹17.9 Crore (Previous Year ₹0.8 Crore).

13.3 Mangalam Retail Services Limited (MRSL)

During 2017-18, the Company reduced its shareholding in Mangalam Retail Services Limited (MRSL) to 18.98% and accordingly MRSL presently is not an associate Company of MRPL. MRSL has not yet started commercial operations.

14. Conclusions

Your company has turned around from the previous fiscal when business was affected by low capacity utilization and historic lows in product cracks due to global pandemic. The company would continue to tread cautiously and take measures to consolidate its income. The capacity utilization of the Refinery at 116% in H2 is noteworthy. The availability of the plant to deliver on demand has enabled your company to seize opportunities even during volatility. The ongoing Russian action in Ukraine has caused a lot of disruption. The refinery has demonstrated its ability to maintain crude supplies in such a scenario and leverage high product cracks that are there to be gained. The company has broken many records during the year. Record production numbers have been achieved in LPG, Polypropylene and MS production. All this has been accomplished at the lowest specific energy consumption. Energy is an important cost input in Refinery processes. The company has been allocating capital thriftily for energy efficiency improvement. The company is working on time bound targets for further reduction in energy use and operating expenses. An important aspect is that incremental product quantities have been achieved with existing assets only. In the present times characterized by emerging energy alternatives, precious capital would not be invested for making additional fuels through new assets.

Marketing expansion is underway and this would improve profit margins. The combined effect of control in operating expenses and improvement in margins would allow the company to deleverage before the next phase of growth.

Petrochemicals is the only pathway that provides an alternative to a refiner for business relevance in an alternate scenario. Oil and Gas are the only source of petrochemicals in the world on an economical and commercial scale. The integration of OMPL with MRPL has set your company on this course.

15. Forward Looking Statements

All statements that address expectations or projections about the future, but not limited to the Company's strategy for growth, product development, market position, expenditures and financial results, are forward-looking statements. Since these are based on certain assumptions and expectations of future events, the Company cannot guarantee that these are accurate or will be realised. The Company's actual results, performance or achievements could thus differ from those projected in any forward-looking statements. The Company assumes no responsibility to publicly amend, modify or revise any such statements on the basis of subsequent developments, information or events. The Company disclaims any obligation to update these forward-looking statements, except as may be required by law.

CORPORATE GOVERNANCE REPORT

1. OUR CORPORATE GOVERNANCE PHILOSOPHY

Corporate Governance encompasses a set of systems and practices to ensure that the Company's affairs are being managed in a manner which ensures accountability, transparency and fairness in all transactions in the widest sense. MRPL maximizes shareholders value while safeguarding and promoting the interest of stakeholders and maintain a steadfast commitment to ethics and code of conduct. The philosophy of the Company on Corporate Governance envisages the attainment of the highest levels of transparency, accountability and ethics, in all facets of its operations, with the primary objective of enhancing shareholder value.

The Company complies with the changes brought in the area of Corporate Governance by the Companies Act, 2013 and the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 [SEBI (LODR) Regulations, 2015]. Besides adhering to provisions of SEBI (LODR) Regulations, 2015, the Company also follows the Guidelines on Corporate Governance for Central Public Sector Enterprises (CPSEs) issued by the Department of Public Enterprises (DPE), Government of India except with regard to availability of requisite number of Independent Directors on the Board of the Company upto 15/11/2021. However by end of year 31/03/2022, the Company has complied with requisite number of Independent Directors with regard to DPE Guidelines but continues to be non-compliance with respect to Board Composition under SEBI(LODR) Regulation, 2015. MRPL being a Central Public Sector Enterprise (CPSE), Directors on the Board of the Company are appointed by the Administrative Ministry i.e. Ministry of Petroleum & Natural Gas (MoP&NG), Government of India. Appointment of requisite number of Independent Directors on the Board of MRPL is pursued with the Administrative Ministry, Government of India (GoI).

The Company believes that an active, well-informed and independent Board is necessary to ensure the highest standards of Corporate Governance. The Board of Directors of the Company is at the core of adopting the best practices of Corporate Governance. The Board thus oversees the Management functions and protects the long-term interests of our stakeholders.

The Corporate Governance framework of the Company is based on the following broad principles:

- Protecting and facilitating the exercise of shareholders' rights;
- Committed to a transparent system and values; which recognize the rights of the stakeholders and encourage co-operation between Company and the Stakeholders;
- Timely and accurate disclosure on all material matters including the financial situation, performance, ownership and governance of the Company;
- Operating in a sound system of internal control with a thrust on integrity and accountability;
- Ensuring timely and adequate disclosure of all material information to all Stakeholders;
- Ensuring compliance of applicable laws, guidelines, rules and regulations;
- Committed for equitable and fair treatment to all its stakeholders and society at large;
- Effective Whistle Blower Policy mechanism is provided for the Stakeholders.

2. BOARD OF DIRECTORS

The Board of Directors functions within the purview of Corporate Governance norms in transparent and effective manner. The Company has an exhaustive Book of Delegated Powers (BDP) and other manuals like Material Management, Works Manual etc., which spell out the processes and define the level (Board/Committee of Directors/Functional Director) at which any decision is to be made and are reviewed from time to time to ensure that they are

updated and meet the needs of the organization. The Company has 6 sub-committees of the Board which deliberate upon various important matters and advise the Board on the course of action to be taken.

A. Composition of Directors along with other Directorship as on 31/03/2022: 13

Executive Director : 03

Non-Executive Directors (Nominee Directors): 05

Non-Executive Directors (Independent Directors): 05

B. Board of Directors as on 31/03/2022

Directors Name & DIN	Category	Skills/Expertise/Competence	Other Directorship			Outside Committees	
			No.	Name of the Company	Designation	Committee Name	Designation
Dr. Alka Mittal (DIN:07272207)	Chairperson Non-executive Director(ONGC Nominee)	Dr. Alka Mittal is a post graduate in Economics, MBA (HRM) and Doctorate in Commerce and Business Studies. She joined ONGC as a Graduate Trainee (GT) in 1985 and brings with her an extremely rich experience spanning over three decades. Dr. Mittal is the first woman to hold the charge of a full-time Director in ONGC's history as Director (HR) from 27.11.2018. She is also on the Board of ONGC Mangalore Petro-chemicals Limited (OMPL) as ONGC nominee Director since August 2015. She was also a nominee Director on the Board of HPCL. Previously, she worked as Head CSR, ONGC at Corporate Office of ONGC and took up major CSR projects across India. She has a special penchant for training and mentoring and has trained more than 11000 GTs of ONGC since 2001 on "Corporate Governance" as part of their induction program. As a senior HR specialist, Dr. Alka Mittal has made rich contributions in various professional forums and bodies. She is an Executive Committee member of	7	1. Oil and Natural Gas Corporation Limited	CMD (Additional Charge) & Director (HR)	Stakeholders Relationship Committee	Member
				2. ONGC Videsh Limited	Chairperson	NIL	NA
				3. ONGC Petro-Additions Limited	Chairperson	NIL	NA
				4. ONGC Mangalore Petrochemicals Limited	Chairperson	NIL	NA
				5. Mangalore SEZ Limited	Chairperson	NIL	NA
				6. ONGC Tripura Power Company	Chairperson	NIL	NA
				7. Petronet LNG Limited	Director	NIL	NA

		NIPM (National Institute of Personnel Management) and was President of Forum for Women in Public Sector (WIPs), Northern Region till recently and heads the Women Development Forum of ONGC. Currently, Dr. Mittal is holding additional charge of Chairperson and Managing Director, ONGC.					
Shri M Venkatesh (DIN: 07025342)	Managing Director & Chief Executive Officer (CEO)	• He is a Chemical Engineer having over three decades of experience in Oil & Gas Sector. • He is associated with MRPL since 1994 and executed all major projects.	3	1. ONGC Mangalore Petrochemicals Limited	Director	Nomination & Remuneration Committee	Chairman
				2. Petronet MHB Limited	Director	Nomination & Remuneration Committee	Chairman
				3. Mangalore SEZ Limited	Director	Nomination & Remuneration Committee	Member
						Audit Committee	Member
Smt. Pomila Jaspal (DIN:08436633)	Director (Finance) & Chief Financial Officer (CFO)	• Smt. Pomila Jaspal a fellow member of the Institute of Cost Accountants of India (ICMAI) and Gold medalist joined ONGC on 1st April 1985 as Finance & Accounts Officer. Before her appointment in MRPL, she was an Executive Director - Chief Corporate Finance, ONGC. She handled varied assignments including corporate finance functions such as Direct tax, Indirect tax, Investor relations, Corporate Budget & Project Appraisal etc. Mrs. Jaspal was also on the Board of ONGC PetroAdditions Limited.	2	1. Petronet MHB Limited	Director	NIL	NA
				2. ONGC Mangalore Petrochemicals Limited	Director	Audit Committee	Member

Mangalore Refinery and Petrochemicals Limited

Shri Sanjay Varma (DIN: 05155972)	Director (Refinery)	• He has a diversified experience of 30 years in Petroleum Refining, Petrochemicals and Fertilizer sectors. He has rendered more than 26 years of service at MRPL, Mangalore with cross-functional work exposure in Project, Operations, Utilities, Materials and HSE • He has led as Group General Manager (I/c Refinery) before becoming Director (Refinery). • He has previously served in reputed organizations like Indo Gulf Fertiliser, Jagdishpur, UP and Reliance Industries Ltd (Petrochemical Division) Hazira, Gujarat before joining MRPL.	2	1. Shell MRPL Aviation Fuels and Services Limited.	Director	Audit Committee	Member
				2. ONGC Mangalore Petrochemicals Limited	Director	Nomination & Remuneration Committee	Member
Shri Om Prakash Singh (DIN: 08704968)	Non Executive Director (ONGC Nominee)	Shri Om Prakash Singh is a Mechanical Engineer with more than 33 years of experience. Shri Singh has built a deep industry understanding and proven management experience across the technical and commercial roles he undertook during his career. Shri Singh has a distinguished track record as a drilling engineer and has demonstrated dynamic leadership and vision, as he progressed through various roles within the company. He is well-versed with national and international Exploration & Production business and carries an extensive experience of offshore and	5	1. Oil & Natural Gas Corporation Limited	Whole Time Director	Nomination & Remuneration Committee	
				2. ONGC Tripura Power Company Limited	Director	Audit Committee	Member
				3. North East Transmission Company Limited	Director	Nomination & Remuneration Committee	Member
				4. ONGC Petro Additional Limited	Director	NIL	NA
				5. ONGC Mangalore Petrochemicals Limited	Director	NIL	NA

		onshore operations. He has a vast industry knowledge and global business experience. He has played major roles in handling the challenging deepwater drilling project in India and overseas projects in Vietnam, Iran, Qatar and Brazil. Shri Singh's tenure as Head Nhava Supply Base has been very impressive. In challenging conditions, he exhibited a leading role with enthusiasm, clarity and discipline; thereby transforming the performance of the Nhava Supply Base. With a focus on performance metrics and a continual drive for excellence, Shri Singh spearheaded Tripura Asset as the Asset Manager. During his tenure, the Asset made significant improvements – as he was instrumental in a number of initiatives and enhanced the overall performance of the Asset by fast-tracking projects and synergizing resource mobilization and its utilization. Shri O P Singh is also on the Board of Oil and Natural Gas Corporation Limited, ONGC Tripura Power Company Limited and North East Transmission Company Limited.				
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Shri Vinod S. Shenoy (DIN: 07632981)	Non-Executive Director (HPCL Nominee)	• He is a Bachelor in Chemical Engineering from IIT Bombay. • During his career spanning over three decades, he has held various positions in the Refinery Divisions and Corporate Departments of Hindustan Petroleum Corporation Limited and has wide exposure to the Petroleum Industry.	6	1. Hindustan Petroleum Corporation Limited	Whole Time Director	NIL	NA
				2. HPCL- Mittal Energy Limited	Director	NIL	NA
				3. Prize Petroleum Company Limited	Director	NIL	NA
				4. Ratnagiri Refinery and Petrochemicals Limited	Director	NIL	NA
				5. HPCL Rajasthan Refinery Limited	Director	NIL	NA
				6. HPCL Biofuels Limited	Director	NIL	NA
Shri Rohit Mathur (DIN: 08216731)	Non-Executive Director (Govt. Nominee)	• He is Joint Secretary (Admin), Ministry of Petroleum and Natural Gas (MOP&NG) is a Mechanical Engineer from Thapar College of Engineering, Patiala and has also completed Master of Finance and Control (MFC) from Delhi University. • Prior to this assignment he was Director (S, CC & FP), MOP&NG handling matters relating to Refineries Sector, Biofuels, Petrochemicals, crude oil supply and flagship programmes. • He has also worked in various capacities in other Ministries viz. Ministry of Agriculture, Food Processing Industries, Ministry of Finance		NIL	NA	NIL	NA

		(Department of Economic Affairs), Department of Biotechnology and Ministry of Health & Family Welfare.					
Smt. Esha Srivastava (DIN: 08504560)	Non-Executive Director (Govt. Nominee)	- She is OSD (IC), Ministry of Petroleum and Natural Gas (MoP&NG) since March, 2019. Smt. Srivastava had served in the Ministry of External Affairs as Deputy Chief of Mission in Thimphu, Third Secretary at Paris. - She had also served on the Board of ONGC Videsh Limited and Indian Strategic Petroleum Reserves Limited (ISPRL). - She was also on the Board of Bharat Petro Resources Limited and GAIL (India) Limited.	2.	1. ONGC Videsh Limited	Director	NIL	NA
				2. Indian Strategic Petroleum Reserves Limited	Director	NIL	NA
Shri R.T. Agarwal (DIN: 01937329)	Non-Executive Independent Director	- He is a Chartered Accountant by profession, having more than 36 years of experience in corporate finance and accounts functions. - He was Director (Finance) of Power Grid Corporation of India Ltd. (PGCIL), a 'Navratna' company under Ministry of Power, Govt of India, from 29 July 2011 until attaining super annuation.		NIL	NA	NIL	NA

		● Prior to being taken over as functional Director of PGCIL, world's second largest Power Transmission Company, he had worked in finance functions of PGCIL and also in NTPC in various capacities. Accredited with 'CFO-Power Sector Award' from Institute of Chartered Accountants of India in the year 2015. ● He was associated with Initial Public Offering (IPO) of PGCIL, and subsequently piloted the Follow on Offers (FPO) in the year 2013. Resource mobilization from Domestic as well as from International financial institutions including multilateral financing institutions like the World Bank, Asian Development Bank (ADB), IFC, KfW, Germany for the high Capex of PGCIL attaining CAGR more than 17% year on year basis. Raised the first foreign currency Bond of PGCIL and listed the bond in Singapore Exchange. ● He has also implemented various financial management systems and procedures in finance functions including Treasury management and internal audit functions				
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		of the company for best corporate governance practices. ● He has also instituted Enterprise-wise Risk management system in PGCIL. ● His regular and periodic interactions with both domestic and international investors and analysts has improved investors' confidence with the company, which helped PGCIL stock a most favoured stock in Indian power sector.					
Shri Rajkumar Sharma (DIN:01681944)	Non-Executive Independent Director	Shri Rajkumar Sharma, a Commerce and Law Graduate, is also a Fellow Member of the Institute of Company Secretaries of India, New Delhi. Shri Sharma is Practicing Company Secretary since 1997 in Guwahati. He has wide expertise in handling Income tax matters up to investigations, appeal matters and Company law matters including merger, demerger and restructuring of Companies. He has been Chairman of North-East chapter of Institute of Company Secretaries of India in year 2011-2012. He has also been Secretary of Tax Bar Association in 2006, a premier body of Tax Practitioners of Assam. He had served on the Board of Numaligarh Refinery Limited as Independent Director till 2019. Shri Sharma is also State Executive Member of	3.	1.Lumding Plywood Pasting Private Ltd	Director	NIL	NA
				2. Makhan Bhog Ventures Private Limited	Director	NIL	NA
				3. Meghalaya Boards Private Limited	Director	NIL	NA

		Marwari Yuva Manch. He is a regular and acclaimed Speaker on Income Tax Law, Company Law in various professional platforms.					
Smt. Nivedida Subramanian (DIN:01681944)	Non-Executive Independent Director	Smt. Nivedida Subramanian is a Law Graduate and has also have done Masters in Administration (MBA) and Masters in Law (LLM.) By profession, she is Lawyer since 2007 and SC accredited Mediator since 2015. She is also into social services.	2.	1. Nevaara Solutions Private Limited	Director	NIL	NA
				2. Radha-balakrishnan Memorial Foundation	Director	NIL	NA
Shri Manohar Singh Verma (DIN:09393215)	Non-Executive Independent Director	Shri Manohar Singh Verma had completed graduation and masters in Civil Engineering with specialization in Water Resources. He had worked as Lecturer and Associates Professor in Shri Govindram Seksaria Institute of Technology and Science (SGSITS), Indore and SSVPS Engineering College, Dhule. He joined MP State Police Service in 1989 and served in Madhya Pradesh at Chhindwara, Rewa, Seoni, Ujjain, Jabalpur, Gwalior and Bhopal in various capacities. He was inducted into Indian Police Service (IPS) with seniority of the year 2003. He has worked as Superintendent of Police (SP) Mandsaur and SP Ujjain. He has also worked as Deputy Inspector General (DIG) of Police at Gwalior, Deputy Inspector General (DIG) of Police		NIL	NA	NIL	NA

		at Khargone and Deputy Inspector General (DIG) of Police at Jabalpur, from where he retired in June, 2020. Shri Verma has been conferred with Police Medal for meritorious service in 2009 and Police Medal for Gallantry in 2011 by the President of India. He has also been conferred with the Simhashta Jyoti Medal for his services as Superintendent of Police (SP) during Simhashta 2016 at Ujjain.					
Shri Pankaj Gupta (DIN: 09393633)	Non-Executive Independent Director	Shri Pankaj Gupta is a Commerce and Law Graduate. By profession, Shri Gupta is Practicing in Civil & Revenue Matters at District headquarters, Collectorate, Etah. He is actively engaged in social services.		NIL	NA	NIL	NA

Note: Membership/Chairmanship pertaining only to Audit Committee, Nomination & Remuneration Committee and Stakeholders relationship Committee are considered.

(i) Particulars of Appointment of a New Director or Re-Appointment of a Director in terms of Regulation 36(3) of the SEBI (LODR) Regulations, 2015

Brief Resume of following Directors proposed to be appointed or re-appointed mentioning qualification, expertise, names of the companies in which they hold Chairmanship/Directorship in the Board and Chairmanship/ Directorship in the Board sub-committees, share holding in these Companies and relationship between director inter-se pursuant to Regulation 36(3) of the SEBI (LODR) Regulations, 2015 with Stock Exchanges are provided in the Notice of the 34th Annual General Meeting.

- Shri Vinod S Shenoy (DIN: 07632981), retires from office by rotation and being eligible offers himself for re-appointment as Director
- Shri Rajkumar Sharma (DIN: 01681944), Smt. Nivedita Subramanian (DIN:08646502), Shri Manohar Singh Verma (DIN: 09393215) and Shri Pankaj Gupta (DIN:09393633) appointed as Additional Directors on the Board of MRPL w.e.f. 15/11/2021, Dr. Alka Mittal (DIN: 07272207) appointed as Additional Director on the Board of MRPL w.e.f. 11/01/2022, Shri. Asheesh Joshi (DIN:09005888) appointed as Additional Director on the Board of MRPL w.e.f. 14/06/2022 and Smt. Pomila Jaspal (DIN: 08436633) appointed as Additional Director on the Board of MRPL w.e.f. 15/07/2022, are proposed for re-appointment as Directors in the ensuing Annual General Meeting.

(ii) Past Directors

Director	Executive/ Non-Executive	Category	No. of other Directorship		No. of outside Committees	
			Public	Private	Member	Chairman
Shri Shashi Shanker	Non-Executive	Non- Executive Nominee Director	-	-	-	-
Shri Subhash Kumar	Non-Executive	Non- Executive Nominee Director	1. Oil and Natural Gas Corporation Limited		Stakeholders Relationship Committee	
			2. Petronet LNG Limited	-	-	-
			3. ONGC Videsh Limited	-	-	-
			4. Mangalore SEZ Limited	-	-	-
			5. ONGC Tripura Power Company Limited	-	-	-
			6. Petronet MHB Limited	-	-	-
			7. ONGC Petro Additions Limited	-	-	-
			8. ONGC Mangalore Petrochemicals Limited	-	-	-

(iii) Changes in the Board of Directors during 2021-22

Director	Date of Appointment	Date of cessation	Tenure	Remarks
Shri Shashi Shanker	01/10/2017	01/04/2021	Superannuation from the services of Parent Company i.e. ONGC or until further orders, whichever is earlier.	Vacated the office of Chairman/ Director w.e.f. 01/04/2021 on attaining the age of superannuation from the services of Oil and Natural Gas Corporation Limited as Chairman & Managing Director on 31/03/2021.

Shri Subhash Kumar	15/05/2018	01/01/2022	Superannuation from the services of Parent Company i.e. ONGC or until further orders, whichever is earlier.	Vacated the office of Chairman/ Director w.e.f. 01/01/2022 on attaining the age of Superannuation from the services of Oil and Natural Gas Corporation Limited as Chairman & Managing Director on 31/12/2021.
Shri Om Prakash Singh	07/06/2021	NA	Superannuation from the services of Parent Company i.e. ONGC or until further orders, whichever is earlier.	Appointed as Nominee Director of ONGC.
Shri Rajkumar Sharma	15/11/2021	NA	Three years from the date of appointment or until further orders, whichever is earlier.	Appointed as Non-official Independent Director by Ministry of Petroleum & Natural Gas (MoP&NG), Government of India
Smt. Nivedita Subramanian	15/11/2021	NA	Three years from the date of appointment or until further orders, whichever is earlier.	Appointed as Non-official Independent Director by Ministry of Petroleum & Natural Gas (M o P & N G) , Government of India
Shri Manohar Singh Verma	15/11/2021	NA	Three years from the date of appointment or until further orders, whichever is earlier.	Appointed as Non-official Independent Director by Ministry of Petroleum & Natural Gas (M o P & N G) , Government of India.
Shri Pankaj Gupta	15/11/2021	NA	Three years from the date of appointment or until further orders, whichever is earlier.	Appointed as Non-official Independent Director by Ministry of Petroleum & Natural Gas (M o P & N G) ,
Dr. Alka Mittal	11/01/2022	NA	Superannuation from the services of Parent Company i.e. ONGC or until further orders, whichever is earlier.	Appointed as Chairperson on Board of MRPL.

(iv) Changes in the Board of Directors after 31/03/2022

- Smt. Pomila Jaspal (DIN: 08436633), Director(Finance), resigned from the Board of MRPL w.e.f.18/04/2022 consequent upon her appointment as Director (Finance), Oil and Natural Gas Corporation Limited.
- Shri. Asheesh Joshi (DIN: 09005888) has been nominated by Ministry of Petroleum and Natural Gas (MoP & NG) vide its letter dated 14/06/2022 as Government Nominee Director on the Board of MRPL with effect from 14/06/2022 for a period of 3 years on co-terminus basis or until further order from Ministry of Petroleum and Natural Gas, Government of India, whichever is earlier.
- Nomination of Smt. Esha Srivastava (DIN:08504560) has been withdrawn by Ministry of Petroleum and Natural Gas (MoP&NG), Government of India, vide its letter dated 14/06/2022 with effect from 14/06/2022.
- Nomination of Shri.Om Prakash Singh (DIN:08704968), Nominee Director, has been withdrawn by Oil and Natural Gas Corporation Limited (ONGC) vide its letter dated 23/06/2022 from the Board of MRPL with effect from 23/06/2022.
- Smt. Pomila Jaspal, (DIN:08436633), has been nominated by Oil and Natural Gas Corporation Limited. (ONGC) vide its letter dated 23/06/2022 as nominee Director on the Board of MRPL. The Board Approved the same on 15/07/2022.

v) Changes in the Key Managerial Personnel after 31/03/2022

- Smt. Pomila Jaspal, Director (Finance) & Chief Financial Officer (CFO), resigned from the post of Director (Finance) & CFO w.e.f. 18/04/2022 consequent upon her appointment as Director (Finance), Oil and Natural Gas Corporation Limited.
- Shri Yogish Nayak S has been appointed as Chief Financial Officer w.e.f. 27/04/2022.

A. Attendance of Directors at the Board Meetings held during the financial year 2021-2022 and 33rd Annual General Meeting held on 04/09/2021

(i) Details of Board Meetings held during the Financial Year 2021-22

During the year 2021-22, Seven (7) Board Meetings were held.

Date of meeting	Meeting No.	Place
17/05/2021	236	Through VC/OAVM
10/06/2021	237	
29/07/2021	238	
17/09/2021	239	
26/10/2021	240	
03/12/2021	241	
28/01/2022	242	

(ii) Attendance of Directors during the Financial Year 2021-22

Director	No. of Board Meetings Attended	Attended Last AGM
Dr. Alka Mittal*	1	NA
Shri M. Venkatesh	7	Yes
Shri Sanjay Varma	7	Yes
Smt. Pomila Jaspal	7	Yes
Shri Om Prakash Singh*	6	Yes
Shri Vinod S. Shenoy	7	Yes
Shri Rohit Mathur	7	Yes
Smt. Esha Srivastava	7	No
Shri R. T. Agarwal	7	Yes
Shri Rajkumar Sharma*	2	NA
Smt. Nivedida Subramanian*	2	NA
Shri Manohar Singh Verma*	2	NA
Shri Pankaj Gupta*	2	NA

- * Dr. Alka Mittal (DIN:07272207) was appointed as Chairperson of Board of MRPL on 11/01/2022.
- * Shri Om Prakash Singh (DIN:08704968) was appointed as Non-executive Nominee Director (ONGC Nominee Director) of Board of MRPL on 07/06/2021
- * Shri Rajkumar Sharma (DIN: 01681944), Smt. Nivedida Subramanian (DIN: 08646502), Shri Manohar Singh Verma (DIN: 09393215) and Shri Pankaj Gupta (DIN: 09393633) were appointed as Non-Executive Independent Directors on the Board of MRPL on 15/11/2021.

(ii) Attendance of the Past Directors during the Financial Year 2021-22.

Director	No. of Board Meetings Attended	Attended Last AGM
Shri Subhash Kumar	5	Yes

B. Disclosure of relationships between Directors

None of the Directors are related to each other.

C. Director's Shareholding:

Director's share holding in the Company as on 31/03/2022

Name of the Director	No. of Shares held
Shri Sanjay Varma	50

Independent Directors

MRPL is a Central Public Sector Enterprise (CPSE) under the Administrative Ministry, i.e., Ministry of Petroleum & Natural Gas (MoP & NG), Govt. of India. Presently MRPL has five (5) Independent Directors including one woman Independent Director on the Board.

MRPL being a Central Public Sector Enterprise (CPSE), Directors on the Board of the Company are appointed by the Administrative Ministry, i.e Ministry of Petroleum and Natural Gas (MoP&NG), Government of India. Company has been pursuing with the Administrative Ministry, for appointment of requisite number of Independent Directors on the Board of MRPL to ensure compliance with SEBI (LODR) Regulations, 2015.

Shri R T Agarwal, Shri Rajkumar Sharma, Smt. Nivedida Subramanian, Shri Manohar Singh Verma and Shri Pankaj Gupta were five Independent Directors on the Board of MRPL as on 31/03/2022. All the Independent Directors fulfil the criteria of Independence as per the provisions of Companies Act, 2013 and SEBI (LODR) Regulations, 2015.

The evaluation of Independent Directors as well as non-Independent Directors for the FY 2021-22 has been done as per the evaluation criteria provided in SEBI circular dated 05/01/2017.

No Independent Director has resigned during the Financial Year 2021-22 before the expiry of his/her tenure.

As provided under Schedule IV of the Companies Act, 2013 and also as per Regulation 25(3) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, separate meeting of Independent Directors was held on 25/03/2022.

3. AUDIT COMMITTEE

Audit Committee of the Board of Directors ("the Audit Committee") is entrusted with the responsibility to supervise the Company's internal controls and financial reporting process. The quorum, powers, role and scope are in accordance with Section 177 of the Companies Act, 2013 and the provisions of Regulation 18 of the SEBI (LODR) Regulations, 2015. All members of the Audit Committee are financially literate and bring in expertise in the fields of Finance, Taxation, Economics, Risk and International Finance.

a) Terms of Reference:

The Audit Committee inter alia performs the functions of approving Annual Internal Audit Plan, review of financial reporting system, internal controls system, discussion on quarterly, half-yearly and annual financial results, interaction with Statutory and Internal Auditors. Review and recommend appointment of Cost Auditors/ Internal Auditors/Secretarial Auditors and their remuneration, review of Business Risk Management Plan, review of Forex policy, Management Discussions & Analysis, review of Internal Audit Reports, significant related party transactions. The Board has framed the Audit Committee Terms of Reference for the purpose of effective compliance of provisions of Section 177 of the Companies Act, 2013, Regulation 18 of the SEBI (LODR) Regulations, 2015 and DPE guidelines on Corporate Governance for CPSEs. In fulfilling the above role, the Audit Committee has powers to investigate any activity within its terms of reference, to seek information from employees and to obtain outside legal and professional advice.

b) Composition of Audit Committee as on 31/03/2022

The Committee was reconstituted during the FY2021-22. The composition of the Committee including changes during the year are as under:

Members of Audit Committee	Category
Shri R.T. Agarwal	Chairperson
Shri Vinod S. Shenoy	Member
Shri Rajkumar Sharma (from 17/01/2022)	Member
Smt. Nivedida Subramanian (from 17/01/2022)	Member
Smt. Esha Srivastava (upto 17/01/2022)	Member
Shri Rohit Mathur (upto 17/01/2022)	Member
Shri Om Prakash Singh (from 22/07/2021 to 17/01/2022)	Member

c) Details of the Audit Committee Meetings held during the Financial Year 2021-22

During the year 2021-22, Twelve (12) Audit Committee Meetings were held.

Date of Meeting	Meeting No.	No. of members attended
03/05/2021	119	3
17/05/2021	120	2
10/06/2021	121	3
27/07/2021	122	2
29/07/2021	123	5
17/09/2021	124	3

Date of Meeting	Meeting No.	No. of members attended
25/10/2021	125	3
26/10/2021	126	3
01/12/2021	127	3
24/01/2022	128	4
28/01/2022	129	4
23/03/2022	130	4

d) Attendance in Audit Committee Meetings held during the Financial Year 2021-22.

Members of Audit Committee	No. of Meetings attended
Shri R. T. Agarwal	12
Shri Vinod S. Shenoy	12
Shri Rajkumar Sharma (From 17/01/2022)	3
Smt. Nivedida Subramanian (From 17/01/2022)	3
Smt. Esha Srivastava (From 17/01/2022)	2
Shri Rohit Mathur (From 17/01/2022)	3
Shri Om Prakash Singh (From 22/07/2021 to 17/01/2022)	4

Note: Committee was re-constituted on 08/04/2021, 22/07/2021 and 17/01/2022 respectively during the FY 2021-22.

4. NOMINATION & REMUNERATION COMMITTEE

MRPL is a 'Schedule-A' Central Public Sector Enterprise (CPSE). The appointment, terms, conditions and remuneration of Managing Director and Functional Directors (Whole-time Directors) are fixed by the Department of Public Enterprises (DPE), Government of India.

Pursuant to Regulation 19 of the SEBI (LODR) Regulations, 2015 and DPE guidelines on Corporate Governance for CPSE, the Company has constituted a Remuneration Committee in April, 2009.

Key Board qualifications, expertise and attributes

Pursuant to SEBI (LODR) Regulations, 2015, Key Board qualifications, expertise and attributes are required to be mentioned in the Corporate Governance Report.

The Directors on the Board of MRPL are nominated by the Administrative Ministry, i.e., MOP&NG. The MRPL's Board comprises qualified members who bring in the required skills, competence and expertise that allow them to make contribution to the Board and its committees. The Board members are committed to ensuring that the MRPL Board is in compliance with the standards of corporate governance.

The table below summarizes the key qualification, skill and attributes of Directors on the Board:

a	Financial	Leadership of a financial firm or management of the finance function of an enterprise, resulting in proficiency in complex financial management, capital allocation, and financial reporting processes, or experience inactively supervising a principal financial principal accounting officer, controller, public accountant or person performing similar functions
b	Gender, ethic, national or other diversity	Representation of gender, ethic, geographic, cultural or other perspective that expand the Board's understanding of the viewpoints of customers, partners, employees, Governments and other stakeholders worldwide.
c	Legal, Risk Management	Expertise in handling legal issues and risks analyses and mitigation process.
d	Business Knowledge	Knowledge of the environment in which the company operates Industry structure and outlook.
e	Leadership	Extended leadership experience for a significant enterprise, resulting in a practical understanding of organizations, processes, planning and risk management. Demonstrated strengths in developing talent, planning succession and driving change and long growth.
f	Technology	A significant back ground in technology, resulting in knowledge of how to anticipate technological trends, generates discoveries, innovation, and extends or creates new business models.
g	Board service and governance	Service on a public company Board to develop in sights about maintaining board and management accountability, protecting shareholder interests, and observing appropriate governance practices.
h	Sales and marketing	Experience in developing strategies to grow sales and market share, build brand awareness and equity and enhance enterprise reputation.

a) Composition of Nomination & Remuneration Committee as on 31/03/2022:

The Company has not complied with the requirement of Regulation 19(1) (c) of the SEBI (LODR) Regulations, 2015 as well as the Companies Act, 2013 as regards the constitution of Nomination & Remuneration Committee with reference to requisite number of Independent Directors. Subsequently, the Committee was reconstituted during the FY 2021-22 and the Company is following up with the MoP & NG ("the Administrative Ministry") on regular basis requesting for nomination of requisite number of Independent Directors to ensure compliance with SEBI (LODR) Regulations, 2015 and DPE Guidelines on Corporate Governance.

The composition of the Committee including changes during the year is as under:

Members of Nomination & Remuneration Committee	Category
Shri Rajkumar Sharma (Chairperson from 17/01/2022)	Chairperson
Shri R.T. Agarwal (Chairperson till 17/01/2022)	Member
Shri Manohar Singh Verma (from 17/01/2022)	Member
Smt. Esha Srivastava (from 11/02/2021)	Member
Shri Vinod S. Shenoy	Member
Shri Om Prakash Singh (from 22/07/2021 to 17/01/2022)	Member
Shri Rohit Mathur (till 17/01/2022)	Member

b) Details of Nomination & Remuneration Committee Meetings held during the Financial Year 2021-22

During the year 2021-22, Seven (7) meetings of the Committee were held.

Date of Meeting	Meeting No.	No. of members attended
12/04/2021	22	3
11/05/2021	23	4
27/07/2021	24	3
25/10/2021	25	2
21/01/2022	26	3
14/02/2022	27	3
29/03/2022	28	3

c) Attendance in Nomination & Remuneration Committee Meetings held during the Financial Year 2021-22

Members of Nomination & Remuneration Committee	No. of Meetings attended
Shri Rajkumar Sharma (Chairperson from 17/01/2022)	3
Shri Vinod S. Shenoy	6
Shri R.T Agarwal (Chairperson till 17/01/2022)	4
Shri Manohar Singh Verma (from 17/01/2022)	3
Shri Rohit Mathur (till 17/01/2022)	2
Smt. Esha Srivastava (from 11/02/2021)	3
Shri Om Prakash Singh (from 22/07/2021 to 17/01/2022)	Nil
Shri Subhash Kumar (till 08/04/2021)	Nil

Note: Committee was re-constituted on 08/04/2021, 22/07/2021 and 17/01/2022 during the FY 2021-22.

d) Performance evaluation criteria for Independent Directors

The Companies Act, 2013 and SEBI (LODR) Regulations, 2015, contain broad provisions on Board Evaluation i.e., evaluating of the performance of: (i) the Board as a whole, (ii) individual directors (including Independent Directors and Chairperson) and (iii) various Committees of the Board. The provisions also specify responsibilities of various persons / committees for conduct of such evaluation and certain disclosures requirements as a part of the listed entity's corporate governance obligations.

SEBI (LODR) and Companies Act requires disclosure of manner of formal annual evaluation of the Board, its committees and individual directors and of performance evaluation criteria for Independent Directors to the shareholders of an Annual basis

In addition, for more transparency, many entities worldwide voluntarily provide additional disclosures including the results of the Board evaluation, action taken on the basis of the evaluation, current status, etc. to various stakeholders.

5. REMUNERATION OF DIRECTORS

The Remuneration paid to Directors and Key Managerial persons are regulated by the guidelines issued by Department of Public Enterprises, Government of India as the Company is a Schedule - "A" Central Public Sector Enterprise. The remuneration policy of the Company is as per the guidelines issued by the Department of Public Enterprises, Government of India.

a) Details of Remuneration (Sitting Fees) Paid to Independent Directors during the Financial Year 2021-22:

Independent Director	Sitting Fees
Shri R.T. Agarwal	9.40
Smt. Nivedida Subramanian (From 15/11/2021)	2.30
Shri Rajkumar Sharma (From 15/11/2021)	2.90
Shri Manohar Singh Verma (From 15/11/2021)	2.60
Shri Pankaj Gupta (From 15/11/2021)	1.40

b) Details of making payments to Non- Executive Directors during the Financial Year 2021-22: NIL

c) Details of Remuneration Paid to Managing Director, Director (Finance) and Director (Refinery) during the Financial Year 2021-22: (Amount in ₹)

Particulars	Shri M. Venkatesh Managing Director & CEO	Shri Sanjay Varma Director (Refinery)	Smt. Pomila Jaspal Director (Finance & CFO)	Total
Salaries, Allowances and Perquisites	49,14,298	48,12,434	50,05,999	1,47,32,731
Contribution to PF & Other Funds	8,55,449	8,28,411	8,46,355	25,30,215
Total	57,69,747	56,40,845	58,52,354	1,72,62,946

d) Terms of Service Contract:

	Particulars	Managing Director	Director (Refinery)	Director (Finance)
A	Tenure	5 years from the date of appointment or till the date of super annuation or until further orders, whichever is earlier.	From the date of assumption of charge i.e. 09/06/2020 or till the date of super annuation i.e. 30/06/2024 or until further orders, whichever is earlier.	From the date of assumption of charge i.e. 15/10/2019 or till the date of super annuation i.e. 31/01/2024 or until further orders, whichever is earlier.
B	Notice period	Three Months' Notice or on payment of three months' salary in lieu thereof.	Three Months' Notice or on payment of three months' salary in lieu thereof.	Three Months' Notice or on payment of three months' salary in lieu thereof.
C	Severance fees	Not Applicable	Not Applicable	Not Applicable
D	Stock Options details (if any)	Not Applicable	Not Applicable	Not Applicable
E	Whether issued at discount	Not Applicable	Not Applicable	Not Applicable
F	Period over which it is accrued and is exercisable	Not Applicable	Not Applicable	Not Applicable

d) Familiarization Programme for Independent Directors

The details of familiarization Programme imparted to Independent Directors are provided in the website of the Company i.e. www.mrpl.co.in

6. STAKE HOLDERS' RELATIONSHIP COMMITTEE

a) The Stakeholders' Relationship Committee has been mandated to review and redress shareholder grievances as per the provisions of Section 178 of the Companies Act, 2013. The terms of reference of the Committee has been amended pursuant to SEBI (Listing Obligations and Disclosure Requirements) (Amendment) Regulations, 2018.

b) Terms of Reference

- The Stake holders Relationship Committee shall consider and resolve the grievances of security holders of the company.
- Resolving the grievances of the security holders of the listed entity including complaints related to transfer/ transmission of shares, non-receipt of Annual Reports, non-receipt of declared dividends, issue of new/duplicate certificates, general meetings etc.
- Review of measures taken for effective exercise of voting rights by shareholders.
- Review of adherence to the service standards adopted by the listed entity in respect of various services being rendered by the Registrar & Share Transfer Agent.
- Review of various measures and initiatives taken by the listed entity for reducing the quantum of unclaimed dividends and ensuring timely receipt to dividend warrants/ annual reports/ statutory notices by the shareholders of the company.

c) Composition of Stakeholders' Relationship Committee as on 31/03/2022:

The Committee was reconstituted during the FY2021-22. The composition of the Committee including changes during the year is as under:

Members of Stakeholders' Relationship Committee	Category
Shri Pankaj Gupta (from 17/01/2022)	Chairperson
Smt. Pomila Jaspal	Member
Shri Om Prakash Singh (from 17/01/2022)	Member
Shri Rohit Mathur (till 17/01/2022)	Member
Shri R. T. Agarwal (till 17/01/2022)	Member

d) Details of Stakeholders' Relationship Committee Meetings held during the Financial Year 2021-22:

During the year 2021-22, Four (4) Stake holders' Relationship Committee Meetings were held.

Date of Meeting	Meeting No.	No. of members attended
03/05/2021	71	3
27/07/2021	72	2
25/10/2021	73	2
21/01/2022	74	2

e) Attendance in Stakeholders' Relationship Committee Meetings held during the Financial Year 2021-22.

Members of Audit Committee	No. of Meetings attended
Shri R.T. Agarwal (Till 17/01/2022)	3
Shri Pankaj Gupta (from 17/01/2022)	1
Shri Om Prakash Singh (from 17/01/2022)	Nil
Smt. Pomila Jaspal	4
Shri Rohit Mathur (Till 17/01/2022)	1

Note: Committee was re-constituted on 08/04/2021, 22/07/2021 and 17/01/2022 respectively during the FY 2021-22.

f) Name and Designation of the Compliance Officer:

Shri K.B. Shyam Kumar
Company Secretary & Compliance Officer.

g) References & Investor Complaints Received and Replied During 2021-22:

Sl. No	Nature of Correspondence	For the year ended 31/03/2022
1.	Revalidation of Dividend Warrants.	962
2.	Demat - Remat Cases – Letters.	140
3.	Stop Transfer - Procedure for Duplicate / Removal	967
4.	Name Deletion/Transmission /Transposition /Change of Name/Issue of Duplicate - Share Certificates.	1,036
5.	Consolidation /Change of Status Certificates.	75
6.	Change of Signature Letters.	187
7.	Correction/ Registration / Change of Address/Bank Detail/Bank Mandate.	957
8.	Registration / Cancellation of NACH Letters.	479
9.	Nomination Letters.	85
10.	References through Statutory/ Regulatory bodies like ROC/ SEBI/ NSE/ BSE/ NSDL/ CDSL.	48
11.	Others.	1,602
	TOTAL	6,538

h) Investor complaints not solved to the satisfaction of Shareholders: NIL

I) Number of pending complaints: NIL

SHARE TRANSFER COMMITTEE (STC)

- (I) Pursuant to the provisions of the Companies Act, 2013 and the Companies (Share Capital and Debentures) Rules, 2014 a Committee of Directors (Share Transfer Committee) is constituted for approving transfer of shares, transmission of shares and issue of duplicate share certificates.
- (ii) The Share Transfer Committee consists of Managing Director, Director (Finance) and Director (Refinery) for approving transfer of shares, transmission of shares and issue of Duplicate Share Certificates and matter incidental thereto. The Quorum of the committee shall be any two Directors. However, in the absence of Director (Refinery) and Director Finance during part of the year, Managing Director was the quorum for the Committee with the approval of the Board.
- (iii) Pursuant to Rule 6(2)(a) of the Companies (Share Capital and Debentures) Rules, 2014 duplicate share certificates are issued in lieu of those that are lost or destroyed with the approval of Share Transfer Committee, as the Board has delegated the Powers to STC pursuant to MCA General Circular No.19/2014 dated 12th June, 2014 to issue duplicate share certificates. Further, pursuant to SEBI circular dated 24/01/2022, duplicate shares are being issued in dematerialized mode only
- (iv) Pursuant to Regulation 40 of SEBI (LODR) Regulations, 2015, quarterly details of transactions in shares are placed before Board.

7. RISK MANAGEMENT COMMITTEE

The RMC shall review and monitor the risk overview document of the Company on quarterly basis in accordance with the board approved Enterprises Risk Management policy of the Company and submit the report to the Audit Committee.

The RMC shall appoint the risk managers and risk coordinator to operate the Risk Management policy of the Company. Pursuant to Regulation 21 of SEBI(LODR) Regulation, 2015 and section 177(4)(vii) of the Companies Act, 2013, the terms of reference of the Audit Committee includes evaluation of the risk management system of the Company.

a) Composition of Risk Management Committee as on 31/03/2022

Members of Stakeholders' Relationship Committee	Category
Shri R.T Agarwal (Chairperson from 17/01/2022)	Chairperson
Shri M. Venkatesh (Chairperson till 17/01/2022)	Member
Shri Pankaj Gupta (from 17/01/2022)	Member
Shri Rohit Mathur (from 17/01/2022)	Member
Shri Elango M (from 14/10/2021 to 17/01/2022)	Member
Shri BHV Prasad (from 14/10/2021 to 17/01/2022)	Member
Smt. Pomila Jaspal (till 17/01/2022)	Member
Shri Sanjay Varma (till 17/01/2022)	Member
ShriYogish Nayak (till 17/01/2022)	Member

b) Details of the Risk Management Committee Meetings held during the Financial Year 2021-22
During the year 2021-22, Five (5) Risk Management Committee Meetings were held.

Date of Meeting	Meeting No.	No. of members attended
22/04/2021	26	4
17/07/2021	27	4
14/10/2021	28	5
09/12/2021	29	6
14/01/2022	30	5

c) Attendance in Risk Management Committee Meetings held during the Financial Year 2021-22.

Members of Risk Management Committee	No. of Meetings attended
Shri M. Venkatesh(Chairperson till 17/01/2022)	5
Shri R.T. Agarwal (Chairperson from 17/01/2022)	NA
Smt.Pomila Jaspal (till 17/01/2022)	4
Shri Sanjay Varma (till 17/01/2022)	5
ShriYogish Nayak (till 17/01/2022)	5
Shri Elango M (from 14/10/2021)	2
Shri BHV Prasad (from 14/10/2021)	3
Shri Pankaj Gupta (from 17/01/2022)	NA
Shri Rohit Mathur (from 17/01/2022)	NA

Note: During the FY 2021-22 committee was re-constituted on 17/01/2022 .

8. PROJECT APPRAISAL AND REVIEW AND OPERATIONS REVIEW COMMITTEE

Project Appraisal Review & Operation Review Committee is constituted to assist the Board for evolving, monitoring and reviewing appropriate systems to deal with Health, Safety and Environmental issues and ensuring compliance to the statutory/ Regulatory provisions.

a) Composition of PAR & OR Committee for the FY 2021-22 are as under:

Members of PAR & OR Committee	Category
Shri Manohar Singh Verma (Chairperson from 17/01/2022)	Chairperson
Shri Vinod S. Shenoy	Member
Shri R.T. Agarwal (From 17/01/2022)	Member
Shri Om Prakash Singh (from 22/07/2021)	Member
Shri Rohit Mathur	Member

b) Details of the PAR & OR Committee meetings held during the Financial Year 2021-22

During the year 2021-22, Five (5) Risk Management Committee Meetings were held.

Date of Meeting	Meeting No.	No. of members attended
28/04/2021	49	2
29/07/2021	50	2
22/10/2021	51	2
30/11/2021	52	3
21/03/2022	53	3

c) Attendance in PAR & OR Committee Meetings held during the Financial Year 2021-22

Members of PAR & OR Committee	No. of Meetings attended
Shri Rohit Mathur (Chairperson till 17/01/2022)	5
Shri Manohar Singh Verma (Chairperson from 17/01/2022)	1
Shri Vinod S. Shenoy	4
Shri Om Prakash Singh (from 22/07/2021)	2
Shri R.T. Agarwal (From 17/01/2022)	Nil

Note: During the FY 2021-22 committee was re-constituted on 22/07/2021 and 17/01/2022 respectively

9. CORPORATE SOCIAL RESPONSIBILITY COMMITTEE

MRPL is a Miniratna Schedule A, Central Public Sector Enterprise (CPSE), Right from the inception, MRPL has been undertaking Corporate Social Responsibility (CSR) activities under the name “Samrakshan”. Pursuant to the section 135 of the Companies Act 2013, followed by release of Company (Corporate Social Responsibility Policy) Rules, 2014 by Ministry of Corporate Affairs & Guidelines on CSR and Sustainable Development (SD) for CPSEs by Department of Public Enterprises (DPE), MRPL is rededicating itself to ensuring sustainable and equitable development through a well-orchestrated CSR program.

a) Composition of Corporate Social Responsibility Committee

The composition of the Committee including changes during the year 2021-22 is asunder:

Members of Corporate Social Responsibility Committee	Category
1. Smt. Nivedida Subramanian (Chairperson from 17/01/2022)	Chairperson
2. Smt. Esha Srivastava (Chairperson till 17/01/2022)	Member
3. Shri R.T. Agarwal (till 17/01/2022)	Member
4. Shri M. Venkatesh	Member
5. Smt. PomilaJaspal (till 17/01/2022)	Member
6. Shri Sanjay Varma (till 17/01/2022)	Member

b) Details of Corporate Social Responsibility Committee Meetings held during the Financial Year 2021-22

During the year 2021-22, Four (4) meeting of the Committee was held.

Date of Meeting	Meeting No.	No. of members attended
27/07/2021	21	5
26/10/2021	22	5
21/01/2022	23	2
23/03/2022	24	3

c) Attendance in Corporate Social Responsibility Committee Meeting held during the Financial Year 2021-22

Members of Corporate Social Responsibility Committee	No. of Meetings attended
1. Smt. Nivedida Subramanian (Chairperson from 17/01/2022)	2
2. Smt. Esha Srivastava (Chairperson till 17/01/2022)	3
3. Shri M. Venkatesh	4
4. Smt. Pomila Jaspal (till 17/01/2022)	2
5. Shri Sanjay Varma (till 17/01/2022)	2
6. Shri R.T. Agarwal (till 17/01/2022)	2

Note: During the FY 2021-22 committee was re-constituted on 22/07/2021 and 17/01/2022 respectively

10. DETAILS OF ANNUAL GENERAL BODY MEETING
a) Location, place and time of last 3 AGM sheld

Year	AGM	Location	Date	Time
2021	33 rd	Through Video Conferencing (VC) or Other Audio Visual Means (OAVM). Hence, Members were attended and participated in the ensuing AGM through VC/OAVM	04/09/2021	4.00 p.m.
2020	32 nd	Through Video Conferencing (VC) or Other Audio Visual Means(OAVM). Hence, Members were attended and participated in the ensuing AGM through VC/OAVM	18/09/2020	4.00 p.m.
2019	31 st	MRPL Employees Recreation Center Mudapadav, Post Kuthethoor, via Katipalla, Mangaluru –575 030	03/08/2019	4.00 p.m.

b) Whether any special resolutions passed in the previous 3 AGMs?

Yes.

AGM	Special Resolutions
33 rd AGM	Three Special Resolutions were passed 1. Pursuant to section 180(1)(c) of the Companies Act, 2013 to enhance the Borrowing powers of Board from ₹25,000 crore to ₹33,500 crore. 2. To create charge on the movable and immovable properties of the Company, both present and future, in respect of borrowings. 3. To raise funds upto ₹5,000 crore through issue of non-convertible debentures (NCDs) / Bonds.
32 nd AGM	One Special resolution was passed pursuant to section 42 of the Companies Act, 2013 to raise fund up to ₹5,000 Crores through issue of unsecured non-Convertible debentures (NCD/s).
31 st AGM	One special resolution was passed pursuant to Section 42 of the Companies Act, 2013 to raise funds upto ₹3,000 Crores through issue of NCDs/ Bonds.

c) Any special resolutions were put through Postal ballot last year?

No special resolutions were put through postal ballot in the last AGM.

d) Persons who conducted the Postal Ballot exercise:

Not Applicable.

e) Whether any special resolution is proposed to be conducted through postal ballot?

No.

f) Procedure for Postal Ballot:

Not Applicable.

11. DISCLOSURE & TRANSPARENCY:

The Company has complied with the requirements specified in Regulations 17 to 27 and clauses (a) to (l) of the Regulation 46(2) of the SEBI (LODR) Regulations, 2015.

The disclosures mentioned in Regulation 46 have been disclosed in the Corporate Governance Report.

The Company ensures timely and complete dissemination of information on all matters which are required to be made public. The website of the Company and the Annual Report of the Company contain exhaustive information regarding every aspect of the functioning, financial health, ownership and governance of MRPL.

All disclosures by Company are strictly in accordance with the formats prescribed by the concerned regulatory authority in respect of accounting, financial and non-financial matters.

MRPL disseminates information through press releases, on its website and to the Stock Exchanges etc. Access to all these modes is free for all users.

The Company maintains records of the proceedings of all meetings (Board / Committees / General Meetings, etc.).

The Company follows the accounting standards in letter and spirit. The annual audit is conducted by Joint Statutory Auditors appointed by the C&AG. MRPL is further subject to supplementary audit by C&AG. Internal Audit Department reports to the Audit Committee apart from periodical oversight by the Government of India and Parliamentary Committees.

Members of the Board and Key Managerial Personnel disclose to the Board whether they directly, indirectly or on behalf of third parties, have a material interest in any transaction or matters directly affecting the Company.

It is the endeavor of the Board of Directors and the top management of MRPL to ensure that the stakeholders are aware of all important developments, while ensuring confidentiality of relevant information.

(i) MATERIALLY SIGNIFICANT RELATED PARTY TRANSACTIONS:

- 1.0 The transactions with Related Parties are governed by Regulation 23 of the SEBI (LODR) Regulations, 2015, and the provisions of Section 188 of the Companies Act, 2013 and rules made thereunder along with the circulars and notifications issued by SEBI and MCA from time to time.
- 2.0 The Company has adopted Related Party Transaction Policy and procedures and the same is displayed on the website of the Company i.e. www.mrpl.co.in.

(ii) Key Managerial Personnel as on 31/03/2022:

Name	Designation
Shri M. Venkatesh	Managing Director & Chief Executive Officer (CEO)
Smt. Pomila Jaspal	Director (Finance), Chief Financial Officer (CFO) and Whole time Director
Shri Sanjay Varma	Director (Refinery) and Whole time Director
Shri K B Shyam Kumar	Company Secretary

There was no transaction with Key Managerial Personnel during the Financial Year 2021-22 except for the remuneration paid. The remuneration of Key Managerial Personnel has been disclosed separately in this report.

(iii) Enterprises in which significant influence is exercised:

Name	Relationship	Nature of Transaction
Shell MRPL Aviation Fuel & Services Limited. [SMAFSL]	Joint Venture	Details furnished in Note 11 of the Financial Statements for FY 2021-22.

(iv) Details of non-compliance by the Company, penalties, strictures imposed by the Stock Exchange or SEBI or any authority on any matter related to capital markets during last 3 years:

The company has been impleaded in certain legal cases related to disputes over title to shares arising in the ordinary course of share transfer operations. However, none of these cases are material in nature, which may lead to material loss or expenditure to the Company.

- (v) The Company has adopted Whistle Blower Policy for employees and Directors. The Company has not denied any employee and Directors access to the Competent Authority and it has provided protection to the whistle blower from adverse action. The Policy is available on the Company's website www.mrpl.co.in.
- (vi) The Company has a Policy on Material Subsidiaries as per Regulation 16(1)(c) of the SEBI (LODR) Regulations, 2015 and the policy is available on the Company's website www.mrpl.co.in.

(vii) NON-MANDATORY REQUIREMENTS:

- a) The Company maintains a Chairman's office at its expense.
- b) MRPL is a 'Schedule A' Miniratna, Central Public Sector Enterprise. The appointment, terms, conditions and remuneration of Managing Director and Functional Directors (Whole-time Directors) are fixed by the Department of Public Enterprises (DPE), Govt. of India.
- c) As the Company's Quarterly/ Half Yearly Financial results are displayed on the website of the Company and Published in the Newspapers, the half-yearly report is not sent to each Shareholder's residence.

- d) There are no qualifications in the Auditor's report on the financial statements to the shareholders of the Company.
- e) A formal policy for training of the Board Members of the Company has been formulated and the same is displayed on the website of the Company i.e.: www.mrpl.co.in. The Directors are sponsored for various seminars, training, workshops and orientation programmes depending on the suitability and convenience.
- f) The Company complies with Ind AS pursuant to the Companies (Indian Accounting Standards) Rules, 2015 notified by Ministry of Corporate Affairs vide notification dated 16/02/2015.

(viii) CODE OF CONDUCT FOR MEMBERS OF THE BOARD AND SENIOR MANAGEMENT

A Code of Conduct for Members of the Board and Senior Management is a comprehensive code applicable to Executive and Non-executive Directors as well as members of the Senior Management i.e. all Key Managerial Personnel of the Company and one level below the Board. The Code of conduct is available on the Company's website : www.mrpl.co.in.

The Managing Director has declared that all the members of the Board and Senior Management have affirmed that they have complied with the code of conduct for the Financial Year 2021-22.

(ix) THE CODE OF INTERNAL PROCEDURES AND CONDUCT OF PROHIBITION OF INSIDER TRADING IN DEALING WITH SECURITIES OF MANGALORE REFINERY AND PETROCHEMICALS LIMITED(MRPL)

- 1.0 "Code of Conduct for Prevention of Insider Trading" for the Company was approved by the Board at its 89th meeting held on 22nd June, 2002 pursuant to SEBI (Insider Trading) (Amendment) Regulations, 2002. The same was amended by the Board at its 226th meeting held on 3rd August, 2019 in view of SEBI (Prohibition of Insider Trading) (Amendment) Regulations, 2008.
- 2.0 SEBI has notified the SEBI (Prohibition of Insider Trading) Regulations, 2015 on 15th January, 2015 repealing SEBI (Insider Trading) Regulations, 1992 applicable to all the listed companies with effect from 15/05/2015. The Company adopted the "Code of Internal Procedures and Conduct for Prohibition of Insider Trading in dealing with the Securities of MRPL", as amended, at its 197th Board Meeting held on 22nd May, 2015.
- 3.0 Further, SEBI vide its circular dated 16th September, 2015 has revised formats for disclosure under Regulation 7 of the SEBI (Prohibition of Insider Trading) Regulations, 2015 with regard to exercise of ESOPs, execution of contra trade and creation of pledge or invocation of pledge for enforcement of security while in possession of Unpublished Price Sensitive Information (UPSI). Accordingly, the Board approved the amended "Code of Internal Procedures and Conduct for Prohibition of Insider Trading in dealing with the Securities of MRPL" in its 200th meeting held on 29th October, 2015 and the same is displayed on the Company's website, i.e. www.mrpl.co.in.
- 4.0 SEBI vide its notification dated 31/12/2018 amended SEBI (Prohibition of Insider Trading) Regulations, 2015. Accordingly, the Board approved the amended "Code of Internal Procedures and Conduct for Prohibition of Insider Trading in dealing with the Securities of MRPL" in its 226th meeting held on 03rd August, 2019 and the same is displayed on the Company's website, i.e.: www.mrpl.co.in.

(x) CEO & CFO CERTIFICATION

A certificate of the CEO and CFO of the Company in terms of Regulation 17(8) the SEBI (LODR) Regulations, 2015 inter alia, confirming the correctness of the financial statements and cash flow statements, adequacy of the internal control measures and reporting of matters to the Audit Committee, is also annexed.

(xi) ANNUAL BUSINESS RESPONSIBILITY REPORT(ABRR)

Pursuant to Regulation 34(2)(f) of the SEBI(LODR) Regulations, 2015, ABRR for the Financial Year 2021-22 forms part of the Annual Report.

(xii) DEMATERIALISATION OF SHARES AND LIQUIDITY

98.87% of the equity shares of the Company have been dematerialized (NSDL- 43.42% and CDSL-55.46% as on 31/03/2022. The Company has entered in to agreements with National Securities Depository Limited (NSDL) and Central Depository Services (India) Limited (CDSL) whereby shareholders have an option to de-materialize their shares with either of the Depositories and cast their electronic vote.

(xiii) RECONCILIATION OF SHARE CAPITAL AUDIT REPORT

As stipulated by SEBI, a qualified Practising Company Secretary carries out Secretarial Audit to reconcile the total admitted capital with National Securities Depository Limited (NSDL) and Central Depository Services (India) Limited (CDSL) and the total issued and listed capital. This audit is carried out every quarter and the report is submitted to the Stock Exchanges where the Company's shares are listed. The audit confirms that the total Listed and Paid-up Capital is in agreement with the aggregate of the total number of shares in dematerialized form (held with NSDL and CDSL) and total number of shares in physical form.

(xiv) NOMINATION

Individual shareholders holding shares singly or jointly in physical form can nominate a person in whose name the shares shall be transferable in case of death of the registered shareholder(s). Nomination facility in respect of shares held in electronic form is also available with the Depository Participants as per the bye-laws and business rules applicable to NSDL and CDSL. Nomination form can be obtained from the Company's Registrar and Share Transfer Agent.

(xv) SERVICE OF DOCUMENTS THROUGH ELECTRONIC MODE

As a part of Green initiatives, the members who wish to receive the notice/documents through e-mail, may kindly intimate their e-mail address to the Company's Registrar and Transfer Agent, Link In time India Private Limited, to their dedicated E-mail ID i.e.: mrplirc@linkintime.co.in

(xvi) GOVERNANCE OF SUBSIDIARY COMPANY

The Company does not have a material subsidiary as on the date of this report, having a net worth exceeding 10% of the consolidated net worth or income of 10% of the consolidated income of your Company.

(xvii) GUIDELINES ON CORPORATE GOVERNANCE BY DPE

Department of Public Enterprises has issued Guidelines on Corporate Governance for Central Public Sector Enterprises which are now mandatory in nature.

No Presidential Directives have been issued during the period 1st April 2021 to 31st March, 2022. MRPL is complying with these guidelines to the extent possible.

(xviii) SECRETARIAL AUDIT REPORT

Secretarial Audit Report confirming compliance to the applicable provisions of Companies Act, 2013, Regulations 24(A) of SEBI (LODR) Regulations, 2015, DPE Guidelines and all other related rules and regulations relating to capital market has been obtained from a practising Company Secretary forms a part of the Board's Report.

(xix) SECRETARIAL COMPLIANCE REPORT

Secretarial Compliance certificate pursuant to SEBI Circular No:CIR/CFO/CMD1/27/2019 dated 08/02/2019, has been obtained from M/s Ullas Kumar Melinamogaru, Practising Company Secretaries.

12. MEANS OF COMMUNICATION

i	Quarterly Results	:	Quarterly Results of the Company are published in Business Standard - all editions, (English), Business Standard - Delhi editions (Hindi) and Hosadigantha-Mangalore editions (Kannada) Newspapers and are also displayed on the Company's website www.mrpl.co.in
ii	News Releases, Presentations etc.	:	Official news releases and official mediare leases a reavailable on the website of the Company.
iii	Presentation to Institutional Investors / Analysts	:	Yes
iv	Website the Company is also available on the website.	:	The Company's website www.mrpl.co.in contains a separate dedicated section 'Stakeholders' where share holders information is available. The Annual Report of
v	Annual Report	:	Annual Report containing the Audited Annual Financial Statements, Directors' Report, Auditors' Report and Corporate Governance Report is sent to the shareholders. The Management Discussion and Analysis (MDA) Report forms part of the Annual Report and is also displayed on the Company's website, i.e. www.mrpl.co.in
vi	Chairman's Communiqué	:	Chairman's Speech is placed on the website of the Company and sent to Stock Exchanges.
vii	Reminders to investors	:	Reminders for unclaimed physical share certificates were sent to the shareholders. Several reminders were sent to the shareholders for e- mail updation for communicating through e-mail.
viii	BSE Electronic Platform	:	The BSE Listing Centre is an online portal to all listed entities for filing their various compliances /submissions with the Exchange. 'Listing Centre' provides a single point resource for filing compliances / submissions and tracking past filings as well.
ix	NSE Electronic Application Processing System (NEAPS)	:	The NEAPS is web based application designed by NSE for Corporates The various compliances are filed electronically on NEAPS.
x	SEBI Complaints Redress System (SCORES)	:	The investor complaints are redressed in a centralized web based complaints redressal system provided by SEBI.
xi	Designated Exclusive email-id	:	Company has designated e-mail Id: investor@mrpl.co.in exclusively for investor servicing.

13. GENERAL SHAREHOLDERS INFORMATION 34th ANNUAL GENERAL MEETING

i	Company Registration Details	:	CIN : L23209KA1988GOI008959
ii	Day, Date and Time	:	Monday, 22 nd August, 2022 at 4.00 PM (IST)
iii	Financial Year	:	01/04/2021 to 31/03/2022
iv	Date of Book Closure	:	12/08/2022 to 19/08/2022 (both days inclusive)
v	Dividend Payment Date	:	NA
vi	E-voting	:	The Company has provided for remote e-voting facility to the shareholders in accordance with Regulation 44 of the SEBI(LODR) Regulations, 2015, provisions of the Companies Act, 2013 and the Rules made thereunder.
vii	Listing on Stock Exchange		
A.	Equity Shares ISIN:INE103A01014	:	1. BSE Limited Phiroze Jeejeebhoy Towers, Dalal Street, Fort, Mumbai - 400 001 Scrip Code : 500109 2. The National Stock Exchange of India Limited, Exchange Plaza, Bandra (E), Mumbai - 400 051 Trading Symbol :MRPL
B	Non-Convertible Debentures (NCDs) ISIN : INE103A08027 INE103A08019 INE103A08035 INE103A08043 INE103A08050	:	1. BSE Limited Phiroze Jeejeebhoy Towers, Dalal Street, Fort, Mumbai - 400 001 Scrip Code : 500109 2. The National Stock Exchange of India Limited, Exchange Plaza, Bandra (E), Mumbai - 400 051 Trading Symbol :MRPL

C. Debt Security:

Details of NCD outstanding as on March 31, 2022

Details of NCD outstanding as on March 31, 2022								
Name of the Issuer	ISIN No.	Issuance Date	Maturity Date	Coupon Rate	Payment Frequency	Embedded Option if any	Amount Issued	Amount Outstanding
Mangalore Refinery and Petrochemicals Limited	INE103A08027	13/01/2020	14/04/2023	6.64%p.a	Annual	NA	₹500 Crores	₹500 Crores
	INE103A08019	13/01/2020	12/04/2030	7.40%p.a	Annual	NA	₹1000 Crores	₹1000 Crores
	INE103A08035	29/01/2020	29/01/2030	7.75%p.a	Annual	NA	₹1060 Crores	₹1060 Crores
	INE103A08043	29/12/2020	29/12/2025	6.18 %p.a	Annual	NA	₹1217 Crores	₹1217 Crores
	INE103A08050	29/12/2021	14/04/2032	7.48%	Annual	NA	₹1200 Crores	₹1200 Crores

D.	Payment of Listing Fees	:	Annual listing fee for the year 2021-22 has stands by the Company to BSE Limited and National Stock Exchange of India Limited.
E.	Payment of Depository Fees	:	Annual Custody fees for the year 2021-22 have been paid by the Company to CDSL and NSDL.
F.	DEBENTURE TRUSTEE	:	M/s SBICAP Trustee Company Limited, Apeejay House, 6 th Floor, 3, Dinshaw Wachha Road Church gate, Mumbai – 400020
G.	CREDIT RATING	:	ICRA has reaffirmed the long-term rating of [ICRA] AAA (pronounced ICRA “Triple A rating with stable outlook”) and the short-term rating of [ICRA] A1+ (pronounced ICRA A one plus) on the ₹19,200 Crore bank facilities and also reaffirmed the rating of “[ICRA]A1+” (pronounced ICRA A one plus) for ₹4,000 Crore Commercial Paper (CP) / Short Term Debt (STD) programme. ICRA has also reaffirmed rating of [ICRA]AAA (pronounced as ICRA “Triple A rating with stable outlook”) for the ₹2,560 Crore Non-Convertible Debenture (NCD) Program of Mangalore Refinery and Petrochemicals Limited. CRISIL has reaffirmed “CRISIL AAA/Stable” (pronounced “CRISIL triple A rating with stable outlook”) for the ₹2,560 Crore Non-Convertible Debenture, reaffirmed its Corporate Credit Rating (CCR) “CCR AAA/Stable”, reaffirmed short-term rating of ₹1,000 Crore “CRISIL A1+” and also reaffirmed the rating of “CRISIL A1+” ₹3,500 Crore Commercial Paper (CP) / Short Term Debt (STD) programme on Mangalore Refinery and Petrochemicals Limited. CARE Ratings has reaffirmed “CARE AAA/Stable (pronounced “Triple A rating with stable outlook”) for the ₹5,000 Crore Non-Convertible Debenture and the short-term rating of A1+ for ₹3,000 Crore Commercial Paper (CP) / Short Term Debt (STD) program of Mangalore Refinery and Petrochemicals Limited. India Ratings (Fitch Group) has reaffirmed “IND AAA/Stable (pronounced “Triple A rating with stable outlook”) for the ₹5,000 Crore Non-Convertible Debenture program, long-term Rating of ₹1,000 Crore “IND AAA/Stable” and also reaffirmed foreign currency loan ratings of “IND AAA/Stable” for \$524.66Mn programme on Mangalore Refinery and Petrochemicals Limited. [The above ratings included the ratings of Aromatic Complex (MSEZ) of the Company].

viii Financial Calendar for Financial Year 2021-22:

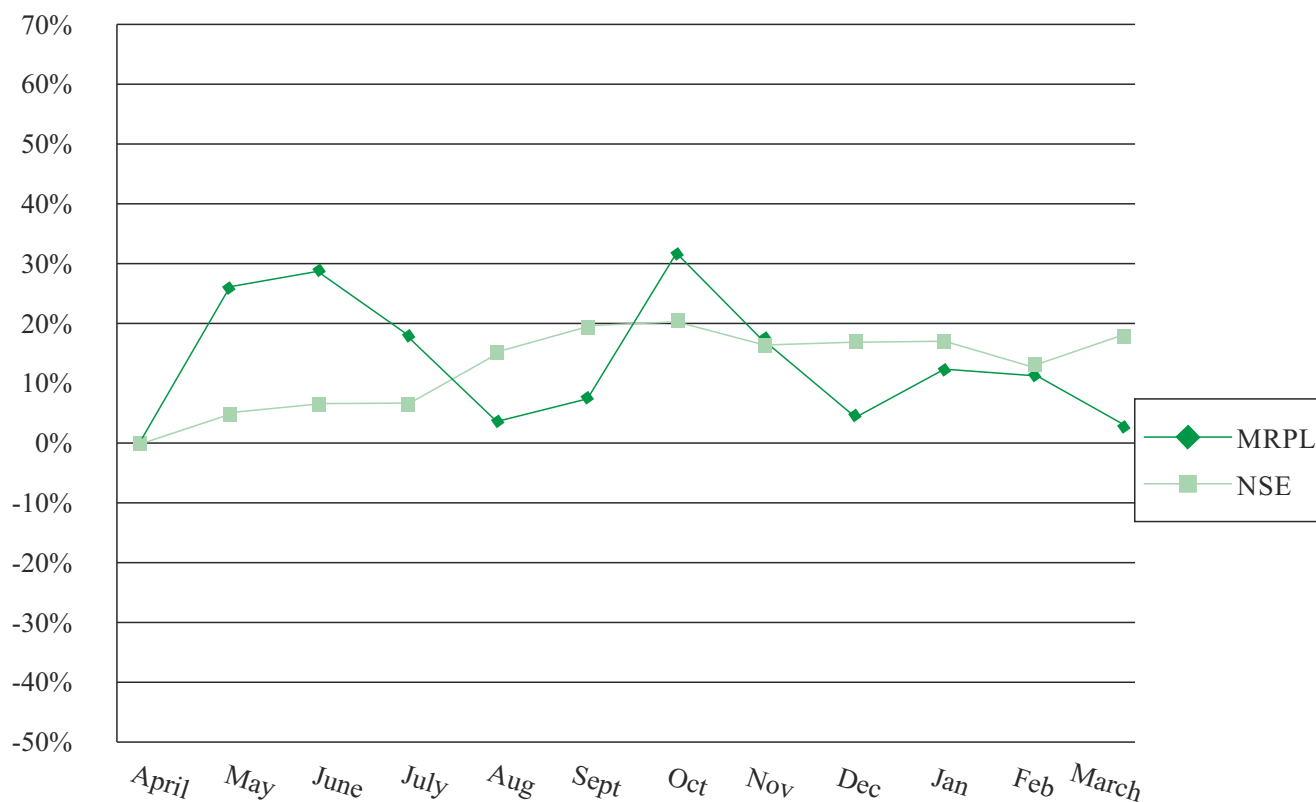
Particulars	Financial Year 2021 -22		Financial Year 2022 -23	
Accounting Period	01/04/2021 to 31/03/2022		01/04/2022 to 31/03/2023	
Announcement of Financial Results	1st Quarter	29/07/2021	First three Quarters	Announcement within 45 days from the end of each quarter.
	2nd Quarter	26/10/2021		
	3rd Quarter	28/01/2022		
	4th Quarter & Annual Financial Results	11/05/2022	Fourth Quarter & Annual Financial Results	Announcement within 60 days from the end of the Financial year.

ix Market Price Data:

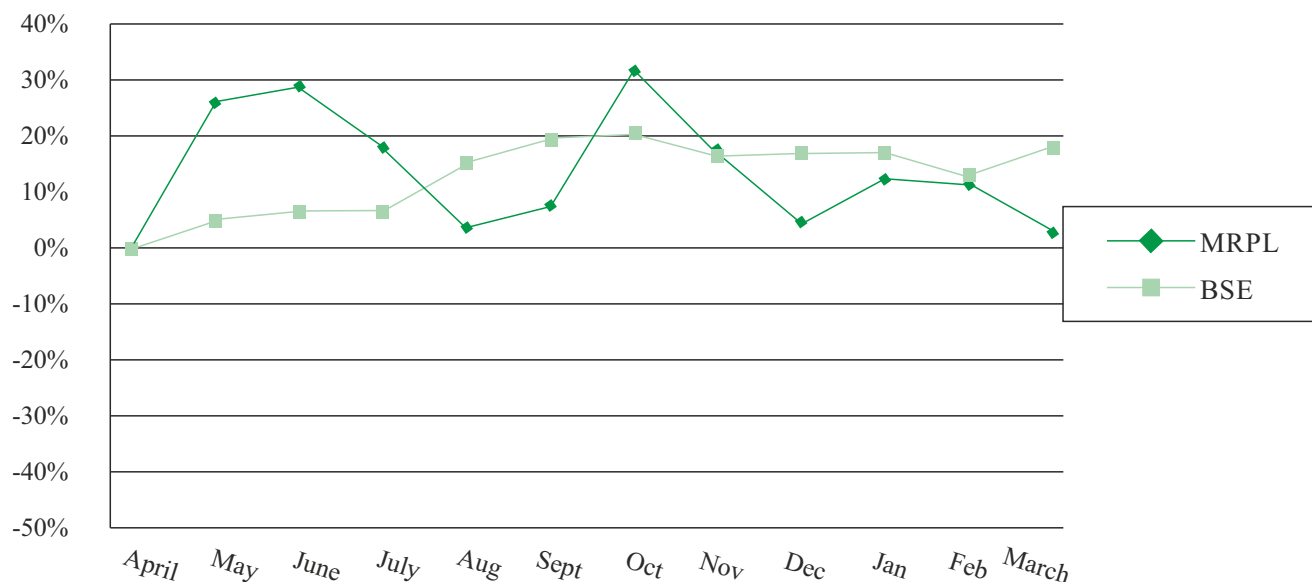
Month	BSE Limited		National Stock Exchange of India Limited	
	High(₹)	Low(₹)	High(₹)	Low(₹)
April, 2021	43.75	35.30	43.80	35.30
May, 2021	55.20	42.50	55.25	42.10
June, 2021	56.60	49.45	56.60	49.40
July, 2021	52.00	44.10	51.80	44.05
August, 2021	46.30	39.75	45.50	39.75
September, 2021	47.15	42.15	47.20	42.10
October, 2021	57.75	48.45	57.80	48.40
November, 2021	51.20	42.95	51.25	43.00
December, 2021	45.75	41.00	45.80	40.95
January, 2022	49.25	40.70	49.25	40.25
February, 2022	48.95	37.10	49.00	37.05
March, 2022	45.05	39.65	45.10	39.06

x Performance in comparison to board based indices such as NSE NIFTY and BSE Sensex:

NSE (NIFTY) 2021-22



BSE SENSEX 2021-22



The Market Capitalization of MRPL as on 31/03/2022 was **₹7273.28 Crore**. MRPL is ranked **393** on NSE and **398** on BSE based on Market Capitalisation as on 31/03/2022.

(xi) **Registrar and Transfer Agent:** M/s Link Intime India Private Limited. C101, 247Park, L.B.S.Marg, Vikhroli West, Mumbai - 400 083, Email ID: mrplirc@linkintime.co.in.

(xii) **Share Transfer System:**

The transfer of shares in physical form is processed and completed by Registrar & Transfer Agent within a period of seven days from the date of receipt thereof provided all the documents are in order. Incase of shares in electronic form, the transfers are processed by NSDL/ CDSL through respective Depository Participants. In compliance with the SEBI(LODR) Regulations, 2015, a Practising Company Secretary carries out audit of the System of Transfer and a certificate to that effect is issued.

Year	No. of transfer deeds processed	No. of shares transferred
2021-2022	109	22,300
2020-2021	95	21,500
2019-2020	979	1,77,320

(xiii) Securities and Exchange Board of India (SEBI) vide its circular no. SEBI/HO/MIRSD/MIRSD_RTAMB/P/CIR/2021/655 dated 03/11/2021 prescribed common and simplified norms for processing Investor's service requests by R&T Agent and norms for furnishing PAN, KYC details and Nomination as an ongoing measure to enhance the ease of doing business for investors in the securities market. The Listed companies, RTAs and Stock Exchanges are required to disseminate the requirement of the holders of physical securities of all listed companies to furnish valid PAN, KYC details and Nomination, on their respective websites. The SEBI has introduced the Form ISR-1 for all requests to register PAN, KYC details or changes / update thereof for securities held in physical mode.

Pursuant to SEBI circular dated 03/11/2021, the Company is also mandated to directly intimate its security holders about folios which are incomplete and to communicate regarding nomination procedure. The form needs to be sent to shareholders (both Single and Joint holders) holding shares in physical mode, as per the schedule mentioned in the said circular. In terms of above circulars, intimation was sent to the shareholders of the Company, holding shares in physical form and whose KYC details are not updated with the company with a request to furnish valid PAN, KYC details and ensure Nomination through prescribed form. The requisite forms are available on the website of the Company at <https://www.mrpl.co.in/Content/Share%20Holders> and also on the website of RTA M/s Link Intime India Private Limited <https://linkintime.co.in/downloads.html>. Shareholders are requested to update their KYC details for hassle free communication.

(xiv) Transfer of unclaimed Amount of Dividend and Shares to Investor Education and Protection Fund (IEPF):

Pursuant to the provisions of IEPF Rules and the applicable provisions of the Companies Act, 2013, the Company has transferred the unpaid or unclaimed dividend for the years 2004-05, 2005-06, 2006-07, 2007-08, 2008-09, 2009-10, 2010-11 and 2011-12 on due dates to the Investor Education & Protection Fund (IEPF) established by the Central Government. Pursuant to the provisions of Investor Education and Protection Fund (Uploading of information regarding unpaid and unclaimed amounts lying with Companies) Rules, 2012, the company has uploaded the details of unpaid and unclaimed dividend amount lying with the company as on 03/08/2019 (date of last Annual General Meeting) on the website of the company (www.mrpl.co.in) and also on the website of the Ministry of Corporate Affairs.

MCA vide its Notification dated 05/09/2016 has notified Investor Education and Protection Fund Authority (Accounting, Audit, Transfer and Refund) Rules, 2016 and the Investor Education and Protection Fund Authority (Accounting, Audit, Transfer and Refund) Amendment Rules, 2017 on 28/02/2017. During the financial year no amounts of unclaimed dividend and corresponding shares were due for transfer to Investor Education & Protection Fund (IEPF).

(xv) Distribution of Shareholding as on 31/03/2022:

No. of Equity Shares held	No. of shareholders holding shares in		No. of shares held in		% of Equity capital held in	
	Physical Form	Demat Form	Physical Form	Demat at Form	Physical Form	Demat Form
001 - 500	1,01,749	2,29,137	1,89,13,767	3,56,60,582	1.0792	2.0347
501 - 1000	441	17,683	3,32,500	1,44,61,702	0.0190	0.8252
1001 - 2000	76	7,646	1,12,205	1,17,44,965	0.0064	0.6701
2001 - 3000	9	2,376	23,400	61,34,857	0.0013	0.3500
3001 - 4000	3	1,047	11,100	37,84,259	0.0006	0.2159
4001 - 5000	6	958	28,750	45,70,912	0.0016	0.2608
5001 - 10000	4	1,309	28,800	97,38,243	0.0016	0.5556
10001 & above	4	921	2,75,500	1,64,67,77,235	0.0157	93.9620
Total	1,02,292	2,61,077	1,97,26,022	1,73,28,72,755	1.1255	98.8745

(xvi) Share holding Pattern as on 31/03/2022:

Particulars	No. of Shares	Percentage
Oil and Natural Gas Corporation Limited.	1,25,53,54,097	71.63
Hindustan Petroleum Corporation Limited.	29,71,53,518	16.95
Resident Individuals	11,85,24,619	6.77
Non Resident Individuals	75,63,503	0.43
Domestic Companies	32,75,889	0.19
Foreign Inst. Investor / Foreign Portfolio Investor (Corporate) / Foreign Nationals	1,35,09,428	0.77
GIC & Subsidiaries/ Banks/ Foreign Bank & Financial Institutions/ Insurance /Mutual Funds/ NBFCs registered with RBI	3,57,14,271	2.04
Investor Education And Protection Fund	1,73,86,358	0.99
Central/ State Govt. Institutions	3,100	0.00
Trusts	22,450	0.00
Clearing Members	10,54,748	0.06
Hindu Undivided Family	30,36,796	0.17
Total	1,75,25,98,777	100.00

(xvii) Unclaimed/ Undelivered Shares as on 31/03/2022.

Sl. No	Particulars	No. of shareholders	No. of shares
1.	Aggregate number of shareholders whose shares were lying undelivered / unclaimed at the beginning of the year.	1,217	72,865
2.	Addition - Number of shareholders whose shares lying undelivered / unclaimed during the year (April, 2021 to March, 2022).	9	1,800

Sl. No	Particulars	No. of shareholders	No. of shares
3	Number of shareholders who approached the Company for their undelivered/unclaimed shares during the year and share issued	1	300
4	Shares transferred to IEPF Authority (from unclaimed response Account)	0	0
5	Aggregate number of shareholders and the outstanding shares in the "Unclaimed Share Suspense Account" lying at the end of the year.	1,225	74,365
6	The voting rights on these shares shall remain frozen till the rightful owner of such shares claims the shares		

(xviii) Outstanding GDR/ ADR/ Warrants or any convertible instruments, conversion date and impact on equity :NIL

(xix) Refinery Location : **Mangalore Refinery and Petrochemicals Limited**
Mudapadav, Post, Kuthethoor, Via Katipalla,
Mangaluru - 575 030, Karnataka, India.
Aromatics Complex
Mangalore Special Economic Zone, Permude,
Mangaluru, Karnataka, India-574509

(xx) Address for Correspondence:

Shri K. B. Shyam Kumar
Company Secretary and Compliance Officer
Mangalore Refinery and Petrochemicals Limited
Mudapadav, Post Kuthethoor, Via Katipalla, Mangaluru-575 030, Karnataka.
Tel.No. : 0824-2270400; Email : investor@mrpl.co.in; Website : www.mrpl.co.in

REGISTERED OFFICE / COMPANY'S INVESTOR RELATION CELL:

- 1 Mudapadav, Post Kuthethoor, Via Katipalla, Mangaluru-575 030, Karnataka. Tel.No. : 0824-2270400 Email : investor@mrpl.co.in Website : www.mrpl.co.in
- 2 SCOPE Complex, 7th Floor, Core-8, Lodhi Road, NewDelhi-110003.
Tel.No. : 011-24306400 Email : investor@mrpl.co.in Website : www.mrpl.co.in
- 3 Maker Towers, 15th Floor, "E" Wing, Cuffe Parade, Mumbai - 400005. Tel. : 022-22173000
Email: investor@mrpl.co.in
- 4 PlotA-1, Opp. KSSIDCA. O. Building, Industrial Estate, Rajajinagar, Bengaluru-560010 (Karnataka).
Tel.: 080-22642200 Email : investor@mrpl.co.in Website: www.mrpl.co.in
- 5 **M/s.LINKINTIMEINDIAPRIVATELIMITED, (R&TAgent)**
UNIT: MRPL, C 101, 247 Park, L.B.S Marg, Vikhroli West, Mumbai- 400 083
Tel. : +91 22 49186270 Fax No. : +91 22 49186000
E-mail : mrplirc@linkintime.co.in Website : www.linkintime.co.in

Constitution of Board and Board Committees as on 31st March 2022

Name	Board	Audit	CSR/SD	Nomination, Remuneration Committee	Stakeholders Relationship Committee	Project Appraisal and Review Committee and Operations Review Committee	Risk Management Committee
Dr. Alka Mittal	C	-	-	-	-	-	-
Shri M. Venkatesh	M	-	M	-	-	-	-
Shri Sanjay Varma	M	-	-	-	-	-	-
Smt. Pomila Jaspal	M	-	-	-	M	-	-
Smt. Nivedida Subramanian	M	M	C	-	-	-	-
Shri Vinod S. Shenoy	M	M	-	M	-	M	-
Shri Rohit Mathur	M	-	-	-	-	M	M
Smt. Esha Srivastava	M	-	M	M	-	-	-
Shri R.T.Agarwal	M	C	-	-	-	M	C
Shri Om Prakash Singh	M	-	-	-	M	M	-
Shri Manohar Singh Varma	M	-	-	M	-	C	-
Shri Pankaj Gupta	M	-	-	-	C	-	M
Shri RajKumar Sharma	M	M	-	C	-	-	-

C - Chairperson

M - Member

AUDITORS CERTIFICATE ON COMPLIANCE OF CONDITIONS OF CORPORATE GOVERNANCE

To,
The Members,
Mangalore Refinery and Petrochemicals Limited,
Mangalore.

1. We have examined the compliance of the conditions of corporate governance by **Mangalore Refinery and Petrochemicals Limited** (hereinafter called “the Company”) (CIN: L23209KA1988GOI008959) having its Registered Office at Mudapadav, Post Kuthethoor, Via Katipalla, Mangalore – 575030 Karnataka for the year ended 31st March, 2022 pursuant to Regulation 34 and Regulation 53 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) (Amendment) Regulations, 2022 and as stipulated in the guidelines on Corporate Governance for Central Public Enterprises issued by Department of Public Enterprises, Ministry of Heavy Industries and Public Enterprises, Government of India.

Management's Responsibility

2. The preparation of Corporate Governance Report is the Responsibility of the Management of the Company including the preparations and maintenance of all relevant supporting records and documents. This responsibility also includes the design implementation and maintenance of internal control relevant to the preparation and presentation of the Corporate Governance Report.
3. The Management along with the Board of Directors are also responsible for ensuring that the Company complies with the conditions of Corporate Governance as stipulated in the Listing Regulations, issued by the Securities and Exchange Board of India.

Auditor's Responsibility

4. Pursuant to the requirements of the Listing Regulations, our responsibility is to express a reasonable assurance in the form of an opinion whether the Company has complied with the specific requirements of the Listing Regulations referred to in the paragraph 1 above.
5. We have examined the Statutory Registers, Filings with Stock Exchange and other relevant records, Minutes of the Meetings of the Board and its committees and documents maintained by the Company for the purposes of providing reasonable assurance on the compliance with Corporate Governance requirements by the Company.
6. We have carried out an examination of the relevant records of the Company in accordance with the Guidance Note on Certification of Corporate Governance issued by the Institute of Company Secretaries of India (the “ICSI”) and as per Regulation 34 and Regulation 53 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in so far as applicable for the purpose of this certificate.
7. We have performed necessary inquiries with the management and obtained Management Representation Letter from the Company for the Compliances of the Company with various regulations of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 specifically Regulations 17 to Regulation 21 of the said regulations.
8. We have read the information prepared by the Company and included in its Corporate Governance Report. We have also gone through the Legal Compliance Certificate placed by the Authorised Personnel before the Board quarterly.

The above-mentioned procedures include examining evidence supporting the particulars in the Corporate Governance Report on a test basis. Further, our scope of work under this report did not involve us performing audit tests for the purposes of expressing an opinion on the fairness or accuracy of any of the financial information or the financial statements of the Company taken as a whole.

Opinion

9. Based on the procedures performed by us referred herein above, and according to the information and explanations given to us, we are of the opinion that the Company has complied with the conditions of corporate governance as stipulated in the Listing Regulations, as applicable for the year ended March 31, 2022, referred to in paragraph 1 above. In our opinion and to the best of our information and according to the explanations given to us and the representations made by the directors and management, we certify that the Company has complied with the conditions of corporate governance as stipulated in the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and Department of Public Enterprises Guidelines except for the following:

- a) As per Regulation 17(1) of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 at least half of the Board of Directors shall comprise of Independent Directors.

The Company did not have requisite number of Independent Directors on its Board during the year under review and hence the provisions have not been complied during the year.

- b) As per Regulation 17(1) of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 the composition of the Board of Directors shall have at least one independent woman director.

The Company did not have an Independent Woman Director on its Board for a period from 1st April 2021 to 15th November 2021 and hence the provisions have not been complied during the said period.

- c) As per Regulation 18 (1) of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, 2/3 of the members of the Audit Committee shall be Independent Directors.

The Company did not have requisite number of Independent Directors on its Board for a period from 1st April 2021 to 15th November 2021 and hence the provisions have not been complied upto the quarter ended 31st December 2021. The Company has been in compliance with the provisions w.e.f. 17th January 2022.

- d) As per Regulation 18 (2) (b) of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, the quorum for audit committee meeting shall either be two members or one third of the members of the audit committee, whichever is greater, with at least two independent directors.

The Company has not complied with the provisions pertaining to Quorum of the Audit committee meetings held in the quarters ended 30th June 2021, 30th September, 2021 and 31st December, 2021. The Company has been in compliance with the provisions w.e.f. 17th January 2022.

- e) As per Regulation 19 (1) of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 at least half of the members of Nomination and Remuneration Committee shall be Independent Directors.

The Company did not have requisite number of Independent Directors on its Board for a period from 1st April 2021 to 15th November 2021. The Company did not have requisite numbers of Independent Directors in its Nomination and Remuneration Committee during the year under review. Even though there were requisite number of Independent Directors available in the Board from 15th November 2021, the provisions have not been complied during the year under review i. e. from 1st April 2021 to 31st March 2022.

- f) As per Regulation 21 (1) of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, at least one independent director and in case of a listed entity having outstanding SR equity shares, at least two thirds of the Risk Management Committee shall be Independent Directors.

The provisions have not been complied during the quarters ended 30th September 2021 and 31st December 2021. The Company has been in compliance with the provisions w.e.f. 17th January 2022.

- g) Regulation 17(4) of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, the board of directors of the listed entity shall satisfy itself that plans are in place for orderly succession for appointment to the board of directors and senior management.

The provisions have not been complied as the Company being a Central Public Sector Enterprise (CPSE), the Plan for orderly succession for appointment of Directors is handled by Administrative Ministry, i.e., Ministry of Petroleum and Natural Gas (MoP&NG), Government of India, pursuant to DPE Guidelines.

Other matters and Restriction on use

10. This report is neither an assurance as to the future viability of the Company nor the efficiency or effectiveness with which the management has conducted the affairs of the Company.
11. This report is addressed to and provided to the members of the Company solely for the purpose of enabling it to comply with its obligations under the listing obligations with reference to compliance with the relevant regulations of corporate governance and should not be used by any other person or for any other purpose. Accordingly, we do not accept or assume any liability or any duty of care or for any other purpose or to any other party to whom it is shown or into whose hands it may come without our prior consent in writing. We have no responsibility to update this report to update for events and circumstances occurring after the date of this report.

FOR ULLAS KUMAR MELINAMOGARU & ASSOCIATES

Practising Company Secretaries

sd/-

CS ULLAS KUMAR MELINAMOGARU

Proprietor

FCS 6202, CP No. 6640

UDIN: F006202D000442330

Date: 31/05/2022

Place: Mangaluru

CEO and CFO Certification

We the undersigned, in our respective capacities as CEO/Managing Director and CFO/ GGM(I/ c-Finance) of Mangalore Refinery and Petrochemicals Limited (" the Company") to the best of our knowledge and belief certify that:

- A. We have reviewed financial statements and the cash flow statement for the financial year ended 31st March 2022 and that to the best of our knowledge and belief, we state that:
- (1) These statements do not contain any materially untrue statement or omit any material fact or contain any statements that might be misleading;
 - (2) These statements together present a true and fair view of the Company's affairs and are in compliance with existing accounting standards, applicable laws and regulations.
- B. We further state that to the best of our knowledge and belief , there are no transactions entered into by the Company during the financial year ended 31st March 2022, which are fraudulent, illegal or violative of the Company's Code of Conduct.
- C. We are responsible for establishing and maintaining internal controls for financial reporting and that we have evaluated the effectiveness of internal control systems of the Company pertaining to financial reporting of the company and have disclosed to the Auditors and the Audit committee, deficiencies in the design or operation of internal controls, if any, of which we are aware and the steps we have taken or proposed to take to rectify these deficiencies.
- D. We have indicated to the Auditors and the Audit committee:
- (1) Significant changes, if any, in internal control over financial reporting during the financial year ended 31st March 2022.
 - (2) Significant changes, if any, in accounting policies during the year and that the same has been disclosed in the notes to the financial statements; and
 - (3) Instances of significant fraud of which we have become aware and the involvement therein, if any, of the management or an employee having a significant role in the Company's internal control system over financial reporting.

Sd/-

Yogish Nayak S
GGM (I/C - Finance & CFO)

Sd/-

M Venkatesh
Managing Director
DIN : 07025342

ANNUAL BUSINESS RESPONSIBILITY REPORT (ABRR)

Section A: General Information

- 1 **Corporate Identity Number (CIN of the Company)** : L23209KA1988GOI008959
- 2 **Name of the Company** : Mangalore Refinery and Petrochemicals Limited
- 3 **Registered address** : Mudapadav, Post Kuthethoor, Via Katipalla, Mangaluru-575 030, Karnataka
- 4 **Website** : www.mrpl.co.in
- 5 **e-mail id** : investor@mrpl.co.in
- 6 **Financial Year reported** : 2021-22
- 7 **Sector(s) that the Company is engaged in (industrial activity code-wise)*** : Petroleum and Petrochemicals

Group	Class	Sub-Class	Description
192	1920	19201	Production of liquid and gaseous fuels, illuminating oils, lubricating oils or greases or other products from crude petroleum or bituminous minerals
192	1920	19209	Manufacture of other petroleum n.e.c. (includes manufacture of petroleum jelly, micro-crystalline petroleum wax, slack wax, ozokerite, lignite wax, petroleum coke, petroleum bitumen and other residues of petroleum oils or of oils obtained from bituminous minerals)
351	3510	35105	Electric power generation using solar energy
466	4661	46610	Wholesale of solid, liquid and gaseous fuels and related products
473	4730	47300	Retail sale of automotive fuel in specialized stores [includes the activity of petrol filling stations]
493	4930	49300	Transport via pipeline (Crude, LPG and Petroleum products)
721	7210	72100	Research and experimental development on natural sciences and engineering

*As per NIC-2008-Ministry of Corporate Affairs

8 **List three key products/services that the Company manufactures/provides (as in balance sheet):**

- High Speed Diesel (HSD)
- Motor Spirit (MS)
- Aviation Turbine Fuel

9 **Total number of locations where business**

activity is undertaken by the Company : 10

i **Number of International Locations**

(Provide details of major 5) : Nil

ii **Number of National Locations**

: MRPL carries out its main business activities including manufacturing activities at one location namely Mangaluru in the State of Karnataka.

- MRPL carries out its Marketing activities from the Marketing Head Office located in Bengaluru. Marketing also has 3 Regional Offices, one each at Mangaluru, Bengaluru and Mumbai which carries out diverse marketing functions like Consumer Sales, Retail Sales and Petrochemicals Sales.
 - MRPL as of 31st March 2022 have 32 Retail Outlets at various locations in the States of Karnataka and Kerala.
 - Apart from White Oil and Black Oil terminals at MRPL operates 3 depots, one each at Kasaragod (Kerala), Hindpur (Andhra Pradesh) and Hosur (Tamil Nadu).
 - 1 Polypropylene (PP) warehouse at Hassan in the State of Karnataka.
- 10 Markets served by the Company – Local/State/National/International :** Pan India and Direct export of Polypropylene in Asia, Africa, Latin America, Europe. (Other than tendered Petroleum products)

Section B: Financial Details (FY 2021-22)

- 1 Paid up Capital : ₹1,753 Crore**
- 2 Total Turnover : ₹86,037 Crore**
- 3 Profit After Tax (PAT) / (Loss) : ₹2,955.27 Crore**
- 4. Total Spending on Corporate Social Responsibility (CSR)**
- The Company has spent ₹9.73 Crores on CSR during the year 2021-22
- 5. List the activities in which the CSR expenditures has been incurred**
- The major area in which the above expenditure has been incurred includes education, health care, livelihood support, Swachh Bharat community development projects and environment protections.

Section C: Other Details

- 1. Participation and percentage of participation of other entity/entities (e.g. suppliers, distributors etc.) that the Company does business with, participate in the business responsibility initiatives of the Company.**

MRPL being a listed PSE conducts and governs itself with ethics, transparency and accountability as per policies mandated by DPE Guidelines on Corporate Governance, SEBI Listing Regulations, 2015 and other guidelines and policies of the DPE in particular and GOI, in general. MRPL also pursues some policy initiatives voluntarily and these stakeholders help MRPL in achieving its business responsibility. It is difficult to establish the extent their support helps in facilitating the MRPL's business responsibility initiative.

Section D: BR Information

- 1 Details of Director/Directors responsible for BR**
- a) Details of the Director/Director responsible for implementation of the BR policy/policies Shri M. Venkatesh, Managing Director & CEO (DIN: 07025342)

b) Details of the BR head

Sl. No.	Particulars	Details
1	DIN	07025342
2	Name	Shri M. Venkatesh
3	Designation	Managing Director & CEO
4	Telephone Number	0824-2270400
5	E- mail Id	md@mrpl.co.in

2. Principle (P)-wise (as per NVGs) BR Policy/policies

P 1-	Business should conduct and govern themselves with Ethics, Transparency and Accountability.
P 2-	Business should provide goods and services that are safe and contribute to sustainability throughout their life cycle.
P 3-	Business should promote the well-being of all employees.
P 4-	Business should respect the interests of, and be responsive towards all stakeholders, especially those who are disadvantaged, vulnerable and marginalised.
P 5-	Business should respect and promote human rights.
P 6-	Business should respect, protect and make efforts to restore the environment.
P 7-	Business, when engaged in influencing public and regulatory policy, should do so in responsible manner.
P 8-	Business should support inclusive growth and equitable development.
P 9-	Business should engage with and provide value to their customers and consumers in a responsible manner.

Sl. No.	Questions	Business ethics	Product Responsibility	Wellbeing of employees	Stakeholders engagement	Human Rights	Environment	Public policy	Corporate Social Responsibility	Customer Relations
		P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
1.	Do you have policy/policies	Yes, MRPL being a listed PSE conducts and governs itself with ethics, transparency and accountability as per policies mandated by DPE Guidelines on Corporate Governance, SEBI Listing Regulations, 2015 and other guidelines and policies of the DPE in particular and GOI, in general.	Yes, Product quality manuals (Related to product quality as per BIS / international specifications)	Yes, The Company has a wide range of HR policies covering all employees	Yes, The Company has Stakeholders Relationship Committee (SRC) which addresses the concern of its holders	Yes All policies of the Company take into account the human rights of not only employee but also people likely to be affected by the operations of the Company.	Yes	MRPL is not engaged in influencing public and regulatory policy. However, being a PSE, it conducts its business in a responsible manner and always pursues the best ethical business practices.	Yes	Yes
2.	Has the policy being formulated in consultation with the relevant stakeholders?	Yes	Yes	Yes	Yes	MRPL being a Public Sector enterprise is guided by the policies of GOI.	Yes	Yes	Yes. The CSR and SD Policy are in compliance with the provisions of the Companies Act, 2013 and DPE Guidelines.	Yes

3.	Does the policy conform to any national / international standards? If yes, specify?	Yes. The Policy and procedures conform to statutes and policies of the Govt. of India, DPE and other statutory bodies.	Yes (As per BIS / International specifications and Standards)	Yes	Yes The Policy and procedures conform to the statutes and policies of GOI.	Yes. The Policies are in line with the national standards and relevant international standard for its operations and business pursuit.	Yes. ISO 14001: 2004 Standards	Yes. The Company pursues its business in a responsible manner.	Yes. Conforms to DPE Guidelines)	Yes (ISO:9001 for Quality and ISO:14001 for environment)
4.	Has the policy been approved by the Board? If yes, has it been signed by MD/owner/CEO/ appropriate Board Director?	Yes. All policies mandated by GOI, DPE and other Indian Statutory bodies are followed by Company after due approval from the Company's Board.	Yes, the policies have been approved by the Board and signed.	Yes, the policies have been approved by the Board and signed.	Yes, the policies have been approved by the Board and signed.	Yes, the policies have been approved by the Board and signed.	Yes, the policies have been approved by the Board and signed.	Yes. The Company follows the policies of GOI. All the policies of the Company are approved by its Board of Directors. The Policy has been signed.	Yes, the policies have been approved by the Board and signed.	Yes, the policies have been approved by the Board and signed.
5.	Does the company have a specified committee of the Board/ Director/ Official to oversee the implementation of the policy?	Yes	The Board Committees oversee the compliance and implementation of the policy.	Yes The same is overseen by Nomination and Remuneration Committee	Yes The same is overseen by CSR and SD Committee and Stakeholders Relationship Committee.	Yes	Yes The Company has an PARC & ORC Committee to oversee the implementation of the Policy.	Yes. The Company has a number of Board Committees as detailed in Corporate Governance Report.	Yes. The same is overseen by CSR and SD Committee.	Yes

6.	Indicate the link for the policy to be viewed online?	Whistle Blower Policy and Integrity Pact could be viewed in www.mrpl.co.in	www.mrpl.co.in	Available at Employee Portal	www.mrpl.co.in	www.mrpl.co.in	The various policies of the Company can be assessed at www.mrpl.co.in	www.mrpl.co.in	www.mrpl.co.in
7.	Has the policy been formally communicated?	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
8.	Does the company have in-house structure to implement the policy/policies	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
9.	Does the Company have a grievance redressal mechanism related to the policy/policies to address stakeholders' grievances related to the policy/policies?	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
10.	Has the company carried out independent audit/evaluation of the working of this policy by an internal or external agency?	The implementation of SEBI Listing Regulations, 2015 with regard to Corporate Governance is audited by the Statutory Auditors.	Yes	Yes	Yes	Yes	The Company being a PSE is subject to CAG Audit.	Yes	Yes

Sl. No.	Questions	Business ethics	Product Responsibility	Well being of employees	Stakeholders engagement & CSR	Human Rights	Environment	Public policy	CSR	Customer Relations
		P1	P2	P3	P4	P5	P6	P7	P8	P9
1.	The company has not understood the Principles	NOT APPLICABLE								
2.	The company is not at a stage where it finds itself in a position to formulate and implement the policies on specified principles									
3.	The company does not have financial or manpower resources available for the task									
4.	It is planned to be done within next 6 months									
5.	It is planned to be done within the next 1 year									
6.	Any other reason (please specify)									

3. Governance related to BR

- **Frequency of the Board of Directors, Committee of the Board or CEO to assess the BR performance of the Company**

The Board annually assesses the Business Responsibility performance of the Company.

- **Publishing a BR or a Sustainability Report, frequency and hyperlink of published reports.**

Business Responsibility Report for 2021-22 as required by Securities Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulation, 2015 forms part of 34th Annual Report. The same is also available on the Company's website at www.mrpl.co.in

Section E: Principle-wise performance

Principle 1- Ethics, Transparency and Accountability

1. **Coverage of policy relating to ethics, bribery and corruption cover only the company and its extension to Group/ Joint Ventures / Suppliers / Contractors / NGOs /Others.**

The Company policy relating to ethics, bribery and corruption covers the company, employees and directors, suppliers, contractors, NGOs and other stakeholders.

2. **Stakeholder complaints received in the past financial year and what percentage of complaints satisfactorily resolved by the management.**

The Company has a Stakeholder Relationship Committee. The Committee specifically looks into redressing Shareholders and Investors complaints pertaining to transfer/transmission of shares, non – receipt of annual report, dividends payments, issue of duplicate share certificates and other issues as per the terms of reference. The company has received 39 investor complaints during the Financial Year 2021-2022 of which all complaints were resolved and No complaints are pending with SEBI for disposal. ATR in respect of these complaints was filed and the same were disposed off subsequently by SEBI.

Principle 2- Product Lifecycle Sustainability

- 1: **Steps taken to procure goods and services from Local & Small producers, including communities and capability building activities undertaken for Local and Small vendors.**

The company being in the business of crude oil refining, most of the procurement of equipment, spares and chemicals are always sourced from established sources. These inputs are not available in the local area where the refinery is situated. However services like housekeeping and civil work were procured from local community as majority of services are from local community.

Vendor's meet was conducted on 28/10/2021 to create awareness about new schemes/incentives being offered by Government to promote Local and Small vendors.

- 2: **PROCUREMENT OF GOODS AND SERVICES FROM MSMEs and GeM**

In line with the Public Procurement Policy, 2012 issued by Ministry of Micro, Small and Medium Enterprises, for the year 2021-22 against the target of 25%, our Company has achieved 28.79% i.e.:

₹ 395 Crores procurement of goods and services from Micro and Small Enterprises.

In line with the Govt. guidelines, our Company has maximized procurement through GeM portal during year 2021-22 and achieved procurement of ₹301.08 Crores which is 34.05% of total procurement against total target of 25%.

Principle 3 – Employee well-being

1. Total number of employees. 2100
2. Total number of employees hired on temporary/contractual/casual basis 3121. Employees on contractual basis
3. Number of permanent female employees 146
4. Number of permanent employee with disabilities. 37
5. Do you have an employee association that is recognised by management
Yes. The details are given below
 - a) Management Staff Association (MSA)
 - b) MRPL Employees Union (MEU)
 - c) MRPL SC/ST Employees Welfare Association (MSSEWA)
 - d) Women in Public Sector (WIPS)
 - e) MRPL OBC Employees Welfare Association (MOEWA)

6. Percentage of your permanent employees is members of this recognised employee association?
100%
7. Number of Complaints relating to child labour, forced labour, involuntary labour, sexual harassment in the last financial year and pending, as on the end of the financial year.

Sl No.	Category	No of complaints filed during the financial year.	No of complaints pending as on end of the financial year.
1.	Child labour/forced labour / Involuntary labour.	Nil	Nil
2.	Sexual harassment	Nil	Nil
3.	Discriminatory employment	Nil	Nil

Percentage of your under mentioned employees were given safety & skill up-gradation training in the last year.

During the Year 2021-22, the Company devoted 4229 Mandays for training, development and learning, which amounts to 1.82 average Mandays per employee for Management staff and 2.57 average Mandays per employee for Non-Management staff.

Manpower of Aromatic Complex

Total employee strength in Aromatic Complex as on 31/03/2022 was 472. Out of which, 179 employees belonged to Management cadre and 293 employees belonged to Non-Management cadre. It included 297 Project Displaced Family (PDFs) Candidates. 83 Women employees constituted over 18 percent of Aromatic Complex's workforce. During the year 2021-22, Aromatic Complex devoted 669.83 Man-days for Training, Development and Learning which amounted to an average of 1.43 Man-days per employee. This included functional, developmental and special training programmes covering the entire spectrum of employees.

Principle 4- Stakeholder Engagemen

1. Mapped its internal and external stakeholders.

Yes, the stakeholders have been mapped as under:

- Investors and shareholders
- Employees
- Local Community
- Suppliers & Customers
- Government regulatory authorities

2. Identification of the disadvantaged, vulnerable & marginalized stakeholders.

MRPL follows the guidelines issued by Department of Personnel and Training (DOPT) and list of identified posts reserved for Persons with disabilities issued by Ministry of Social Justice and Empowerment (Govt. of India) for employment of Persons with disabilities.

3. Special initiatives taken by the company to engage with the disadvantaged, vulnerable and marginalized stakeholders.

MRPL frequently conducts special recruitment drive to reduce the shortfall of numbers in reserved category

Principle 5- Human Rights

1. Coverage of the policy of the company on human rights cover and its extension to the Group/Joint Ventures/ Suppliers/ Contractors/ NGOs/ Others.

MRPL is a Central Public Sector Enterprise and is guided by Government guidelines and applicable statutes which protect Human Rights in general as well as extend to its other stakeholders.

2. Stakeholder complaints received in the past financial year and percentage of complaints satisfactorily resolved by the management.

There were no complaints received on violation on Human Rights during the year 2021-22.

Principle 6- Environmental management

1. Coverage of the policy related to Principle 6 and its extension to the Group/ Joint Ventures/ Suppliers/ Contractors/ NGOs/ Others

Nurturing and safeguarding the environment for long term sustainability is the primary objective of MRPL's environment policy. The company strives to inculcate the responsibility of environment preservation and management amongst stakeholder groups such as Contractors, Suppliers and Local Community for sharing the responsibility towards environmental protection. MRPL believe in all inclusive model in achieving the sustainable targets of the organization by all round involvement of relevant stakeholders.

2. Companies strategies/initiatives to address global environmental issues such as climate change, global warming, etc.

MRPL incessantly thrives for improving its business excellence and has improved in making positive environmental impact. MRPL keeps yearly track of the Carbon foot print with respect to refining per metric ton crude. MRPL implemented takes energy conservation measures as detailed bellow.

Thermal Efficiency improvement of CDU1 heater (BA 1001 and VDU- heater (BA 1101) by stack temperature optimization through replacement of critical dampers:

- CDU-2/ VDU-2 CAPH (Cast Iron Air Pre-heater) replacement:
- CDU-1/2 Kero-interconnection for heat recovery in the PHT (Pre-heat Train):
- Economizer performance improvement - (DRY ICE BLASTING UB-3& 4)
- PFCC- NSU (Naphtha Splitter Unit) Stoppage
- Replacing Naphtha in HGU-3 (Hydrogen Generation Unit-3) with RLNG:
- Reduction of Vacuum Column Top Pressure in VDU III (Vacuum Distillation Unit -3)
- CHT Feed Charge pump GA 34101 A/B, replace pump with larger capacity with same head
- Stopping of quench column bottom pump in TGTU:
- WGC ant surge controller tuning in DCU:
- Optimization of Excess O2 based on TDLS Analyzer @ CDU -2 heater arch section:
- VDU-2 Heater coil MP steam reduction:
- By Reducing the MP steam in the VDU-2 heater coils, energy savings incurred: 297 MTOE which is equivalent to 2970 Gcal/yr.
- Arresting H2 flaring by internal recycle of hydrogen to compressor suction via Spill back in PPU By implementing the schemes, net energy savings obtained is 19214 Metric Tons of Oil Equivalent (MTOE) / year which is equivalent to 192140 Gcal/yr.

3. Identification and assessment of potential environmental risks.

MRPL has well-defined process for managing its risks continuously. MRPL has comprehensive Enterprise Risk Management System in place. "The Action Taken Report (ATR) on risks identified and risk mitigation plan are reviewed periodically by the Top Management.

4. Company's initiatives on - clean technology, energy efficiency, renewable energy, etc.

The Company had embarked on a drive to replace inorganic fertilizer with in-house organic fertilizer produced by Vermicomposting horticulture debris. The first Vermicomposting facility is commissioned and organic fertilizer from organic waste is produced enabling cradle to cradle horticulture waste management. Two more Vermi compost facility construction is under progress.

The Company has setting up Desalination Plant at Tannirbhavi, Mangalore of capacity 30 MLD, enabling MRPL water sustainability and reducing the reliance on fresh water sources.

The Company is installing Vapour Recovery System at Retail Outlets to reduce fugitive emissions.

The Company completed EIA study in respect of the proposed State of Art 2G Ethanol Plant proposed at Davanegere, Kamataka and Environment Clearance (EC) awaited. The said 60 KLPD Ethanol plant is an initiative in support of National Bio Fuel policy. The methodology adopted is converting of agricultural residue

Performance on PAT:

Perform Achieve and Trade (PAT) is the flagship program under National Mission for Enhanced Energy Efficiency (NMEEE). NMEEE is one of the eight Missions under the National Action Plan on Climate Change (NAPCC). Bureau of Energy Efficiency (BEE) under Ministry of Power is the nodal agency for implementing Perform Achieve Trade scheme. PAT is a cyclic scheme where certain notified energy intensive units having threshold energy consumption are given Specific Energy Consumption (SEC) reduction targets over a cycle of three years. This is a market-based compliance mechanism to accelerate implementation of cost-effective improvements in energy efficiency in large energy-intensive industries, through certification of energy savings that could be traded. Achieved improvements in Specific energy consumption can be traded in terms of Energy savings certificates (Escerts). The saving of 1 MTOE beyond set target is equivalent to 1 Escerts.

The first cycle of PAT (2012-2015) which ended in 2015 covered eight sectors namely Aluminium, Cement, Chlor-Alkali, Fertilizers, Iron & Steel, Pulp & Paper, Textiles and Thermal Power Plants. Subsequent to PAT cycle – I, PAT Cycle - II was notified in 2016 and ended in 2019. This cycle included almost all Designated Consumers of PAT Cycle-I and also new DCs from three new sectors such as Railways, Petroleum Refineries and DISCOM.

PAT Cycle – II (from the period 2016-17 to 2018-19):

MRPL has participated in PAT Cycle II (2016-2019). The target MBN of 79.88 has been given for PAT Cycle –II in comparison to baseline year (FY 2014-15) MBN of 86.26. Federation of Indian Chambers of Commerce & Industry (FICCI) Energy Audit team conducted Monitoring & Verification (M&V) audit at MRPL under PAT Scheme during the month of June 2019. The objective of the M&V Study is to a) Verify the SEC for year 2018-19 in energy consumption as per Gate to Gate concept. b) Review the reported data of the DC and verify the improvements performed by plant to achieve the Target SEC as per the baseline audit.

MRPL has achieved actual MBN of 74.3 during FY 2018-19 which is the assessment year for PAT cycle-II against the target MBN 79.88. FICCI, upon completion of Monitoring and Verification (M&V) audit, energy savings of 87748 million tonne of oil equivalent (MTOE) has been certified upon over achievement of 5.6 MBN during Jan'2020. However MoP has not yet issued the certificates to MRPL

BASLINE MBN FY2014-15	TARGET MBN FOR FY2018-19 (PAT 2 CYCLE)	ACTUAL MBN FOR FY2018-19	ENERGY SAVING CERTIFICATE (ESCERTS ACHIEVED)
86.26	79.88	74.3	87748

PAT Cycle – VI (from the period 2020-21 to 2022-2023):

PAT Cycle-VI has commenced with effect from 1st April 2020. MRPL is participating in PAT Cycle VI as per the gazette notification from Ministry of Power (MoP) dated Apr'2020 with target MBN of 69.0751 for the target year 2022-23 in comparison to baseline energy consumption 74.3 MBN of baseline year 2018-19. Currently MRPL has a stock of 87748 Escerts (yet to be issued from MoP) that will be used for PAT cycle –VI, if any shortfall to achieve the targeted MBN of 69.0751 for the assessment year FY2022-23.

BASELINE MBN FY2018-19	TARGET MBN FOR FY2022-23 (PAT 6 CYCLE)
74.3	69.0751

5. Reporting on the Emissions/Waste generated by the company within the permissible limits given by CPCB/SPCB.

The emissions/ waste generated by the company are within the permissible limits given by CPCB/ SPCB norms. The reports are being submitted periodically to the Karnataka State Pollution Control Board (KSPCB).

6. Number of show cause/ legal notices received from CPCB/SPCB which are pending (i.e. not resolved to satisfaction) as on end of Financial Year 2021-22 : Nil

Principle 7- Public Advocacy

1. Representation in any trade and chamber or association.

Yes, the company is having membership in the following Associations / Bodies

1. Confederation of Indian Industry (CII)
2. Standing Committee on Public Enterprises (SCOPE)
3. Petroleum Conservation Research Association (PCRA)
4. National Accreditation Board of Testing and Calibration Laboratories (NABL)
5. Federation of Indian Petroleum Industry
6. Federation of Indian Export Organizations (FIEO)

2. Advocated/lobbied through above associations for the advancement or improvement of public good.

The Company is actively participating in Programs conducted by the association for improvement of public good.

Principle 8: Inclusive Growth

1. Specified programs/initiatives/projects in pursuit of the policy related to Principle 8.

MRPL has a CSR & SD Policy with a thrust on inclusive growth and community development. Various CSR initiatives were taken by the company as per CSR/ SD Policy (details furnished in Boards' Report "Annexure-A").

2. Programs/projects undertaken through in-house team/own foundation/external NGO/ Government structures / any other organization.

The CSR Projects are implemented by the Company.

3. Impact assessment for initiatives.

Impact assessment is carried out after completion of the project, by taking feedback from the beneficiaries. M/s. Environmental Technical Services Private Limited was hired for carrying out impact assessment study of completed projects during the Financial year 2021-22, having outlay of more than ₹50.00 lakhs. During the impact assessment study, feedback is obtained from schools regarding improvement of attendance, academic performance of the students, improvements in extra-curricular activities of the students etc., to analyse the impact of the CSR projects such as providing Infrastructure facility. Similarly, feedback on improvement of health and living standard of the village residents is taken from the Grama Panchayaths, where various CSR projects are taken up such as Running of Free Primary Health Centre, construction of roads, installation of solar street lights, drinking water projects etc. Copy of the Impact Assessment Report is annexed in CSR Annual Report.

4. Company's direct contribution to community development projects.

An expenditure of ₹9.73 Crore has been incurred by MRPL during 2021-22 towards community development projects pertaining to Education, Healthcare, Community Development, etc.

5. Steps to ensure that this community development initiative is successfully adopted by the community.

The CSR initiative taken up by the company has been successfully adopted by the community. There are lots of improvements in the area of education especially in student intake in rural Government Schools, sanitation, health, infrastructure development, environment in rural and downtrodden communities of the society. The quality of living with respect to hygiene has improved in rural SC/ST communities. Providing free medical facility through Primary Health Centers in the surrounding rural area has greatly helped in improving the health condition of the rural people especially the agriculturists and women. Providing hygienic midday meal to the students in the rural schools has helped in retaining strength in the Government Schools. Solar street lights installed in villages have helped the villagers to save energy. Construction of Anganwadi has helped in nurturing the children and pregnant women.

Principle 9: Value for Customers.

1. Percentage of customer complaints/consumer cases are pending as on the end of financial year.
79% of the customer complaints stands resolved under the Direct Sales vertical in the FY. 21% is pending which have come in the last quarter of the year.
2. Product information on the product labelling.
Only for Polypropylene. Information inter alia covers Grade Description, Manufacturer name and address/email address, Brand Name, Bag Number, Lot number and safety directions. Packed Bitumen drums has information on Manufacturer, grade, weight.
3. Case Filed by any stakeholder against the company regarding unfair trade practices, Irresponsible advertising and/or anti-competitive behaviour during the last five years and pending as at end of financial year - Nil
4. Consumer survey/consumer satisfaction trends carried out by the Company.
The consistent product quality and highly responsive sales system has ensured direct Marketing customer satisfaction index of more than 97.15% for FY 21-22.

INDEPENDENT AUDITOR'S REPORT

To The Members of

Mangalore Refinery and Petrochemicals Limited

Report on the Audit of the Standalone Financial Statements

Opinion

We have audited the accompanying standalone financial statements of **MANGALORE REFINERY AND PETROCHEMICALS LIMITED** ("the Company"), which comprises the Standalone Balance Sheet as at 31st March 2022, and the Standalone Statement of Profit and Loss, (including other comprehensive income), the Standalone Statement of Changes in Equity and the Standalone Statement of Cash flow for the year then ended, and notes to the Standalone Financial statement, including a summary of the significant accounting policies and other explanatory information (hereinafter referred to as "the standalone financial statements").

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid standalone financial statements give the information required by the Companies Act, 2013 ('Act') in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, including the (Indian Accounting Standards) Rules, 2015, as amended, ("Ind AS") and the relevant rules issued thereunder, of the state of affairs of the Company as at 31st March 2022, and its profit (including other comprehensive income), changes in equity and cash flows for the year ended on that date.

Basis for opinion

We conducted our audit in accordance with the Standards on Auditing (SAs) specified under Section 143(10) of the Companies Act, 2013. Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the audit of the standalone financial statements* section of our report. We are independent of the company in accordance with the *Code of Ethics* issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Companies Act, 2013 and the rules made there under, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on the standalone financial statements.

Emphasis of Matter

We invite attention to the following Notes to statement of Standalone Financial Statements;

- (a) Note No. 50.1 which states that pursuant to the Scheme of Amalgamation (the 'Scheme') approved by the Ministry of Corporate Affairs (MCA) vide its order No. 24/3/2021-CL-III dated April 14, 2022, the amalgamating company, the erstwhile wholly owned subsidiary company ONGC Mangalore Petrochemicals Limited (OMPL), has been amalgamated with the Company (the amalgamated company) with effect from April 1, 2021 (the Appointed date) and the financial information in the standalone financial statements in respect of prior period is restated as per Appendix "C" of Ind As 103 – Business Combination as if the business combination had occurred from the beginning of the preceding period in the financial statements, irrespective of the actual date of the combination. Accordingly, business combination is accounted with effect from April 1, 2020.
- (b) Note No. 40 which states that, with regard to amalgamation of erstwhile subsidiary company ONGC Mangalore Petrochemicals Limited (OMPL) with the company, as Human Resources (HR) integration with respect to amalgamation is in progress, the Employee Benefits Expenses including Actuarial Valuation in this regards have been considered separately for both companies and possible impact of the changes on account of Human Resources integration could not be quantified and disclosed at this juncture.
- (c) Note No. 25.2 which states that pursuant to the scheme of Amalgamation of erstwhile subsidiary company ONGC Mangalore Petrochemicals Limited (OMPL) ('Amalgamating Company') into and with the Company ('Amalgamated Company'), the unused tax losses and unused tax credits of the amalgamating company becomes unused tax losses and unused tax credits of the amalgamated company for the financial year 2021-22 and hence

the company has reassessed and recognised the Deferred Tax Assets on such unused tax losses and unused tax credits based on the probability of earning sufficient taxable profits in the future years in line with Ind AS 12- Income taxes. Accordingly, this has resulted in increase in the Deferred Tax Assets by ₹14,554.27 million for the year ended March 31, 2022 (₹ Nil for the year ended March 31, 2021)

Our opinion is not modified in respect of the above referred (a) to (c) matters.

Key Audit Matters

Key audit matters are those matters that, in our Professional judgement, were of most significance in our audit of the standalone financial statements of the current period. These matters were addressed in the context of our audit of the standalone financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have determined the matters described below to be the key audit matters to be communicated in our report. We have fulfilled the responsibilities described in the Auditors' responsibilities for the audit of the Standalone Financial Statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the Standalone Financial Statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying Standalone Financial Statements.

The Key Audit Matters	How the matter was addressed in our audit
Contingent Liabilities related to claims against the company/ Disputed demands (Refer Note No 45 of accompanying Standalone Financial statements)	
There are several claims and litigations pending before various forums against the company which have not been acknowledged as debt by the company and are disclosed as contingent Liabilities. Whether a liability is recognised or disclosed as a contingent liability in the financial statements is inherently judgmental and dependent on a number of significant assumptions and assessments. The eventual outcome of these legal proceedings is dependent on the outcome of future events and unexpected adverse outcomes could significantly impact the Company's reported profits and balance sheet position. Considering the degree of management judgement in interpreting the various cases, including accounting estimates that involves high estimation uncertainty in relation to the exposure arising out the claims against the company/disputed	Our audit procedure included, but was not limited to the following: ● Obtained an understanding of the management process for: ✓ Controls and identification of legal actions initiated in respect of claims and disputed amount against the Company ✓ Assessment of accounting treatment for each such litigation identified under Ind AS 37 and ✓ Measurement of amounts involved. ● Obtained an understanding of the nature of litigations pending against the Company and discussed the developments during the year for key litigations with the management and respective legal department of the company. ● Assessed management's conclusions through understanding precedents set in similar cases ● Evaluated the adequacy and completeness of disclosures made for their appropriateness in accordance with the applicable accounting standards

demand, this matter has been identified as a key audit matter for the current year audit.	
Recognition and Measurement Deferred Tax Assets (Refer Note No 25 of accompanying Standalone Financial statements)	
As per IND AS 12, Deferred Tax Assets are the amount of income tax recoverable in future periods in respect of (a) deductible temporary differences (b) the carry forward of unused tax losses and (c) the carry forward of unused tax credits A deferred tax asset shall be recognised for the carry forward of unused tax losses and unused tax credits to the extent that it is probable that future taxable profit will be available against which the unused tax losses and unused tax credits can be utilised Determination of probable future taxable profit is a matter of judgment based on convincing evidence. Considering the management's involvement in estimation and judgment of determining the future taxable profits which have a degree of uncertainty, this matter has been determined as a key audit matter.	Our audit procedure included, but was not limited to the following : ● Considered the company's past and current years taxable profits, taxes paid and the impact of the amalgamation of the erstwhile wholly owned subsidiary company ONGC Mangalore Petrochemicals Limited (OMPL) with the Company, obtained details of carry forward losses under income tax and details of estimates of future taxable profits. ● Tested the period over which the deferred tax assets on such unused tax losses and unused tax credits including the tax losses and unused tax credits of the erstwhile wholly owned subsidiary company ONGC Mangalore Petrochemicals Limited (OMPL) which amalgamated with the Company would be recovered against future taxable income. ● Tested the management's under lying assumptions and judgments in estimating the probable future taxable profits and the existence of sufficient taxable temporary difference against which the unused tax losses or unused tax credits can be utilised by the company ● Assessed the adequacy and appropriateness of the disclosures in the Standalone financial statements.
Capitalisation and useful life of Property, Plant and Equipment (PPE) (Refer Note No 5 of accompanying Standalone Financial Statements)	
During the year the company has incurred capital expenditure on various property, Plant and Equipment including the capitalisation of work in progress based on its readiness for intended use as determined by the management. Further, the estimated useful life have been reviewed and revised in respect of certain PPE based on expectations different from previous estimate which involves management judgement, technical assessment, consideration of historical experience, anticipated technical changes etc. Considering the assessment and estimation of the management, the above matter has been determined as a key audit matter	Our audit procedure included but was not limited to the following : ● Assessed the nature of additions made to PPE and capitalisation of capital work in progress on a test check basis to test whether they meet the recognition criteria as per Ind-AS 16 – Property, Plant and Equipment, including its readiness for intended use as determined by the management. ● Examined the management assessment of the assumptions considered in estimation of useful life. ● Examined the detailed internal evaluation including the technical assessment with respect to the changes in useful life of PPE as provided by the management. ● Assessed the adequacy and appropriateness of the disclosures in the financial statements including the impact recognised on account of the change in the useful life.

Other Matters

- (I) We did not audit the financial statements of the Special Economic Zone Unit of the Company which is erstwhile subsidiary company named M/s ONGC Mangalore Petrochemicals Limited, now amalgamated with the Company in accordance with the Scheme referred to in Note No. 50 to the standalone financial statements of the Company, whose financial statements (before eliminating the inter unit balances) reflect total assets of ₹ 61,372.23 million as at March 31, 2022, total revenues (including other income) of ₹ 65,340.68 million, net loss after tax of ₹ 7,869.30 million and total comprehensive loss of ₹ 7,860.70 million for the year ended 31st March 2022 respectively, as considered in the standalone financial statements of the Company. This financial statements have been audited by other auditor in the capacity as 'Branch Independent Auditor' whose report dated 09.05.2022 has been furnished to us by the management and our opinion on the Standalone financial statements, in so far as it relates to the amounts and disclosures included in respect of this unit/branch is based solely on the report of such Branch Auditor.

Our opinion above on the Standalone Financial Statements, and our report on Other Legal and Regulatory Requirements below, is not modified in respect of the above matter

Other Information

The Company's Board of Directors is responsible for the other information. The other information comprises the information included in the Board Report including Annexure to Board's Report, Management Discussion and Analysis, Business Responsibility Report, Corporate Governance and Shareholder's Information, but does not include the standalone financial statements and our auditor's report thereon. The above referred information is expected to be made available to us after the date of this auditor's report.

Our opinion on the standalone financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the standalone financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the standalone financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. When we read the information, If, we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance and take appropriate actions necessitated by the circumstances and the applicable laws and regulation.

Responsibilities of Management and those charged with governance for the Standalone Financial Statements

The Company's Board of Directors are responsible for the matters stated in section 134(5) of the the Companies Act, 2013 ("the Act") with respect to the preparation of these standalone financial statements that give a true and fair view of the financial position, financial performance, total comprehensive income, changes in equity and Cash flow of the Company in accordance with the accounting principles generally accepted in India, including the Indian Accounting Standards specified under section 133 of the Act. This responsibility also includes maintenance of adequate accounting records in accordance with the provision of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial control that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the standalone financial statement that give true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the standalone financial statements, the Board of Directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going

concern basis of accounting unless the Board of Directors either intends to liquidate the Company or to ceases operations, or has no realistic alternative but to do so.

Those Board of Directors are responsible for overseeing the company's financial reporting process.

Auditor's Responsibilities for the audit of the Standalone Financial Statements

Our objectives are to obtain reasonable assurance about whether the standalone financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these standalone financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the standalone financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal controls relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Companies Act, 2013, we are also responsible for expressing an opinion on whether the company has adequate internal financial controls system in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of the management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the standalone financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the standalone financial statements, including the disclosures, and whether the standalone financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the standalone financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

1. As required by the Companies (Auditor's Report) Order, 2020 ("the Order") issued by the Central Government of India in terms of sub-section (11) of section 143 of the Companies Act 2013, we give in the "**Annexure A**", a statement on the matters specified in the paragraph 3 and 4 of the order, to the extent applicable.
2. Based on the verification of Records of the Company and based on information and explanations given to us, we give here below a report on the Directions issued by the Comptroller and Auditor General of India in terms of Section 143 (5) of the Act:
 - a. The company process all the accounting transactions through IT system, named SAP. Based on the audit procedures carried out and as per the information and explanations given to us, there were no accounting transactions processed outside the IT system for the year ended 31st March, 2022 and consequently, no financial implications arise to impact the integrity of accounts.
 - b. Based on the audit procedures carried out and as per the information and explanations given to us, there is no restructuring of an existing loan or cases of waiver/write off of debt/loans/interest etc. made by lender to the company due to the company's inability to repay the loan.
 - c. Based on the audit procedures carried out and as per the information and explanations given to us. Government grants in the form of interest free loans received from the State Government have been properly accounted and utilised as per the terms and conditions.
3. As required by section 143(3) of the Act, we report that:
 - a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit;
 - b) In our opinion, proper books of account as required by law have been kept by the Company so far as appears from our examination of those books;
 - c) The standalone Balance Sheet, standalone Statement of Profit and Loss (including other comprehensive income), the standalone statement of Cash Flows and the standalone statement of changes in Equity dealt with by this Report are in agreement with the books of account;
 - d) In our opinion, the aforesaid standalone financial statements comply with Indian Accounting Standards specified under Section 133 of the Act, read with rule 7 of the Companies (Accounts) Rules, 2014.
 - e) As per Notification No. GSR 463(E) of the Ministry of Corporate Affairs dated 05-06-2015. Disqualification of directors stated under Section 164(2) of the Act is not applicable to the Company, since it is a Government Company.
 - f) With respect to the adequacy of the internal financial controls with reference to financial statement of the Company and the operating effectiveness of such controls, refer to our separate report in "**Annexure B**".
 - g) As per Notification No GSR 463 (E) of Ministry of Corporate Affairs dated 05-06-2015, provisions of Section 197 as regards managerial remuneration are not applicable to the company since it is a Government Company and
 - h) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:
 - (I) The Company has disclosed the impact of pending litigations on its financial position in its standalone financial statements – Refer Note No 45 to the Standalone Financial Statements;

- (II) The Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses. and
- (III) There has been no delay in transferring amounts, required to be transferred, to the Investor Education and Protection Fund by.
- (IV) The Management has represented that, to the best of its knowledge and belief, as disclosed in the Note 48.11 to the standalone financial statements, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other person(s) or entity(ies), including foreign entities (“Intermediaries”), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company (“Ultimate Beneficiaries”) or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
- (V) The Management has represented, that, to the best of its knowledge and belief, as disclosed in the note 48.12 to the accounts, no funds have been received by the Company from any person(s) or entity(ies), including foreign entities (“Funding Parties”), with the understanding, whether recorded in writing or otherwise, that the Company shall, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (“Ultimate Beneficiaries”) or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries
- (VI) Based on the audit procedures performed that have been considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (i) and (ii) of Rule 11(e) contain any material mis-statement.
- (VII) During the year Company has not declared or paid any dividend.

For **SANKAR & MOORTHY**
Chartered Accountants
Firm Registration Number: 003575S

Sd/-
CA MONY ANANTHASIVAN
Partner
Membership no: 028519

Place : Calicut
Date : 11th May 2022
UDIN : 22028519AIUWEY4578

For **RAM RAJ & CO**
Chartered Accountants
Firm Registration Number: 002839S

Sd/-
CA P KARUNAKARA NAIDU
Partner
Membership no: 210603

Place : Bangalore
Date : 11th May 2022
UDIN : 22210603AIUWMC1245

“ANNEXURE - A” TO THE INDEPENDENT AUDITOR'S REPORT

[Referred to in paragraph 1 of “Report on Other Legal and Regulatory Requirements” of our Report of even date to the members of M/S MANGALORE REFINERY AND PETROCHEMICALS LIMITED on the accounts of the Company for the year ended 31st March, 2022]

Based on the audit procedures performed for the purpose of reporting a true and fair view on the financial statements of the Company and taking into consideration the information and explanations given to us and the books of account and other records examined by us in the normal course of audit, and to the best of our knowledge and belief, we report that:

- i) In respect of the Company's Property, Plant and Equipment;
 - a. The Company has maintained proper records showing full particulars, including quantitative details and situation of Property, Plant and Equipment and intangible assets.
 - b. As per information and explanations given to us and the records of the company examined by us, all the Property, Plant and Equipment have not been physically verified by the management during the year, However, there is a regular programme of verification, which, in our opinion is reasonable having regard to the size of the Company and nature of its assets. As per the reports submitted by the Company, no material discrepancies have been noticed on such verification.
 - c. According to the information and explanation given to us and the records of the company examined by us, the title deeds of immovable properties are held in the name of the company except in respect of immovable properties taken on lease and disclosed as right-of-use-assets in the standalone financial statements, the formal lease agreements/ title deeds for lands amounting to ₹485.67 million (Previous Year ₹1,247.51 million) are yet to be executed (Refer Note No. 6.2 along with Note No 48.1 to the standalone financial statements). In the case of erstwhile Subsidiary Company ONGC Mangalore Petrochemicals Ltd (amalgamated company) the lease hold rights and the title deeds of the freehold land is pending mutation to the merged entity.
 - d. The Company has not revalued any of its Property, Plant and Equipment (including right-of-use assets) and intangible assets during the year.
 - e. According to the information made available by the management, the Company do not hold any benami property nor carried out any benami transaction under the Benami Transactions (Prohibition) Act, 1988 and rules made thereunder.
- ii)
 - a. According to the information made available and based on the records examined by us, the Company is conducting physical verification of inventories at reasonable intervals. The coverage and procedure of such verification by the management in our opinion, is appropriate having regard to the size of the company and nature of its business. As per the reports made available there are no discrepancies of 10% or more in aggregate for each class of Inventory have been noticed on such verification by the company.
 - b. The Company is enjoying working capital limits in the form of cash credits in excess of ₹5 Crores in aggregate from Banks and Financial Institutions.

On our verification it is observed that the quarterly returns filed by the company to the Banks / Financial Institution are in agreement with the book of accounts maintained by the company (Refer Note No 48.4 to the standalone financial statements) except the following.

(Amount in ₹ Millions)

Quarter	Particulars	Amount as per Books of Accounts	As per Quarterly Statement submitted to Bank	Difference Amount
Q1 FY 21-22 June 21	Inventory	72,841.69	72,889.68	(47.99)
	Trade Receivable	28,110.29	29,126.62	(1,016.33)
	Trade Payable (Crude)	52,847.96	53,045.92	(197.96)
	Turnover net of Excise duty and Trading Goods	1,12,926.10	1,12,927.70	(1.6)
Q2 FY 21-22 Sep 21	Inventory	77,661.32	77,709.05	(47.73)
	Trade Receivable	37,962.22	38,982.59	(1,020.37)
	Trade Payable (Crude)	48,186.64	48,309.33	(122.69)
	Turnover net of Excise duty and Trading Goods	2,45,259.19	2,45,255.75	3.44
Q3 FY 21-22 Dec 21	Figures for Quarterly Returns filed by the Company for Q3 FY 21-22 (Dec 21) are in agreement with Books of Accounts.			
Q4 FY 21-22 March 22	Quarterly return for Q4 FY 21-22 (March 22) is yet to be filed.			

With regards to the Special Economic Zone Unit of the Company which is erstwhile subsidiary company named M/s ONGC Mangalore Petrochemicals Limited, now amalgamated with the Company in accordance with the Scheme referred to in Note No.50 to the standalone financial statements, the respective Auditor of the unit reported that the quarterly returns / statements filed by the unit with such banks are in agreement with books of accounts of the unit.

- iii) As per the information and explanation provided by the company, the company has not made any investments in, provided any guarantee or security or granted any loans or advances in the nature of Loans, secured or unsecured to companies, firms, limited liability partnerships or any other parties during the year and hence the provisions of clause (iii) {(a) to (f)} of paragraph 3 of the Order are not applicable to the company
- iv) According to the information and explanations given to us, in respect of loans, investments, guarantees, and security, the Company has complied with provisions of Sections 185 and Section 186 of the Companies Act.
- v) According to the information and explanations given to us, the Company has not accepted any deposits or amounts which are deemed to be deposits within the meaning of sections 73 to 76 or any other relevant provisions of the Companies Act, and the rules made thereunder. Hence, the provisions of clause (v) of paragraph 3 of the Order are not applicable to the company.
- vi) We have broadly reviewed the records maintained by the Company pursuant to the rules prescribed by the Central Government for maintenance of cost records under Subsection (1) of Section 148 of the Companies Act, and are of the opinion that prima facie, the prescribed accounts and records have been made and maintained. However, we have not made a detailed examination of the records.

- vii)
- a. According to the information and explanations given to us and the records of the Company examined by us, in our opinion, the Company is generally regular in depositing undisputed statutory dues including Provident Fund, Income Tax, Goods and Services Tax, Sales Tax, Duty of Excise and other statutory dues applicable to it during the year with appropriate authorities.

Further we report that, there were no undisputed amounts payable in respect of Provident Fund, Income Tax, Goods and Service Tax, Sales Tax, Duty of Excise and other statutory dues outstanding as at 31st March, 2022 for a period of more than six months from the date they became payable.

- b. According to information and explanations given to us and as per our verification of records of the Company, the statutory dues referred to in sub-clause (a) above which have not been deposited with the appropriate authorities as at 31st March, 2022 on account of disputes are given below.

(₹ in Millions)

NAME OF THE STATUTE	NATURE OF THE DUES	TOTAL DEMAND	TOTAL TAX PAID UNDER PROTEST/ ADJUSTED	AMOUNT NOT DEPOSITED	PERIOD (FINANCIAL YEAR)	FORUM WHERE THE DISPUTE IS PENDING
Income Tax Act, 1961	Income Tax/ Interest / Penalty	45.54	-	45.54	2013-14	Commissioner of Income Tax Appeals
Direct Tax Vivad Se Vishwas Act, 2020	Income Tax/ Interest / Penalty	49.98	-	49.98	2007-08	As Informed, the Company is in the process of Filing write petition before Karnataka High Court.
Central Excise Act & Service Tax 1944	Central Excise Duty / Service Tax / Interest / Penalty	7,966.52	185.89	7,780.63	2002-03 to 2016-17	CESTAT
The Customs Act, 1962	Custom Duty/ Interest / Penalty	924.38	378.71	545.67	1997-2000 & 2015-2017	CESTAT - Bangalore
		71.90	-	71.90	1997-2000	Supreme Court
		6,168.37	2,125.25	4,043.12	2015-2017	CESTAT
The Karnataka Sales tax Act, 1957/ Central Sales Act, 1956	Tax/ Interest/ Penalty	4,341.60	4,341.60	-	1999-00 to 2009-10	Karnataka Appellate Tribunal
		34.97	22.66	12.31	2003-04	Gujarat Value Added Tax Tribunal

- viii) On our verification and based on the information made available to us, there are no instances of non-recording of transactions in the books of accounts that have been surrendered/ disclosed as income during the year for tax assessment under Income Tax Act, 1961.

- ix)
- a. As per the information made available and based on our verification we report that, the company has not defaulted in repayment of loans or other borrowings or in the payment of interest thereon to any lender.

- b. As per the record made available and explanations provided to us, the company has not been declared wilful defaulter by any bank or financial institution or other lender.
 - c. On an overall examination of the financial statement of the Company, Terms loans obtained by the Company has been fully applied for the purpose for which the loan were obtained.
 - d. On an overall examination of the financial statement of the Company, funds raised on short term basis have, prima facie, not been used during the year for long-term purposes by the Company.
 - e. On an overall examination of the financial statement of the Company, the Company has not taken any funds from any entity or person on account of or to meet the obligation of its subsidiaries, associates or joint ventures.
 - f. As per the record made available and explanations provided to us, the company has not raised loans during the year on the pledge of securities held in its subsidiaries, joint ventures or associate companies.
- x)
- a. The Company has not raised moneys by way of initial public offer or further public offer (including debt instruments) during the year and hence reporting under clause 3 (x)(a) of the Order is not applicable.
 - b. During the year, the Company has not made any preferential allotment or private placement of shares or convertible debentures (fully or partly or optionally) and hence reporting under clause 3(x)(b) of the Order is not applicable.
- xi)
- a. As per the information and explanation provided, no fraud by the company or any fraud on the company has been noticed or reported during the year.
 - b. No report under sub-section (12) of section 143 of the Companies Act has been filed in Form ADT-4 as prescribed under rule 13 of Companies (Audit and Auditors) Rules, 2014 with the Central Government, during the year and up to the date of this report.
 - c. As per the information and explanation provided, no whistle blower complaints received by the Company during the year.
- xii) The Company is not a Nidhi Company and hence reporting under clause (xii) of paragraph 3 of the Order are not applicable to the company.
- xiii) The Company has entered into transactions with related parties in compliance with the provisions of Sections 177 and 188 of the Companies Act. The details of such related party transactions have been disclosed in the financial statements as required by applicable accounting standards.
- xiv)
- a. In our opinion the company has an adequate internal audit system commensurate with the size and nature of its business.
 - b. While framing this report we have considered the reports of the internal auditor issued to the Company during the year and till date.
- xv) According to the information and explanations given to us, the Company has not entered into any non-cash transactions with directors or persons connected with the directors during the year. Hence, the provisions of Sec 192 of the Companies Act are not applicable to the Company.
- xvi) According to the information and explanations given to us, the Company is not required to be registered under section 45-IA of the Reserve Bank of India Act, 1934. Also the company has not conducted any Non-Banking Financial or Housing financial activities without a valid Certificate of Registration (CoR). Accordingly, reporting

under clause (xvi) of paragraph 3 of the Order are not applicable to the company.

- xvii) The company has not incurred cash losses either in the preceding previous year or in the current year.
- xviii) There has been no resignation of the statutory auditors of the Company during the year.
- xix) On the basis of analysis of information relating to financial ratios, ageing and expected dates of realisation of financial assets and payment of liabilities, other information accompanying the financial statements, our knowledge of the Board of Directors and Management plan and based on our examination, evidence and supporting assumptions, we are of the opinion that no material uncertainty exist on the date of audit report and the company is capable of meeting its existing liabilities at the date Balance Sheet as and when they fall due within one year from the date of Balance Sheet.
- xx)
- As per the information and explanation provided and based on our verification of records there was no unspent amount towards Corporate Social Responsibility (CSR) other than ongoing projects. Accordingly, reporting under clause 3 (xx)(a) of the Order is not applicable for the year.
 - In respect of ongoing projects, the Company has transferred the unspent Corporate Social Responsibility (CSR) amount as at the end of the previous financial year, to a Special account as specified under Section 135(6) of the Companies Act within the time limit.

For **SANKAR & MOORTHY**

Chartered Accountants

Firm Registration Number: 003575S

For **RAM RAJ & CO**

Chartered Accountants

Firm Registration Number: 002839S

Sd/-

CA MONY ANANTHASIVAN

Partner

Membership no: 028519

Sd/-

CA P KARUNAKARA NAIDU

Partner

Membership no: 210603

Place : Calicut

Date : 11th May 2022

UDIN : 22028519AIUWEY4578

Place : Bangalore

Date : 11th May 2022

UDIN : 22210603AIUWMC1245

“ANNEXURE B” TO THE INDEPENDENT AUDITORS' REPORT

REFERRED TO IN PARAGRAPH 3(f) UNDER THE HEADING “REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS” OF OUR INDEPENDENT AUDITORS REPORT OF EVEN DATE ON THE STANDALONE FINANCIAL STATEMENTS OF MANGALORE REFINERY AND PETROCHEMICALS LIMITED FOR THE YEAR ENDED 31st MARCH 2022

Report on the Internal Financial Controls with reference to these Standalone Financial Statements under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 (“the Act”)

We have audited the internal financial control system with reference to standalone financial statements reporting of **MANGALORE REFINERY AND PETROCHEMICALS LIMITED** (“the Company”) as of 31st March 2022 in conjunction with our audit of the Standalone financial statements of the Company for the year ended on that date.

Management's Responsibility for Internal Financial Controls

The Company's management is responsible for establishing and maintaining internal financial controls based on the internal controls with reference to financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India ('ICAI'). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditors' Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls system with reference to the standalone financial statements reporting based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls over Financial Reporting (the “Guidance Note”) and the Standards on Auditing, issued by ICAI and deemed to be prescribed under section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls with reference to Standalone financial Statements. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls system with reference to these standalone financial statements was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system with reference to these standalone financial statements reporting and their operating effectiveness. Our audit of internal financial controls with reference to standalone financial statements included obtaining an understanding of internal financial controls with reference to the standalone financial statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the standalone financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained and the audit evidence obtained by the other auditors in terms of their reports referred to in “Other Matters” Paragraph below, is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system with reference to these standalone financial statements.

Meaning of Internal Financial Controls with reference to these Standalone Financial Statements

A company's internal financial control system with reference to these standalone financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of Standalone financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial controls with reference to standalone financial statements reporting includes those policies and procedures that

- (1) Pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company;
- (2) Provide reasonable assurance that transactions are recorded as necessary to permit preparation of standalone financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and
- (3) Provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the standalone financial statements.

Inherent Limitations of Internal Financial Controls with reference to Standalone Financial Statements.

Because of the inherent limitations of internal financial control system with reference to the standalone financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to standalone financial statements to future periods are subject to the risk that the internal financial controls system with reference to standalone financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion, to the best of our information and according to the explanations given to us, the Company has, in all material respects, an adequate internal financial controls systems with reference to these standalone financial statements and such internal financial controls system with reference to these standalone financial statements were operating effectively as at 31 March 2022, based on the internal control with reference to these standalone financial statements criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India.

Other Matters

We did not audit the internal financial controls with reference to financial statements of the Special Economic Zone Unit of the Company which is erstwhile subsidiary company named M/s ONGC Mangalore Petrochemicals Limited, now amalgamated with the Company in accordance with the Scheme of Amalgamation (the 'Scheme') approved by the Ministry of Corporate Affairs (MCA) vide its order No. 24/3/2021-CL-III dated April 14, 2022. The internal financial controls with reference to financial statements have been audited by other auditor whose reports have been furnished to us by the management and our opinion on the standalone report on internal financial controls with reference to these standalone financial statements, and our report in terms of clause 1 of sub Section (3) of Section 143 of the Act, in so far as it relates to the aforesaid Special Economic Zone Unit of the Company, is based solely on the reports of the other auditor.

Our opinion is not modified in respect of the above matter.

For **SANKAR & MOORTHY**

Chartered Accountants

Firm Registration Number: 003575S

Sd/-

CA MONY ANANTHASIVAN

Partner

Membership no: 028519

Place : Calicut

Date : 11th May 2022

UDIN : 22028519AIUWEY4578

For **RAM RAJ & CO**

Chartered Accountants

Firm Registration Number: 002839S

Sd/-

CA P KARUNAKARA NAIDU

Partner

Membership no: 210603

Place : Bangalore

Date : 11th May 2022

UDIN : 22210603AIUWMC1245

STANDALONE STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED MARCH 31, 2022

(All amounts are in ₹ million unless otherwise stated)

A Equity share capital

Particulars	Amount
Balance as at April 1, 2020	17,526.64
Changes in Equity Share Capital due to prior period errors	-
Restated balance at April 1, 2020	17,526.64
Changes in equity share capital during the year	-
Balance as at March 31, 2021	17,526.64
Changes in Equity Share Capital due to prior period errors	-
Restated balance at the March 31, 2021	17,526.64
Changes in equity share capital during the year	-
Balance as at March 31, 2022	17,526.64

B Other equity

Particulars	Deemed Equity	Reserves and Surplus					Total
		General Reserve	Capital Redemption Reserve	Securities Premium	Other Reserve	Retained Earnings	
Balance as at April 1, 2020	42.17	1,192.00	91.86	3,490.53	-	55,652.09	60,468.65
Changes in accounting policy or prior period errors	-	-	-	-	-	(327.04)	(327.04)
Amalgamation of ONGC Mangalore Petrochemicals Limited (OMPL) [refer note 50]	1.89	-	-	(26.63)	(13,488.41)	(14,183.27)	(27,696.42)
Restated Balance as at April 1, 2020	44.06	1,192.00	91.86	3,463.90	(13,488.41)	41,141.78	32,445.19
Profit/(Loss) after Tax for the Year	-	-	-	-	-	(7,611.65)	(7,611.65)
Other Comprehensive income for the year, net of income tax	-	-	-	-	-	20.86	20.86
Total Comprehensive Income	-	-	-	-	-	(7,590.79)	(7,590.79)
Balance as at March 31, 2021	44.06	1,192.00	91.86	3,463.90	(13,488.41)	33,550.99	24,854.40
Profit/(Loss) after Tax for the Year	-	-	-	-	-	29,552.74	29,552.74
Other Comprehensive income for the year, net of income tax	-	-	-	-	-	31.48	31.48
Total Comprehensive Income	-	-	-	-	-	29,584.22	29,584.22
Amalgamation of ONGC Mangalore Petrochemicals Limited (OMPL) [refer note 21.1]	(1.89)	-	-	-	-	-	(1.89)
Balance as at March 31, 2022	42.17	1,192.00	91.86	3463.90	(13,488.41)	63,135.21	54,436.73

As per our report of even date attached

For and on behalf of the Board

 For **RAMRAJ & CO**
Chartered Accountants
Firm Registration No. 002839S

 For **SANKAR & MOORTHY**
Chartered Accountants
Firm Registration No. 003575S

 sd/-
M VENKATESH
Managing Director
DIN: 07025342

 sd/-
CA.P. KARUNAKARA NAIDU
Partner
Membership No. 210603

 sd/-
CA. MONY ANANTHASIVAN
Partner
Membership No. 28519

 sd/-
SANJAY VARMA
Director (Refinery)
DIN: 05155972

 Place : New Delhi
Date : 11/05/2022

 sd/-
YOGISH NAYAK S.
Chief Financial Officer
PAN : AAUPN1427G

 sd/-
K.B. SHYAM KUMAR
Company Secretary

STANDALONE BALANCE SHEET AS AT MARCH 31, 2022

(All amounts are in ₹ million unless otherwise stated)

	Particulars	Note No.	As at March 31, 2022	As at March 31, 2021*
I	ASSETS			
	Non - Current Assets			
	(a) Property, Plant and Equipment	5	202,491.97	184,347.89
	(b) Right-of-Use Assets	6	7,432.24	7,680.07
	(c) Capital Work in-Progress	7	1,697.66	23,430.60
	(d) Investment Property	8	77.96	77.96
	(e) Goodwill	9	3,772.78	3,772.78
	(f) Other Intangible Assets	10	63.17	85.73
	(g) Financial Assets			
	(i) Investments	11	154.99	154.99
	(ii) Loans	12	1,173.01	1,079.07
	(iii) Other Financial Assets	13	515.42	451.34
	(h) Non-Current Tax Assets (net)	14	153.49	1636.56
	(i) Deferred Tax Assets (net)	25	21,000.82	13,775.44
	(j) Other Non Current Assets	15	7,739.54	8,170.56
	Total Non Current Assets (I)		246,273.05	244,662.99
II	Current Assets			
	(a) Inventories	16	104,868.57	71,028.01
	(b) Financial Assets			
	(i) Trade Receivable	17	43,276.69	24,506.71
	(ii) Cash and Cash Equipments	18	55.24	258.25
	(iii) Bank Balances other than (ii) above	19	383.31	262.52
	(iv) Loans	12	155.84	145.59
	(v) Other Financial Assets	13	68.47	18.81
	(c) Current Tax Assets (net)	14	1,209.94	1,884.36
	(d) Other Current Assets	15	4,291.94	4,427.01
	Total Current Assets (II)		154,310.00	102,531.26
I	Total Assets (I+II)		400,583.05	347,194.25
I	EQUITY AND LIABILITIES			
	Equity			
	(a) Equity Share Capital	20	17,526.64	17,526.64
	(b) Other Equity	21	54,436.73	24,854.40
	Total Equity (I)		71,963.37	42,381.04
II	LIABILITIES			
	Non - Current Liabilities			
	(a) Financial Liabilities			
	(i) Borrowings	22	142,155.03	156,993.17
	(ii) Lease Liability		2,012.45	2,071.78
	(b) Provisions	24	1,606.13	1,360.45
	(c) Other Non Current Liabilities	27	3,274.36	3,448.43
	Total Non Current Liabilities (II)		149,047.97	163,873.83
III	Current Liabilities			
	(a) Financial Liabilities			
	(i) Borrowings	22	68,696.74	81,339.61
	(ii) Lease Liability		240.26	219.53
	(iii) Trade Payables	26		
	-Total outstanding dues of micro enterprises and small enterprises		366.26	316.43
	-Total outstanding dues of creditors other than micro enterprises and small enterprises		93,305.48	39,714.88
	(iv) Other Financial Liabilities	23	7,716.84	9,800.69
	(b) Other Current Liabilities	27	4,457.82	4,009.32
	(c) Provisions	24	4,788.31	5,538.92
IV	Total Current Liabilities (III)		179,571.71	140,939.38
	Total Liabilities (II+III)		328,619.68	304,813.21
	TOTAL EQUITY AND LIABILITIES (I-IV)		400,583.05	347,194.25

*Restated, refer Note No. 50

See accompanying notes to the standalone Financial Statements (1-57)

As per our report of even date attached

For RAM RAJ & CO

Chartered Accountants

Firm Registration No.: 002839S

sd/-

CA. P. KARUNAKARA NAIDU

Partner

Membership No. 210603

For SANKAR & MOORTHY

Chartered Accountants

Firm Registration No.: 003575S

sd/-

CA. MONY ANANTHASIVAN

Partner

Membership No. 28519

sd/-

YOGISH NAYAK S.

Chief Financial Officer

PAN : AAUPN1427G

For and on behalf of the Board

sd/-

M. VENKATESH

Managing Director

DIN : 07025342

sd/-

SANJAY VARMA

Director (Refinery)

DIN : 05155972

sd/-

K. B. SHYAM KUMAR

Company Secretary

Place : New Delhi

Date : 11/05/2022

STANDALONE STATEMENT OF PROFIT AND LOSS FOR THE YEAR ENDED MARCH 31, 2022

(All amounts are in ₹ million unless otherwise stated)

	Particulars	Note No.	Year Ended March 31, 2022	Year Ended March 31, 2021*
I.	Revenue from Operations	28	860,636.84	507,958.12
II.	Other Income	29	1,027.67	1,006.07
III.	Total income (I + II)		861,664.51	508,964.19
IV.	Expenses:			
	Cost of Materials Consumed	30	635,988.32	291,781.54
	Purchases of Stock-in-Trade	31	5.12	11,931.73
	Changes in Inventories of Finished Goods, Stock-in-Process & Scrap	32	(13,732.96)	(13,848.06)
	Excise Duty on Sale of Goods		163,366.09	188,367.81
	Employee Benefits Expense	33	6,976.16	5,782.69
	Finance Costs	34	12,073.09	5,544.72
	Depreciation and Amortisation Expense	35	10,877.24	11,580.35
	Other Expenses	36	18,728.11	16,974.62
	Total Expenses (IV)		834,281.17	518,115.40
V.	Profit/ (Loss) Before Exceptional Items and Tax (III-IV)		27,383.34	(9,151.21)
VI.	Exceptional Items (Income)/Expenses (net)	36.5	300.00	-
VII.	Profit/ (Loss) Before Tax (V - VI)		27,083.34	(9,151.21)
VIII.	Tax Expenses:			
	(1) Current Tax	37		
	- Current year		4,772.89	-
	- Earlier years		-	(10.86)
	(2) Deferred Tax	25	(7,242.29)	(1,528.70)
	Total Tax Expenses (VIII)		(2,469.40)	(1,539.56)
IX.	Profit/ (Loss) for the year (VII - VIII)		29,552.74	(7,611.65)
X.	Other Comprehensive Income			
	Items that will not be reclassified to Profit or Loss			
	(a) Remeasurement of the Defined Benefit Plans		48.39	32.07
	(b) Income Tax relating to above	37	(16.91)	(11.21)
	Total Other Comprehensive Income (X)		31.48	20.86
XI.	Total Comprehensive Income for the year (IX+X)		29,584.22	(7,590.79)
XII.	Earnings per Equity Share:	38		
	(1) Basic (in ₹)		16.86	(4.34)
	(2) Diluted (in ₹)		16.86	(4.34)

*Restated, refer Note No. 50

See accompanying notes to the standalone Financial Statements (1-57)

For and on behalf of the Board

As per our report of even date attached

 For RAM RAJ & CO
Chartered Accountants
Firm Registration No.: 002839S

 For SANKAR & MOORTHY
Chartered Accountants
Firm Registration No.: 003575S

 sd/-
M. VENKATESH
Managing Director
DIN : 07025342

 sd/-
CA. P. KARUNAKARA NAIDU
Partner
Membership No. 210603

 sd/-
CA. MONY ANANTHASIVAN
Partner
Membership No. 28519

 sd/-
SANJAY VARMA
Director (Refinery)
DIN : 05155972

 Place : New Delhi
Date : 11/05/2022

 sd/-
YOGISH NAYAK S.
Chief Financial Officer
PAN : AAUPN1427G

 sd/-
K. B. SHYAM KUMAR
Company Secretary

STANDALONE STATEMENT OF CASH FLOWS FOR THE YEAR ENDED MARCH 31, 2022

(All amounts are in ₹million unless otherwise stated)

Particulars		Year ended March 31, 2022	Year ended March 31, 2021*
A	CASH FLOW FROM OPERATING ACTIVITIES		
	Profit / (Loss) After Tax	29,552.74	(7,611.65)
	Adjustments for :		
	Tax Expense	(2,469.40)	(1,539.56)
	Depreciation and Amortisation expense	10,877.24	11,580.35
	Loss/ (profit) on Sale of Property, Plant and Equipment (net)	88.70	71.63
	Liability / provision no longer required written back	(244.14)	(291.87)
	Impairment of doubtful trade receivables & Non Moving Inventories	44.38	12.82
	Write off of doubtful trade receivables / advances / deposits/ Others	41.39	3.81
	Exchange Rate Fluctuation (net)	2,044.19	(1,473.99)
	Finance Costs	12,073.09	5,544.72
	Interest Income	(353.39)	(180.33)
	Dividend Income/ Capital Gains	(46.96)	(41.50)
	Amortisation of Prepayments	6.75	6.75
	Amortisation of Deferred Government Grant / Guarantee	(206.04)	(196.60)
	Others	64.24	82.93
		51,472.79	5,967.51
	Movements in Working Capital :		
	- (Increase)/ Decrease in Trade and Other Receivables	(18,786.21)	(14,249.16)
	- (Increase)/ Decrease in Loans	(104.19)	(144.14)
	- (Increase)/ Decrease in Other Assets	(259.97)	536.91
	- (Increase)/ Decrease in Inventories	(33,878.57)	(28,659.65)
	- Increase/ (Decrease) in Trade Payables and Other Liabilities	51,102.78	8,258.60
	Cash generated from Operations	49,546.63	(28,289.93)
	Income Taxes paid, net of refunds	(2,618.19)	107.89
	Net Cash generated from / (used in) Operations	(a) 46,928.44	(28,182.04)
B	CASH FLOW FROM INVESTING ACTIVITIES		
	Payments for Property, Plant and Equipment	(6,111.61)	(8,977.98)
	Proceeds from disposal of Property, Plant and Equipment	0.77	1.32
	Interest Received	121.61	99.77
	Dividend received from Joint Venture	45.00	37.50
	Dividend received from Investments in Mutual Fund	-	4.00
	Purchase / Sale of Investment in Mutual Fund (net)	1.96	-
	Investment in erstwhile Subsidiary Company	(0.01)	(12,169.20)
	Tax Paid on Interest / Dividend Income	(3.49)	(9.13)
	Net Cash generated from / (used in) Investing Activities	(b) (5,945.77)	(21,013.72)
C	CASH FLOW FROM FINANCING ACTIVITIES		
	Proceeds from Long Term Borrowings	15,580.73	39,918.62
	Repayments of Long Term Borrowings	(20,848.69)	(18,582.76)
	Proceeds / (Repayment) from Short Term Borrowings (net)	(25,847.09)	35,225.18
	Payment of Lease Rentals (Principal Component)	(65.93)	(77.60)
	Payment of Lease Rentals (Interest Component)	(180.45)	(224.17)
	Finance Costs Paid	(9,824.25)	(6,823.26)
	Net Cash generated from / (used in) Financing Activities	(c) (41,185.68)	49,436.01
	Net Increase / (Decrease) in Cash and Cash Equivalents	(a+b+c) (203.01)	240.25
	Cash and Cash Equivalents as at the beginning of the year	258.25	18.00
	Cash and Cash Equivalents as at the end of the year	55.24	258.25
	Net Change in Cash and Cash Equivalents (Closing - Opening)	(203.01)	240.25

* Restated, refer Note No. : 50

- The above statement of Cash Flows prepared under the "Indirect method" as set out in the Ind AS 7 "Statement of Cash Flows".
- Brackets indicate Cash outflow/ deduction.

See accompanying notes to the standalone Financial Statements (1-57)
As per our report of even date attached

For and on behalf of the Board

For RAM RAJ & CO
Chartered Accountants
Firm Registration No.: 002839S
sd/-
CA. P. KARUNAKARA NAIDU
Partner
Membership No. 210603

For SANKAR & MOORTHY
Chartered Accountants
Firm Registration No.: 003575S
sd/-
CA. MONY ANANTHASIVAN
Partner
Membership No. 28519
sd/-
YOGISH NAYAK S.
Chief Financial Officer
PAN : AAUPN1427G

sd/-
M. VENKATESH
Managing Director
DIN : 07025342
sd/-
SANJAY VARMA
Director (Refinery)
DIN : 05155972

sd/-
K. B. SHYAM KUMAR
Company Secretary

Place : New Delhi
Date : 11/05/2022

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE PERIOD ENDED MARCH 31, 2022

1. Corporate information

Mangalore Refinery and Petrochemicals Limited ('MRPL' or 'the Company') is a Central Public Sector Enterprise domiciled and incorporated in India having its registered office at Mudapadav, Kuthethoor P.O. via Katipalla, Mangaluru, Karnataka - 575030. The Company's equity shares are listed and traded on BSE Limited and National Stock Exchange Limited. The Company is engaged in the business of refining of crude oil. The Company is a subsidiary of Oil and Natural Gas Corporation Limited which holds 71.63% equity shares.

The wholly owned subsidiary company, ONGC Mangalore Petrochemicals Limited (OMPL) has been amalgamated with the Company, vide Order No. 24/3/2021-CL-III of Ministry of Corporate Affairs (MCA) dated April 14, 2022 from the appointed date i.e. April 1, 2021 to create greater synergies between the business operations of both the companies.

2. Application of new and revised Indian Accounting Standards

All the Indian Accounting Standards issued and notified by the Ministry of Corporate Affairs under the Companies (Indian Accounting Standards) Rules, 2015 (as amended) till the financial statements are authorized have been considered in preparing these Financial Statements.

The Ministry of Corporate Affairs (MCA) through a notification ("Companies (Indian Accounting Standards) amendment Rules, 2022") dated March 23, 2022, amended Indian Accounting Standards (Ind AS) 101, Indian Accounting Standards (Ind AS) 103, Indian Accounting Standards (Ind AS) 109, Indian Accounting Standards (Ind AS) 16, Indian Accounting Standards (Ind AS) 37 which shall be effective from April 1, 2022. The company is in the process of evaluating its impact on the financial statement of the company. However, the company expects no major impact on the financial statements due to the above mentioned amendments.

3. Significant Accounting Policies

3.1. Statement of compliance

These Financial Statements have been prepared in accordance with the Indian Accounting Standards (referred to as "Ind AS") as prescribed under Section 133 of the Companies Act, 2013 read with Companies (Indian Accounting Standards) Rules as amended from time to time and the presentation requirements of Division II of Schedule III to the Companies Act, 2013, (Ind AS compliant Schedule III), as applicable to the financial statements.

3.2. Basis of preparation

The figures for the previous year ended March 31, 2021 included in the Standalone Financial Statements for the year ended March 31, 2022, have been restated to give effects of the scheme of amalgamation of ONGC Mangalore Petrochemicals Limited (OMPL) (a wholly owned subsidiary) with the Company, vide Order No. 24/3/2021-CL-III of Ministry of Corporate Affairs (MCA) dated April 14, 2022 from the appointed date i.e. April 1, 2021, in line with Ind AS 103 (Appendix C) Business Combinations of entities under common control Hence the restated financial statements for previous year ended March 31, 2021 are not comparable with the previously published standalone financial statements.

The Financial Statements have been prepared on the historical cost convention basis except for certain financial instruments that are measured at fair values / amortized cost / net present value at the end of each reporting period, as explained in the accounting policies below.

The Company has adopted all the Ind AS and the adoption was carried out during Financial Year 2016-17 in accordance with Ind AS 101 (First time adoption of Indian Accounting Standards). The transition was carried out from Generally Accepted Accounting Principles in India (Indian GAAP) as prescribed under Section 133 of the

Companies Act, 2013, read with Rule 7 of the Companies (Accounts) Rules, 2014, which was the “Previous GAAP”.

Historical cost is generally based on the fair value of the consideration given in exchange for goods and services.

All Assets and Liabilities have been classified as current or non-current as per the Company's normal operating cycle and other criteria set out in Ind AS – 1 “Presentation of Financial Statements” and the Schedule III to the Companies Act, 2013.

The Financial Statements are presented in Indian Rupees and all values are rounded to the nearest two decimal million except otherwise stated.

Fair Value measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date under current market conditions.

The Company categorizes assets and liabilities measured at fair value into one of three levels depending on the ability to observe inputs employed in their measurement which are described as follows:

- (a) Level 1 inputs are quoted prices (unadjusted) in active markets for identical assets or liabilities.
- (b) Level 2 inputs are inputs that are observable, either directly or indirectly, other than quoted prices included within level 1 for the assets or liabilities.
- (c) Level 3 inputs are unobservable inputs for the assets or liabilities reflecting significant modifications to observable related market data or Company's assumptions about pricing by market participants.

3.3. Goodwill

Goodwill arising on an acquisition of a business is carried at cost as established at the date of acquisition of the business less accumulated impairment losses, if any.

Goodwill arising on amalgamation of a business is carried at cost as established at the date of acquisition of the business less accumulated impairment losses, if any.

For the purposes of impairment testing, goodwill is allocated to Company's cash-generating units that is expected to benefit from the synergies of the combination.

A Cash Generating Unit to which goodwill has been allocated is tested for impairment annually, or more frequently when there is an indication that the unit may be impaired. If the recoverable amount of the Cash Generating Unit is less than its carrying amount, the impairment loss is allocated first to reduce the carrying amount of any goodwill allocated to the unit and then to the other assets of the unit pro rata based on the carrying amount of each asset in the unit. Any impairment loss for goodwill is recognised directly in Statement of Profit and Loss. An impairment loss recognised for goodwill is not reversed in subsequent periods.

On disposal of the relevant Cash Generating Unit, the attributable amount of goodwill is included in the determination of the profit or loss.

The Company has elected to use the exemption available under Ind AS 101 to continue the carrying value for goodwill as recognized in the financial statements as at the date of transition to Ind AS, measured as per the previous GAAP and use that as its deemed cost as at the date of transition (1st April 2015).

3.4. Investments in Subsidiaries, Joint Ventures and Associates

- 3.4.1** The Company records the Investments in Subsidiaries, Joint Venture and Associates at cost and reviews for impairment at each reporting date, if any. Cost includes deemed cost of investment arising from certain contractual provisions entered into by the Company.
- 3.4.2** The Company records the initial fair value of financial guarantee given to subsidiary company as deemed investment with a corresponding liability recorded as deferred revenue under financial guarantee obligation. Such deemed investment is added to the carrying amount of investment in subsidiaries. Deferred revenue is recognized in the Statement of Profit and Loss over the remaining period of financial guarantee issued as other income.
- 3.4.3** After initial recognition, the Company determines whether there is any objective evidence of impairment as a result of one or more events that occurred after the initial recognition of the net investment in Subsidiaries, Joint Ventures and Associates and that event (or events) has an impact on the estimated future cash flows from the net investment that can be reliably estimated. If there exists such an objective evidence of impairment, then it is necessary to recognise impairment loss with respect to the Company's investment in Subsidiaries, Joint Ventures and Associates.
- 3.4.4** When necessary, the cost of the Investment is tested for impairment in accordance with Ind AS 36 Impairment of Assets as a single asset by comparing its recoverable amount (higher of value in use and fair value less costs of disposal) with its carrying amount. Any reversal of impairment loss is recognised in accordance with Ind AS 36 to the extent that the recoverable amount of the investment subsequently increases.
- 3.4.5** Upon disposal of Investment in Subsidiaries, Joint Ventures and Associates, a gain or loss is recognised in the Statement of Profit and Loss and is calculated as the difference between
- The aggregate of the fair value of consideration received and
 - The previous carrying amount of the Investment in Subsidiary or Joint Venture.

3.5. Business Combinations

Business Combination under Common control

A business combination involving entities or businesses under common control is a business combination in which all of the combining entities or businesses are ultimately controlled by the same party or parties both before and after the business combination and the control is not transitory. The transactions between entities under common control are specifically covered by Appendix C to Ind AS 103 and are accounted for using the pooling-of-interest method as follows:

- The assets and liabilities of the combining entities are reflected at the carrying amounts.
- No adjustments are made to reflect fair values, or recognize new assets or liabilities. Adjustments are made to harmonize significant accounting policies.
- The financial information in the financial statements in respect of prior periods is restated as if the business combination has occurred from the beginning of the preceding period in the financial statements, irrespective of the actual date of the combination.

The balance of the retained earnings appearing in the financial statements of the transferor is aggregated with the corresponding balance appearing in the financial statements of the transferee. The identity of the reserves are preserved and the reserves of the transferor become the reserves of the transferee.

The difference, if any, between the amounts recorded as share capital issued plus any additional consideration in the form of cash or other assets and the amount of share capital of the transferor is transferred to capital reserve and is presented separately from other capital reserves.

3.6. Non-Current Assets held for sale

Non-Current Assets classified as held for sale are measured at the lower of carrying amount and fair value less costs to sell.

Non-Current Assets are classified as held for sale if their carrying amounts will be recovered through a sale transaction rather than through continuing use. This condition is regarded as met only when the sale is highly probable and the asset is available for immediate sale in its present condition subject to terms that are usual and customary for sales of such assets. Management must be committed to the sale, which should be expected to qualify for recognition as a completed sale within one year from the date of classification as held for sale, and actions required to complete the plan of sale should indicate that it is unlikely that significant changes to the plan will be made or that the plan will be withdrawn.

Property, Plant and Equipment and Intangible Assets are not depreciated or amortized once classified as held for sale.

3.7. Revenue Recognition

- 3.7.1** Revenue from sales of goods and services are recognized upon the satisfaction of a performance obligation, which occurs when control transfers to the customer. Control of the goods is determined to be transferred to the customer when the title of goods passes to the customer, which typically takes place when product is physically transferred into a vessel, pipeline (other than Company owned pipeline) or other delivery mechanism. In respect of revenue contracts for goods which provide for provisional pricing (wherever applicable) at the time of shipment, the final price adjustment if any will be given effect in the period in which it is finalised/ settled.
- 3.7.2** Revenue is measured at the transaction price of the consideration received or receivable and represents amounts receivable for goods and services including excise duty provided in the normal course of business, net of discounts or rebates, GST and sales tax. Any retrospective revision in prices is accounted for in the year of such revision.
- 3.7.3** Price Reduction Schedule (PRS) for delay in execution of contracts/supplies are accounted for as per the terms of the contracts/ agreement. The PRS amount would be recognised as income except on account of capital projects wherein the adjustments are carried out to the cost of the asset. The adjustments are carried out prospectively upon finalization.
- 3.7.4** The Company has entered into take or pay contracts with a customer. In this transaction, revenue is recognised as per the formula laid out in the contract with the customers.
- 3.7.5** Revenue from sale of scrap is recognised at the point in time when control (transfer of custody of goods) is passed to customers.
- 3.7.6** Interest income from Financial Assets is accrued on a time basis, by reference to the principal outstanding and at the effective interest rate applicable (which is the rate that exactly discounts estimated future cash receipts through the expected life of the financial asset to that asset's net carrying amount on initial recognition).
- 3.7.7** For Non -Financial Assets, interest income is recognised on a time proportion basis. Interest income on refundable taxes/ duties is recognised on receipt basis.
- 3.7.8** Dividend Income is recognised when the right to receive the dividend is established.
- 3.7.9** Excise duty is presented as expense in the Statement of Profit and Loss. Excise duty in respect of difference between closing and opening stock of excisable goods is included under "Other Expenses".

3.7.10 Revenue from Export Incentives as applicable are recognised as revenue as per para 3.11 on Government Grants. The incentive values are recognized initially for expected realizable value and subsequently adjusted for actual realized value in the period when it is actually sold.

3.8. Leases

To assess whether a contract conveys the right to control the use of an identified asset, the Company assesses whether:

- (i) The contract involves use of an identified assets
- (ii) The company has substantially all the economic benefits from the use of the asset through the period of the lease and
- (iii) The company has the right to direct the use of the asset.

Company as a Lessee:

At the date of commencement of the lease, the Company recognizes a Right-of-Use Assets (ROU Assets) and a corresponding Lease Liability for all lease contracts / arrangements in which it is a lessee, except for lease with a term of twelve months or less (i.e. short term leases) and lease of low value assets. For these short-term and low value leases, the Company recognizes the lease payments on straight-line basis over the term of the lease.

Certain lease arrangements includes the options to extend or terminate the lease before the end of the lease term. Right-of-Use Assets and Lease Liabilities includes these options when it is reasonably certain that they will be exercised.

The Lease Liability is initially measured at present value of the future lease payments over the reasonably certain lease term. The lease payments are discounted using the interest rate implicit in the lease, if it is not readily determinable, using the incremental borrowing rate. For leases with similar characteristics, the Company, on a lease by lease basis applies either the incremental borrowing rate specific to the lease or the incremental borrowing rate for the portfolio as a whole.

The Right-of-Use Assets are initially recognized at cost, which comprises the amount of the initial measurement of the lease liability adjusted for any lease payments made at or before the inception date of the lease along with any initial direct costs, restoration obligations and lease incentives received.

Subsequently, the Right-of-Use Assets are measured at cost less any accumulated depreciation and accumulated impairment losses, if any. The Right-of-Use Assets are depreciated using the straight-line method, except in case of leasehold lands where the ownership will be transferred to the Company, from the commencement date over the shorter of lease term or useful life of Right-of-Use Assets, however, in case of ownership of such right-of-use asset transfers to the lessee at the end of the lease term, such assets are depreciated over the useful life of the underlying asset. The Company applies Ind AS 36 to determine whether a Right-of-Use Assets are impaired and accounts for any identified impairment loss as described in the accounting policy below on "Impairment of Non-Financial Assets".

The interest cost on Lease Liability (computed using effective interest method) is expensed in the Statement of Profit and Loss unless eligible for capitalization as per accounting policy below on "Borrowing costs".

The Company accounts for each lease component within the contract as a lease separately from non-lease components of the contract in accordance with Ind AS 116 and allocates the consideration in the contract to each lease component on the basis of the relative stand-alone price of the lease component and the aggregate stand-alone price of the non-lease components.

Right-of-Use Assets are derecognized upon completion or cancellation of the lease contract.

Lease Liability and Right-of-Use Assets have been separately presented in the Balance Sheet and lease payments have been classified as financing activity in the Statement of Cash Flows.

Lease modification impact is on prospective basis.

3.9. Foreign Currency Transactions

The Company's Financial Statements are presented in Indian Rupee (₹), which is also its Functional Currency.

Transactions in currencies other than the Company's Functional Currency (foreign currencies) are recognised at the rates of exchange prevailing at the dates of the transactions. At the end of each reporting period, monetary items denominated in foreign currencies are translated using closing exchange rate prevailing on the last day of the reporting period.

Exchange difference arising in respect of foreign currency monetary items is recognised in the Statement of Profit and Loss either as 'Exchange Rate Fluctuation loss/ (gains) (Net)' or as 'Finance Costs' except for the exchange difference related to long term foreign currency monetary items outstanding as at March 31, 2016, in so far as, they relate to the acquisition of depreciable assets, are adjusted against the cost of such assets and depreciate the said adjustment, over the balance life of asset.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates at the dates of the initial transactions.

3.10. Borrowing Costs

Borrowing costs consists of interest and other costs incurred in connection with the borrowing of funds and interest on lease liability.

Borrowing costs also include exchange differences arising from foreign currency borrowings to the extent regarded as an adjustment to interest cost i.e. equivalent to the extent to which the exchange loss does not exceed the difference between the cost of borrowing in functional currency (₹) when compared to the cost of borrowing in a foreign currency. When there is an unrealized exchange loss which is treated as an adjustment to interest and subsequently there is a realized or unrealized gain in respect of the settlement or translations of the same borrowing, the gain to the extent of the loss previously recognized as an adjustment is also recognized as an adjustment to interest.

Borrowing costs specifically identified to the acquisition or construction of qualifying assets is capitalized as part of such assets. A qualifying asset is one that necessarily takes substantial period of time to get ready for intended use. Capitalization of borrowing costs is suspended when active development on the qualifying assets is interrupted other than on temporary basis and charged to the statement of Profit and Loss during such extended periods. All other borrowing costs are charged to the Statement of Profit and Loss in the period in which they are incurred.

Discounts or premiums and expenses on the issue of debt securities are amortised over the term of the related securities and included within borrowing costs.

Investment Income earned on the temporary investment of funds of specific borrowings pending their expenditure on qualifying assets is deducted from the borrowing cost eligible for capitalization.

3.11. Government Grants

Government Grants including the export incentives are not recognised until there is reasonable assurance that the Company will comply with the conditions attached to them and that the grants will be received.

Government Grants are recognised in Statement of Profit and Loss on a systematic basis over the periods in which the Company recognises as expenses the related costs for which the grants are intended to compensate.

Specifically, Government Grants whose primary condition is that the Company should purchase, construct or otherwise acquire non-current assets are recognised as deferred revenue in the Balance Sheet and transferred to Statement of Profit and Loss on a systematic and rational basis over the useful lives of the related assets.

The benefit of a Government loan at a below market rate of interest is treated as a Government Grant, measured as the difference between proceeds received and the fair value of the loan based on prevailing market interest rates.

3.12. Employee Benefits

Employee benefits include salaries, wages, provident fund, superannuation fund, gratuity, leave encashment, post-employment medical benefits, resettlement allowances and termination benefits.

3.12.1 Short Term Employee Benefits

All short-term employee benefits are recognized at their undiscounted amount in the accounting period in which they are incurred.

3.12.2 Post-Employment benefits

Defined Contribution Plans

Defined Contribution Plans comprising of contribution towards superannuation fund and is recognized based on the undiscounted amount of obligation of the Company to contribute to the plan. The same is paid to a fund administered through a separate trust.

Defined Benefit Plans

Defined Benefit Plans comprising of gratuity, post-retirement medical benefits and other long-term retirement benefits, which are recognized based on the present value of Defined Benefit Obligations and is computed using the Projected Unit Credit Method, which is being carried out at the end of each annual reporting period by independent actuaries. These are accounted as current Employee Costs or included in cost of Assets as permitted.

Net interest on the net defined liability is calculated by applying the discount rate at the beginning of the period to the net Defined Benefit Liability or Asset and is recognized in the Statement of Profit and Loss except those included in cost of Assets as permitted.

Re-measurement, comprising actuarial gains and losses, the effect of the changes to the asset ceiling (if applicable) and the return on plan assets (excluding net interest as defined above), are recognized in Other Comprehensive Income except those included in cost of assets as permitted in the period in which they occur and are not subsequently reclassified to profit or loss.

The Company contributes all ascertained liabilities with respect to Gratuity to the MRPL Gratuity Fund Trust (MGFT) other than erstwhile subsidiary company ONGC Mangalore Petrochemicals Limited (OMPL) whose Gratuity plan is unfunded. Other Defined Benefit schemes are un-funded.

The Retirement Benefit Obligation recognised in the Balance Sheet represents the actual deficit or surplus in the Company's Defined Benefit Plans. Any surplus resulting from the actuarial calculation is limited to the present value of any economic benefits available in the form of reductions in future contributions to the plans.

3.12.3 Other Long-term Employee Benefits

Other long term employee benefits (leave encashment and Provident Fund contribution to trust) are determined on actuarial valuation by independent actuaries using Projected Unit Credit method, which is being carried at the end of each annual reporting period.

The Company's contribution to the Provident Fund is remitted to separate trusts (MRPL's Provident Fund Trust)

established for this purpose based on a fixed percentage of the eligible employee's salary and charged to the Statement of Profit and Loss or include in the cost of Assets as permitted. Shortfall, if any, in the fund assets, based on the Government specified minimum rate of return, is made good by the Company and charged to the Statement of Profit and Loss, other than the erstwhile subsidiary company ONGC Mangalore Petrochemicals Limited (OMPL), whose provident fund is paid to the Provident Fund Authorities and is expensed during the year.

Leave encashment which are not expected to occur within twelve months after the end of the period in which the employee renders the related service are recognised.

Liability towards the above plans are recognized at the present value of the defined benefit obligation as at the Balance Sheet date less the fair value of the plan assets out of which the obligations are expected to be settled.

Re-measurements gains and losses are recognized in the statement of profit and loss in the period in which they arise.

3.12.4 Termination Benefits for the company

Other than the erstwhile subsidiary company ONGC Mangalore Petrochemicals Limited (OMPL)

Premature Retirement on Medical Grounds

The Company has an approved scheme of Premature Retirement on Medical Grounds. Ex-gratia payment equivalent to 60 days emolument for each completed year of service or the monthly emoluments at the time of retirement multiplied by the balance months of service left before normal date of retirement, whichever is less is payable apart from Superannuation Benefits.

Scheme for Self Insurance for providing lump-sum monetary compensation

Under the scheme of 'Post Retirement Benefit and Benefit on Separation', in case of employee suffering death or permanent total disablement due to an accident arising out of and in the course of employment, a compensation equivalent to 100 months Basic Pay plus Dearness Allowance (DA) without laying down any minimum amount is payable.

Benefits of Separation under SABF (re-nomenclatured now as MDCPS)

In case of death / permanent disablement of an employee while in service in the Company, the beneficiary has to exercise desired options available within 6 months from the date of death / permanent total disablement.

Termination Benefits are charged to Statement of Profit and Loss as and when incurred.

3.13. Income Taxes

Income Tax Expense represents the sum of the Current Tax and Deferred Tax.

(i) Current Tax

The tax currently payable is based on Taxable Profit for the year together with any adjustment to tax payable in respect of previous years. Taxable profit differs from 'Profit Before Tax' as reported in the Statement of Profit and Loss because of items of income or expense that are taxable or deductible in other years and items that are never taxable or deductible. The Company's Current Tax is calculated using tax rates that have been enacted or substantively enacted by the end of the reporting period.

Current Income Tax Assets and Liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities.

(ii) Deferred Tax

Deferred Tax is provided using the Balance Sheet method and is recognized on temporary differences between the carrying amounts of Assets and Liabilities in the Financial Statements and the corresponding tax bases used in the computation of taxable profit. Deferred Tax Liabilities are generally recognised for all taxable temporary differences. Deferred Tax Assets are generally recognised for all deductible temporary differences, the carry forward of unused tax credits and any unused tax losses to the extent that it is probable that taxable profits will be available against which those deductible temporary differences, the carry forward of unused tax credits and any unused tax losses can be utilized.

Deferred Taxes are recognised in respect of temporary differences which originate during the tax holiday period but reverse after the tax holiday period. For this purpose, reversal of temporary difference is determined using first in first out method.

The carrying amount of Deferred Tax Assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered.

Deferred Tax Liabilities and Assets are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realised, based on tax rates and tax laws that have been enacted or substantively enacted by the end of the reporting period.

The measurement of Deferred Tax Liabilities and Assets reflects the tax consequences that would follow from the manner in which the Company expects, at the end of the reporting period, to recover or settle the carrying amount of its Assets and Liabilities.

Deferred Tax Assets include Minimum Alternative Tax (MAT) paid in accordance with the tax laws in India, which is likely to give future economic benefits in the form of availability of set off against future income tax liability. Accordingly, MAT is recognised as Deferred Tax Asset in the Balance Sheet when the asset can be measured reliably and it is probable that the future economic benefit associated with asset will be realised.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

Current and Deferred Tax for the year

Current and Deferred Tax are recognised in Statement of Profit and Loss, except when they relate to items that are recognised in Other Comprehensive Income or directly in equity, in which case, the Current and Deferred Tax are also recognised in Other Comprehensive Income or directly in Equity respectively.

3.14. Property, Plant and Equipment (PPE) and Right of Use Assets (ROU)

Property, Plant and Equipment held for use in the production or supply of goods or services, or for administrative purposes, are stated in the Balance Sheet at cost less accumulated depreciation and accumulated impairment losses if any. Freehold Land is not depreciated.

Property, Plant and Equipment in the course of construction for production, supply or administrative purposes are carried at cost, less any recognised impairment loss. The cost of an asset comprises its purchase price or its construction cost (net of applicable tax credits) and any cost directly attributable to bring the asset into the location and condition necessary for it to be capable of operating in the manner intended by the management and the initial estimated present value of any contractual decommissioning obligation, if any. It includes professional fees and borrowing costs for qualifying assets capitalised in accordance with the Company's accounting policy. Such properties are classified to the appropriate categories of PPE when completed and ready for intended use. Parts of an item of PPE having different useful lives and material value as assessed by management and subsequent capital expenditure on Property, Plant and Equipment are accounted for as separate components. Subsequent expenditure is capitalized only if it is probable that the future economic benefits associated with the expenditure will flow to the Company.

Technical know-how / license fees relating to plants / facilities and specific software that are integral part of the related hardware are capitalized as part of cost of the underlying asset.

Depreciation of PPE commences when the assets are ready for their intended use.

Depreciation is provided on the cost of PPE (other than Freehold Land and Properties under construction) less their residual values (after retaining the estimated residual value of upto 5%) over their useful lives, using Straight Line Method, over the useful life of component of various assets as specified in Schedule II to the Companies Act, 2013, except in case of certain components of the Plant and Equipment/ other assets whose useful lives are determined based on technical evaluation and the useful life considered under Company's policy for the employee's vehicle, computer and furniture scheme.

The estimated useful lives, residual values and depreciation method are reviewed at the end of each reporting period, with the effect of any changes in estimate accounted for on a prospective basis.

In respect of the capital goods common for both GST and non-GST products, the GST input tax credit is taken on the eligible portion based on GST and non-GST product ratio in the month of accounting and the ineligible portion is capitalized. Subsequently, this ratio is reviewed every month as per the GST provisions and the differential GST amount arising due to changes in the ratio is capitalized when beyond the materiality threshold.

Expenditure on overhaul and repairs on account of planned shutdown which are of significant value (5% of the gross value of particular asset) is capitalized as component of relevant items of PPE and is depreciated over the period till next shutdown on straight line basis. Catalyst whose life is more than one year is capitalised as Property, Plant and Equipment and depreciated over the guaranteed useful life as specified by the supplier when the catalyst is put to use.

Stores and Spares which qualifies as Property, Plant and Equipment for specific machinery are capitalised.

Major capital spares are capitalised as Property, Plant and Equipment.

Depreciation on addition on account of expenditure on overhaul and repairs, Catalyst, stores and spares and major capital spares which are capitalised as Property, Plant and Equipment are depreciated over the period starting when it is brought into service and continuing over the shorter of its useful life and the remaining expected useful life of the asset to which it relates and written down value of the old spare is charged to the Statement of Profit and Loss as and when replaced.

Depreciation on additions/deletions to PPE during the year is provided for on a pro-rata basis with reference to the date of additions/deletions except low value items not exceeding ₹5,000/- (other than company purchase scheme for employees) which are fully depreciated at the time of addition.

Estimated useful lives of the Assets are as follows:

Sl. No.	Particulars	Useful lives (in years)
1.	Buildings	1-60
2.	Plant and Equipment – Catalysts	2-10
3.	Plant and Equipment – Computers	3-7
4.	Plant and Equipment – Continuous Process Plant not covered under Specific Industries (Triple shift)	7.5
5	Plant and Equipment – Electrical/ Lab/ Canteen/ School	10
6.	Plant and Equipment – Instrumentation items/ DCS/ Hospital/ Others	15-42

7.	Plant and Equipment – Refinery Assets	15-42
8.	Plant and Equipment – Process Plant	25-30
9.	Plant and Equipment – Pipelines/ SPM/ Offshore Component/ Civil Structure	15-42
10.	Plant and Equipment – Power Plant	25-40
11.	Railway Siding	15
12.	Plant and Equipment – Others	3-15
13.	Office Equipment	3-15
14.	Furniture and Fixtures	3-10
15.	Vehicles	4-15

An item of Property, Plant and Equipment is derecognised upon disposal, replacement, deduction, reclassification or when no future economic benefits are expected to arise from the continued use of the asset. The loss arising on retirement of an item of Property, Plant and Equipment is determined with regard to the WDV value and the net value of after set off of the accumulated depreciation as on date is recognized in Statement of Profit and Loss.

In respect of immovable assets constructed on leasehold land, useful life as per Schedule II or lease period of land (including renewable/likely renewable period) whichever is earlier is considered.

The Company has elected to use the exemption available under Ind AS 101 to continue the carrying value for all of its Property, Plant and Equipment as recognized in the financial statements as at the date of transition to Ind AS, measured as per the previous GAAP and use that as its deemed cost as at the date of transition (1st April 2015).

Right-of-Use Assets are depreciated on a straight line basis over the lease term or useful life of the underlying asset, whichever is lower, except leasehold lands where the ownership will be transferred to the Company.

3.15. Intangible Assets

3.15.1. Intangible Assets other than Goodwill

Intangible Assets with finite useful lives that are acquired separately are carried at cost less Accumulated amortisation and Accumulated impairment losses, if any. Amortisation is recognised on a straight-line basis over their estimated useful lives. The estimated useful life and amortisation method are reviewed at the end of each reporting period, with the effect of any changes in estimate being accounted for on a prospective basis. Intangible assets with indefinite useful lives that are acquired separately are not subject to amortization and are carried at cost less Accumulated impairment losses if any.

Technical know-how / license fee relating to production process and process design are recognized as intangible asset and amortized on a straight line basis over the life of the underlying plant / facility.

Expenditure on internally generated intangibles, excluding development costs, is not capitalized and is reflected in Statement of Profit and Loss in the period in which such expenditure is incurred.

An internally-generated intangible asset arising from development (or from the development phase of an internal project) is recognized if, and only if, all of the following have been demonstrated:

- The technical feasibility of completing the intangible asset so that it will be available for use or sale

- The intention to complete the intangible asset and use or sell it;
- The ability to use or sell the intangible asset;
- How the intangible asset will generate probable future economic benefits;
- The availability of adequate technical, financial and other resources to complete the development and to use or sell the intangible asset; and
- The ability to measure reliably the expenditure attributable to the intangible asset during its development.

The amount initially recognised for internally generated intangible assets is the sum of the expenditure incurred from the date when the intangible asset first meets the recognition criteria listed above. Recognition of costs as an asset is ceased when the project is complete and available for its intended use, or if these criteria are no longer applicable. Where development activities do not meet the conditions for recognition as an asset, any associated expenditure is treated as an expense in the period in which it is incurred.

Subsequent to initial recognition, internally generated intangible assets are reported at cost less accumulated amortisation and accumulated impairment losses, on the same basis as intangible assets that are acquired separately.

Cost incurred on computer software/licenses purchased/developed resulting in future economic benefits, other than specific software that are integral part of the related hardware, are capitalized as Intangible Asset and amortised based on technical evaluation or 10 year whichever is lower from the date when such software/licenses are capitalised. However, where such computer software/ license is under development or is not yet ready for use, accumulated cost incurred on such items are accounted as "Intangible Assets Under Development".

The Company has elected to use the exemption available under Ind AS 101 to continue the carrying value for all of its intangible assets as recognized in the financial statements as at the date of transition to Ind AS, measured as per the previous GAAP and use that as its deemed cost as at the date of transition (1st April 2015).

3.15.2. Derecognition of Intangible Assets

An Intangible Asset is derecognised on disposal, or when no future economic benefits are expected from use. Gains or losses arising from derecognition of an Intangible Asset, measured as the difference between the net disposal proceeds and the carrying amount of the asset, and are recognised in Statement of Profit and Loss when the asset is derecognised.

3.15.3. Useful lives of Intangible Assets

Estimated useful lives of the Intangible Assets are as follows:

Sl. No.	Particulars	Useful lives (in years)
1.	Computer Software	3-10
2.	Licence and Franchise	3

3.16. Impairment of Non-financial Assets

The Company reviews the carrying amounts of its Non-financial assets other than inventories, deferred tax assets, non-current assets classified as held for sale and goodwill at the end of each reporting period to determine whether there is any significant indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any). When it is not possible to estimate the recoverable amount of an individual asset, the Company estimates the recoverable amount of the Cash Generating Unit (CGU) to which the asset belongs.

Recoverable amount is the higher of fair value less costs of disposal and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or Cash Generating Unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or Cash Generating Unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in the Statement of Profit and Loss.

An assessment is made at the end of each reporting period as to see if there are any indications that impairment losses recognized earlier may no longer exist or may have come down. The impairment loss is reversed, if there has been a change in the estimates used to determine the Asset's recoverable amount since the previous impairment loss was recognized. If it is so, the carrying amount of the asset is increased to the lower of its recoverable amount and the carrying amount that have been determined, net of depreciation / amortization, had no impairment loss been recognized for the asset in prior years. After a reversal, the depreciation / amortization charge is adjusted in future periods to allocate the asset's revised carrying amount, less any residual value, on a systematic basis over its remaining useful life. Reversals of Impairment loss are recognized in the Statement of Profit and Loss.

3.17. Statement of Cash Flows

Statement of Cash Flows are reported using the indirect method, whereby Profit After Tax is adjusted for the effects of transactions of a non-cash nature, any deferrals or accruals of past or future operating cash receipts or payments and item of income or expenses associated with Investing or Financing activities. The Cash Flows are segregated into Operating, Investing and Financing activities.

3.18. Earnings Per Share (EPS)

Basic Earnings per Share are calculated by dividing the Net Profit or Loss for the period attributable to Equity Shareholders (after deducting preference dividends, if any, and attributable taxes) by the weighted average number of Equity Shares outstanding during the period.

For the purposes of calculating Diluted Earnings per Share, the Net Profit or Loss for the period attributable to Equity Shareholders and the weighted average number of Shares outstanding during the period are adjusted for the effect of all dilutive potential Equity Shares.

3.19. Inventories

Inventories are valued at lower of cost and net realizable value. Cost of inventories comprises of purchase cost and other costs incurred in bringing inventories to their present location and condition. The cost has been determined as under:

Raw Materials (Crude)	On First In First Out (FIFO) basis.
Other Raw Materials	On Weighted Average Cost basis
Finished Goods	At Raw material and Conversion cost
Stock-in-Trade	On Weighted Average Cost basis
Stock-in-Process	At Raw Material and Proportionate Conversion Cost
Stores and Spares including packing materials materials	On Weighted Average Cost basis

Raw Materials are not written down below cost except in case where their prices have declined subsequently and it is estimated that the cost of the finished goods will exceed their net realizable value.

Excise duty on Finished Goods lying at manufacturing location is provided for at the assessable value based on applicable duty.

Customs duty on Raw Materials lying in bonded warehouse is provided for at the applicable rates.

Obsolete, Slow Moving, Surplus and Defective Stocks are identified at the time of physical verification of stocks and where necessary, provision is made for such stocks.

Scrap items, when determined, are valued at estimated net realizable value.

3.20. Provisions, Contingent Liabilities, Contingent Assets and Commitments

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that the Company will be required to settle the obligation, and a reliable estimate can be made of the amount of the obligation.

The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the end of the reporting period, taking into account the risks and uncertainties surrounding the obligation. If the effect of time value of money is material, provisions are discounted using an appropriate pre-tax discount rate. When discounting is used, the increase in provision due to the passage of time is recognized as a Finance Costs.

The expenses relating to a provision is presented in the Statement of Profit and Loss net of reimbursements, if any.

Contingent assets are disclosed in the Financial Statements by way of Notes to Accounts when an inflow of economic benefits is probable.

Contingent liabilities are possible obligations whose existence will only be confirmed by future events not wholly within the control of the Company, or present obligations where it is not probable that an outflow of resources will be required or the amount of the obligation cannot be measured with sufficient reliability. Contingent liabilities are disclosed on the basis of judgment of the management / independent experts in the Financial Statements by way of Notes to Accounts, unless possibility of an outflow of resources embodying economic benefit is remote.

Contingent assets and contingent liabilities are reviewed at each balance sheet date to reflect the current management estimate.

Capital and Other Commitments disclosed are in respect of items which in each case are above the threshold limit.

3.21. Financial Instruments

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity. Financial assets and financial liabilities are recognized when the Company becomes a party to the contractual provisions of the instruments. A financial liability is any liability that is a contractual obligation to deliver cash or another financial asset to another entity or a contract that will or may be settled in the entity's own equity instruments and is a non-derivative for which the entity is or may be obliged to deliver a variable number of the entity's own equity instruments.

Initial recognition and measurement

Financial Assets and Financial Liabilities are initially measured at fair value. Transaction costs that are directly attributable to the acquisition or issue of Financial Assets and Financial Liabilities (other than Financial Assets and Financial Liabilities at fair value through profit or loss) are added to or deducted from the fair value of the Financial Assets or Financial Liabilities, as appropriate, on initial recognition. Transaction costs directly attributable to the acquisition of Financial Assets or Financial Liabilities at fair value through profit or loss are recognised immediately in Statement of Profit and Loss.

3.22. Financial Assets

Subsequent Measurement

All recognised Financial Assets are subsequently measured in their entirety at either amortised cost or fair value,

based on the business model for managing the financial assets and the contractual cash flow characteristics.

(i) Financial Assets at Amortised Cost

Financial Assets are subsequently measured at amortised cost using the effective interest method if these financial assets are held within a business whose objective is to hold these assets in order to collect contractual cash flows and the contractual terms of the Financial Asset give rise on specified dates to Cash Flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding.

(ii) Financial Assets at Fair value through Other Comprehensive Income (FVOCI)

Financial Assets are measured at fair value through Other Comprehensive Income if these Financial Assets are held within a business whose objective is achieved by both selling Financial Assets and collecting contractual Cash Flows, the contractual terms of the Financial Asset give rise on specified dates to Cash Flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding.

(iii) Financial Assets at Fair value through Profit or Loss (FVTPL)

Financial Assets are measured at fair value through profit or loss unless it is measured at amortised cost or at fair value through Other Comprehensive Income.

After initial measurement, any fair value changes including any interest income, impairment loss and other net gains and losses are recognized in the Statement of Profit and Loss.

(iv) Cash and Cash Equivalents

The Company considers all highly liquid financial instruments, which are readily convertible into known amounts of cash that are subject to an insignificant risk of change in value and having original maturities of three months or less from the date of purchase, to be Cash Equivalents. Cash and Cash equivalents consist of balances with banks which are unrestricted for withdrawal and usage.

(v) Equity Investments:

Equity Investments (Other than Subsidiaries, Joint Ventures (JV) and Associates):

All Equity Investments in the scope of Ind AS 109 are measured at Fair value. Equity Instruments which are held for trading are classified as at FVTPL. For all other such equity investments, the Company decides to classify the same either as FVOCI or FVTPL. The Company makes such election on an instrument-by-instrument basis. The classification is made on initial recognition and is irrevocable.

Equity Investments (In subsidiaries, Joint Ventures (JV) and Associates):

Investment in Subsidiaries, Joint Ventures (JV) and Associates are accounted for at cost in Standalone Financial Statements.

(vi) Impairment of Financial Assets

The Company assesses at each Balance Sheet date whether a Financial Asset or a group of Financial Assets is impaired. Ind AS 109 requires expected credit losses to be measured through a loss allowance. The Company recognises lifetime expected losses for trade receivables that do not constitute a financing transaction. For all other financial assets, expected credit losses are measured at an amount equal to 12 month expected credit losses or at an amount equal to lifetime expected losses, if the credit risk on the financial asset has increased significantly since initial recognition.

(vii) Derecognition of Financial Assets

The Company derecognises a Financial Asset when the contractual rights to the cash flows from the asset expire,

or when it transfers the Financial Asset and substantially all the risks and rewards of ownership of the asset to another party.

On derecognition of a Financial Asset in its entirety, the difference between the asset's carrying amount and the sum of the consideration received and receivable is recognised in the Statement of Profit and Loss.

3.23. Financial Liabilities and Equity Instruments

3.23.1 Financial Liabilities

Subsequent measurement

(i) Financial liabilities at amortised cost:

Financial Liabilities are measured at Amortised Cost at the end of subsequent accounting periods. The carrying amounts of Financial Liabilities that are subsequently measured at amortised cost are determined based on the Effective Interest method. Interest expense that is not capitalised as part of costs of an asset is included in the 'Finance Costs' line item.

(ii) Financial liabilities at fair value through profit or loss

Financial liabilities at fair value through profit or loss include derivatives. Financial liabilities at FVTPL are measured at fair value and net gains and losses, including any interest expense, are recognised in profit or loss.

(iii) Embedded derivatives

Derivatives embedded in all other host contract except for an asset are separated only if the economic characteristics and risks of the embedded derivative are not closely related to the economic characteristics and risks of the host and are measured at fair value through profit or loss. Embedded derivatives closely related to the host contracts are not separated.

Derecognition of Financial Liabilities

The Company derecognises Financial Liabilities when, and only when, the Company's obligations are discharged, cancelled or have expired. The difference between the carrying amount of the Financial Liability derecognised and the consideration paid and payable is recognised in the Statement of Profit and Loss.

3.23.2 Equity Instruments

An Equity Instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Equity instruments issued by the Company are recognised at the proceeds received. Incremental costs directly attributable to the issuance of new ordinary equity shares are recognized as a deduction from equity, net of tax effects.

3.24 Financial Guarantee

Financial guarantee contracts issued by the Company are initially measured at their fair values and, if not designated as at FVTPL, are subsequently measured at the higher of

- i. The amount of loss allowance determined in accordance with impairment requirements of Ind AS 109; and
- ii. The amount initially recognised less, when appropriate, the cumulative amount of income recognised in accordance with the principles of Ind AS 115.

When the Company receives Financial Guarantee from its holding company, initially it measures guarantee fees at the fair value. The Company records the initial fair value of fees for Financial Guarantee received as "Deemed

Equity” from Holding Company with a corresponding asset recorded as prepaid guarantee charges. Such deemed equity is presented under the head 'Other Equity' in the Balance Sheet. Prepaid guarantee charges are recognized in the Statement of Profit and Loss over the period of Financial Guarantee received.

3.25 Insurance Claims

- (a) All the insurance claims are accounted for on the basis of claims admitted / expected to be admitted to the extent that the amount recoverable can be measured reliably and it is virtually certain by the management to expect ultimate collection.
- (b) In case of total loss of asset, on intimation to the insurer, either the carrying cost of the asset or insurance value (subject to deductible excess) whichever is lower is treated as claims recoverable from insurance company subject to condition mentioned in para (a) above. In case insurance claim is less than the carrying cost of the asset, the difference is charged to Statement of Profit and Loss.
- (c) In case of partial or other losses, expenditure incurred / payments made to put such assets back into use, to meet the third party or other liabilities (less deductible excess) if any, are accounted for as claims receivable from insurance company subject to condition mentioned in para (a) above. Insurance Policy deductible excess are expensed in the year in which corresponding expenditure is incurred.
- (d) In the eventuality of total loss, partial loss or other losses in any year and where condition of paragraph (a) above does not fulfill, then the losses are charged to the Statement of Profit and Loss in the same year.
- (e) As and when claims are finally received from the insurance company, the difference, if any, between the claim receivable from insurance company and claims received is adjusted to Statement of Profit and Loss.
- (f) All other claims and provisions are booked on the merits of each case.

3.26 Investment Property

Investment Properties (land or building or part of a building or both) are properties held to earn rentals and/or for capital appreciation or for both, but not for sale in the ordinary course of business, use in production or supply of goods or services or for administrative purposes. Investment Properties are measured initially at cost, including transaction costs. Subsequent to initial recognition, investment properties are measured in accordance with Ind AS 16 requirements for cost model. Free hold Land and Properties under construction are not depreciated.

An Investment Property is derecognized upon disposal or when the Investment Property is permanently withdrawn from use and no future economic benefits are expected from the disposal. Any gain or loss arising on de-recognition of the Property (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in Statement of Profit and Loss in the period in which the property is derecognized.

4 Critical Accounting Judgments, Assumptions and Key Sources of Estimation Uncertainty

Inherent in the application of many of the Accounting Policies used in preparing the Financial Statements is the need for management to make judgments, estimates and assumptions that affect the reported amounts of assets and liabilities, the disclosure of contingent assets and liabilities, and the reported amounts of revenues and expenses. Actual outcomes could differ from the estimates and assumptions used.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and future periods are affected.

Key source of judgments, assumptions and estimation uncertainty in the preparation of the Financial Statements which may cause a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are in respect of useful lives of Property, Plant and Equipment, Employee Benefit Obligations, Provision for Income Tax and measurement of Deferred Tax Assets.

4.1 Critical judgments in applying accounting policies

The following are the critical judgements, apart from those involving estimations (Refer note 4.2), that the Management have made in the process of applying the Company's accounting policies and that have the significant effect on the amounts recognized in the Financial Statements.

(a) Determination of Functional Currency

Currency of the primary economic environment in which the Company operates ("the Functional Currency") is Indian Rupee (₹) in which the company primarily generates and expends cash. Accordingly, the management has assessed its Functional Currency to be Indian Rupee (₹).

4.2 Assumptions and key sources of estimation uncertainty

Information about estimates and assumptions that have the significant effect on recognition and measurement of assets, liabilities, income and expenses is provided below. Actual results may differ from these estimates.

a) Useful lives of Property, Plant and Equipment and Intangible Assets

Management reviews its estimate of the useful lives of PPE and Intangible Assets at each reporting date, based on the future economic benefits expected to be consumed from the Assets.

b) Defined Benefit Obligation (DBO)

Management's estimate of the DBO is based on a number of critical underlying assumptions such as standard rates of inflation, medical cost trends, mortality, discount rate and anticipation of future salary increases. Variation in these assumptions may significantly impact the DBO amount and the annual defined benefit expenses.

c) Provision for Income Tax

Significant judgements are involved in determining the provision for Income Taxes, including amount expected to be paid/recovered for uncertain tax positions.

d) Recognition of Deferred Tax Assets

The extent to which Deferred Tax Assets can be recognized is based on an assessment of the probability of the Company's future taxable income against which the Deferred Tax Assets can be utilized. In addition, significant judgement is required in assessing the impact of any legal or economic limits or uncertainties.

e) Leases

Identifying whether a Contract includes a Lease

The Company enters into hiring/service arrangements for various assets/services. The Company evaluates whether a contract contains a lease or not, in accordance with the principles of Ind AS 116. This requires significant judgments including but not limited to, whether asset is implicitly identified and substantive substitution rights available with the supplier, decision making rights with respect to how the underlying asset will be used, economic substance of the arrangement, etc.

Determining Lease Term (Including Extension and Termination Options)

The Company considers the lease term as the non-cancellable period of a lease adjusted with any option to extend or terminate the lease, if the use of such option is reasonably certain. Assessment of extension/termination options is made on lease by lease basis, on the basis of relevant facts and circumstances. The lease term is reassessed if an option is actually exercised. In case of contracts, where the Company has the option to hire and de-hire the underlying asset on some circumstances (such as operational

requirements), the lease term is considered to be initial contract period.

Identifying Lease Payments for Computation of Lease Liability

To identify fixed (including in-substance fixed) lease payments, the Company consider the non-operating day rate/standby as minimum fixed lease payments for the purpose of computation of Lease Liability and corresponding Right of Use Assets.

Low Value Leases

Ind AS 116 requires assessment of whether an underlying asset is of low value, if lessee opts for the option of not to apply the recognition and measurement requirements of Ind AS 116 to leases where the underlying asset is of low value. For the purpose of determining low value, the Company has considered nature of assets and concept of materiality as defined in Ind AS 1 and the conceptual framework of Ind AS which involve significant judgment.

Determining Discount Rate for Computation of Lease Liability

For computation of Lease Liability, Ind AS 116 requires lessee to use their incremental borrowing rate as discount rate if the rate implicit in the lease contract cannot be readily determined.

For leases denominated in Company's Functional Currency, the Company considers the incremental borrowing rate to be Corporate Bond Rates for similar rated Organizations.

5. Property, Plant and Equipment

(All amounts are in ₹million unless otherwise stated)

Net Carrying Amount		As at March 31, 2022				As at March 31, 2021			
Freehold Lands						54.91		54.91	
Buildings						7,668.70		4,365.25	
Plant and Equipment						192,685.71		177,697.06	
Railway Sidings						1,363.91		1,446.41	
Furniture and Fixtures						205.75		243.64	
Vehicles						78.75		93.52	
Office Equipment						434.24		447.10	
Total						202,491.97		184,347.89	

Gross Carrying Amount		Freehold Lands	Buildings	Plant and Equipment	Railway Sidings	Furniture and Fixtures	Vehicles	Office Equipment	Total
Balance as at April 1, 2020 (as reported earlier)	Amalgamation of ONGC Mangalore Petrochemicals Limited (OMPL) [refer note 50]	54.91	4,436.92	1,65,837.51	1,626.75	445.58	36.24	49.41	1,72,487.32
		-	960.90	67,604.28	-	50.91	140.02	804.19	69,560.30
Restated Balance as at April 1, 2020		54.91	5,397.82	2,33,441.79	1,626.75	496.49	176.26	853.60	2,42,047.62
Additions / Reclassification / Transfer		-	35.34	3,455.28	15.82	15.78	4.58	36.53	3,563.33
Disposal / Deduction / Reclassification / Transfer to other heads		-	0.05	1,070.39	-	5.87	4.12	6.00	1,086.43
Balance as at March 31, 2021		54.91	5,433.11	2,35,826.68	1,642.57	506.40	176.72	884.13	2,44,524.52
Additions / Reclassification / Transfer		-	3,525.56	25,266.33	23.30	11.57	1.49	33.26	28,861.51
Disposal / Deduction / Reclassification / Transfer to other heads		-	1.55	285.90	-	3.59	1.58	3.91	296.53
Balance as at March 31, 2022		54.91	8,957.12	2,60,807.11	1,665.87	514.38	176.63	913.48	2,73,089.50

Accumulated depreciation		Freehold Lands	Buildings	Plant and Equipment	Railway Sidings	Furniture and Fixtures	Vehicles	Office Equipment	Total
Balance as at April 1, 2020 (as reported earlier)	Amalgamation of ONGC Mangalore Petrochemicals Limited (OMPL) [refer note 50]	-	703.72	33,843.40	92.05	195.49	11.75	21.31	34,867.72
		-	220.15	14,092.45	-	23.99	57.47	368.91	14,762.97
Restated Balance as at April 1, 2020		-	923.87	47,935.85	92.05	219.48	69.22	390.22	49,630.69
Depreciation		-	143.99	10,946.42	104.11	48.56	16.12	51.95	11,311.15
Disposal / Deduction / Reclassification / Transfer to other heads		-	-	752.65	-	5.28	2.14	5.14	765.21
Balance as at March 31, 2021		-	1,067.86	58,129.62	196.16	262.76	83.20	437.03	60,176.63
Depreciation		-	220.88	10,162.55	105.80	48.89	16.19	45.52	10,599.83
Disposal / deduction / Reclassification / Transfer to other heads		-	0.32	170.77	-	3.02	1.51	3.31	178.93
Balance as at March 31, 2022		-	1,288.42	68,121.40	301.96	308.63	97.88	479.24	70,597.53

5.1 Property Plant and Equipment pledged as security [refer note 22]:

Secured External Commercial Borrowings are secured by first pari passu charge over immovable Property, Plant & Equipment and first ranking pari passu charge over movable Property, Plant & Equipment (including but not limited to Plant and Machinery, Spares, Tools, Furniture, Fixture, Vehicles and all other Movable Property, Plant & Equipment) both present and future.

Loan from OIDB is secured by way of first ranking pari passu charge by way of hypothecation / mortgage only on Property, Plant & Equipment / projects financed out of loan proceeds of OIDB.

Working capital borrowings from consortium banks are secured by way of first ranking pari passu charge by way of hypothecation of Company's stocks of Raw Material, Finished Goods, Stock-in-Process, Stores, Spares, Components, Trade receivables, outstanding Money Receivables, Claims, Bills, Contract, Engagements, Securities both present and future and further secured by second ranking pari passu charge over companies movable and immovable property (all Property, Plant & Equipment) both present and future.

5.2 The Company was eligible for certain economic benefits such as exemptions from entry tax, custom duty etc. on import/local purchase of capital goods in earlier years. The Company had accounted benefits received for custom duty and entry tax on purchase of Property, Plant and Equipment as Government grants. The Company had adjusted the cost of Property, Plant and Equipment as at April 1, 2017 and credited deferred Government grant amounting to ₹3,618.21 million. The deferred Government grant is amortised over the remaining useful life of the Property, Plant and Equipment amounting to ₹159.02 million for the year ended March 31, 2022 (Year ended March 31, 2021 ₹159.02 million).

5.3 As per the requirement of Ind AS 16 (Property, Plant and Equipment), the residual value and the useful life of an asset shall be reviewed at least at each financial year-end. During the current financial year, the estimated useful lives of Property, Plant and Equipment have been reviewed and revised wherever expectations differ from previous estimate, which is different from the useful life as indicated in Part C of Schedule II of Companies Act, 2013. The impact on account of above change is decrease in depreciation by ₹1,141.81 million during current financial year. Overall future impact on the Property, Plant and Equipment existing as on 31.03.2022 is not disclosed considering impracticability in assessing the effect of same.

5.4 Foreign exchange differences capitalised:

Additions/(adjustments) to Plant and Equipment includes ₹58.61 million [Year ended March 31, 2021 ₹(173.96) million] in relation to foreign exchange differences capitalised as per para D13AA of Ind AS 101 [refer Note 50]

5.5 Few assets under the property, plant and equipment which are constructed on lease hold lands and whose useful life is more than the leasehold period are depreciated based on their useful lives considering the likely renewal of the lease period.

6. Right-of-Use Assets

Net Carrying Amounts		As at March 31, 2022		As at March 31, 2021	
Leasehold lands [refer note 6.1 and 6.2 below]		5,123.75		5,237.51	
Buildings		172.93		211.26	
Others (Right of Use of Assets)		2,135.56		2,231.30	
Total		7,432.24		7,680.07	
Gross Carrying Amount		Leasehold Lands	Buildings	Others (Right of Use of Assets)	Total
Balance as at April 1, 2020 (as reported earlier)		2,990.09	288.05	1,489.67	4,767.81
Amalgamation of ONGC Mangalore Petrochemicals Limited (OMPL) [refer note 50]		2,531.87	-	910.65	3,442.52
Restated Balance as at April 1, 2020		5,521.96	288.05	2,400.32	8,210.33
Additions :		26.68	-	8.60	35.28
Adjustment for Remeasurement / Completion of Lease Contract		(52.76)	-	21.72	(31.04)
Balance as at March 31, 2021		5,495.88	288.05	2,430.64	8,214.57
Additions		19.58	-	11.09	30.67
Adjustment for Remeasurement / Completion of Lease Contract		(7.09)	-	0.90	(6.19)
Balance as at March 31, 2022		5,508.37	288.05	2,442.63	8,239.05
Accumulated depreciation		Leasehold Lands	Buildings	Others (Right of Use of Assets)	Total
Balance as at April 1, 2020 (as reported earlier)		67.75	38.45	61.08	167.28
Amalgamation of ONGC Mangalore Petrochemicals Limited (OMPL) [refer note 50]		62.00	-	32.53	94.53
Restated Balance as at April 1, 2020		129.75	38.45	93.61	261.81
Additions :		128.62	38.34	105.73	272.69
Adjustment for Remeasurement / Completion of Lease Contract		-	-	-	-
Balance as at March 31, 2021		258.37	76.79	199.34	534.50
Additions		126.25	38.33	107.73	272.31
Adjustment for Remeasurement / Completion of Lease Contract		-	-	-	-
Balance as at March 31, 2022		384.62	115.12	307.07	806.81

6.1 Includes leasehold lands where the ownership will be transferred to the Company at the end of the lease period. These leasehold lands are not depreciated.

6.2 Right-of-Use Assets includes land amounting to ₹485.67 million (As at March 31, 2021 ₹1,247.51 million), which is in possession of the Company towards which formal lease / sale deeds are yet to be executed [refer note 48.1].

6.3 An amount of ₹32.35 million (Year ended March 31, 2021 ₹37.57 million) for depreciation charged to Right-of-Use Asset has been capitalized as component of cost of Capital Work-in-Progress (CWIP) [refer note 7.3].

7. Capital Work-in-Progress (CWIP)

Particulars	As at March 31, 2022		As at March 31, 2021	
Buildings		69.68		399.57
Plant and Equipment		1,445.55		21,320.61
Capital Goods-in-Transit		27.49		63.86
Project expenditure pending allocation :				
Employee Benefits Expense	561.92		440.49	
Finance costs [refer note 7.1 and 7.2 below]	1,686.20		1,100.62	
Depreciation expense [refer note 7.3 below]	112.94		80.59	
Other expenses	79.11		60.14	
Less: Allocated/ Adjusted during the year	2,285.23	154.94	35.28	1,646.56
Total		1,697.66		23,430.60

- 7.1** Additions to CWIP includes borrowing costs amounting to ₹508.80 million (For the year ended March 31, 2021 ₹483.10 million) and allocated / will be allocated to different class of assets. The rate used to determine the amount of borrowing costs eligible for capitalisation was 6.20% (For the year ended March 31, 2021 was 7.14%) which is the effective interest rate on borrowings.
- 7.2** An amount of ₹76.93 million (Year ended March 31, 2021 ₹89.44 million) towards Finance cost on lease liability has been capitalized as a component of cost of Capital Work-in-Progress (CWIP).
- 7.3** An amount of ₹32.35 million (Year ended March 31, 2021 ₹37.57 million) towards depreciation charged to Right-of-Use Asset has been capitalized as a component of cost of Capital Work-in-Progress (CWIP).
- 7.4** Capital Work-in-Progress (CWIP) includes loan availed from OADB, which is secured by way of first ranking pari passu charge by way of hypothecation / mortgage only on Property, Plant & Equipment / projects financed out of loan proceeds of OADB [refer note 22.3], Unsecured Rupee Term Loan for Capex availed [refer note 22.8.1] and Unsecured Foreign Currency Term Loan (FCNR) (B) for Capex [refer note 22.9].
- 7.5** Till previous Financial Year, the Company had opted not to avail the GST input tax credit on the capital goods and the same was being capitalized along with the cost of the Assets. During the current financial year, the Company has started availing the input tax credit on the eligible GST input tax credit on the capital goods as permitted by GST Act and the applicable Rules, resulting in an amount of ₹231.80 million as at March 31, 2021 being reclassified from Capital Work-in-Progress (CWIP) to GST Input tax credit [refer note 15].

8. Investment Property

Net Carrying amount:	As at March 31, 2022	As at March 31, 2021
Freehold land	77.96	77.96
Total	77.96	77.96

Gross Carrying Amount	Amount
Balance as at April 1, 2020	77.96
Additions	-
Disposal / Deduction/ Reclassification / Transfer to other heads	-
Balance as at March 31, 2021	77.96
Additions	-
Disposal / Deduction/ Reclassification / Transfer to other heads	-
Balance as at March 31, 2022	77.96

Accumulated depreciation and impairment	Amount
Balance as at April 1, 2020	-
Depreciation	-
Disposal / Deduction/ Reclassification / Transfer to other heads	-
Balance as at March 31, 2021	-
Depreciation	-
Disposal / Deduction/ Reclassification / Transfer to other heads	-
Balance as at March 1, 2022	-

- 8.1 Includes land measuring 102.31 acres is held for capital appreciation.
- 8.2 There is no contractual obligation to purchase, construct or develop investment property.
- 8.3 The net amount recognised in the Statement of Profit and Loss for investment property for current year is ₹ Nil (Year ended March 31, 2021 ₹ Nil).
- 8.4 No Right-of-Use Asset has been included in the investment property as given above.
- 8.5 The best evidence of fair value is current prices in an active market for similar properties.
- 8.6 The Company has considered the fair value of the freehold land amounting to ₹ 409.24 million as at March 31, 2022 (As at March 31, 2021 ₹ 409.24 million) based on the valuation carried out by independent valuer report dated October 30, 2020.

9. Goodwill

Particulars	Amount
Balance as at April 1, 2020 (as reported earlier)	4.04
Amalgamation of ONGC Mangalore Petrochemicals Limited (OMPL) [refer note 50]	3,768.74
Restated Balance as at April 1, 2020	3,772.78
Impairment	-
Balance as at March 31, 2021	3,772.78
Impairment	-
Balance as at March 31, 2022	3,772.78

- 9.1 Goodwill includes ₹ 4.04 million towards excess consideration paid over net assets acquired for acquisition of Nitrogen plant.
- 9.2 Goodwill has been recognised in the books of the Company on account of amalgamation of erstwhile subsidiary company ONGC Mangalore Petrochemicals Limited (OMPL) as per the clarification in Indian Accounting Standard (Ind AS) Transition Facilitation Group (ITFG) Clarification Bulletin 9.

10. Other Intangible Assets

Net Carrying amount:	As at March 31, 2022	As at March 31, 2021
Computer Software	55.09	65.41
License and Franchise	8.08	20.32
Total	63.17	85.73

Gross Carrying Amount	Computer Software	License and Franchise	Total
Balance as at April 1, 2020 (as reported earlier)	105.38	49.53	154.91
Amalgamation of ONGC Mangalore Petrochemicals Limited (OMPL) [refer note 50]	85.78	-	85.78
Restated Balance as at April 1, 2020	191.16	49.53	240.69
Additions	21.88	-	21.88
Disposal / Deduction / Reclassification / Transfer to other heads	29.87	-	29.87
Balance as at March 31, 2021	183.17	49.53	232.70
Additions	8.46	6.43	14.89
Disposal / Deduction / Reclassification / Transfer to other heads	-	-	-
Balance as at March 31, 2022	191.63	55.96	247.59

Accumulated Amortisation	Computer Software	License and Franchise	Total
Balance as at April 1, 2020 (as reported earlier)	51.78	12.68	64.46
Amalgamation of ONGC Mangalore Petrochemicals Limited (OMPL) [refer note 50]	78.30	-	78.30
Restated Balance as at April 1, 2020	130.08	12.68	142.76
Amortisation	17.55	16.53	34.08
Disposal / Deduction / Reclassification / Transfer to other heads	29.87	-	29.87
Balance as at March 31, 2021	117.76	29.21	146.97
Amortisation	18.78	18.67	37.45
Disposal / Deduction / Reclassification / Transfer to other heads	-	-	-
Balance as at March 31, 2022	136.54	47.88	184.42

11 Investments

Particulars	As at March 31, 2022		As at March 31, 2021	
	Number in million	Amount	Number in million	Amount
Investments in Equity Instruments				
Unquoted Investments (all fully paid up)				
(i) Investment in Joint Venture				
Shell MRPL Aviation Fuels and Services Limited (at cost) (Face value of ₹10 per share) [refer note 11.1.1 below]	15.00	150.00	15.00	150.00
(ii) Investment: Others				
(a) Mangalam Retail Services Limited (at fair value) (Face value of ₹10 per share) [refer note 11.1.2 below]	0.02	0.19	0.02	0.19
(b) Mangalore SEZ Limited (at fair value) (Face value of ₹10 per share) [refer note 11.1.2 below]	0.48	4.80	0.48	4.80
Total		154.99		154.99

Aggregate carrying value of unquoted investments	154.99	154.99
Aggregate amount of impairment in value of investments	-	-

11.1.1 Details of Joint Venture

Name of Joint Venture	Principal activity	Place of incorporation and principal place of business	Proportion of ownership interest/ voting rights held by the Company	
Shell MRPL Aviation Fuels and Services Limited	Trading of aviation fuels	India	As at March 31, 2022	As at March 31, 2021
			50.00%	50.00%

11.1.2 Details of Investment: Others

Name of the company	Principal activity	Place of incorporation and principal place of business	Proportion of ownership interest/ voting rights held by the Company	
			As at March 31, 2022	As at March 31, 2021
Mangalam Retail Services Limited (MRSL)	Distribution of petroleum products through retail outlet and transport terminal	India	18.98%	18.98%
Mangalore SEZ Limited	Developer of Special Economic Zone	India	0.96%	0.96%

The investment in Mangalam Retail Services Limited and Mangalore SEZ Limited have been measured at fair value through profit or loss. The management has considered the fair value (level 3 hierarchy) of such investment equivalent to the carrying amount as at reporting period.

Refer Note 3.4 for method followed for accounting of investment.

12. Loans

Particulars	As at March 31, 2022		As at March 31, 2021	
	Non-current	Current	Non-current	Current
(a) Loans to employees				
Secured, considered good	1,168.80	149.56	1,070.15	138.14
Unsecured, considered good	-	5.78	-	6.34
	1,168.80	155.34	1,070.15	144.48
(b) Loans to directors and other officers				
(Secured, considered good)	-	-	4.34	0.80
(c) Loans to Customers				
(Secured, considered good)	4.21	0.50	4.58	0.31
[refer note 12.1 below]				
Total	1,173.01	155.84	1,079.07	145.59

- 12.1 Company has policy of providing financial assistance to Schedule Caste / Schedule Tribe category dealers for Retail Outlets under the Corpus Fund Scheme (CFS). Under this scheme upon written request seeking working capital loan / assistance by dealer, the company provides working capital loan for a full cycle of operation (equivalent to seven days sales volume) of the dealer. This working capital loan as well as the interest at the specified rate thereon will be recovered in hundred equal monthly instalments from the thirteenth month of commissioning of the dealer operated Retail Outlet.

13. Other Financial Assets

Particulars	As at March 31, 2022		As at March 31, 2021	
	Non-current	Current	Non-current	Current
(Secured, considered good unless otherwise stated)				
(a) Interest accrued on loans to employee / directors/ other officers	337.71	3.55	275.52	3.45
(b) Security Deposits				
(Unsecured, considered good)	40.59	-	40.59	-
With Related Party	137.03	42.56	135.14	12.69
With vendors				
Credit impaired				
- Deposits which are credit impaired	-	0.71	-	0.71
Less: Impairment for doubtful Deposits	-	0.71	-	0.71
	177.62	42.56	175.73	12.69
(c) Interest accrued but not due on Others				
Secured, considered good	-	2.34	-	2.62
Unsecured, considered good	-	0.01	-	-
		2.35	-	2.62
(d) Amount Receivable from Central Government	-		-	
(Unsecured, considered good)	-	19.96	-	-
[refer note 13.1 below]				
(e) Bank Deposits (with more than 12 months maturity)				
(Unsecured, considered good)	0.09	-	0.09	-
[refer note 13.2 below]				
(f) Receivables from Related Parties				
(Unsecured, considered good)	-	0.05	-	0.05
Total	515.42	68.47	451.34	18.81

13.1 As per the Government of India's scheme for Promotion of flagging of merchant ships in India by providing subsidy support to Indian Shipping companies in global tenders floated by Ministries / Departments / Central Public Sector Enterprises (CPSEs), the eligible Indian shipping company shall be paid the subsidy amount along with the charter hire amount as per the contract term by the Company and the Company will be then reimbursed by Government under the scheme.

13.2 Earmarked in favour of Commercial Taxes Authority.

14 Tax Assets/ (Liabilities) [Net]

Particulars	As at March 31, 2022		As at March 31, 2021	
	Non-current	Current	Non-current	Current
Tax assets	8,536.24	7,253.22	10,019.31	2,969.12
Less: Provision for current tax liabilities	8,382.75	6,043.28	8,382.75	1,084.76
Net tax assets / (liabilities)	153.49	1,209.94	1,636.56	1,884.36
Total	153.49	1,209.94	1,636.56	1,884.36

- 14.1** During the financial year ended March 31, 2020, the Company opted to settle Income Tax Disputes under the Direct Tax Vivad Se Vishwas Act, 2020, and accordingly, a sum of ₹1,084.76 Million payable under the said scheme was charged as prior year tax in the Statement of Profit and Loss in the financial year ended March 31, 2020. Pursuant to this, the tax assets and liabilities were reclassified for the year ended March 31, 2020. The tax assets of ₹2,908.37 Million and liabilities of ₹1,084.76 Million pertaining to assessment years for which the Company exercised the option were considered as current tax assets and current tax liabilities respectively, as the same were expected to be settled within a year. The same treatment is continued in the current financial year, as the final orders under the said scheme are awaited.
- 14.2** The Taxation Laws (Amendment) Act, 2019 inserted a new section 115BAA in the Income Tax Act, 1961, which gives domestic companies a non-reversible option to pay corporate tax at reduced rate, subject to certain conditions. Such option can be exercised for the financial year 2019-20 or any subsequent financial year. The Company did not exercise the option for the financial years ended March 31, 2020 and March 31, 2021. The financial statements of the Company for the year ended March 31, 2022 have been prepared considering the old Corporate Tax rate. However, the option for the new lower tax rate for the financial year 2021-22 can be exercised by the Company on or before the due date for filing of the return of income for the financial year 2021-22.

15 Other Assets

Particulars	As at March 31, 2022		As at March 31, 2021	
	Non-current	Current	Non-current	Current
(Unsecured, considered good unless otherwise stated)				
(a) Capital advances to others				
Secured, considered good	123.92	-	548.21	-
Unsecured, considered good	7,028.30	-	7,035.68	-
	7,152.22	-	7,583.89	-
(b) Deposits with Government Authorities [refer note 15.1 below]	378.72	2459.91	378.73	2,472.83
(c) Advance recoverable in kind				
From Related Parties	-	4.29	-	1.96
From Others	-	317.05	-	365.83
	-	321.34	-	367.79
(d) Balance with Government Authorities [refer note 7.5]	-	1,331.07	-	1,141.54
(e) Prepayments				
Others [refer note 15.2 below]	208.60	178.71	207.94	443.94
	208.60	178.71	207.94	443.94
(f) Gold coins	-	0.91	-	0.91
(g) Stock on Returnable Basis	-	-	-	41.39
Less: Impairment for Stock	-	-	-	41.39
Total	7,739.54	4,291.94	8,170.56	4,427.01

- 15.1** Includes ₹2,125.25 million relating to an appeal in the matter of classification of Reformat import pending before Hon'ble CESTAT and other amount paid under protest.
- 15.2** Includes ₹Nil as at March 31, 2022 with Related Parties [As at March 31, 2021, ₹1.21 million (₹0.58 million Non- Current and ₹0.63 million Current)].

16. Inventories

Particulars	As at March 31, 2022		As at March 31, 2021	
	Amount	Total	Amount	Total
Raw materials				
(a) On hand	21,889.84		19,555.17	
(b) In transit	29,550.07	51,439.91	11,156.50	30,711.67
Stock-in-process		15,088.41		11,275.34
Finished goods	31,074.49		21,395.74	
Less: Provision for stock loss	5.91	31,068.58	5.91	21,389.83
Stock in Trade- Lube Oil		0.08		0.07
Stores and spares				
(a) On hand [refer note 16.3]	6,990.72		7,499.05	
(b) In transit	130.92		205.23	
Less: Provision for slow/non-moving inventories	91.19	7,030.45	53.18	7,651.10
Scrap [refer note 16.4]		241.14		
Total		1,04,868.57		71,028.01

- 16.1** The cost of inventories (cost of sales) recognised as an expense during the year is ₹7,16,584.34 million (Year ended March 31, 2021 ₹ 3,52,105.37 million).
- 16.2** The cost of inventories recognized as an expense includes ₹222.82 million (Year ended March 31, 2021 ₹ 300.56 million) in respect of write down of inventories to net realisable value. There has been no reversal of such write down in current year and previous year.
- 16.3** Includes stock lying with others amounting to ₹5.23 million (As at March 31, 2021 ₹Nil)
- 16.4** From current financial year, the Company has started recognising the scrap inventory at estimated net realisable value and recognised an amount of ₹241.14 million as at March 31, 2022. Introduction of the said accounting policy has resulted in increase in Profit Before Tax for FY 2021-22 by ₹ 241.14 million.
- 16.5** The method of valuation of inventories has been stated in **Note 3.19**.

17. Trade Receivables

Particulars	As at March 31, 2022	As at March 31, 2021
Secured [refer note 17.4 below]		
- Considered good	8,719.23	1,788.23
Unsecured		
- Considered good	34,557.46	22,718.48
Credit impaired		
- Receivable which are credit impaired	1,077.27	1,094.38
Less: Impairment for doubtful receivables	1,077.27	1,094.38
Total	43,276.69	24,506.71

- 17.1** Generally, the Company enters into long-term sales arrangement with Oil Marketing Companies for domestic sales and short term arrangement with others. Besides, the export of products are undertaken through term contracts, spot international tenders, short term tender arrangements, B2B arrangements and supplies to SEZ customers. The average credit period on sales ranges from 7 to 45 days (Year ended March 31, 2021 ranges from 7 to 45 days). Interest is not charged on trade receivables for the applicable credit period from the date of invoice. For delayed period of payments, interest is charged as per respective arrangements, which is upto 2 % per annum (Year ended March 31, 2021 upto 2% per annum) over the applicable bank rate on the outstanding balance.
- 17.2** Of the trade receivables, balance as at March 31, 2022 of ₹38,308.26 million (As at March 31, 2021 ₹22,141.76 million) are due from the customers mentioned below. There are no other customers who represent more than 5% of the total balance of trade receivables other than mentioned below.

Particulars	As at March 31, 2022	As at March 31, 2021
Customer 1	4,955.61	1,632.26
Customer 2	15,242.53	13,990.09
Customer 3	4,136.86	-
Customer 4	-	1,440.82
Customer 5	-	3,650.65
Customer 6	3,326.15	1,427.94
Customer 7	5,017.80	-
Customer 8	5,629.31	-
	38,308.26	22,141.76

Note: Major customers identity are not disclosed on account of market confidentiality. Trade receivable from individual customer for current / previous year not more than 5% of total trade receivables amount has not been disclosed.

- 17.3** Usually, the Company collects all receivables from its customers within the applicable credit period. The Company assesses impairment on trade receivables from all the customers on facts and circumstances relevant to each transaction.
- 17.4** Secured by bank guarantees / letter of credit received from customers.
- 17.5** The Company has concentration of credit risk due to the fact that the Company has significant receivables from customers mentioned in **note 17.2**, however these customers are reputed and creditworthy.
- 17.6** There are no outstanding receivables due from directors or other officers of the Company.
- 17.7** Movement of Impairment for doubtful receivables

Particulars	As at March 31, 2022	As at March 31, 2021
Balance at beginning of the year	1,094.38	1,142.36
Additions/ (Deletion) in expected credit loss allowance	5.77	8.88
Less: Write back during the year	22.88	56.86
Balance at end of the year	1,077.27	1,094.38

17.8 Trade Receivables Ageing :

Particulars	As at March 31, 2022						
	Outstanding for following periods from due date of payment						Total
	Not yet due	Less than 6 months	6 months to 1 Year	1 Year to 2 Years	2 Years to 3 Years	More than 3 Years	
Undisputed Trade Receivable-Considered good	40,536.90	2,739.79	-	-	-	-	43,276.69
Undisputed Trade Receivable-Which have significant increase in credit risk	-	-	-	-	-	-	-
Undisputed Trade Receivable-Credit Impaired	-	-	-	-	-	-	-
Disputed Trade Receivable-Considered good	-	-	-	-	-	-	-
Disputed Trade Receivable-Which have significant increase in credit risk	-	-	-	-	-	-	-
Disputed Trade Receivable-Credit Impaired	-	-	3.67	2.26	31.30	1,040.04	1,077.27
Total	40,536.90	2,739.79	3.67	2.26	31.30	1,040.04	44,353.96
Less : Impairment for Doubtful Receivable	-	-	3.67	2.26	31.30	1,040.04	1,077.27
Total Trade Receivable	40,536.90	2,739.79	-	-	-	-	43,276.69

Particulars	As at March 31, 2021						
	Outstanding for following periods from due date of payment						Total
	Not yet due	Less than 6 months	6 months to 1 Year	1 Year to 2 Years	2 Years to 3 Years	More than 3 Years	
Undisputed Trade Receivable-Considered good	21,732.09	2,774.46	0.16	-	-	-	24,506.71
Undisputed Trade Receivable-Which have significant increase in credit risk	-	-	-	-	-	-	-
Undisputed Trade Receivable-Credit Impaired	-	0.14	0.56	32.19	2.50	-	35.39
Disputed Trade Receivable-Considered good	-	-	-	-	-	-	-
Disputed Trade Receivable-Which have significant increase in credit risk	-	-	-	-	-	-	-
Disputed Trade Receivable-Credit Impaired	-	-	0.02	0.07	0.23	1,058.67	1,058.99
Total	21,732.09	2,774.60	0.74	32.26	2.73	1,058.67	25,601.09
Less : Impairment for Doubtful Receivable	-	0.14	0.58	32.26	2.73	1,058.67	1,094.38
Total Trade Receivable	21,732.09	2,774.46	0.16	-	-	-	24,506.71

18. Cash and Cash Equivalents

Particulars	As at March 31, 2022	As at March 31, 2021
Balances with banks	51.22	254.30
Cash on hand	4.02	3.95
Total	55.24	258.25

19. Other Bank Balances

Particulars	As at March 31, 2022	As at March 31, 2021
Bank Balance earmarked for CSR Activities [refer note 19.1 below]	120.39	-
Unclaimed dividend account [refer note 19.1 below]	248.97	249.36
Restricted bank balance for employee benevolent fund	13.95	13.16
Total	383.31	262.52

19.1 Amount deposited in the CSR / Unclaimed Dividend account is earmarked only for payment towards CSR activities/ Dividend and cannot be used for any other purpose.

20 Equity Share Capital

Particulars	As at March 31, 2022	As at March 31, 2021
Authorised share capital:		
2,900,000,000 Equity shares of ₹10 each (as at March 31, 2021: 2,900,000,000 Equity shares of ₹10 each)	29,000.00	29,000.00
3,200,000 Equity shares of ₹10,000 each * (as at March 31, 2021: Nil Equity shares)	32,000.00	-
100,000,000 Redeemable Preference shares of ₹10 each (as at March 31, 2021: 100,000,000 Preference shares of ₹10 each)	1,000.00	1,000.00
Issued and Subscribed:		
1,752,598,777 Equity shares of ₹10 each (as at March 31, 2021: 1,752,598,777 Equity shares of ₹10 each)	17,525.99	17,525.99
Fully paid equity shares:		
1,752,598,777 Equity shares of ₹10 each (as at March 31, 2021: 1,752,598,777 Equity shares of ₹10 each)	17,525.99	17,525.99
Add: Shares forfeited [refer note 20.6 below]	0.65	0.65
Total	17,526.64	17,526.64

* Effect of amalgamation of erstwhile subsidiary company ONGC Mangalore Petrochemicals Limited (OMPL)
[Refer Note 50]

Reconciliation of Equity shares outstanding at the beginning and at the end of the reporting period:

Particulars	Number of shares in million	Share capital
Balance as at April 1, 2020	1,752.60	17,525.99
Changes during the year	-	-
Outstanding as at March 31, 2021	1,752.60	17,525.99
Changes during the year	-	-
Outstanding as at March 31, 2022	1,752.60	17,525.99

20.1 Terms/rights attached to Equity shares

The Company has two classes of equity shares having a par value of ₹ 10 per share and ₹10,000 per share. Each holder of equity shares is entitled to one vote per share. The dividend (if any) proposed by the Board of Directors is subject to the approval of the shareholders in the ensuing Annual General Meeting.

In the event of liquidation of the Company, the holders of equity shares will be entitled to receive remaining assets of the Company, after distribution of all preferential amounts. The distribution will be in proportion to the number of equity shares held by the shareholders.

20.2 Details of Equity shares held by the holding company or its subsidiaries or its associates are as under:-

Name of Equity Share holders	As at March 31, 2022		As at March 31, 2021	
	Number in million	% holding	Number in million	% holding
Oil and Natural Gas Corporation Limited	1,255.35	71.63	1,255.35	71.63
Hindustan Petroleum Corporation Limited	297.15	16.96	297.15	16.96

20.3 Details of shareholders holding more than 5% equity shares in the Company are as under:-

Name of Equity Share holders	As at March 31, 2022		As at March 31, 2021	
	Number in million	% holding	Number in million	% holding
Oil and Natural Gas Corporation Limited	1,255.35	71.63	1,255.35	71.63
Hindustan Petroleum Corporation Limited	297.15	16.96	297.15	16.96

20.4 Details of shareholding of promoters in equity shares of the Company are as under:-

Share held by Promoter	As at March 31, 2022			As at March 31, 2021		
	Number in million	% holding	% Change during the year	Number in million	% holding	% Change during the year
Oil and Natural Gas Corporation Limited	1,255.35	71.63	-	1,255.35	71.63	-
Hindustan Petroleum Corporation Limited	297.15	16.96	-	297.15	16.96	-

20.5 Equity shares reserved for issue under options and contracts or commitments for the sale of shares or disinvestment: Nil (As at March 31, 2021: Nil).

20.6 Equity shares of ₹10 each (equivalent to 303,550 equity shares of ₹10 each) were forfeited in the year 2009-10 against which amount originally paid up was ₹654,000.

21 Other Equity

Particulars	As at March 31, 2022	As at March 31, 2021
(a) Deemed equity [refer note 3.24]	42.17	44.06
(b) Reserves and surplus		
(i) Capital redemption reserve	91.86	91.86
(ii) Securities premium	3,463.90	3,463.90
(iii) General reserve	1,192.00	1,192.00
(iv) Other Reserve	(13,488.41)	(13,488.41)
(v) Retained earnings	63,135.21	33,550.99
Total	54,436.73	24,854.40

Particulars	As at March 31, 2022	As at March 31, 2021
(a) Deemed equity [refer note 21.1 below]		
Balance at beginning of the year	44.06	42.17
Amalgamation of ONGC Mangalore Petrochemicals Limited (OMPL) [refer note 50]	(1.89)	1.89
Addition during the year	-	-
Balance at end of the year	42.17	44.06
(b) Reserves and Surplus		
(i) Capital redemption reserve [refer note 21.2 below]		
Balance at beginning of the year	91.86	91.86
Transfer during the year	-	-
Balance at end of the year	91.86	91.86
(ii) Securities premium [refer note 21.3 below]		
Balance at beginning of the year	3,463.90	3,490.53
Amalgamation of ONGC Mangalore Petrochemicals Limited (OMPL) [refer note 50]	-	(26.63)
Transfer during the year	-	-
Balance at end of the year	3,463.90	3,463.90
(iii) General reserve [refer note 21.4 below]		
Balance at beginning of the year	1,192.00	1,192.00
Transfer from retained earnings	-	-
Balance at end of the year	1,192.00	1,192.00
(iv) Other reserve [refer note 21.5 below]		
Balance at beginning of the year	(13,488.41)	-
Amalgamation of ONGC Mangalore Petrochemicals Limited (OMPL) [refer note 50]	-	(13,488.41)
Transfer during the year	-	-
Balance at end of the year	(13,488.41)	(13,488.41)
(v) Retained earnings		
Balance at beginning of the year	33,550.99	55,325.05
Amalgamation of ONGC Mangalore Petrochemicals Limited (OMPL) [refer note 50]	-	(14,183.27)
Restated Balance of Retained earnings	33,550.99	41,141.78
Profit / (Loss) after tax for the year	29,552.74	(7,611.65)
Other comprehensive income for the year, net of income tax	31.48	20.86
Payment of Dividends	-	-
Balance at end of the year	63,135.21	33,550.99

- 21.1** An amount of ₹42.17 million as at March 31, 2022 (As at March 31, 2021 ₹42.17 million) shown as deemed equity denotes the fair value of fees towards financial guarantee received from Oil and Natural Gas Corporation Limited without any consideration. Further to that as at March 31, 2021 an amount of ₹1.89 million towards the fair value of financial guarantee towards backstop for interest on CCDs issued by erstwhile subsidiary Company OMPL received from Oil and Natural Gas Corporation Limited without any consideration. The said amount of ₹1.89 million has been adjusted on account of amalgamation of erstwhile subsidiary company OMPL [refer note 50].
- 21.2** The Company created capital redemption reserve on redemption of preference share capital during the financial years 2011-12 and 2012-13.
- 21.3** The Company created securities premium on issue of equity share capital and the same can be utilized as per the requirement of the Companies Act, 2013.
- 21.4** The General reserve is used from time to time to transfer profits from retained earnings for appropriation purposes. As the general reserve is created by a transfer from one component of equity to another and is not an item of other comprehensive income, items included in the general reserve will not be reclassified subsequently to Statement of Profit and Loss.
- 21.5** Other reserve represents excess consideration paid towards acquisition of non-controlling interest in erstwhile subsidiary company ONGC Mangalore Petrochemicals Limited (OMPL) from non-controlling share holder [refer note 50].
- 21.6** The amount that can be distributed by the Company as dividends to its equity shareholders is determined considering the requirements of the Companies Act, 2013 and the dividend distribution policy of the Company. Thus, the amount reported in general reserves are not entirely distributable.

22 Borrowings

Particulars	As at March 31, 2022		As at March 31, 2021	
	Non Current	Current	Non Current	Current
Secured – at amortised cost				
Term Loans:-				
From banks				
External Commercial Borrowings (ECB) [refer note 22.1 below]	3,892.05	8,135.45	11,577.78	9,463.91
Foreign Currency Borrowings [refer note 22.2 below]	24,244.11	3,026.81	26,300.00	-
From others				
Oil Industry Development Board (OIDB) [refer note 22.3 below]	2,439.37	1,485.63	3,925.00	1,347.50
Interest Free Loan from Govt. Karnataka - VAT Loan [refer note 22.4 below]	461.93	-	418.09	-
Loan repayable on demand:-				
From banks [refer note 22.5 below]	-	5,181.94	-	-
Unsecured – at amortised cost				
Debentures :-				
Non Convertible Debentures (NCD) [refer note 22.6 below]	49,751.95	-	37,752.25	-
Compulsorily Convertible Debentures (CCD)				
Related Party	-	-	4,896.57	-
Others [refer note 22.7 below]	-	-	5,096.43	-
Term loan :-				
From Banks				
Rupee Term Loan from bank [refer note 22.8 below]	12,213.22	-	9,868.16	-
Foreign Currency Term Loan (FCNR) [refer note 22.9 below]	7,579.75	-	6,214.78	-
Foreign Currency Borrowings (FCTL) [refer note 22.10 below]	-	11,367.74	10,962.15	-
External Commercial Borrowings (ECB): Working Capital [refer note 22.11 below]	41,525.06	-	39,981.96	-
Deferred Payment Liabilities:-				
From Government of Karnataka [refer note 22.12 below]	47.59	-	-	-
Loan repayable on demand:-				
From banks				
Foreign Currency Term Loan (FCTL) [refer note 22.13 below]	-	-	-	11,698.40
Bills Discounting Facility : SBI [refer note 22.14 below]	-	1,149.30	-	766.48
Other Working Capital Loan [refer note 22.15 below]	-	38,349.87	-	31,563.32
Working capital loan from Others				
Commercial Paper [refer note 22.16 below]	-	-	-	26,500.00
Total	142,155.03	68,696.74	156,993.17	81,339.61

22.1 External Commercial Borrowings (ECB) :

22.1.1 ECB-1 taken by the company amounting to ₹11,356.37 million (As at March 31, 2021 ₹18,241.90 million) are USD denominated loans and carries variable rate of interest which is six month Libor plus spread (Interest rate as at March 31, 2022 is 1.32 % and interest rate as at March 31, 2021 was 1.24%).

22.1.2 ECB-2 taken by the erstwhile subsidiary company ONGC Mangalore Petrochemicals Limited (OMPL) amounting to ₹671.13 million (As at March 31, 2021 ₹2,799.78 million) are USD denominated Loans and carries variable rate of interest, which is six month libor plus spread (Interest Rate as at March 31, 2022 is 3.89% and Interest rate as at March 31, 2021 was 2.60%).

22.1.3 ECB-1 is secured by first pari passu charge over immovable Property, Plant & Equipment and first ranking pari passu charge over movable Property, Plant & Equipment (including but not limited to Plant and Machinery, Spares, Tools, Furniture, Fixture, Vehicles and all other Movable Property, Plant & Equipment) both present and future.

22.1.4 ECB-2 is secured by first pari passu charge over all immovable and movable properties both present and future and second charge on all current assets of the erstwhile subsidiary company OMPL.

22.1.5 ₹8,135.45 million (As at March 31, 2021 of ₹9,463.91 million) is repayable within one year i.e. Current Maturities of long term debt has been shown as Current Borrowing.

22.1.6 Repayment schedule of ECB is as follows:

Year of repayment [refer note 22.17 below]	As at March 31, 2022	As at March 31, 2021
2021-22	-	9,466.51
2022-23	8,135.45	7,847.54
2023-24	3,905.31	3,767.09
Total	12,040.76	21,081.14

22.2 Foreign Currency Borrowings (FCTL) :

22.2.1 Foreign Currency Borrowings taken by the erstwhile subsidiary company ONGC Mangalore Petrochemicals Limited (OMPL) are USD denominated Loans (USD 360 million) and carries variable rate of interest, which is six month Libor based plus spread (Interest Rate as at March 31, 2022 is 2.93% and Interest rate as at March 31, 2021 was 2.64%).

22.2.2 Foreign Currency Borrowing is secured by way of first pari passu charge on Fixed Assets of the Company both present and future.

22.2.3 ₹3,026.81 million (As at March 31, 2021 of ₹Nil) is repayable within one year i.e. Current Maturities of long term debt has been shown as Current Borrowing.

22.2.4 Repayment schedule of Foreign Currency Borrowings (FCTL) is as follows:

Year of repayment [refer note 22.17 below]	As at March 31, 2022	As at March 31, 2021
2022-23	3,031.90	2,924.60
2023-24	5,123.91	4,942.57
2024-25	5,457.42	5,264.28
2025-26	5,457.42	5,264.28
2026-27	6,215.40	5,995.43
2027-28	2,001.05	1,930.24
Total	27,287.10	26,321.40

22.3 Loan from Oil Industry Development Board (OIDB) :

22.3.1 Loan from OIDB taken by the Company carries fixed rate of interest (Interest rate as at March 31, 2022 and March 31, 2021 is in range of 6.01% to 7.98%).

22.3.2 OIDB loan is secured by way of first ranking pari passu charge by way of hypothecation / mortgage only on Property, Plant & Equipment / projects financed out of loan proceeds of OIDB.

22.3.3 ₹1,485.62 million (As at March 31, 2021 of ₹1,347.50 million) is repayable within one year i.e. Current Maturities of long term debt has been shown as Current Borrowings.

2.3.4 Repayment schedule of loan from OIDB is as follows:

Year of repayment [refer note 22.17 below]	As at March 31, 2022	As at March 31, 2021
2021-22	-	1,347.50
2022-23	1,485.62	1,485.62
2023-24	1,485.62	1,485.62
2024-25	815.63	815.63
2025-26	138.13	138.13
Total	3,925.00	5,272.50

22.4 Interest Free Loan from Govt. of Karnataka - VAT Loan

22.4.1 This Loan represents amounts payable on account of "Interest free loan" received from Government of Karnataka. This interest free loan against VAT will be repayable from March 31, 2028.

22.4.2 The benefit of a Government loan at a below-market rate of interest is treated as a government grant (Ind AS 20). The Interest free loan is recognised and measured in accordance with Ind AS 109, Financial Instruments. The benefit of the Interest free loan is measured as the difference between the initial carrying value of the loan determined in accordance with Ind AS 109, and the proceeds received. The benefit is accounted for in accordance with this Standard.

22.4.3 Interest Free Loan from Govt. of Karnataka - VAT Loan are secured by bank guarantees given by the company.

22.4.4 Repayment schedule of Interest Free Loan from Govt. of Karnataka- VAT loan is as follows:

Year of repayment [refer note 22.17 below]	As at March 31, 2022	As at March 31, 2021
2027-28	132.61	132.61
2028-29	155.16	155.16
2029-30	197.76	197.76
2030-31	208.53	208.53
2031-32	322.83	322.83
2032-33	74.88	74.88
Total	1,091.77	1,091.77

22.5 Loan Repayable on Demand

22.5.1 Working capital borrowings pertaining to the company amounting to ₹181.94 million (As at March 31, 2021 ₹Nil) from consortium banks are secured by way of first ranking pari passu charge by way of hypothecation of Company's stocks of Raw Material, Finished Goods, Stock-in-Process, Stores, Spares, Components, Trade receivables, outstanding Money Receivables, Claims, Bills, Contract, Engagements, Securities both present and future and further secured by second ranking pari passu charge over companies movable and immovable property (all Property, Plant & Equipment) both present and future.

Short Term Rupee loan pertaining to erstwhile subsidiary company OMPL amounting to ₹ 5,000.00 million (As at March 31, 2021 ₹ Nil) is sanctioned by earmarking existing Overdraft Limit of a Bank which is secured by way of first pari passu charge on inventories, receivables and other current assets and second pari passu charge on the fixed assets of the erstwhile subsidiary company OMPL.

22.6 NonConvertible Debentures (NCD):

Unsecured Redeemable Non-Convertible Fixed Rate Debentures (Privately Placed):

Sl. No.	ISIN	Face Value Per Debenture (₹)	Date of Allotment	As at 31-03-2022	Coupon Rate	Maturity [refer note 22.17 below]	
						Amount	Date
1	INE103A08027	10,00,000	13-Jan-20	4,999.50	6.64%	5,000.00	14-Apr-23
2	INE103A08019	10,00,000	13-Jan-20	9,997.64	7.40%	10,000.00	12-Apr-30
3	INE103A08035	10,00,000	29-Jan-20	10,592.83	7.75%	10,600.00	29-Jan-30
4	INE103A08043	10,00,000	29-Dec-20	12,165.24	6.18%	12,170.00	29-Dec-25
5	INE103A08050	10,00,000	29-Dec-21	11,996.74	7.48%	12,000.00	14-Apr-32
	Total			49,751.95		49,770.00	

22.7 Unsecured Compulsorily Convertible Debentures (CCDs) :

22.7.1 The erstwhile Subsidiary Company OMPL had allotted 1,000 Compulsorily Convertible Debentures (CCDs) of ₹10 million each on March 5, 2020 through private placement. Company has issued CCDs in 3 different series. Series I Debentures consists of ₹2,500 million with Coupon Rate of 8.35% p.a., Series II Debentures consists of ₹2,500 million with Coupon Rate of 8.50% p.a. and Series III Debentures consists of ₹5,000 million with Coupon Rate of 8.75% p.a. Interest for all the three series of debentures to be served on quarterly basis.

22.7.2 Coupon Rate of Series I Debenture was subject to annual reset with interest rate linked to 364 days Treasury bill. The interest rate has been reset on March 5, 2022 from 6.91% to 7.82% p.a.. Coupon rate for series II and series III CCDs are fixed over the tenure of debentures.

22.7.3 Under Transaction Document of CCDs, the erstwhile Subsidiary Company OMPL had obligation to timely service the interest to investors. Further, CCDs were backed by undertaking from Sponsor Companies i.e. ONGC and MRPL to ensure payment of Coupon amount on debentures in case erstwhile Subsidiary Company OMPL fails to do so.

22.7.4 Tenor of CCDs was 36 months from Deemed Date of Allotment, with mandatory Put / Call Option at the end of the 35th month. The Sponsors (in the ratio of ONGC - 49% and MRPL - 51%) to mandatorily acquire all the CCDs from the investors at the end of 35th month from the date of allotment.

22.7.5 The Company (MRPL) was nominated by ONGC to buyout CCDs of ₹4,900 million for which backstop support was given by ONGC. Considering the amalgamation process, CCDs issued by erstwhile Subsidiary Company OMPL were acquired by the company on March 30, 2022 by exercising Accelerated Buyout Option. As per scheme of amalgamation filed with Ministry of Corporate Affairs (MCA) upon amalgamation becoming effective CCDs stand extinguished and cancelled in entirety without any consideration and without any further act or deed [refer note 50].

22.8 Rupee term loan from bank :

22.8.1 Term loan - 1 taken by the Company amounting to ₹2,343.00 million (As at March 31, 2021 ₹Nil) carries variable rate of interest which was linked to RBI Repo Rate plus spread (Interest rate as at March 31, 2022 is 5.75%).

22.8.2 Term loan-2 taken by the erstwhile subsidiary company OMPL amounting to ₹9,870.22 million (As at March 31, 2021 ₹9,868.16 million) carries variable rate of interest which was linked to G-Sec linked lending rate (Interest rate as at March 31, 2022 is 6.35% and Interest rate as at March 31, 2021 was 6.25%).

22.8.3 Repayment schedule of Term Loan is as follows:

Year of repayment [refer note 22.17 below]	As at March 31, 2022	As at March 31, 2021
2023-24	3,703.18	3,703.18
2024-25	4,937.57	4,937.57
2025-26	1,234.39	1,234.39
2026-27	2,343.00	-
Total	12,218.14	9,875.14

22.9 Foreign Currency Term Loan (FCNR)

22.9.1 FCNR (B) Capex Loan taken by the company carries variable rate of interest which is six months USD Libor plus spread (Interest rate as at March 31, 2022 is 2.29% and interest rate as at March 31, 2021 was 1.70%).

22.9.2 Repayment schedule of Foreign Currency Term Loan (FCNR) is as follows:

Year of repayment [refer note 22.17 below]	As at March 31, 2022	As at March 31, 2021
2023-24	6,442.79	6,214.78
2024-25	1,136.96	-
Total	7,579.75	6,214.78

22.10 Foreign Currency Borrowings (FCTL)

22.10.1 Foreign Currency Borrowings taken by the erstwhile subsidiary company OMPL is USD denominated Loan and carries variable rate of interest, which is six month Libor based plus spread (Interest Rate as at March 31, 2022 is 2.13% and Interest rate as at March 31, 2021 was 2.25%).

22.10.2 Repayment schedule of Foreign Currency Term Loan (FCTL) is as follows:

Year of repayment [refer note 22.17 below]	As at March 31, 2022	As at March 31, 2021
2022-23	11,369.63	10,967.25
Total	11,369.63	10,967.25

22.11 Working capital Term Loan from Banks - ECB :

22.11.1 External Commercial Borrowing taken by the Company are USD denominated loans and carries variable rate of interest which is six month USD Libor plus spread (Interest rate as at March 31, 2022 is 2.56 % and as at March 31, 2021 was 1.54%).

22.11.2 Repayment schedule of Working Capital loan ECB is as follows:

Year of repayment [refer note 22.17 below]	As at March 31, 2022	As at March 31, 2021
2023-24	75.80	73.12
2024-25	30,243.20	29,172.88
2025-26	11,369.63	10,967.25
Total	41,688.63	40,213.25

22.12 Deferred Payment Liabilities - From Government of Karnataka :

22.12.1 Deferred payment liability against tax payable under Central Sales Tax (CST) represents amount payable on account of "Interest free loan" received from Govt. of Karnataka. This sum of the deferred CST loan against Central Sales Tax (CST) shall be repayable in five equal annual instalments without interest after the closure of deferment period.

22.12.2 The benefit of a Government loan at a below-market rate of interest is treated as a government grant (Ind AS 20). The Interest free loan is recognised and measured in accordance with Ind AS 109, Financial Instruments. The benefit of the Interest free loan is measured as the difference between the initial carrying value of the loan determined in accordance with Ind AS 109, and the proceeds received. The benefit is accounted for in accordance with this Standard.

22.12.3 Repayment schedule of Deferred Payment Liabilities - From Government of Karnataka is as follows:

Year of repayment [refer note 22.17 below]	As at March 31, 2022	As at March 31, 2021
2025-26	17.27	-
2026-27	17.27	-
2027-28	17.27	-
2028-29	17.27	-
2029-30	17.27	-
Total	86.35	-

22.13 Foreign currency Term loan (FCTL) :

22.13.1 Foreign Currency Term Loan was taken by the company are USD denominated loans, repayable within one year from the date of each disbursement and carries variable rate of interest which is three month USD Libor plus spread.

22.14 Bill Discounting Facility :

22.14.1 Unsecured Bill discounting facility against Non LC bill drawn on erstwhile Subsidiary Company "ONGC Mangalore Petrochemicals Limited" (OMPL) (Interest rate as at March 31, 2022 is 4.20% and March 31, 2021 was 4.50%).

22.15 Other Working Capital Loan :

22.15.1 Unsecured short term working capital loan from bank amounting to ₹21,136.40 million (As at March 31, 2021 ₹15,405.00 million) (Interest rate as at March 31, 2022 is in range of 3.88% to 4.00% and March 31, 2021 was in range of 4.10% to 4.25%).

22.15.2 Unsecured Short Term Rupee loan from Banks pertaining to erstwhile subsidiary company OMPL amounting to ₹17,213.47 million (As at March 31, 2021 ₹ 16,158.32 million) (Interest rate as at March 31, 2022 is in the range of 4.10% to 4.20% and interest rate as at March 31, 2021 was in the range of 4.25% to 4.50%).

22.16 Commercial Paper

22.16.1 The Commercial paper issued is unsecured fixed rate short term debt instrument.

22.17 The repayment schedules disclosed above are based on contractual cash outflows and hence will not reconcile to carrying amounts of such borrowings which are accounted at amortised cost.

23 Other Financial Liabilities

Particulars	As at March 31, 2022		As at March 31, 2021	
	Non Current	Current	Non Current	Current
Unclaimed dividends [refer note 23.1 below]	-	248.98	-	249.36
Interest accrued but not due	-	877.86	-	657.73
Deposits from suppliers/ contractors/others	-	493.81	-	532.85
Payable against capital goods [refer note 23.2 below]	-	3,426.60	-	2,977.47
Liability for employees	-	977.30	-	299.36
Other liabilities relating to customers and vendors	-	1,572.84	-	1,608.19
Unspent CSR Liability [refer note 36.3 (c)]	-	119.45	-	216.77
Bills Payable [refer note 23.3 below]	-	-	-	3,258.96
Total	-	7,716.84	-	9,800.69

23.1 No amount is due for payment to the Investor Education Protection Fund.

23.2 Price reduction schedule

Payable against capital goods includes ₹203.67 million (As at March 31, 2021 ₹242.28 million) relating to amounts withheld from vendors pursuant to price reduction schedule which will be settled on finalisation of proceedings with such vendors. When the withheld amounts are ultimately finalised, the related adjustment is made to the Property, Plant and Equipment prospectively.

23.3 Towards bills payable in respect of purchases drawn by Holding Company.

24 Provisions

Particulars	As at March 31, 2022		As at March 31, 2021	
	Non Current	Current	Non Current	Current
Provision for employee benefits [refer note 40]				
(a) Leave encashment	1,368.45	98.36	1,133.12	90.34
(b) Post retirement medical and other benefits	127.85	4.01	128.66	3.66
(c) Gratuity	109.83	2.45	98.67	3.32
Contingency for Probable Obligation [refer note 40.2.2]	-	220.40	-	-
Others [refer note 24.1 below]	-	4,463.09	-	5,441.60
Total	1,606.13	4,788.31	1,360.45	5,538.92

24.1 Others include provision for Excise duty on closing stock
Movement for the year 2021-22

Particulars	Excise duty on closing stock
Opening Balance as at April 1, 2021	5,441.60
Less: Reduction on account of provision reversal	5,441.60
Add: Additions during the year	4,463.09
Closing Balance as at March 31, 2022	4,463.09

The Company estimates provision based on substantial degree of estimation for excise duty payable on clearance of goods lying in stock as on March 31, 2022 ₹4,463.09 million (As at March 31, 2021 ₹ 5,441.60 million) and has included it in other provision. This provision is expected to be settled when the goods are removed from the factory premises.

25 Deferred Tax Asset/ (Liabilities) (Net)

Statement showing the movement in Deferred Tax Assets/ (Liabilities):

Particulars	As at March 31, 2022	As at March 31, 2021
Deferred Tax Assets	63,424.39	54,541.41
Deferred Tax Liabilities	(42,423.57)	(40,765.97)
Deferred Tax Asset/ (Liability) -Net	21,000.82	13,775.44

FY 2021-22	Opening balance	Recognised in Profit or Loss	MAT credit entitlement related to previous year	Recognised in Other Comprehensive Income	Closing balance
Deferred Tax Liabilities in relation to					
Property, Plant and Equipment	(40,744.57)	(1,667.27)	-	-	(42,411.84)
Intangible Assets	(9.70)	6.00	-	-	(3.70)
Others	(11.70)	3.67	-	-	(8.03)
Total	(40,765.97)	(1,657.60)	-	-	(42,423.57)
Tax effect of items constituting Deferred Tax Assets					
Other Liabilities	255.83	171.30	-	-	427.13
Brought forward business losses and unabsorbed depreciation	36,651.80	3,795.83	-	-	40,447.63
MAT credit entitlement	17,256.25	4,772.89	-	-	22,029.14
Right of Use Assets net of Lease Liability	19.77	15.99	-	-	35.76
Financial and Other Assets	340.23	124.07	-	-	464.30
Inventories	17.53	2.90	-	-	20.43
Remeasurement of the Defined Benefit Plans	-	16.91	-	(16.91)	-
Total	54,541.41	8,899.89	-	(16.91)	63,424.39
Deferred Tax Asset / (Liability) (Net)	13,775.44	7,242.29	-	(16.91)	21,000.82

FY 2020-21	Opening balance	Recognised in Profit or Loss	MAT credit entitlement related to previous year	Recognised in Other Comprehensive Income	Closing balance
Deferred Tax Liabilities in relation to					
Property, Plant and Equipment	(40,604.51)	(140.06)	-	-	(40,744.57)
Intangible Assets	(14.03)	4.33	-	-	(9.70)
Others	(12.20)	0.50	-	-	(11.70)
Total	(40,630.74)	(135.23)	-	-	(40,765.97)
Tax effect of items constituting Deferred Tax Assets					
Other Liabilities	71.17	184.66	-	-	255.83
Brought forward business losses and unabsorbed depreciation	35,171.22	1,480.58	-	-	36,651.80
MAT credit entitlement	17,245.39	-	10.86	-	17,256.25
Right of Use Assets net of Lease Liability	27.45	(7.68)	-	-	19.77
Financial and Other Assets	340.47	(0.24)	-	-	340.23
Inventories	22.13	(4.60)	-	-	17.53
Remeasurement of the Defined Benefit Plans	-	11.21	-	(11.21)	-
Total	52,877.83	1,663.93	10.86	(11.21)	54,541.41
Deferred tax asset / (liability) (net)	12,247.09	1,528.78	10.86	(11.21)	13,775.44

25.1 In accordance with Ind AS 12 - Income Taxes, the Company has recognised deferred tax asset for all deductible temporary differences and also for carry-forward of unused tax losses and unused tax credits. The recognition of Deferred Tax Asset (DTA) is based on the probability of earning sufficient taxable profits in the future years as projected by the management (duly considering capacity utilization and price realisation) against which the deductible temporary difference and carry forward of unused tax losses and unused tax credits can be utilised. Deferred Tax asset has been recognised net of deferred tax liability.

25.2 Pursuant to the Scheme of Amalgamation of erstwhile subsidiary company ONGC Mangalore Petrochemicals Limited (OMPL) ('Amalgamating Company') into and with the Company ('Amalgamated Company') effective from the appointed date i.e. April 1, 2021, the financial statements of the Company for the year ended March 31, 2022 has been prepared giving effect to the amalgamation as per the requirements of the applicable Indian Accounting Standards [refer note 50].

Pursuant to the amalgamation, the unused tax losses and unused tax credits of the amalgamating company becomes unused tax losses and unused tax credits of the amalgamated company (i.e. the Company) for the financial year 2021-22 and the Company is entitled to carry forward such unused tax losses and unused tax credits in accordance with the provisions of the Income Tax Act, 1961. Hence, the Company has reassessed and recognised the Deferred Tax Assets on such unused tax losses and unused tax credits based on the probability of earning sufficient taxable profits in the future years as projected by the management for the amalgamated entity in line with Ind AS 12 - Income Taxes. This has resulted in increase in the Deferred Tax Assets by ₹14,554.27 million for the year ended March 31, 2022 (₹ Nil for the year ended March 31, 2021).

26. Trade Payables

Particulars	As at March 31, 2022	As at March 31, 2021
Total outstanding dues of micro enterprises and small enterprises	366.26	316.43
Total outstanding dues of creditors other than micro enterprises and small enterprises	93,305.48	39,714.88
Total	93,671.74	40,031.31

26.1 Trade payables include ₹20,793.60 million (As at March 31, 2021 of ₹ Nil) for which ONGC has given guarantees on behalf of the Company.

26.2 The average credit period on purchases of crude, stores and spares, other raw material, services, etc. ranges from 7 to 60 days (Year ended March 31, 2021 ranges from 7 to 60 days). Thereafter, interest is charged upto 6.75% per annum (Year ended March 31, 2021 upto 6.75% per annum) over the relevant bank rate as per respective arrangements on the outstanding balances. The Company has financial risk management policies in place to ensure that all payables are paid within the pre-agreed credit terms.

26.3 Disclosure relating to dues to Micro, Small and Medium Enterprises

	Particulars	As at March 31, 2022	As at March 31, 2021
i	The principal amount and the interest dues thereon (to be shown separately) remaining unpaid to any supplier at the end of the year	366.26	316.43
ii	The amount of interest paid by the buyer in terms of section 16 of the Micro, Small and Medium Enterprises Development Act, 2006 (27 of 2006), along with the amount of the payment made to the supplier beyond the appointed day during each accounting year	-	-
iii	The amount of interest dues and payable for the period of delay in making payment (which have been paid but beyond the appointed day during the year) but without adding the interest specified under the Micro, Small and Medium Enterprises Development Act, 2006.	-	-
iv	The amount of interest accrued and remaining unpaid at the end of each accounting year	-	-
v	The amount of further interest remaining dues and payable even in the succeeding years, until such date when the interest dues above are actually paid to the small enterprise, for the purpose of disallowance of a deductible expenditure under section 23 of the Micro, Small and Medium Enterprises Development Act, 2006.	-	-

26.4 Trade Payables Ageing

Particulars	As at March 31, 2022					
	Outstanding for following periods from due date of payment					
	Unbilled	Not Due	Less than 1 Year	1 Year to 2 Years	2 Years to 3 Years	More than 3 Years
MSME	248.68	101.86	15.72	-	-	-
Others	810.98	92,272.63	186.46	20.94	0.80	5.16
Disputed Dues - MSME	-	-	-	-	-	-
Disputed Dues - Other	-	8.51	-	-	-	-
Total	1,059.66	92,383.00	202.18	20.94	0.80	5.16
						93,671.74

Particulars	As at March 31, 2021					
	Outstanding for following periods from due date of payment					
	Unbilled	Not Due	Less than 1 Year	1 Year to 2 Years	2 Years to 3 Years	More than 3 Years
MSME	-	305.31	11.12	-	-	-
Others	837.43	38,215.57	347.72	6.77	3.03	304.36
Disputed Dues - MSME	-	-	-	-	-	-
Disputed Dues - Others	-	-	-	-	-	-
Total	837.43	38,520.88	358.84	6.77	3.03	304.36
						40,031.31

27. Other Liabilities

Particulars	As at March 31, 2022		As at March 31, 2021	
	Non-current	Current	Non-current	Current
Revenue received in advance	-	0.92	-	1.04
Liability for gratuity	-	49.11	-	235.84
[refer note 27.1 below and 40]	-	2,649.22	-	2,898.45
Liability for statutory payments	-	1,545.76	-	671.13
Others	-	212.81	-	202.86
Deferred Government Grant	3,274.36		3,448.43	
[refer note 5.2, 22.4.2 & 22.12.2]				
Total	3,274.36	4,457.82	3,448.43	4,009.32

27.1 Net amount payable to Gratuity Trust.

28. Revenue from operations

	Particulars	Year ended March 31, 2022	Year ended March 31, 2021
28.1	Sales		
	Petroleum Products	860,357.53	495,462.68
	Crude Oil and Other Products	5.20	11,931.73
	Total	860,362.73	507,394.41
28.2	Other operating revenues		
	Sale of scrap	238.73	393.77
	Facilitation charges	0.09	-
	Price Reduction Schedule	13.92	26.22
	Export Incentives	21.37	143.72
	Total	274.11	563.71
	Grand Total	860,636.84	507,958.12

29. Other Income

	Particulars	Year ended March 31, 2022	Year ended March 31, 2021
29.1	Interest on:		
	Contractor mobilisation advance	45.02	56.76
	Others	172.69	16.26
	Financial assets measured at amortised cost :		
	- Bank deposits	38.41	0.89
	- Direct marketing customers	21.12	18.18
	- Employee loans	76.15	88.24
	Total	353.39	180.33
29.2	Dividend income from:		
	Investment in mutual funds (measured at FVTPL)	-	4.00
	Investment in Shell MRPL Aviation Fuels and Services Limited (measured at cost)	45.00	37.50
29.3	Other non-operating income		
	Royalty income	8.57	8.17
	Liability no longer required written back	179.89	184.94
	Excess provisions written back	64.25	106.93
	Tender form sale	8.42	-
	Hire charges	8.51	13.60
	Recoveries from employees	13.15	11.51
	Amortisation of Deferred Government Grant / Guarantee	206.04	196.60
	Gain on fair valuation of financial instruments [refer Note 29.4]	1.96	-
	Miscellaneous receipts	138.49	262.49
	Total	629.28	784.24
	Grand Total	1,027.67	1,006.07

29.4 Towards gain on sale of investments of mutual funds of ₹1.96 million (Year ended March 31, 2021 of ₹ Nil).

30. Cost of Materials Consumed

Particulars	Year ended March 31, 2022	Year ended March 31, 2021
Raw material: Crude oil		
Imported	5,21,427.97	2,31,939.38
Indigenous	1,12,781.97	59,759.87
Raw material: Others		
Imported	1,010.88	-
Indigenous	766.82	81.73
Lube Oil - Indigenous	0.68	0.56
Total	6,35,988.32	2,91,781.54

31 Purchases of Stock-in-Trade

Particulars	Year ended March 31, 2022	Year ended March 31, 2021
Crude Oil & Other Products	5.12	11,931.73
Total	5.12	11,931.73

32 Changes in Inventories of Finished Goods, Stock-in-Progress & Scrap

	Particulars	Year ended March 31, 2022	Year ended March 31, 2021
32.1	Closing stock		
	Finished goods	31,074.49	21,395.74
	Stock-in-process	15,088.41	11,275.34
	Scrap	241.14	-
	Total closing stock	46,404.04	32,671.08
32.2	Opening stock		
	Finished goods	21,395.74	13,662.03
	Stock-in-process	11,275.34	5,160.99
	Scrap	-	-
	Total opening stock	32,671.08	18,823.02
	Net (Increase) / Decrease (Opening - Closing)	(13,732.96)	(13,848.06)

33 Employee Benefits Expense

Particulars	Year ended March 31, 2022	Year ended March 31, 2021
Salaries and wages	5,560.92	4,280.91
Contribution to provident and other funds [refer note 33.1 and 40.2.2]	1,052.40	1,204.97
Post-retirement benefits - medical and others [refer note 33.2]	39.90	42.45
Staff welfare expenses	322.94	254.36
Total	6,976.16	5,782.69

- 33.1 Includes ₹220.41 million for the year ended March 31, 2022 (Year ended March 31, 2021 ₹ Nil) towards Provident Fund contribution for likely future interest shortfall on portfolio basis.
- 33.2 Includes ₹21.87 million for the year ended March 31, 2022 (Year ended March 31, 2021 ₹19.79 million) towards Gratuity expenses of erstwhile subsidiary company OMPL which is unfunded [refer note 40].

34. Finance Costs

Particulars	Year ended March 31, 2022	Year ended March 31, 2021
Finance expense for financial liabilities measured at amortised cost		
- From Banks	3,820.78	4,308.24
- From Others [refer note 34.1]	4,834.02	3,957.46
	8,654.80	8,265.70
Finance Cost on Lease Liabilities	110.83	102.28
Financial guarantee charges	20.79	7.41
Exchange differences regarded as an adjustment to borrowing costs	3,286.67	(2,830.67)
Total	12,073.09	5,544.72

- 34.1 Includes interest as per Income Tax Act, 1961 for the year ended March 31, 2022 for an amount of ₹185.63 million (Year ended March 31, 2021 of ₹ Nil).

35. Depreciation and Amortisation Expense

Particulars	Year ended March 31, 2022	Year ended March 31, 2021
Depreciation of Property, Plant and Equipment [refer note 5]	10,599.83	11,311.14
Depreciation of Right-of-Use Assets [refer note 6]	239.96	235.13
Amortisation of Intangible Assets [refer note 10]	37.45	34.08
Total	10,877.24	11,580.35

36. Other Expenses

Particulars	As at March 31, 2022		As at March 31, 2021	
Power, Utility and Fuel [refer note 36.1 below]	69,800.61		35,184.18	
Less : Consumption of Fuel from own production	64,858.09	4,942.52	33,053.36	2,130.82
Repairs and maintenance				
- Plant and Machinery	4,202.78		4,349.45	
- Buildings	0.52		0.95	
- Others	672.76	4,876.06	715.48	5,065.88
Consumption of Stores, spares and chemicals		1,970.67		1,499.27
Consumption of Packing materials		386.85		225.55
Rent [refer note 36.4 below]		38.50		40.99
Insurance		595.08		445.44
Rates and Taxes		1,256.12		2,322.23
Excise Duty on Stock (Net) [refer note 36.2 below]		(849.20)		3,511.29
Exchange Rate Fluctuation loss/ (gain) (Net)		2,557.27		(1,171.55)
Director's sitting fees		1.94		2.02
Loss on sale/ disposal of Property, Plant and Equipment		88.77		71.66
Bank charges		47.75		36.21

Particulars	Year ended March 31, 2022		Year ended March 31, 2021	
Payment to auditors				
Audit fees	3.47		3.15	
For taxation matters	0.64		0.68	
For certification fees	2.53		2.44	
Reimbursement of expenses	0.77	7.41	0.24	6.51
Corporate Social Responsibility Expenses (CSR) [refer note 36.3 below]		-		470.40
Provision/ Impairment for:				
Doubtful Trade Receivables	5.77		8.88	
Doubtful Advances / Deposits	-		0.71	
Slow/non-moving Inventories	38.61	44.38	3.23	12.82
Write Offs:				
Doubtful trade receivables	-		0.04	
Claims/ Advances / Others	41.39	41.39	3.77	3.81
Miscellaneous expenses		2,722.60		2,301.27
Total		18,728.11		16,974.62

36.1 The company has generated a total of 10,683,169 Kwh of Solar power for the year ended March 31, 2022 (Year ended March 31, 2021 a total of 10,631,356 Kwh) and the same are captively consumed. The monetary values of such power generated that are captively consumed are not recognised for the purpose of disclosure in the financial statement.

36.2 Excise Duty on sale of goods has been included in "Revenue from operations". Despite increase in sales of petroleum products for the current year, the Excise duty on sale of goods is lower mainly on account of decrease in excise duty rate. Excise duty shown above represents the difference between excise duty on opening and closing stock of finished goods.

36.3 The CSR expenditure comprises the following:

(a) Gross amount required to be spent by the Company during the year: ₹Nil million (Year ended March 31, 2021 ₹ 470.40 million).

(b) Amount spent during the year on:

Particulars	Year ended March 31, 2022		
	In Cash	Yet to be paid in cash	Total
i) Construction/acquisition of Assets	96.06	-	96.06
ii) Purposes other than (i) above	1.26	-	1.26
Total	97.32	-	97.32

Particulars	Year ended March 31, 2021		
	In Cash	Yet to be paid in cash	Total
i) Construction/acquisition of Assets	159.42	61.57	220.99
ii) Purposes other than (i) above	31.82	0.82	32.64
Total	191.24	62.39	253.63

(c) Disclosure pursuant to amendments to section 135(5) and 135(6) of Companies Act, 2013 :-

In case of Section 135(5) unspent amount (other than ongoing projects)				
Opening Balance as on 01.04.2021	Amount deposited in specified Fund of Sch. VII within 6 months	Amount required to be spent during the year 2021-22	Amount spent during the year 2021-22	Closing Balance as on 31.03.2022
Nil	Nil	Nil	Nil	Nil

In case of Section 135(5) Excess amount spent			
Opening Balance as on 01.04.2021	Amount required to be spent during the year 2021-22	Amount spent during the year 2021-22	Closing Balance as on 31.03.2022
Nil	Nil	Nil	Nil

In case of Section 135(6) (Ongoing Project)							
Year	Opening Balance		Amount required to be spent during the year	Amount spent during the year		Closing Balance	
	With Company#	In separate CSR Unspent A/c		From Company's bank A/c	From separate CSR Unspent A/c	With Company	In separate CSR Unspent A/c
2020-21	216.77	Nil	216.77	Nil	97.32	Nil	119.45

An amount of ₹ 216.77 million representing unspent money on ongoing projects as at March 31, 2021 has been transferred to Specified Bank account on April 30, 2021.

36.4 Rent (Lease expenses) relating to short-term leases, low value leases and variable lease payment are given below:

Particulars	Year ended March 31, 2022
i) Short Term Leases	7.06
ii) Leases for Low Value Assets	1.06
iii) Variable Lease Payments not included in lease liabilities	30.38
Total	38.50

Particulars	Year ended March 31, 2021
i) Short Term Leases	7.85
ii) Leases for Low Value Assets	0.55
iii) Variable Lease Payments not included in lease liabilities	32.59
Total	40.99

36.5 Exceptional Items (Income) / expenses (net) :

Particulars	Year ended March 31, 2022	Year ended March 31, 2021
Stamp Duty pursuant to amalgamation [refer note 50]	300.00	-
Total	300.00	-

37. Income Taxes related to Continuing Operations

37.1 Income Tax recognised in Statement of Profit and Loss

Particulars	Year ended March 31, 2022	Year ended March 31, 2021
Current Tax	4,772.89	(10.86)
Deferred Tax	(7,242.29)	(1,528.70)
Total	(2,469.40)	(1,539.56)

37.2 The Income Tax expenses reconciliations with the accounting profit are as follows:

Particulars	Year ended March 31, 2022	Year ended March 31, 2021
Profit before tax from continuing operations	27,083.34	(9,151.21)
Income tax expense calculated at 34.944% (2020-21: 34.944%)	9,464.00	(3,197.80)
Effect of income exempt from tax [Including exemption under section 10AA of Income Tax Act, 1961]"	(72.95)	1,137.29
Effect of investment allowance u/s 32AC of Income Tax Act, 1961	0.09	4.33
Effect of expenses not deductible in determining taxable profit	90.88	182.99
Effect of recognition of Prior year tax of previous year	-	(10.86)
Effect of change in deferred tax balance due to true up adjustments	(11,951.42)	344.49
Income tax expense recognised in profit or loss	(2,469.40)	(1,539.56)

37.3 Income tax recognised in Other Comprehensive Income

Particulars	Year ended March 31, 2022	Year ended March 31, 2021
Deferred tax		
Arising on income and expenses recognised in Other Comprehensive Income:		
Remeasurement of Defined Benefit Obligation	(16.91)	(11.21)
Total income tax recognised in Other Comprehensive Income	(16.91)	(11.21)
Bifurcation of the income tax recognised in Other Comprehensive Income into:-		
Items that will not be reclassified to profit or loss	(16.91)	(11.21)
Items that will be reclassified to profit or loss	-	-

38. Earnings per Equity Share :

Particulars	Year ended March 31, 2022	Year ended March 31, 2021
Profit after tax for the year attributable to Equity shareholders	29,552.74	(7,611.65)
Weighted average number of equity shares (Number in million)	1,752.60	1,752.60
Basic and Diluted earnings per equity share (₹)	16.86	(4.34)
Face Value per equity share (₹)	10.00	10.00

39. Leases

39.1 Obligations under finance leases

39.1.1 The Company has adopted Ind AS 116 'Leases' effective April 1, 2019. The Company has entered into lease agreements for lands which have been classified as finance leases and the same is now disclosed as Right of Use Assets (ROU). The ownership of the lands will be transferred to the Company at the end of the lease term with nominal payment of administrative charges. The lease term ranges from 5 to 44 years.

Financial lease obligation as at March 31, 2022 is immaterial (As at March 31, 2021: immaterial).

39.2 Operating lease arrangements

39.2.1 Leasing arrangements

The Company has adopted Ind AS 116 'Leases' effective April 1, 2019. The Company has entered into arrangements for right of way for pipelines and lease of land which have been classified as operating leases and the same is now disclosed as Right of Use Assets (ROU). The lease period for right of way ranges from 11 months to 30 years and for leases of land ranges from 11 months to 99 years. In case of leasehold land, the Company does not have option to purchase the land at the end of the lease period. Generally, the lease arrangements for land requires Company to make upfront payments at the time of the execution of the lease arrangement with annual recurring charges with escalations in annual lease rentals.

39.2.2 Payments recognized as an expense

The Company has adopted Ind AS 116 'Leases' effective April 1, 2019 and wherever the lease is short term lease, lease for low value assets or having variable lease payments are not included in lease liabilities.

Particulars	As at March 31, 2022	As at March 31, 2021
Minimum Rent (lease expenses)	38.50	40.99
Total	38.50	40.99

39.2.3 Non-cancellable operating lease commitments

The Company does not have any non-cancellable lease arrangements.

40. Employee Benefits

With regard to amalgamation of erstwhile subsidiary company ONGC Mangalore Petrochemicals Limited (OMPL) with the company as per the scheme of amalgamation approved by Ministry of Corporate Affairs (MCA), as Human Resource (HR) integration with respect to amalgamation is in progress, the Employee Benefits Expense including Actuarial valuation and the corresponding disclosures in this regard have been provided separately for both the companies.

Considering the above, possible impact of the changes could not be quantified and disclosed at this juncture.

(i) **The employee benefit disclosures of the company excluding the erstwhile subsidiary company ONGC Mangalore Petrochemicals Limited (OMPL) are as follows :-**

40.1 Post-Employment benefits

40.1.1 Defined Contribution Plans

The amounts recognized in the Financial Statements for Defined Contribution Plans are as under:

Defined Contribution Plans	Amount recognized during the year		Contribution for Key Management Personnel	
	Year ended March 31, 2022	Year ended March 31, 2021	Year ended March 31, 2022	Year ended March 31, 2021
Employer's contribution to Superannuation Fund	305.85	300.82	1.32	1.28

40.1.2 Defined benefit plans

40.1.2.1 Brief Description: A general description of the type of Defined benefit plans are as follows:

a) Gratuity:

15 days salary for every completed year of service. Vesting period is 5 years and the payment is restricted to ₹2 million. Besides the ceiling of gratuity increase by 25% whenever IDA rises by 50%.

The MRPL Gratuity Fund Trust was formed on 20th April, 2007 and investments of the funds received from the company after actuarial valuation and the investment of the funds upto June 28, 2013 was made in the manner prescribed by Income tax Rule 67(1) of the Income Tax Rules, 1962 as amended from time to time.

The Funds of MRPL Gratuity Fund Trust after June 28, 2013 is being invested in Group Gratuity Cash Accumulation Scheme (Traditional Fund) in LIC, Bajaj Allianz, HDFC Standard Life Insurance Co., Aditya Birla Sunlife Insurance co, India First Life Insurance Co. and SBI Life Insurance Co.

b) Post-Retirement Medical Benefits:

After retirement, on payment of one time lump sum contribution, the superannuated employee and his/her dependent spouse and dependent parents will be covered for medical benefit as per the rules of the Company.

c) Resettlement Allowance:

At the time of superannuation, employees are entitled to settle at a place of their choice and they are eligible for Settlement Allowance.

40.1.2.2 These plans typically expose the Company to actuarial risks such as: investment risk, interest rate risk, longevity risk and salary risk.

Investment risk	The present value of the defined benefit plan liability (denominated in Indian Rupee) is calculated using a discount rate which is determined by reference to market yields at the end of the reporting period on government bonds; if the return on plan asset is below this rate, it will create a plan deficit. Currently it has a relatively balanced mix of investments in government securities, insurance investment and other debt instruments.
Interest risk	A decrease in the bond interest rate will increase the plan liability; however, this will be partially offset by an increase in the return on the plan's debt investments.
Longevity risk	The present value of the defined benefit plan liability is calculated by reference to the best estimate of the mortality of plan participants both during and after their employment. An increase in the life expectancy of the plan participants will increase the plan's liability.
Salary risk	The present value of the defined benefit plan liability is calculated by reference to the future salaries of plan participants. As such, an increase in the salary of the plan participants will increase the plan's liability.

No other post-retirement benefits are provided to these employees.

In respect of the plans, the most recent actuarial valuation of the plan assets and the present value of the defined benefit obligation were carried out as at March 31, 2022 by a member firm of the Institute of Actuaries of India. The present value of the defined benefit obligation, and the related current service cost and past service cost, were measured using the projected unit credit method. The liabilities for Defined Benefit Plans are recognized and charged to Statement of Profit and Loss.

40.1.2.3 The principal assumptions used for the purposes of the actuarial valuations were as follows.

Sl. No.	Particulars	As at March 31, 2022	As at March 31, 2021
	Gratuity(Funded)		
1	Expected return on plan assets	7.27%	6.90%
2	Rate of discounting	7.27%	6.90%
3	Rate of salary increase	7.50%	7.50%
4	Rate of employee turnover	2.00%	2.00%
5	Mortality rate during employment	Indian Assured lives Mortality (2012-14) Urban	Indian Assured lives Mortality (2006-08) Ultimate
	Post-Retirement Medical Benefits		
1	Rate of discounting	7.40%	6.90%
2	Medical cost inflation	0.00%	0.00%
3	Rate of employee turnover	2.00%	2.00%
4	Mortality rate during employment	Indian Assured lives Mortality (2012-14) Urban	Indian Assured lives Mortality (2006-08) Ultimate
5	Mortality rate after employment	Indian Individual AMT (2012-15)	Indian Individual AMT (2012-15)

Sl. No.	Particulars	As at March 31, 2022	As at March 31, 2021
	Resettlement Allowance:		
1	Rate of discounting	7.40%	6.90%
2	Rate of salary increase	7.50%	7.50%
3	Rate of employee turnover	2.00%	2.00%
4	Mortality rate during employment	Indian Assured lives Mortality (2012-14) Urban	Indian Assured lives Mortality (2006-08) Ultimate

The rate of discounting based upon the market yield available on Government bonds at the accounting date with a term that matches. The salary growth takes account inflation, seniority, promotion and other relevant factor on long term basis. Expected rate of return on plan assets is based on market expectation, at the beginning of the year, for return over the entire life of the related obligation.

40.1.2.4 Amounts recognised in statement of profit and loss in respect of these defined benefit plans are as follows: Gratuity:

Particulars	Year Ended March 31, 2022	Year Ended March 31, 2021
Service Cost :		
Current service cost	55.56	38.60
Past service cost and (gain)/loss from settlements		
Net interest expense	17.18	10.69
Past Service Cost	-	237.25
Components of defined benefit costs recognised in employee benefit expenses	72.74	286.54
Remeasurement on the net defined benefit liability:		
Return on plan assets excluding amounts included in net interest cost	(12.54)	(9.52)
Actuarial (gains) / losses arising from changes in demographic assumptions	(1.01)	-
Actuarial (gains) / losses arising from changes in financial assumptions	(91.55)	23.94
Actuarial (gains) / losses arising from experience adjustments	84.68	(52.03)
Components of Remeasurement	(20.42)	(37.61)
Total	52.32	248.93

Post-Retirement Medical Benefits:

Particulars	Year Ended March 31, 2022	Year Ended March 31, 2021
Service Cost		
Current service cost	6.66	5.32
Net interest expense	7.38	6.53
Components of defined benefit costs recognised in employee benefit expenses	14.04	11.85
Remeasurement on the net defined benefit liability:		
Actuarial (gains) / losses arising from changes in demographic assumptions	(0.20)	7.16
Actuarial (gains) / losses arising from changes in financial assumptions	(7.70)	(0.63)
Actuarial (gains) / losses arising from experience adjustments	6.52	1.90
Components of Remeasurement	(1.38)	8.43
Total	12.66	20.28

Resettlement Allowance:

Particulars	Year ended March 31, 2022	Year ended March 31, 2021
Service Cost		
Current service cost	1.43	1.44
Net interest expense	1.17	1.17
Components of defined benefit costs recognised in employee benefit expenses	2.60	2.61
Remeasurement on the net defined benefit liability:		
Actuarial (gains) / losses arising from changes in demographic assumptions	0.01	-
Actuarial (gains) / losses arising from changes in financial assumptions	(1.14)	(0.10)
Actuarial (gains) / losses arising from experience adjustments	1.79	(1.43)
Components of Remeasurement	0.66	(1.53)
Total	3.26	1.08

The current service cost, the net interest expense and past service cost for the year are included in the 'Employee benefits expense' line item in the statement of profit and loss.

The remeasurement of the net defined benefit liability is included in other comprehensive income. The components of remeasurement of net defined benefit liability recognised in other comprehensive income is ₹ 21.14 million (previous year ₹ 30.71 million).

40.1.2.5 Movements in the present value of the defined benefit obligation are as follows:**Gratuity:**

Particulars	As at March 31, 2022	As at March 31, 2021
Opening defined benefit obligation	1,424.74	1,123.55
Current service cost	55.56	38.60
Past Service Cost	-	237.25
Interest cost	98.32	77.08
Remeasurement (gains)/losses:		
Actuarial gains and losses arising from changes in demographic assumptions	(1.01)	
Actuarial gains and losses arising from changes in financial assumptions	(91.55)	23.94
Actuarial gains and losses arising from experience adjustments	84.68	(52.03)
Benefits paid	(52.94)	(23.65)
Closing defined benefit obligation	1,517.80	1424.74
Current obligation	52.32	248.93

Post-Retirement Medical Benefits:

Particulars	As at March 31, 2022	As at March 31, 2021
Opening defined benefit obligation	106.97	95.22
Current service cost	6.66	5.23
Interest cost	7.38	6.53
Remeasurement (gains)/losses:		
Actuarial gains and losses arising from changes in demographic assumptions	(0.20)	7.16

Particulars	As at March 31, 2022	As at March 31, 2021
Actuarial gains and losses arising from changes in financial assumptions	(7.70)	(0.63)
Actuarial gains and losses arising from experience adjustments	6.52	1.90
Benefits paid	(14.03)	(8.53)
Closing defined benefit obligation	105.60	106.97
Current obligation	3.41	3.11
Non-Current obligation	102.19	103.86

Resettlement Allowance:

Particulars	As at March 31, 2022	As at March 31, 2021
Opening defined benefit obligation	16.94	17.08
Current service cost	1.43	1.44
Interest cost	1.17	1.17
Remeasurement (gains)/losses:		
Actuarial gains and losses arising from changes in demographic assumptions	0.01	-
Actuarial gains and losses arising from changes in financial assumptions	(1.14)	(0.10)
Actuarial gains and losses arising from experience adjustments	1.79	(1.43)
Benefits paid	(4.65)	(1.22)
Closing defined benefit obligation	15.55	16.94
Current obligation	0.51	0.49
Non-Current obligation	15.04	16.45

40.1.2.6 The amount included in the Balance sheet arising from the entity's obligation in respect of its defined benefit plan is as follows :

Gratuity:

Particulars	As at March 31, 2022	As at March 31, 2021
Present value of funded defined benefit obligation	(1,517.80)	(1,424.74)
Fair value of plan assets	1,465.48	1,175.81
Funded status	(52.32)	(248.93)
Net liability arising from defined benefit obligation	(52.32)	(248.93)

The amounts included in the fair value of plan assets of gratuity fund in respect of Company's own financial instruments and any property occupied by, or other assets used by the reporting enterprise are ₹ Nil (As at March 31, 2021 ₹ Nil)

Post-Retirement Medical Benefits and Resettlement allowances are unfunded plans, and no plan assets are involved.

40.1.2.7 Movements in the fair value of the plan assets are as follows :

Gratuity:

Particulars	As at March 31, 2022	As at March 31, 2021
Opening fair value of plan assets	1,175.81	967.65
Interest income	81.13	66.38
Return on plan assets (excluding amounts included in net interest expense)	12.55	9.52
Contributions by the employer	248.93	155.91
Benefits paid	(52.94)	(23.65)
Closing fair value of plan assets	1,465.48	1175.81

Expected Contribution (Net) in respect of Gratuity for next year will be ₹49.11 million (For the year ended March 31, 2021 ₹ 235.84 million)

The Company has recognized a gratuity liability of ₹52.32 million as at March 31, 2022 (As at March 31, 2021 ₹ 248.93 million).

40.1.2.8 The fair value of the plan assets at the end of the reporting period for each category, are as follows:

Fair value of plan assets as at

Particulars	As at March 31, 2022	As at March 31, 2021
Cash and Cash equivalents	0.01	0.03
Mutual Fund-UTI Treasury Fund	22.12	20.34
Debt investment categorised by issuer's credit rating		
AAA	10.07	10.08
AA+	1.02	1.02
AA	18.02	18.03
AA-	1.00	1.00
A+	2.00	2.00
D	2.00	2.00
Group Gratuity Cash Accumulation Scheme (Traditional Fund)		
Life Insurance Corporation of India	323.55	230.27
Bajaj Allianz	255.14	215.68
HDFC Standard Life Insurance Co.	280.20	216.74
Aditya Birla Sunlife Insurance Co.	168.01	134.99
India First Life Insurance Co.	167.14	134.17
SBI Life Insurance Co.	49.01	-
Investment in Government Securities	86.63	120.63
Other current assets - Interest Accrued	79.56	68.83
Total	1,465.48	1,175.81

The actual return on plan assets of gratuity was ₹ 81.13 million (As at March 31, 2021 ₹66.38 million).

Significant actuarial assumptions for the determination of the defined benefit obligations are discount rate and expected salary increase. The sensitivity analyses below have been determined based on reasonably possible changes of the respective assumptions occurring at the end of the reporting period, while holding all other assumptions constant.

40.1.2.9 Sensitivity Analysis as at March 31, 2022

Significant actuarial assumptions	Gratuity	Post-Retirement Medical Benefits	Resettlement Allowance
Rate of discounting			
- Impact due to increase of 50 basis points	(73.71)	(6.93)	(1.03)
- Impact due to decrease of 50 basis points	79.85	7.70	1.14
Rate of salary increase			
- Impact due to increase of 50 basis points	72.72	-	-
- Impact due to decrease of 50 basis points	(72.68)	-	-
Rate of Employee turnover			
- Impact due to increase of 50 basis points	7.65	(2.61)	
- Impact due to decrease of 50 basis points	(8.03)	2.36	
Future Cost Escalation			
- Impact due to increase of 50 basis points	-	-	1.13
- Impact due to decrease of 50 basis points	-	-	(1.03)

Sensitivity Analysis as at March 31, 2021

Significant actuarial assumptions	Gratuity	Post-Retirement Medical Benefits	Resettlement Allowance
Rate of discounting			
- Impact due to increase of 50 basis points	(72.76)	(7.41)	(1.19)
- Impact due to decrease of 50 basis points	79.05	8.27	1.32
Rate of salary increase			
- Impact due to increase of 50 basis points	76.70	-	-
- Impact due to decrease of 50 basis points	(73.31)	-	-
Rate of Employee turnover			
- Impact due to increase of 50 basis points	3.70	(3.00)	-
- Impact due to decrease of 50 basis points	(3.80)	2.76	-
Future Cost Escalation			
- Impact due to increase of 50 basis points	-	-	1.31
- Impact due to decrease of 50 basis points	-	-	(1.19)

The sensitivity analysis presented above may not be representative of the actual change in the defined benefit obligation as it is unlikely that the change in assumptions would occur in isolation of one another as some of the assumptions may be correlated.

Furthermore, in presenting the above sensitivity analysis, the present value of the defined benefit obligation has been calculated using the projected unit credit method at the end of the reporting period, which is the same as that applied in calculating the defined benefit obligation liability recognised in the balance sheet.

40.1.2.10 Following are the details relating to the defined benefit plans that have a significant bearing on Company's future cash flows:
Gratuity:

Particulars	As at March 31, 2022	As at March 31, 2021
Number of active members	1,917	1,939
Per month salary for active members	205.62	185.30
Weighted average duration of the Projected Benefit Obligation (years)	12	12
Average Expected future service (years)	15	16
Defined benefit obligation	1,517.80	1424.74
Contribution to the defined benefit plan during the next financial year	104.68	185.30

Post-Retirement Medical Benefits:

Particulars	As at March 31, 2022	As at March 31, 2021
Number of active members	1,917	1,939
Number of retired employees	152	138
Weighted average duration of the Projected Benefit Obligation (years)	15	16
Average expected future service (years)	17	18
Average Future Term	30	30
Defined benefit obligation	105.60	106.99

Resettlement Allowance:

Particulars	As at March 31, 2022	As at March 31, 2021
Number of active members	1,917	1,939
Weighted average duration of the Projected Benefit Obligation (years)	16	16
Average expected future service (years)	15	16
Average Future Term	30	30
Defined benefit obligation	15.55	16.94

40.1.2.11 Maturity Profile for Defined Benefit Obligations

Defined Benefits	As at March 31, 2022	As at March 31, 2021
Gratuity		
Less than one year	78.56	66.73
One to Three years	134.79	129.49
Three to Five years	196.10	149.23
Five years to Ten years	669.39	610.84
Post-Retirement Medical Benefits		
Less than one year	3.41	3.11
One to Three year	7.22	6.72
Three to Five years	8.59	7.79
Five years to Ten years	32.13	28.74
Resettlement Allowance		
Less than one year	0.51	0.49
One to Three years	0.87	0.91
Three to Five years	1.06	1.00
Five years to Ten years	3.20	3.22

40.2 Other long term employee benefits**40.2.1 Leave encashments**

A brief description on Leave encashments are as follows:

a) Earned Leave Benefit (EL):

Accrual – 32 days per year

Accumulation up to 300 days allowed

EL accumulated in excess of 15 days is allowed for encashment while in service provided the EL encashed is not less than 5 days.

b) Half Pay Leave (HPL)

Accrual – 20 days per year

Encashment while in service is not allowed

Encashment on retirement is permitted; restricted up to 300 days along with Earned leave.

The liability for above leaves (a & b) are recognized on the basis of actuarial valuation.

40.2.2 Provident Fund :

A brief description on Provident Fund is as follows:

- (a) Provident Fund is governed through a separate trust. The board of trustees of the Trust functions in accordance with any applicable guidelines or directions that may be issued in this behalf from time to time by the Central Government or the Central Provident Fund Commissioner. The board of trustees have the following responsibilities :

- i. The investments shall be made in accordance with the pattern of investment prescribed by the Government of India in Rule 67 of Income Tax Rules, 1962, and /or directions given by the Central Government, from time to time.
 - ii. The Board of Trustees may raise such sum or sums of money as may be required for meeting obligatory expenses such as settlement of claims, grant of advances as per rules, and transfer of member's P.F. | accumulations in the event of his / her leaving service of the Employer and any other receipts by sale of the securities or other investments standing in the name of the Fund subject to the prior approval of the Regional Provident Fund Commissioner.
 - iii. Fixation of rate of interest to be credited to members' accounts.
- (b) The long term employee benefit of Provident Fund is administered through a separate Trust, established for this purpose in accordance with The Employee Provident Fund and Miscellaneous Provisions Act, 1952. The Company's contribution to the Provident Fund is remitted to this trust based on a fixed percentage of the eligible employee's salary and charged to Statement of Profit and Loss. During the year, the Company has recognized Employer's contribution to Provident Fund in the Statement of Profit and Loss are given below:

Particulars	Amount recognized during the year		Contribution for Key Management Personnel	
	Year ended March 31, 2022	Year ended March 31, 2021	Year ended March 31, 2022	Year ended March 31, 2021
Employer's contribution to Provident Fund	291.37	293.02	1.44	1.41

- (c) Under the Statute, the shortfall, if any, in the interest obligation in comparison to minimum rate of return declared by Government of India will have to be made good by the Employer and therefore, for the financial year 2021-22, an amount of ₹ 82.21 million (Year ended March 31, 2021 ₹ 28.72 million) has been provided and charged to Statement of Profit and Loss. On reporting date, the Trust investments included few Non-convertible Debentures of certain companies, amounting to ₹295.30 million (Year ended March 31, 2021 ₹ 347.30 million) which have witnessed default in meeting interest obligations in financial year 2020-21, which continued in financial year 2021-22. In anticipation of probable default in principal repayment, Provident Fund Trust had marked down these investments by 70% in its books in financial year 2020-21, which continues to be the true and fair valuation as of 31.03.2022 as per management assessment. Thus, no additional provision (Year ended March 31, 2021 ₹ 243.11 million) is warranted during this financial year.
- (d) The fair value of the assets of Provident Fund Trust as of Balance Sheet date and the Present Value of the benefits obligations is given below.

Particulars	As at March 31, 2022	As at March 31, 2021
Fair value of Plan assets at the end of the year	6,250.65	5,520.25
Present value of the obligations at the end of the year	6,471.06	5,472.05
Interest shortfall provided	220.41	-

40.3 Termination Benefits :

40.3.1 Premature Retirement on Medical Grounds

The Company has an approved scheme of Premature Retirement on Medical Grounds. Ex gratia payment equivalent 60 days emolument for each completed year of service or the monthly emoluments at the time of retirement multiplied by the balance months of service left before normal date of retirement, whichever is less is payable apart from Superannuation Benefits.

40.3.2 Scheme for Self Insurance for providing lump-sum monetary compensation

Under the scheme of 'Post Retirement Benefit and Benefit on Separation', in case of employee suffering death or permanent total disablement due to an accident arising out of and in the course of employment, a compensation equivalent to 100 months Basic Pay plus Dearness Allowance (DA) without laying down any minimum amount is payable.

40.3.3 Benefits of Separation under SABF (re-nomenclatured now as MDCPS)

In case of death / permanent disablement of an employee while in service in the Company, the beneficiary has to exercise desired options available within 6 months from the date of death / permanent total disablement.

40.3.4 Terminal benefits are unfunded plans, and no plan assets are involved.

40.3.5 Termination Benefits are charged to Statement of Profit and Loss as and when incurred.

(II) The employee benefit disclosures of the erstwhile subsidiary company ONGC Mangalore Petrochemicals Limited (OMPL) are as follows :-**40.4 Defined benefit plans**

40.4.1 Brief Description: A general description of the type of employee benefits plans is as follows:

40.4.2 Gratuity:

15 days salary for every completed year of service. Vesting period is 5 years and the payment is restricted to maximum of ₹ 2 million.

40.4.3 Post-Retirement Medical Benefits:

After retirement, on payment of one time lump sum contribution, the superannuated employee and his/her dependent spouse will be covered for medical benefit as per the rules of the Company.

40.4.4 This plans typically expose the Company to actuarial risks such as: interest rate risk, longevity risk and salary risk.

Interest Rate risk	A decrease in the bond interest rate will increase the plan liability.
Longevity risk	The present value of the defined benefit plan liability is calculated by reference to the estimate of the mortality of plan participants both during and after their employment. increase in the life expectancy of the plan participants will increase the plan's liability.
Salary risk	The present value of the defined benefit plan liability is calculated by reference to the future salaries of plan participants. As such, an increase in the salary of the plan participants will increase the plan's liability.

In respect of gratuity, the actuarial valuation was carried out as at March 31, 2022 by M/s. K. A. Pandit Consultants and Actuaries, Fellow firm of the Institute of Actuaries of India. The present value of the defined benefit obligation, the related current service cost and past service cost, were measured using the projected unit credit method.

40.4.5 The principal assumptions used for the purposes of the actuarial valuations were as follows:

Sl. No.	Particulars	As at March 31, 2022	As at March 31, 2021
	Gratuity		
1	Discount rate	7.33%	6.96%
2	Annual increase in salary	7.50%	8.00%
3	Employee turnover	2.00%	2.00%
	Post-Retirement Medical Benefits		
4	Discount rate	7.40%	6.91%
5	Medical cost inflation	0.00%	0.00%
6	Rate of employee turnover	2.00%	2.00%

The discount rate is based upon the market yield available on government bonds at the accounting date with a term that matches. The salary growth takes account inflation, seniority, promotion and other relevant factor on long term basis.

40.4.6 Amounts recognised in statement of profit and loss in respect of these defined benefit plans are as follows:

Particulars	Year Ended March 31, 2022	Year Ended March 31, 2021
Gratuity		
Current service cost	14.77	13.99
Past service cost	-	-
Net interest expense	7.10	5.80
Components of defined benefit costs recognised in profit or loss	21.87	19.79
Re-measurement on the net defined benefit liability:		
Actuarial (gains)/losses arising for the period	(9.52)	(1.57)
Components of remeasurment recognised in the other comprehensive income	(9.52)	(1.57)
Total	12.35	18.22

Particulars	Year Ended March 31, 2022	Year Ended March 31, 2021
Post-Retirement Medical Benefits:		
Current service cost	0.90	0.8
Past service cost	-	6.85
Net interest expense	0.58	0.47
Components of defined benefit costs recognised in profit or loss	1.48	8.19
Re-measurement on the net defined benefit liability:		
Actuarial (gains)/losses arising for the period	0.92	0.21
Components of remeasurment recognised in the other comprehensive income	0.92	0.21
Total	2.40	8.40

40.4.7 Movements in the present value of the defined benefit obligation are as follows:

Particulars	As at March 31, 2022	As at March 31, 2021
Gratuity:		
Opening defined benefit obligation	101.99	85.02
Current service cost	14.77	13.99
Past service cost	-	-
Interest cost	7.10	5.80
Benefit paid directly by the employer	(2.06)	(1.25)
Re-measurement (gains)/losses:		
Actuarial gains and losses arising from changes in demographic and financial assumptions	(13.54)	(2.26)
Actuarial gains and losses arising from experience adjustments	4.02	0.69
Closing defined benefit obligation	112.28	101.99
Current obligation	2.45	3.32
Non-Current obligation	109.83	98.67

Particulars	As at March 31, 2022	As at March 31, 2021
Post-Retirement Medical Benefits:		
Opening defined benefit obligation	8.40	-
Current service cost	0.90	0.87
Past service cost	-	6.88
Interest cost	0.58	0.47
Benefit paid directly by the employer	(0.08)	(0.03)
Re-measurement (gains)/losses:		
Actuarial gains and losses arising from changes in demographic and financial assumptions	0.47	(0.17)
Actuarial gains and losses arising from experience adjustments	0.45	0.38
Closing defined benefit obligation	10.72	8.40
Current obligation	0.10	0.06
Non-Current obligation	10.62	8.34

40.4.8 The amount included in the Balance sheet arising from the entity's obligation in respect of its defined benefit plan is as follows:

Particulars	As at March 31, 2022	As at March 31, 2021
Gratuity:		
Present value of defined benefit obligation	(112.28)	(101.99)
Fair value of plan assets	-	-
Funded Status (Surplus/(Deficit)) *	(112.28)	(101.99)
Net liability arising from defined benefit obligation	(112.28)	(101.99)

Particulars	As at March 31, 2022	As at March 31, 2021
Post-Retirement Medical Benefits:		
Present value of defined benefit obligation	(10.72)	(8.40)
Fair value of plan assets	-	-
Funded Status (Surplus/(Deficit))*	(10.72)	(8.40)
Net liability arising from defined benefit obligation	(10.72)	(8.40)

* Gratuity and Post-Retirement Medical Benefits are unfunded plans, and no plan assets are involved.

40.4.9 Significant actuarial assumptions for the determination of the defined obligation are discount rate, expected salary increase and employee turnover. The sensitivity analyses below have been determined based on reasonably possible changes of the respective assumptions occurring at the end of the reporting period, while holding all other assumptions constant.

Sensitivity analysis as on March 31, 2022

Significant actuarial assumptions	Gratuity
Discount Rate	
- Impact due to increase of 50 basis points	(7.78)
- Impact due to decrease of 50 basis points	8.62
Salary increase	
- Impact due to increase of 50 basis points	6.75
- Impact due to decrease of 50 basis points	(6.53)
Employee turnover	
- Impact due to increase of 50 basis points	0.13
- Impact due to decrease of 50 basis points	(0.16)

Sensitivity analysis as on March 31, 2021

Significant actuarial assumptions	Gratuity
Discount Rate	
- Impact due to increase of 50 basis points	(7.53)
- Impact due to decrease of 50 basis points	8.38
Salary increase	
- Impact due to increase of 50 basis points	6.61
- Impact due to decrease of 50 basis points	(6.45)
Employee turnover	
- Impact due to increase of 50 basis points	(0.65)
- Impact due to decrease of 50 basis points	0.69

40.4.10 Sensitivity analysis as on March 31, 2022

Significant actuarial assumptions	Post-Retirement Medical Benefits
Discount Rate	
- Impact due to increase of 50 basis points	0.92
- Impact due to decrease of 50 basis points	1.04

Sensitivity analysis as on March 31, 2021

Significant actuarial assumptions	Post-Retirement Medical Benefits
Discount Rate	
- Impact due to increase of 50 basis points	(0.79)
- Impact due to decrease of 50 basis points	0.90

Sensitivity analysis is an analysis which will give the movement in liability if the assumptions were not proved to be true on different count. This only signifies the change in the liability if the difference between assumed and the actual is not following the parameters of the sensitivity analysis.

Furthermore, in presenting the above sensitivity analysis, the present value of the defined benefit obligation has been calculated using the projected unit credit method at the end of the reporting period, which is the same as that applied in calculating the defined benefit obligation liability recognised in the balance sheet.

41 Segment Reporting

The Company has “Petroleum Products” as single reportable segment.

41.1 Information about major customers

Company’s significant revenues are derived from sales to oil marketing companies which is 52% and 69% of the Company's sales related to petroleum products for the year ending March 31, 2022 & March 31, 2021 respectively. The total sales to such companies amounted to ₹4,51,302.90 million for the year ended March 31, 2022 and ₹350,501.95 million for the year ended March 31, 2021.

No customer (excluding oil marketing companies mentioned above) for the years ended March 31, 2022 and March 31, 2021 contributed 10% or more to the Company’s revenue.

41.2 Information about geographical areas:

- a) The Company is domiciled in India. The amount of its revenue from customers broken down by location of customers is tabulated below:

Particulars	Year ended March 31, 2022	Year ended March 31, 2021
India	5,46,926.05	4,20,934.79
Other Countries	3,13,436.68	86,459.62
Total	8,60,362.73	5,07,394.41

- b) Non-current assets (excluding financial assets and deferred tax assets) broken down by location of customers is tabulated below:

Particulars	Year ended March 31, 2022	Year ended March 31, 2021
India	2,23,428.81	2,29,202.15
Other Countries	-	-
Total	2,23,428.81	2,29,202.15

41.3 Revenue from major products

The following is an analysis of the Company's revenue from continuing operations from its major products:

Particulars	Year ended March 31, 2022	Year ended March 31, 2021
High speed Diesel (HSD)	4,46,184.67	2,94,571.28
Motor Spirit (MS)	1,52,841.01	71,457.67
Total	5,99,025.68	3,66,028.95

Threshold limit of 10% of total turnover of each product is considered for reporting revenue from major products.

42 Related Party Disclosure**42.1 Name of related parties and description of relationship:**

- A Entity having control over the Company (Holding Company)**
Oil and Natural Gas Corporation Limited (ONGC)
- B Entity having significant influence over the Company**
Hindustan Petroleum Corporation Limited (HPCL)
- C Joint Ventures**
Shell MRPL Aviation Fuels and Services Limited (SMAFSL)
- D Trusts (including post retirement employee benefit trust) where in MRPL is having control**
- 1 MRPL Gratuity Fund Trust
 - 2 MRPL Provident Fund Trust
 - 3 MRPL Education Trust
 - 4 MRPL Janaseva Trust
- E.1 Non-Executive Director**
- 1 Dr. Alka Mittal, Chairperson from January 11, 2022
 - 2 Shri Subhash Kumar, Chairperson from April 05, 2021 till December 31, 2021

E.2 Other Non-Executive Directors

- 1 Shri Om Prakash Singh, Nominee Director (ONGC), from June 07, 2021
- 2 Shri Vinod S. Shenoy, Nominee Director (HPCL)
- 3 Shri Rohit Mathur, Director (Govt. Nominee)
- 4 Smt. Esha Srivastava, Director (Govt. Nominee)
- 5 Shri R T Agarwal, Independent Director
- 6 Shri Rajkumar Sharma, Independent Director, From November 15, 2021
- 7 Smt. Nivedida Subramanian, Independent Director, From November 15, 2021
- 8 Shri Manohar Singh Verma, Independent Director, From November 15, 2021
- 9 Shri Pankaj Gupta, Independent Director, From November 15, 2021

F Key Management Personnel
F.1 Executive Directors

- 1 Shri M. Venkatesh, Managing Director
- 2 Smt. Pomila Jaspal, Director (Finance)
- 3 Shri Sanjay Varma, Director (Refinery)

F.2 Chief Financial Officer

- 1 Smt. Pomila Jaspal, Director (Finance) & CFO

F.3 Company Secretary

- 1 Shri K B Shyam Kumar, Company Secretary, from May 17, 2021
- 2 Shri Dinesh Ranjan Mishra, Company Secretary, till May 02, 2021

G Other Related Parties of erstwhile subsidiary company ONGC Mangalore Petrochemicals Limited (OMPL) [refer note no. 50]
G.1 Non-Executive directors of erstwhile subsidiary company ONGC Mangalore Petrochemicals Limited (OMPL)

- 1 Smt Alka Mittal, Chairperson (w.e.f. 11th January 2022)
- 2 Shri Subhash Kumar, Chairperson (up to 31st December 2021)
- 3 Shri Shashi Shanker, Chairperson (up to 31st March 2021)
- 4 Shri M. Venkatesh, Director (w.e.f. 01st April 2015)
- 5 Smt Pomila Jaspal, Director (w.e.f. 26th November 2019)
- 6 Shri Anurag Sharma, Director (w.e.f. 05th June 2020)
- 7 Shri Sanjay Varma, Director (w.e.f. 26th June 2020)
- 8 Shri Om Prakash Singh, Director (w.e.f. 07th June, 2021)
- 9 Shri Pankaj Kumar, Director (w.e.f. 11th January, 2022)
- 10 Shri Sanjay Kumar Moitra, Director (up to 31st May 2020)
- 11 Shri Vinayakumar, Director (up to 31st May 2020)
- 12 Shri Rajesh Shyamsunder Kakkar, Director (up to 30th April 2021)
- 13 Smt. Pomila Jaspal, Director (up to 18th April 2022)

G.2 Key Management Personnel of erstwhile subsidiary company ONGC Mangalore Petrochemicals Limited (OMPL)

- 1 Shri Pidaparthi Prakash Chainulu, Chief Executive Officer (w.e.f. 1st July, 2021)
- 2 Shri Sujir S Nayak, Chief Executive Officer (up to 30th June 2021)
- 3 Shri Surinder Pal Singh Chawla, Chief Financial Officer (Secondment from holding company w.e.f. 23rd October, 2020)
- 4 Shri. Surendra Nayak, Chief Financial Officer (Secondment from holding company upto 30th September, 2020)
- 5 Shri Vikram Manjunath Shriyan, Company Secretary (w.e.f. 23rd July 2021)
- 6 Shri K.B. Shyam Kumar, Company Secretary (up to 12th May 2021)

42.2 Details of Transactions:**42.2.1 Transactions with Holding Company**

Oil and Natural Gas Corporation Limited (ONGC)	Nature of Transactions	Year ended March 31, 2022	Year ended March 31, 2021
Sales of products	Sale of products and associated services	11,045.49	10,243.33
Purchases of Crude	Purchase of Crude Oil etc.	72,108.16	39,254.75
Services received	a) Deputation of ONGC Employees b) Rent and Electricity Charges for Mumbai and Delhi Office & reimbursement of expenses & bill discounting charges	- 87.11	- 129.24
Guarantee Fees	Charges for Guarantee given to Saudi Aramco	23.06	9.73
Dividend	Dividend Paid	-	-
OMPL stake purchase	OMPL stake purchase by MRPL from ONGC	-	12,167.34

During the year the company has been nominated by ONGC for buyout of Compulsorily Convertible Debentures (CCDs) issued by erstwhile subsidiary company OMPL to the extent originally back stopped by ONGC amounting to ₹ 4,900.00 million [refer Note 22.7].

42.2.2 Outstanding balances with Holding Company

Oil and Natural Gas Corporation Limited (ONGC)	Nature of Transactions	As at March 31, 2022	As at March 31, 2021
Amount receivable	Sale of products & associated services	640.28	552.11
Amount payable	Purchase of Crude Oil	6,845.76	2,904.94
Amount payable	Others for expenses	35.39	13.69
Advance	Product Purchase/ Start Up	4.23	-
Commitments	On account of bill discounting of invoices raised by ONGC on MRPL with recourse to ONGC	-	3,258.96

42.2.3 Transactions with Entity having significant influence over the Company

Hindustan Petroleum Corporation Limited (HPCL)	Nature of Transactions	Year ended March 31, 2022	Year ended March 31, 2021
Sales	Sale of Oil products etc.	288,084.84	247,324.63
Services provided	a) Loading arm, pipeline charges etc. b) Reimbursement of Expenses, facilitation charges c) Receipts of contaminated products, Hospitality Charges, Wharfage etc.	- 6.37 1,163.07	- 5.66 7.87
Dividend	Dividend Paid	-	-

42.2.4 Outstanding balances with Entity having significant influence over the Company

Hindustan Petroleum Corporation Limited (HPCL)	Nature of Transactions	As At March 31, 2022	As At March 31, 2021
Amount receivable	Sale of Oil products etc.	15,231.27	13,956.40
	Others reimbursements	-	22.19
Amount payable	Others for expenses	2.90	0.32

42.2.5 Transactions with Joint Ventures:

Shell MRPL Aviation Fuels and Services Ltd. (SMAFSL)	Nature of Transactions	Year Ended March 31, 2022	Year Ended March 31, 2021
Sales of products	Petroleum Products	6,071.23	2,226.71
Purchase of products	Contaminated Petroleum Products & reimbursement of expenses	-	0.14
Services provided	a) Reimbursement of Expenses	-	-
	b) Royalty Income & reimbursement towards Oxygen Plant	11.10	9.15
Dividend Income	Dividend received	45.00	37.50

42.2.6 Outstanding balances with Joint Ventures:

Shell MRPL Aviation Fuels and Services Ltd. (SMAFSL)	Nature of Transactions	As At March 31, 2022	As At March 31, 2021
Amount receivable	Sales, Royalty and Terminalling Charges etc.	872.11	342.32

42.2.7 Transactions with Other Related Parties Associates :

Name of Associates	Nature of Transactions	Year Ended March 31, 2022	Year Ended March 31, 2021
a) Services received from:			
1. Mangalore SEZ Limited	River Water, STP Water, Road Repairs and Lease Rent	961.84	1,165.67
2. Petronet MHB Limited	Pipeline Transportation Charges & other expenses	59.99	23.57
3. ONGC Videsh Ltd.	Purchase of Crude Oil etc.	-	3,197.02
b) Sale of Products to:			
1. OPAL	Sale of Petroleum Products	1,874.02	-
c) Services provided to:			
1. Petronet MHB Limited	Reimbursement of Electricity Charges etc.	31.17	18.14

42.2.8 Outstanding balances with Other Related Parties Associates :

Name of Associates	Nature of Transactions	As At March 31, 2022	As At March 31, 2021
Amount receivable:			
1. Petronet MHB Limited	Reimbursement of Electricity Charges etc.	5.31	0.01
2. ONGC Nile Ganga BV	Outstanding on account of services	0.12	0.12
3. ONGC Campos Ltda	Outstanding on account of services	0.10	0.10
Advance:			
1. ONGC Videsh Ltd.	Crude Oil	0.01	0.01
2. Mangalore SEZ Limited	Security deposit (Power)	15.40	15.40
	Security deposit (Water)	3.13	3.13
	Security deposit (Zone O&M)	9.38	9.38
Amount payable:			
1. Mangalore SEZ Limited	River Water, STP Water and Road Repairs etc.	71.19	119.16
2. Petronet MHB Limited	Pipeline Transportation Charges and other expenses	8.63	2.46
3. ONGC Videsh Ltd.	Balance Outstanding on account of Crude procurement etc.	-	0.14

42.2.9 Transactions with Trusts

Name of Trusts	Nature of Transactions	Year ended March 31, 2022	Year ended March 31, 2021
Remittance of payments:			
Provident Fund of MRPL	Contributions	681.16	684.86
Provident Fund of MRPL	Contribution to the Provident Fund based the shortfall	82.21	271.83
MRPL Education Trust	Contribution to the MRPL Education Trust based the shortfall	54.7	49.85
MRPL Janaseva Trust	Contribution to the MRPL Janaseva Trust based the shortfall	62.85	49.68
MRPL Gratuity Fund Trust	Reimbursements from Trust to MRPL	52.94	23.65
MRPL Gratuity Fund Trust	Contributions from MRPL to Trust	52.32	248.93
MRPL Education Trust	Services rendered	2.54	2.77
MRPL Janaseva Trust	Services rendered	4.05	3.49

42.2.10 Outstanding balances with Trusts

Name of Trusts	Nature of Transactions	As At March 31, 2022	As At March 31, 2021
Amount Payable:			
Provident Fund of MRPL	Amount payable to PF Trust towards shortfall	82.21	271.83
MRPL Gratuity Fund Trust	Contribution payable to Trust (Net)	49.11	235.84
MRPL Janaseva Trust	Contribution to the MRPL Janaseva Trust based the shortfall	4.78	1.99
Amount Receivable:			
MRPL Janaseva Trust	Services rendered	2.14	-
Advance to:			
MRPL Janaseva Trust	Contribution to the MRPL Janaseva Trust based the shortfall	0.06	-

42.2.11 Compensation to Key Management Personnel:

Whole Time Directors/ Company Secretary/ Chief Financial Officer	Year ended March 31, 2022	Year ended March 31, 2021
Particulars		
Short Term employee benefits	31.96	44.79
Post-employment benefits (includes provision for leaves, gratuity and other post retirement benefits)	24.99	23.05
Other long-term benefits (includes contribution to provident fund)	4.83	6.43
Total	61.78	74.27

Loans / Accrued Interest on Loan to directors and other officers:

Whole Time Directors/ Company Secretary/ Chief Financial Officer	As At March 31, 2022	As At March 31, 2021
Particulars		
Loans to Director and Company Secretary	-	5.14
Accrued interest on Loans to Director and Company Secretary	-	0.47
Total	-	5.61

Independent Directors

Particulars	Year Ended March 31, 2022	Year Ended March 31, 2021
Sitting Fees	1.94	2.02

42.3 Disclosure in respect of Government related entities [refer note 42.3.4 below]:

42.3.1 Name of Government related entities and description of relationship wherein significant amount of transactions were carried out:

Government related entities	Relation
1 Bharat Petroleum Corporation Ltd (BPCL)	Central PSU
2 Indian Oil Corporation Limited (IOCL)	Central PSU
3 Bharat Heavy Electrical Limited (BHEL)	Central PSU
4 Oriental Insurance Co. Limited	Central PSU
5 Bridge & Roof Co (India) Limited	Central PSU
6 Engineers India Limited	Central PSU
7 The Shipping Corporation of India Limited	Central PSU
8 Konkan Railway Corporation Limited	Central PSU
9 Rashtriya Chemicals and Fertilizers Limited	Central PSU
10 Gail (India) Limited	Central PSU
11 National Insurance Company Limited	Central PSU
12 Balmer Lawrie & Co. Ltd.	Central PSU
13 New India Assurance Company Limited	Central PSU
14 United India Insurance Co. Ltd.	Central PSU
15 Indian Strategic Petroleum Reserves Limited (ISPRL)	Central Government
16 Centre for High Technology	Central Government
17 Indian Railways	Central Government
18 Central Industrial Security Force	Central Government
19 Ministry of Corporate Affairs	Central Government
20 National Informatics Centre	Central Government
21 Karnataka Power Transmission Corporation Limited	State Government
22 Karnataka Industrial Area Development Board	State Government
23 Haldia Petrochemicals Limited	State Government
24 Kerala Small Industries Development Corporation Limited	State Government
25 Malabar Cements Limited	State Government
26 Member Secretary, KSPCB, Mangalore	State Government
27 MESCOM	State Government
28 Additional Chief Electrical Inspector, Mangalore	State Government
29 Karnataka State Pollution Control Board	State Government
30 New Mangalore Port Trust	Central Port Trust

42.3.2 Transactions with Government related Entities [refer note 42.3.4 below]:

	Name of entity	Nature of Transactions	Year ended March 31, 2022	Year ended March 31, 2021
A	Sale of products, others during year to:			
1	Indian Oil Corporation Limited (IOCL)	Sale of Crude Oil, Petroleum products	84,935.83	57,178.30
2	Bharat Petroleum Corporation Ltd (BPCL)	Sale of petroleum products	40,519.56	28,814.32
3	New Mangalore Port Trust	Sale of petroleum products	3.11	0.82
4	Indian Strategic Petroleum Reserves Limited (ISPRL)	Sale of Crude oil, petroleum products	0.31	22,042.85
5	Indian Railways	Sale of petroleum products	4,180.05	3,097.00
6	Haldia Petrochemicals Limited	Sale of petroleum products	4,599.29	2,915.26
7	Kerala Small Industries Development Corporation Limited	Sale of petroleum products	341.82	267.94
8	Malabar Cements Limited	Sale of petroleum products	110.02	154.42
9	Rashtriya Chemicals and Fertilizers Limited	Sale of petroleum products	399.87	91.28
B	Purchase of product during year from:			
1	Bharat Heavy Electrical Limited	Other supplies	16.35	84.11
2	Indian Oil Corporation Limited (IOCL)	Purchase of Naphtha, Contaminated Product, Lubes etc.	915.00	135.96
3	Bharat Petroleum Corporation Ltd (BPCL)	Purchase of Contaminated Product etc.	1,203.66	2.08
4	Gail (India) Limited	RLNG Procurement	1,077.23	432.83
5	Indian Strategic Petroleum Reserves Limited (ISPRL)	Purchase of Crude Oil etc.	30,137.73	988.45
C	Service Provided			
1	Indian Strategic Petroleum Reserves Limited (ISPRL)	Deputation of MRPL Employees	17.05	8.73
2	Indian Oil Corporation Limited (IOCL)	On account of Pipeline, loading arm charges etc.	-	-
D	Services Received from:			
1	Karnataka Power Transmission Corporation Limited	Purchase of electricity	0.13	196.48
2	Oriental Insurance Co. Limited	Insurance premium	497.08	400.89
3	New Mangalore Port Trust	Port Services others	1,141.76	1,125.06
4	Bridge & Roof Co (India) Limited	Job Work Service	112.46	925.14
5	Engineers India Ltd	Technical Services	47.10	92.88
6	The Shipping Corporation of India Limited	Service	2,000.64	2,204.36
7	Konkan Railway Corporation Limited	Railway Siding Freight Charges	13.49	617.33
8	Bharat Petroleum Corporation Ltd (BPCL)	PT Programme Services	-	0.12
9	Bharat Heavy Electrical Limited	Other services	25.81	24.06
10	Additional Chief Electrical Inspector, Mangalore	Captive-Power-Gen-Cpp-Solar	236.33	196.48

	Name of entity	Nature of Transactions	Year ended March 31, 2022	Year ended March 31, 2021
11	Central Industrial Security Force	Security Charges	155.49	221.91
12	Gail (India) Limited	RLNG Transmission	161.17	8.20
13	Member, Secretary, KSPCB, Mangalore	Payment of Consent Fee	104.62	-
14	MESCOM	Power Supply and Rating Fee	907.60	311.98
15	National Insurance Company Limited	Services	18.87	0.23
16	Karnataka State Pollution Control Board	Services	37.87	0.14
17	Balmer Lawrie & Co. Limited	Services	0.58	0.71
18	New India Assurance Company Limited	Services	0.05	179.70
19	National Informatics Centre	Services	0.98	-
20	United India Insurance Co. Limited	Services	0.29	0.38
E	Advance for Acquisition for Land			
1	Karnataka Industrial Area Development Board	Purchase of Land	-	7.24

42.3.3 Outstanding balances with Government related entities [refer note 42.3.4 below]:

	Name of entity	Nature of Transactions	As at March 31, 2022	As at March 31, 2021
	Advance from Customers:			
1	Kerala Small Industries Development Corporation Limited	Advance	0.06	0.45
2	Assistant Director KRIDL	Advance	0.53	-
3	Malabar Cements Limited	Advance	0.07	0.25
	Amount receivable:			
1	Indian Oil Corporation Limited	Trade and other receivable	4,934.60	1,580.07
2	Bharat Petroleum Corporation Ltd	Trade and other receivable	4,117.84	1,143.19
3	Indian Strategic Petroleum Reserves Limited (ISPRL)	Trade and other receivable	0.47	1.41
4	Indian Railways	Trade and other receivable	489.98	415.82
5	Haldia Petrochemicals Limited	Trade and other receivable	0.70	-
6	Rashtriya Chemicals and Fertilizers Limited	Trade and other receivable	85.30	17.32
	Advance to Vendors :			
1	Centre for High Technology	Advance	29.82	29.82
2	Karnataka Industrial Area Development Board	Advanced and Security Deposit for Land etc.	6,956.24	6,955.25
3	MESCOM	Advance	81.76	-
4	Central Industrial Security Force	Advance	10.75	14.99
5	New Mangalore Port Trust	Advance	232.45	221.69
6	National Insurance Company Limited	Advance	0.06	0.01
7	National Informatics Centre	Advance	-	0.47

	Name of entity	Nature of Transactions	Year ended March 31, 2022	Year ended March 31, 2021
	Amount payable:			
1	Bridge & Roof Co (India) Ltd	Trade and other payable	86.64	54.12
2	Engineers India Ltd	Trade and other payable	208.34	158.16
3	Bharat Heavy Electrical Ltd	Trade and other payable	893.03	882.59
4	The Shipping Corporation of India Ltd	Trade and other payable	270.12	-
5	Konkan Railway Corporation Limited	Trade and other payable	32.24	16.87
6	Karnataka Power Transmission Corporation Ltd	Trade and other payable	-	19.26
7	Indian Oil Corporation Limited	Trade and other payable	0.19	106.81
8	Indian Strategic Petroleum Reserves Limited (ISPRL)	Trade and other payable	116.12	-
9	Gail (India) Limited	Trade and other payable	21.34	152.27
10	Member Secretary, KSPCB, Mangalore	Trade and other payable	-	0.10
11	MESCOM	Trade and other payable	-	12.21
12	Bharat Petroleum Corporation Limited	Trade and other payable	0.01	-

The above transactions with the government related entities cover transactions that are significant individually and collectively. The Company has also entered into other transactions such as telephone expenses, air travel, fuel purchase and deposits etc. with above mentioned and other various government related entities. These transactions are insignificant individually and collectively and hence not disclosed.

42.3.4 Relationship, transactions and outstanding balances with ONGC, HPCL, PMHBL, ONGC Nile Ganga BV, OPAL and ONGC Videsh Ltd. have been disclosed in Note 42.2.1 to 42.2.8 above.

43 Financial instruments

43.1 Capital Management

The Company's objective when managing capital is to safeguard its ability to continue as going concern so that the Company is able to provide maximum return to stakeholders and benefits for other stakeholders; and maintain an optimal capital structure to reduce the cost of capital.

The Company maintains its financial framework to support the pursuit of value growth for shareholders, while ensuring a secure financial base. In order to maintain or adjust the capital structure, the Company may vary the distribution of dividends to shareholders, return capital to shareholders, issue new shares or sell assets to reduce debt.

The capital structure of the Company consists of net debt (borrowings as detailed in note 22 offset by cash and bank balances) and total equity of the Company.

The Company's management reviews the capital structure of the Company on quarterly basis. As part of this review, the management considers the cost of capital and the risks associated with each class of capital requirements and maintenance of adequate liquidity.

43.1.1 Gearing Ratio

The gearing ratio at the end of the reporting period is computed as follows:

Particulars	As at March 31, 2022	As at March 31, 2021
i) Debt *	210,851.77	238,332.78
ii) Total cash and bank balances	438.55	520.77
Less: cash and bank balances required for working capital	438.55	520.77
Net cash and bank balances	-	-
iii) Net Debt	210,851.77	238,332.78
iv) Total equity	71,963.37	42,381.04
v) Net Debt to equity ratio	2.93	5.62
* Debt is defined as long-term and short term borrowings as described in note 22		

43.2 Categories of financial instruments

Particulars	As at March 31, 2022	As at March 31, 2021
Financial assets [refer note 43.2.1 below]		
Measured at amortised cost		
(a) Trade Receivable	43,276.69	24,506.71
(b) Cash and cash equivalents	55.24	258.25
(c) Other bank balances	383.31	262.52
(d) Loans	1328.85	1224.66
(e) Other financial assets	583.89	470.15
Measured at fair value through profit and loss		
(a) Investments	4.99	4.99
Financial liabilities		
Measured at amortised cost		
(a) Borrowings	210,851.77	238,332.78
(b) Lease Liability	2,252.71	2,291.31
(c) Trade payables	93,671.74	40,031.31
(d) Other financial liabilities	7,716.84	9,800.69

43.2.1 Investments in Joint Venture has not been disclosed above as these are measured at cost less impairment, if any.

43.3 Financial risk management objectives

The Company's Risk Management Committee monitors and manages key financial risks relating to the operations of the Company by analysing exposures by degree and magnitude of risks. These risks include market risk (including currency risk and interest rate risk), credit risk and liquidity risk.

43.4 Market Risk

Market risk is the risk or uncertainty arising from possible market price movements and their impact on the future performance of a business. The major components of market risk are foreign currency exchange risk and interest rate risk.

43.5 Foreign currency risk management

The Company undertakes transactions denominated in foreign currencies, primarily for purchases of crude oil and exports sales and has borrowings denominated in foreign currency; consequently, exposures to exchange rate fluctuations arise. Significant carrying amounts of the Company's foreign currency denominated monetary assets and monetary liabilities at the end of the reporting period are as follows:

Transaction Currency	Liabilities		Assets	
	As at March 31, 2022	As at March 31, 2021	As at March 31, 2022	As at March 31, 2021
USD	187,630.99	151,982.16	16,678.00	7,105.94
EURO	51.06	6.42	-	-
CHF	0.29	0.23	-	-
GBP	1.05	2.01	-	-
JPY	2.28	-	-	-
CAD	-	0.19	-	-

43.5.1 Foreign currency sensitivity analysis

The Company is mainly exposed to the currency of United States of America (USD). Sensitivity of profit or loss arises mainly from USD denominated receivables and payables.

As per management's assessment of reasonable possible changes in the exchange rate of +/- 5% between USD-INR currency pair, sensitivity of profit or loss only on outstanding foreign currency denominated monetary items at the period end is presented below:

USD sensitivity at year end	Year ended March 31, 2022	Year ended March 31, 2021
Receivables:		
Weakening of INR by 5%	833.90	355.30
Strengthening of INR by 5%	(833.90)	(355.30)
Payables:		
Weakening of INR by 5%	(9,381.55)	(7,599.11)
Strengthening of INR by 5%	9,381.55	7,599.11

43.5.2 Forward foreign exchange contracts

The Company books short term forward contracts upto a maximum period of 30 days to the limited extent when export receivables date and import payments date do not fall within the spot date.

43.6 Interest rate risk management

The Company has availed borrowings at fixed and floating interest rates, hence is exposed to interest rate risk. The Company has not entered into any of the interest rate swaps and hence the Company is exposed to interest rate risk.

Interest rate sensitivity analysis

The sensitivity analysis below have been determined based on the exposure to interest rates at the end of the reporting period. For floating rate borrowings, the analysis is prepared assuming the amount of the borrowings outstanding at the end of the reporting period was outstanding for the whole year. A 50 basis point increase or decrease is used for disclosing the sensitivity analysis.

If interest rates had been 50 basis points higher/lower and all other variables were held constant, the Company's profit for the year ended March 31, 2022 would decrease/increase by ₹677.74 million (for the year ended March 31, 2021 : decrease/increase by ₹728.98 million). This is mainly attributable to the Company's exposure to interest rates on its variable rate borrowings (considered on closing balance of borrowings as at year end).

43.7 Credit risk management

Credit risk refers to the risk that a counter party will default on its contractual obligations resulting in financial loss to the Company. Credit risk arises from cash and cash equivalents, deposits with banks as well as customers including receivables. Credit risk management considers available reasonable and supportive forward-looking information including indicators like external credit rating (as far as available), macro-economic information (such as regulatory changes, government directives, market interest rate etc.).

Major customers comprise of public sector undertakings (Oil Marketing Companies - OMCs) having highest credit ratings and carry negligible credit risk. Concentration of credit risk to any other counterparty did not exceed 10% of total monetary assets at any time during the year.

Only high rated banks are considered for placement of deposits. Bank balances are held with reputed and creditworthy banking institutions.

43.8 Liquidity risk management

The Company manages liquidity risk by maintaining sufficient cash and cash equivalents including bank deposits and availability of funding through an adequate amount of committed credit facilities to meet the obligations when due. Management monitors rolling forecasts of liquidity position and cash and cash equivalents on the basis of expected cash flows. In addition, liquidity management also involves projecting cash flows considering level of liquid assets necessary to meet obligations by matching the maturity profiles of financial assets & liabilities and monitoring balance sheet liquidity ratios. The Company manages liquidity risk by maintaining adequate cash & credit lines and continuously monitoring forecast and actual cash flows and by matching the maturity profiles of financial assets and liabilities.

The following tables detail the Company's remaining contractual maturity for its non-derivative financial liabilities with agreed repayment periods. The tables have been drawn up based on the undiscounted cash flows of financial liabilities based on the earliest date on which the Company can be required to pay. The tables include both interest and principal cash flows. The contractual maturity is based on the earliest date on which the Company may be required to pay.

Particulars As at March 31, 2022	Weighted average effective interest rate	Less than 1 month	1 month - 1 year	1 year – 3 years	More than 3 years	Total	Gross Carrying Value
(I) Borrowings	Refer Note 22	21,758.61	46,945.10	68,327.39	74,707.11	211,738.21	210,851.77
(ii) Trade payables	Refer Note 26.2	68,048.18	25,623.56	-	-	93,671.74	93,671.74
(iii) Lease Liability		38.95	224.51	523.09	4,670.89	5,457.44	2,252.71
(iv) Other Financial Liabilities		6,608.15	1,109.83	-	-	7,717.98	7,716.84

As at March 31, 2021							
(i) Borrowings	Refer Note 22	18,669.83	62,672.38	58,441.37	99,581.86	239,365.44	238,332.78
(ii) Trade payables	Refer Note 26.2	30,773.88	9,257.43	-	-	40,031.31	40,031.31
(iii) Lease Liability		39.90	202.12	516.80	4,878.88	5,637.70	2,291.31
(iv) Other Financial Liabilities		5,628.77	4,173.20	-	-	9,801.97	9,800.69

The following table details the Company's expected maturity for its non-derivative financial assets. The table has been drawn up based on the undiscounted contractual maturities of the financial assets including interest that will be earned on those assets. The inclusion of information on non-derivative financial assets is necessary in order to understand the Company's liquidity risk management as the liquidity is managed on a net asset and liability basis.

Particulars As at March 31, 2022	Weighted average effective interest rate	Less than 1 month	1 month - 1 year	1 year – 3 years	More than 3 years	Total	Gross Carrying Value
(i) Investments		-	-	-	154.99	154.99	154.99
(ii) Loans		-	-	-	-	-	-
Loans to Employee	5.71%	12.42	142.92	296.47	872.33	1,324.14	1,324.14
Loans to Customers	8.03%	0.04	0.46	1.76	2.45	4.71	4.71
(iii) Trade Receivables	Refer note 17.1	43,045.19	231.50	-	-	43,276.69	43,276.69
(iv) Cash and Cash equivalents		55.24	-	-	-	55.24	55.24
(v) Other Bank Balances		383.31	-	-	-	383.31	383.31
(vi) Other financial assets		67.96	4.23	110.69	591.14	774.02	583.89

As at March 31, 2021							
(i) Investments		-	-	-	154.99	154.99	154.99
(ii) Loans							
Loans to Employee	7.74%	17.61	127.67	271.01	803.48	1,219.77	1,219.77
Loans to Customers	8.39%	-	0.31	1.00	3.58	4.89	4.89
(iii) Trade Receivables	Refer note 17.1	24,300.05	206.66	-	-	24,506.71	24,506.71
(iv) Cash and Cash equivalents		258.25	-	-	-	258.25	258.25
(v) Other Bank Balances		262.52	-	-	-	262.52	262.52
(vi) Other financial assets		14.65	4.16	16.22	626.34	661.37	470.15

The Company has access to financing facilities as described below, of which ₹Nil were unused at the end of the reporting period (As at March 31, 2021 ₹ 5,000 million). The Company expects to meet its other obligations from operating cash flows and proceeds of maturing financial assets.

Particulars	As At March 31, 2022	As At March 31, 2021
Bank overdraft facility payable at call :	5,000.00	5,000.00
- amount used	5,000.00	-
- amount unused	-	5,000.00

43.9 Fair value measurement

The management considers that the carrying amounts of financial assets and financial liabilities recognized in the financial statements approximate their fair values unless otherwise stated. The financial liabilities are measured as amortized cost and are classified as Level II from a fair value hierarchy perspective.

44 The Financial position of the Joint Venture is as under:

Particulars (As at March 31, 2022)	Current Assets	Non- Current Assets	Current Liabilities	Non- Current Liabilities	Total Revenue	Profit or Loss from continuing operations	Profit or Loss from discontinued operations	Other Comprehensive Income	Total Comprehensive Income
Shell MRPL Aviation Fuels and Services Limited	3,283.92	82.81	2,766.95	2.50	6,731.90	179.22	-	0.86	180.08
Total	3,283.92	82.81	2,766.95	2.50	6,731.90	179.22	-	0.86	180.08
Particulars (As at March 31, 2021)	Current Assets	Non- Current Assets	Current Liabilities	Non- Current Liabilities	Total Revenue	Profit or Loss from continuing operations	Profit or Loss from discontinued operations	Other Comprehensive Income	Total Comprehensive Income
Shell MRPL Aviation Fuels and Services Limited	1,984.11	91.79	1,563.43	5.87	2,604.95	8.00	-	0.03	8.03
Total	1,984.11	91.79	1,563.43	5.87	2,604.95	8.00	-	0.03	8.03

44.1 Additional Financial information related to Joint venture is as under:

Particulars (As at March 31, 2022)	Cash and Cash Equivalents	Current Financial Liabilities	Non- Current Financial Liabilities	Depreciation and Amortisation	Interest Income	Interest Expense	Income Tax Expense on Income
Shell MRPL Aviation Fuels and Services Limited	355.97	2,646.09	2.50	14.86	37.81	2.62	60.90
Total	355.97	2,646.09	2.50	14.86	37.81	2.62	60.90
Particulars (As at March 31, 2021)	Cash and Cash Equivalents	Current Financial Liabilities	Non- Current Financial Liabilities	Depreciation and Amortisation	Interest Income	Interest Expense	Income Tax Expense on Income
Shell MRPL Aviation Fuels and Services Limited	87.95	1,444.32	5.59	15.02	76.18	27.00	4.48
Total	87.95	1,444.32	5.59	15.02	76.18	27.00	4.48

45 Contingent liabilities and Assets :

45.1 Claims against the Company/ disputed demands not acknowledged as debt:-

Sl. No.	Particulars	As at March 31, 2022	As at March 31, 2021
1.	Claims of Contractors / vendors in Arbitration / Court Some of the contractors for supply and installation of equipment have lodged claims on the Company seeking revision of time of completion without liquidated damages, extended stay compensation and extra claims etc., which are contested by the Company as not admissible in terms of the provisions of the respective contracts. In case of unfavourable awards the amount payable that would be capitalised is ₹ 5,050.68 million / charged to revenue account would be ₹ 283.67 million (Year ended March 31, 2021 ₹ 4,806.98 million and ₹ 10.88 million).	5,334.34	4,817.86
2.	Others The claim of Mangalore SEZ Limited over and above the advance paid for land and rehabilitation & resettlement work.	20.05	20.05
	Total	5,354.39	4,837.91

In respect of all these claims, it is being contested by the Company as not admissible. It is not practicable to make a realistic estimate of the outflow of resource, if any, for settlement of such claim, pending resolution / award from Arbitrators/ Court.

45.2 Disputed tax / Duty demands pending in appeal as at 31st March, 2022

- 45.2.1** Income Tax: ₹224.05 million as at March 31, 2022 (As at March 31, 2021 ₹228.76 million). Against this ₹ Nil as at March 31, 2022 (As at March 31, 2021 ₹Nil) is adjusted / paid under protest and is included under tax assets/ liability [refer note 14].
- 45.2.2** Excise Duty: ₹7,966.52 million as at March 31, 2022 (As at March 31, 2021 ₹7,633.38 million). Against this ₹185.89 million as at March 31, 2022 (As at March 31, 2021 ₹186.39 million) is predeposit / paid under protest and is included under other assets [refer note 15].
- 45.2.3** Customs Duty: ₹996.28 million as at March 31, 2022 (As at March 31, 2021 ₹956.02 million). Against this ₹ 378.71 million as at March 31, 2022 (As at March 31, 2021 ₹379.48 million) is adjusted / paid under protest and is included under other assets [refer note 15].
- 45.2.4** There is a claim from the custom department for customs duty amounting to ₹2,121.14 million as at March 31, 2022 (As at March 31, 2021 ₹2,121.14 million) along with applicable interest and penalties totally amounting to ₹6,168.37 million as at March 31, 2022 (As at March 31, 2021 ₹6,168.37 million) in respect of classification of tariff of the reformat for the purpose of payment of import duty. An appeal has been filed before the Appellate Authority contesting the entire demand. Pending outcome of the appeal proceedings, no provision for the said demand has been made in the books [refer note 15].

45.3 Others:

As informed by a vendor company, there is a claim from the Deputy Commissioner of Commercial Tax (CT) amounting to ₹ 4,117.01 million as at March 31, 2022 (As at March 31, 2021 ₹Nil) against which a writ petition has been filed by them before Hon'ble Karnataka High Court. In terms of the contract entered with the vendor company, the said liability as and when reaches finality is to be discharged by the company on back to back basis.

45.4 Contingent Asset :

An amount of ₹95.28 million as at March 31, 2022 (As at March 31, 2021 ₹62.76 million) earmarked by MSEZL as third party share payable to the company towards pipeline-cum-road corridor usage which is not considered in the current period, as the same has not been finalized pending freezing of the project cost of pipeline corridor project.

46 Commitments

46.1 Capital Commitments:

- 46.1.1** The estimated amount of contracts remaining to be executed on capital account and not provided for (net of advances) as at March 31, 2022 ₹3,069.74 million (As at March 31, 2021 ₹6,464.09 million).
- 46.1.2** The Company has requested KIADB for an allotment of 1,050 acres of land for Phase IV expansion. The balance capital commitment in this regard is around ₹6407.14 million (As at March 31, 2021 ₹6,407.14 million).

46.2 Other Commitments

- 46.2.1** Pending commitment on account of Refinery-MRPL is in possession of certain land provisionally measuring 36.69 acres ceded by HPCL for use by MRPL Phase III expansion and upgradation work. The consideration for such land is mutually agreed to be by way of swapping of land in possession of MRPL/HPCL. The final documentation in this regard is pending to be executed.
- 46.2.2** Pending commitment on account of Refinery performance improvement programme by M/s.Shell Global International Solution (M/s.Shell GIS) as at March 31, 2022 USD 1.46 million net of advance (As at March 31, 2021 USD 1.46 million net of advance).
- 46.2.3** Pending commitments on account of Corporate Environment Responsibility (CER) and Enterprise Social Commitment (ESC) as at March 31, 2022 ₹758.79 million (As at March 31, 2021 ₹ Nil).

47 Reconciliation of liabilities arising from financing activities.

The table below details change in the Company's liabilities arising from financing activities, including both cash and non cash changes. Liabilities arising from financing activities are those for which cash flows were, or future cash flows will be, classified in the Company's Statement of Cash Flows as cash flows from financing activities.

Sl. No.	Particulars	Opening Balance As At 01/04/2021	Financing Cash Flows	Non-cash changes	Closing Balance As At 31/03/2022
I	Borrowing - Long Term				
1	External commercial borrowing (ECB)	21,041.69	(9,466.55)	452.36	1,2,027.50
2	Loan from Oil Industry Development Board (OIDB)	5,272.50	(1,347.50)	-	3,925.00
3	Interest Free Loan from Govt. Karnataka - VAT Loan	418.09	-	43.84	461.93
4	Working capital term loan from banks (ECB)	39,981.96	(0.01)	1,543.11	41,525.06
5	Non-Convertible Debentures	37,752.25	12,000.00	(0.30)	49,751.95
6	Deferred Payment Liability From Government of Karnataka - CST	-	86.33	(38.74)	47.59
7	Foreign Currency Term Loan (FCNR)	43,476.93	1,116.78	1,624.70	46,218.41
8	Rupee Term Loan	9,868.16	2,342.99	2.07	12,213.22
9	Compulsorily Convertible Debentures [refer note 22.7]	9,993.00	(10,000.00)	7.00	-
	Total	167,804.58	(5,267.96)	3,634.04	166,170.66
II	Borrowing - Short Term				
1	Working capital loan from banks	-	5,181.94	-	5,181.94
2	Foreign Currency Term Loan (FCNR)	11,698.40	(11,698.40)	-	-
3	Short Term Rupee Loan	-	-	-	-
4	Commercial Paper	26,500.00	(26,500.00)	-	-
5	Bill Discounting Facility	766.48	382.82	-	1,149.30
6	Other Working Capital Loan	31,563.32	6,786.55	-	38,349.87
	Total	70,528.20	(25,847.09)	-	44,681.11

Sl. No.	Particulars	Opening Balance As At 01/04/2020	Financing Cash Flows	Non-cash changes	Closing Balance As At 31/03/2021
I	Borrowing - Long Term				
1	External commercial borrowing (ECB)	32,844.25	(11,135.30)	(667.26)	21,041.69
2	Loan from Oil Industry Development Board (OIDB)	5,390.00	(117.50)	-	5,272.50
3	Interest Free Loan from Govt. Karnataka - VAT Loan	360.78	74.88	(17.57)	418.09
4	Working capital term loan from banks (ECB)	30,025.03	11,165.63	(1,208.70)	39,981.96
5	Non-Convertible Debentures	25,586.59	12,170.00	(4.34)	37,752.25
6	Foreign Currency Term Loan (FCNR)	38,510.88	6,167.23	(1,201.18)	43,476.93
7	Rupee Term Loan	6,856.72	3,010.92	0.52	9,868.16
8	Compulsorily Convertible Debentures [refer note 22.7]	9,989.37	-	3.63	9,993.00
	Total	149,563.62	21,335.86	(3,094.90)	167,804.58
II	Borrowing - Short Term				
1	Working capital loan from banks	8,632.30	(8,632.31)	0.01	-
2	Foreign Currency Term Loan (FCNR)	11,866.06	(215.70)	48.04	11,698.40
3	Short Term Rupee Loan	4,732.16	(4,732.16)	-	-
4	Commercial Paper	-	26,500.00	-	26,500.00
5	Bill Discounting Facility	6,324.45	(5,557.97)	-	766.48
6	Other Working Capital Loan	3,700.00	27,863.32	-	31,563.32
	Total	35,254.97	35,225.18	48.05	70,528.20

The cash flows from bank loans, loans from related parties and other borrowings make up the net amount of proceeds from borrowings and repayments of borrowings in the Statement of Cash Flows.

48. Additional Regulatory Information as per amended Schedule III is given below:

48.1 Title Deeds of Immovable Property not held in the name of the Company (Refer Note 6)

As at March 31, 2022						
Relevant Line Item in the Balance Sheet	Description of item of property	Gross Carrying Value	Title Deeds held in the name of	Whether title deed holder is a promoter, director or relative of promoter/director or employee of promoter/director	Property held since which date	Reason for not being held in the name of the company
Right of Use Asset	Land	7.75	Karnataka Industrial Areas Development Board (KIADB)	No	18.02.2006	Lease Agreement was in favour of the Company and after completion of the underlying condition as per the agreement, Karnataka Industrial Area Development Board [KIADB] (A Government of Karnataka Undertaking) will execute the Sale Agreement in favour of the Company.
Right of Use Asset	Land	226.43	Karnataka Industrial Areas Development Board (KIADB)	No	08.12.1994*	Land was acquired & allotted by Karnataka Industrial Area Development Board [KIADB] (A Government of Karnataka Undertaking). The initial lease period was valid up to 2018. The Karnataka Industrial Area Development Board is in the process of converting the lease hold land to freehold.
Right of Use Asset	Land	2.80	Karnataka Industrial Areas Development Board (KIADB)	No	06.10.1994	Land was acquired & allotted by Karnataka Industrial Area Development Board [KIADB] (A Government of Karnataka Undertaking). The initial lease period was valid up to 2015. The Karnataka Industrial Area Development Board is in the process of converting the lease hold land to freehold.
Right of Use Asset	Land	248.69	Karnataka Industrial Areas Development Board (KIADB)	No	22.09.2018	Lease Agreement will be signed and registered in favour of the Company after getting due approvals.

* Represents earliest date of possession as land has been acquired in parts on various dates.

As at March 31, 2021						
Relevant Line Item in the Balance Sheet	Description of item of property	Gross Carrying Value	Title Deeds held in the name of	Whether title deed holder is a promoter, director or relative of promoter/director or employee of promoter/director	Property held since which date	Reason for not being held in the name of the company
Right of Use Asset	Land	10.07	Karnataka Industrial Areas Development Board (KIADB)	No	02.08.2008	Lease Agreement was in favour of the Company and same has been extended during FY 2021-22 by Karnataka Industrial Area Development Board [KIADB] (A Government of Karnataka Undertaking) in favour of the Company.
Right of Use Asset	Land	7.75	Karnataka Industrial Areas Development Board (KIADB)	No	18.02.2006	Lease Agreement was in favour of the Company and after completion of the underlying condition as per the agreement, Karnataka Industrial Area Development Board [KIADB] (A Government of Karnataka Undertaking) will execute the Sale Agreement in favour of the Company.
Right of Use Asset	Land	226.43	Karnataka Industrial Areas Development Board (KIADB)	No	08.12.1994*	Land was acquired and allotted by Karnataka Industrial Area Development Board [KIADB] (A Government of Karnataka Undertaking). The initial lease period was valid up to 2018. The Karnataka Industrial Area Development Board is in the process of converting the lease hold land to free hold.
Right of Use Asset	Land	2.80	Karnataka Industrial Areas Development Board (KIADB)	No	06.10.1994	Land was acquired and allotted by Karnataka Industrial Area Development Board [KIADB] (A Government of Karnataka Undertaking). The initial lease period was valid up to 2015. The Karnataka Industrial Area Development Board is in the process of converting the lease hold land to free hold.
Right of Use Asset	Land	751.77	Karnataka Industrial Areas Development Board (KIADB)	No	20.07.2010 *	Land was acquired & allotted by Karnataka Industrial Area Development Board [KIADB] (A Government of Karnataka Undertaking). There was delay in the process of land documentation by Karnataka Industrial Area Development Board and the process has been completed during March 2022.
Right of Use Asset	Land	248.69	Karnataka Industrial Areas Development Board (KIADB)	No	22.09.2018	Lease Agreement will be signed and registered in favour of the Company after getting due approvals.

* Represents earliest date of possession as land has been acquired in parts on various dates.

48.2 Loans or advances to specified persons

Type of Borrower	As at March 31, 2022		As at March 31, 2021	
	Amount of loan or advance in the nature of loan outstanding	Percentage to the total Loans and Advances in the nature of loans	Amount of loan or advance in the nature of loan outstanding	Percentage to the total Loans and Advances in the nature of loans
Promoters	Nil	Nil	Nil	Nil
Directors	Nil	Nil	Nil	Nil
KMPs	Nil	Nil	Nil	Nil
Related Parties	Nil	Nil	Nil	Nil

**48.3 Details of Capital Work-in-Progress (CWIP) [Refer Note No. 7]
CWIP Ageing Schedule :**

Particulars	As at March 31, 2022			
	Amount in CWIP for a period of			
	Less than 1 year	1 Year to 2 Years	2 Years to 3 Years	More than 3 Years
Projects in Progress	494.57	485.84	470.14	230.38
Projects temporarily suspended	-	1.33	15.40	-
Total	494.57	487.17	485.54	230.38
				1,697.66

CWIP (whose completion is over due of has exceeded its cost compared to its original plan) Completion Schedule :

Particulars	As at March 31, 2022			
	To be completed in			
	Less than 1 year	1 Year to 2 Years	2 Years to 3 Years	More than 3 Years
	Projects in Progress			
Gas detectors in the Refinery complex	362.58	-	-	-
Oil Marketing Terminal at Devangonthi	-	116.73	-	-
Wet gas scrubber system in PFCC	-	122.98	-	-
CCR1 Revamp	-	180.82	-	-
Control system Windows upgradation	-	143.55	-	-
Other Projects	305.55	94.53	31.57	99.76
				531.41
	Projects temporarily suspended			
Nox Reduction System	-	-	-	16.73
Total	668.13	658.61	31.57	116.49
				1,474.80

CWIP Ageing Schedule :

Particulars	As at March 31, 2021				
	Amount in CWIP for a period of				Total
	Less than 1 year	1 Year to 2 Years	2 Years to 3 Years	More than 3 Years	
Projects in Progress	6,967.34	10,312.18	4,347.87	1,786.58	23,413.97
Projects temporarily suspended	1.33	15.30	-	-	16.63
Total	6,968.67	10,327.48	4,347.87	1,786.58	23,430.60

CWIP (whose completion is overdue of has exceeded its cost compared to its original plan) Completion Schedule :

Particulars	As at March 31, 2021					Total
	To be completed in					
	Less than 1 year	1 Year to 2 Years	2 Years to 3 Years	More than 3 Years		
Projects in Progress						
Gas detectors in the Refinery complex	-	344.88	-	-	-	344.88
DHDT Pipe Rack restoration job	192.81	-	-	-	-	192.81
Control system Windows upgradation	-	-	135.69	-	-	135.69
PP Road	225.46	-	-	-	-	225.46
BS VI Project	16,229.73	-	-	-	-	16,229.73
Desalination Plant	4,438.57	-	-	-	-	4,438.57
Re-Laying of 5 Kms of Raw Water Pipeline	299.15	-	-	-	-	299.15
Additional Accommodation for CISF	105.09	-	-	-	-	105.09
Revamp of CCR1	-	-	100.74	-	-	100.74
Other Projects	490.73	43.02	150.06	101.86		785.67
Total	21,981.54	387.90	386.49	101.86		22,857.79
Projects temporarily suspended						
Nox Reduction System	-	-	-	16.63		16.63
Grand Total	21,981.54	387.90	386.49	118.49		22,874.42

48.4 Summary of reconciliation and reasons for material discrepancies in Statement submitted with Banks for Borrowings secured against current assets (Refer Note No.22)

Quarter	Name of Bank	Particulars of Securities Provided	Amount as per Books of Accounts	Amount as reported in the quarterly return/ statement	Amount of Difference	Reason for Material Discrepancies
Jun-20		Inventory	33,113.75	32,839.38	274.37	The figures relating to the quarterly returns or statements which were filed with banks are on provisional basis (prior to the finalization of accounts) and as the formats of such returns or statements were not aligned with presentation formats of financial statements, the book figures and provisional figures submitted to the banks are not at par. Hence, corrective measures are being implemented for alignment of the formats and figures in future periods, by seeking additional time from banks for submission of returns or statements aligning with financial statements.
		Trade Receivables	21,851.60	22,916.04	(1,064.44)	
		Trade Payables (Crude)	17,564.34	17,561.37	2.97	
Sep-20		Turnover net of Excise Duty and Trading Goods	35,686.76	35,662.40	24.36	
		Inventory	40,643.62	46,466.62	(5,823.00)	
		Trade Receivables	17,536.63	19,997.92	(2,461.29)	
Dec-20		Trade Payables (Crude)	26,221.20	26,231.54	(10.34)	
		Turnover net of Excise Duty and Trading Goods	94,525.28	94,525.32	(0.04)	
		Inventory	46,788.57	46,881.09	(92.52)	
Mar-21		Trade Receivables	47,249.74	50,080.81	(2,831.07)	
		Trade Payables (Crude)	28,245.86	28,093.40	152.46	
		Turnover net of Excise Duty and Trading Goods	1,74,002.52	1,74,001.99	0.53	
Jun-21		Inventory	66,098.68	70,292.13	(4,193.45)	
		Trade Receivables	24,164.74	25,818.80	(1,654.06)	
		Trade Payables (Crude)	40,447.32	42,269.42	(1,822.10)	
Sep-21		Turnover net of Excise Duty and Trading Goods	3,09,438.82	3,09,441.55	(2.73)	
		Inventory	72,841.69	72,889.68	(47.99)	
		Trade Receivables	28,110.29	29,126.62	(1,016.33)	
		Trade Payables (Crude)	52,847.96	53,045.92	(197.96)	
		Turnover net of Excise Duty and Trading Goods	1,12,926.10	1,12,927.70	(1.60)	
		Inventory	77,661.32	77,709.05	(47.73)	
		Trade Receivables	37,962.22	38,982.59	(1,020.37)	
		Trade Payables (Crude)	48,186.64	48,309.33	(122.69)	
		Turnover net of Excise Duty and Trading Goods	2,45,259.19	2,45,255.75	3.44	

48.5 Relationship with Struck off Companies CWIP Ageing Schedule :

Name of the struck off company	Nature of transactions with struck off company	As at March 31, 2022		As at March 31, 2021	
		Balance Outstanding	Relationship with the struck off company	Balance Outstanding	Relationship with the struck off company
Outpace Optifibre Network Pvt. Ltd.	Payable : EMD released	Nil	Unrelated	Nil	Unrelated
Valvitalia India Pvt. Ltd.	Payable : Write back to income	Nil	Unrelated	Nil	Unrelated
Varkul Websoft Pvt. Ltd.	Payable : Write back to income	Nil	Unrelated	Nil	Unrelated

Note: Identification of Struck Off Companies has been done by manually searching the names of Companies through the Master Data available in the portal of MCA.

48.6 No proceedings have been initiated or pending against the Company for holding any benami property under the Benami Transactions Prohibitions Act, 1988 and the rules thereunder as at March 31, 2022 and March 31, 2021.

48.7 The Company has not been declared a wilful defaulter by any bank or financial institution or other lender as at March 31, 2022 and March 31, 2021.

48.8 All charges or satisfaction have been registered with Registrar of Companies (RoC) within the statutory period as at March 31, 2022 and March 31, 2021.

48.9 The requirement of number of layers as prescribed under clause (87) of section 2 of the Act read with Companies (Restriction on number of Layers) Rules, 2017 is not applicable to the Company.

48.10 The company has used the borrowings from banks and financial institutions for the specific purpose for which it was taken as at March 31, 2022 and March 31, 2021.

48.11 The Company has not advanced or loaned or invested funds (either borrowed funds or share premium or any other sources or kind of funds) to any other person(s) or entity(ies), including foreign entities (intermediaries) with the understanding that the intermediary shall directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the company (ultimate beneficiaries) or provide any guarantee, security or the like to or on behalf of the ultimate beneficiaries.

48.12 The Company has not received any fund from any person(s) or entity(ies), including foreign entities (Funding party) with the understanding (whether recorded in writing or otherwise) that the company shall directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (Ultimate Beneficiaries) or provide any guarantee, security or the like to or on behalf of the Ultimate Beneficiaries.

48.13 The Company did not have any transaction which was not recorded in the books of accounts that has been surrendered or disclosed as income during the previous year in the tax assessments under the Income Tax Act, 1961.

48.14 The Company has not traded or invested in Crypto currency or virtual currency during the year ended March 31, 2022 and year ended March 31, 2021.

48.15 The Company has complied with the approved Scheme(s) of Arrangements [refer note 50].

49. Ratios:

Ratio	Numerator	Denominator	For the period ended March 31, 2022	For the period ended March 31, 2021	% Variance	Reason for Variance
Current Ratio (Times)	Current Assets	Current Liabilities	0.86	0.73	18.12%	Not Applicable
Debt-Equity Ratio (Times)	Total Debt	Shareholder's Equity	2.93	5.62	47.90%	Mainly due to reduction in debt during current financial year and increase in profit resulting increase in share holder's equity
Debt service Coverage Ratio (Times)	Earnings available for debt service	Debt Service	0.65	0.11	490.22%	Mainly due to increase in Earnings available for debt service on account of higher profit after tax (PAT) during current financial year as compared to previous financial year.
Return on equity ratio (%)	Net Profit after Taxes - Preference Dividend (if any)	Average Shareholder's Equity	51.69	(16.48)	413.58%	Mainly due to increase in Profit After Tax (PAT) during current financial year as compared to previous financial year.
Inventory turnover ratio (Times)	Sales	Average Inventory	9.78	8.95	9.27%	Not Applicable
Trade receivables turnover ratio (Times)	Sales	Average Trade Receivable	25.39	29.26	(13.25%)	Not Applicable
Trade payables turnover ratio (Times)	Total Purchases	Average Trade Payables	9.72	8.72	11.40%	Not Applicable
Net capital turnover ratio (Times)	Sales net of Excise Duty	Average Working Capital	(21.89)	(7.68)	184.96%	Mainly due to increase in Net Sales during current financial year as compared to previous financial year.
Net profit ratio (%)	Net Profit after Taxes	Revenue from Operations net of Excise Duty	4.24	(2.39)	277.71%	Mainly due to increase in Net Profit during current financial year as compared to previous financial year.
Return on capital employed (%)	Earnings before Interest and Taxes	Capital Employed	14.04	(1.30)	1177.46%	Mainly due to increase in Earnings before Interest and Taxes during current financial year as compared to previous financial year.
Return on Investment (Joint Venture) (%)	Dividend	Average Investments	30.00	25.00	20.00%	Not Applicable

Notes:

- Wherever the change in ratio is more than 25% as compared to the ratio of preceding financial year, the reasons for variance have been provided.
- Wherever applicable, figures for March 31, 2020 have been restated for making the ratios comparable, considering the amalgamation of erstwhile subsidiary company ONGC Mangalore Petrochemicals Limited (OMPL) [Refer Note 50].

3. Formulas used for arriving the numerator / denominator are given below :

Total Debt	Non-Current Borrowings + Current Borrowings
Shareholder's Equity	Equity Share Capital + Other Equity
Earnings available for Debt Service	Net Profit after Taxes + Depreciation + Finance Cost + Loss on Sale of Fixed Assets
Debt Service	Finance Cost + Current Borrowings
Total Purchases	Cost of Raw Material Consumed + Purchase of Stock-in-Trade + Change in Inventory
Capital Employed	Tangible Net Worth + Total Debt + Deferred Tax Liability

50. Scheme of Amalgamation ('The Scheme')
50.1 Amalgamation of ONGC Mangalore Petrochemicals Limited with Mangalore Refinery and Petrochemicals Limited

- (i) As a part of reorganization of the Group, the Board of Directors of the Company had approved a scheme for amalgamation ('the Scheme') of the erstwhile wholly owned subsidiary company ONGC Mangalore Petrochemicals Limited (OMPL) (the amalgamating company) with the company (the amalgamated company) on June 10, 2021.
- (ii) Prior to this, the Company had acquired the control over the amalgamating company on February 28, 2015 by acquiring 51.0017% of equity shares. Subsequently, the Company had acquired additional shares to the tune of 48.9981% from non-controlling shareholders i.e. from Oil and Natural Gas Corporation Ltd. in ONGC Mangalore Petrochemicals Limited on January 1, 2021.
- (iii) The amalgamating company was primarily engaged in operating a green field petrochemicals project consisting of an aromatic complex situated in Mangalore Special Economic Zone, Permude, Mangaluru, Karnataka for production of Para-xylene, Benzene and other products.
- (iv) Pursuant to the scheme of Amalgamation ('the Scheme') approved by the Ministry of Corporate Affairs (MCA) vide its order No. 24/3/2021-CL-III dated April 14, 2022, the amalgamating company has been amalgamated with the Company with effect from April 1, 2021 ('the appointed date'). As per Appendix "C" of Ind AS 103 - Business Combinations, the financial information in the standalone financial statements in respect of prior periods is restated as if the business combination had occurred from the beginning of the preceding period in the financial statements, irrespective of the actual date of the combination. Accordingly, business combination is accounted with effect from April 1, 2020.

50.2 Accounting treatment:

Business combination is accounted for using the 'pooling of interests' method as per Appendix "C" of Ind AS 103 - Business Combinations as notified under Section 230 to 232 of the Companies Act, 2013 which involves the following:

- (a) The financial information in the financial statements in respect of prior periods is restated as if the business combination had occurred from the beginning of the preceding period in the financial statements, irrespective of the actual date of the combination. Accordingly, business combination is accounted with effect from April 1, 2020.
- (b) The Company has recorded the asset and liabilities of the transferor company vested in it pursuant to this Scheme at the respective book values appearing in the books of the transferor company.
- (c) The value of investment in the transferor company in the books of the Company has been cancelled.
- (d) No adjustments are made to reflect fair values, or recognise any new assets or liabilities.
- (e) As per clarification in Ind AS Transition Facilitation Group (ITFG) Clarification Bulletin 9, Goodwill has been recognised in the books of the Company.

- (f) The difference between the net assets of the transferor company transferred to the Company, after making adjustment specified in (c) and (e) has been adjusted in 'Other Equity' of the Company.
- (g) The materiality threshold limits followed by the company and the erstwhile subsidiary company OMPL were different based on the judgement of the respective management of both the companies. However, the impact of same in the restated financial statement is immaterial.
- 51 The Company also operates in special economic zone (SEZ) in Mangalore, accordingly is eligible for certain economic benefits such as exemptions from GST, custom duty, excise duty, service tax, value added tax, entry tax, etc. which are in the nature of government assistance. These benefits are subject to fulfilment of certain obligations by the Company.
- 52 The Company has a periodic system of physical verification of Inventory, Property, Plant and Equipment and capital stores in a phased manner to cover all items over a period. Adjustment differences, if any, is carried out on completion of reconciliation.
- 53 The Company did not have any long term contracts including derivative contracts for which there were any material foreseeable losses.
- 54 Some balances of trade and other receivables, trade and other payables and loans are subject to confirmation/reconciliation. Adjustments, if any, will be accounted for on confirmation/reconciliation of the same, which will not have a material impact.
- 55 The Company has assessed the possible effect that may result from COVID-19 pandemic / Russia-Ukraine War, which is not significant on the carrying amounts of Property, Plant and Equipment, Inventories, Receivables and Other Current Assets. The demand for Company's products is expected to be lower in the short term which is not likely to have a continuing impact on the business operations of the Company. In the opinion of the management, the carrying amount of these assets will be recovered.
- 56 Figures in parenthesis as given in these notes to financial statements relate to previous years. Previous year figures have been regrouped wherever required.
- 57 **Approval of financial statements**

The financial statements were approved for issue by the Board of Directors on May 11, 2022.

INDEPENDENT AUDITOR'S REPORT

To The Members of
Mangalore Refinery and Petrochemicals Limited

Report on the Audit of the Consolidated Financial Statements

Opinion

We have audited the accompanying consolidated financial statements of **MANGALORE REFINERY AND PETROCHEMICALS LIMITED** (hereinafter referred to as “the Company”) and its jointly controlled entity, **SHELL MRPL AVIATION FUELS AND SERVICES LIMITED**, which comprise the Consolidated Balance Sheet as at 31st March, 2022, the Consolidated Statement of Profit and Loss (including other comprehensive income), the Consolidated Statement of Changes in Equity, the Consolidated Statement of Cash Flows for the year then ended, and notes to Consolidated Financial Statements, including a summary of the significant accounting policies and other explanatory information (hereinafter referred to as “the consolidated financial statements”).

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid Consolidated financial statements give the information required by the Companies Act, 2013 ('Act') in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of their consolidated state of affairs of the Company, and its jointly controlled entity as at 31st March, 2022, of consolidated Profit (including other comprehensive income), consolidated statements of changes in equity and its consolidated cash flows for the year ended on that date.

Basis for Opinion

We conducted our audit in accordance with the Standards on Auditing (SAs) specified under Section 143(10) of the Companies Act, 2013. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the audit of the consolidated financial statements section of our report. We are independent of the Company and its jointly controlled entity in accordance with the ethical requirements that are relevant to our audit of the consolidated financial statements in India in terms of the Code of Ethics issued by the Institute of Chartered Accountants of India ('ICAI') and the relevant provisions of the Companies Act, 2013, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Emphasis of Matter

We invite attention to the following Notes of statement of Consolidated Financial Statements;

- (a) Note No. 50.1 which states that pursuant to the Scheme of Amalgamation (the 'Scheme') approved by the Ministry of Corporate Affairs (MCA) vide its order No. 24/3/2021-CL-III dated April 14, 2022, the amalgamating company, the erstwhile wholly owned subsidiary company ONGC Mangalore Petrochemicals Limited (OMPL), has been amalgamated with the Company (the amalgamated company) with effect from April 1, 2021 (the appointed date) and the consolidated financial information in the consolidated financial statements in respect of prior period is restated as per Appendix “C” of Ind As 103 – Business Combination as if the business combination had occurred from the beginning of the preceding period in the financial statements, irrespective of the actual date of the combination. Accordingly, business combination is accounted with effect from April 1, 2020.
- (b) Note No. 40 which states that, with regard to amalgamation of erstwhile subsidiary company ONGC Mangalore Petrochemicals Limited (OMPL) with the company, as Human Resources (HR) integration with respect to

amalgamation is in progress, the Employee Benefits Expenses including Actuarial Valuation in this regards have been considered separately for both companies and possible impact of the changes on account of Human Resources integration could not be quantified and disclosed at this juncture.

- (c) Note No. 25.2 which states that pursuant to the scheme of Amalgamation of erstwhile subsidiary company ONGC Mangalore Petrochemicals Limited (OMPL) ('Amalgamating Company') into and with the Company ('Amalgamated Company'), the unused tax losses and unused tax credits of the amalgamating company becomes unused tax losses and unused tax credits of the amalgamated company for the financial year 2021-22 and hence the company has reassessed and recognised the Deferred Tax Assets on such unused tax losses and unused tax credits based on the probability of earning sufficient taxable profits in the future years in line with Ind AS 12- Income taxes. Accordingly, this has resulted in increase in the Deferred Tax Assets by ₹14,554.27 million for the year ended March 31, 2022 (₹ Nil for the year ended March 31, 2021)

Our opinion is not modified in respect of the above referred (a) to (c) matters

Key Audit Matters

Key audit matters are those matters that, in our Professional judgement, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have determined the matters described below to be the key audit matters to be communicated in our report. We have fulfilled the responsibilities described in the Auditors' responsibilities for the audit of the Consolidated Financial Statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the Consolidated Financial Statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying Consolidated Financial Statements.

The Key Audit Matters	How the matter was addressed in our audit
Contingent Liabilities related to claims against the company/Disputed demands (Refer Note No 45 of accompanying Consolidated Financial Statements)	
There are several claims and litigations pending before various forums against the company which have not been acknowledged as debt by the company and are disclosed as contingent Liabilities. Whether a liability is recognised or disclosed as a contingent liability in the financial statements is inherently judgmental and dependent on a number of significant assumptions and assessments. The eventual outcome of these legal proceedings is dependent on the outcome of future events and unexpected adverse outcomes could significantly impact the company's reported Profit and balance sheet position.	Our audit procedure included, but was not limited to the following: • Obtained an understanding of the management process for: ✓ Controls and identification of legal actions initiated in respect of claims and disputed amount against the company ✓ Assessment of accounting treatment for each such litigation identified under Ind AS 37 and ✓ Measurement of amounts involved.

Considering the degree of management judgement in interpreting the various cases, including accounting estimates that involves high estimation uncertainty in relation to the exposure arising out the claims against the company/disputed demand, this matter has been identified as a key audit matter for the current year audit.	• Obtained an understanding of the nature of litigations pending against the company and discussed the developments during the year for key litigations with the management and respective legal department of the company • Assessed management's conclusions through understanding precedents set in similar cases • Evaluated the adequacy and completeness of disclosures made for their appropriateness in accordance with the applicable accounting standards.
Recognition and Measurement Deferred Tax Assets (Refer Note No 25 of accompanying Consolidated Financial Statements)	
As per IND AS 12, Deferred Tax Assets are the amount of income tax recoverable in future periods in respect of (a) deductible temporary differences (b) the carry forward of unused tax losses and (c) the carry forward of unused tax credits. A deferred tax asset shall be recognised for the carry forward of unused tax losses and unused tax credits to the extent that it is probable that future taxable profit will be available against which the unused tax losses and unused tax credits can be utilised. Determination of probable future taxable profit is a matter of judgment based on convincing evidence. Considering the management's involvement in estimation and judgment of determining the future taxable profits which have a degree of uncertainty, this matter has been determined as a key audit matter.	Our audit procedure included, but was not limited to the following: • Considered the company's past and current years taxable profits, taxes paid and the impact of the amalgamation of the erstwhile wholly subsidiary owned company ONGC Mangalore Petrochemicals Limited (OMPL) with the company, obtained details of carry forward losses under income tax and details of estimates of future taxable profits. • Tested the period over which the deferred tax assets on such unused tax losses and unused tax credits including the tax losses and unused tax credits of the erstwhile wholly owned subsidiary company ONGC Mangalore Petrochemicals Limited (OMPL) which amalgamated with the company would be recovered against future taxable income. • Tested the management's under lying assumptions and judgments in estimating the probable future taxable profits and the existence of sufficient taxable temporary difference against which the unused tax losses or unused tax credits can be utilised by the company. • Assessed the adequacy and appropriateness of the disclosures in the Consolidated Financial Statements.
Capitalisation and useful life of Property, Plant and Equipment (PPE) (Refer Note No 5 of accompanying Consolidated Financial Statements)	

During the year the company has incurred capital expenditure on various property, Plant and Equipment including the capitalisation of work in progress based on its readiness for intended use as determined by the management. Further, the estimated useful life have been reviewed and revised in respect of certain PPE based on expectations different from previous estimate which involves management judgement, technical assessment, consideration of historical experience, anticipated technical changes etc. Considering the assessment and estimation of the management, the above matter has been determined as a key audit matter	Our audit procedure included but was not limited to the following: - Assessed the nature of additions made to PPE and capitalisation of capital work in progress on a test check basis to test whether they meet the recognition criteria as per Ind-AS 16 – Property, Plant and Equipment, including its readiness for intended use as determined by the management. - Examined the management assessment of the assumptions considered in estimation of useful life. - Examined the detailed internal evaluation including the technical assessment with respect to the changes in useful life of PPE as provided by the management. - Assessed the adequacy and appropriateness of the disclosures in the financial statements including the impact recognised on account of the change in the useful life.
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Other Information

The Company's Board of Directors are responsible for the other information. The other information comprises the information included in the Board's Report including Annexure to Board's Report, Management Discussion and Analysis, Business Responsibility Report, Corporate Governance and Shareholder's Information, but does not include the consolidated financial statements and our auditors' report thereon. The above referred information is expected to be made available to us after the date of this auditor's report.

Our opinion on the consolidated financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

When we read the information, If we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance and take appropriate actions necessitated by the circumstances and the applicable laws and regulations.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

The Company's Board of Directors are responsible for the preparation and presentation of these Consolidated Financial Statements in terms of the requirements of the Companies Act, 2013("Act") that give a true and fair view of the consolidated financial position, consolidated financial performance and consolidated cash flow of the company including its jointly controlled entity in accordance with the accounting principles generally accepted in India, including the Accounting Standards specified under section 133 of the Act. The respective Board of Directors of the company and of its jointly controlled entity are responsible for maintenance of adequate accounting records in accordance with the

provision of the Act for safeguarding the assets of the respective companies and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgements and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial control that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the consolidated financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error which have been used for the purpose of preparation of the Consolidated Financial Statements by the Directors of the Company, as aforesaid.

In Preparing the consolidated financial statements, the respective Board of Directors of the company and of its jointly controlled entity are responsible for assessing the ability of the company to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Board of Directors either intends to liquidate the companies or to cease operations, or has no realistic alternative but to do so.

The respective Board of Directors of the company and of its jointly controlled entity are also responsible for overseeing the financial reporting process of the respective companies.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal financial controls relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Companies Act, 2013, we are also responsible for expressing our opinion on whether the Company has adequate internal financial controls system in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of the management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of the Company and its jointly controlled entity to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company and its jointly controlled entity to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Company and its jointly controlled entity to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the audit of the financial statements of such entities included in the consolidated financial statements of which we are the independent auditors. For the other entity and unit included in the consolidated financial statements, which have been audited by other auditors, such other auditors remain responsible for the direction, supervision and performance of the audits carried out by them. We remain solely responsible for our audit opinion.

We communicate with those charged with governance of the Company and such other entity included in the Consolidated Financial Statements of which we are the independent auditors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in the auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Other Matters

- The Consolidated Financial Statements include Company's share of net profit of ₹ 74.78 million and total comprehensive income of ₹ 75.21 million for the year ended March 31, 2022 as considered in the Consolidated Financial Statements, in respect of one Jointly controlled entity, whose financial statements/financial informations have not been audited by us. These financial statements / financial informations have been audited by other auditor whose reports have been furnished to us by the Management and our opinion on the consolidated financial statements, in so far as it relates to the amounts and disclosures included in respect of this jointly controlled entity, and our report in terms of subsection (3) of section 143 of the Act, in so far as it relates to the aforesaid Jointly controlled entity is based solely on the reports of the other auditor.
- We did not audit the financial statements/ financial informations of the Special Economic Zone Unit of the Company which is erstwhile subsidiary company named M/s ONGC Mangalore Petrochemicals Limited, now amalgamated with the Company in accordance with the Scheme referred to in Note No. 50 to the consolidated financial results of the Company, whose financial statements/financial information (before eliminating the inter unit balances) reflect total assets of ₹ 61,372.23 million as at March 31, 2022, total revenues (including other income) of ₹ 65,340.68 million, net loss after tax of ₹ 7,869.30 million, and total comprehensive loss of ₹ 7,860.70 million for the year ended 31st March 2022 respectively, as considered in the standalone financial statements/financial information of the Company. This financial statements/financial informations have been audited by other auditor in the capacity as 'Branch Independent Auditor' whose report dated 09.05.2022 has been furnished to us by the management and our opinion on the consolidated financial statements, in so far as it relates to the amounts and disclosures included

in respect of this unit/branch is based solely on the report of such Branch Auditor.

Our opinion above on the Consolidated Financial Statements, and our report on Other Legal and Regulatory Requirements below, is not modified in respect of the above (i) and (ii) matters

Report on Other Legal and Regulatory Requirements

(1) Based on the verification of Records of the Company and based on information and explanations given to us, we give here below a report on the Directions issued by the Comptroller and Auditor General of India in terms of Section 143 (5) of the Act:

- a. The company process all the accounting transactions through IT system, named SAP. Based on the audit procedures carried out and as per the information and explanations given to us, there were no accounting transactions processed outside the IT system for the year ended 31st March, 2022 and consequently, no financial implications arise to impact the integrity of accounts.
- b. Based on the audit procedures carried out and as per the information and explanations given to us, there is no restructuring of an existing loan or cases of waiver/write off of debt/loans/interest etc. made by lender to the company due to the company's inability to repay the loan.
- c. Based on the audit procedures carried out and as per the information and explanations given to us. Government grants in the form of interest free loans received from the State Government have been properly accounted and utilised as per the terms and conditions.

For the jointly controlled entity no directions have been issued as per the respective audit reports.

(2) As required by section 143 (3) of the Act, we report, to the extent applicable, that:

- a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit of the aforesaid Consolidated Financial Statements;
- b) In our opinion, proper books of account as required by law relating to preparation of the aforesaid Consolidated Financial Statements have been kept so far as it appears from our examination of those books and the reports of the other auditors.
- c) The Consolidated Balance Sheet, the Consolidated Statement of Profit and Loss (including Other Comprehensive Income), the consolidated statement of Changes in Equity and the Consolidated Cash Flow Statement dealt with by this report are in agreement with the relevant books of accounts maintained for the purpose of preparation of the Consolidated Financial Statements.
- d) In our opinion, the aforesaid consolidated financial statements comply with the Accounting Standards specified under Section 133 of the Act, read with rule 7 of the Companies (Accounts) Rules, 2014.
- e) As per Notification No. GSR 463(E) of the Ministry of Corporate Affairs dated 05-06-2015. Disqualification of directors stated under Section 164(2) of the Act is not applicable to the Company, since the company is a Government Company.

On the basis of the written representations received from the Directors of the jointly controlled entity as on 31st March, 2022, and taken on record by the Board of Directors of the Company and the reports of the statutory auditors of the jointly controlled entity incorporated in India, none of the directors of the jointly controlled entity incorporated in India is disqualified as on 31st March, 2021, from being appointed as a director in terms of section 164 (2) of the Companies Act, 2013.

- f) With respect to the adequacy of the internal financial controls with reference to financial statements of the Company and its jointly controlled entity incorporated in India and the operating effectiveness of such controls, refer to our separate report in “**Annexure A**”. With regard to the Special Economic Zone unit of the company and the jointly controlled entity, the reports of the other auditors are taken into account.
- g) As per Notification No GSR 463 (E) of Ministry of Corporate Affairs dated 05-06-2015, provisions of Section 197 as regards managerial remuneration to directors are not applicable to the company since it is a Government Company.
- h) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:
 - (i) The consolidated financial statement disclose the impact of pending litigation as at 31st March, 2022 on the consolidated financial position of the Company and its jointly controlled entity – Refer Note No. 45 to the consolidated financial statements.
 - (ii) The Company and its jointly controlled entity did not have any material foreseeable losses on long-term contracts including derivative contracts and
 - (iii) There has been no delay in transferring amounts, required to be transferred, to the Investor Education and Protection Fund by the Company and its jointly controlled entity Incorporated in India.
 - (iv) The Management has represented that, to the best of its knowledge and belief, as disclosed in the note 48.10 to the consolidated financial statements, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other person(s) or entity(ies), including foreign entities (“Intermediaries”), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company (“Ultimate Beneficiaries”) or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
 - (v) The Management has represented, that, to the best of its knowledge and belief, as disclosed in the note 48.11 to the accounts, no funds have been received by the Company from any person(s) or entity(ies), including foreign entities (“Funding Parties”), with the understanding, whether recorded in writing or otherwise, that the Company shall, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (“Ultimate Beneficiaries”) or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries
 - (vi) Based on the audit procedures performed that have been considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (i) and (ii) of Rule 11(e) contain any material mis-statement.
 - (vii) During the year the Company has not declared or paid any dividend. As per the audit report of the jointly controlled entity, the dividend declared /paid by them during the year is in compliance with Sec 123 of the Companies Act 2013.
3. With respect to the matters specified in paragraphs 3(xxi) and 4 of the Companies (Auditor's Report) Order, 2020 (the “Order”/ “CARO”) issued by the Central Government in terms of Section 143(11) of the Act, to be included

in the Auditor's report, according to the information and explanations given to us, and based on the CARO reports issued by us for the Company and by other auditor for its jointly controlled entity included in the consolidated financial statements of the Company, to which reporting under CARO is applicable, we report that there are no qualifications or adverse remarks in these CARO reports.

For **SANKAR & MOORTHY**

Chartered Accountants

Firm Registration Number: 003575S

Sd/-

CA MONY ANANTHASIVAN

Partner

Membership no: 028519

Place : Calicut

Date : 11/05/2022

UDIN : 22028519AIUWBI2812

For **RAM RAJ & CO**

Chartered Accountants

Firm Registration Number: 002839S

Sd/-

CA P KARUNAKARA NAIDU

Partner

Membership no: 210603

Place : Bangalore

Date : 11/05/2022

UDIN : 22210603AIUWES5333

“ANNEXURE A” TO THE INDEPENDENT AUDITOR'S REPORT

REFERRED TO IN PARAGRAPH 2 (f) UNDER THE HEADING “REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS” OF OUR INDEPENDENT AUDITORS REPORT OF EVEN DATE ON THE CONSOLIDATED FINANCIAL STATEMENTS OF THE MANGALORE REFINERY AND PETROCHEMICALS LIMITED FOR THE YEAR ENDED 31ST MARCH, 2022

Report on the Internal Financial Controls with reference to these Consolidated Financial Statements under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 (“the Act”)

In conjunction with our audit of the Consolidated financial statements of **MANGALORE REFINERY AND PETROCHEMICALS LIMITED** (hereinafter referred to as “the Company”) and its jointly controlled entity **SHELL MRPL AVIATION FUELS AND SERVICES LIMITED** which are the companies incorporated in India as at 31st March, 2022, We have audited the internal financial controls with reference to consolidated financial statements of the Company and its jointly controlled entity as on that date.

Management's Responsibility for Internal Financial Controls

The respective Board of Directors of the Company and its jointly controlled entity, which are companies incorporated in India, are responsible for establishing and maintaining internal financial controls based on the internal controls with reference to financial statements reporting criteria established by the respective company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India ('ICAI'). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to the respective company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditors' Responsibility

Our responsibility is to express an opinion on the internal financial controls with reference to consolidated financial statements of the Company and its jointly controlled entity, which are companies incorporated in India, based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls over Financial Reporting (the “Guidance Note”) and the Standards on Auditing, issued by ICAI and deemed to be prescribed under section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls with reference to consolidated financial Statements. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to these consolidated financial statements was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls with reference to consolidated financial statements and their operating effectiveness. Our audit of internal financial controls with reference to consolidated financial statements included obtaining an understanding of internal financial control with reference to these consolidated financial statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the consolidated financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained and the audit evidence obtained by the other auditors in terms of

their reports referred to in “Other Matters” Paragraph below, is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system with reference to these consolidated financial statements of the Company and its jointly controlled entity, which are companies incorporated in India.

Meaning of Internal Financial Controls with reference to Consolidated Financial statements

A Company's internal financial control with reference to consolidated financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of consolidated financial statements for external purposes in accordance with generally accepted accounting principles. A Company's internal financial controls with reference to these consolidated financial statements includes those policies and procedures that

- (1) Pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the Company;
- (2) Provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the Company are being made only in accordance with authorisations of management and directors of the Company; and
- (3) Provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the Company's assets that could have a material effect on the consolidated financial statements.

Inherent Limitations of Internal Financial Controls with reference to Consolidated Financial Statements

Because of the inherent limitations of internal financial controls with reference to consolidated financial statements reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to consolidated financial statements to future periods are subject to the risk that the internal financial controls with reference to consolidated financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion and to the best of our information and according to the explanations given to us, the Company and its jointly controlled entity, which are the companies incorporated in India, have, in all material respects, an adequate internal financial controls with reference to these consolidated financial statements and those internal financial controls were operating effectively as at 31st March, 2022, based on the internal control with reference to financial statements reporting criteria established by the respective companies considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India.

Other Matters

We did not audit the internal financial controls with reference to financial statements of the Special Economic Zone Unit of the Company which is erstwhile subsidiary company named M/s ONGC Mangalore Petrochemicals Limited, now amalgamated with the Company in accordance with the Scheme of Amalgamation (the 'Scheme') approved by the Ministry of Corporate Affairs (MCA) vide its order No. 24/3/2021-CL-III dated April 14, 2022 and one jointly controlled entity. The internal financial controls with reference to financial statements have been audited by other auditors whose reports have been furnished to us by the management and our opinion on the consolidated report on internal financial controls with reference to these consolidated financial statements in so far as it relates to the

information included in respect of the Special Economic Zone Unit of the Company and jointly controlled entity, and our report in terms of clause 1 of sub Section (3) of Section 143 of the Act, in so far as it relates to the aforesaid Special Economic Zone Unit of the Company and jointly controlled entity, is based solely on the reports of the other auditors.

Our opinion is not modified in respect of the above matter.

For **SANKAR & MOORTHY**

Chartered Accountants

Firm Registration Number: 003575S

Sd/-

CA MONY ANANTHASIVAN

Partner

Membership no: 028519

Place : Calicut

Date : 11/05/2022

UDIN : 22028519AIUWBI2812

For **RAM RAJ & CO**

Chartered Accountants

Firm Registration Number: 002839S

Sd/-

CA P KARUNAKARA NAIDU

Partner

Membership no: 210603

Place : Bangalore

Date : 11/05/2022

UDIN : 22210603AIUWES5333

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED MARCH 31, 2022

A Equity share capital (All amounts are in ₹ million unless otherwise stated)

Particulars	Amount
Balance as at April 1, 2020	17,526.64
Changes in Equity Share Capital due to prior period errors	-
Restated balance at April 1, 2020	17,526.64
Changes in equity share capital during the year	-
Balance as at March 31, 2021	17,526.64
Changes in Equity Share Capital due to prior period errors	-
Restated balance at the March 31, 2021	17,526.64
Changes in equity share capital during the year	-
Balance as at March 31, 2022	17,526.64

B Other equity

Particulars	Deemed Equity	Reserves and Surplus						Items of OCI		Attributable to Equity holders of the Parent	Non controlling Interest	Total
		General Reserve	Capital Redemption Reserve	Securities Premium	Debenture Redemption reserve	Capital Reserve	Retained Earnings	Equity Component of Compound Financial Instrument	Other Reserve			
Balance as at April 1, 2020	42.17	1,192.00	91.86	3,463.90	-	0.07	41,297.04	4,733.43	-	50,820.47	2,490.48	53,310.95
Changes in accounting policy or prior period errors	1.89	-	-	-	-	-	(17.00)	(4,733.43)	-	(0.37)	(3,809.68)	(8,558.59)
Amalgamation of ONGC Mangalore Petrochemicals Limited (OMPL) [refer note 50]	-	-	-	-	-	-	-	-	(13,488.41)	-	1,319.20	(12,169.21)
Restated Balance as at April 1, 2020	44.06	1,192.00	91.86	3,463.90	-	0.07	41,280.04	-	(13,488.41)	32,583.15	-	32,583.15
Profit / (Loss) after tax for the year	-	-	-	-	-	-	(7,649.67)	-	-	(7,649.67)	-	(7,649.67)
Other Comprehensive Income for the year, net of income tax	-	-	-	-	-	-	20.50	-	-	0.37	-	20.87
Total Comprehensive Income	-	-	-	-	-	-	(7,629.17)	-	-	(7,628.80)	-	(7,628.80)
Balance as at March 31, 2021	44.06	1,192.00	91.86	3,463.90	-	0.07	33,650.87	-	(13,488.41)	24,954.35	-	24,954.35
Profit / (Loss) after tax for the year	-	-	-	-	-	-	29,582.52	-	-	29,582.52	-	29,582.52
Other Comprehensive Income for the year, net of income tax	-	-	-	-	-	-	31.91	-	-	31.91	-	31.91
Total Comprehensive Income	-	-	-	-	-	-	29,614.43	-	-	29,614.43	-	29,614.43
Amalgamation of ONGC Mangalore Petrochemicals Limited (OMPL) [refer note 21.1]	(1.89)	-	-	-	-	-	-	-	-	-	-	-
Balance as at March 31, 2022	42.17	1,192.00	91.86	3,463.90	-	0.07	63,265.30	-	(13,488.41)	54,566.89	-	54,566.89

As per our report of even date attached

For RAMRAJ & CO
Chartered Accountants
Firm Registration No. 002839S

sd/-
C.A.P. KARUNAKARA NAIDU
Partner
Membership No. 210603

For SANKAR & MOORTHY
Chartered Accountants
Firm Registration No. 003575S

sd/-
C.A. MONY ANANTHASIVAN
Partner
Membership No. 28519

Place : New Delhi
Date : 11/05/2022

sd/-
M.VENKATESH
Managing Director
DIN: 07025342

sd/-
SANJAY VARMA
Director (Refinery)
DIN: 05155972

sd/-
K.B. SHYAM KUMAR
Company Secretary

For and on behalf of the Board

FORM AOC-1

Statement containing salient features of the financial statement of subsidiaries/ associate companies/ joint venture as on 31.03.2022

(Pursuant to first proviso to sub-section (3) of section 129 read with rule 5 of Companies (Accounts) Rules, 2014) Statement containing salient features of the financial statement of subsidiaries/associate companies/joint venture

Part "A": Subsidiary

(All amounts are in ₹million unless otherwise stated)

As at 31.03.2022										Year ended March 31, 2022 (from 1 st April 2021 to 31 st March 2022)						
1.	2.	3.	4.	5.	6.	7.	8.	9.	10.	11.	12.	13.	14.	15.	16.	17.
Sl. No.	Name of the subsidiary (Indian Company)	The date since when subsidiary was acquired	Reporting period for the subsidiary	Reporting currency and Exchange rate	Share capital	Reserves & surplus	Total assets	Total Liabilities	Details of Investment *	Turnover	Profit/ (Loss) before taxation	Provision for taxation	Profit/ (Loss) after taxation	Total Comprehensive Income	Proposed Dividend	% of share holding
NOT APPLICABLE [REFER NOTE 50]																

1. Names of subsidiary which are yet to commence operations: Nil

2. Names of subsidiary which have been liquidated during the year 2021-22: **Refer Note 50**

Part “B”: Joint Venture

Statement pursuant to Section 129 (3) of the Companies Act, 2013 related to Associate Companies and Joint Venture

Name of joint Venture	Shell MRPL Aviation Fuels and Services Limited
1. Latest audited Balance Sheet Date	March 31, 2022
2. Date on which the Joint Venture was acquired	March 11, 2008
3. Shares of Joint Venture held by the company on the year end	
i. Number (in million)	15
ii. Amount of Investment in Joint Venture (₹in million)	150.00
iii. Extent of Holding (in percentage)	50%
4. Description of how there is significant influence	Percentage of holding
5. Reason why the joint venture is not consolidated	NA
6. Networth attributable to shareholding as per latest audited Balance Sheet (₹in million)	298.34
7. Profit or Loss for the year	
i. Considered in Consolidation (₹in million)	90.04
ii. Not Considered in Consolidation	-

1. Names of joint venture which are yet to commence operations: Nil

2. Names of joint venture which have been liquidated or sold during the year 2021-22: Nil

As per our report of even date attached

For and on behalf of the Board

For RAM RAJ & CO
Chartered Accountants
Firm Registration No.: 002839S

For SANKAR & MOORTHY
Chartered Accountants
Firm Registration No.: 003575S

sd/-
M. VENKATESH
Managing Director
DIN : 07025342

sd/-
CA. P. KARUNAKARA NAIDU
Partner
Membership No. 210603

sd/-
CA. MONY ANANTHASIVAN
Partner
Membership No. 28519

SANJAY VARMA
Director (Refinery)
DIN : 05155972

Place : New Delhi
Date : 11/05/2022

sd/-
YOGISH NAYAK S.
Chief Financial Officer
PAN : AAUPN1427G

sd/-
K. B. SHYAM KUMAR
Company Secretary

Schedule-III additional disclosure on Consolidated Financial Statements as on March 31, 2022

(All amounts are in ₹ million unless otherwise stated)

Name of the entity	Country of incorporation	Net Asset (i.e. Total Asset minus Total Liabilities)		Share in Profit or loss		Share in other comprehensive income		Share in total comprehensive income	
		As a % of Consolidated Net Assets	Amount	As a % of Consolidated profit or loss	Amount	As a % of Consolidated other comprehensive income	Amount	As a % of Consolidated other comprehensive income	Amount
1	2	3	4	5	6	7	8	9	10
Parent Mangalore Refinery and Petrochemicals Limited	India	99.59%	71,795.19	99.70%	29,492.91	98.65%	31.48	99.70%	29,524.39
Joint Venture Entity Indian Shell MRPL Aviation Fuels & Services Limited	India	0.41%	298.34	0.30%	89.61	1.35%	0.43	0.30%	90.04
Net		100.00%	72,093.53	100.00%	29,582.52	100.00%	31.91	100.00%	29,614.43

As per our report of even date attached

For and on behalf of the Board

For RAM RAJ & CO
Chartered Accountants
Firm Registration No.: 002839S

For SANKAR & MOORTHY
Chartered Accountants
Firm Registration No.: 003575S

sd/-
M. VENKATESH
Managing Director
DIN : 07025342

sd/-
CA. P. KARUNAKARA NAIDU
Partner
Membership No. 210603

sd/-
CA. MONY ANANTHASIVAN
Partner
Membership No. 28519

sd/-
SANJAY VARMA
Director (Refinery)
DIN : 05155972

Place : New Delhi
Date : 11/05/2022

sd/-
YOGISH NAYAK S.
Chief Financial Officer
PAN : AAUPN1427G

sd/-
K. B. SHYAM KUMAR
Company Secretary

CONSOLIDATED BALANCE SHEET AS AT MARCH 31, 2022

(All amounts are in ₹ million unless otherwise stated)

	Particulars	Note No.	As at March 31, 2022	As at March 31, 2021*
I	ASSETS			
	Non - Current Assets			
	(a) Property, Plant and Equipment	5	202,491.97	184,347.89
	(b) Right-of-Use Assets	6	7,432.24	7,680.07
	(c) Capital Work in-Progress	7	1,697.66	23,430.60
	(d) Investment Property	8	77.96	77.96
	(e) Goodwill	9	3,772.78	3,772.78
	(f) Other Intangible Assets	10	63.17	85.73
	(g) Financial Assets			
	(i) Investments	11	285.15	254.94
	(ii) Loans	12	1,173.01	1,079.07
	(iii) Other Financial Assets	13	515.42	451.34
	(h) Non-Current Tax Assets (net)	14	153.59	1,636.56
	(i) Deferred Tax Assets (net)	25	21,000.82	13,775.44
	(j) Other Non Current Assets	15	7,739.54	8,170.56
	Total Non Current Assets (I)		246,403.21	244,762.94
II	Current Assets			
	(a) Inventories	16	104,868.57	71,028.01
	(b) Financial Assets			
	(i) Trade Receivable	17	43,276.69	24,506.71
	(ii) Cash and Cash Equipments	18	55.24	258.25
	(iii) Bank Balances other than (ii) above	19	383.31	262.52
	(iv) Loans	12	155.84	145.59
	(v) Other Financial Assets	13	68.47	18.81
	(c) Current Tax Assets (net)	14	1,209.94	1,884.36
	(d) Other Current Assets	15	4,291.94	4,427.01
	Total Current Assets (II)		154,310.00	102,531.26
	Total Assets (I+II)		400,713.21	347,294.20
I	EQUITY AND LIABILITIES			
	Equity			
	(a) Equity Share Capital	20	17,526.64	17,526.64
	(b) Other Equity	21	54,566.89	24,954.35
	Total Equity (I)		72,093.53	42,480.99
II	LIABILITIES			
	Non - Current Liabilities			
	(a) Financial Liabilities			
	(i) Borrowings	22	142,155.03	156,993.17
	(ii) Lease Liability		2,012.45	2,071.78
	(b) Provisions	24	1,606.13	1,360.45
	(c) Other Non Current Liabilities	27	3,274.36	3,448.43
	Total Non Current Liabilities (II)		149,047.97	163,873.83
III	Current Liabilities			
	(a) Financial Liabilities			
	(i) Borrowings	22	68,696.74	81,339.61
	(ii) Lease Liability		240.26	219.53
	(iii) Trade Payables	26	366.26	316.43
	-Total outstanding dues of micro enterprises and small enterprises			
	-Total outstanding dues of creditors other than micro enterprises and small enterprises		93,305.48	39,714.88
	(iv) Other Financial Liabilities	23	7,716.84	9,800.69
	(b) Other Current Liabilities	27	4,457.82	4,009.32
	(c) Provisions	24	4,788.31	5,538.92
IV	Total Current Liabilities (III)		179,571.71	140,939.38
	Total Liabilities (II+III)		328,619.68	304,813.21
	TOTAL EQUITY AND LIABILITIES (I+IV)		400,713.21	347,294.20

*Restated, refer Note No. 50

See accompanying notes to the Consolidated Financial Statements (1-57)
As per our report of even date attached

For RAM RAJ & CO

Chartered Accountants
Firm Registration No.: 002839S

sd/-
CA. P. KARUNAKARA NAIDU
Partner
Membership No. 210603

For SANKAR & MOORTHY

Chartered Accountants
Firm Registration No.: 003575S

sd/-
CA. MONY ANANTHASIVAN
Partner
Membership No. 28519

sd/-
YOGISH NAYAK S.
Chief Financial Officer
PAN : AAUPN1427G

For and on behalf of the Board

sd/-
M. VENKATESH
Managing Director
DIN : 07025342

sd/-
SANJAY VARMA
Director (Refinery)
DIN : 05155972

sd/-
K. B. SHYAM KUMAR
Company Secretary

Place : New Delhi
Date : 11/05/2022

CONSOLIDATED STATEMENT OF PROFIT AND LOSS FOR THE YEAR ENDED MARCH 31, 2022

(All amounts are in ₹ million unless otherwise stated)

	Particulars	Note No.	Year ended March 31, 2022	Year ended March 31, 2021 *
I.	Revenue from Operations	28	860,636.84	507,958.12
II.	Other Income	29	982.67	968.57
III.	Total Income (I + II)		861,619.51	508,926.69
IV.	Expenses:			
	Cost of Materials Consumed	30	635,988.32	291,781.54
	Purchases of Stock-in-Trade	31	5.12	11,931.73
	Changes in Inventories of Finished Goods, Stock-in-Process & Scrap	32	(13,732.96)	(13,848.06)
	Excise Duty on Sale of Goods		163,366.09	188,367.81
	Employee Benefits Expense	33	6,976.16	5,782.69
	Finance Costs	34	12,073.09	5,544.72
	Depreciation and Amortisation Expense	35	10,877.24	11,580.35
	Other Expenses	36	18,728.11	16,974.62
	Total Expenses (IV)		834,281.17	518,115.40
V.	Profit/ (Loss) Before Exceptional Items and Tax (III-IV)		27,338.34	(9,188.71)
VI.	Exceptional Items (Income)/Expenses (net)	36.5	300.00	-
VII.	Share of Profit of Joint Venture		74.78	(0.52)
VIII.	Profit/ (Loss) Before Tax (V- VI+VII)		27,113.12	(9,189.23)
IX.	Tax Expenses:			
	(1) Current Tax	37		
	- Current year		4,772.89	-
	- Earlier years		-	(10.86)
	(2) Deferred Tax	25	(7,242.29)	(1,528.70)
	Total Tax Expenses (IX)		(2,469.40)	(1,539.56)
X.	Profit/ (Loss) for the year (VIII-IX)		29,582.52	(7,649.67)
XI.	Other Comprehensive Income			
	Items that will not be reclassified to Profit or Loss :			
	(i) Remeasurement of the Defined Benefit Plans		48.97	31.59
	(ii) Income Tax relating to above	37	(17.06)	(11.09)
	Items that will be reclassified to Profit or Loss :			
	(i) Effective portion of gains / (losses) on hedging instruments in cash flow hedges		-	0.50
	(ii) Income Tax relating to above	37	-	(0.13)
	Total Other Comprehensive Income (XI)		31.91	20.87
XII.	Total Comprehensive Income for the year (X+XI)		29,614.43	(7,628.80)
XIII.	Profit / (Loss) for the year attributable to			
	Owners of the Company		29,582.52	(7,649.67)
	Non Controlling Interest		-	-
XIV.	Other Comprehensive Income for the year attributable to			
	Owners of the Company		31.91	20.87
	Non Controlling Interest		-	-
XV.	Total Comprehensive Income for the year attributable to			
	Owners of the Company		29,614.43	(7,628.80)
	Non Controlling Interest		-	-
XVI.	Earnings per Equity Share:	38		
	(1) Basic (in ₹)		16.88	(4.36)
	(2) Diluted (in ₹)		16.88	(4.36)

*Restated, refer Note No. 50

See accompanying notes to the Consolidated Financial Statements (1-57)

As per our report of even date attached

For RAM RAJ & CO
Chartered Accountants
Firm Registration No.: 002839S

sd/-
CA. P. KARUNAKARA NAIDU
Partner
Membership No. 210603

For SANKAR & MOORTHY
Chartered Accountants
Firm Registration No.: 003575S

sd/-
CA. MONY ANANTHASIVAN
Partner
Membership No. 28519

sd/-
YOGISH NAYAK S.
Chief Financial Officer
PAN : AAUPN1427G

Place : New Delhi
Date : 11/05/2022

For and on behalf of the Board

sd/-
M. VENKATESH
Managing Director
DIN : 07025342

sd/-
SANJAY VARMA
Director (Refinery)
DIN : 05155972

sd/-
K. B. SHYAM KUMAR
Company Secretary

CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE YEAR ENDED MARCH 31, 2022

(All amounts are in ₹ million unless otherwise stated)

Particulars		Year ended March 31, 2022	Year ended March 31, 2021 *
A	CASH FLOW FROM OPERATING ACTIVITIES		
	Profit / (Loss) After Tax	29,582.52	(7,649.67)
	Adjustments for :		
	Tax Expense	(2,469.40)	(1,539.56)
	Share of Profit/ (Loss) of Joint Venture	(74.78)	0.52
	Depreciation and Amortisation expense	10,877.24	11,580.35
	Loss/ (profit) on Sale of Property, Plant and Equipment (net)	88.70	71.63
	Liability / provision no longer required written back	(244.14)	(291.87)
	Impairment of doubtful trade receivables & Non Moving Inventories	44.38	12.82
	Write off of doubtful trade receivables / advances / deposits/ Others	41.39	3.81
	Exchange Rate Fluctuation (net)	2,044.19	(1,473.99)
	Finance Costs	12,073.09	5,544.72
	Interest Income	(353.39)	(180.33)
	Dividend Income/ Capital Gains	(1.96)	(4.00)
	Amortisation of Prepayments	6.75	6.75
	Amortisation of Deferred Government Grant / Guarantee	(206.04)	(196.60)
	Others	64.24	82.9
		51,472.79	5,967.51
	Movements in Working Capital :		
	- (Increase)/ Decrease in Trade and Other Receivables	(18,786.21)	(14,249.16)
	- (Increase)/ Decrease in Loans	(104.19)	(144.14)
	- (Increase)/ Decrease in Other Assets	(259.97)	536.91
	- (Increase)/ Decrease in Inventories	(33,878.57)	(28,659.65)
	- Increase/ (Decrease) in Trade Payables and Other Liabilities	51,102.78	8,258.60
	Cash generated from Operations	49,546.63	(28,289.93)
	Income Taxes paid, net of refunds	(2,618.19)	107.89
	Net Cash generated from / (used in) Operations	(a) 46,928.44	(28,182.04)
B	CASH FLOW FROM INVESTING ACTIVITIES		
	Payments for Property, Plant and Equipment	(6,111.61)	(8,977.98)
	Proceeds from disposal of Property, Plant and Equipment	0.77	1.32
	Interest Received	121.61	99.77
	Dividend received from Joint Venture	45.00	37.50
	Dividend received from Investments in Mutual Fund	-	4.00
	Purchase / Sale of Investment in Mutual Fund (net)	1.96	-
	Investment in erstwhile Subsidiary Company	(0.01)	(12,169.20)
	Tax Paid on Interest / Dividend Income	(3.49)	(9.13)
	Net Cash generated from / (used in) Investing Activities	(b) (5,945.77)	(21,013.72)
C	CASH FLOW FROM FINANCING ACTIVITIES		
	Proceeds from Long Term Borrowings	15,580.73	39,918.62
	Repayments of Long Term Borrowings	(20,848.69)	(18,582.76)
	Proceeds/ (Repayment) of short term borrowings (net)	(25,847.09)	35,225.18
	Payment of Lease Rentals (Principal Component)	(65.93)	(77.60)
	Payment of Lease Rentals (Interest Component)	(180.45)	(224.17)
	Finance Costs Paid	(9824.25)	(6823.26)
	Net Cash generated from / (used in) Financing Activities	(c) (41,185.68)	49,436.01
	Net Increase / (Decrease) in Cash and Cash Equivalents	(a+b+c) (203.01)	240.25
	Cash and Cash Equivalents as at the beginning of the year	258.25	18.00
	Cash and Cash Equivalents as at the end of the year	55.24	258.25
	Net Change in Cash and Cash Equivalents (Closing - Opening)	(203.01)	240.25

* Restated, refer Note No. : 50

- The above statement of Cash Flows prepared under the "Indirect method" as set out in the Ind AS 7 "Statement of Cash Flows".
- Brackets indicate Cash outflow/ deduction.

See accompanying notes to the Consolidated Financial Statements (1-57)

For RAM RAJ & CO
Chartered Accountants
Firm Registration No.: 002839S
sd/-
CA. P. KARUNAKARA NAIDU
Partner
Membership No. 210603

For SANKAR & MOORTHY
Chartered Accountants
Firm Registration No.: 003575S
sd/-
CA. MONY ANANTHASIVAN
Partner
Membership No. 28519
sd/-
YOGISH NAYAK S.
Chief Financial Officer
PAN : AAUPN1427G

For and on behalf of the Board

sd/-
M. VENKATESH
Managing Director
DIN : 07025342
sd/-
SANJAY VARMA
Director (Refinery)
DIN : 05155972

Place : New Delhi
Date : 11/05/2022

sd/-
K. B. SHYAM KUMAR
Company Secretary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE PERIOD ENDED MARCH 31, 2022

1. Corporate information

Mangalore Refinery and Petrochemicals Limited ('MRPL' or 'the Company') is a Central Public Sector Enterprise domiciled and incorporated in India having its registered office at Mudapadav, Kuthethoor P.O. via Katipalla, Mangaluru, Karnataka - 575030. The Company's equity shares are listed and traded on BSE Limited and National Stock Exchange Limited. The Company is a subsidiary of Oil and Natural Gas Corporation Limited which holds 71.63% equity shares.

The wholly owned subsidiary company, ONGC Mangalore Petrochemicals Limited (OMPL) has been amalgamated with the Company, vide Order No. 24/3/2021-CL-III of Ministry of Corporate Affairs (MCA) dated April 14, 2022 from the appointed date i.e. April 1, 2021 to create greater synergies between the business operations of both the companies.

The Company and its Joint Venture are mainly engaged in the business of refining of crude oil, trading of aviation fuels and distribution of petroleum products through retail outlet and transport terminal.

2. Application of new and revised Indian Accounting Standards

All the Indian Accounting Standards issued and notified by the Ministry of Corporate Affairs under the Companies (Indian Accounting Standards) Rules, 2015 (as amended) till the Consolidated Financial Statements are authorized have been considered in preparing these Consolidated Financial Statements.

The Ministry of Corporate Affairs (MCA) through a notification ("Companies (Indian Accounting Standards) amendment Rules, 2022") dated March 23, 2022, amended Indian Accounting Standards (Ind AS) 101, Indian Accounting Standards (Ind AS) 103, Indian Accounting Standards (Ind AS) 109, Indian Accounting Standards (Ind AS) 16, Indian Accounting Standards (Ind AS) 37 which shall be effective from April 1, 2022. The company is in the process of evaluating its impact on the financial statement of the company. However, the company expects no major impact on the financial statements due to the above mentioned amendments.

3. Significant Accounting Policies

3.1. Statement of Compliance

"These Consolidated Financial Statements have been prepared in accordance with the Indian Accounting Standards (referred to as "Ind AS") as prescribed under Section 133 of the Companies Act, 2013 read with Companies (Indian Accounting Standards) Rules as amended from time to time and the presentation requirements of Division II of Schedule III to the Companies Act, 2013, (Ind AS compliant Schedule III), as applicable to the financial statements."

3.2. Basis of Preparation

The figures for the previous year ended March 31, 2021 included in the Consolidated Financial Statements for the year ended March 31, 2022, have been restated to give effects of the scheme of amalgamation of ONGC Mangalore Petrochemicals Limited (OMPL) (a wholly owned subsidiary) with the Company, vide Order No. 24/3/2021-CL-III of Ministry of Corporate Affairs (MCA) dated April 14, 2022 from the appointed date i.e. April 1, 2021, in line with Ind AS 103 (Appendix C) Business Combinations of entities under common control Hence the restated financial statements for previous year ended March 31, 2021 are not comparable with the previously published consolidated financial statements.

The Consolidated Financial Statements have been prepared on the historical cost convention basis except for certain financial instruments that are measured at fair values / amortized cost / net present value at the end of each reporting period, as explained in the accounting policies below.

The Company has adopted all the Ind AS and the adoption was carried out during Financial Year 2016-17 in

accordance with Ind AS 101 (First time adoption of Indian Accounting Standards). The transition was carried out from Generally Accepted Accounting Principles in India (Indian GAAP) as prescribed under Section 133 of the Companies Act, 2013, read with Rule 7 of the Companies (Accounts) Rules, 2014, which was the “Previous GAAP”.

Historical cost is generally based on the fair value of the consideration given in exchange for goods and services.

All Assets and Liabilities have been classified as current or non-current as per the Company's normal operating cycle and other criteria set out in Ind AS – 1 “Presentation of Financial Statements” and the Schedule III to the Companies Act, 2013.

The Consolidated Financial Statements are presented in Indian Rupee and all values are rounded to the nearest two decimal million except otherwise stated.

Fair Value measurement.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date under current market conditions.

The Company categorizes Assets and Liabilities measured at fair value into one of three levels depending on the ability to observe inputs employed in their measurement which are described as follows:

- (a) Level 1 inputs are quoted prices (unadjusted) in active markets for identical assets or liabilities.
- (b) Level 2 inputs are inputs that are observable, either directly or indirectly, other than quoted prices included within level 1 for the Assets or Liabilities.
- (c) Level 3 inputs are unobservable inputs for the Assets or Liabilities reflecting significant modifications to observable related market data or Company's assumptions about pricing by market participants.

3.3. Basis of Consolidation

The Company has Investments in Joint Venture which are accounted using equity method in these Consolidated Financial Statements. Refer note 3.6 for the accounting policy of investment in Joint Venture in the Consolidated Financial Statements.

3.4. Business Combinations

The acquisition method of accounting is used to account for business combination (except for business combination under common control) by the Company. In this method, acquiree's identifiable Assets, Liabilities and Contingent Liabilities that meet condition for recognition are recognized at their fair values at the acquisition date. Non-controlling interest is measured at proportionate share of the recognised amounts of the acquiree's identifiable net assets.

Goodwill is measured as the excess of the sum of the consideration transferred, the amount of any non-controlling interest in the acquiree, and the fair value of the acquirer's previously held equity interest in the acquiree (if any) over the net of the acquisition-date amounts of the identifiable Assets acquired and the Liabilities assumed.

Any excess of the Company's share of the net fair value of the identifiable Assets and Liabilities over the sum of the consideration transferred, the amount of any non-controlling interest in the acquiree, and the fair value of the acquirer's previously held equity interest in the acquiree (if any) cost of the investment, after reassessment, is recognised directly in Equity as capital reserve in the period in which the investment is acquired. The transaction costs incurred in connection with business combination are recognised in the Consolidated Statement of Profit and Loss.

When a business combination is achieved in stages, the Company's previously held equity interest in the acquiree is remeasured to its acquisition-date fair value and the resulting gain or loss, if any, is recognised in profit or loss.

Amounts arising from interests in the acquiree prior to the acquisition date that have previously been recognised in Other Comprehensive Income are reclassified to profit or loss where such treatment would be appropriate if that interest were disposed off.

Business Combination under Common control

A business combination involving entities or businesses under common control is a business combination in which all of the combining entities or businesses are ultimately controlled by the same party or parties both before and after the business combination and the control is not transitory. The transactions between entities under common control are specifically covered by Appendix C to Ind AS 103 and are accounted for using the pooling-of-interest method as follows:

- The assets and liabilities of the combining entities are reflected at the carrying amounts.
- No adjustments are made to reflect fair values, or recognize new assets or liabilities. Adjustments are made to harmonize significant accounting policies.
- The financial information in the financial statements in respect of prior periods is restated as if the business combination has occurred from the beginning of the preceding period in the financial statements, irrespective of the actual date of the combination.

The balance of the retained earnings appearing in the financial statements of the transferor is aggregated with the corresponding balance appearing in the financial statements of the transferee. The identity of the reserves are preserved and the reserves of the transferor become the reserves of the transferee.

The difference, if any, between the amounts recorded as share capital issued plus any additional consideration in the form of cash or other assets and the amount of share capital of the transferor is transferred to capital reserve and is presented separately from other capital reserves.

3.5. Non-Controlling Interests

Non-controlling interests are present ownership interests that entitle their holders to a proportionate share of the Group's net assets in the event of liquidation. Non-controlling interests are initially measured at the non-controlling interests' proportionate share of the recognised amounts of the acquiree's identifiable net assets. Subsequent to acquisition, the carrying amount of non-controlling interests is the amount of the interest at initial recognition plus the non-controlling interests' share of subsequent changes in equity.

3.6. Investments in Joint Ventures

A Joint Venture is a joint arrangement whereby the parties that have joint control of the arrangement have rights to the net assets of the joint arrangement. Joint control is the contractually agreed sharing of control of an arrangement, which exists only when decisions about the relevant activities require unanimous consent of the parties sharing control.

The results and Assets and Liabilities of Joint Venture are incorporated in the Consolidated Financial Statements using the equity method of accounting. Under the equity method, an Investment in a Joint Venture is initially recognised in the Consolidated Balance Sheet at cost and adjusted thereafter to recognise the Company's share of the profit or loss and Other Comprehensive Income of the Joint Venture. Distributions received from a Joint Venture reduce the carrying amount of the investment. When the Company's share of losses of a Joint Venture exceeds the Company's interest in that Joint Venture, the Company discontinues recognising its share of further losses. Additional losses are recognised only to the extent that the Company has incurred legal or constructive obligations or made payments on behalf of the Joint Venture.

If a Joint Venture uses accounting policies other than those of the Company accounting policies for like transactions and events in similar circumstances, adjustments are made to make the Joint Venture's accounting policies conform to those of the Company's before applying the equity method.

An Investment in a Joint Venture is accounted for using the equity method from the date on which the investee becomes a Joint Venture. On acquisition of the Investment in Joint Venture, any excess of the cost of the investment over the Company's share of the net fair value of the identifiable Assets and Liabilities of the investee is recognised as goodwill, which is included within the carrying amount of the Investment. Any excess of the Company's share of the net fair value of the identifiable Assets and Liabilities over the cost of the Investment, after reassessment, is recognised directly in equity as capital reserve in the period in which the Investment is acquired.

Unrealized gains on transactions between the Company and its Joint Venture are eliminated to the extent of the Company's interest in Joint Venture. Unrealized losses are also eliminated to the extent of Company's interest unless the transaction provides evidence of an impairment of the asset transferred.

After application of the equity method of accounting, the Company determines whether there any is objective evidence of impairment as a result of one or more events that occurred after the initial recognition of the net Investment in a Joint Venture and that event (or events) has an impact on the estimated future cash flows from the net investment that can be reliably estimated. If there exists such an objective evidence of impairment, then Company recognise impairment loss with respect to the Company's Investment in a Joint Venture. When necessary, the entire carrying amount of the Investment (including Goodwill) is tested for impairment in accordance with Ind AS 36 'Impairment of Assets' as a single asset by comparing its recoverable amount (higher of value in use and fair value less costs of disposal) with its carrying amount. Any impairment loss recognised forms part of the carrying amount of the investment. Any reversal of that impairment loss is recognised in accordance with Ind AS 36 to the extent that the recoverable amount of the investment subsequently increases.

The Company discontinues the use of the equity method from the date when the investment ceases to be a Joint Venture, or when the investment is classified as held for sale. When the Company retains an interest in the former Joint Venture and the retained interest is a Financial Asset, the Company measures the retained interest at fair value at that date and the fair value is regarded as its fair value on initial recognition in accordance with Ind AS 109 'Financial Instruments'. The difference between the carrying amount of the Joint Venture at the date the equity method was discontinued, and the fair value of any retained interest and any proceeds from disposing of a part interest in the Joint Venture is included in the determination of the gain or loss on disposal of the Joint Venture. In addition, the Company accounts for all amounts previously recognised in Other Comprehensive Income in relation to that Joint Venture on the same basis as would be required if that Joint Venture had directly disposed of the related Assets or Liabilities. Therefore, if a gain or loss previously recognised in other Comprehensive Income by that Joint Venture would be reclassified to profit or loss on the disposal of the related Assets or Liabilities, the Company reclassifies the gain or loss from equity to profit or loss (as a reclassification adjustment) when the equity method is discontinued.

The Company continues to use the equity method when an investment in a Joint Venture becomes an Investment in an Associate. There is no re-measurement to fair value upon such changes in ownership interests.

When the Company reduces its ownership interest in a Joint Venture but the Company continues to use the equity method, the Company reclassifies to profit or loss the proportion of the gain or loss that had previously been recognised in Other Comprehensive Income relating to that reduction in ownership interest if that gain or loss would be reclassified to profit or loss on the disposal of the related Assets or Liabilities.

3.7. Goodwill

Goodwill arising on an acquisition of a business is carried at cost as established at the date of acquisition of the business less accumulated impairment losses, if any.

Goodwill arising on amalgamation of a business is carried at cost as established at the date of acquisition of the business less accumulated impairment losses, if any.

For the purposes of impairment testing, goodwill is allocated to Company's Cash Generating Units (or groups of Cash Generating Units) that is expected to benefit from the synergies of the combination.

A Cash Generating Unit to which goodwill has been allocated is tested for impairment annually, or more frequently when there is an indication that the unit may be impaired. If the recoverable amount of the Cash

Generating Unit is less than its carrying amount, the impairment loss is allocated first to reduce the carrying amount of any goodwill allocated to the unit and then to the other assets of the unit pro rata based on the carrying amount of each asset in the unit. Any impairment loss for goodwill is recognised directly in Statement of Profit and Loss. An impairment loss recognised for goodwill is not reversed in subsequent periods.

On disposal of the relevant Cash Generating Unit, the attributable amount of goodwill is included in the determination of the profit or loss.

The Company has elected to use the exemption available under Ind AS 101 to continue the carrying value for goodwill as recognized in the financial statements as at the date of transition to Ind AS, measured as per the previous GAAP and use that as its deemed cost as at the date of transition (1st April 2015).

3.8. Non-Current Assets held for Sale

Non-Current Assets classified as held for sale are measured at the lower of carrying amount and fair value less costs to sell.

Non-Current Assets are classified as held for sale if their carrying amounts will be recovered through a sale transaction rather than through continuing use. This condition is regarded as met only when the sale is highly probable and the asset is available for immediate sale in its present condition subject to terms that are usual and customary for sales of such assets. Management must be committed to the sale, which should be expected to qualify for recognition as a completed sale within one year from the date of classification as held for sale, and actions required to complete the plan of sale should indicate that it is unlikely that significant changes to the plan will be made or that the plan will be withdrawn.

Property, Plant and Equipment and Intangible Assets are not depreciated or amortized once classified as held for sale.

3.9. Revenue Recognition

- 3.9.1. Revenue from sales of goods and services are recognized upon the satisfaction of a performance obligation, which occurs when control transfers to the customer. Control of the goods is determined to be transferred to the customer when the title of goods passes to the customer, which typically takes place when product is physically transferred into a vessel, pipeline (other than Company owned pipeline) or other delivery mechanism. In respect of revenue contracts for goods which provide for provisional pricing (wherever applicable) at the time of shipment, the final price adjustment if any will be given effect in the period in which it is finalised/ settled.
- 3.9.2. Revenue is measured at the transaction price of the consideration received or receivable and represents amounts receivable for goods and services including excise duty provided in the normal course of business, net of discounts or rebates, GST and sales tax. Any retrospective revision in prices is accounted for in the year of such revision.
- 3.9.3. Price Reduction Schedule (PRS) for delay in execution of contracts/supplies are accounted for as per the terms of the contracts/ agreement. The PRS amount would be recognised as income except on account of capital projects wherein the adjustments are carried out to the cost of the asset. The adjustments are carried out prospectively upon finalization.
- 3.9.4. The Company has entered into take or pay contracts with a customer. In this transaction, revenue is recognised as per the formula laid out in the contract with the customers.
- 3.9.5. Revenue from sale of scrap is recognised at the point in time when control (transfer of custody of goods) is passed to customers.
- 3.9.6. Revenue from Export Incentives as applicable are recognised as revenue as per para 3.13 on Government Grants. The incentive values are recognized initially for expected realizable value and subsequently adjusted for actual realized value in the period when it is actually sold.

- 3.9.7.** Interest income from Financial Assets is accrued on a time basis, by reference to the principal outstanding and at the effective interest rate applicable (which is the rate that exactly discounts estimated future cash receipts through the expected life of the financial asset to that asset's net carrying amount on initial recognition).
- 3.9.8.** For Non –Financial Assets, interest income is recognised on a time proportion basis. Interest Income on refundable taxes/ duties is recognised on receipt basis.
- 3.9.9.** Dividend Income is recognised when the right to receive the dividend is established.
- 3.9.10.** Excise duty is presented as expense in the Statement of Profit and Loss. Excise duty in respect of difference between closing and opening stock of excisable goods is included under “Other Expenses”.

3.10. Leases

To assess whether a contract conveys the right to control the use of an identified asset, the Company assesses whether:

- (i) The contract involves use of an identified assets
- (ii) The company has substantially all the economic benefits from the use of the asset through the period of the lease and
- (iii) The company has the right to direct the use of the asset.

Company as a lessee:

At the date of commencement of the lease, the Company recognizes a Right-of-Use Assets (ROU Assets) and a corresponding Lease Liability for all lease contracts / arrangements in which it is a lessee, except for lease with a term of twelve months or less (i.e. short term leases) and lease of low value assets. For these short-term and low value leases, the Company recognizes the lease payments on straight-line basis over the term of the lease.

Certain lease arrangements includes the options to extend or terminate the lease before the end of the lease term. Right-of-Use Assets and Lease Liabilities include these options when it is reasonably certain that they will be exercised.

The Lease Liability is initially measured at present value of the future lease payments over the reasonably certain lease term. The lease payments are discounted using the interest rate implicit in the lease, if it is not readily determinable, using the incremental borrowing rate. For leases with similar characteristics, the Company, on a lease by lease basis applies either the incremental borrowing rate specific to the lease or the incremental borrowing rate for the portfolio as a whole.

The Right-of-Use Assets are initially recognized at cost, which comprises the amount of the initial measurement of the Lease Liability adjusted for any lease payments made at or before the inception date of the lease along with any initial direct costs, restoration obligations and lease incentives received.

Subsequently, the Right-of-Use Assets are measured at cost less any accumulated depreciation and accumulated impairment losses, if any. The Right-of-Use Assets are depreciated using the straight-line method, except in case of leasehold lands where the ownership will be transferred to the Company, from the commencement date over the shorter of lease term or useful life of Right-of-Use Assets, however, in case of ownership of such right-of-use asset transfers to the lessee at the end of the lease term, such assets are depreciated over the useful life of the underlying asset. The Company applies Ind AS 36 to determine whether a Right-of-Use Asset are impaired and accounts for any identified impairment loss as described in the accounting policy below on "Impairment of Non-Financial Assets".

The interest cost on Lease Liability (computed using effective interest method) is expensed in the Statement of Profit and Loss unless eligible for capitalization as per accounting policy below on "Borrowing costs".

The Company accounts for each lease component within the contract as a lease separately from non-lease components of the contract in accordance with Ind AS 116 and allocates the consideration in the contract to each lease component on the basis of the relative stand-alone price of the lease component and the aggregate stand-alone price of the non-lease components.

Right-of-Use Assets are derecognized upon completion or cancellation of the lease contract.

Lease liability and Right-of-Use Assets have been separately presented in the Consolidated Balance Sheet and lease payments have been classified as Financing Cash Flows in the Consolidated Statement of Cash Flows.

Lease modification impact is on prospective basis.

3.11. Foreign Currency Transactions

The Company's Financial Statements are presented in Indian Rupee (₹), which is also its Functional Currency.

Transactions in currencies other than the respective entity's Functional Currency (foreign currencies) are recognised at the rates of exchange prevailing at the dates of the transactions. At the end of each reporting period, monetary items denominated in foreign currencies are translated using closing exchange rate prevailing on the last day of the reporting period.

Exchange difference arising in respect of foreign currency monetary items is recognised in the Consolidated Statement of Profit and Loss either as 'Exchange Rate Fluctuation loss/(gain) (Net)' or as 'Finance Cost' except for the exchange difference related to long term foreign currency monetary items outstanding as at March 31, 2016, in so far as, they relate to the acquisition of depreciable assets, are adjusted against the cost of such assets and depreciate the said adjustment, over the balance life of asset.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates at the dates of the initial transactions.

3.12. Borrowing Costs

Borrowing costs consists of interest and other costs incurred in connection with the borrowing of funds and interest on lease liability.

Borrowing costs also include exchange differences arising from foreign currency borrowings to the extent regarded as an adjustment to interest cost i.e. equivalent to the extent to which the exchange loss does not exceed the difference between the cost of borrowing in functional currency (₹) when compared to the cost of borrowing in a foreign currency. When there is an unrealized exchange loss which is treated as an adjustment to interest and subsequently there is a realized or unrealized gain in respect of the settlement or translations of the same borrowing, the gain to the extent of the loss previously recognized as an adjustment is also recognized as an adjustment to interest.

Borrowing costs specifically identified to the acquisition or construction of qualifying assets is capitalized as part of such assets. A qualifying asset is one that necessarily takes substantial period of time to get ready for intended use. Capitalization of borrowing costs is suspended when active development on the qualifying assets is interrupted other than on temporary basis and charged to the statement of Profit and Loss during such extended periods. All other borrowing costs are charged to the Consolidated Statement of Profit and Loss in the period in which they are incurred.

Discounts or premiums and expenses on the issue of debt securities are amortised over the term of the related securities and included within borrowing costs.

Investment Income earned on the temporary investment of funds of specific borrowings pending their expenditure on qualifying assets is deducted from the borrowing cost eligible for capitalization.

3.13. Government Grants

Government Grants including the export incentives are not recognised until there is reasonable assurance that the Company will comply with the conditions attached to them and that the grants will be received.

Government Grants are recognised in Consolidated Statement of Profit and Loss on a systematic basis over the periods in which the Company recognises as expenses the related costs for which the grants are intended to compensate.

Specifically, Government Grants whose primary condition is that the Company should purchase, construct or otherwise acquire non-current assets are recognised as deferred revenue in the balance sheet and transferred to Statement of Profit and Loss on a systematic and rational basis over the useful lives of the related assets.

The benefit of a Government loan at a below market rate of interest is treated as a Government Grant, measured as the difference between proceeds received and the fair value of the loan based on prevailing market interest rates.

3.14. Employee Benefits

Employee benefits include salaries, wages, provident fund, superannuation fund, gratuity, leave encashment, post-employment medical benefits, resettlement allowances and termination benefits.

3.14.1 Short Term Employee Benefits

All short-term employee benefits are recognized at their undiscounted amount in the accounting period in which they are incurred.

3.14.2 Post-Employment benefits

Defined Contribution Plans

Defined Contribution Plans comprising of contribution towards superannuation fund and is recognized based on the undiscounted amount of obligation of the Company to contribute to the plan. The same is paid to a fund administered through a separate trust.

Defined Benefit Plans

Defined Benefit Plans comprising of gratuity, post-retirement medical benefits and other long-term retirement benefits, which are recognized based on the present value of Defined Benefit Obligations and is computed using the Projected Unit Credit Method, which is being carried out at the end of each annual reporting period by independent actuaries. These are accounted as current Employee Costs or included in cost of Assets as permitted.

Net interest on the net defined liability is calculated by applying the discount rate at the beginning of the period to the net Defined Benefit Liability or Asset and is recognized in the Statement of Profit and Loss except those included in cost of Assets as permitted.

Re-measurement, comprising actuarial gains and losses, the effect of the changes to the asset ceiling (if applicable) and the return on plan assets (excluding net interest as defined above), are recognized in Other Comprehensive Income except those included in cost of assets as permitted in the period in which they occur and are not subsequently reclassified to profit or loss.

The Company contributes all ascertained liabilities with respect to Gratuity to the MRPL Gratuity Fund Trust (MGFT) other than erstwhile subsidiary company ONGC Mangalore Petrochemicals Limited (OMPL) whose Gratuity plan is unfunded. Other Defined Benefit schemes are un-funded.

The Retirement Benefit Obligation recognised in the Balance Sheet represents the actual deficit or surplus in the Company's Defined Benefit Plans. Any surplus resulting from the actuarial calculation is limited to the present value of any economic benefits available in the form of reductions in future contributions to the plans.

3.14.3 Other Long-term Employee Benefits

Other long term employee benefits (leave encashment and Provident Fund contribution to trust) are determined on actuarial valuation by independent actuaries using Projected Unit Credit method, which is being carried at the end of each annual reporting period.

The Company's contribution to the Provident Fund is remitted to separate trusts (MRPL's Provident Fund Trust) established for this purpose based on a fixed percentage of the eligible employee's salary and charged to the Statement of Profit and Loss or include in the cost of Assets as permitted. Shortfall, if any, in the fund assets, based on the Government specified minimum rate of return, is made good by the Company and charged to the Statement of Profit and Loss, other than the erstwhile subsidiary company ONGC Mangalore Petrochemicals Limited (OMPL), whose provident fund is paid to the Provident Fund Authorities and is expensed during the year.

Leave encashment which are not expected to occur within twelve months after the end of the period in which the employee renders the related service are recognised.

Liability towards the above plans are recognized at the present value of the defined benefit obligation as at the Balance Sheet date less the fair value of the plan assets out of which the obligations are expected to be settled.

Re-measurements gains and losses are recognized in the statement of profit and loss in the period in which they arise.

3.14.4 Termination Benefits for the company

Other than the erstwhile subsidiary company ONGC Mangalore Petrochemicals Limited (OMPL)

Premature Retirement on Medical Grounds

The Company has an approved scheme of Premature Retirement on Medical Grounds. Ex-gratia payment equivalent to 60 days emolument for each completed year of service or the monthly emoluments at the time of retirement multiplied by the balance months of service left before normal date of retirement, whichever is less is payable apart from Superannuation Benefits.

Scheme for Self Insurance for providing lump-sum monetary compensation

Under the scheme of 'Post Retirement Benefit and Benefit on Separation', in case of employee suffering death or permanent total disablement due to an accident arising out of and in the course of employment, a compensation equivalent to 100 months Basic Pay plus Dearness Allowance (DA) without laying down any minimum amount is payable.

Benefits of Separation under SABF (re-nomenclatured now as MDCPS)

In case of death / permanent disablement of an employee while in service in the Company, the beneficiary has to exercise desired options available within 6 months from the date of death / permanent total disablement.

Termination Benefits are charged to Statement of Profit and Loss as and when incurred.

3.15. Income Taxes

Income Tax Expense represents the sum of the Current Tax and Deferred Tax.

(i) Current Tax

The tax currently payable is based on Taxable Profit for the year together with any adjustment to tax payable in respect of previous years. Taxable Profit differs from 'Profit Before Tax' as reported in the Consolidated Statement of Profit and Loss because of items of income or expense that are taxable or deductible in other years and items that are never taxable or deductible. The Company's Current Tax is calculated using tax rates that have been enacted or substantively enacted by the end of the reporting period.

Current Income Tax Assets and Liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities.

(ii) Deferred Tax

Deferred Tax is provided using the Balance Sheet method and is recognized on temporary differences between the carrying amounts of Assets and Liabilities in the Consolidated Financial Statements and the corresponding tax bases used in the computation of taxable profit. Deferred Tax Liabilities are generally recognised for all taxable temporary differences. Deferred Tax Assets are generally recognised for all deductible temporary differences, the carry forward of unused tax credits and any unused tax losses to the extent that it is probable that taxable profits will be available against which those deductible temporary differences, the carry forward of unused tax credits and any unused tax losses can be utilised.

Deferred Taxes are recognised in respect of temporary differences which originate during the tax holiday period but reverse after the tax holiday period. For this purpose, reversal of temporary difference is determined using first in first out method.

The carrying amount of Deferred Tax Assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered.

Deferred Tax Liabilities and Assets are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realised, based on tax rates and tax laws that have been enacted or substantively enacted by the end of the reporting period.

The measurement of Deferred Tax Liabilities and Assets reflects the tax consequences that would follow from the manner in which the Company expects, at the end of the reporting period, to recover or settle the carrying amount of its Assets and Liabilities.

Deferred Tax Assets include Minimum Alternative Tax (MAT) paid in accordance with the tax laws in India, which is likely to give future economic benefits in the form of availability of set off against future income tax liability. Accordingly, MAT is recognised as Deferred Tax Asset in the Consolidated Balance Sheet when the asset can be measured reliably and it is probable that the future economic benefit associated with asset will be realised.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

Current and deferred tax for the year

Current and Deferred Tax are recognised in Consolidated Statement of Profit and Loss, except when they relate to items that are recognised in Other Comprehensive Income or directly in equity, in which case, the current and deferred tax are also recognised in Other Comprehensive Income or directly in Equity respectively.

3.16. Property, Plant and Equipment (PPE) and Right of Use Assets (ROU)

Property, Plant and Equipment held for use in the production or supply of goods or services, or for administrative purposes, are stated in the Balance Sheet at cost less accumulated depreciation and accumulated impairment losses if any. Freehold Land is not depreciated.

Property, Plant and Equipment in the course of construction for production, supply or administrative purposes are carried at cost, less any recognised impairment loss. The cost of an asset comprises its purchase price or its construction cost (net of applicable tax credits) and any cost directly attributable to bring the asset into the location and condition necessary for it to be capable of operating in the manner

intended by the management and the initial estimated present value of any contractual decommissioning obligation, if any. It includes professional fees and borrowing costs for qualifying assets capitalised in accordance with the Company's accounting policy. Such properties are classified to the appropriate categories of PPE when completed and ready for intended use. Parts of an item of PPE having different useful lives and material value as assessed by management and subsequent capital expenditure on Property, Plant and Equipment are accounted for as separate components. Subsequent expenditure is capitalized only if it is probable that the future economic benefits associated with the expenditure will flow to the Company.

Technical know-how / license fees relating to plants / facilities and specific software that are integral part of the related hardware are capitalized as part of cost of the underlying asset.

Depreciation of PPE commences when the assets are ready for their intended use.

Depreciation is provided on the cost of PPE (other than freehold land and properties under construction) less their residual values (after retaining the estimated residual value of up to 5%) over their useful lives, using Straight Line Method, over the useful life of component of various assets as specified in Schedule II to the Companies Act, 2013, except in case of certain components of the Plant and Equipment/other assets whose useful lives are determined based on technical evaluation and the useful life considered under Company's policy for the employee's vehicle, computer and furniture scheme.

The estimated useful lives, residual values and depreciation method are reviewed at the end of each reporting period, with the effect of any changes in estimate accounted for on a prospective basis.

In respect of the capital goods common for both GST and non-GST products, the GST input tax credit is taken on the eligible portion based on GST and non-GST product ratio in the month of accounting and the ineligible portion is capitalized. Subsequently, this ratio is reviewed every month as per the GST provisions and the differential GST amount arising due to changes in the ratio is capitalized when beyond the materiality threshold.

Expenditure on overhaul and repairs on account of planned shutdown which are of significant value (5% of the gross value of particular assets) is capitalized as component of relevant items of PPE and is depreciated over the period till next shutdown on straight line basis. Catalyst whose life is more than one year is capitalised as property, plant and equipment and depreciated over the guaranteed useful life as specified by the supplier when the catalyst is put to use.

Stores and Spares which qualifies as Property, Plant and Equipment for specific machinery are capitalised.

Major capital spares are capitalised as Property, Plant and Equipment.

Depreciation on addition on account of expenditure on overhaul and repairs, Catalyst, stores and spares and major capital spares which are capitalised as Property, Plant and Equipment are depreciated over the period starting when it is brought into service and continuing over the shorter of its useful life and the remaining expected useful life of the asset to which it relates and written down value of the old spare is charged to the Consolidated Statement of Profit and Loss as and when replaced.

Depreciation on additions/deletions to PPE during the year is provided for on a pro-rata basis with reference to the date of additions/deletions except low value items not exceeding ₹5,000/- (other than Company purchase scheme for employees) which are fully depreciated at the time of addition.

Estimated useful lives of the Assets are as follows:

SI. No.	Particulars	Useful lives (in years)
1.	Buildings	1-60
2.	Plant and Equipment – Catalysts	2-10

3.	Plant and Equipment – Computers	3-7
4.	Plant and Equipment – Continuous Process Plant not covered under Specific Industries (Triple shift)	7.5
5	Plant and Equipment – Electrical/ Lab/ Canteen/ School	10
6.	Plant and Equipment – Instrumentation items/ DCS/ Hospital/ Others	15-42
7	Plant and Equipment – Refinery Assets	15-42
8.	Plant and Equipment – Process Plant	25-30
9.	Plant and Equipment – Pipelines/ SPM/ Offshore Component/ Civil Structure	15-42
10.	Plant and Equipment – Power Plant	25-40
11.	Railway Siding	15
12.	Plant and Equipment – Others	3-15
13	Office Equipment	3-15
14.	Furniture and Fixtures	3-10
15	Vehicles	4-15

An item of Property, Plant and Equipment is derecognised upon disposal, replacement, deduction, reclassification or when no future economic benefits are expected to arise from the continued use of the asset. The loss arising on retirement of an item of Property, Plant and Equipment is determined with regard to the WDV value and the net value of after set off of the accumulated depreciation as on date is recognized in Consolidated Statement of Profit and Loss.

In respect of immovable assets constructed on leasehold land, useful life as per Schedule II or lease period of land (including renewable/likely renewable period) whichever is earlier is considered.

The Company has elected to use the exemption available under Ind AS 101 to continue the carrying value for all of its Property, Plant and Equipment as recognized in the financial statements as at the date of transition to Ind AS, measured as per the previous GAAP and use that as its deemed cost as at the date of transition (1st April 2015).

Right-of-Use Assets are depreciated on a straight line basis over the lease term or useful life of the underlying asset, whichever is lower, except leasehold lands where the ownership will be transferred to the Company.

3.17. Intangible Assets

3.17.1. Intangible Assets other than Goodwill

Intangible Assets with finite useful lives that are acquired separately are carried at cost less Accumulated amortisation and Accumulated impairment losses, if any. Amortisation is recognised on a straight-line basis over their estimated useful lives. The estimated useful life and amortisation method are reviewed at the end of each reporting period, with the effect of any changes in estimate being accounted for on a prospective basis. Intangible Assets with indefinite useful lives that are acquired separately are not subject to amortization and are carried at cost less accumulated impairment losses if any.

Technical know-how / license fee relating to production process and process design are recognized as intangible asset and amortized on a straight line basis over the life of the underlying plant / facility.

Expenditure on internally generated intangibles, excluding development costs, is not capitalized and is reflected in Consolidated Statement of Profit and Loss in the period in which such expenditure is incurred.

An internally-generated intangible asset arising from development (or from the development phase of an internal project) is recognized if, and only if, all of the following have been demonstrated:

- The technical feasibility of completing the intangible asset so that it will be available for use or sale
- The intention to complete the intangible asset and use or sell it;
- The ability to use or sell the intangible asset;
- How the intangible asset will generate probable future economic benefits;
- The availability of adequate technical, financial and other resources to complete the development and to use or sell the intangible asset; and
- The ability to measure reliably the expenditure attributable to the intangible asset during its development.

The amount initially recognised for internally generated intangible assets is the sum of the expenditure incurred from the date when the intangible asset first meets the recognition criteria listed above. Recognition of costs as an asset is ceased when the project is complete and available for its intended use, or if these criteria are no longer applicable.

Where development activities do not meet the conditions for recognition as an asset, any associated expenditure is treated as an expense in the period in which it is incurred.

Subsequent to initial recognition, internally generated intangible assets are reported at cost less accumulated amortisation and accumulated impairment losses, on the same basis as intangible assets that are acquired separately.

Cost incurred on computer software/licenses purchased/developed resulting in future economic benefits, other than specific software that are integral part of the related hardware, are capitalized as Intangible Asset and amortised based on technical evaluation or 10 year whichever is lower from the date when such software/licenses are capitalised. However, where such computer software/ license is under development or is not yet ready for use, accumulated cost incurred on such items are accounted as "Intangible Assets Under Development"

The Company has elected to use the exemption available under Ind AS 101 to continue the carrying value for all of its intangible assets as recognized in the financial statements as at the date of transition to Ind AS, measured as per the previous GAAP and use that as its deemed cost as at the date of transition (1st April 2015).

3.17.2. Derecognition of Intangible Assets

An Intangible Asset is derecognised on disposal, or when no future economic benefits are expected from use. Gains or losses arising from derecognition of an Intangible Asset, measured as the difference between the net disposal proceeds and the carrying amount of the Asset, and are recognised in Consolidated Statement of Profit and Loss when the Asset is derecognised.

3.17.3. Useful lives of Intangible Assets

Estimated useful lives of the Intangible Assets are as follows:

SI. No.	Particulars	Useful lives (in years)
1.	Computer Software	3-10
2.	Licence and Franchise	3

3.18. Impairment of Non-Financial Assets

The Company reviews the carrying amounts of its Non-Financial assets other than inventories, deferred tax assets, non-current assets classified as held for sale and goodwill at the end of each reporting period to determine whether there is any significant indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any). When it is not possible to estimate the recoverable amount of an individual asset, the Company estimates the recoverable amount of the Cash Generating Unit (CGU) to which the Asset belongs.

Recoverable amount is the higher of fair value less costs of disposal and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an Asset (or Cash Generating Unit) is estimated to be less than its carrying amount, the carrying amount of the Asset (or Cash Generating Unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in the Consolidated Statement of Profit and Loss.

An assessment is made at the end of each reporting period as to see if there are any indications that impairment losses recognized earlier may no longer exist or may have come down. The impairment loss is reversed, if there has been a change in the estimates used to determine the asset's recoverable amount since the previous impairment loss was recognized. If it is so, the carrying amount of the asset is increased to the lower of its recoverable amount and the carrying amount that have been determined, net of depreciation / amortization, had no impairment loss been recognized for the asset in prior years. After a reversal, the depreciation / amortization charge is adjusted in future periods to allocate the asset's revised carrying amount, less any residual value, on a systematic basis over its remaining useful life. Reversals of Impairment loss are recognized in the Consolidated Statement of Profit and Loss.

3.19. Consolidated Statement of Cash Flow

Consolidated Statement of Cash Flows are reported using the indirect method, whereby Profit After Tax is adjusted for the effects of transactions of a non-cash nature, any deferrals or accruals of past or future operating cash receipts or payments and item of income or expenses associated with Investing or Financing Activities. The Cash Flows are segregated into Operating, Investing and Financing Activities.

3.20. Earnings Per Share (EPS)

Basic Earnings per Share are calculated by dividing the Net Profit or Loss for the period attributable to Equity Shareholders (after deducting preference dividends, if any, and attributable taxes) by the weighted average number of Equity Shares outstanding during the period.

For the purposes of calculating Diluted Earnings per Share, the Net Profit or Loss for the period attributable to Equity Shareholders and the weighted average number of Shares outstanding during the period are adjusted for the effect of all dilutive potential Equity Shares.

3.21 Inventories

Inventories are valued at lower of cost and net realizable value. Cost of inventories comprises of purchase cost and other costs incurred in bringing inventories to their present location and condition. The cost has been determined as under:

Raw Materials (Crude)	On First In First Out (FIFO) basis.
Other Raw Materials	On Weighted Average Cost basis
Finished Goods	At Raw material and Conversion cost
Stock-in-Trade	On Weighted Average Cost basis
Stock-in-Process	At Raw Material and Proportionate Conversion Cost
Stores and Spares including packing materials	On Weighted Average Cost basis

Raw Materials are not written down below cost except in case where their prices have declined subsequently and it is estimated that the cost of the finished goods will exceed their net realizable value.

Excise duty on finished stocks lying at manufacturing location is provided for at the assessable value based on applicable duty.

Customs duty on Raw Materials lying in bonded warehouse is provided for at the applicable rates.

Obsolete, Slow Moving, Surplus and Defective Stocks are identified at the time of physical verification of stocks and where necessary, provision is made for such stocks.

Scrap items, when determined, are valued at estimated net realizable value.

3.22. Provisions, Contingent Liabilities, Contingent Assets and Commitments

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that the Company will be required to settle the obligation, and a reliable estimate can be made of the amount of the obligation.

The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the end of the reporting period, taking into account the risks and uncertainties surrounding the obligation. If the effect of time value of money is material, provisions are discounted using an appropriate pre-tax discount rate. When discounting is used, the increase in provision due to passage of time is recognized as a Finance Cost.

The expenses relating to a provision is presented in the Statement of Profit and Loss net of reimbursements, if any.

Contingent assets are disclosed in the Consolidated Financial Statements by way of Notes to Accounts when an inflow of economic benefits is probable.

Contingent liabilities are possible obligations whose existence will only be confirmed by future events not wholly within the control of the Company, or present obligations where it is not probable that an outflow of resources will be required or the amount of the obligation cannot be measured with sufficient reliability. Contingent liabilities are disclosed on the basis of judgment of the management / independent experts in the Consolidated Financial Statements by way of Notes to Accounts, unless possibility of an outflow of resources embodying economic benefit is remote.

Contingent assets and contingent liabilities are reviewed at each balance sheet date to reflect the current management estimate.

Capital and Other Commitments disclosed are in respect of items which in each case are above the threshold limit.

3.23. Financial Instruments

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity. Financial assets and financial liabilities are recognized when the Company becomes a party to the contractual provisions of the instruments. A financial liability is any liability that is a contractual obligation to deliver cash or another financial asset to another entity or a contract that will or may be settled in the entity's own equity instruments and is a non-derivative for which the entity is or may be obliged to deliver a variable number of the entity's own equity instruments.

Initial recognition and measurement

Financial Assets and Financial Liabilities are initially measured at fair value. Transaction costs that are directly attributable to the acquisition or issue of Financial Assets and Financial Liabilities (other than Financial Assets

and Financial Liabilities at fair value through profit or loss) are added to or deducted from the fair value of the Financial Assets or Financial Liabilities, as appropriate, on initial recognition. Transaction costs directly attributable to the acquisition of Financial Assets or Financial Liabilities at fair value through profit or loss are recognised immediately in Consolidated Statements of Profit and Loss.

3.24. Financial Assets

Subsequent Measurement

All recognised Financial Assets are subsequently measured in their entirety at either amortised cost or fair value, based on the business model for managing the financial assets and the contractual cash flow characteristics.

(i) Financial Assets at Amortised Cost

Financial Assets are subsequently measured at amortised cost using the effective interest method if these Financial Assets are held within a business whose objective is to hold these assets in order to collect contractual cash flows and the contractual terms of the Financial Asset give rise on specified dates to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding.

(ii) Financial Assets at Fair value through Other Comprehensive Income (FVOCI)

Financial Assets are measured at fair value through Other Comprehensive Income if these Financial Assets are held within a business whose objective is achieved by both selling Financial Assets and collecting contractual cash flows, the contractual terms of the Financial Asset give rise on specified dates to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding.

(iii) Financial Assets at Fair value through Profit or Loss (FVTPL)

Financial Assets are measured at fair value through profit or loss unless it is measured at amortised cost or at fair value through Other Comprehensive Income.

After initial measurement, any fair value changes including any interest income, impairment loss and other net gains and losses are recognized in the Consolidated Statement of Profit and Loss.

(iv) Cash and Cash Equivalents

The Company considers all highly liquid financial instruments, which are readily convertible into known amounts of cash that are subject to an insignificant risk of change in value and having original maturities of three months or less from the date of purchase, to be Cash Equivalents. Cash and Cash Equivalents consist of balances with banks which are unrestricted for withdrawal and usage.

(v) Equity Investments :

Equity Investments (Other than Subsidiaries, Joint Ventures (JV) and Associates):

All Equity Investments in the scope of Ind AS 109 are measured at Fair value. Equity Instruments which are held for trading are classified as at FVTPL. For all other such equity investments, the Company decides to classify the same either as FVOCI or FVTPL. The Company makes such election on an instrument-by-instrument basis. The classification is made on initial recognition and is irrevocable.

(vi) Impairment of Financial Assets

The Company assesses at each Consolidated Balance Sheet date whether a Financial Asset or a group of Financial Assets is impaired. Ind AS 109 requires expected credit losses to be measured through a loss allowance. The Company recognises lifetime expected losses for trade receivables that do not constitute a financing transaction. For all other Financial Assets, expected credit losses are measured at an amount equal to 12 month expected credit losses or at an amount equal to lifetime expected losses, if the credit risk on the Financial Asset has increased significantly since initial recognition.

(vii) Derecognition of Financial Assets

The Company derecognises a Financial Asset when the contractual rights to the cash flows from the asset expire, or when it transfers the Financial Asset and substantially all the risks and rewards of ownership of the asset to another party.

On derecognition of a Financial Asset in its entirety, the difference between the asset's carrying amount and the sum of the consideration received and receivable is recognised in the Consolidated Statement of Profit and Loss.

3.25. Financial Liabilities and Equity Instruments**3.25.1 Financial Liabilities****Subsequent Measurement****(i) Financial liabilities at amortised cost:**

Financial Liabilities are measured at Amortised Cost at the end of subsequent accounting periods. The carrying amounts of Financial Liabilities that are subsequently measured at amortised cost are determined based on the Effective Interest method. Interest expense that is not capitalised as part of costs of an asset is included in the 'Finance Costs' line item.

(ii) Financial liabilities at fair value through profit or loss

Financial liabilities at fair value through profit or loss include derivatives. Financial liabilities at FVTPL are measured at fair value and net gains and losses, including any interest expense, are recognised in profit or loss.

(iii) Embedded derivatives

Derivatives embedded in all other host contract except for an asset are separated only if the economic characteristics and risks of the embedded derivative are not closely related to the economic characteristics and risks of the host and are measured at fair value through profit or loss. Embedded derivatives closely related to the host contracts are not separated.

Derecognition of Financial Liabilities

The Company derecognises Financial Liabilities when, and only when, the Company's obligations are discharged, cancelled or have expired. The difference between the carrying amount of the Financial Liability derecognised and the consideration paid and payable is recognised in the Consolidated Statement of Profit and Loss.

3.25.2 Equity Instruments

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Equity instruments issued by the Company are recognised at the proceeds received. Incremental costs directly attributable to the issuance of new ordinary equity shares are recognized as a deduction from equity, net of tax effects.

3.26. Financial Guarantee

When the Company receives Financial Guarantee from its Holding Company, initially it measures guarantee fees at the fair value. The Company records the initial fair value of fees for Financial Guarantee received as "Deemed Equity" from Holding Company with a corresponding asset recorded as prepaid guarantee charges. Such deemed equity is presented under the head 'Other Equity' in the Balance Sheet. Prepaid guarantee charges are recognized in Consolidated Statement of Profit and Loss over the period of Financial Guarantee received.

3.27. Insurance Claims

- (a) All the insurance claims are accounted for on the basis of claims admitted / expected to be admitted to the extent that the amount recoverable can be measured reliably and it is virtually certain by the management to expect ultimate collection.
- (b) In case of total loss of asset, on intimation to the insurer, either the carrying cost of the asset or insurance value (subject to deductible excess) whichever is lower is treated as claims recoverable from insurance company subject to condition mentioned in para (a) above. In case insurance claim is less than the carrying cost of the asset, the difference is charged to Consolidated Statement of Profit and Loss.
- (c) In case of partial or other losses, expenditure incurred / payments made to put such assets back into use, to meet the third party or other liabilities (less deductible excess) if any, are accounted for as claims receivable from insurance company subject to condition mentioned in para (a) above. Insurance Policy deductible excess are expensed in the year in which corresponding expenditure is incurred.
- (d) In the eventuality of total loss, partial loss or other losses in any year and where condition of paragraph (a) above does not fulfill, then the losses are charged to the Consolidated Statement of Profit and Loss in the same year.
- (e) As and when claims are finally received from the insurance company, the difference, if any, between the claim receivable from insurance company and claims received is adjusted to Consolidated Statement of Profit and Loss.
- (f) All other claims and provisions are booked on the merits of each case.

3.28. Investment Property

Investment Properties (land or building or part of a building or both) are properties held to earn rentals and/or for capital appreciation or for both, but not for sale in the ordinary course of business, use in production or supply of goods or services or for administrative purposes. Investment Properties are measured initially at cost, including transaction costs. Subsequent to initial recognition, Investment Properties are measured in accordance with Ind AS 16 requirements for cost model. Free hold Land and Properties under construction are not depreciated.

An Investment Property is derecognized upon disposal or when the Investment Property is permanently withdrawn from use and no future economic benefits are expected from the disposal. Any gain or loss arising on de-recognition of the Property (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in Consolidated Statement of Profit and Loss in the period in which the Property is derecognized.

4. Critical Accounting Judgments, Assumptions and Key Sources of Estimation Uncertainty

Inherent in the application of many of the Accounting Policies used in preparing the Financial Statements is the need for management to make judgments, estimates and assumptions that affect the reported amounts of Assets and Liabilities, the disclosure of Contingent Assets and Liabilities, and the reported amounts of revenues and expenses. Actual outcomes could differ from the estimates and assumptions used.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and future periods are affected.

Key source of judgments, assumptions and estimation uncertainty in the preparation of the Financial Statements which may cause a material adjustment to the carrying amounts of Assets and Liabilities within the next financial year, are in respect of useful lives of Property, Plant and Equipment, Employee Benefit Obligations, Provision for Income Tax and measurement of Deferred Tax Assets.

4.1. Critical judgments in applying Accounting Policies

The following are the critical judgements, apart from those involving estimations (Refer note 4.2), that the

Management have made in the process of applying the Company's Accounting Policies and that have the significant effect on the amounts recognized in the Consolidated Financial Statements.

(a) Determination of Functional Currency

Currency of the primary economic environment in which the Company operates ("the Functional Currency") is Indian Rupee (₹) in which the Company primarily generates and expends cash. Accordingly, the management has assessed its functional currency to be Indian Rupee (₹).

4.2. Assumptions and key sources of estimation uncertainty

Information about estimates and assumptions that have the significant effect on recognition and measurement of Assets, Liabilities, Income and Expenses is provided below. Actual results may differ from these estimates.

a) Useful lives of Property, Plant and Equipment and Intangible Assets

Management reviews its estimate of the useful lives of PPE and Intangible Assets at each reporting date, based on the future economic benefits expected to be consumed from the Assets.

b) Defined Benefit Obligation (DBO)

Management's estimate of the DBO is based on a number of critical underlying assumptions such as standard rates of inflation, medical cost trends, mortality, discount rate and anticipation of future salary increases. Variation in these assumptions may significantly impact the DBO amount and the annual defined benefit expenses.

c) Provision for Income Tax

Significant judgements are involved in determining the provision for Income Taxes, including amount expected to be paid/recovered for uncertain tax positions.

d) Recognition of deferred tax assets

The extent to which Deferred Tax Assets can be recognized is based on an assessment of the probability of the Company's future taxable income against which the Deferred Tax Assets can be utilized. In addition, significant judgement is required in assessing the impact of any legal or economic limits or uncertainties.

e) Leases

Identifying whether a Contract includes a Lease

The Company enters into hiring/service arrangements for various assets/services. The Company evaluates whether a contract contains a lease or not, in accordance with the principles of Ind AS 116. This requires significant judgments including but not limited to, whether asset is implicitly identified and substantive substitution rights available with the supplier, decision making rights with respect to how the underlying asset will be used, economic substance of the arrangement, etc.

Determining Lease Term (including Extension and Termination Options)

The Company considers the lease term as the non-cancellable period of a lease adjusted with any option to extend or terminate the lease, if the use of such option is reasonably certain. Assessment of extension/termination options is made on lease by lease basis, on the basis of relevant facts and circumstances. The lease term is reassessed if an option is actually exercised. In case of contracts, where the Company has the option to hire and de-hire the underlying asset on some circumstances (such as operational requirements), the lease term is considered to be initial contract period.

Identifying Lease Payments for Computation of Lease Liability

To identify fixed (including in-substance fixed) lease payments, the Company consider the non-operating day rate/standby as minimum fixed lease payments for the purpose of computation of Lease Liability and corresponding Right of Use Assets.

Low Value Leases

Ind AS 116 requires assessment of whether an underlying asset is of low value, if lessee opts for the option of not to apply the recognition and measurement requirements of Ind AS 116 to leases where the underlying asset is of low value. For the purpose of determining low value, the Company has considered nature of assets and concept of materiality as defined in Ind AS 1 and the conceptual framework of Ind AS which involve significant judgment.

Determining Discount Rate for Computation of Lease Liability

For computation of Lease Liability, Ind AS 116 requires lessee to use their incremental borrowing rate as discount rate if the rate implicit in the lease contract cannot be readily determined.

For leases denominated in Company's Functional Currency, the Company considers the incremental borrowing rate to be Corporate Bond Rates for similar rated Organizations.

5. Property, Plant and Equipment

(All amounts are in ₹million unless otherwise stated)

Net Carrying Amount		As at March 31, 2022		As at March 31, 2021	
Freehold Lands			54.91		54.91
Buildings			7,668.70		4,365.25
Plant and Equipment			192,685.71		177,697.06
Railway Sidings			1,363.91		1,446.41
Furniture and Fixtures			205.75		243.64
Vehicles			78.75		93.52
Office Equipment			434.24		447.10
Total			202,491.97		184,347.89

Gross Carrying Amount		Freehold Lands	Buildings	Plant and Equipment	Railway Sidings	Furniture and Fixtures	Vehicles	Office Equipment	Total
Balance as at April 1, 2020		54.91	5,397.82	2,33,441.79	1,626.75	496.49	176.26	853.60	2,42,047.62
Additions / Reclassification / Transfer		-	35.34	3,455.28	15.82	15.78	4.58	36.53	3,563.33
Disposal / Deduction / Reclassification / Transfer to other heads		-	0.05	1,070.39	-	5.87	4.12	6.00	1,086.43
Balance as at March 31, 2021		54.91	5,433.11	2,35,826.68	1,642.57	506.40	176.72	884.13	2,44,524.52
Additions / Reclassification / Transfer		-	3,525.56	25,266.33	23.30	11.57	1.49	33.26	28,861.51
Disposal / Deduction / Reclassification / Transfer to other heads		-	1.55	285.90	-	3.59	1.58	3.91	296.53
Balance as at March 31, 2022		54.91	8,957.12	2,60,807.11	1,665.87	514.38	176.63	913.48	2,73,089.50

Accumulated depreciation		Freehold Lands	Buildings	Plant and Equipment	Railway Sidings	Furniture and Fixtures	Vehicles	Office Equipment	Total
Balance as at April 1, 2020		-	923.87	47,935.85	92.05	219.48	69.22	390.22	49,630.69
Depreciation		-	143.99	10,946.42	104.11	48.56	16.12	51.95	11,311.15
Disposal / Deduction / Reclassification / Transfer to other heads		-	-	752.65	-	5.28	2.14	5.14	765.21
Balance as at March 31, 2021		-	1,067.86	58,129.62	196.16	262.76	83.20	437.03	60,176.63
Depreciation		-	220.88	10,162.55	105.80	48.89	16.19	45.52	10,599.83
Disposal / deduction / Reclassification / Transfer to other heads		-	0.32	170.77	-	3.02	1.51	3.31	178.93
Balance as at March 31, 2022		-	1,288.42	68,121.40	301.96	308.63	97.88	479.24	70,597.53

5.1 Property Plant and Equipment pledged as security [refer note 22]:

Secured External Commercial Borrowings are secured by first pari passu charge over immovable Property, Plant & Equipment and first ranking pari passu charge over movable Property, Plant & equipment (including but not limited to Plant and Machinery, Spares, Tools, Furniture, Fixture, Vehicles and all other Movable Property, Plant & Equipment) both present and future.

Loan from OIDB is secured by way of first ranking pari passu charge by way of hypothecation / mortgage only on Property, Plant & Equipment / projects financed out of loan proceeds of OIDB.

Working capital borrowings from consortium banks are secured by way of first ranking pari passu charge by way of hypothecation of Company's stocks of Raw Material, Finished Goods, Stock-in-Process, Stores, Spares, Components, Trade receivables, outstanding Money Receivables, Claims, Bills, Contract, Engagements, Securities both present and future and further secured by second ranking pari passu charge over companies movable and immovable property (all Property, Plant & Equipment) both present and future.

5.2 The Company was eligible for certain economic benefits such as exemptions from entry tax, custom duty etc. on import/local purchase of capital goods in earlier years. The Company had accounted benefits received for custom duty and entry tax on purchase of Property, Plant and Equipment as Government grants. The Company had adjusted the cost of Property, Plant and Equipment as at April 1, 2017 and credited deferred Government grant amounting to ₹3,618.21 million. The deferred Government grant is amortised over the remaining useful life of the Property, Plant and Equipment amounting to ₹159.02 million for the year ended March 31, 2022 (Year ended March 31, 2021 ₹159.02 million).

5.3 As per the requirement of Ind AS 16 (Property, Plant and Equipment), the residual value and the useful life of an asset shall be reviewed at least at each financial year-end. During the current financial year, the estimated useful lives of Property, Plant and Equipment have been reviewed and revised wherever expectations differ from previous estimate, which is different from the useful life as indicated in Part C of Schedule II of Companies Act, 2013. The impact on account of above change is decrease in depreciation by ₹1,141.81 million during current financial year. Overall future impact on the Property, Plant and Equipment existing as on 31.03.2022 is not disclosed considering impracticability in assessing the effect of same.

5.4 Foreign exchange differences capitalised:

Additions/(adjustments) to Plant and Equipment includes ₹58.61 million [Year ended March 31, 2021 ₹(173.96) million] in relation to foreign exchange differences capitalised as per para D13A A of Ind AS 101 [refer note 50].

5.5 Few assets under the property, plant and equipment which are constructed on lease hold lands and whose useful life is more than the leasehold period are depreciated based on their useful lives considering the likely renewal of the lease period.

6. Right-of-Use Assets

Net Carrying Amounts		As at March 31, 2022		As at March 31, 2021	
Leasehold lands [refer note 6.1 and 6.2 below]		5,123.75		5,237.51	
Buildings		172.93		211.26	
Others (Right of Use of Assets)		2,135.56		2,231.30	
Total		7,432.24		7,680.07	

Gross Carrying Amount		Leasehold Lands	Buildings	Others (Right of Use of Assets)	Total
Balance as at April 1, 2020		5,521.96	288.05	2,400.32	8,210.33
Additions		26.68	-	8.60	35.28
Adjustment for Remeasurement/ Completion of Lease Contract		(52.76)	-	21.72	(31.04)
Balance as at March 31, 2021		5,495.88	288.05	2,430.64	8,214.57
Additions		19.58	-	11.09	30.67
Adjustment for Remeasurement/ Completion of Lease Contract		(7.09)	-	0.90	(6.19)
Balance as at March 31, 2022		5,508.37	288.05	2,442.63	8,239.05

Accumulated Depreciation		Leasehold Lands	Buildings	Others (Right of Use of Assets)	Total
Balance as at April 1, 2020		129.75	38.45	93.61	261.81
Additions		128.62	38.34	105.73	272.69
Adjustment for Remeasurement/ Completion of Lease Contract		-	-	-	-
Balance as at March 31, 2021		258.37	76.79	199.34	534.50
Additions		126.25	38.33	107.73	272.31
Adjustment for Remeasurement/ Completion of Lease Contract		-	-	-	-
Balance as at March 31, 2022		384.62	115.12	307.07	806.81

- 6.1** Includes leasehold lands where the ownership will be transferred to the Company at the end of the lease period. These leasehold lands are not depreciated.
- 6.2** Right-of-Use Assets includes land amounting to ₹485.67 million (As at March 31, 2021 ₹1,247.51 million), which is in possession of the Company towards which formal lease / sale deeds are yet to be executed .
- 6.3** An amount of ₹32.35 million (Year ended March 31, 2021 ₹37.57 million) for depreciation charged to Right-of-Use Asset has been capitalized as component of cost of Capital Work-in-Progress (CWIP) [refer note 7.3].

7. Capital Work-in-Progress (CWIP)

Particulars	As at March 31, 2022		As at March 31, 2021	
Buildings		69.68		399.57
Plant and Equipment		1,445.55		21,320.61
Complete software		27.49		63.86
Project expenditure pending allocation :				
Employee Benefits Expense	561.92		440.49	
Finance costs [refer note 7.1 and 7.2 below]	1,686.20		1,100.62	
Depreciation expense [refer note 7.3 below]	112.94		80.59	
Other expenses	79.11		60.14	
Less: Allocated/ Adjusted during the year	2,285.23	154.94	35.28	1,646.56
Total		1,697.66		23,430.60

- 7.1** Additions to CWIP includes borrowing costs amounting to ₹508.80 million (For the year ended March 31, 2021 ₹ 483.10 million) and allocated / will be allocated to different class of assets. The rate used to determine the amount of borrowing costs eligible for capitalisation was 6.20% (For the year ended March 31, 2021 was 7.14%) which is the effective interest rate on borrowings.
- 7.2** An amount of ₹76.93 million (Year ended March 31, 2021 ₹89.44 million) towards Finance cost on lease liability has been capitalized as a component of cost of Capital Work-in-Progress (CWIP).
- 7.3** An amount of ₹32.35 million (Year ended March 31, 2021 ₹37.57 million) towards depreciation charged to Right-of-Use Asset has been capitalized as a component of cost of Capital Work-in-Progress (CWIP)
- 7.4** Capital Work-in-Progress (CWIP) includes loan availed from OIDB, which is secured by way of first ranking pari passu charge by way of hypothecation / mortgage only on Property, Plant & Equipment / projects financed out of loan proceeds of OIDB [refer note 22.3], Unsecured Rupee Term Loan for Capex availed [refer note 22.8.1] and Unsecured Foreign Currency Term Loan (FCNR) (B) for Capex [refer note 22.9].
- 7.5** Till previous Financial Year, the Company had opted not to avail the GST input tax credit on the capital goods and the same was being capitalized along with the cost of the Assets. During the current financial year, the Company has started availing the input tax credit on the eligible GST input tax credit on the capital goods as permitted by GST Act and the applicable Rules, resulting in an amount of ₹231.80 million as at March 31, 2021 being reclassified from Capital Work-in-Progress (CWIP) to GST Input tax credit [refer note 15].

8. Investment Property

Net Carrying amount:	As at March 31, 2022	As at March 31, 2021
Freehold land	77.96	77.96
Total	77.96	77.96

Gross Carrying Amount	Amount
Balance as at April 1, 2020	77.96
Additions	-
Disposal / Deduction/ Reclassification / Transfer to other heads	-
Balance as at March 31, 2021	77.96
Additions	-
Disposal / Deduction/ Reclassification / Transfer to other heads	-
Balance as at March 31, 2022	77.96

Accumulated depreciation and impairment	Amount
Balance as at April 1, 2020	-
Depreciation	-
Disposal / Deduction/ Reclassification / Transfer to other heads	-
Balance as at March 31, 2021	-
Depreciation	-
Disposal / Deduction/ Reclassification / Transfer to other heads	-
Balance as at March 1, 2022	-

- 8.1 Includes land measuring 102.31 acres is held for capital appreciation.
- 8.2 There is no contractual obligation to purchase, construct or develop investment property.
- 8.3 The net amount recognised in the Statement of Profit and Loss for investment property for current year is ₹ Nil (Year ended March 31, 2021 ₹Nil).
- 8.4 No Right-of-Use Asset has been included in the investment property as given above.
- 8.5 The best evidence of fair value is current prices in an active market for similar properties.
- 8.6 The Company has considered the fair value of the freehold land amounting to ₹409.24 million as at March 31, 2022 (As at March 31, 2021 ₹409.24 million) based on the valuation carried out by independent valuer report dated October 30, 2020.

9. Goodwill

Particulars	Amount
Balance as at April 1, 2020	3,772.78
Impairment	-
Balance as at March 31, 2021	3772.78
Impairment	-
Balance as at March 31, 2022	3,772.78

- 9.1 Goodwill includes ₹4.04 million towards excess consideration paid over net assets acquired for acquisition of Nitrogen plant
- 9.2 Goodwill has been recognised in the books of the Company on account of amalgamation of erstwhile subsidiary company ONGC Mangalore Petrochemicals Limited (OMPL) as per the clarification in Indian Accounting Standard (Ind AS) Transition Facilitation Group (ITFG) Clarification Bulletin 9.

10. Other Intangible Assets

Net Carrying amount	As at March 31, 2022	As at March 31, 2021
Computer Software	55.09	65.41
License and Franchise	8.08	20.32
Total	63.17	85.73

Gross Carrying Amount	Computer Software	License and Franchise	Total
Balance as at April 1, 2020	191.16	49.53	240.69
Additions	21.88	-	21.88
Disposal / Deduction / Reclassification / Transfer to other heads	29.87	-	29.87
Balance as at March 31, 2021	183.17	49.53	232.70
Additions	8.46	6.43	14.89
Disposal / Deduction / Reclassification / Transfer to other heads	-	-	-
Balance as at March 31, 2022	191.63	55.96	247.59

Accumulated Amortisation	Computer Software	License and Franchise	Total
Balance as at April 1, 2020	130.08	12.68	142.76
Amortisation	17.55	16.53	34.08
Disposal / Deduction / Reclassification / Transfer to other heads	29.87	-	29.87
Balance as at March 31, 2021	117.76	29.21	146.97
Amortisation	18.78	18.67	37.45
Disposal / Deduction / Reclassification / Transfer to other heads	-	-	-
Balance as at March 31, 2022	136.54	47.88	184.42

11 Investments

11.1 Investments in Equity Instruments

Particulars	As at March 31, 2022		As at March 31, 2021	
	Number in million	Amount	Number in million	Amount
Investments in Equity Instruments				
Unquoted Investments (all fully paid up)				
(i) Investment in Joint Venture (Equity method)				
Shell MRPL Aviation Fuels and Services Limited (Face value of ₹10 per share) [refer note 11.1.1 below]	15.00	280.07	15.00	249.86
(ii) Investment: Others				
(a) Mangalam Retail Services Limited (at fair value) (Face value of ₹10 per share) [refer note 11.1.2 below]	0.02	0.28	0.02	0.28
(b) Mangalore SEZ Limited (at fair value) (Face value of ₹10 per share) [refer note 11.1.2 below]	0.48	4.80	0.48	4.80
Total		285.15		254.94

Aggregate carrying value of unquoted investments 285.15 254.94

Aggregate amount of impairment in value of investments - -

11.1.1 Details of Joint Venture

Name of Joint Venture	Principal activity	Place of incorporation and principal place of business	Proportion of ownership interest/ voting rights held by the Company	
Shell MRPL Aviation Fuels and Services Limited	Trading of aviation fuels	India	As at March 31, 2022	As at March 31, 2021
			50.00%	50.00%

11.1.2 Details of Investment: Others

Name of the Company	Principal activity	Place of incorporation and principal place of business	Proportion of ownership interest/ voting rights held by the Company	
			As at March 31, 2022	As at March 31, 2021
Mangalam Retail Services Limited (MRSL)	Distribution of petroleum products through retail outlet and transport terminal	India	18.98%	18.98%
Mangalore SEZ Limited	Developer of Special Economic Zone	India	0.96%	0.96%

The investment in Mangalam Retail Services Limited and Mangalore SEZ Limited have been measured at fair value through profit or loss. The management has considered the fair value (level 3 hierarchy) of such investment equivalent to the carrying amount as at reporting period.

Refer Note 3.6 for method followed for accounting of investment in joint venture.

12. Loans

Particulars	As at March 31, 2022		As at March 31, 2021	
	Non-current	Current	Non-current	Current
(a) Loans to employees	1,168.80	149.56	1,070.15	138.14
Secured, considered good	-	5.78	-	6.34
Unsecured, considered good	1,168.80	155.34	1,070.15	144.48
(b) Loans to directors and other officers (Secured, considered good)	-	-	4.34	0.80
(c) Loans to Customers (Secured, considered good) [refer note 12.1 below]	4.21	0.50	4.58	0.31
Total	1,173.01	155.84	1,079.07	145.59

- 12.1 Company has policy of providing financial assistance to Schedule Caste / Schedule Tribe category dealers for Retail Outlets under the Corpus Fund Scheme (CFS). Under this scheme upon written request seeking working capital loan / assistance by dealer, the company provides working capital loan for a full cycle of operation (equivalent to seven days sales volume) of the dealer. This working capital loan as well as the interest at the specified rate thereon will be recovered in hundred equal monthly instalments from the thirteenth month of commissioning of the dealer operated Retail Outlet.

13. Other Financial Assets

Particulars	As at March 31, 2022		As at March 31, 2021	
	Non-current	Current	Non-current	Current
(Secured, considered good unless otherwise stated)				
(a) Interest accrued on loans to employee / directors/ other officers	337.71	3.55	275.52	3.45
(b) Security Deposits (Unsecured, considered good)				
With Related Party	40.59	-	40.59	-
With vendors	137.03	42.56	135.14	12.69
Credit impaired - Deposits which are credit impaired	-	0.71	-	0.71
Less: Impairment for doubtful Deposits	-	0.71	-	0.71
(c) Interest accrued but not due on Others	177.62	42.56	175.73	12.69
Secured, considered good	-	2.34	-	2.62
Unsecured, considered good	-	0.01	-	-
	-	2.35	-	2.62
(d) Amount Receivable from Central Government (Unsecured, considered good) [refer note 13.1 below]	-	19.96	-	-
(e) Bank Deposits (with more than 12 months maturity) (Unsecured, considered good) [refer note 13.2 below]	0.09	-	0.09	-
(f) Receivables from Related Parties (Unsecured, considered good)	-	0.05	-	0.05
Total	515.42	68.47	451.34	18.81

13.1 As per the Government of India's scheme for Promotion of flagging of merchant ships in India by providing subsidy support to Indian Shipping companies in global tenders floated by Ministries / Departments / Central Public Sector Enterprises (CPSEs), the eligible Indian shipping company shall be paid the subsidy amount along with the charter hire amount as per the contract term by the Company and the Company will be then reimbursed by Government under the scheme.

13.2 Earmarked in favour of Commercial Taxes Authority.

14 Tax Assets/ (Liabilities) [Net]

Particulars	As at March 31, 2022		As at March 31, 2021	
	Non-current	Current	Non-current	Current
Tax assets	8,536.24	7,253.22	10,019.31	2,969.12
Less: Provision for current tax liabilities	8,382.75	6,043.28	8,382.75	1,084.76
Net tax assets / (liabilities)	153.49	1,209.94	1,636.56	1,884.36
Total	153.49	1,209.94	1,636.56	1,884.36

14.1 During the financial year ended March 31, 2020, the Company opted to settle Income Tax Disputes under the Direct Tax Vivad Se Vishwas Act, 2020, and accordingly, a sum of ₹1,084.76 Million payable under the said scheme was charged as prior year tax in the Statement of Profit and Loss in the financial year ended March 31, 2020. Pursuant to this, the tax assets and liabilities were reclassified for the year ended March 31, 2020. The tax assets of ₹2,908.37 Million and liabilities of ₹1,084.76 Million pertaining to assessment years for which the Company exercised the option were considered as current tax assets and current tax liabilities

respectively, as the same were expected to be settled within a year. The same treatment is continued in the current financial year, as the final orders under the said scheme are awaited.

- 14.2** The Taxation Laws (Amendment) Act, 2019 inserted a new section 115BAA in the Income Tax Act, 1961, which gives domestic companies a non-reversible option to pay corporate tax at reduced rate, subject to certain conditions. Such option can be exercised for the financial year 2019-20 or any subsequent financial year. The Company did not exercise the option for the financial years ended March 31, 2020 and March 31, 2021. The financial statements of the Company for the year ended March 31, 2022 have been prepared considering the old Corporate Tax rate. However, the option for the new lower tax rate for the financial year 2021-22 can be exercised by the Company on or before the due date for filing of the return of income for the financial year 2021-22.

15 Other Assets

Particulars	As at March 31, 2022		As at March 31, 2021	
	Non-current	Current	Non-current	Current
(Unsecured, considered good unless otherwise stated)				
(a) Capital advances to others				
Secured, considered good	123.92	-	548.21	-
Unsecured, considered good	7,028.30	-	7,035.68	-
	7,152.22	-	7,583.89	-
(b) Deposits with Government Authorities [refer note 15.1 below]	378.72	2,459.91	378.73	2,472.83
(c) Advance recoverable in kind				
From Related Parties	-	4.29	-	1.96
From Others	-	317.05	-	365.83
	-	321.34	-	367.79
(d) Balance with Government Authorities [refer note 7.5]	-	1,331.07	-	1,141.54
(e) Prepayments				
Others [refer note 15.2 below]	208.60	178.71	207.94	443.94
	208.60	178.71	207.94	443.94
(f) Gold coins	-	0.91	-	0.91
(g) Stock on Returnable Basis	-	-	-	41.39
Less: Impairment for Stock	-	-	-	41.39
Total	7,739.54	4,291.94	8,170.56	4,427.01

- 15.1** Includes ₹2,125.25 million relating to an appeal in the matter of classification of Reformat import pending before Hon'ble CESTAT and other amount paid under protest.
- 15.2** Includes ₹Nil as at March 31, 2022 with Related Parties [As at March 31, 2021, ₹1.21 million (₹0.58) million Non-Current and ₹0.63 million Current].

16. Inventories

Particulars	As at March 31, 2022		As at March 31, 2021	
	Amount	Total	Amount	Total
Raw materials				
(a) On hand	21,889.84		19,555.17	
(b) In transit	29,550.07	51,439.91	11,156.50	30,711.67
Stock-in-process		15,088.41		11,275.34
Finished goods	31,074.49		21,395.74	
Less: Provision for stock loss	5.91	31,068.58	5.91	21,389.83
Stock in Trade- Lube Oil		0.08		0.07
Stores and spares				
(a) On hand [refer note 16.3]	6,990.72		7,499.05	
(b) In transit	130.92		205.23	
Less: Provision for slow/non-moving inventories	91.19	7,030.45	53.18	7,651.10
Scrap [refer note 16.4]		241.14		
Total		1,04,868.57		71,028.01

- 16.1** The cost of inventories (cost of sales) recognised as an expense during the year is ₹7,16,584.34 million (Year ended March 31, 2021 ₹3,52,105.37 million).
- 16.2** The cost of inventories recognized as an expense includes ₹222.82 million (Year ended March 31, 2021 ₹ 300.56 million) in respect of write down of inventories to net realisable value. There has been no reversal of such write down in current year and previous year.
- 16.3** Includes stock lying with others amounting to ₹5.23 million (As at March 31, 2021 ₹Nil)
- 16.4** From current financial year, the Company has started recognising the scrap inventory at estimated net realisable value and recognised an amount of ₹241.14 million as at March 31, 2022. Introduction of the said accounting policy has resulted in increase in Profit Before Tax for FY 2021-22 by ₹ 241.14 million.
- 16.5** The method of valuation of inventories has been stated in **Note 3.21**.

17. Trade Receivables

Particulars	As at March 31, 2022	As at March 31, 2021
Secured [refer note 17.4 below]		
- Considered good	8,719.23	1,788.23
Unsecured		
- Considered good	34,557.46	22,718.48
Credit impaired		
- Receivable which are credit impaired	1,077.27	1,094.38
Less: Impairment for doubtful receivables	1,077.27	1,094.38
Total	43,276.69	24,506.71

- 17.1** Generally, the Company enters into long-term sales arrangement with Oil Marketing Companies for domestic sales and short term arrangement with others. Besides, the export of products are undertaken through term contracts, spot international tenders, short term tender arrangements, B2B arrangements and supplies to SEZ customers. The average credit period on sales ranges from 7 to 45 days (Year ended March 31, 2021 ranges from 7 to 45 days). Interest is not charged on trade receivables for the applicable credit period from the date of invoice. For delayed period of payments, interest is charged as per respective arrangements, which is upto 2 % per annum (Year ended March 31, 2021 upto 2% per annum) over the applicable bank rate on the outstanding balance.
- 17.2** Of the trade receivables, balance as at March 31, 2022 of ₹38,308.26 million (As at March 31, 2021 ₹22,141.76 million) are due from the customers mentioned below. There are no other customers who represent more than 5% of the total balance of trade receivables other than mentioned below.

Particulars	As at March 31, 2022	As at March 31, 2021
Customer 1	4,955.61	1,632.26
Customer 2	15,242.53	13,990.09
Customer 3	4,136.86	-
Customer 4	-	1,440.82
Customer 5	-	3,650.65
Customer 6	3,326.15	1,427.94
Customer 7	5,017.80	-
Customer 8	5,629.31	-
Total	38,308.26	22,141.76

Note: Major customers identity are not disclosed on account of market confidentiality. Trade receivable from individual customer for current / previous year not more than 5% of total trade receivables amount has not been disclosed.

- 17.3** Usually, the Company collects all receivables from its customers within the applicable credit period. The Company assesses impairment on trade receivables from all the customers on facts and circumstances relevant to each transaction.
- 17.4** Secured by bank guarantees / letter of credit received from customers.
- 17.5** The Company has concentration of credit risk due to the fact that the Company has significant receivables from customers mentioned in **note 17.2**, however these customers are reputed and creditworthy.
- 17.6** There are no outstanding receivables due from directors or other officers of the Company.
- 17.7** Movement of Impairment for doubtful receivables

Particulars	As at March 31, 2022	As at March 31, 2021
Balance at beginning of the year	1,094.38	1,142.36
Additions/ (Deletion) in expected credit loss allowance	5.77	8.88
Less: Write back during the year	22.88	56.86
Balance at end of the year	1,077.27	1,094.38

17.8 Trade Receivables Ageing :

Particulars	As at March 31, 2022						
	Outstanding for following periods from due date of payment						Total
	Not yet due	Less than 6 months	6 months to 1 Year	1 Year to 2 Years	2 Years to 3 Years	More than 3 Years	
Undisputed Trade Receivable-Considered good	40,536.90	2,739.79	-	-	-	-	43,276.69
Undisputed Trade Receivable-Which have significant increase in credit risk	-	-	-	-	-	-	-
Undisputed Trade Receivable-Credit Impaired	-	-	-	-	-	-	-
Disputed Trade Receivable-Considered good	-	-	-	-	-	-	-
Disputed Trade Receivable-Which have significant increase in credit risk	-	-	-	-	-	-	-
Disputed Trade Receivable-Credit Impaired	-	-	3.67	2.26	31.30	1,040.04	1,077.27
Total	40,536.90	2,739.79	3.67	2.26	31.30	1,040.04	44,353.96
Less: Impairment for Doubtful Receivable	-	-	3.67	2.26	31.30	1,040.04	1,077.27
Total Trade Receivable	40,536.90	2,739.79	-	-	-	-	43,276.69

Particulars	As at March 31, 2021						
	Outstanding for following periods from due date of payment						Total
	Not yet due	Less than 6 months	6 months to 1 Year	1 Year to 2 Years	2 Years to 3 Years	More than 3 Years	
Undisputed Trade Receivable-Considered good	21,732.09	2,774.46	0.16	-	-	-	24,506.71
Undisputed Trade Receivable-Which have significant increase in credit risk	-	-	-	-	-	-	-
Undisputed Trade Receivable-Credit Impaired	-	0.14	0.56	32.19	2.50	-	35.39
Disputed Trade Receivable-Considered good	-	-	-	-	-	-	-
Disputed Trade Receivable-Which have significant increase in credit risk	-	-	-	-	-	-	-
Disputed Trade Receivable-Credit Impaired	-	-	0.02	0.07	0.23	1,058.67	1,058.99
Total	21,732.09	2,774.60	0.74	32.26	2.73	1,058.67	25,601.09
Less: Impairment for Doubtful Receivable	-	0.14	0.58	32.26	2.73	1,058.67	1,094.38
Total Trade Receivable	21,732.09	2,774.46	0.16	-	-	-	24,506.71

18. Cash and Cash Equivalents

Particulars	As at March 31, 2022	As at March 31, 2021
Balances with banks	51.22	254.30
Cash on hand	4.02	3.95
Total	55.24	258.25

19. Other Bank Balances

Particulars	As at March 31, 2022	As at March 31, 2021
Bank Balance earmarked for CSR Activities [refer note 19.1 below]	120.39	-
Unclaimed dividend account [refer note 19.1 below]	248.97	249.36
Restricted bank balance for employee benevolent fund	13.95	13.16
Total	383.31	262.52

19.1 Amount deposited in the CSR / Unclaimed Dividend account is earmarked only for payment towards CSR activities / Dividend and cannot be used for any other purpose.

20 Equity Share Capital

Particulars	As at March 31, 2022	As at March 31, 2021*
Authorised share capital:		
2,900,000,000 Equity shares of ₹10 each (as at March 31, 2021: 2,900,000,000 Equity shares of ₹10 each)	29,000.00	29,000.00
3,200,000 Equity shares of ₹10,000 each * (as at March 31, 2021: Nil Equity shares)	32,000.00	-
100,000,000 Redeemable Preference shares of ₹10 each (as at March 31, 2021: 100,000,000 Preference shares of ₹10 each)	1,000.00	1,000.00
Issued and Subscribed:		
1,752,598,777 Equity shares of ₹10 each (as at March 31, 2021: 1,752,598,777 Equity shares of ₹10 each)	17,525.99	17,525.99
Fully paid equity shares:		
1,752,598,777 Equity shares of ₹10 each (as at March 31, 2021: 1,752,598,777 Equity shares of ₹10 each)	17,525.99	17,525.99
Add: Shares forfeited [refer note 20.6 below]	0.65	0.65
Total	17,526.64	17,526.64

* Effect of amalgamation of erstwhile subsidiary company ONGC Mangalore Petrochemicals Limited (OMPL) [Refer Note 50]

Reconciliation of Equity shares outstanding at the beginning and at the end of the reporting period:

Particulars	Number of shares in million	Share capital
Balance as at April 1, 2020	1,752.60	17,525.99
Changes during the year	-	-
Outstanding as at March 31, 2021	1,752.60	17,525.99
Changes during the year	-	-
Outstanding as at March 31, 2022	1,752.60	17,525.99

20.1 Terms/rights attached to Equity shares

The Company has two classes of equity shares having a par value of ₹10 per share and ₹10,000 per share. Each holder of equity shares is entitled to one vote per share. The dividend (if any) proposed by the Board of Directors is subject to the approval of the shareholders in the ensuing Annual General Meeting.

In the event of liquidation of the Company, the holders of equity shares will be entitled to receive remaining assets of the Company, after distribution of all preferential amounts. The distribution will be in proportion to the number of equity shares held by the shareholders.

20.2 Details of Equity shares held by the holding company or its subsidiaries or its associates are as under:-

Name of Equity Share holders	As at March 31, 2022		As at March 31, 2021	
	Number in million	% holding	Number in million	% holding
Oil and Natural Gas Corporation Limited	1,255.35	71.63	1,255.35	71.63
Hindustan Petroleum Corporation Limited	297.15	16.96	297.15	16.96

20.3 Details of shareholders holding more than 5% equity shares in the Company are as under:-

Name of Equity Share holders	As at March 31, 2022		As at March 31, 2021	
	Number in million	% holding	Number in million	% holding
Oil and Natural Gas Corporation Limited	1,255.35	71.63	1,255.35	71.63
Hindustan Petroleum Corporation Limited	297.15	16.96	297.15	16.96

20.4 Details of shareholding of promoters in equity shares of the Company are as under:-

Shares held by Promoters	As at March 31, 2022			As at March 31, 2021		
	Number in million	% holding	% Change during the year	Number in million	% holding	% Change during the year
Oil and Natural Gas Corporation Limited	1,255.35	71.63	-	1,255.35	71.63	-
Hindustan Petroleum Corporation Limited	297.15	16.96	-	297.15	16.96	-

20.5 Equity shares reserved for issue under options and contracts or commitments for the sale of shares or disinvestment: Nil (As at March 31, 2021: Nil).

20.6 Equity shares of ₹10 each (equivalent to 303,550 equity shares of ₹10 each) were forfeited in the year 2009-10 against which amount originally paid up was ₹654,000.

21 Other Equity

Particulars	As at March 31, 2022	As at March 31, 2021
(a) Deemed equity [refer note 3.26]	42.17	44.06
(b) Reserves and surplus		
(i) Capital redemption reserve	91.86	91.86
(ii) Securities premium	3,463.90	3,463.90
(iii) Capital reserve	0.07	0.07
(iv) General reserve	1,192.00	1,192.00
(v) Debenture Redemption reserve	-	-
(vi) Other reserve	(13,488.41)	(13,488.41)
(vii) Cash Flow Hedge Reserve	-	-
(viii) Retained earnings	63,265.30	33,650.87
Total	54,566.89	24,954.35

Particulars	As at March 31, 2022	As at March 31, 2021
(a) Deemed equity [refer note 21.1 below]		
Balance at beginning of the year	44.06	44.06
Addition during the year	(1.89)	-
Balance at end of the year	42.17	44.06
(b) Reserves and Surplus		
(i) Capital redemption reserve [refer note 21.2 below]		
Balance at beginning of the year	91.86	91.86
Transfer during the year	-	-
Balance at end of the year	91.86	91.86
(ii) Securities premium [refer note 21.3 below]		
Balance at beginning of the year	3,463.90	3,463.90
Transfer during the year	-	-
Balance at end of the year	3,463.90	3,463.90
(iii) Capital Reserve [refer note 21.5 below]		
Balance at beginning of the year	0.07	0.07
Transfer during the year	-	-
Balance at end of the year	0.07	0.07
(iv) General reserve [refer note 21.5 below]		
Balance at beginning of the year	1,192.00	1,192.00
Transfer from retained earnings	-	-
Balance at end of the year	1,192.00	1,192.00
(v) Debenture Redemption Reserve		
Balance at beginning of the year	-	-
Transfer to/ from retained earnings / Non controlling interest	-	-
Balance at end of the year	-	-
(vi) Other reserve [refer note 21.6 below]		
Balance at beginning of the year	(13,488.41)	-
Received during the year	-	-
Amalgamation of ONGC Mangalore Petrochemicals Limited (OMPL) [refer note 50]	-	(13,488.41)
Transfer during the year	-	-
Balance at end of the year	(13,488.41)	(13,488.41)
(vii) Cash Flow Hedging Reserve [refer note 21.7 below]		
Opening Balance	-	(0.37)
Reclassification to statement of profit or loss	-	0.37
Change in Fair Value	-	-
Balance at end of the year	-	-
(viii) Retained earnings		
Balance at beginning of the year	33,650.87	41,280.04
Profit / (Loss) after tax for the year	29,582.52	(7,649.67)
Other Comprehensive Income for the year, net of income tax	31.91	20.50
Payment of Dividends	-	-
Transfer to / from Debenture Redemption Reserve	-	-
Balance at end of the year	63,265.30	33,650.87

- 21.1** An amount of ₹42.17 million as at March 31, 2022 (As at March 31, 2021 ₹42.17 million) shown as deemed equity denotes the fair value of fees towards financial guarantee received from Oil and Natural Gas Corporation Limited without any consideration. Further to that as at March 31, 2021 an amount of ₹1.89 million towards the fair value of financial guarantee towards backstop for interest on CCDs issued by erstwhile subsidiary Company OMPL received from Oil and Natural Gas Corporation Limited without any consideration. The said amount of ₹1.89 million has been adjusted on account of amalgamation of erstwhile subsidiary company OMPL [refer note 50].
- 21.2** The Company created capital redemption reserve on redemption of preference share capital during the financial years 2011-12 and 2012-13.
- 21.3** The Company created securities premium on issue of equity share capital and the same can be utilized as per the requirement of the Companies Act, 2013.
- 21.4** Capital reserve created on account of consolidation during the year 2014-15
- 21.5** The General reserve is used from time to time to transfer profits from retained earnings for appropriation purposes. As the general reserve is created by a transfer from one component of equity to another and is not an item of other comprehensive income, items included in the general reserve will not be reclassified subsequently to Statement of Profit and Loss.
- 21.6** Other reserve represents excess consideration paid towards acquisition of non-controlling interest in erstwhile subsidiary company ONGC Mangalore Petrochemicals Limited (OMPL) from non-controlling share holder [refer note 50].
- 21.7** The cash flow hedging reserve represents the cumulative effective portion of gains or losses arising on changes in fair value of designated portion of hedging instruments entered into for cash flow hedges by Joint Venture, Shell MRPL Aviation Fuels and Services Limited. The cumulative gain or loss arising on changes in fair value of the designated portion of the hedging instruments that are recognised and accumulated under the heading cash flow hedging reserve will be reclassified to profit or loss only when the hedged transaction affects the profit or loss, or included as a basis adjustment to the non-financial hedged item.
- 21.8** The amount that can be distributed by the Company as dividends to its equity shareholders is determined considering the requirements of the Companies Act, 2013 and the dividend distribution policy of the Company. Thus, the amount reported in general reserves are not entirely distributable.

22 Borrowings

Particulars	As at March 31, 2022		As at March 31, 2021	
	Non-Current	Current	Non-Current	Current
Secured – at amortised cost				
Term Loans:-				
From banks				
External Commercial Borrowings (ECB) [refer note 22.1 below]	3,892.05	8,135.45	11,577.78	9,463.91
Foreign Currency Borrowings [refer note 22.2 below]	24,244.11	3,026.81	26,300.00	-
From others				
Oil Industry Development Board (OIDB) [refer note 22.3 below]	2,439.37	1,485.63	3,925.00	1,347.50
Interest Free Loan from Govt. Karnataka - VAT Loan [refer note 22.4 below]	461.93	-	418.09	-
Loan repayable on demand:-				
From banks [refer note 22.5 below]	-	5,181.94	-	-
Unsecured – at amortised cost				
Debentures :-				
Non Convertible Debentures (NCD) [refer note 22.6 below]	49,751.95	-	37,752.25	-
Compulsorily Convertible Debentures (CCD)				
Related Party	-	-	4,896.57	-
Others [refer note 22.7 below]	-	-	5,096.43	-
Term loan :-				
From Banks				
Rupee Term Loan from bank [refer note 22.8 below]	12,213.22	-	9,868.16	-
Foreign Currency Term Loan (FCNR) [refer note 22.9 below]	7,579.75	-	6,214.78	-
Foreign Currency Borrowings (FCTL) [refer note 22.10 below]	-	11,367.74	10,962.15	-
External Commercial Borrowings (ECB): Working Capital [refer note 22.11 below]	41,525.06	-	39,981.96	-
Deferred Payment Liabilities:-				
From Government of Karnataka [refer note 22.12 below]	47.59	-	-	-
Loan repayable on demand:-				
From banks				
Foreign Currency Term Loan (FCTL) [refer note 22.13 below]	-	-	-	11,698.40
Bills Discounting Facility : SBI [refer note 22.14 below]	-	1,149.30	-	766.48
Other Working Capital Loan [refer note 22.15 below]	-	38,349.87	-	31,563.32
Working capital loan from Others				
Commercial Paper [refer note 22.16 below]	-	-	-	26,500.00
Total	142,155.03	68,696.74	156,993.17	81,339.61

22.1 External Commercial Borrowings (ECB) :

- 22.1.1** ECB-1 taken by the company amounting to ₹11,356.37 million (As at March 31, 2021 ₹18,241.90 million) are USD denominated loans and carries variable rate of interest which is six month Libor plus spread (Interest rate as at March 31, 2022 is 1.32 % and interest rate as at March 31, 2021 was 1.24%).
- 22.1.2** ECB-2 taken by the erstwhile subsidiary company ONGC Mangalore Petrochemicals Limited (OMPL) amounting to ₹671.13 million (As at March 31, 2021 ₹2,799.78 million) are USD denominated Loans and carries variable rate of interest, which is six month libor plus spread (Interest Rate as at March 31, 2022 is 3.89% and Interest rate as at March 31, 2021 was 2.60%).
- 22.1.3** ECB-1 is secured by first pari passu charge over immovable Property, Plant & Equipment and first ranking pari passu charge over movable Property, Plant & Equipment (including but not limited to Plant and Machinery, Spares, Tools, Furniture, Fixture, Vehicles and all other Movable Property, Plant & Equipment) both present and future.
- 22.1.4** ECB-2 is secured by first pari passu charge over all immovable and movable properties both present and future and second charge on all current assets of the erstwhile subsidiary company OMPL.
- 22.1.5** ₹ 8,135.45 million (As at March 31, 2021 of ₹ 9,463.91 million) is repayable within one year i.e. Current Maturities of long term debt has been shown as Current Borrowing.
- 22.1.6** Repayment schedule of ECB is as follows:

Year of repayment [refer note 22.17 below]	As at March 31, 2022	As at March 31, 2021
2021-22	-	9,466.51
2022-23	8,135.45	7,847.54
2023-24	3,905.31	3,767.09
Total	12,040.76	21,081.14

22.2 Foreign Currency Borrowings (FCTL) :

- 22.2.1** Foreign Currency Borrowings taken by the erstwhile subsidiary company ONGC Mangalore Petrochemicals Limited (OMPL) are USD denominated Loans (USD 360 million) and carries variable rate of interest, which is six month Libor based plus spread (Interest Rate as at March 31, 2022 is 2.93% and Interest rate as at March 31, 2021 was 2.64%).
- 22.2.2** Foreign Currency Borrowing is secured by way of first pari passu charge on Fixed Assets of the Company both present and future.
- 22.2.3** ₹ 3,026.81 million (As at March 31, 2021 of ₹ Nil) is repayable within one year i.e. Current Maturities of long term debt has been shown as Current Borrowing.
- 22.2.4** Repayment schedule of Foreign Currency Borrowings (FCTL) is as follows:

Year of repayment [Refer note 22.17 below]	As at March 31, 2022	As at March 31, 2021
2022-23	3,031.90	2,924.60
2023-24	5,123.91	4,942.57
2024-25	5,457.42	5,264.28
2025-26	5,457.42	5,264.28
2026-27	6,215.40	5,995.43
2027-28	2,001.05	1,930.24
Total	27,287.10	26,321.40

22.3 Loan from Oil Industry Development Board (OIDB) :

- 22.3.1** Loan from OIDB taken by the Company carries fixed rate of interest (Interest rate as at March 31, 2022 and March 31, 2021 is in range of 6.01% to 7.98%).
- 22.3.2** OIDB loan is secured by way of first ranking pari passu charge by way of hypothecation / mortgage only on Property, Plant & Equipment / projects financed out of loan proceeds of OIDB.
- 22.3.3** ₹ 1,485.62 million (As at March 31, 2021 of ₹ 1,347.50 million) is repayable within one year i.e. Current Maturities of long term debt has been shown as Current Borrowings.
- 22.3.4** Repayment schedule of loan from OIDB is as follows:

Year of repayment [refer note 22.17 below]	As at March 31, 2022	As at March 31, 2021
2021-22	-	1,347.50
2022-23	1,485.62	1,485.62
2023-24	1,485.62	1,485.62
2024-25	815.63	815.63
2025-26	138.13	138.13
Total	3,925.00	5,272.50

22.4 Interest Free Loan from Govt. of Karnataka - VAT Loan

22.4.1 This Loan represents amounts payable on account of "Interest free loan" received from Government of Karnataka. This interest free loan against VAT will be repayable from March 31, 2028.

22.4.2 The benefit of a Government loan at a below-market rate of interest is treated as a government grant (Ind AS 20). The Interest free loan is recognised and measured in accordance with Ind AS 109, Financial Instruments. The benefit of the Interest free loan is measured as the difference between the initial carrying value of the loan determined in accordance with Ind AS 109, and the proceeds received. The benefit is accounted for in accordance with this Standard.

22.4.3 Interest Free Loan from Govt. of Karnataka - VAT Loan are secured by bank guarantees given by the company.

22.4.4 Repayment schedule of Interest Free Loan from Govt. of Karnataka- VAT loan is as follows:

Year of repayment [refer note 22.17 below]	As at March 31, 2022	As at March 31, 2021
2027-28	132.61	132.61
2028-29	155.16	155.16
2029-30	197.76	197.76
2030-31	208.53	208.53
2031-32	322.83	322.83
2032-33	74.88	74.88
Total	1,091.77	1,091.77

22.5 Loan Repayable on Demand

22.5.1 Working capital borrowings pertaining to the company amounting to ₹ 181.94 million (As at March 31, 2021 ₹ Nil) from consortium banks are secured by way of first ranking pari passu charge by way of hypothecation of Company's stocks of Raw Material, Finished Goods, Stock-in-Process, Stores, Spares, Components, Trade receivables, outstanding Money Receivables, Claims, Bills, Contract, Engagements, Securities both present and future and further secured by second ranking pari passu charge over companies movable and immovable property (all Property, Plant & Equipment) both present and future.

Short Term Rupee loan pertaining to erstwhile subsidiary company OMPL amounting to ₹ 5,000.00 million (As at March 31, 2021 ₹ Nil) is sanctioned by earmarking existing Overdraft Limit of a Bank which is secured by way of first pari passu charge on inventories, receivables and other current assets and second pari passu charge on the fixed assets of the erstwhile subsidiary company OMPL.

22.6 Non Convertible Debentures (NCD):

Unsecured Redeemable Non-Convertible Fixed Rate Debentures (Privately Placed):

Sl. No.	ISIN	Face Value Per Debenture (₹)	Date of Allotment	As at 31.03.2022	Coupon Rate	Maturity [refer note 22.17 below]	
						Amount	Date
1	INE103A08027	10,00,000	13-Jan-20	4,999.50	6.64%	5,000.00	14-Apr-23
2	INE103A08019	10,00,000	13-Jan-20	9,997.64	7.40%	10,000.00	12-Apr-30
3	INE103A08035	10,00,000	29-Jan-20	10,592.83	7.75%	10,600.00	29-Jan-30
4	INE103A08043	10,00,000	29-Dec-20	12,165.24	6.18%	12,170.00	29-Dec-25
5	INE103A08050	10,00,000	29-Dec-21	11,996.74	7.48%	12,000.00	14-Apr-32
	Total			49,751.95		49,770.00	

22.7 Unsecured Compulsorily Convertible Debentures (CCDs) :

- 22.7.1** The erstwhile Subsidiary Company OMPL had allotted 1,000 Compulsorily Convertible Debentures (CCDs) of ₹ 10 million each on March 5, 2020 through private placement. Company has issued CCDs in 3 different series. Series I Debentures consists of ₹ 2,500 million with Coupon Rate of 8.35% p.a., Series II Debentures consists of ₹ 2,500 million with Coupon Rate of 8.50% p.a. and Series III Debentures consists of ₹ 5,000 million with Coupon Rate of 8.75% p.a. Interest for all the three series of debentures to be served on quarterly basis.
- 22.7.2** Coupon Rate of Series I Debenture was subject to annual reset with interest rate linked to 364 days Treasury bill. The interest rate has been reset on March 5, 2022 from 6.91% to 7.82% p.a.. Coupon rate for series II and series III CCDs are fixed over the tenure of debentures.
- 22.7.3** Under Transaction Document of CCDs, the erstwhile Subsidiary Company OMPL had obligation to timely service the interest to investors. Further, CCDs were backed by undertaking from Sponsor Companies i.e. ONGC and MRPL to ensure payment of Coupon amount on debentures in case erstwhile Subsidiary Company OMPL fails to do so.
- 22.7.4** Tenor of CCDs was 36 months from Deemed Date of Allotment, with mandatory Put / Call Option at the end of the 35th month. The Sponsors (in the ratio of ONGC - 49% and MRPL - 51%) to mandatorily acquire all the CCDs from the investors at the end of 35th month from the date of allotment.
- 22.7.5** The Company (MRPL) was nominated by ONGC to buyout CCDs of ₹ 4,900 million for which backstop support was given by ONGC. Considering the amalgamation process, CCDs issued by erstwhile Subsidiary Company OMPL were acquired by the company on March 30, 2022 by exercising Accelerated Buyout Option. As per scheme of amalgamation filed with Ministry of Corporate Affairs (MCA) upon amalgamation becoming effective CCDs stand extinguished and cancelled in entirety without any consideration and without any further act or deed [refer note 50].

22.8 Rupee term loan from bank :

- 22.8.1** Term loan - 1 taken by the Company amounting to ₹ 2,343.00 million (As at March 31, 2021 ₹ Nil) carries variable rate of interest which was linked to RBI Repo Rate plus spread (Interest rate as at March 31, 2022 is 5.75%).
- 22.8.2** Term loan-2 taken by the erstwhile subsidiary company OMPL amounting to ₹ 9,870.22 million (As at March 31, 2021 ₹ 9,868.16 million) carries variable rate of interest which was linked to G-Sec linked lending rate (Interest rate as at March 31, 2022 is 6.35% and Interest rate as at March 31, 2021 was 6.25%).

22.8.3 Repayment schedule of Term Loan is as follows:

Year of repayment [refer note 22.17 below]	As at March 31, 2022	As at March 31, 2021
2023-24	3,703.18	3,703.18
2024-25	4,937.57	4,937.57
2025-26	1,234.39	1,234.39
2026-27	2,343.00	-
Total	12,218.14	9,875.14

22.9 Foreign Currency Term Loan (FCNR)

- 22.9.1** FCNR (B) Capex Loan taken by the company carries variable rate of interest which is six months USD Libor plus spread (Interest rate as at March 31, 2022 is 2.29% and interest rate as at March 31, 2021 was 1.70%).
- 22.9.2** Repayment schedule of Foreign Currency Term Loan (FCNR) is as follows:

Year of repayment [refer note 22.17 below]	As at March 31, 2022	As at March 31, 2021
2023-24	6,442.79	6,214.78
2024-25	1,136.96	-
Total	7,579.75	6,214.78

22.10 Foreign Currency Borrowings (FCTL)

22.10.1 Foreign Currency Borrowings taken by the erstwhile subsidiary company OMPL is USD denominated Loan and carries variable rate of interest, which is six month Libor based plus spread (Interest Rate as at March 31, 2022 is 2.23% and Interest rate as at March 31, 2021 was 2.25%).

22.10.2 Repayment schedule of Foreign Currency Term Loan (FCTL) is as follows:

Year of repayment [refer note 22.17 below]	As at March 31, 2022	As at March 31, 2021
2022-23	11,369.63	10,967.25
Total	11,369.63	10,967.25

22.11 Working capital Term Loan from Banks - ECB :

22.11.1 External Commercial Borrowing taken by the Company are USD denominated loans and carries variable rate of interest which is six month USD Libor plus spread (Interest rate as at March 31, 2022 is 2.56 % and as at March 31, 2021 was 1.54%).

22.11.2 Repayment schedule of Working Capital loan ECB is as follows:

Year of repayment [refer note 22.17 below]	As at March 31, 2022	As at March 31, 2021
2023-24	75.80	73.12
2024-25	30,243.20	29,172.88
2025-26	11,369.63	10,967.25
Total	41,688.63	40,213.25

22.12 Deferred Payment Liabilities - From Government of Karnataka :

22.12.1 Deferred payment liability against tax payable under Central Sales Tax (CST) represents amount payable on account of "Interest free loan" received from Govt. of Karnataka. This sum of the deferred CST loan against Central Sales Tax (CST) shall be repayable in five equal annual instalments without interest after the closure of deferment period.

22.12.2 The benefit of a Government loan at a below-market rate of interest is treated as a government grant (Ind AS 20). The Interest free loan is recognised and measured in accordance with Ind AS 109, Financial Instruments. The benefit of the Interest free loan is measured as the difference between the initial carrying value of the loan determined in accordance with Ind AS 109, and the proceeds received. The benefit is accounted for in accordance with this Standard.

22.12.3 Repayment schedule of Deferred Payment Liabilities - From Government of Karnataka is as follows:

Year of repayment [refer note 22.17 below]	As at March 31, 2022	As at March 31, 2021
2025-26	17.27	-
2026-27	17.27	-
2027-28	17.27	-
2028-29	17.27	-
2029-30	17.27	-
Total	86.35	-

22.13 Foreign currency Term loan (FCTL) :

22.13.1 Foreign Currency Term Loan was taken by the company are USD denominated loans, repayable within one year from the date of each disbursement and carries variable rate of interest which is three month USD Libor plus spread.

22.14 Bill Discounting Facility :

22.14.1 Unsecured Bill discounting facility against Non LC bill drawn on erstwhile Subsidiary Company "ONGC Mangalore Petrochemicals Limited" (OMPL) (Interest rate as at March 31, 2022 is 4.20% and March 31, 2021 was 4.50%).

22.15 Other Working Capital Loan:

22.15.1 Unsecured short term working capital loan from bank amounting to ₹ 21,136.40 million (As at March 31, 2021 ₹ 15,405.00 million) (Interest rate as at March 31, 2022 is in range of 3.88% to 4.00% and March 31, 2021 was in range of 4.10% to 4.25%).

22.15.2 Unsecured Short Term Rupee loan from Banks pertaining to erstwhile subsidiary company OMPL amounting to ₹ 17,213.47 million (As at March 31, 2021 ₹ 16,158.32 million) (Interest rate as at March 31, 2022 is in the range of 4.10% to 4.20% and interest rate as at March 31, 2021 was in the range of 4.25% to 4.50%).

22.16 Commercial Paper

22.16.1 The Commercial paper issued is unsecured fixed rate short term debt instrument.

22.17 The repayment schedules disclosed above are based on contractual cash outflows and hence will not reconcile to carrying amounts of such borrowings which are accounted at amortised cost.

23 Other Financial Liabilities

Particulars	As at March 31, 2022		As at March 31, 2021	
	Non-Current	Current	Non-Current	Current
Unclaimed dividends [refer note 23.1 below]	-	248.98	-	249.36
Interest accrued but not due	-	877.86	-	657.73
Deposits from suppliers/ contractors/others	-	493.81	-	532.85
Payable against capital goods [refer note 23.2 below]	-	3,426.60	-	2,977.47
Liability for employees	-	977.30	-	299.36
Other liabilities relating to customers and vendor	-	1,572.84	-	1,608.19
Unspent CSR Liability [refer note 36.3 (c)]	-	119.45	-	216.77
Bills Payable [refer note 23.3 below]	-	-	-	3,258.96
Total	-	7,716.84	-	9,800.69

23.1 No amount is due for payment to the Investor Education Protection Fund.

23.2 Price reduction schedule

Payable against capital goods includes ₹ 203.67 million (As at March 31, 2021 ₹ 242.28 million) relating to amounts withheld from vendors pursuant to price reduction schedule which will be settled on finalisation of proceedings with such vendors. When the withheld amounts are ultimately finalised, the related adjustment is made to the Property, Plant and Equipment prospectively.

23.3 Towards bills payable in respect of purchases drawn by Holding Company.

24 Provisions

Particulars	As at March 31, 2022		As at March 31, 2021	
	Non-Current	Current	Non-Current	Current
Provision for employee benefits [refer note 40]	-	-	-	-
(a) Leave encashment	1,368.45	98.36	1,133.12	90.34
(b) Post retirement medical and other benefits	127.85	4.01	128.66	3.66
(c) Gratuity	109.83	2.45	98.67	3.32
Contingency for Probable Obligation [refer note 40.2.2]	-	220.40	-	-
Others [refer note 24.1 below]	-	4,463.09	-	5,441.60
Total	1,606.13	4,788.31	1,360.45	5,538.92

24.1 Others include provision for Excise duty on closing stock
Movement for the year 2021-22

Particulars	Excise duty on closing stock
Opening Balance as at April 1, 2021	5,441.60
Less: Reduction on account of provision reversal	5,441.60
Add: Additions during the year	4,463.09
Closing Balance as at March 31, 2022	4,463.09

The Company estimates provision based on substantial degree of estimation for excise duty payable on clearance of goods lying in stock as on March 31, 2022 ₹ 4,463.09 million (As at March 31, 2021 ₹5,441.60 million) and has included it in other provision. This provision is expected to be settled when the goods are removed from the factory premises.

25 Deferred Tax Asset/ (Liabilities) (Net)

Statement showing the movement in Deferred Tax Assets/ (Liabilities):

Particulars	As at March 31, 2022	As at March 31, 2021
Deferred Tax Assets	63,424.39	54,541.41
Deferred Tax Liabilities	(42,423.57)	(40,765.97)
Deferred Tax Asset/ (Liability) -Net	21,000.82	13,775.44

2021-22	Opening balance	Recognised in Profit or Loss	MAT credit entitlement related to previous year	Recognised in Other Comprehensive Income	Closing balance
Deferred Tax Liabilities in relation to					
Property, Plant and Equipment	(40,744.57)	(1,667.27)	-	-	(42,411.84)
Intangible Assets	(9.70)	6.00	-	-	(3.70)
Others	(11.70)	3.67	-	-	(8.03)
Total	(40,765.97)	(1,657.60)	-	-	(42,423.57)
Tax effect of items constituting Deferred Tax Assets					
Other Liabilities	255.83	171.30	-	-	427.13
Brought forward business losses and unabsorbed depreciation	36,651.80	3,795.83	-	-	40,447.63
MAT credit entitlement	17,256.25	4,772.89	-	-	22,029.14
Right of Use Assets net of Lease Liability	19.77	15.99	-	-	35.76
Financial and Other Assets	340.23	124.07	-	-	464.30
Inventories	17.53	2.90	-	-	20.43
Remeasurement of the Defined Benefit Plans	-	16.91	-	(16.91)	-
Total	54,541.41	8,899.89	-	(16.91)	63,424.39
Deferred Tax Asset / (Liability) (Net)	13,775.44	7,242.29	-	(16.91)	21,000.82

2020-21	Opening balance	Recognised in Profit or Loss	MAT credit entitlement related to previous year	Recognised in Other Comprehensive Income	Closing balance
Deferred Tax Liabilities in relation to					
Property, Plant and Equipment	(40,604.51)	(140.06)	-	-	(40,744.57)
Intangible Assets	(14.03)	4.33	-	-	(9.70)
Others	(12.20)	0.50	-	-	(11.70)
Total	(40,630.74)	(135.23)	-	-	(40,765.97)
Tax effect of items constituting Deferred Tax Assets					
Other Liabilities	71.17	184.66	-	-	255.83
Brought forward business losses and unabsorbed depreciation	35,171.22	1,480.58	-	-	36,651.80
MAT credit entitlement	17,245.39	-	10.86	-	17,256.25
Right of Use Assets net of Lease Liability	27.45	(7.68)	-	-	19.77
Financial and Other Assets	340.47	(0.24)	-	-	340.23
Inventories	22.13	(4.60)	-	-	17.53
Remeasurement of the Defined Benefit Plans	-	11.21	-	(11.21)	-
Total	52,877.83	1,663.93	10.86	(11.21)	54,541.41
Deferred tax asset / (liability) (net)	12,247.09	1,528.70	10.86	(11.21)	13,775.44

25.1 In accordance with Ind AS 12 - Income Taxes, the Company has recognised deferred tax asset for all deductible temporary differences and also for carry-forward of unused tax losses and unused tax credits. The recognition of Deferred Tax Asset (DTA) is based on the probability of earning sufficient taxable profits in the future years as projected by the management (duly considering capacity utilization and price realisation) against which the deductible temporary difference and carry forward of unused tax losses and unused tax credits can be utilised. Deferred Tax asset has been recognised net of deferred tax liability.

25.2 Pursuant to the Scheme of Amalgamation of erstwhile subsidiary company ONGC Mangalore Petrochemicals Limited (OMPL) ('Amalgamating Company') into and with the Company ('Amalgamated Company') effective from the appointed date i.e. April 1, 2021, the financial statements of the Company for the year ended March 31, 2022 has been prepared giving effect to the amalgamation as per the requirements of the applicable Indian Accounting Standards [refer note 50].

Pursuant to the amalgamation, the unused tax losses and unused tax credits of the amalgamating company becomes unused tax losses and unused tax credits of the amalgamated company (i.e. the Company) for the financial year 2021-22 and the Company is entitled to carry forward such unused tax losses and unused tax credits in accordance with the provisions of the Income Tax Act, 1961. Hence, the Company has reassessed and

recognised the Deferred Tax Assets on such unused tax losses and unused tax credits based on the probability of earning sufficient taxable profits in the future years as projected by the management for the amalgamated entity in line with Ind AS 12 - Income Taxes. This has resulted in increase in the Deferred Tax Assets by ₹ 14,554.27 million for the year ended March 31, 2022 (₹ Nil for the year ended March 31, 2021).

26 Trade Payables

Particulars	As at March 31, 2022	As at March 31, 2021
Total outstanding dues of micro enterprises and small enterprises	366.26	316.43
Total outstanding dues of creditors other than micro enterprises and small enterprises	93,305.48	39,714.88
Total	93,671.74	40,031.31

26.1 Trade payables include ₹ 20,793.60 million (As at March 31, 2021 of ₹ Nil) for which ONGC has given guarantees on behalf of the Company.

26.2 The average credit period on purchases of crude, stores and spares, other raw material, services, etc. ranges from 7 to 60 days (Year ended March 31, 2021 ranges from 7 to 60 days). Thereafter, interest is charged upto 6.75% per annum (Year ended March 31, 2021 upto 6.75% per annum) over the relevant bank rate as per respective arrangements on the outstanding balances. The Company has financial risk management policies in place to ensure that all payables are paid within the pre-agreed credit terms.

26.3 Disclosure relating to dues to Micro, Small and Medium Enterprises

	Particulars	As at March 31, 2022	As at March 31, 2021
i	The principal amount and the interest dues thereon (to be shown separately) remaining unpaid to any supplier at the end of the year	366.26	316.43
ii	The amount of interest paid by the buyer in terms of section 16 of the Micro, Small and Medium Enterprises Development Act, 2006 (27 of 2006), along with the amount of the payment made to the supplier beyond the appointed day during each accounting year	-	-
iii	The amount of interest dues and payable for the period of delay in making payment (which have been paid but beyond the appointed day during the year) but without adding the interest specified under the Micro, Small and Medium Enterprises Development Act, 2006.	-	-
iv	The amount of interest accrued and remaining unpaid at the end of each accounting year	-	-
v	The amount of further interest remaining dues and payable even in the succeeding years, until such date when the interest dues above are actually paid to the small enterprise, for the purpose of disallowance of a deductible expenditure under section 23 of the Micro, Small and Medium Enterprises Development Act, 2006.	-	-

26.4 Trade Payables

Particulars	As at March 31, 2022					
	Outstanding for following periods from due date of payment					
	Unbilled	Not Due	Less than 1 Year	1 Year to 2 Years	2 Years to 3 Years	More than 3 Years
MSME	248.68	101.86	15.72	-	-	-
Others	810.98	92,272.63	186.46	20.94	0.80	5.16
Disputed Dues - MSME	-	-	-	-	-	-
Disputed Dues - Other	-	8.51	-	-	-	-
Total	1,059.66	92,383.00	202.18	20.94	0.80	5.16
						93,671.74

Particulars	As at March 31, 2021					
	Outstanding for following periods from due date of payment					
	Unbilled	Not Due	Less than 1 Year	1 Year to 2 Years	2 Years to 3 Years	More than 3 Years
MSME	-	305.31	11.12	-	-	-
Others	837.43	38,215.57	347.72	6.77	3.03	304.36
Disputed Dues - MSME	-	-	-	-	-	-
Disputed Dues - Others	-	-	-	-	-	-
Total	837.43	38,520.88	358.84	6.77	3.03	304.36
						40,031.31

27. Other Liabilities

Particulars	As at March 31, 2022		As at March 31, 2021	
	Non-current	Current	Non-current	Current
Revenue received in advance	-	0.92	-	1.04
Liability for gratuity	-	49.11	-	235.84
[refer note 27.1 below]				
Liability for statutory payments	-	2,649.22	-	2,898.45
Others	-	1,545.76	-	671.13
Deferred Government Grant	3,274.36	212.81	3,448.43	202.86
[refer note 5.2, 22.4.2 & 22.12.2]				
Total	3,274.36	4,457.82	3,448.43	4,009.32

27.1 Net amount payable to Gratuity Trust.

28. Revenue from Operations

	Particulars	Year ended March 31, 2022	Year ended March 31, 2021
28.1	Sales		
	Petroleum Products	860,357.53	495,462.68
	Crude Oil and Other Products	5.20	11,931.73
	Total	860,362.73	507,394.41
28.2	Other operating revenues		
	Sale of scrap	238.73	393.77
	Facilitation charges	0.09	-
	Price Reduction Schedule	13.92	26.22
	Export Incentives	21.37	143.72
	Total	274.11	563.71
	Grand Total	8,60,636.84	5,07,958.12

29. Other Income

	Particulars	Year ended March 31, 2022	Year ended March 31, 2021
29.1	Interest on:		
	Contractor mobilisation advance	45.02	56.76
	Others	172.69	16.26
29.2	Financial assets measured at amortised cost :		
	- Bank deposits	38.41	0.89
	- Direct marketing customers	21.12	18.18
	- Employee loans	76.15	88.24
	Total	353.39	180.33
	Dividend income from:		
	Investment in mutual funds (measured at FVTPL)	-	4.00
29.3	Other non-operating income		
	Royalty income	8.57	8.17
	Liability no longer required written back	179.89	184.94
	Excess provisions written back	64.25	106.93
	Tender form sale	8.42	-
	Hire charges	8.51	13.60
	Recoveries from employees	13.15	11.51
	Amortisation of Deferred Government Grant / Guarantee	206.04	196.60
	Gain on fair valuation of financial instruments [refer Note 29.4]	1.96	-
	Miscellaneous receipts	138.49	262.49
	Total	629.28	784.24
	Grand Total	982.67	968.57

29.4 Towards gain on sale of investments of mutual funds of ₹ 1.96 million (Year ended March 31, 2021 of ₹ Nil).

30. Cost of Materials Consumed

Particulars	Year ended March 31, 2022	Year ended March 31, 2021
Raw material: Crude oil		
Imported	521,427.97	231,939.38
Indigenous	112,781.97	59,759.87
Raw material: Others		
Imported	1,010.88	-
Indigenous	766.82	81.73
Lube Oil - Indigenous	0.68	0.56
Total	6,35,988.32	2,91,781.54

31 Purchases of Stock-in-Trade

Particulars	Year ended March 31, 2022	Year ended March 31, 2021
Crude Oil & Other Products	5.12	11,931.73
Total	5.12	11,931.73

32 Changes in Inventories of Finished Goods, Stock-in-Process & Scrap

	Particulars	Year ended March 31, 2022	Year ended March 31, 2021
32.1	Closing stock		
	Finished goods	31,074.49	21,395.74
	Stock-in-process	15,088.41	11,275.34
	Scrap	241.14	-
	Total closing stock	46,404.04	32,671.08
32.2	Opening stock		
	Finished goods	21,395.74	13,662.03
	Stock-in-process	11,275.34	5,160.99
	Scrap	-	-
	Total opening stock	32,671.08	18,823.02
	Net (Increase) / Decrease (Opening - Closing)	(13,732.96)	(13,848.06)

33 Employee Benefits Expense

Particulars	Year ended March 31, 2022	Year ended March 31, 2021
Salaries and wages	5,560.92	4,280.91
Contribution to provident and other funds [refer note 33.1 and 40.2.2]	1,052.40	1,204.97
Post-retirement benefits - medical and others [refer note 33.2]	39.90	42.45
Staff welfare expenses	322.94	254.36
Total	6,976.16	5,782.69

- 33.1 Includes ₹ 220.41 million for the year ended March 31, 2022 (Year ended March 31, 2021 ₹ Nil) towards Provident Fund contribution for likely future interest shortfall on portfolio basis.
- 33.2 Includes ₹ 21.87 million for the year ended March 31, 2022 (Year ended March 31, 2021 ₹ 19.79 million) towards Gratuity expenses of erstwhile subsidiary company OMPL which is unfunded [refer note 40].

34. Finance Costs

Particulars	Year ended March 31, 2022	Year ended March 31, 2021
Finance expense for financial liabilities measured at amortised cost		
- From Banks	3,820.78	4,308.24
- From Others [refer Note 34.1]	4,834.02	3,957.46
	8,654.80	8,265.70
Finance Cost on Lease Liabilities	110.83	102.28
Financial guarantee charges	20.79	7.41
Exchange differences regarded as an adjustment to borrowing costs	3,286.67	(2,830.67)
Total	12,073.09	5,544.72

- 34.1 Includes interest as per Income Tax Act, 1961 for the year ended March 31, 2022 for an amount of ₹ 185.63 million (Year ended March 31, 2021 of ₹ Nil).

35. Depreciation and Amortisation Expense

Particulars	Year ended March 31, 2022	Year ended March 31, 2021
Depreciation of Property, Plant and Equipment [refer note 5]	10,599.83	11,311.14
Depreciation of Right-of-Use Assets [refer note 6]	239.96	235.13
Amortisation of Intangible Assets [refer note 10]	37.45	34.08
Total	10,877.24	11,580.35

36. Other Expenses

Particulars	Year ended March 31, 2022		Year ended March 31, 2021	
Power, utility and fuel charges [refer note 36.1 below]	69,800.61		35,184.18	
Less: Consumption of Fuel from own production	64,858.09	4,942.52	33,053.36	2,130.82
Repairs and maintenance				
- Plant and Machinery	4,202.78		4,349.45	
- Buildings	0.52		0.95	
- Others	672.76	4,876.06	715.48	5,065.88
Consumption of Stores, spares and chemicals		1,970.67		1,499.27
Consumption of Packing materials		386.85		225.55
Rent [refer note 36.4 below]		38.50		40.99
Insurance		595.08		445.44
Rates and Tax		1,256.12		2,322.23
Excise Duty on Stock (Net) [refer note 36.2 below]		(849.20)		3,511.29
Exchange Rate Fluctuation loss/ (gain) (Net)		2,557.27		(1,171.55)
Director's sitting fees		1.94		2.02
Loss on sale/ disposal of Property, Plant and Equipment		88.77		71.66

Particulars	Year ended March 31, 2022		Year ended March 31, 2021	
Bank Charges		47.75		36.21
Payment to auditors				
Audit fees	3.47		3.15	
For taxation matters	0.64		0.68	
For certification fees	2.53		2.44	
Reimbursement of expenses	0.77	7.41	0.24	6.51
Corporate Social Responsibility Expenses (CSR)				
[refer note 36.3 below]		-		470.40
Provision/ Impairment for:				
Doubtful Trade Receivables	5.77		8.88	
Doubtful Advances / Deposits	-		0.71	
Slow/non-moving Inventories	38.61	44.38	3.23	12.82
Write Offs:				
Doubtful trade receivables	-		0.04	
Claims/ Advances / Others	41.39	41.39	3.77	3.81
Miscellaneous expenses		2,722.60		2,301.27
Total		18,728.11		16,974.62

- 36.1** The company has generated a total of 10,683,169 Kwh of Solar power for the year ended March 31, 2022 (Year ended March 31, 2021 a total of 10,631,356 Kwh) and the same are captively consumed. The monetary values of such power generated that are captively consumed are not recognised for the purpose of disclosure in the financial statement.
- 36.2** Excise Duty on sale of goods has been included in "Revenue from operations". Despite increase in sales of petroleum products for the current year, the Excise duty on sale of goods is lower mainly on account of decrease in excise duty rate. Excise duty shown above represents the difference between excise duty on opening and closing stock of finished goods.
- 36.3** The CSR expenditure comprises the following:
- (a) Gross amount required to be spent by the Holding Company during the year: ₹ Nil million (Year ended March 31, 2021 ₹ 470.40 million).
- (b) Amount spent during the year on:

Particulars	Year ended March 31, 2022		
	In Cash	Yet to be paid in cash	Total
i) Construction/acquisition of Assets	96.06	-	96.06
ii) Purposes other than (i) above	1.26	-	1.26
Total	97.32	-	97.32

Particulars	Year ended March 31, 2021		
	In Cash	Yet to be paid in cash	Total
i) Construction/acquisition of Assets	159.42	61.57	220.99
ii) Purposes other than (i) above	31.82	0.82	32.64
Total	191.24	62.39	253.63

(c) Disclosure pursuant to amendments to section 135(5) and 135(6) of Companies Act, 2013 :-

In case of Section 135(5) unspent amount (other than ongoing projects)				
Opening Balance as on 01.04.2021	Amount deposited in specified Fund of Sch. VII within 6 months	Amount required to be spent during the year 2021-22	Amount spent during the year 2021-22	Closing Balance as on 31.03.2022
Nil	Nil	Nil	Nil	Nil

In case of Section 135(5) Excess amount spent			
Opening Balance as on 01.04.2021	Amount required to be spent during the year 2021-22	Amount spent during the year 2021-22	Closing Balance as on 31.03.2022
Nil	Nil	Nil	Nil

In case of Section 135(6) (Ongoing Project)							
Year	Opening Balance		Amount required to be spent during the year	Amount spent during the year		Closing Balance	
	With Company#	In separate CSR Unspent A/c		From Company's bank A/c	From separate CSR Unspent A/c	With Company	In separate CSR Unspent A/c
2020-21	216.77	Nil	216.77	Nil	97.32	Nil	119.45

An amount of ₹ 216.77 million representing unspent money on ongoing projects as at March 31, 2021 has been transferred to Specified Bank account on April 30, 2021.

36.4 Rent (Lease expenses) relating to short-term leases, low value leases and variable lease payment are given below:

Particulars	Year ended March 31, 2022
i) Short Term Leases	7.06
ii) Leases for Low Value Assets	1.06
iii) Variable Lease Payments not included in lease liabilities	30.38
Total	38.50

Particulars	Year ended March 31, 2021
i) Short Term Leases	7.85
ii) Leases for Low Value Assets	0.55
iii) Variable Lease Payments not included in lease liabilities	32.59
Total	40.99

36.5 Exceptional Items (Income) / expenses (net) :

Particulars	Year ended March 31, 2022	Year ended March 31, 2021
Stamp Duty pursuant to amalgamation [refer note 50]	300.00	-
Total	300.00	-

37. Income Taxes related to Continuing Operations

37.1 Income Tax recognised in Statement of Profit and Loss

Particulars	Year ended March 31, 2022	Year ended March 31, 2021
Current Tax	4,772.89	(10.86)
Deferred Tax	(7,242.29)	(1,528.70)
Total	(2,469.40)	(1,539.56)

37.2 The Income Tax expenses reconciliations with the accounting profit are as follows:

Particulars	Year ended March 31, 2022	Year ended March 31, 2021
Profit before tax from continuing operations	27,113.12	(9,189.23)
Income tax expense calculated at 34.944% (2020-21: 34.944%)	9474.41	3211.08
"Effect of income exempt from tax [Including exemption under section 10AA of Income Tax Act, 1961]"	(72.95)	1137.29
Effect of Profit / transaction with Joint venture	(10.41)	13.29
Effect of investment allowance u/s 32AC of Income Tax Act, 1961	0.09	4.33
Effect of expenses not deductible in determining taxable profit	90.88	182.99
Effect of recognition of Prior year tax of previous year	-	(10.86)
Effect of change in deferred tax balance due to true up adjustments	(11,951.42)	344.48
Income tax expense recognised in profit or loss	2,469.40)	(1,539.56)

37.3 Income tax recognised in Other Comprehensive Income

Particulars	Year ended March 31, 2022	Year ended March 31, 2021
Arising on income and expenses recognised in Other Comprehensive Income:		
Remeasurement of the Defined Benefit Plans	(17.06)	(11.09)
Effective portion of gains / (losses) on hedging instruments in cash flow hedges	-	(0.13)
Total income tax recognised in Other Comprehensive Income	(17.06)	(11.22)
Bifurcation of the income tax recognised in Other Comprehensive Income into:-		
Items that will not be reclassified to profit or loss	(17.06)	(11.09)
Items that will be reclassified to profit or loss	-	(0.13)

38. Earnings per Equity Share :

Particulars	Year ended March 31, 2022	Year ended March 31, 2021
Profit after tax for the year attributable to Equity shareholders	29,582.52	(7,649.67)
Weighted average number of equity shares (Number in million)	1,752.60	1,752.60
Basic and Diluted earnings per equity share (₹)	16.88	(4.36)
Face Value per equity share (₹)	10.00	10.00

39 Leases**39.1 Obligations under finance leases**

39.1.1 The Company has adopted Ind AS 116 'Leases' effective April 1, 2019. The Company has entered into lease agreements for lands which have been classified as finance leases and the same is now disclosed as Right of Use Assets (ROU). The ownership of the lands will be transferred to the Company at the end of the lease term with nominal payment of administrative charges. The lease term ranges from 5 to 44 years.

Financial lease obligation as at March 31, 2022 is immaterial (As at March 31, 2021 : immaterial).

39.2 Operating lease arrangements**39.2.1 Leasing arrangements**

"The Company has adopted Ind AS 116 'Leases' effective April 1, 2019. The Company has entered into arrangements for right of way for pipelines and lease of land which have been classified as operating leases and the same is now disclosed as Right of Use Assets (ROU). The lease period for right of way ranges from 11 months to 30 years and for leases of land ranges from 11 months to 99 years. In case of leasehold land, the Company does not have option to purchase the land at the end of the lease period. Generally, the lease arrangements for land requires Company to make upfront payments at the time of the execution of the lease arrangement with annual recurring charges with escalations in annual lease rentals."

39.2.2 Payments recognized as an expense

The Company has adopted Ind AS 116 'Leases' effective April 1, 2019 and wherever the lease is short term lease, lease for low value assets or having variable lease payments are not included in lease liabilities.

Particulars	Year ended March 31, 2022	Year ended March 31, 2021
Minimum Rent (lease expenses)	38.50	40.99
Total	38.50	40.99

39.2.3 Non-cancellable operating lease commitments

The Company does not have any non-cancellable lease arrangements.

40 Employee Benefits

With regard to amalgamation of erstwhile subsidiary company ONGC Mangalore Petrochemicals Limited (OMPL) with the company as per the scheme of amalgamation approved by Ministry of Corporate Affairs (MCA), as Human Resource (HR) integration with respect to amalgamation is in progress, the Employee Benefits Expense including Actuarial valuation and the corresponding disclosures in this regard have been provided separately for both the companies.

Considering the above, possible impact of the changes could not be quantified and disclosed at this juncture.

(I) The employee benefit disclosures of the company excluding the erstwhile subsidiary company ONGC Mangalore Petrochemicals Limited (OMPL) are as follows :-

40.1 Post-Employment benefits

40.1.1 Defined Contribution Plans

The amounts recognized in the Financial Statements for Defined Contribution Plans are as under:

Defined Contribution Plans	Amount recognized during the year		Contribution for Key Management Personnel	
	Year ended March 31, 2022	Year ended March 31, 2021	Year ended March 31, 2022	Year ended March 31, 2021
Employee's contribution to Superannuation Fund	305.85	300.82	1.32	1.28

40.1.2 Defined benefit plans

40.1.2.1 Brief Description: A general description of the type of Defined benefit plans are as follows:

a) Gratuity:

15 days salary for every completed year of service. Vesting period is 5 years and the payment is restricted to ₹ 2 million. Besides the ceiling of gratuity increase by 25% whenever IDA rises by 50%.

The MRPL Gratuity Fund Trust was formed on 20th April, 2007 and investments of the funds received from the company after actuarial valuation and the investment of the funds upto June 28, 2013 was made in the manner prescribed by Income tax Rule 67(1) of the Income Tax Rules, 1962 as amended from time to time.

The Funds of MRPL Gratuity Fund Trust after June 28, 2013 is being invested in Group Gratuity Cash Accumulation Scheme (Traditional Fund) in LIC, Bajaj Allianz, HDFC Standard Life Insurance Co., Aditya Birla Sunlife Insurance co, India First Life Insurance Co. and SBI Life Insurance Co.

b) Post-Retirement Medical Benefits:

After retirement, on payment of one time lump sum contribution, the superannuated employee and his/her dependent spouse and dependent parents will be covered for medical benefit as per the rules of the Company.

c) Resettlement Allowance:

At the time of superannuation, employees are entitled to settle at a place of their choice and they are eligible for Settlement Allowance.

40.1.2.2 These plans typically expose the Company to actuarial risks such as: investment risk, interest rate risk, longevity risk and salary risk.

Investment risk	The present value of the defined benefit plan liability (denominated in Indian Rupee) is calculated using a discount rate which is determined by reference to market yields at the end of the reporting period on government bonds; if the return on plan asset is below this rate, it will create a plan deficit. Currently it has a relatively balanced mix of investments in government securities, insurance investment and other debt instruments.
Interest risk	A decrease in the bond interest rate will increase the plan liability; however, this will be partially offset by an increase in the return on the plan's debt investments.
Longevity risk	The present value of the defined benefit plan liability is calculated by reference to the best estimate of the mortality of plan participants both during and after their employment. An increase in the life expectancy of the plan participants will increase the plan's liability.
Salary risk	The present value of the defined benefit plan liability is calculated by reference to the future salaries of plan participants. As such, an increase in the salary of the plan participants will increase the plan's liability.

No other post-retirement benefits are provided to these employees.

In respect of the plans, the most recent actuarial valuation of the plan assets and the present value of the defined benefit obligation were carried out as at March 31, 2022 by a member firm of the Institute of Actuaries of India. The present value of the defined benefit obligation, and the related current service cost and past service cost, were measured using the projected unit credit method. The liabilities for Defined Benefit Plans are recognized and charged to Statement of Profit and Loss.

40.1.2.3 The principal assumptions used for the purposes of the actuarial valuations were as follows.

Sl. No.	Particulars	As at March 31, 2022	As at March 31, 2021
	Gratuity (Funded)		
1	Expected return on plan assets	7.27%	6.90%
2	Rate of discounting	7.27%	6.90%
3	Rate of salary increase	7.50%	7.50%
4	Rate of employee turnover	2.00%	2.00%
5	Mortality rate during employment	Indian Assured lives Mortality (2012-14) Urban	Indian Assured lives Mortality (2006-08) Ultimate

Sl. No.	Particulars	As at March 31, 2022	As at March 31, 2021
	Post-Retirement Medical Benefits		
1	Rate of discounting	7.40%	6.90%
2	Medical cost inflation	0.00%	0.00%
3	Rate of employee turnover	2.00%	2.00%
4	Mortality rate during employment	Indian Assured lives Mortality (2012-14) Urban	Indian Assured lives Mortality (2006-08) Ultimate
5	Mortality rate after employment	Indian Individual AMT (2012-15)	Indian Individual AMT (2012-15)

Sl. No.	Particulars	As at March 31, 2022	As at March 31, 2021
1	Resettlement Allowance:		
2	Rate of discounting	7.40%	6.90%
3	Rate of salary increase	7.50%	7.50%
4	Rate of employee turnover	2.00%	2.00%
4	Mortality rate during employment	Indian Assured lives Mortality (2012-14) Urban	Indian Assured lives Mortality (2006-08) Ultimate

The rate of discounting based upon the market yield available on Government bonds at the accounting date with a term that matches. The salary growth takes account inflation, seniority, promotion and other relevant factor on long term basis. Expected rate of return on plan assets is based on market expectation, at the beginning of the year, for return over the entire life of the related obligation.

40.1.2.4 Amounts recognised in statement of profit and loss in respect of these defined benefit plans are as follows:

Gratuity:

Particulars	Year ended March 31, 2022	Year ended March 31, 2021
Service Cost :		
Current service cost	55.56	38.60
Past service cost and (gain)/loss from settlements		
Net interest expense	17.18	10.69
Past Service Cost	-	237.25
Components of defined benefit costs recognised in employee benefit expenses	72.74	286.54
Remeasurement on the net defined benefit liability:		
Return on plan assets excluding amounts included in net interest cost	(12.54)	(9.52)
Actuarial (gains) / losses arising from changes in demographic assumptions	(1.01)	-
Actuarial (gains) / losses arising from changes in financial assumptions	(91.55)	23.94
Actuarial (gains) / losses arising from experience adjustments	84.68	(52.03)
Components of Remeasurement	(20.42)	(37.61)
Total	52.32	248.93

Post-Retirement Medical Benefits:

Particulars	Year ended March 31, 2022	Year ended March 31, 2021
Service Cost		
Current service cost	6.66	5.32
Net interest expense	7.38	6.53
Components of defined benefit costs recognised in employee benefit expenses	14.04	11.85
Remeasurement on the net defined benefit liability:		
Actuarial (gains) / losses arising from changes in demographic assumptions	(0.20)	7.16
Actuarial (gains) / losses arising from changes in financial assumptions	(7.70)	(0.63)
Actuarial (gains) / losses arising from experience adjustments	6.52	1.90
Components of Remeasurement	(1.38)	8.43
Total	12.66	20.28

Resettlement Allowance:

Particulars	Year ended March 31, 2022	Year ended March 31, 2021
Service Cost		
Current service cost	1.43	1.44
Net interest expense	1.17	1.17
Components of defined benefit costs recognised in employee benefit expenses	2.60	2.61
Remeasurement on the net defined benefit liability:		
Actuarial (gains) / losses arising from changes in demographic assumptions	0.01	-
Actuarial (gains) / losses arising from changes in financial assumptions	(1.14)	(0.10)
Actuarial (gains) / losses arising from experience adjustments	1.79	(1.43)
Components of Remeasurement	0.66	(1.53)
Total	3.26	1.08

The current service cost, the net interest expense and past service cost for the year are included in the 'Employee benefits expense' line item in the statement of profit and loss.

The remeasurement of the net defined benefit liability is included in other comprehensive income. The components of remeasurement of net defined benefit liability recognised in other comprehensive income is ₹ 21.14 million (previous year ₹ 30.71 million).

40.1.2.5 Movements in the present value of the defined benefit obligation are as follows:**Gratuity:**

Particulars	As at March 31, 2022	As at March 31, 2021
Opening defined benefit obligation	1,424.74	1,123.55
Current service cost	55.56	38.60
Past Service Cost	-	237.25
Interest cost	98.32	77.08
Remeasurement (gains)/losses:		
Actuarial gains and losses arising from changes in demographic assumptions	(1.01)	
Actuarial gains and losses arising from changes in financial assumptions	(91.55)	23.94
Actuarial gains and losses arising from experience adjustments	84.68	(52.03)
Benefits paid	(52.94)	(23.65)
Closing defined benefit obligation	1,517.80	1424.74
Current obligation	52.32	248.93

Post-Retirement Medical Benefits:

Particulars	As at March 31, 2022	As at March 31, 2021
Opening defined benefit obligation	106.97	95.22
Current service cost	6.66	5.32
Interest cost	7.38	6.53
Remeasurement (gains)/losses:		
Actuarial gains and losses arising from changes in demographic assumptions	(0.20)	7.16
Actuarial gains and losses arising from changes in financial assumptions	(7.70)	(0.63)

Particulars	As at March 31, 2022	As at March 31, 2021
Actuarial gains and losses arising from experience adjustments	6.52	1.90
Benefits paid	(14.03)	(8.53)
Closing defined benefit obligation	105.60	106.97
Current obligation	3.41	3.11
Non-Current obligation	102.19	103.86

Resettlement Allowance:

Particulars	As at March 31, 2022	As at March 31, 2021
Opening defined benefit obligation	16.94	17.08
Current service cost	1.43	1.44
Interest cost	1.17	1.17
Remeasurement (gains)/losses:		
Actuarial gains and losses arising from changes in demographic assumptions	0.01	-
Actuarial gains and losses arising from changes in financial assumptions	(1.14)	(0.10)
Actuarial gains and losses arising from experience adjustments	1.79	(1.43)
Benefits paid	(4.65)	(1.22)
Closing defined benefit obligation	15.55	16.94
Current obligation	0.51	0.49
Non-Current obligation	15.04	16.45

40.1.2.6 The amount included in the Balance sheet arising from the entity's obligation in respect of its defined benefit plan is as follows :

Gratuity:

Particulars	As at March 31, 2022	As at March 31, 2021
Present value of funded defined benefit obligation	(1,517.80)	(1,424.74)
Fair value of plan assets	1,465.48	1,175.81
Funded status	(52.32)	(248.93)
Net liability arising from defined benefit obligation	(52.32)	(248.93)

The amounts included in the fair value of plan assets of gratuity fund in respect of Company's own financial instruments and any property occupied by, or other assets used by the reporting enterprise are ₹ Nil (As at March 31, 2021 ₹ Nil)

Post-Retirement Medical Benefits and Resettlement allowances are unfunded plans, and no plan assets are involved.

40.1.2.7 Movements in the fair value of the plan assets are as follows :

Particulars	As at March 31, 2022	As at March 31, 2021
Opening fair value of plan assets	1,175.81	967.65
Interest income	81.13	66.38
Return on plan assets (excluding amounts included in net interest expense)	12.55	9.52
Contributions by the employer	248.93	155.91
Benefits paid	(52.94)	(23.65)
Closing fair value of plan assets	1,465.48	1175.81

Expected Contribution (Net) in respect of Gratuity for next year will be ₹ 49.11 million (For the year ended March 31, 2021 ₹ 235.84 million)

The Company has recognized a gratuity liability of ₹ 52.32 million as at March 31, 2022 (As at March 31, 2021 ₹ 248.93 million).

40.1.2.8 The fair value of the plan assets at the end of the reporting period for each category, are as follows.
Fair value of plan assets as at

Particulars	As at March 31, 2022	As at March 31, 2021
Cash and Cash equivalents	0.01	0.03
Mutual Fund-UTI Treasury Fund	22.12	20.34
Debt investment categorised by issuer's credit rating		
AAA	10.07	10.08
AA+	1.02	1.02
AA	18.02	18.03
AA-	1.00	1.00
A+	2.00	2.00
D	2.00	2.00
Group Gratuity Cash Accumulation Scheme (Traditional Fund)		
Life Insurance Corporation of India	323.55	230.27
Bajaj Allianz	255.14	215.68
HDFC Standard Life Insurance Co.	280.20	216.74
Aditya Birla Sunlife Insurance Co.	168.01	134.99
India First Life Insurance Co.	167.14	134.17
SBI Life Insurance Co.	49.01	-
Investment in Government Securities	86.63	120.63
Other current assets - Interest Accrued	79.56	68.83
Total	1,465.48	1,175.81

The actual return on plan assets of gratuity was ₹ 81.13 million (As at March 31, 2021 ₹ 66.38 million).

Significant actuarial assumptions for the determination of the defined benefit obligations are discount rate and expected salary increase. The sensitivity analyses below have been determined based on reasonably possible changes of the respective assumptions occurring at the end of the reporting period, while holding all other assumptions constant.

40.1.2.9 Sensitivity Analysis as at March 31, 2022

Significant actuarial assumptions	Gratuity	Post-Retirement Medical Benefits	Resettlement Allowance
Rate of discounting			
- Impact due to increase of 50 basis points	(73.71)	(6.93)	(1.03)
- Impact due to decrease of 50 basis points	79.85	7.70	1.14
Rate of salary increase			
- Impact due to increase of 50 basis points	72.72	-	-
- Impact due to decrease of 50 basis points	(72.68)	-	-
Rate of Employee turnover			
- Impact due to increase of 50 basis points	7.65	(2.61)	
- Impact due to decrease of 50 basis points	(8.03)	2.36	
Future Cost Escalation			
- Impact due to increase of 50 basis points	-	-	1.13
- Impact due to decrease of 50 basis points	-	-	(1.03)

Sensitivity Analysis as at March 31, 2021

Significant actuarial assumptions	Gratuity	Post-Retirement Medical Benefits	Resettlement Allowance
Rate of discounting			
- Impact due to increase of 50 basis points	(72.76)	(7.41)	(1.19)
- Impact due to decrease of 50 basis points	79.05	8.27	1.32
Rate of salary increase			
- Impact due to increase of 50 basis points	76.70	-	-
- Impact due to decrease of 50 basis points	(73.31)	-	-
Rate of Employee turnover			
- Impact due to increase of 50 basis points	3.70	(3.00)	-
- Impact due to decrease of 50 basis points	(3.80)	2.76	-
Future Cost Escalation			
- Impact due to increase of 50 basis points	-	-	1.31
- Impact due to decrease of 50 basis points	-	-	(1.19)

The sensitivity analysis presented above may not be representative of the actual change in the defined benefit obligation as it is unlikely that the change in assumptions would occur in isolation of one another as some of the assumptions may be correlated.

Furthermore, in presenting the above sensitivity analysis, the present value of the defined benefit obligation has been calculated using the projected unit credit method at the end of the reporting period, which is the same as that applied in calculating the defined benefit obligation liability recognised in the balance sheet.

40.1.2.10 Following are the details relating to the defined benefit plans that have a significant bearing on Company's future cash flows:

Gratuity:

Particulars	As at March 31, 2022	As at March 31, 2021
Number of active members	1,917	1,939
Per month salary for active members	205.62	185.30
Weighted average duration of the Projected Benefit Obligation (years)	12	12
Average Expected future service (years)	15	16
Defined benefit obligation	1,517.80	1424.74
Contribution to the defined benefit plan during the next financial year	104.68	185.30

Post-Retirement Medical Benefits:

Particulars	As at March 31, 2022	As at March 31, 2021
Number of active members	1,917	1,939
Number of retired employees	152	138
Weighted average duration of the Projected Benefit Obligation (years)	15	16
Average expected future service (years)	17	18
Average Future Term	30	30
Defined benefit obligation	105.60	106.99

Resettlement Allowance:

Particulars	As at March 31, 2022	As at March 31, 2021
Number of active members	1,917	1,939
Weighted average duration of the Projected Benefit Obligation (years)	16	16
Average expected future service (years)	15	16
Average Future Term	30	30
Defined benefit obligation	15.55	16.94

40.1.2.11 Maturity Profile for Defined Benefit Obligations

Defined Benefits	As at March 31, 2022	As at March 31, 2021
Gratuity		
Less than one year	78.56	66.73
One to Three years	134.79	129.49
Three to Five years	196.10	149.23
Five years to Ten years	669.39	610.84
Post-Retirement Medical Benefits		
Less than one year	3.41	3.11
One to Three year	7.22	6.72
Three to Five years	8.59	7.79
Five years to Ten years	32.13	28.74
Resettlement Allowance		
Less than one year	0.51	0.49
One to Three years	0.87	0.91
Three to Five years	1.06	1.00
Five years to Ten years	3.20	3.22

40.2 Other long term employee benefits**40.2.1 Leave encashments**

A brief description on Leave encashments are as follows:

a) Earned Leave Benefit (EL):

Accrual – 32 days per year

Accumulation up to 300 days allowed

EL accumulated in excess of 15 days is allowed for encashment while in service provided the EL encashed is not less than 5 days.

b) Half Pay Leave (HPL)

Accrual – 20 days per year

Encashment while in service is not allowed

Encashment on retirement is permitted; restricted up to 300 days along with Earned leave.

The liability for above leaves (a & b) are recognized on the basis of actuarial valuation.

40.2.2 Provident Fund :

A brief description on Provident Fund is as follows:

- (a) Provident Fund is governed through a separate trust. The board of trustees of the Trust functions in accordance with any applicable guidelines or directions that may be issued in this behalf from time to time by the Central Government or the Central Provident Fund Commissioner. The board of trustees have the following responsibilities :

- i. The investments shall be made in accordance with the pattern of investment prescribed by the Government of India in Rule 67 of Income Tax Rules, 1962, and /or directions given by the Central Government, from time to time.
 - ii. The Board of Trustees may raise such sum or sums of money as may be required for meeting obligatory expenses such as settlement of claims, grant of advances as per rules, and transfer of member's P.F. accumulations in the event of his / her leaving service of the Employer and any other receipts by sale of the securities or other investments standing in the name of the Fund subject to the prior approval of the Regional Provident Fund Commissioner.
 - iii. Fixation of rate of interest to be credited to members' accounts.
- (b) The long term employee benefit of Provident Fund is administered through a separate Trust, established for this purpose in accordance with The Employee Provident Fund and Miscellaneous Provisions Act, 1952. The Company's contribution to the Provident Fund is remitted to this trust based on a fixed percentage of the eligible employee's salary and charged to Statement of Profit and Loss. During the year, the Company has recognized Employer's contribution to Provident Fund in the Statement of Profit and Loss are given below:

Particulars	Amount recognized during the year		Contribution for Key Management Personnel	
	Year ended March 31, 2022	Year ended March 31, 2021	Year ended March 31, 2022	Year ended March 31, 2021
Employee's contribution to Provident Fund	291.37	293.02	1.44	1.41

- (c) Under the Statute, the shortfall, if any, in the interest obligation in comparison to minimum rate of return declared by Government of India will have to be made good by the Employer and therefore, for the financial year 2021-22, an amount of ₹ 82.21 million (Year ended March 31, 2021 ₹ 28.72 million) has been provided and charged to Statement of Profit and Loss. On reporting date, the Trust investments included few Non-convertible Debentures of certain companies, amounting to ₹295.30 million (Year ended March 31, 2021 ₹ 347.30 million) which have witnessed default in meeting interest obligations in financial year 2020-21, which continued in financial year 2021-22. In anticipation of probable default in principal repayment, Provident Fund Trust had marked down these investments by 70% in its books in financial year 2020-21, which continues to be the true and fair valuation as of 31.03.2022 as per management assessment. Thus, no additional provision (Year ended March 31, 2021 ₹ 243.11 million) is warranted during this financial year.
- (d) The fair value of the assets of Provident Fund Trust as of Balance Sheet date and the Present Value of the benefits obligations is given below.

Particulars	As at March 31, 2022	As at March 31, 2021
Fair value of Plan assets at the end of the year	6,250.65	5,520.25
Present value of the obligations at the end of the year	6,471.06	5,472.05
Interest shortfall provided	220.41	-

40.3 Termination Benefits :

40.3.1 Premature Retirement on Medical Grounds

The Company has an approved scheme of Premature Retirement on Medical Grounds. Ex gratia payment equivalent 60 days emolument for each completed year of service or the monthly emoluments at the time of retirement multiplied by the balance months of service left before normal date of retirement, whichever is less is payable apart from Superannuation Benefits.

40.3.2 Scheme for Self Insurance for providing lump-sum monetary compensation

Under the scheme of 'Post Retirement Benefit and Benefit on Separation', in case of employee suffering death or permanent total disablement due to an accident arising out of and in the course of employment, a compensation equivalent to 100 months Basic Pay plus Dearness Allowance (DA) without laying down any minimum amount is payable.

40.3.3 Benefits of Separation under SABF (re-nomenclatured now as MDCPS)

In case of death / permanent disablement of an employee while in service in the Company, the beneficiary has to exercise desired options available within 6 months from the date of death / permanent total disablement.

40.3.4 Terminal benefits are unfunded plans, and no plan assets are involved.

40.3.5 Termination Benefits are charged to Statement of Profit and Loss as and when incurred.

(II) The employee benefit disclosures of the erstwhile subsidiary company ONGC Mangalore Petrochemicals Limited (OMPL) are as follows :-**40.4 Defined benefit plans**

40.4.1 Brief Description: A general description of the type of employee benefits plans is as follows:

40.4.2 Gratuity:

15 days salary for every completed year of service. Vesting period is 5 years and the payment is restricted to maximum of ₹ 2 million.

40.4.3 Post-Retirement Medical Benefits:

After retirement, on payment of one time lump sum contribution, the superannuated employee and his/her dependent spouse will be covered for medical benefit as per the rules of the Company.

40.4.4 This plans typically expose the Company to actuarial risks such as: interest rate risk, longevity risk and salary risk.

Interest Rate risk	A decrease in the bond interest rate will increase the plan liability.
Longevity risk.	The present value of the defined benefit plan liability is calculated by reference to the best estimate of the mortality of plan participants both during and after their employment. An increase in the life expectancy of the plan participants will increase the plan's liability.
Salary risk	The present value of the defined benefit plan liability is calculated by reference to the future salaries of plan participants. As such, an increase in the salary of the plan participants will increase the plan's liability.

In respect of gratuity, the actuarial valuation was carried out as at March 31, 2022 by M/s. K. A. Pandit Consultants and Actuaries, Fellow firm of the Institute of Actuaries of India. The present value of the defined benefit obligation, the related current service cost and past service cost, were measured using the projected unit credit method.

40.4.5 The principal assumptions used for the purposes of the actuarial valuations were as follows:

Sl. No.	Particulars	As at March 31, 2022	As at March 31, 2021
	Gratuity		
1	Discount rate	7.33%	6.96%
2	Annual increase in salary	7.50%	8.00%
3	Employee turnover	2.00%	2.00%
	Post-Retirement Medical Benefits		
4	Discount rate	7.40%	6.91%
5	Medical cost inflation	0.00%	0.00%
6	Rate of employee turnover	2.00%	2.00%

The discount rate is based upon the market yield available on government bonds at the accounting date with a term that matches. The salary growth takes account inflation, seniority, promotion and other relevant factor on long term basis.

40.4.6 Amounts recognised in statement of profit and loss in respect of these defined benefit plans are as follows:

Particulars	Year ended March 31, 2022	Year ended March 31, 2021
Gratuity		
Current service cost	14.77	13.99
Past service cost	-	-
Net interest expense	7.10	5.80
Components of defined benefit costs recognised in profit or loss	21.87	19.79
Re-measurement on the net defined benefit liability:		
Actuarial (gains)/losses arising for the period	(9.52)	(1.57)
Components of remeasurment recognised in the other comprehensive income	(9.52)	(1.57)
Total	12.35	18.22

Particulars	Year ended March 31, 2022	Year ended March 31, 2021
Post-Retirement Medical Benefits:		
Current service cost	0.90	0.87
Past service cost	-	6.85
Net interest expense	0.58	0.47
Components of defined benefit costs recognised in profit or loss	1.48	8.19
Re-measurement on the net defined benefit liability:		
Actuarial (gains)/losses arising for the period	0.92	0.21
Components of remeasurment recognised in the other comprehensive income	0.92	0.21
Total	2.40	8.40

40.4.7 Movements in the present value of the defined benefit obligation are as follows:

Particulars	As at March 31, 2022	As at March 31, 2021
Gratuity:		
Opening defined benefit obligation	101.99	85.02
Current service cost	14.77	13.99
Past service cost	-	-
Interest cost	7.10	5.80
Benefit paid directly by the employer	(2.06)	(1.25)
Re-measurement (gains)/losses:		
Actuarial gains and losses arising from changes in demographic and financial assumptions	(13.54)	(2.26)
Actuarial gains and losses arising from experience adjustments	4.02	0.69
Closing defined benefit obligation	112.28	101.99
Current obligation	2.45	3.32
Non-Current obligation	109.83	98.67

Particulars	As at March 31, 2022	As at March 31, 2021
Post-Retirement Medical Benefits:		
Opening defined benefit obligation	8.40	-
Current service cost	0.90	0.87
Past service cost	-	6.88
Interest cost	0.58	0.47
Benefit paid directly by the employer	(0.08)	(0.03)
Re-measurement (gains)/losses:		
Actuarial gains and losses arising from changes in demographic and financial assumptions	0.47	(0.17)
Actuarial gains and losses arising from experience adjustments	0.45	0.38
Closing defined benefit obligation	10.72	8.40
Current obligation	0.10	0.06
Non-Current obligation	10.62	8.34

40.4.8 The amount included in the Balance sheet arising from the entity's obligation in respect of its defined benefit plan is as follows:

Particulars	As at March 31, 2022	As at March 31, 2021
Gratuity:		
Present value of defined benefit obligation	(112.28)	(101.99)
Fair value of plan assets	-	-
Funded Status (Surplus/(Deficit))*	(112.28)	(101.99)
Net liability arising from defined benefit obligation	(112.28)	(101.99)

Particulars	As at March 31, 2022	As at March 31, 2021
Post-Retirement Medical Benefits:		
Present value of defined benefit obligation	(10.72)	(8.40)
Fair value of plan assets	-	-
Funded Status (Surplus/(Deficit))*	(10.72)	(8.40)
Net liability arising from defined benefit obligation	(10.72)	(8.40)

* Gratuity and Post-Retirement Medical Benefits are unfunded plans, and no plan assets are involved.

40.4.9 Significant actuarial assumptions for the determination of the defined obligation are discount rate, expected salary increase and employee turnover. The sensitivity analyses below have been determined based on reasonably possible changes of the respective assumptions occurring at the end of the reporting period, while holding all other assumptions constant. Sensitivity analysis as on March 31, 2022

Sensitivity analysis as on March 31, 2022

Significant actuarial assumptions	Gratuity
Discount Rate	
- Impact due to increase of 50 basis points	(7.78)
- Impact due to decrease of 50 basis points	8.62
Salary increase	
- Impact due to increase of 50 basis points	6.75
- Impact due to decrease of 50 basis points	(6.53)
Employee turnover	
- Impact due to increase of 50 basis points	0.13
- Impact due to decrease of 50 basis points	(0.16)

Sensitivity analysis as on March 31, 2021

Significant actuarial assumptions	Gratuity
Discount Rate	
- Impact due to increase of 50 basis points	(7.53)
- Impact due to decrease of 50 basis points	8.38
Salary increase	
- Impact due to increase of 50 basis points	6.61
- Impact due to decrease of 50 basis points	(6.45)
Employee turnover	
- Impact due to increase of 50 basis points	0.65
- Impact due to decrease of 50 basis points	(0.69)

40.4.10 Sensitivity analysis as on March 31, 2022

Significant actuarial assumptions	Post-Retirement Medical Benefits
Discount Rate	
- Impact due to increase of 50 basis points	(0.92)
- Impact due to decrease of 50 basis points	1.04

Sensitivity analysis as on March 31, 2021

Significant actuarial assumptions	Post-Retirement Medical Benefits
Discount Rate	
- Impact due to increase of 50 basis points	(0.79)
- Impact due to decrease of 50 basis points	0.90

Sensitivity analysis is an analysis which will give the movement in liability if the assumptions were not proved to be true on different count. This only signifies the change in the liability if the difference between assumed and the actual is not following the parameters of the sensitivity analysis.

Furthermore, in presenting the above sensitivity analysis, the present value of the defined benefit obligation has been calculated using the projected unit credit method at the end of the reporting period, which is the same as that applied in calculating the defined benefit obligation liability recognised in the balance sheet.

41 Segment Reporting

The Company has “Petroleum Products” as single reportable segment.

41.1 Information about major customers

Company's significant revenues are derived from sales to oil marketing companies which is 52% and 69% of the Company's sales related to petroleum products for the year ending March 31, 2022 & March 31, 2021 respectively. The total sales to such companies amounted to ₹ 4,51,302.90 million for the year ended March 31, 2022 and ₹350,501.95 million for the year ended March 31, 2021.

No customer (excluding oil marketing companies mentioned above) for the years ended March 31, 2022 and March 31, 2021 contributed 10% or more to the Company's revenue.

41.2 Information about geographical areas:

- a) The Company is domiciled in India. The amount of its revenue from customers broken down by location of customers is tabulated below:

Particulars	Year Ended March 31, 2022	Year Ended March 31, 2021
India	546,926.05	420,934.79
Other Countries	313,436.68	86,459.62
Total	860,362.73	507,394.41

- b) Non-current assets (excluding financial assets and deferred tax assets) broken down by location of customers is tabulated below:

Particulars	As at March 31, 2022	As at March 31, 2021
India	223,428.81	229,202.15
Other Countries	-	-
Total	223,428.81	229,202.15

41.3 Revenue from major products

The following is an analysis of the Company's revenue from continuing operations from its major products:

Particulars	Year Ended March 31, 2022	Year Ended March 31, 2021
High speed Diesel (HSD)	446,184.67	294,571.28
Motor Spirit (MS)	152,841.01	71,457.67
Total	599,025.68	366,028.95

Threshold limit of 10% of total turnover of each product is considered for reporting revenue from major products.

42 Related Party Disclosures

42.1 Name of related parties and description of relationship:

A Entity having control over the Company (Holding Company)

Oil and Natural Gas Corporation Limited (ONGC)

B Entity having significant influence over the Company

Hindustan Petroleum Corporation Limited (HPCL)

C Joint Ventures

Shell MRPL Aviation Fuels and Services Limited (SMAFSL)

D Trusts (including post retirement employee benefit trust) where in MRPL is having control

- 1 MRPL Gratuity Fund Trust
- 2 MRPL Provident Fund Trust
- 3 MRPL Education Trust
- 4 MRPL Janaseva Trust

E.1 Non-Executive Director

- 1 Dr. Alka Mittal, Chairperson from January 11, 2022
- 2 Shri Subhash Kumar, Chairperson from April 05, 2021 till December 31, 2021

E.2 Other Non-Executive Directors

- 1 Shri Om Prakash Singh, Nominee Director (ONGC), from June 07, 2021
- 2 Shri Vinod S. Shenoy, Nominee Director (HPCL)
- 3 Shri Rohit Mathur, Director (Govt. Nominee)
- 4 Smt. Esha Srivastava, Director (Govt. Nominee)
- 5 Shri R T Agarwal, Independent Director
- 6 Shri Rajkumar Sharma, Independent Director, From November 15, 2021
- 7 Smt. Nivedida Subramanian, Independent Director, From November 15, 2021
- 8 Shri Manohar Singh Verma, Independent Director, From November 15, 2021
- 9 Shri Pankaj Gupta, Independent Director, From November 15, 2021

F Key Management Personnel
F.1 Executive Directors

- 1 Shri M. Venkatesh, Managing Director
- 2 Smt. Pomila Jaspal, Director (Finance)
- 3 Shri Sanjay Varma, Director (Refinery)

F.2 Chief Financial Officer

- 1 Smt. Pomila Jaspal, Director (Finance) & CFO

F.3 Company Secretary

- 1 Shri K B Shyam Kumar, Company Secretary, from May 17, 2021
- 2 Shri Dinesh Ranjan Mishra, Company Secretary, till May 02, 2021

G Other Related Parties of erstwhile subsidiary company ONGC Mangalore Petrochemicals Limited (OMPL) [refer note no. 50]
G.1 Non-Executive directors of erstwhile subsidiary company ONGC Mangalore Petrochemicals Limited (OMPL)

- 1 Smt Alka Mittal, Chairperson (w.e.f. 11th January, 2022)
- 2 Shri Subhash Kumar, Chairperson (up to 31st December, 2021)
- 3 Shri Shashi Shanker, Chairperson (up to 31st March, 2021)
- 4 Shri M. Venkatesh, Director (w.e.f. 01st April, 2015)
- 5 Smt Pomila Jaspal, Director (w.e.f. 26th November, 2019)
- 6 Shri Anurag Sharma, Director (w.e.f. 05th June, 2020)
- 7 Shri Sanjay Varma, Director (w.e.f. 26th June, 2020)
- 8 Shri Om Prakash Singh, Director (w.e.f. 07th June, 2021)
- 9 Shri Pankaj Kumar, Director (w.e.f. 11th January, 2022)
- 10 Shri Sanjay Kumar Moitra, Director (up to 31st May, 2020)
- 11 Shri Vinayakumar, Director (up to 31st May, 2020)
- 12 Shri Rajesh Shyamsunder Kakkar, Director (up to 30th April, 2021)
- 13 Smt. Pomila Jaspal, Director (up to 18th April, 2022)

G.2 Key Management Personnel of erstwhile subsidiary company ONGC Mangalore Petrochemicals Limited (OMPL)

- 1 Shri Pidaparathi Prakash Chainulu, Chief Executive Officer (w.e.f. 1st July, 2021)
- 2 Shri Sujir S Nayak, Chief Executive Officer (up to 30th June, 2021)
- 3 Shri Surinder Pal Singh Chawla, Chief Financial Officer (Secondment from holding company w.e.f. 23rd October, 2020)
- 4 Shri. Surendra Nayak, Chief Financial Officer (Secondment from holding company upto 30th September, 2020)
- 5 Shri Vikram Manjunath Shriyan, Company Secretary (w.e.f. 23rd July, 2021)
- 6 Shri K.B. Shyam Kumar, Company Secretary (up to 12th May, 2021)

42.2 Details of Transactions:**42.2.1 Transactions with Holding Company**

Oil and Natural Gas Corporation Limited (ONGC)	Nature of Transactions	Year ended March 31, 2022	Year ended March 31, 2021
Sales of products	Sale of products and associated services	11,045.49	10,243.33
Purchases of Crude	Purchase of Crude Oil etc.	72,108.16	39,254.75

Oil and Natural Gas Corporation Limited (ONGC)	Nature of Transactions	Year ended March 31, 2022	Year ended March 31, 2021
Services received	a) Deputation of ONGC Employees	-	-
	b) Rent and Electricity Charges for Mumbai and Delhi Office & reimbursement of expenses & bill discounting charges	87.11	129.24
Guarantee Fees	Charges for Guarantee given to Saudi Aramco	23.06	9.73
Dividend	Dividend Paid	-	-
OMPL stake purchase	OMPL stake purchase by MRPL from ONGC	-	12,167.34

During the year the company has been nominated by ONGC for buyout of Compulsorily Convertible Debentures (CCDs) issued by erstwhile subsidiary company OMPL to the extent originally back stopped by ONGC amounting to ₹ 4,900.00 million [refer Note 22.7].

42.2.2 Outstanding balances with Holding Company

Oil and Natural Gas Corporation Limited (ONGC)	Nature of Transactions	As at March 31, 2022	As at March 31, 2021
Amount receivable	Sale of products & associated services	640.28	552.11
Amount payable	Purchase of Crude Oil	6,845.76	2,904.94
Amount payable	Others for expenses	35.39	13.69
Advance	Product Purchase/ Start Up	4.23	-
Commitments	On account of bill discounting of invoices raised by ONGC on MRPL with recourse to ONGC	-	3,258.96

42.2.3 Transactions with Entity having significant influence over the Company

Hindustan Petroleum Corporation Limited (HPCL)	Nature of Transactions	Year ended March 31, 2022	Year ended March 31, 2021
Sales	Sale of Oil products etc.	288,084.84	247,324.63
Services provided	a) Loading arm, pipeline charges etc.	-	-
	b) Reimbursement of Expenses, facilitation charges	6.37	5.66
	c) Receipts of contaminated products, Hospitality Charges, Wharfage etc.	1,163.07	7.87
Dividend	Dividend Paid	-	-

42.2.4 Outstanding balances with Entity having significant influence over the Company

Hindustan Petroleum Corporation Limited (HPCL)	Nature of Transactions	As At March 31, 2022	As At March 31, 2021
Amount receivable	Sale of Oil products etc.	15,231.27	13,956.40
	Others reimbursements	-	22.19
Amount payable	Others for expenses	2.90	0.32

42.2.5 Transactions with Joint Ventures:

Shell MRPL Aviation Fuels and Services Ltd. (SMAFSL)	Nature of Transactions	Year ended March 31, 2022	Year ended March 31, 2021
Sales of products	Petroleum Products	6,071.23	2,226.71
Purchase of products	Contaminated Petroleum Products & reimbursement of expenses	-	0.14
Services provided	a) Reimbursement of Expenses	-	-
	b) Royalty Income & reimbursement towards Oxygen Plant	11.10	9.15
Dividend Income	Dividend received	45.00	37.50

42.2.6 Outstanding balances with Joint Ventures:

Shell MRPL Aviation Fuels and Services Ltd. (SMAFSL)	Nature of Transactions	As At March 31, 2022	As At March 31, 2021
Amount receivable	Sales, Royalty and Terminalling Charges etc.	872.11	342.32

42.2.7 Transactions with Other Related Parties Associates :

Name of Associates	Nature of Transactions	Year ended March 31, 2022	Year ended March 31, 2021
a) Services received from:			
1. Mangalore SEZ Limited	River Water, STP Water, Road Repairs and Lease Rent	961.84	1,165.67
2. Petronet MHB Limited	Pipeline Transportation Charges & other expenses	59.99	23.57
3. ONGC Videsh Ltd.	Purchase of Crude Oil etc.	-	3,197.02
b) Sale of Products to:			
1. OPAL	Sale of Petroleum Products	1,874.02	-
c) Services provided to:			
1. Petronet MHB Limited	Reimbursement of Electricity Charges etc.	31.17	18.14

42.2.8 Outstanding balances with Other Related Parties Associates :

Name of Associates	Nature of Transactions	As At March 31, 2022	As At March 31, 2021
Amount receivable:			
1. Petronet MHB Limited	Reimbursement of Electricity Charges etc.	5.31	0.01
2. ONGC Nile Ganga BV	Outstanding on account of services	0.12	0.12
3. ONGC Campos Ltda	Outstanding on account of services	0.10	0.10
Advance:			
1. ONGC Videsh Ltd.	Crude Oil	0.01	0.01
2. Mangalore SEZ Limited	Security deposit (Power)	15.40	15.40
	Security deposit (Water)	3.13	3.13
	Security deposit (Zone O&M)	9.38	9.38
Amount payable:			
1. Mangalore SEZ Limited	River Water, STP Water and Road Repairs etc.	71.19	119.16
2. Petronet MHB Limited	Pipeline Transportation Charges and other expenses	8.63	2.46
3. ONGC Videsh Ltd.	Balance Outstanding on account of Crude procurement etc.	-	0.14

42.2.9 Transactions with Trusts

Name of Trusts	Nature of Transactions	Year ended March 31, 2022	Year ended March 31, 2021
Remittance of payments:			
Provident Fund of MRPL	Contributions	681.16	684.86
Provident Fund of MRPL	Contribution to the Provident Fund based the shortfall	82.21	271.83
MRPL Education Trust	Contribution to the MRPL Education Trust based the shortfall	54.7	49.85
MRPL Janaseva Trust	Contribution to the MRPL Janaseva Trust based the shortfall	62.85	49.68
MRPL Gratuity Fund Trust	Reimbursements from Trust to MRPL	52.94	23.65
MRPL Gratuity Fund Trust	Contributions from MRPL to Trust	52.32	248.93
MRPL Education Trust	Services rendered	2.54	2.77
MRPL Janaseva Trust	Services rendered	4.05	3.49

42.2.10 Outstanding balances with Trusts

Name of Trusts	Nature of Transactions	As at March 31, 2022	As at March 31, 2021
Amount Payable:			
Provident Fund of MRPL	Amount payable to PF Trust towards shortfall	82.21	271.83
MRPL Gratuity Fund Trust	Contribution payable to Trust (Net)	49.11	235.84
MRPL Janaseva Trust	Contribution to the MRPL Janaseva Trust based the shortfall	4.78	1.99
Amount Receivable:			
MRPL Janaseva Trust	Services rendered	2.14	-
Advance to:			
MRPL Janaseva Trust	Contribution to the MRPL Janaseva Trust based the shortfall	0.06	-

42.2.11 Compensation to Key Management Personnel:

Whole Time Directors/ Company Secretary/ Chief Financial Officer Particulars	Year ended March 31, 2022	Year ended March 31, 2021
Short Term employee benefits	31.96	44.79
Post-employment benefits (includes provision for leaves, gratuity and other post retirement benefits)	24.99	23.05
Other long-term benefits (includes contribution to provident fund)	4.83	6.43
Total	61.78	74.27

Loans / Accrued Interest on Loan to directors and other officers:

Whole Time Directors/ Company Secretary/ Chief Financial Officer Particulars	Year ended March 31, 2022	Year ended March 31, 2021
Loans to Director and Company Secretary	-	5.14
Accrued interest on Loans to Director and Company Secretary	-	0.47
Total	-	5.61

Independent Directors

Particulars	Year ended March 31, 2022	Year ended March 31, 2021
Sitting Fees	1.94	2.02

42.3 Disclosure in respect of Government related entities [refer note 42.3.4 below]:
42.3.1 Name of Government related entities and description of relationship wherein significant amount of transactions were carried out:

Government related entities	Relation
1 Bharat Petroleum Corporation Ltd (BPCL)	Central PSU
2 Indian Oil Corporation Limited (IOCL)	Central PSU
3 Bharat Heavy Electrical Limited (BHEL)	Central PSU
4 Oriental Insurance Co. Limited	Central PSU
5 Bridge & Roof Co (India) Limited	Central PSU
6 Engineers India Limited	Central PSU
7 The Shipping Corporation of India Limited	Central PSU
8 Konkan Railway Corporation Limited	Central PSU
9 Rashtriya Chemicals and Fertilizers Limited	Central PSU
10 Gail (India) Limited	Central PSU
11 National Insurance Company Limited	Central PSU
12 Balmer Lawrie & Co. Ltd.	Central PSU
13 New India Assurance Company Limited	Central PSU
14 United India Insurance Co. Ltd.	Central PSU
15 Indian Strategic Petroleum Reserves Limited (ISPRL)	Central Government
16 Centre for High Technology	Central Government
17 Indian Railways	Central Government
18 Central Industrial Security Force	Central Government
19 Ministry of Corporate Affairs	Central Government
20 National Informatics Centre	Central Government
21 Karnataka Power Transmission Corporation Limited	State Government
22 Karnataka Industrial Area Development Board	State Government
23 Haldia Petrochemicals Limited	State Government
24 Kerala Small Industries Development Corporation Limited	State Government
25 Malabar Cements Limited	State Government
26 Member Secretary, KSPCB, Mangalore	State Government
27 MESCOM	State Government
28 Additional Chief Electrical Inspector, Mangalore	State Government
29 Karnataka State Pollution Control Board	State Government
30 New Mangalore Port Trust	Central Port Trust

42.3.2 Transactions with Government related Entities [refer note 42.3.4 below]:

	Name of entity	Nature of Transactions	Year ended March 31, 2022	Year ended March 31, 2021
A	Sale of products, others during year to:			
1	Indian Oil Corporation Limited (IOCL)	Sale of Crude Oil, Petroleum products	84,935.83	57,178.30
2	Bharat Petroleum Corporation Ltd (BPCL)	Sale of petroleum products	40,519.56	28,814.32
3	New Mangalore Port Trust	Sale of petroleum products	3.11	0.82
4	Indian Strategic Petroleum Reserves Limited (ISPRL)	Sale of Crude oil, petroleum products	0.31	22,042.85
5	Indian Railways	Sale of petroleum products	4,180.05	3,097.00
6	Haldia Petrochemicals Limited	Sale of petroleum products	4,599.29	2,915.26
7	Kerala Small Industries Development Corporation Ltd.	Sale of petroleum products	341.82	267.94
8	Malabar Cements Limited	Sale of petroleum products	110.02	154.42
9	Rashtriya Chemicals and Fertilizers Limited	Sale of petroleum products	399.87	91.28
B	Purchase of product during year from:			
1	Bharat Heavy Electrical Ltd	Other supplies	16.35	84.11
2	Indian Oil Corporation Limited (IOCL)	Purchase of Naphtha, Contaminated Product, Lubes etc.	915.00	135.96
3	Bharat Petroleum Corporation Ltd (BPCL)	Purchase of Contaminated Product etc.	1,203.66	2.08
4	Gail (India) Limited	RLNG Procurement	1,077.23	432.83
5	Indian Strategic Petroleum Reserves Limited (ISPRL)	Purchase of Crude Oil etc.	30,137.73	988.45
C	Service Provided			
1	Indian Strategic Petroleum Reserves Limited (ISPRL)	Deputation of MRPL Employees	17.05	8.73
2	Indian Oil Corporation Limited (IOCL)	On account of Pipeline, loading arm charges etc.	-	-
D	Services Received from:			
1	Karnataka Power Transmission Corporation Ltd	Purchase of electricity	0.13	196.48
2	Oriental Insurance Co. Ltd	Insurance premium	497.08	400.89
3	New Mangalore Port Trust	Port Services others	1,141.76	1,125.06
4	Bridge & Roof Co (India) Ltd	Job Work Service	112.46	925.14
5	Engineers India Ltd	Technical Services	47.10	92.88
6	The Shipping Corporation of India Ltd	Service	2,000.64	2,204.36
7	Konkan Railway Corporation Limited	Railway Siding Freight Charges	13.49	617.33
8	Bharat Petroleum Corporation Ltd (BPCL)	PT Programme Services	-	0.12
9	Bharat Heavy Electrical Ltd	Other services	25.81	24.06
10	Additional Chief Electrical Inspector, Mangalore	Captive-Power-Gen-Cpp-Solar	236.33	196.48

	Name of entity	Nature of Transactions	Year ended March 31, 2022	Year ended March 31, 2021
11	Central Industrial Security Force	Security Charges	155.49	221.91
12	Gail (India) Limited	RLNG Transmission	161.17	8.20
13	Member, Secretary, KSPCB, Mangalore	Payment of Consent Fee	104.62	-
14	MESCOM	Power Supply and Rating Fee	907.60	311.98
15	National Insurance Company Limited	Services	18.87	0.23
16	Karnataka State Pollution Control Board	Services	37.87	0.14
17	Balmer Lawrie & Co. Limited	Services	0.58	0.71
18	New India Assurance Company Limited	Services	0.05	179.70
19	National Informatics Centre	Services	0.98	-
20	United India Insurance Co. Limited	Services	0.29	0.38
E	Advance for Acquisition for Land			
1	Karnataka Industrial Area Development Board	Purchase of Land	-	7.24

42.3.3 Outstanding balances with Government related entities [refer note 42.3.4 below]:

	Name of entity	Nature of Transactions	As at March 31, 2022	As at March 31, 2021
	Advance from Customers:			
1	Kerala Small Industries Development Corporation Limited	Advance	0.06	0.45
2	Assistant Director KRIDL	Advance	0.53	-
3	Malabar Cements Limited	Advance	0.07	0.25
	Amount receivable:			
1	Indian Oil Corporation Limited	Trade and other receivable	4,934.60	1,580.07
2	Bharat Petroleum Corporation Ltd.	Trade and other receivable	4,117.84	1,143.19
3	Indian Strategic Petroleum Reserves Limited (ISPRL)	Trade and other receivable	0.47	1.41
4	Indian Railways	Trade and other receivable	489.98	415.82
5	Haldia Petrochemicals Limited	Trade and other receivable	0.70	-
6	Rashtriya Chemicals and Fertilizers Limited	Trade and other receivable	85.30	17.32
	Advance to Vendors :			
1	Centre for High Technology	Advance	29.82	29.82
2	Karnataka Industrial Area Development Board	Advance & Security Deposit for Land etc.	6,956.24	6,955.25
3	MESCOM	Advance	81.76	-
4	Central Industrial Security Force	Advance	10.75	14.99
5	New Mangalore Port Trust	Advance	232.45	221.69
6	National Insurance Company Limited	Advance	0.06	0.01
7	National Informatics Centre	Advance	-	0.47

	Name of entity	Nature of Transactions	Year ended March 31, 2022	Year ended March 31, 2021
	Amount payable:			
1	Bridge & Roof Co (India) Ltd	Trade and other payable	86.64	54.12
2	Engineers India Ltd	Trade and other payable	208.34	158.16
3	Bharat Heavy Electrical Ltd	Trade and other payable	893.03	882.59
4	The Shipping Corporation of India Ltd	Trade and other payable	270.12	-
5	Konkan Railway Corporation Limited	Trade and other payable	32.24	16.87
6	Karnataka Power Transmission Corporation Ltd	Trade and other payable	-	19.26
7	Indian Oil Corporation Limited	Trade and other payable	0.19	106.81
8	Indian Strategic Petroleum Reserves Limited (ISPRL)	Trade and other payable	116.12	-
9	Gail (India) Limited	Trade and other payable	21.34	152.27
10	Member Secretary, KSPCB, Mangalore	Trade and other payable	-	0.10
11	MESCOM	Trade and other payable	-	12.21
12	Bharat Petroleum Corporation Limited	Trade and other payable	0.01	-

The above transactions with the government related entities cover transactions that are significant individually and collectively. The Company has also entered into other transactions such as telephone expenses, air travel, fuel purchase and deposits etc. with above mentioned and other various government related entities. These transactions are insignificant individually and collectively and hence not disclosed.

42.3.4 Relationship, transactions and outstanding balances with ONGC, HPCL, PMHBL, ONGC Nile Ganga BV, OPAL and ONGC Videsh Ltd. have been disclosed in Note 42.2.1 to 42.2.8 above.

43 Financial Instruments

43.1 Capital Management

The Company's objective when managing capital is to safeguard its ability to continue as going concern so that the Company is able to provide maximum return to stakeholders and benefits for other stakeholders; and maintain an optimal capital structure to reduce the cost of capital.

The Company maintains its financial framework to support the pursuit of value growth for shareholders, while ensuring a secure financial base. In order to maintain or adjust the capital structure, the Company may vary the distribution of dividends to shareholders, return capital to shareholders, issue new shares or sell assets to reduce debt.

The capital structure of the Company consists of net debt (borrowings as detailed in note 22 offset by cash and bank balances) and total equity of the Company.

The Company's management reviews the capital structure of the Company on quarterly basis. As part of this review, the management considers the cost of capital and the risks associated with each class of capital requirements and maintenance of adequate liquidity.

43.1.1 Gearing Ratio

The gearing ratio at the end of the reporting period is computed as follows:

Particulars	As at 31 March, 2022	As at 31 March, 2021
i) Debt *	210,851.77	238,332.78
ii) Total cash and bank balances	438.55	520.77
Less: cash and bank balances required for working capital	438.55	520.77
Net cash and bank balances	-	-
iii) Net Debt	210,851.77	238,332.78
iv) Total equity	72,093.53	42,480.99
v) Net Debt to equity ratio	2.92	5.61
* Debt is defined as long-term and short term borrowings as described in note 22		

43.2 Categories of financial instruments

Particulars	As at 31 March, 2022	As at 31 March, 2021
Financial assets [refer note 43.2.1 below]		
Measured at amortised cost		
(a) Trade receivables	43,276.69	24,506.71
(b) Cash and cash equivalents	55.24	258.25
(c) Other bank balances	383.31	262.52
(d) Loans	1,328.85	1,224.66
(e) Other financial assets	583.89	470.15
Measured at fair value through profit and loss		
(a) Investments	5.08	5.08
Financial liabilities		
Measured at amortised cost		
(a) Borrowings	210,851.77	238,332.78
(b) Lease Liability	2,252.71	2,291.31
(c) Trade payables	93,671.74	40,031.31
(d) Other financial liabilities	7,716.84	9,800.69

43.3 Financial risk management objectives

The Company's Risk Management Committee monitors and manages key financial risks relating to the operations of the Company by analysing exposures by degree and magnitude of risks. These risks include market risk (including currency risk and interest rate risk), credit risk and liquidity risk.

43.4 Market Risk

Market risk is the risk or uncertainty arising from possible market price movements and their impact on the future performance of a business. The major components of market risk are foreign currency exchange risk and interest rate risk.

43.5 Foreign currency risk management

The Company undertakes transactions denominated in foreign currencies, primarily for purchases of crude oil and exports sales and has borrowings denominated in foreign currency; consequently, exposures to exchange rate fluctuations arise. Significant carrying amounts of the Company's foreign currency denominated monetary assets and monetary liabilities at the end of the reporting period are as follows:

Transaction Currency	Liabilities		Assets	
	As at March 31, 2022	As at March 31, 2021	As at March 31, 2022	As at March 31, 2021
USD	187,630.99	151,982.16	16,678.00	7,105.94
EURO	51.06	6.42	-	-
CHF	0.29	0.23	-	-
GBP	1.05	2.01	-	-
JPY	2.28	-	-	-
CAD	-	0.19	-	-

43.5.1 Foreign currency sensitivity analysis

The Company is mainly exposed to the currency of United States of America (USD). Sensitivity of profit or loss arises mainly from USD denominated receivables and payables.

As per management's assessment of reasonable possible changes in the exchange rate of +/- 5% between USD-INR currency pair, sensitivity of profit or loss only on outstanding foreign currency denominated monetary items at the period end is presented below:

USD sensitivity at year end	Year ended March 31, 2022	Year ended March 31, 2021
Receivables:		
Weakening of INR by 5%	833.90	355.30
Strengthening of INR by 5%	(833.90)	(355.30)
Payables:		
Weakening of INR by 5%	(9,381.55)	(7,599.11)
Strengthening of INR by 5%	9,381.55	7,599.11

43.5.2 Forward foreign exchange contracts

The Company books short term forward contracts upto a maximum period of 30 days to the limited extent when export receivables date and import payments date do not fall within the spot date.

43.6 Interest rate risk management

The Company has availed borrowings at fixed and floating interest rates, hence is exposed to interest rate risk. The Company has not entered into any of the interest rate swaps and hence the Company is exposed to interest rate risk.

Interest rate sensitivity analysis

The sensitivity analysis below have been determined based on the exposure to interest rates at the end of the reporting period. For floating rate borrowings, the analysis is prepared assuming the amount of the borrowings outstanding at the end of the reporting period was outstanding for the whole year. A 50 basis point increase or decrease is used for disclosing the sensitivity analysis.

If interest rates had been 50 basis points higher/lower and all other variables were held constant, the Company's profit for the year ended March 31, 2022 would decrease/increase by ₹677.74 million (for the year ended March 31, 2021 : decrease/increase by ₹728.98 million). This is mainly attributable to the Company's exposure to interest rates on its variable rate borrowings (considered on closing balance of borrowings as at year end).

43.7 Credit risk management

Credit risk refers to the risk that a counter party will default on its contractual obligations resulting in financial loss to the Company. Credit risk arises from cash and cash equivalents, deposits with banks as well as customers including receivables. Credit risk management considers available reasonable and supportive forward-looking information including indicators like external credit rating (as far as available), macro-economic information (such as regulatory changes, government directives, market interest rate etc.).

Major customers comprise of public sector undertakings (Oil Marketing Companies - OMCs) having highest credit ratings and carry negligible credit risk. Concentration of credit risk to any other counterparty did not exceed 10% of total monetary assets at any time during the year.

Only high rated banks are considered for placement of deposits. Bank balances are held with reputed and creditworthy banking institutions.

43.8 Liquidity risk management

The Company manages liquidity risk by maintaining sufficient cash and cash equivalents including bank deposits and availability of funding through an adequate amount of committed credit facilities to meet the obligations when due. Management monitors rolling forecasts of liquidity position and cash and cash equivalents on the basis of expected cash flows. In addition, liquidity management also involves projecting cash flows considering level of liquid assets necessary to meet obligations by matching the maturity profiles of financial assets & liabilities and monitoring balance sheet liquidity ratios. The Company manages liquidity risk by maintaining adequate cash & credit lines and continuously monitoring forecast and actual cash flows and by matching the maturity profiles of financial assets and liabilities.

The following tables detail the Company's remaining contractual maturity for its non-derivative financial with agreed repayment periods. The tables have been drawn up based on the undiscounted cash flows of financial liabilities based on the earliest date on which the Company can be required to pay. The tables include both interest and principal cash flows. The contractual maturity is based on the earliest date on which the Company may be required to pay.

Particulars As at March 31, 2022	Weighted average effective interest rate	Less than 1 month	1 month - 1 year	1 year – 3 years	More than 3 years	Total	Gross Carrying Value
(i) Borrowings	Refer Note 22	21,758.61	46,945.10	68,327.39	74,707.11	2,11,738.21	2,10,851.77
(ii) Trade payables	Refer Note 26.2	68,048.18	25,623.56	-	-	93,671.74	93,671.74
(iii) Lease Liability		38.95	224.51	523.09	4,670.89	5,457.44	2,252.71
(iv) Other Financial Liabilities		6,608.15	1,109.83	-	-	7,717.98	7,716.84

As at March 31, 2021							
(i) Borrowings	Refer Note 22	18,669.83	62,672.38	58,441.37	99,581.86	2,39,365.44	2,38,332.78
(ii) Trade payables	Refer Note 26.2	30,773.88	9,257.43	-	-	40,031.31	40,031.31
(iii) Lease Liability		39.90	202.12	516.80	4,878.88	5,637.70	2,291.31
(iv) Other Financial Liabilities		5,628.77	4,173.20	-	-	9,801.97	9,800.69

The following table details the Company's expected maturity for its non-derivative financial assets. The table has been drawn up based on the undiscounted contractual maturities of the financial assets including interest that will be earned on those assets. The inclusion of information on non-derivative financial assets is necessary in order to understand the Company's liquidity risk management as the liquidity is managed on a net asset and liability basis.

Particulars As at March 31, 2022	Weighted average effective interest rate	Less than 1 month	1 month - 1 year	1 year – 3 years	More than 3 years	Total	Gross Carrying Value
(i) Investments		-	-	-	154.99	154.99	154.99
(ii) Loans:							
Loans to Employee	5.71%	12.42	142.92	296.47	872.33	1,324.14	1,324.14
Loans to Customers	8.03%	0.04	0.46	1.76	2.45	4.71	4.71
(iii) Trade Receivables	Refer Note 17.1	43,045.19	231.50	-	-	43,276.69	43,276.69
(iv) Cash and Cash equivalents		55.24	-	-	-	55.24	55.24
(v) Other Bank Balances		383.31	-	-	-	383.31	383.31
(vi) Other financial assets		67.96	4.23	110.69	591.14	774.02	583.89

As at March 31, 2021							
(i) Investments		-	-	-	154.99	154.99	154.99
(ii) Loans:							
Loans to Employee	7.74%	17.61	127.67	271.01	803.48	1,219.77	1,219.77
Loans to Customers	8.39%	-	0.31	1.00	3.58	4.89	4.89
(iii) Trade Receivables	Refer Note 17.1	24,300.05	206.66	-	-	24,506.71	24,506.71
(iv) Cash and Cash equivalents		258.25	-	-	-	258.25	258.25
(v) Other Bank Balances		262.52	-	-	-	262.52	262.52
(vi) Other financial assets		14.65	4.16	16.22	626.34	661.37	470.15

The Company has access to financing facilities as described below, of which ₹ Nil were unused at the end of the reporting period (As at March 31, 2021 ₹ 5,000 million). The Company expects to meet its other obligations from operating cash flows and proceeds of maturing financial assets.

Particulars	As At March 31, 2022	As At March 31, 2021
Bank overdraft facility payable at call :	5,000.00	5,000.00
- amount used	5,000.00	-
- amount unused	-	5,000.00

43.9 Fair value measurement

The management considers that the carrying amounts of financial assets and financial liabilities recognized in the financial statements approximate their fair values unless otherwise stated. The financial liabilities are measured as amortized cost and are classified as Level II from a fair value hierarchy perspective.

44. The Financial position of the Joint Venture is as under:

Particulars (As at March 31, 2022)	Current Assets	Non-Current Assets	Current Liabilities	Non-Current Liabilities	Total Revenue	Profit or Loss from continuing operations	Profit or Loss from discontinued operations	Other Comprehensive Income	Total Comprehensive Income
Shell MRPL Aviation Fuels and Services Limited	3,283.92	82.81	2,766.95	2.50	6,731.90	179.22	-	0.86	180.08
Total	3,283.92	82.81	2,766.95	2.50	6,731.90	179.22	-	0.86	180.08

Particulars (As at March 31, 2021)	Current Assets	Non-Current Assets	Current Liabilities	Non-Current Liabilities	Total Revenue	Profit or Loss from continuing operations	Profit or Loss from discontinued operations	Other Comprehensive Income	Total Comprehensive Income
Shell MRPL Aviation Fuels and Services Limited	1,984.11	91.79	1,563.43	5.87	2,604.95	8.00	-	0.03	8.03
Total	1,984.11	91.79	1,563.43	5.87	2,604.95	8.00	-	0.03	8.03

44.1 Additional Financial information related to Joint venture is as under:

Particulars (As at March 31, 2022)	Cash and Cash Equivalents	Current Financial Liabilities	Non-Current Financial Liabilities	Depreciation and Amortisation	Interest Income	Interest Expense	Income Tax Expense on Income
Shell MRPL Aviation Fuels and Services Limited	355.97	2,646.09	2.50	14.86	37.81	2.62	60.90
Total	355.97	2,646.09	2.50	14.86	37.81	2.62	60.90

Particulars (As at March 31, 2021)	Cash and Cash Equivalents	Current Financial Liabilities	Non-Current Financial Liabilities	Depreciation and Amortisation	Interest Income	Interest Expense	Income Tax Expense on Income
Shell MRPL Aviation Fuels and Services Limited	87.95	1,444.32	5.59	15.02	76.18	27.00	4.48
Total	87.95	1,444.32	5.59	15.02	76.18	27.00	4.48

44.2 Summarised financial information of Company's Joint Venture

Particulars	Shell MRPL Aviation Fuels and Services Limited	
	As at March 31, 2022	As at March 31, 2021
Net assets of the Joint Venture	596.68	506.60
Proportion of the Company's ownership interest in JV (%)	50%	50%
Proportion of the Company's ownership interest in JV (INR)	298.34	253.30
Less : Unrealized Profit and other adjustment	18.27	3.44
Carrying amount of the Company's interest in JV after adjustment	280.07	249.86

45 Contingent liabilities

45.1 Claims against the Company/ disputed demands not acknowledged as debt:-

Sl. No.	Particulars	As at March 31, 2022	As at March 31, 2021
1.	Claims of Contractors / vendors in Arbitration / Court Some of the contractors for supply and installation of equipment have lodged claims on the Company seeking revision of time of completion without liquidated damages, extended stay compensation and extra claims etc., which are contested by the Company as not admissible in terms of the provisions of the respective contracts. In case of unfavourable awards the amount payable that would be capitalised is ₹ 5,050.68 million / charged to revenue account would be ₹ 283.67 million (Year ended March 31, 2021 ₹ 4,806.98 million and ₹ 10.88 million).	5,334.34	4,817.86
2.	Others The claim of Mangalore SEZ Limited over and above the advance paid for land and rehabilitation & resettlement work.	20.05	20.05
	Total	5,354.39	4,837.91

In respect of all these claims, it is being contested by the Company as not admissible. It is not practicable to make a realistic estimate of the outflow of resource, if any, for settlement of such claim, pending resolution / award from Arbitrators / Court.

45.2 Disputed tax / Duty demands pending in appeal as at 31st March, 2022

45.2.1 Income Tax: ₹ 224.05 million as at March 31, 2022 (As at March 31, 2021 ₹ 228.76 million). Against this ₹ Nil as at March 31, 2022 (As at March 31, 2021 ₹ Nil) is adjusted / paid under protest and is included under tax assets/ liability [refer note 14].

45.2.2 Excise Duty: ₹ 7,966.52 million as at March 31, 2022 (As at March 31, 2021 ₹ 7,633.38 million). Against this ₹ 185.89 million as at March 31, 2022 (As at March 31, 2021 ₹ 186.39 million) is predeposit / paid under protest and is included under other assets [refer note 15].

45.2.3 Customs Duty: ₹ 996.28 million as at March 31, 2022 (As at March 31, 2021 ₹ 956.02 million). Against this ₹ 378.71 million as at March 31, 2022 (As at March 31, 2021 ₹ 379.48 million) is adjusted / paid under protest and is included under other assets [refer note 15].

45.2.4 There is a claim from the custom department for customs duty amounting to ₹ 2,121.14 million as at March 31, 2022 (As at March 31, 2021 ₹ 2,121.14 million) along with applicable interest and penalties totally amounting to ₹ 6,168.37 million as at March 31, 2022 (As at March 31, 2021 ₹ 6,168.37 million) in respect of classification of tariff of the reformat for the purpose of payment of import duty. An appeal has been filed before the Appellate Authority contesting the entire demand. Pending outcome of the appeal proceedings, no provision for the said demand has been made in the books [refer note 15].

45.3 Others :

As informed by a vendor company, there is a claim from the Deputy Commissioner of Commercial Tax (CT) amounting to ₹ 4,117.01 million as at March 31, 2022 (As at March 31, 2021 ₹ Nil) against which a writ petition has been filed by them before Hon'ble Karnataka High Court. In terms of the contract entered with the vendor company, the said liability as and when reaches finality is to be discharged by the company on back to back basis.

45.4 Contingent Asset :

An amount of ₹ 95.28 million as at March 31, 2022 (As at March 31, 2021 ₹ 62.76 million) earmarked by MSEZL as third party share payable to the company towards pipeline-cum-road corridor usage which is not considered in the current period, as the same has not been finalized pending freezing of the project cost of pipeline corridor project.

46 Commitments

46.1 Capital Commitments:

46.1.1 The estimated amount of contracts remaining to be executed on capital account and not provided for (net of advances) as at March 31, 2022 ₹ 3,069.74 million (As at March 31, 2021 ₹ 6,464.09 million).

46.1.2 The Company has requested KIADB for an allotment of 1,050 acres of land for Phase IV expansion. The balance capital commitment in this regard is around ₹ 6407.14 million (As at March 31, 2021 ₹ 6,407.14 million).

46.2 Other Commitments

46.2.1 Pending commitment on account of Refinery-MRPL is in possession of certain land provisionally measuring 36.69 acres ceded by HPCL for use by MRPL Phase III expansion and upgradation work. The consideration for such land is mutually agreed to be by way of swapping of land in possession of MRPL/HPCL. The final documentation in this regard is pending to be executed.

46.2.2 Pending commitment on account of Refinery performance improvement programme by M/s.Shell Global International Solution (M/s.Shell GIS) as at March 31, 2022 USD 1.46 million net of advance (As at March 31, 2021 USD 1.46 million net of advance).

46.2.3 Pending commitments on account of Corporate Environment Responsibility (CER) and Enterprise Social Commitment (ESC) as at March 31, 2022 ₹ 758.79 million (As at March 31, 2021 ₹ Nil).

47 Reconciliation of liabilities arising from financing activities.

The table below details change in the Company's liabilities arising from financing activities, including both cash and non cash changes. Liabilities arising from financing activities are those for which cash flows were, or future cash flows will be, classified in the Company's Statement of Cash Flows as cash flows from financing activities.

Sl. No.	Particulars	Opening Balance As At 01/04/2021	Financing Cash Flows	Non-cash changes	Closing Balance As At 31/03/2022
I	Borrowing - Long Term				
1	External commercial borrowing (ECB)	21,041.69	(9,466.55)	452.36	12,027.50
2	Loan from Oil Industry Development Board (OIDB)	5,272.50	(1,347.50)	-	3,925.00
3	Interest Free Loan from Govt. Karnataka - VAT Loan	418.09	-	43.84	461.93
4	Working capital term loan from banks (ECB)	39,981.96	(0.01)	1,543.11	41,525.06
5	Non-Convertible Debentures	37,752.25	12,000.00	(0.30)	49,751.95
6	Deferred Payment Liability From Government of Karnataka - CST	-	86.33	(38.74)	47.59
7	Foreign Currency Term Loan (FCNR)	43,476.93	1,116.78	1,624.70	46,218.41
8	Rupee Term Loan	9,868.16	2,342.99	2.07	12,213.22
9	Compulsorily Convertible Debentures [refer note 22.7]	9,993.00	(10,000.00)	7.00	-
	Total	167,804.58	(5,267.96)	3,634.04	166,170.66
II	Borrowing - Short Term				
1	Working capital loan from banks	-	5,181.94	-	5,181.94
2	Foreign Currency Term Loan (FCNR)	11,698.40	(11,698.40)	-	-
3	Short Term Rupee Loan	-	-	-	-
4	Commercial Paper	26,500.00	(26,500.00)	-	-
5	Bill Discounting Facility	766.48	382.82	-	1,149.30
6	Other Working Capital Loan	31,563.32	6,786.55	-	38,349.87
	Total	70,528.20	(25,847.09)	-	44,681.11

Sl. No.	Particulars	Opening Balance As At 01.04.2020	Financing Cash Flows	Non-cash changes	Closing Balance As At 31.03.2021
I	Borrowing - Long Term				
1	External commercial borrowing (ECB)	32,844.25	(11,135.30)	(667.26)	21,041.69
2	Loan from Oil Industry Development Board (OIDB)	5,390.00	(117.50)	-	5,272.50
3	Interest Free Loan from Govt. Karnataka - VAT Loan	360.78	74.88	(17.57)	418.09
4	Working capital term loan from banks (ECB)	30,025.03	11,165.63	(1,208.70)	39,981.96
5	Non-Convertible Debentures	25,586.59	12,170.00	(4.34)	37,752.25
6	Foreign Currency Term Loan (FCNR)	38,510.88	6,167.23	(1,201.18)	43,476.93
7	Rupee Term Loan	6,856.72	3,010.92	0.52	9,868.16
8	Compulsorily Convertible Debentures [refer note 22.7]	9,989.37	-	3.63	9,993.00
	Total	149,563.62	21,335.86	(3,094.90)	167,804.58
II	Borrowing - Short Term				
1	Working capital loan from banks	8,632.30	(8,632.31)	0.01	-
2	Foreign Currency Term Loan (FCNR)	11,866.06	(215.70)	48.04	11,698.40
3	Short Term Rupee Loan	4,732.16	(4,732.16)	-	-
4	Commercial Paper	-	26,500.00	-	26,500.00
5	Bill Discounting Facility	6,324.45	(5,557.97)	-	766.48
6	Other Working Capital Loan	3,700.00	27,863.32	-	31,563.32
	Total	35,254.97	35,225.18	48.05	70,528.20

The cash flows from bank loans, loans from related parties and other borrowings make up the net amount of proceeds from borrowings and repayments of borrowings in the Statement of Cash Flows.

48 Additional Regulatory Information as per amended Schedule III is given below:
48.1 Loans or advances to specified persons

Type of Borrower	As at March 31, 2022		As at March 31, 2021	
	Amount of loan or advance in the nature of loan outstanding	Percentage to the total Loans and Advances in the nature of loans	Amount of loan or advance in the nature of loan outstanding	Percentage to the total Loans and Advances in the nature of loans
Promoters	Nil	Nil	Nil	Nil
Directors	Nil	Nil	Nil	Nil
KMPs	Nil	Nil	Nil	Nil
Related Parties	Nil	Nil	Nil	Nil

48.2 Details of Capital Work-in-Progress (CWIP) [Refer Note No.7]
CWIP Ageing Schedule :

Particulars	As at March 31, 2022			
	Amount in CWIP for a period of			Total
	Less than 1 year	1 Year to 2 Years	2 Years to 3 Years	
Projects in Progress	494.57	485.84	470.14	1,680.93
Projects temporarily suspended	-	1.33	15.40	16.73
Total	494.57	487.17	485.54	1,697.66

CWIP (whose completion is overdue of has exceeded its cost compared to its original plan) Completion Schedule :

Particulars	As at March 31, 2022				Total
	To be completed in				
	Less than 1 year	1 Year to 2 Years	2 Years to 3 Years	More than 3 Years	
	Projects in Progress				
Gas detectors in the Refinery complex	362.58	-	-	-	362.58
Oil Marketing Terminal at Devangonhi	-	116.73	-	-	116.73
Wet gas scrubber system in PFCC	-	122.98	-	-	122.98
CCR1 Revamp	-	180.82	-	-	180.82
Control system Windows upgradation	-	143.55	-	-	143.55
Other Projects	305.55	94.53	31.57	99.76	531.41
Projects temporarily suspended					
Nox Reduction System	-	-	-	16.73	16.73
Total	668.13	658.61	31.57	116.49	1,474.80

CWIP Ageing Schedule :

Particulars	As at March 31, 2021					Total
	Amount in CWIP for a period of					
	Less than 1 year	1 Year to 2 Years	2 Years to 3 Years	More than 3 Years		
Projects in Progress	6,967.34	10,312.18	4,347.87	1,786.58	23,413.97	
Projects temporarily suspended	1.33	15.30	-	-	16.63	
Total	6,968.67	10,327.48	4,347.87	1,786.58	23,430.60	

CWIP (whose completion is overdue of has exceeded its cost compared to its original plan) Completion Schedule :

Particulars	As at March 31, 2021				Total
	To be completed in				
	Less than 1 year	1 Year to 2 Years	2 Years to 3 Years	More than 3 Years	
	Projects in Progress				
Gas detectors in the Refinery complex	-	344.88	-	-	344.88
DHDT Pipe Rack restoration job	192.81	-	-	-	192.81
Control system Windows upgradation	-	-	135.69	-	135.69
PP Road	225.46	-	-	-	225.46
BS VI Project	16,229.73	-	-	-	16,229.73
Desalination Plant	4,438.57	-	-	-	4,438.57
Re-Laying of 5 Kms of Raw Water Pipeline	299.15	-	-	-	299.15
Additional Accommodation for CISF	105.09	-	-	-	105.09
Revamp of CCR1	-	-	100.74	-	100.74
Other Projects	490.73	43.02	150.06	101.86	785.67
Total	21,981.54	387.90	386.49	101.86	22,857.79
Projects Temporarily Suspended					
Nox Reduction System	-	-	-	16.63	16.63
Grand Total	21,981.54	387.90	386.49	118.49	22,874.42

48.3 Summary of reconciliation and reasons for material discrepancies in Statement submitted with Banks for Borrowings secured against current assets (Refer Note No. 22)

Quarter	Name of Bank	Particulars of Securities Provided	Amount as per Books of Accounts	Amount as reported in the quarterly return/ statement	Amount of Difference	Reason for Material Discrepancies
Jun-20	Consortium Loan from State Bank of India, Punjab National Bank, Union Bank of India and Canara Bank	Inventory	33,113.75	32,839.38	274.37	The figures relating to the quarterly returns or statements which were filed with banks are on provisional basis (prior to the finalization of accounts) and as the formats of such returns or statements were not aligned with presentation formats of financial statements, the book figures and provisional figures submitted to the banks are not at par. Hence, corrective measures are being implemented for alignment of the formats and figures in future periods, by seeking additional time from banks for submission of returns or statements aligning with financial statements.
		Trade Receivables	21,851.60	22,916.04	(1,064.44)	
		Trade Payables (Crude)	17,564.34	17,561.37	2.97	
Turnover net of Excise Duty and Trading Goods		35,686.76	35,662.40	24.36		
Inventory		40,643.62	46,466.62	(5,823.00)		
Trade Receivables		17,536.63	19,997.92	(2,461.29)		
Trade Payables (Crude)		26,221.20	26,231.54	(10.34)		
Turnover net of Excise Duty and Trading Goods		94,525.28	94,525.32	(0.04)		
Inventory		46,788.57	46,881.09	(92.52)		
Trade Receivables		47,249.74	50,080.81	(2,831.07)		
Trade Payables (Crude)		28,245.86	28,093.40	152.46		
Turnover net of Excise Duty and Trading Goods		1,74,002.52	1,74,001.99	0.53		
Inventory		66,098.68	70,292.13	(4,193.45)		
Trade Receivables		24,164.74	25,818.80	(1,654.06)		
Trade Payables (Crude)		40,447.32	42,269.42	(1,822.10)		
Turnover net of Excise Duty and Trading Goods		3,09,438.82	3,09,441.55	(2.73)		
Inventory		72,841.69	72,889.68	(47.99)		
Trade Receivables		28,110.29	29,126.62	(1,016.33)		
Trade Payables (Crude)		52,847.96	53,045.92	(197.96)		
Turnover net of Excise Duty and Trading Goods		1,12,926.10	1,12,927.70	(1.60)		
Inventory		77,661.32	77,709.05	(47.73)		
Trade Receivables		37,962.22	38,982.59	(1,020.37)		
Trade Payables (Crude)		48,186.64	48,309.33	(122.69)		
Turnover net of Excise Duty and Trading Goods		2,45,259.19	2,45,255.75	3.44		
Sep-21						

48.4 Relationship with Struck off Companies

Name of the struck off company	Nature of transactions with struck off company	As at March 31, 2022		As at March 31, 2021	
		Balance Outstanding	Relationship with the struck off company	Balance Outstanding	Relationship with the struck off company
Outpace Optifibre Network Pvt. Ltd.	Payable : EMD released	Nil	Unrelated	Nil	Unrelated
Valvitalia India Pvt.Ltd.	Payable : Write back to income	Nil	Unrelated	Nil	Unrelated
Varkul Websoft Pvt.Ltd.	Payable : Write back to income	Nil	Unrelated	Nil	Unrelated

Note:

Identification of Struck Off Companies has been done by manually searching the names of Companies through the Master Data available in the portal of MCA.

48.5 No proceedings have been initiated or pending against the Company for holding any benami property under the Benami Transactions Prohibitions Act, 1988 and the rules thereunder as at March 31, 2022 and March 31, 2021.

48.6 The Company has not been declared a wilful defaulter by any bank or financial institution or other lender as at March 31, 2022 and March 31, 2021.

48.7 All charges or satisfaction have been registered with Registrar of Companies (RoC) within the statutory period as at March 31, 2022 and March 31, 2021.

48.8 The requirement of number of layers as prescribed under clause (87) of section 2 of the Act read with Companies (Restriction on number of Layers) Rules, 2017 is not applicable to the Company.

48.9 The company has used the borrowings from banks and financial institutions for the specific purpose for which it was taken as at March 31, 2022 and March 31, 2021.

48.10 The Company has not advanced or loaned or invested funds (either borrowed funds or share premium or any other sources or kind of funds) to any other person(s) or entity(ies), including foreign entities (intermediaries) with the understanding that the intermediary shall directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the company (ultimate beneficiaries) or provide any guarantee, security or the like to or on behalf of the ultimate beneficiaries.

48.11 The Company has not received any fund from any person(s) or entity(ies), including foreign entities (Funding party) with the understanding (whether recorded in writing or otherwise) that the company shall directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (Ultimate Beneficiaries) or provide any guarantee, security or the like to or on behalf of the Ultimate Beneficiaries.

48.12 The Company did not have any transaction which was not recorded in the books of accounts that has been surrendered or disclosed as income during the previous year in the tax assessments under the Income Tax Act, 1961.

48.13 The Company has not traded or invested in Crypto currency or virtual currency during the year ended March 31, 2022 and year ended March 31, 2021.

48.14 The Company has complied with the approved Scheme(s) of Arrangements [refer note 50].

49 Disclosure of interest in Joint Venture:

The consolidated financial statements represents consolidation of accounts of "Mangalore Refinery and Petrochemical Limited" and its Joint Venture as given below [refer note no 11 and 44]:

Sl. No.	Name of the Joint Venture Company	County of Incorporation	Proportion of ownership interest		Status of Audit as on March 31, 2022
			As at March 31, 2022	As at March 31, 2021	
1.	Shell MRPL Aviation Fuels and Services Limited	India	50.00%	50.00%	Audited

50 Scheme of Amalgamation ('The Scheme')

50.1 Amalgamation of ONGC Mangalore Petrochemicals Limited with Mangalore Refinery and Petrochemicals Limited

- (i) As a part of reorganization of the Group, the Board of Directors of the Company had approved a scheme for amalgamation ('the Scheme') of the erstwhile wholly owned subsidiary company ONGC Mangalore Petrochemicals Limited (OMPL) (the amalgamating company) with the company (the amalgamated company) on June 10, 2021.
- (ii) Prior to this, the Company had acquired the control over the amalgamating company on February 28, 2015 by acquiring 51.0017% of equity shares. Subsequently, the Company had acquired additional shares to the tune of 48.9981% from non-controlling shareholders i.e. from Oil and Natural Gas Corporation Ltd. in ONGC Mangalore Petrochemicals Limited on January 1, 2021.
- (iii) The amalgamating company was primarily engaged in operating a green field petrochemicals project consisting of an aromatic complex situated in Mangalore Special Economic Zone, Permude, Mangaluru, Karnataka for production of Para-xylene, Benzene and other products.
- (iv) Pursuant to the scheme of Amalgamation ('the Scheme') approved by the Ministry of Corporate Affairs (MCA) vide its order No. 24/3/2021-CL-III dated April 14, 2022, the amalgamating company has been amalgamated with the Company with effect from April 1, 2021 ('the appointed date'). As per Appendix "C" of Ind AS 103 - Business Combinations, the financial information in the consolidated financial statements in respect of prior periods is restated as if the business combination had occurred from the beginning of the preceding period in the financial statements, irrespective of the actual date of the combination. Accordingly, business combination is accounted with effect from April 1, 2020.

50.2 Accounting treatment:

Business combination is accounted for using the 'pooling of interests' method as per Appendix "C" of Ind AS 103 - Business Combinations as notified under Section 230 to 232 of the Companies Act, 2013 which involves the following:

- (a) The financial information in the financial statements in respect of prior periods is restated as if the business combination had occurred from the beginning of the preceding period in the financial statements, irrespective of the actual date of the combination. Accordingly, business combination is accounted with effect from April 1, 2020.
- (b) The Company has recorded the asset and liabilities of the transferor company vested in it pursuant to this Scheme at the respective book values appearing in the books of the transferor company.
- (c) The value of investment in the transferor company in the books of the Company has been cancelled.

- (d) No adjustments are made to reflect fair values, or recognise any new assets or liabilities.
- (e) As per clarification in Ind AS Transition Facilitation Group (ITFG) Clarification Bulletin 9, Goodwill has been recognised in the books of the Company.
- (f) The difference between the net assets of the transferor company transferred to the Company, after making adjustment specified in (c) and (e) has been adjusted in 'Other Equity' of the Company.
- (g) The materiality threshold limits followed by the company and the erstwhile subsidiary company OMPL were different based on the judgement of the respective management of both the companies. However, the impact of same in the restated financial statement is immaterial.
- 51** The Company also operates in special economic zone (SEZ) in Mangalore, accordingly is eligible for certain economic benefits such as exemptions from GST, custom duty, excise duty, service tax, value added tax, entry tax, etc. which are in the nature of government assistance. These benefits are subject to fulfilment of certain obligations by the Company.
- 52** The Company has a periodic system of physical verification of Inventory, Property, Plant and Equipment and capital stores in a phased manner to cover all items over a period. Adjustment differences, if any, is carried out on completion of reconciliation.
- 53** The Company did not have any long term contracts including derivative contracts for which there were any material foreseeable losses.
- 54** Some balances of trade and other receivables, trade and other payables and loans are subject to confirmation/reconciliation. Adjustments, if any, will be accounted for on confirmation/reconciliation of the same, which will not have a material impact.
- 55** The Company has assessed the possible effect that may result from COVID-19 pandemic / Russia-Ukraine War, which is not significant on the carrying amounts of Property, Plant and Equipment, Inventories, Receivables and Other Current Assets. The demand for Company's products is expected to be lower in the short term which is not likely to have a continuing impact on the business operations of the Company. In the opinion of the management, the carrying amount of these assets will be recovered.
- 56** Figures in parenthesis as given in these notes to financial statements relate to previous years. Previous year figures have been regrouped wherever required.
- 57 Approval of financial statements**
The financial statements were approved for issue by the Board of Directors on May 11, 2022.

TEN YEAR PERFORMANCE AT A GLANCE

(\$ in million unless otherwise stated)

	Ind AS 2021-22	Ind AS 2020-21 (Note 1)	Ind AS 2019-20	Ind AS 2018-19	Ind AS 2017-18	Ind AS 2016-17	IGAAP 2015-16	IGAAP 2014-15	IGAAP 2013-14	IGAAP 2012-13
What We Owe										
Equity Share Capital	17,526.64	17,526.64	17,526.64	17,526.64	17,526.64	17,526.64	17,526.64	17,526.64	17,526.64	17,526.64
Other Equity	51,436.73	24,854.40	60,141.61	89,743.65	92,804.09	83,178.11	46,677.80	35,522.95	53,162.08	47,150.26
Net Worth	71,963.37	42,381.04	77,668.25	1,07,270.29	1,10,330.73	1,00,704.75	64,204.44	53,049.59	70,688.72	64,676.90
Borrowings	2,10,851.77	2,38,332.78	1,18,960.72	91,310.39	79,501.65	85,409.61	81,028.40	90,324.65	97,927.21	75,576.54
Deferred Tax Liability/(Asset) (Net)	(21,000.82)	(13,775.44)	(3,152.13)	10,155.44	9,061.70	4,766.63	806.31	-	4,702.69	7,343.28
TOTAL	2,61,814.32	2,66,938.38	1,93,476.84	2,08,736.12	1,98,894.08	1,90,880.99	1,46,039.15	1,43,374.24	1,73,318.62	1,47,596.72
What We Own										
PPE, ROU assets, Intangibles and Goodwill (Including Capital WIP) excluding Investment Property	2,87,046.58	2,80,175.17	1,94,716.12	1,77,357.71	1,67,426.17	1,57,688.90	2,26,935.30	2,23,190.91	2,08,025.23	1,88,929.44
Less: Depreciation and Amortisation	71,588.76	60,858.10	35,099.46	27,649.10	20,445.65	13,884.30	75,889.89	68,323.33	62,595.55	55,578.31
Net Carrying Amount	2,15,457.82	2,19,317.07	1,59,616.66	1,49,708.61	1,46,980.52	1,43,804.60	1,51,045.41	1,54,867.58	1,45,429.68	1,33,351.13
Investments	154.99	154.99	21,779.23	15,026.47	13,496.42	13,496.42	13,496.73	13,496.73	150.02	150.02
Current and Non Current Assets/ (Liability) (Net)	46,201.51	47,466.32	12,080.95	44,001.04	38,417.14	38,417.14	(18,502.99)	(24,990.07)	27,738.92	14,095.57
TOTAL	2,61,814.32	2,66,938.38	1,93,476.84	2,08,736.12	1,98,894.08	1,98,894.08	1,46,039.15	1,43,374.24	1,73,318.62	1,47,596.72
Income										
Sales (Net Of Excise Duty)										
Other Income	6,96,996.64	3,19,026.60	5,09,786.40	6,20,301.12	4,84,340.12	4,31,924.35	3,96,320.40	5,74,381.45	7,18,104.96	6,56,915.16
Changes in inventories of finished goods, stock-in-process, stock-in-trade & Scrap	1,301.78	1,569.78	1,283.38	1,872.90	2,211.39	4,386.38	8,725.24	8,101.56	3,244.67	1,160.36
	(13,732.96)	(13,848.06)	(13,474.20)	5,616.39	7,667.19	2,883.03	(6,831.66)	(18,861.34)	6,740.75	11,161.53
TOTAL	7,12,031.38	3,34,444.44	4,97,595.58	6,27,790.41	4,94,218.70	4,39,193.76	3,98,213.98	5,63,621.67	7,28,090.38	6,69,237.05

Expenditure										
Cost of Materials Consumed	6,35,988.32	2,91,781.54	4,66,242.67	5,85,137.08	4,32,481.63	3,74,887.61	3,46,504.26	5,58,860.55	7,07,406.32	6,54,001.82
Purchase of Stock-in-trade	5.12	11,931.73	33,520.79	5,260.88	-	-	-	-	-	-
Excise Duty on Stocks (net)	(849.20)	3,511.29	(2,493.88)	455.39	1,141.16	(675.16)	1,588.96	916.85	199.63	217.99
Employee Benefits Expense	6,976.16	5,782.69	4,401.22	4,286.56	4,173.45	3,520.06	3,061.41	2,407.42	2,154.74	1,845.60
Exchange Fluctuation (net): Loss/ (Income)	2,557.27	(1,171.55)	6,872.12	2,919.37	(128.43)	(15,379.74)	11,902.67	6,835.01	19.03	5,364.91
Other Expenses	17,320.04	14,634.88	13,348.96	11,638.47	11,926.07	9,575.86	10,519.18	7,103.78	3,935.12	3,245.56
Finance Costs	12,073.09	5,544.72	7,446.61	4,717.49	4,404.57	5,171.74	5,778.35	4,070.88	3,214.41	3,285.53
Depreciation & Amortisation expense	10,877.24	11,580.35	7,832.08	7,567.52	6,713.21	6,779.19	7,124.05	4,986.10	7,064.17	6,044.10
TOTAL	6,84,948.04	3,43,595.65	5,37,170.57	6,21,982.76	4,60,711.66	3,83,879.56	3,86,478.88	5,85,180.59	7,23,993.42	6,74,005.51
Profit Before Tax	27,083.34	(9,151.21)	(39,574.99)	5,807.65	33,507.04	55,314.20	11,735.10	(21,558.92)	4,096.96	(4,768.46)
Tax Expense	(2,469.40)	(1,539.56)	(12,171.53)	2,488.09	11,265.81	18,877.33	253.51	(4,436.58)	(1,914.86)	2,800.65
Profit After Tax	29,552.74	(7,611.65)	(27,403.46)	3,319.56	22,241.23	36,436.87	11,481.59	(17,122.34)	6,011.82	(7,569.11)
Total Comprehensive Income	29,584.22	(7,590.79)	(27,489.19)	3,274.35	22,274.43	36,386.53				
Dividend (Refer Note below)	-	-	-	1,752.60	5,257.80	10,515.59	-	-	-	-
Dividend Distribution Tax	-	-	-	360.25	1,080.76	2,140.73	-	-	-	-

(Figures are regrouped and rearranged wherever required)

Note 1: Figures for FY 2020-21 are restated (Refer Note No. 50 to the Financial Statements)

Note 2: During the year 2021-22 No dividend has been recommended by Board of Directors .

THREE YEAR PERFORMANCE AT A GLANCE

(\$ in million unless otherwise stated)

	2021-22	2020-21 (Note 1)	2019-20
What We Owe			
Equity Share Capital	231.22	239.70	231.90
Other Equity	718.16	339.91	795.73
Net Worth	949.38	579.61	1,027.63
Borrowings	2,781.69	3,259.47	1,573.97
Deferred Tax Liability/(Asset) (Net)	(277.06)	(188.39)	(41.71)
TOTAL	3,454.01	3,650.69	2,559.89
What We Own			
PPE, ROU assets, Intangibles and Goodwill (Including Capital WIP) excluding Investment Property	3,786.89	3,831.72	2,576.29
Less : Depreciation and Amortisation	944.44	832.30	464.40
Net Carrying Amount	2,842.45	2,999.42	2,111.89
Investments	2.04	2.12	288.16
Current and Non Current Assets / (Liability) (Net)	609.52	649.15	159.84
TOTAL	3,454.01	3,650.69	2,559.89
Income			
Sales (Net Of Excise Duty)	9,354.40	4,298.97	7,192.25
Other Income	17.47	21.15	18.11
Changes in inventories of finished goods, stock-in-process, stock-in-trade & Scrap	184.31	186.61	(190.10)
TOTAL	9,556.18	4,506.73	7,020.26
Expenditure			
Cost of Materials consumed	8,535.61	3,931.84	6,577.92
Purchase of Stock-in-trade	0.07	160.78	472.92
Excise Duty on Stocks (net)	(11.40)	47.32	(35.18)
Employee Benefits Expense	93.63	77.92	62.09
Exchange Fluctuation (net) : Loss/ (Income)	34.32	(15.79)	96.95
Other Expenses	232.45	197.21	188.33
Finance Costs	162.03	74.72	105.06
Depreciation & Amortisation Expense	145.98	156.05	110.50
TOTAL	9,192.69	4,630.05	7,578.59
Profit Before Tax	363.49	(123.32)	(558.33)
Tax Expense	(33.14)	(20.75)	(171.72)
Profit After Tax	396.63	(102.57)	(386.61)
Total Comprehensive income	397.05	(102.29)	(387.83)
Dividend (Refer Note below)	-	-	-

(Figures are regrouped and rearranged wherever required)

Note 1: Figures for FY 2020-21 are restated (Refer Note No. 50 to the Financial Statements)

Note 2: During the year 2021-22 No dividend has been recommended by Board of Directors .

Mangalore Refinery and Petrochemicals Limited

(A subsidiary of Oil and Natural Gas Corporation Limited)

CIN: L23209KA1988GOI008959

Regd. office: Mudapadav, Post Kuthethoor, Via Katipalla, Mangaluru - 575030

Website: www.mrpl.co.in Email : investor@mrpl.co.in

NOTICE OF 34TH ANNUAL GENERAL MEETING (AGM)

NOTICE is hereby given that the Thirty Fourth Annual General Meeting of the Members of Mangalore Refinery and Petrochemicals Limited will be held on **Monday 22nd August, 2022 at 4 PM (IST)** through Video Conferencing (“VC”) / Other Audio Visual Means (“OAVM”) to transact the following business:

ORDINARY BUSINESS

1. **To receive, consider and adopt the audited financial statements including consolidated financial statements of the Company for the financial year ended on 31st March, 2022 together with the Board's Report, the Auditor's Report thereon and comments of the Comptroller and Auditor-General of India in terms of Section 102(2)(i), 143(6) and other applicable provisions of the Companies Act, 2013 and Rules thereunder and to pass the following resolution as an Ordinary Resolution:**

“**RESOLVED THAT** the audited financial statements including consolidated financial statements of the Company for the financial year ended on 31st March, 2022, together with the Board's Report, the Auditor's Report thereon and comments of the Comptroller and Auditor-General of India, be and are hereby considered and adopted.”

2. **To appoint a Director in place of Shri Vinod S. Shenoy (DIN: 07632981), who retires by rotation and being eligible offers himself for re-appointment as a Director and in this regard, pass the following resolution as an Ordinary Resolution:**

“**RESOLVED THAT** pursuant to the provisions of Section 152 of the Companies Act, 2013, Shri Vinod S. Shenoy (DIN: 07632981), who retires by rotation at this meeting and being eligible has offered himself for re-appointment, be and is hereby re-appointed as a Director of the Company, liable to retire by rotation.”

3. **To authorize Board of Directors of the Company to fix the remuneration of the Joint Statutory Auditors of the Company for the Financial Year 2022-23, in terms of the provisions of Section 139(5) read with Section 142 of the Companies Act, 2013 and to pass the following resolution as an Ordinary Resolution:**

“**RESOLVED THAT** pursuant to Section 139(5) read with Section 142 of the Companies Act, 2013, the Board of Directors of the Company be and is hereby authorised to decide and fix the remuneration and other terms and conditions, including reimbursement of out of pocket expenses in connection with the audit work, to the Joint Statutory Auditors to be appointed by Comptroller and Auditor General of India for the Financial Year 2022-23.”

SPECIAL BUSINESS:

4. **To appoint Shri Rajkumar Sharma (DIN: 01681944), as Independent Director of the Company and in this regard, to consider and if thought fit, to pass with or without modification(s), the following resolution as an Ordinary Resolution:**

“**RESOLVED THAT** pursuant to the provisions of Section 149, 150, 152 and 161(1) read with Schedule IV and other applicable provisions, if any, of the Companies Act, 2013, Companies (Appointment and

Qualification of Directors) Rules, 2014, Regulation 17 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Shri Rajkumar Sharma (DIN: 01681944), who was appointed as Non-Official Independent Director by the Ministry of Petroleum & Natural Gas (MoP&NG) vide its letter No. CA-31033/2/2021-PNG (39069) dated 08/11/2021 for a period of three years with effect from the date of notification, or until further orders by MoP&NG, whichever is earlier and subsequently appointed as an Additional Director, designated as Non Official Independent Director by the Board of Directors with effect from 15/11/2021 to hold office until the date of this Annual General Meeting, in terms of Section 161 of the Companies Act, 2013, and in respect of whom the Company has received a notice in writing from a member under Section 160 of the Companies Act, 2013, signifying his intention to propose Shri Rajkumar Sharma, as a candidate for the office of Director of the Company, be and is hereby appointed as Independent Director of the Company for three years from the date of his appointment by the Board, not liable to retire by rotation.”

5. **To appoint Smt. Nivedida Subramanian (DIN: 08646502), as Independent Director of the Company and in this regard, to consider and if thought fit, to pass with or without modification(s), the following resolution as an Ordinary Resolution:**

“**RESOLVED THAT** pursuant to the provisions of Section 149, 150, 152 and 161(1) read with Schedule IV and other applicable provisions, if any, of the Companies Act, 2013, Companies (Appointment and Qualification of Directors) Rules, 2014, Regulation 17 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Smt. Nivedida Subramanian (DIN: 08646502), who was appointed as Non-Official Independent Director by the Ministry of Petroleum & Natural Gas (MoP&NG) vide its letter No. CA-31033/2/2021-PNG (39069) dated 08/11/2021 for a period of three years with effect from the date of notification, or until further orders by MoP&NG, whichever is earlier and subsequently appointed as an Additional Director, designated as Non Official Independent Director by the Board of Directors with effect from 15/11/2021 to hold office until the date of this Annual General Meeting, in terms of Section 161 of the Companies Act, 2013, and in respect of whom the Company has received a notice in writing from a member under Section 160 of the Companies Act, 2013, signifying his intention to propose Smt. Nivedida Subramanian, as a candidate for the office of Director of the Company, be and is hereby appointed as Independent Director of the Company for three years from the date of her appointment by the Board, not liable to retire by rotation.”

6. **To appoint Shri Manohar Singh Verma (DIN: 09393215), as Independent Director of the Company and in this regard, to consider and if thought fit, to pass with or without modification(s), the following resolution as an Ordinary Resolution:**

“**RESOLVED THAT** pursuant to the provisions of Section 149, 150, 152 and 161(1) read with Schedule IV and other applicable provisions, if any, of the Companies Act, 2013, Companies (Appointment and Qualification of Directors) Rules, 2014, Regulation 17 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Shri Manohar Singh Verma (DIN: 09393215), who was appointed as Non-Official Independent Director by the Ministry of Petroleum & Natural Gas (MoP&NG) vide its letter No. CA-31033/2/2021-PNG (39069) dated 08/11/2021 for a period of three years with effect from the date of notification, or until further orders by MoP&NG, whichever is earlier and subsequently appointed as an Additional Director, designated as Non Official Independent Director by the Board of Directors with effect from 15/11/2021 to hold office until the date of this Annual General Meeting, in terms of Section 161 of the Companies Act, 2013, and in respect of whom the Company has received a notice in writing from a member under Section 160 of the Companies Act, 2013, signifying his intention to propose Shri Manohar Singh Verma, as a candidate for the office of Director of the Company, be and is hereby appointed as Independent Director of the Company for three years from the date of his appointment by the Board, not liable to retire by rotation.”

7. **To appoint Shri Pankaj Gupta (DIN: 09393633), as Independent Director of the Company and in this regard, to consider and if thought fit, to pass with or without modification(s), the following resolution as an Ordinary Resolution:**

“RESOLVED THAT pursuant to the provisions of Section 149, 150, 152 and 161(1) read with Schedule IV and other applicable provisions, if any, of the Companies Act, 2013, Companies (Appointment and Qualification of Directors) Rules, 2014, Regulation 17 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Shri Pankaj Gupta (DIN: 09393633), who was appointed as Non-Official Independent Director by the Ministry of Petroleum & Natural Gas (MoP&NG) vide its letter No. CA-31033/2/2021-PNG (39069) dated 08/11/2021 for a period of three years with effect from the date of notification, or until further orders by MoP&NG, whichever is earlier and subsequently appointed as an Additional Director, designated as Non Official Independent Director by the Board of Directors with effect from 15/11/2021 to hold office until the date of this Annual General Meeting, in terms of Section 161 of the Companies Act, 2013, and in respect of whom the Company has received a notice in writing from a member under Section 160 of the Companies Act, 2013, signifying his intention to propose Shri Pankaj Gupta, as a candidate for the office of Director of the Company, be and is hereby appointed as Independent Director of the Company for three years from the date of his appointment by the Board, not liable to retire by rotation.”

8. **To appoint Dr. Alka Mittal (DIN: 07272207) as Director of the Company and in this regard, to consider and if thought fit, to pass with or without modification(s), the following resolution as an Ordinary Resolution:**

“RESOLVED THAT pursuant to provisions of Section 149, 152 and other applicable provisions, if any, of the Companies Act, 2013, Companies (Appointment and Qualification of Directors) Rules, 2014, Regulation 17 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Dr. Alka Mittal (DIN: 07272207) who was appointed as an additional Director / Chairperson by the Board of Directors with effect from 11/01/2022 to hold office until the date of this Annual General Meeting, in terms of Section 161(1) of Companies Act, 2013, and in respect of whom the Company has received a notice in writing from a member under Section 160 of the Companies Act, 2013 signifying his intention to propose Dr. Alka Mittal (DIN: 07272207), as a candidate for the office of Director / Chairperson of the Company, be and is hereby appointed as Director / Chairperson of the Company, liable to retire by rotation.”

9. **To appoint Shri Asheesh Joshi, Director - MoP&NG (DIN: 09005888) as Director of the Company and in this regard, to consider and if thought fit, to pass with or without modification(s), the following resolution as an Ordinary Resolution:**

“RESOLVED THAT pursuant to provisions of Section 149, 152 and other applicable provisions, if any, of the Companies Act, 2013 and Rules made thereunder, Shri Asheesh Joshi (DIN: 09005888), who was appointed as a Government Nominee Director by the Ministry of Petroleum and Natural Gas (MoP&NG), Government of India, vide its letter No. CA-31032/1/2021-PNG-37493 dated 14/06/2022 and subsequently appointed as an Additional Director by the Board of Directors with effect from 14/06/2022 to hold office upto the date of this Annual General Meeting, in terms of Section 161 of the Companies Act, 2013, and in respect of whom the Company has received a notice in writing from a member under Section 160 of the Companies Act, 2013, signifying his intention to propose Shri Asheesh Joshi (DIN: 09005888), as a candidate for the office of Director of the Company, be and is hereby appointed as Director of the Company, liable to retire by rotation.”

10. **To appoint Smt. Pomila Jaspal, Director - ONGC (DIN: 08436633) as Director of the Company and in this regard, to consider and if thought fit, to pass with or without modification(s), the following resolution as an Ordinary Resolution:**

“RESOLVED THAT pursuant to provisions of Section 149, 152 and other applicable provisions, if any, of the Companies Act, 2013 and Rules made thereunder, Smt. Pomila Jaspal (DIN: 08436633), who was appointed as a ONGC Nominee Director by Oil and Natural Gas Corporation Limited (ONGC), vide its letter No.

MRPL/Nomination/Director/2022 dated 23/06/2022 and subsequently appointed as an Additional Director by the Board of Directors with effect from 15/07/2022 to hold office upto the date of this Annual General Meeting, in terms of Section 161 of the Companies Act, 2013, and in respect of whom the Company has received a notice in writing from a member under Section 160 of the Companies Act, 2013, signifying his intention to propose Smt. Pomila Jaspal (DIN: 08436633), as a candidate for the office of Director of the Company, be and is hereby appointed as Director of the Company, liable to retire by rotation.”

11. To ratify the remuneration of the Cost Auditors for the Financial Year 2022-23 and in this regard, to consider and if thought fit, to pass with or without modification(s), the following resolutions as Ordinary Resolutions:

“RESOLVED THAT pursuant to the provisions of Section 148 and other applicable provisions of the Companies Act, 2013 and the Companies (Audit and Auditors) Rules, 2014 (including any statutory modification(s) or re-enactment thereof) the Cost Auditors appointed by the Board of Directors of the Company, to conduct the audit of the cost records of the Company for the financial year 2022-23, be paid the remuneration of ₹ 2,25,000 plus applicable taxes and ₹ 25,000 towards e-filing of Cost Audit Report plus applicable taxes, Plus fees payable to MCA for e-filing, travel cost, lodging, boarding and other expenses are to be paid at actual plus applicable taxes, as set out in the statement annexed to the notice convening this meeting.”

“RESOLVED FURTHER THAT the Board of Directors be and is hereby authorized to do all acts and take all such steps as may be necessary, proper or expedient to give effect to this resolution and delegate to any other officer of the Company.”

By Order of the Board of Directors
sd/-

K. B. Shyam Kumar
Company Secretary

Place: Mangaluru
Date: July 15, 2022

ANNEXURE TO THE NOTICE**EXPLANATORY STATEMENT PURSUANT TO SECTION 102(1) OF THE COMPANIES ACT, 2013**

The following Explanatory Statement sets out all material facts relating to the Special Business mentioned in the accompanying Notice:

Item No. 4:

Shri Rajkumar Sharma (DIN: 01681944), aged 55 years was appointed as Non-Official Independent Director by the Ministry of Petroleum & Natural Gas (MoP&NG) vide its letter No. CA-31033/2/2021-PNG (39069) dated 08/11/2021 for a period of three years, or until further orders by MoP&NG, whichever is earlier with effect from the date of notification and subsequently appointed as an Additional Director, designated as Non Official Independent Director by the Board of Directors with effect from 15/11/2021 to hold office until the date of this Annual General Meeting, in terms of Section 161 of the Companies Act, 2013, and in respect of whom the Company has received a notice in writing from a member under Section 160 of the Companies Act, 2013, signifying his intention to propose Shri Rajkumar Sharma, as a candidate for the office of Director of the Company, be and is hereby appointed as Independent Director of the Company for three years from the date of his appointment by the Board, not liable to retire by rotation.

The Company has received requisite consent and declarations from Shri Rajkumar Sharma including confirmation that he meets the criteria of independence as prescribed under Section 149(6) of Companies Act, 2013 and Regulation 16(1)(b) of SEBI (LODR), Regulations, 2015. He is neither disqualified from being appointed as Director in terms of provisions of Companies Act or debarred from being appointed to the office of Director by virtue of any order of SEBI or any such authority.

His brief resume, inter-alia, giving nature of expertise in specific functional areas, shareholding in the Company, other Directorship, Membership/ Chairmanship of Committees and other particulars are provided elsewhere which forms a part of this notice. Shri Rajkumar Sharma is not related to any of the Directors of the Board. He doesn't hold any equity shares of the Company.

None of the Directors, Key Managerial Personnel and their relatives except Shri Rajkumar Sharma is concerned or interested in this resolution. Shri Rajkumar Sharma has fulfilled all the conditions specified in the Companies Act, 2013 for such appointment.

The Board recommends the resolution for your approval.

Item No 5:

Smt. Nivedida Subramanian (DIN: 08646502), aged 51 years was appointed as Non-Official Independent Director by the Ministry of Petroleum & Natural Gas (MoP&NG) vide its letter No. CA-31033/2/2021-PNG (39069) dated 08/11/2021 for a period of three years, or until further orders by MoP&NG, whichever is earlier with effect from the date of notification and subsequently appointed as an Additional Director, designated as Non Official Independent Director by the Board of Directors with effect from 15/11/2021 to hold office until the date of this Annual General Meeting, in terms of Section 161 of the Companies Act, 2013, and in respect of whom the Company has received a notice in writing from a member under Section 160 of the Companies Act, 2013, signifying his intention to propose Smt. Nivedida Subramanian, as a candidate for the office of Director of the Company, be and is hereby appointed as Independent Director of the Company for three years from the date of her appointment by the Board, not liable to retire by rotation.

The Company has received requisite consent and declarations from Smt. Nivedida Subramanian including confirmation that she meets the criteria of independence as prescribed under Section 149(6) of Companies Act, 2013 and Regulation 16(1)(b) of SEBI (LODR), Regulations, 2015. She is neither disqualified from being appointed as Director in terms of provisions of Companies Act or debarred from being appointed to the office of Director by virtue of any order of SEBI or any such authority.

Her brief resume, inter-alia, giving nature of expertise in specific functional areas, shareholding in the Company, other Directorship, Membership/ Chairmanship of Committees and other particulars are provided elsewhere which forms a part of this notice. Smt. Nivedida Subramanian is not related to any of the Directors of the Board. She doesn't hold any equity shares of the Company.

None of the Directors, Key Managerial Personnel and their relatives except Smt. Nivedida Subramanian is concerned or interested in this resolution. Smt. Nivedida Subramanian has fulfilled all the conditions specified in the Companies Act, 2013 for such appointment.

The Board recommends the resolution for your approval.

Item No. 6:

Shri Manohar Singh Verma (DIN: 09393215), aged 62 years was appointed as Non-Official Independent Director by the Ministry of Petroleum & Natural Gas (MoP&NG) vide its letter No. CA-31033/2/2021-PNG (39069) dated 08/11/2021 for a period of three years, or until further orders by MoP&NG, whichever is earlier with effect from the date of notification and subsequently appointed as an Additional Director, designated as Non Official Independent Director by the Board of Directors with effect from 15/11/2021 to hold office until the date of this Annual General Meeting, in terms of Section 161 of the Companies Act, 2013, and in respect of whom the Company has received a notice in writing from a member under Section 160 of the Companies Act, 2013, signifying his intention to propose Shri Manohar Singh Verma, as a candidate for the office of Director of the Company, be and is hereby appointed as Independent Director of the Company for three years from the date of his appointment by the Board, not liable to retire by rotation.

The Company has received requisite consent and declarations from Shri Manohar Singh Verma including confirmation that he meets the criteria of independence as prescribed under Section 149(6) of Companies Act, 2013 and Regulation 16(1)(b) of SEBI (LODR), Regulations, 2015. He is neither disqualified from being appointed as Director in terms of provisions of Companies Act or debarred from being appointed to the office of Director by virtue of any order of SEBI or any such authority.

His brief resume, inter-alia, giving nature of expertise in specific functional areas, shareholding in the Company, other Directorship, Membership/ Chairmanship of Committees and other particulars are provided elsewhere which forms a part of this notice. Shri Manohar Singh Verma is not related to any of the Directors of the Board. He doesn't hold any equity shares of the Company.

None of the Directors, Key Managerial Personnel and their relatives except Shri Manohar Singh Verma is concerned or interested in this resolution. Shri Manohar Singh Verma has fulfilled all the conditions specified in the Companies Act, 2013 for such appointment.

The Board recommends the resolution for your approval.

Item No. 7:

Shri Pankaj Gupta (DIN: 09393633), aged 57 years was appointed as Non-Official Independent Director by the Ministry of Petroleum & Natural Gas (MoP&NG) vide its letter No. CA-31033/2/2021-PNG (39069) dated 08/11/2021 for a period of three years, or until further orders by MoP&NG, whichever is earlier with effect from the date of notification and subsequently appointed as an Additional Director, designated as Non Official Independent Director by the Board of Directors with effect from 15/11/2021 to hold office until the date of this Annual General Meeting, in terms of Section 161 of the Companies Act, 2013, and in respect of whom the Company has received a notice in writing from a member under Section 160 of the Companies Act, 2013, signifying his intention to propose Shri Pankaj Gupta, as a candidate for the office of Director of the Company, be and is hereby appointed as Independent Director of the Company for three years from the date of his appointment by the Board, not liable to retire by rotation.

The Company has received requisite consent and declarations from Shri Pankaj Gupta including confirmation that he meets the criteria of independence as prescribed under Section 149(6) of Companies Act, 2013 and Regulation 16(1)(b) of SEBI (LODR), Regulations, 2015. He is neither disqualified from being appointed as Director in terms of provisions of Companies Act or debarred from being appointed to the office of Director by virtue of any order of SEBI or any such authority.

His brief resume, inter-alia, giving nature of expertise in specific functional areas, shareholding in the Company, other Directorship, Membership/ Chairmanship of Committees and other particulars are provided elsewhere which forms a part of this notice. Shri Pankaj Gupta is not related to any of the Directors of the Board. He doesn't hold any equity shares of the Company.

None of the Directors, Key Managerial Personnel and their relatives except Shri Pankaj Gupta is concerned or interested in this resolution. Shri Pankaj Gupta has fulfilled all the conditions specified in the Companies Act, 2013 for such appointment.

The Board recommends the resolution for your approval.

Item No. 8:

Dr. Alka Mittal (DIN: 07272207) who was appointed as a Nominee Director by Oil and Natural Gas Corporation Limited (ONGC), and subsequently appointed as Director / Chairperson by the Board of Directors with effect from 11/01/2022 to hold office until the date of this Annual General Meeting, in terms of Section 161 of the Companies Act, 2013, and in respect of whom the Company has received a notice in writing from a member under Section 160 of the Companies Act, 2013, signifying his intention to propose Dr. Alka Mittal (DIN: 07272207), as a candidate for the office of Director of the Company, be and is hereby appointed as Director/Chairperson of the Company, liable to retire by rotation.

Her brief resume, Inter- alia, giving nature of expertise in specific functional areas, shareholding in the Company, other Directorship, Membership/Chairmanship of Committees and other particulars are provided elsewhere which forms a part of this notice. Dr. Alka Mittal is not related to any of the Directors of the Board. She doesn't hold any equity shares of the Company.

None of the Directors, Key Managerial Personnel and their relatives except Dr. Alka Mittal is concerned or interested in this resolution. Dr. Alka Mittal has fulfilled all the conditions specified in the Companies Act, 2013 for such appointment.

The Board recommends the resolution for your approval.

Item No.9:

Shri Asheesh Joshi (DIN: 09005888), who was appointed as a Government Nominee Director by the Ministry of Petroleum and Natural Gas (MoP&NG), Government of India, vide its letter No. CA-31032/1/2021-PNG-37493 dated 14/06/2022 and subsequently appointed as an Additional Director by the Board of Directors with effect from 14/06/2022 to hold office upto the date of this Annual General Meeting, in terms of Section 161 of the Companies Act, 2013, and in respect of whom the Company has received a notice in writing from a member under Section 160 of the Companies Act, 2013, signifying his intention to propose Shri Asheesh Joshi (DIN: 09005888), as a candidate for the office of Director of the Company, be and is hereby appointed as Director of the Company, liable to retire by rotation.

His brief resume, inter-alia, giving nature of expertise in specific functional areas, shareholding in the Company, other Directorship, Membership/ Chairmanship of Committees and other particulars are provided elsewhere which forms a part of this notice. Shri Asheesh Joshi is not related to any of the Directors of the Board. He doesn't hold any equity shares of the Company.

None of the Directors, Key Managerial Personnel and their relatives except Shri Asheesh Joshi is concerned or interested in this resolution. Shri Asheesh Joshi has fulfilled all the conditions specified in the Companies Act, 2013 for such appointment.

The Board recommends the resolution for your approval.

ITEM No.10:

Smt. Pomila Jaspal (DIN: 08436633) who was appointed as a Nominee Director by Oil and Natural Gas Corporation Limited (ONGC), and subsequently appointed as Additional Director by the Board of Directors with effect from 15/07/2022 to hold office until the date of this Annual General Meeting, in terms of Section 161 of the Companies Act, 2013, and in respect of whom the Company has received a notice in writing from a member under Section 160 of the Companies Act, 2013, signifying his intention to propose Smt. Pomila Jaspal (DIN: 08436633), as a candidate for the office of Director of the Company, be and is hereby appointed as Director of the Company, liable to retire by rotation.

Her brief resume, Inter- alia, giving nature of expertise in specific functional areas, shareholding in the Company, other Directorship, Membership/Chairmanship of Committees and other particulars are provided elsewhere which forms a part of this notice. Smt. Pomila Jaspal is not related to any of the Directors of the Board. She doesn't hold any equity shares of the Company.

None of the Directors, Key Managerial Personnel and their relatives except Smt Pomila Jaspal is concerned or interested in this resolution. Smt Pomila Jaspal has fulfilled all the conditions specified in the Companies Act, 2013 for such appointment.

The Board recommends the resolution for your approval.

ITEM No.11:

In accordance with the provisions of Section 148 of the Companies Act, 2013 (the Act) and the Companies (Audit and Auditors) Rules, 2014 (the Rules), the Company is required to appoint a Cost Auditor to audit the cost records of the Company for the financial year 2022-23. On the recommendation of the Audit Committee, the Board approved the appointment of M/s Musib & Co., Cost Accountants, Mumbai as the Cost Auditor of the Company for the financial year 2022-23 at remuneration of ₹2,25,000/- plus applicable taxes and ₹25,000/- towards e-filing of Cost Audit Report plus applicable taxes. Fees payable to MCA for e-filing, travel cost, lodging, boarding and other expenses are to be paid at actual plus applicable taxes.

As per Rule 14 of the Companies (Audit and Auditors) Rule, 2014 read with Section 148 (3) of the Companies Act, 2013, the remuneration approved by the Board of Directors shall be ratified by the shareholders. Accordingly, members are requested to ratify the remuneration payable to the Cost Auditors for the financial year 2022-23.

None of the Directors, Key Managerial Personnel and their relatives are concerned or interested in this Resolution. The Board recommends the resolutions for ratification of the members.

The Board recommends the resolutions for ratification of the members.

NOTES:

1. In view of the massive outbreak of the COVID-19 pandemic, social distancing is a norm to be followed and pursuant to the Circular No. 14/2020 dated April 08, 2020, Circular No.17/2020 dated April 13, 2020 issued by the Ministry of Corporate Affairs followed by Circular No. 20/2020 dated May 05, 2020 and Circular No. 02/2021 dated January 13, 2021, 2021 and Circular no. 2/2022 dated May 05, 2022 in relation to “Clarification on holding of Annual General Meeting (AGM) through Video Conferencing (VC) or Other Audio Visual Means (OAVM)” (collectively referred to as “MCA Circulars”) and all other relevant circulars issued from time to time, physical attendance of the Members to the AGM venue is not required and general meeting be held through video conferencing (VC) or other audio visual means (OAVM). Hence, Members can attend and participate in the ensuing AGM through VC/OAVM.
2. The Members can join the AGM in the VC/OAVM mode 15 minutes before and after the scheduled time of the commencement of the Meeting by following the procedure mentioned in the Notice. The facility of participation at the EGM/AGM through VC/OAVM will be made available for 1000 members on first come first served basis. This will not include large Shareholders (Shareholders holding 2% or more shareholding), Promoters, Institutional Investors, Directors, Key Managerial Personnel, the Chairpersons of the Audit Committee, Nomination and Remuneration Committee and Stakeholders Relationship Committee, Auditors etc. who are allowed to attend the AGM without restriction on account of first come first served basis.
3. Pursuant to the provisions of Section 108 of the Companies Act, 2013 read with Rule 20 of the Companies (Management and Administration) Rules, 2014 (as amended) and Regulation 44 of SEBI (Listing Obligations & Disclosure Requirements) Regulations 2015 (as amended), and the Circulars issued by the Ministry of Corporate Affairs dated April 08, 2020, April 13, 2020 and May 05, 2020 the Company is providing facility of remote e-Voting to its Members in respect of the business to be transacted at the AGM. For this purpose, the Company has entered into an agreement with National Securities Depository Limited (NSDL) for facilitating voting through electronic means, as the authorized agency. The facility of casting votes by a member using remote e-Voting system as well as venue voting on the date of the AGM will be provided by NSDL.
4. The relevant explanatory statement pursuant to Section 102 of the Companies Act, 2013 in respect of Special Business, as set out above is annexed hereto.
5. The Notice of 34th Annual General Meeting along with instructions for remote e-voting is sent to Members, Directors, Auditors and others entitled to, by permitted mode.
6. Pursuant to the Circular No. 14/2020 dated April 08, 2020, issued by the Ministry of Corporate Affairs, the facility to appoint proxy to attend and cast vote for the members is not available for this AGM. However, the Body Corporates are entitled to appoint authorised representatives to attend the AGM through VC/OAVM and participate there at and cast their votes through e-voting.
7. The relevant details, pursuant to Regulations 26(4) and 36(3) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“SEBI Listing Regulations”) and Secretarial Standard on General Meetings issued by the Institute of Company Secretaries of India, in respect of Director seeking re-appointment at this AGM are also annexed to this Notice. None of the Directors of the Company are in any way related to each other.

8. The Company has announced Book Closure from 12/08/2022 to 19/08/2022 (both days inclusive) for the purpose of Annual General Meeting.
9. All correspondence should be addressed to the Registrar and Share Transfer Agent of the Company – M/s. Link Intime India Private Limited, C 101, 247 Park, L B S Marg, Vikhroli West, Mumbai - 400 083, email: mrplirc@linkintime.co.in
10. As per Regulation 40 of SEBI Listing Regulations, as amended, securities of listed companies can be transferred only in dematerialized form with effect from, April 1, 2019, except in case of request received for transmission or transposition and relodged transfers of securities. Further, SEBI vide its circular no. SEBI/HO/MIRSD/RTAMB/CIR/P/2020/236 dated December 2, 2020 had fixed March 31, 2021 as the cut-off date for re-lodgement of transfer deeds and the shares that are re-lodged for transfer shall be issued only in demat mode. In view of this and to eliminate all risks associated with physical shares and for ease of portfolio management, members holding shares in physical form are requested to consider converting their holdings to dematerialized form. Members can contact the Company or Company's Registrars and Transfer Agents, M/s Link Intime India Private Limited (LI IPL) for assistance in this regard.
11. Members desirous of obtaining any information on any item of business of this meeting are requested to forward the same before 15/08/2022 to the Company Secretary at the Registered Office of the Company or email at investor@mrpl.co.in, so that the same may be attended appropriately. Relevant documents referred to in the accompanying notice are open for inspection by the members at the Registered Office of the Company on all working days i.e., Monday to Friday, between 3:30 pm and 5:00 p.m. up to 22/08/2022 the date of the 34th Annual General Meeting.
12. In support of the “Green Initiative” measure taken by Ministry of Corporate Affairs (MCA), Government of India, New Delhi, enabling electronic delivery of documents and also in line with circular Ref. No. CIR/CFD/DIL/7/2011 dated 05/11/2011 issued by Securities and Exchange Board of India (SEBI) and as prescribed under the relevant provisions under the Companies Act, 2013 and the Rules made thereunder, Company has sent Annual Reports in Electronic Mode to the shareholders who have registered their E-mail IDs either with the Registrar and Transfer Agents or with the depositories. Members who have not registered their email address with Company can register the same by submitting a duly filled-in E-Communication Registration Form available on the website of the Company www.mrpl.co.in to M/s. Link Intime India Private Limited, or Investor Relation Cell of the Company at investor@mrpl.co.in. Members holding shares in demat form are requested to register their email address with their Depository Participant(s) only. Members who have registered their email address are also entitled to receive such communication in physical form, upon request.
13. Pursuant to Section 108 of the Companies Act, 2013, Rule 20 of the Companies (Management and Administration) Rules, 2014, as amended and Regulation 44 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, remote e-voting facility is being provided to Members to exercise their right to vote on the resolutions proposed to be passed at the 34th AGM by electronic means. The Members, whose names appear in the Register of Members/list of Beneficial Owners as on the cut-off date of 15/08/2022 are entitled to vote on the Resolutions set forth in this Notice. The Members may cast their votes on electronic voting system from place other than the venue of the meeting (remote e-voting). The remote e-voting period will commence at 19/08/2022 and will end at 21/08/2022 Members attending the 34th AGM who have not cast their vote by remote e-voting shall also be eligible to cast their vote during the 34th Annual General Meeting.
14. Pursuant to the provisions of IEPF Rules and the applicable provisions of the Companies Act, 2013, the Company has transferred the unpaid or unclaimed dividend for the years 2004-05, 2005-06, 2006-07, 2007-08, 2008-09, 2009-10, 2010-11 and 2011-12 on due dates to the Investor Education & Protection Fund (IEPF) established by the Central Government. Pursuant to the provisions of Investor Education and Protection Fund (Uploading of information regarding unpaid and unclaimed amounts lying with Companies) Rules, 2012, the Company has uploaded the details of unpaid and unclaimed dividend amount lying with the company as on 04/09/2021 (date of last Annual General Meeting) on the website of the company (www.mrpl.co.in) and also on the website of the Ministry of Corporate Affairs.
15. MCA vide its Notification dated 05/09/2016 has notified Investor Education and Protection Fund Authority (Accounting, Audit, Transfer and Refund) Rules, 2016 and the Investor Education and Protection Fund Authority

(Accounting, Audit, Transfer and Refund) Amendment Rules, 2017 on 28/02/2017. Pursuant to the provisions of these Rules shares in respect of whom the dividend hasn't been claimed by the shareholders, shall be credited to a Demat Account of the Authority. Accordingly, individual shareholders who haven't claimed dividend for the last 7 years are requested to send an application to the Company/RTA for claiming unclaimed dividend for the year 2015-16 onwards as the Company has not declared any dividend for the FY 2012-13, 2013-14 and 2014-15. Shareholders are requested to claim the unclaimed dividend so that the shares will not be transferred to Demat Account of IEPF Authority. Please note that no claim shall lie against Company in respect of the unclaimed dividend and shares transferred to the IEPF Authority. However, the unclaimed shares and dividend can be claimed from the IEPF by making necessary application in the prescribed Form (IEPF-5) available on the website of Ministry of Corporate Affairs at www.iepf.gov.in.

16. Members holding shares in physical form may avail the facility of nomination in terms of Section 72 of the Companies Act, 2013 by executing Form SH-13 as prescribed in the Companies (Share Capital & Debenture) Rules, 2014 in favour of any person to whom their shares in the Company shall vest on occurrence of events stated in the Form. Those holding shares in physical form may download the Form SH-13 from the website of the Company i.e. www.mrpl.co.in and send Form in duplicate to RTA of the Company. In case of shares held in dematerialized form, the nomination has to be lodged with the respective DP.

17. Securities and Exchange Board of India (SEBI) vide its circular no. SEBI/HO/MIRSD/MIRSD_RTAMB/P/CIR/2021/655 dated 03/11/2021 prescribed common and simplified norms for processing Investor's service requests by R&T Agent and norms for furnishing PAN, KYC details and Nomination as an ongoing measure to enhance the ease of doing business for investors in the securities market. The Listed companies, RTAs and Stock Exchanges are required to disseminate the requirement of the holders of physical securities of all listed companies to furnish valid PAN, KYC details and Nomination, on their respective websites. The SEBI has introduced the Form ISR-1 for all requests to register PAN, KYC details or changes / update thereof for securities held in physical mode.

Pursuant to SEBI circular dated 03/11/2021, the Company is also mandated to directly intimate its security holders about folios which are incomplete and to communicate regarding nomination procedure. The form needs to be sent to shareholders (both Single and Joint holders) holding shares in physical mode, as per the schedule mentioned in the said circular. In terms of above circulars, intimation was sent to the shareholders of the Company, holding shares in physical form and whose KYC details are not updated with the company with a request to furnish valid PAN, KYC details and ensure Nomination through prescribed form.

The requisite forms are available on the website of the Company <https://www.mrpl.co.in/Content/Share%20Holders> and also on the website of RTA M/s Link Intime India Private Limited <https://linkintime.co.in/downloads.html>. Shareholders are requested to update their KYC details for hassle free communication.

18. Members holding shares in physical form, in identical order of names, in more than one folio are requested to send to the Company or LI IPL, the details of such folios together with the share certificates for consolidating their holdings in one folio. A consolidated share certificate will be issued to such Members after making requisite changes.
19. Members are requested to notify immediately any change of address :
 - i) To the DP in respect of shares held in dematerialized form, and
 - ii) To the Company at its registered office or to its RTA in respect of their physical shares, quoting their folio number.

Non-Resident members are requested to inform the RTA about:

- i) Change in their residential status on return to India for permanent settlement.
- ii) Particulars of their bank account maintained in India with complete name, branch, account type, account number, IFSC Code, MICR No. and address of the Bank with pin code number, if not furnished earlier, to enable Company to remit dividend to the said Bank Account directly.

20. In terms of Regulation 12 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, SEBI has advised all the concerned to use electronic mode of payment facility approved by the Reserve Bank of India for making cash payment viz. dividends, interest, redemption or repayment amounts to the investors. Provided that where it is not possible to use electronic mode of payment, payable-at-par warrants or cheques or Demand Drafts may be issued. In the cases of shareholder(s), where it is not possible to effect electronic payment, SEBI has advised to print bank details on the dividend warrant instruments issued to them. However, in case of those shareholders, whose bank details are not available, the Company shall mandatorily print the address of the investors on such payment instruments.
In order to facilitate the shareholders who are holding the shares in Physical Form, the Company has hosted various Forms including e-payment mandate form, on its website www.mrpl.co.in under the menu “Investors” & Sub-Menu “Shareholders”. Shareholders can download the requisite form, fill it as per the direction given therein and forward the same to the R&T Agent with attachments. Form can also be obtained from our R&T Agents. Shareholders who are holding shares in Electronic Form are requested to contact their respective Depository Participants (DP) only, for updating their bank details. They are also advised to seek 'Client Master Advice' from their respective DP to ensure that correct updation has been carried out in their record. It may be noted that the bank details provided by the Depositories is solely used by the Company to effect the payment of dividend. Hence, it is utmost necessary for shareholders to ensure that the correct Bank details are updated with Dps.
21. The Company has appointed Shri Narsimha Pai, Partner M/s P. N Pai & Co., Practicing Company Secretaries, Mangalore to act as the Scrutinizer, to scrutinize the remote e-voting. The Members desiring to vote through remote e-voting are requested to refer to the detailed procedure given hereinafter.
22. Detailed procedure for “Remote e-voting” is annexed which forms part of this notice.
23. In case of joint holders, attending the meeting, only such joint holder, who is higher in the order of names, will be entitled to vote at the Meeting.
24. The Register of Directors and Key Managerial Personnel and their Shareholdings maintained under Section 170 of the Companies Act, 2013, the Register of Contracts or arrangements in which Directors are interested under Section 189 of the Companies Act, 2013 will be made accessible for inspection at the 34th Annual General Meeting through electronic mode and shall remain open and accessible to any member during the continuance of the meeting.
25. Pursuant to Section 139 of the Companies Act, 2013, the Auditors of a Government Company are appointed by the Comptroller and Auditor General of India (C&AG) and in pursuance to Section 142 of the Companies Act, 2013, their remuneration is to be fixed by the Company in the Annual General Meeting or in such manner as the Company in general meeting may determine. The Members of the Company in 33rd Annual General Meeting held on 04/09/2021, authorized the Board of Directors to fix the remuneration of Auditors appointed for the financial year 2021-22. Accordingly, the Board of Directors fixed remuneration of ₹28,00,000/- (Rupees Twenty Eight Lakh only) for the Statutory Auditor for the financial year 2021-22 in addition to applicable service tax, education cess and reimbursement of actual traveling and out-of-pocket expenses. The appointment of Statutory Auditors of the Company for the year 2022-23 is yet to be approved by the C&AG. Accordingly, the Members may authorise the Board to fix an appropriate remuneration of Statutory Auditors as may be deemed fit by the Board for the financial year 2022-23.
26. In line with the Ministry of Corporate Affairs (MCA) Circular No. 17/2020 dated April 13, 2020, the Notice calling the AGM has been uploaded on the website of the Company at www.mrpl.co.in. The Notice can also be accessed from the websites of the Stock Exchanges i.e. BSE Limited and National Stock Exchange of India Limited at www.bseindia.com and www.nseindia.com respectively and the AGM Notice is also available on the website of NSDL (agency for providing the Remote e-Voting facility) i.e. www.evoting.nsdl.com.
27. Member attending the AGM through VC/OAVM shall be counted for the purpose of reckoning the quorum under section 103 of the Act.
28. Since the AGM will be held through VC/OAVM, the Route Map is not annexed in this Notice.

DETAILS OF THE DIRECTORS SEEKING APPOINTMENT/ RE-APPOINTMENT AT THE 34th ANNUAL GENERAL MEETING

Name of Director	Dr. Alka Mittal	Shri Vinod S. Shenoy	Shri Rajkumar Sharma	Smt. Nivedida Subramanian	Shri Manohar Singh Verma	Shri Pankaj Gupta	Shri Asheesh Joshi	Smt. Pomila Jaspal
DIN	07272207	07632981	01681944	08646502	09393215	09393633	09005888	08436633
Date of Birth	27-08-1962	09-09-1962	12-05-1967	26-05-1971	09-06-1960	18-02-1965	05-01-1977	11-01-1964
Date of Appointment on the Board	11-01-2022	08-11-2016	15-11-2021	15-11-2021	15-11-2021	15-11-2021	14-06-2022	15-07-2022
Qualifications & Expertise	Dr. Alka Mittal is a post graduate in Economics, MBA (HRM) and Doctorate in Commerce and Business Studies. She joined ONGC as a Graduate Trainee in 1985 and brings with her an extremely rich experience spanning over three decades. Dr Mittal is the first woman to hold the charge of a full-time Director in ONGC's history as Director (HR) from 27.11.2018. She was also a nominee Director on the Board of HPCL. Previously, she worked as Head CSR, ONGC at Corporate Office of ONGC and took up major CSR projects	Shri Vinod S. Shenoy is a Bachelor in Chemical Engineering from IIT Bombay And started his career with HPCL in June 1985. During his career spanning over three decades, he has held various positions in the Refinery Divisions and Corporate Departments of Hindustan Petroleum Corporation Limited and has wide exposure to the Petroleum Industry.	Shri Rajkumar Sharma, a Commerce and Law Graduate, is also a Fellow Member of the Institute of Company Secretaries of India, New Delhi. Shri Sharma is Practicing Company Secretary since 1997 in Guwahati. He has wide expertise in handling Income tax matters up to investigations, appeal matters and Company law matters including merger, demerger and restructuring of Companies. He has been Chairman of North-East	Ms. Nivedida Subramanian is a Law Graduate and has also done Masters in Administration (MBA) and Masters in Law (LLM.) By profession, she is Lawyer since 2007 and SC accredited Mediator since 2015. She is also into social services.	Shri Manohar Singh Verma had completed graduation and masters in Civil Engineering with specialization in Water Resources. He had worked as Lecturer and Associates Professor in Shri Govindram Seksaria Institute of Technology and Science (SGSITS), Indore and SSVPS Engineering College, Dhule. He joined MP State Police Service in 1989 and served in Madhya Pradesh at Chhindwara, Rewa, Seoni, Ujjain, Jabalpur, Gwalior and Bhopal in various capacities. He was inducted into Indian Police Service (IPS) with	Shri Pankaj Gupta is a Commerce and Law Graduate. By profession, Shri Gupta is Practicing in Civil & Revenue Matters at District headquarters, Collector ate, Etah. He is actively engaged in social services.	Shri Asheesh Joshi, Director (Bio-Refinery) Ministry of Petroleum & Natural Gas was inducted as Government Nominee Director on the Board of the Company on 14th June, 2022. Prior to this he has also been a Government nominee Director on the Board of Oil India Limited. Shri Asheesh Joshi is an IAS Officer of 2006 batch belonging to Uttarakhand Cadre. Shri Asheesh Joshi was Secretary (Additional Charge)	Smt. Pomila Jaspal a fellow member of the Institute of Cost Accountants of India (ICMAI) and Gold medalist joined She served as Executive Director- Chief Corporate Finance ONGC till October 2019 and thereafter she joined MRPL as Director Finance till 18.04.2022 Now Smt. Pomila Jaspal is Director Finance, ONGC

across India. She has a special penchant for training and mentoring and has trained more than 11000 GTs of ONGC since 2001 on “Corporate Governance” as part of their induction program. As a senior HR specialist, Dr. Alka Mittal has made rich contributions in various professional forums and bodies. She is an Executive Committee member of NIPM (National Institute of Personnel Management) and was President of Forum for Women in Public Sector (WIPs), Northern Region till recently and heads the Women Development Forum of ONGC. Currently, Dr. Mittal is holding additional charge of Chairperson and Managing Director, ONGC.			chapter of Institute of Company Secretaries of India in year 2011-12. He has also been Secretary of Tax Bar Association in 2006, a premier body of Tax Practitioners of Assam. He had served on the Board of Numaligarh Refinery Limited as Independent Director till 2019. Shri Sharma is also State Executive Member of Marwari Yuva Manch. He is a regular and acclaimed Speaker on Income Tax Law, Company Law in various professional platforms.	seniority of the year 2003. He has worked as Superintendent of Police (SP) Mandsaur and SP Ujjain. He has also worked as Deputy Inspector General (DIG) of Police at Gwalior, Deputy Inspector General (DIG) of Police at Khargone and Deputy Inspector General (DIG) of Police at Jabalpur, from where he retired in June, 2020. Shri Verma has been conferred with Police Medal for meritorious service in 2009 and Police Medal for Gallantry in 2011 by the President of India. He has also been conferred with the Simhashtha Jyoti Medal for his services as Superintendent of Police (SP) during Simhashtha 2016 at Ujjain.		of Drinking Water & Sanitation Department, Govt. of Uttarakhand prior to his posting in the Ministry of Petroleum and Natural Gas. He possesses rich experience of holding the position of District Magistrate and working at Senior Position in various Departments such as Housing, Home, Agriculture, Finance, Land Revenue, Planning, Energy, Tourism and Rural Development in the Govt. of Uttarakhand.
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Directorship held in other Public Companies (excluding foreign private and Section 8 of Companies Act.)	1. Oil and Natural Gas Corporation Limited. 2. Petronet LNG Limited 3. ONGC Petro Additions Limited 4. ONGC Tripura Power Company Limited 5. ONGC Mangalore Petrochemicals Limited 6. Mangalore SEZ Limited 7. ONGC Videsh Limited	1. Hindustan Petroleum Corporation Limited 2. HPCL - Mittal Energy Limited 3. Prize Petroleum Company Limited 4. Ratnagiri Refinery and Petrochemicals Limited 5. HPCL Rajasthan Refinery Limited 6. HPCL Biofuels Limited	1. Lunding Plywood Pasting Private Limited 2. Makhan Bhog Ventures Private Limited 3. Meghalaya Boards Private Limited	1. Nevaara Solutions Private Limited 2. Radhabalakrishna Memorial Foundation	NIL	NIL	1. Oil and Natural Gas Corporation Limited. 2. Petronet MHB Limited 3. ONGC Tripura Power Company Limited 4. Mangalore SEZ Limited
Chairman/Member of the Committees	• Stakeholder Relationship Committee - Member (Oil and Natural Gas Corporation Limited)	NIL	NIL	NIL	NIL	NIL	• Stakeholder Relationship Committee - Member (Oil and Natural Gas Corporation Limited)
Shareholding of Directors	• 10428 equity shares of ONGC. • 800 equity shares of Petronet LNG Limited	NIL	• 14.5% stake in Lunding Plywood Pasting Private Limited • 48.95% stake in Meghalaya Boards Private Limited	NIL	NIL	NIL	NIL
Relationship between Directors inter-se	NIL	NIL	NIL	NIL	NIL	NIL	NIL
No. of Board Meetings attended during FY 2021-22	NIL	NIL	NIL	NIL	NIL	NIL	NIL

Notes:

1. Membership/Chairmanship pertaining only to Audit Committee, Nomination & Remuneration Committee and Stakeholders' Relationship Committee has been considered.
2. * Director has been appointed by MoP&NG i.e. the administrative ministry vide its letter dated 14/06/2022.

INSTRUCTIONS FOR MEMBERS FOR ATTENDING THE AGM THROUGH VC/OAVM ARE AS UNDER:

A. VOTING THROUGH ELECTRONIC MEANS

- i. In compliance with the provisions of Section 108 of the Act, read with Rule 20 of the Companies (Management and Administration) Rules, 2014, as amended from time to time, Regulation 44 of the SEBI Listing Regulations and in terms of SEBI circular no. SEBI/HO/CFD/CMD/ CIR/P/2020/242 dated December 9, 2020 in relation to e-Voting Facility Provided by Listed Entities, the Members are provided with the facility to cast their vote electronically, through the e-Voting services provided by NSDL, on all the resolutions set forth in this Notice. The instructions for e-Voting are given herein below:
- ii. The remote e-voting period begins on 19/08/2022 at 9.00 A.M. and ends on 21/08/2022 at 5.00 P.M.(IST). The remote e-voting module shall be disabled by NSDL for voting thereafter. The Members, whose names appear in the Register of Members / Beneficial Owners as on the record date (cut-off date) i.e. 15/08/2022, may cast their vote electronically. The voting right of shareholders shall be in proportion to their share in the paid-up equity share capital of the Company as on the cut-off date, being 15/08/2022.
- iii. The Members who have cast their vote by remote e-Voting prior to the AGM may attend / participate in the AGM through VC / OAVM but shall not be entitled to cast their vote on such resolution again.
- iv. The Board of Directors have appointed Shri Narsimha Pai, Partner M/s P. N. Pai & Co., Practicing Company Secretaries, Mangalore (Membership No. 9543) as the Scrutinizer, to scrutinize the remote e-Voting and e-voting process in a fair and transparent manner.
- v. Members who would like to express their views or ask questions during the AGM may register themselves as a speaker by sending their request from their registered e-mail address mentioning their name, DP ID and Client ID / folio number, PAN, mobile number at investor@mrpl.co.in on or before 15/08/2022 (5:00 p.m. IST). Those Members who have registered themselves as a speaker will only be allowed to express their views / ask questions during the AGM. The Company reserves the right to restrict the number of speakers depending on the availability of time for the AGM.
- vi. The voting rights of Members shall be in proportion to their shares in the paid-up equity share capital of the Company as on the cut-off date.
- vii. Any person holding shares in physical form and non-individual shareholders, who acquires shares of the Company and becomes a Member of the Company after sending of the Notice and holding shares as of the cut-off date, may obtain the login ID and password by sending a request at evoting@nsdl.co.in. However, if he / she is already registered with NSDL for remote e-Voting then he / she can use his / her existing User ID and password for casting the vote. In case of Individual Shareholders holding shares in demat mode and who acquires shares of the Company and becomes a Member of the Company after sending of the Notice and holding shares as of the cut-off date may follow steps mentioned below under **“Login method for remote e-Voting and joining virtual meeting for Individual shareholders holding securities in demat mode.”**
- viii. The details of the process and manner for remote e-Voting are explained herein below:
Step 1: Access to NSDL e-Voting system
Step 2: Cast your vote electronically and join virtual meeting on NSDL e-Voting system.

Details on Step (i) are mentioned below:**I) Login method for remote e-Voting and joining virtual meeting for Individual shareholders holding securities in demat mode.**

In terms of SEBI circular dated December 9, 2020 on e-Voting facility provided by Listed Companies, Individual shareholders holding securities in demat mode are allowed to vote through their demat account maintained with Depositories and Depository Participants. Shareholders are advised to update their mobile number and email Id in their demat accounts in order to access e-Voting facility.

Members are requested to join the Meeting through Laptops for better experience. Further Members will be required to allow Camera and use Internet with a good speed to avoid any disturbance during the meeting. Please note that Participants Connecting from Mobile Devices or Tablets or through Laptop connecting via Mobile Hotspot may experience Audio/Video loss due to fluctuation in their respective network. It is therefore recommended to use Stable Wi-Fi or LAN Connection to mitigate any kind of aforesaid glitches.

Type of shareholders	Login Method
Individual Shareholders holding securities in demat mode with NSDL	- Existing IDeAS user can visit the e-Services website of NSDL Viz. https://eservices.nsdl.com either on a Personal Computer or on a mobile. On the e-Services home page click on the “Beneficial Owner” icon under “Login” which is available under 'IDeAS' section, this will prompt you to enter your existing User ID and Password. After successful authentication, you will be able to see e-Voting services under Value added services. Click on “Access to e-Voting” under e-Voting services and you will be able to see e-Voting page. Click on company name or e-Voting service provider i.e. NSDL and you will be re-directed to e-Voting website of NSDL for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting. - If you are not registered for IDeAS e-Services, option to register is available at https://eservices.nsdl.com. Select “Register Online for IDeAS Portal” or click at https://eservices.nsdl.com/SecureWeb/IdeasDirectReg.jsp - Visit the e-Voting website of NSDL. Open web browser by typing the following URL: https://www.evoting.nsdl.com/ either on a Personal Computer or on a mobile. Once the home page of e-Voting system is launched, click on the icon “Login” which is available under 'Shareholder/Member' section. A new screen will open. You will have to enter your User ID (i.e. your sixteen digit demat account number hold with NSDL), Password/OTP and a Verification Code as shown on the screen. After successful authentication, you will be redirected to NSDL Depository site wherein you can see e-Voting page. Click on company name or e-Voting service provider i.e. NSDL and you will be redirected to e-Voting website of NSDL for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting. - Shareholders/Members can also download NSDL Mobile App “NSDL Speede” facility by scanning the QR code mentioned below for seamless voting experience. NSDL Mobile App is available on  App Store  Google Play  

Individual Shareholders holding securities in demat mode with CDSL	- Existing users who have opted for Easi / Easiest, they can login through their user id and password. Option will be made available to reach e-Voting page without any further authentication. The URL for users to login to Easi / Easiest are https://web.cdslindia.com/myeasi/home/login or www.cdslindia.com and click on New System Myeasi. - After successful login of Easi/Easiest the user will be also able to see the E Voting Menu. The Menu will have links of e-Voting service provider i.e. NSDL. Click on NSDL to cast your vote. - If the user is not registered for Easi/Easiest, option to register is available at https://web.cdslindia.com/myeasi/Registration/EasiRegistration. - Alternatively, the user can directly access e-Voting page by providing demat Account Number and PAN No. from a link in www.cdslindia.com home page. The system will authenticate the user by sending OTP on registered Mobile & Email as recorded in the demat Account. After successful authentication, user will be provided links for the respective ESP i.e. NSDL where the e-Voting is in progress.
Individual Shareholders (holding securities in demat mode) logging through their depository participants	You can also login using the login credentials of your demat account through your Depository Participant registered with NSDL/CDSL for e-Voting facility. upon logging in, you will be able to see e-Voting option. Click on e-Voting option, you will be redirected to NSDL/CDSL Depository site after successful authentication, wherein you can see e-Voting feature. Click on company name or e-Voting service provider i.e. NSDL and you will be redirected to e-Voting website of NSDL for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting.

Important note:

Members who are unable to retrieve User ID/ Password are advised to use Forget User ID and Forget Password option available at abovementioned website.

Helpdesk for Individual Shareholders holding securities in demat mode for any technical issues related to login through Depository i.e. NSDL and CDSL.

Login type	Helpdesk details
Individual Shareholders holding securities in demat mode with NSDL	Members facing any technical issue in login can contact NSDL helpdesk by sending a request at evoting@nsdl.co.in or call at toll free no.: 1800 1020 990 and 1800 22 44 30
Individual Shareholders holding securities in demat mode with CDSL	Members facing any technical issue in login can contact CDSL helpdesk by sending a request at helpdesk.evoting@cdslindia.com or contact at 022- 23058738 or 022- 23058542-43

II) Login Method for e-Voting and joining virtual meeting for shareholders other than Individual shareholders holding securities in demat mode and shareholders holding securities in physical mode.

How to Log-in to NSDL e-Voting website?

- Visit the e-Voting website of NSDL. Open web browser by typing the following URL: <https://www.evoting.nsdl.com/> either on a Personal Computer or on a mobile.
- Once the home page of e-Voting system is launched, click on the icon “Login” which is available under 'Shareholder/Member' section.
- A new screen will open. You will have to enter your User ID, your Password/OTP and a Verification Code as shown on the screen.

Alternatively, if you are registered for NSDL eservices i.e. IDEAS, you can log-in at <https://eservices.nsdl.com/> with your existing IDEAS login. Once you log-in to NSDL eservices after using your log-in credentials, click on e-Voting and you can proceed to Step 2 i.e. Cast your vote electronically.

4. Your User ID details are given below:

Manner of holding shares i.e. Demat (NSDL or CDSL) or Physical	Your User ID is
a) For Members who hold shares in demat account with NSDL.	8 Character DP ID followed by 8 Digit Client ID For example if your DP ID is IN300*** and Client ID is 12***** then your user ID is IN300***12*****.
b) For Members who hold shares in demat account with CDSL.	16 Digit Beneficiary ID For example if your Beneficiary ID is 12***** then your user ID is 12*****
c) For Members holding shares in Physical Form.	EVEN Number followed by Folio Number registered with the company For example if folio number is 001*** and EVEN is 101456 then user ID is 101456001***

5. Password details for shareholders other than Individual shareholders are given below:

- If you are already registered for e-Voting, then you can use your existing password to login and cast your vote.
- If you are using NSDL e-Voting system for the first time, you will need to retrieve the 'initial password' which was communicated to you. Once you retrieve your 'initial password', you need to enter the 'initial password' and the system will force you to change your password.
- How to retrieve your 'initial password'?
- If your email ID is registered in your demat account or with the company, your 'initial password' is communicated to you on your email ID. Trace the email sent to you from NSDL from your mailbox. Open the email and open the attachment i.e. a pdf file. Open the pdf file. The password to open the pdf file is your 8 digit client ID for NSDL account, last 8 digits of client ID for CDSL account or folio number for shares held in physical form. The pdf file contains your 'User ID' and your 'initial password'.
- If your email ID is not registered, please follow steps mentioned below in process for those shareholders whose email ids are not registered.**

6. If you are unable to retrieve or have not received the “Initial password” or have forgotten your password:

- Click on **“Forgot User Details/Password?”** (If you are holding shares in your demat account with NSDL or CDSL) option available on www.evoting.nsdl.com.
- “Physical User Reset Password?”** (If you are holding shares in physical mode) option available on www.evoting.nsdl.com.
- If you are still unable to get the password by aforesaid two options, you can send a request at evoting@nsdl.co.in mentioning your demat account number/folio number, your PAN, your name and your registered address etc.
- Members can also use the OTP (One Time Password) based login for casting the votes on the e-Voting system of NSDL.

7. After entering your password, tick on Agree to “Terms and Conditions” by selecting on the check box.

8. Now, you will have to click on “Login” button.

9. After you click on the “Login” button, Home page of e-Voting will open.

Step 2: Cast your vote electronically and join Meeting on NSDL e-Voting system.

How to cast your vote electronically and join Meeting on NSDL e-Voting system?

1. After successful login at Step 1, you will be able to see all the companies “EVEN” in which you are holding shares and whose voting cycle and Meeting is in active status.
2. Select “EVEN” of company for which you wish to cast your vote during the remote e-Voting period and casting your vote during the Meeting. For joining virtual meeting, you need to click on “VC/OAVM” link placed under “Join Meeting”. **The EVEN of MRPL is: 120525**
3. Now you are ready for e-Voting as the Voting page opens.
4. Cast your vote by selecting appropriate options i.e. assent or dissent, verify/modify the number of shares for which you wish to cast your vote and click on “Submit” and also “Confirm” when prompted.
5. Upon confirmation, the message “Vote cast successfully” will be displayed.
6. You can also take the printout of the votes cast by you by clicking on the print option on the confirmation page.
7. Once you confirm your vote on the resolution, you will not be allowed to modify your vote.

General Guidelines for shareholders

1. Institutional shareholders (i.e. other than individuals, HUF, NRI etc.) are required to send scanned copy (PDF/JPG Format) of the relevant Board Resolution/ Authority letter etc. with attested specimen signature of the duly authorized signatory(ies) who are authorized to vote, to the Scrutinizer by e-mail to arasimhapaip@gmail.com with a copy marked to evoting@nsdl.co.in. Institutional shareholders (i.e. other than individuals, HUF, NRI etc.) can also upload their Board Resolution / Power of Attorney / Authority Letter etc. by clicking on & Upload Board Resolution / Authority Letter & quot; displayed under & e-Voting & tab in their login.
2. It is strongly recommended not to share your password with any other person and take utmost care to keep your password confidential. Login to the e-voting website will be disabled upon five unsuccessful attempts to key in the correct password. In such an event, you will need to go through the “**Forgot User Details/Password?**” or “**Physical User Reset Password?**” option available on www.evoting.nsdl.com to reset the password.
3. In case of any queries, you may refer the Frequently Asked Questions (FAQs) for Shareholders and e-voting user manual for Shareholders available at the download section of www.evoting.nsdl.com or call on toll free no.: 1800 1020 990 and 1800 22 44 30 or send a request to Mr. Amit Vishal, Assistant Vice President – NSDL at evoting@nsdl.co.in / or Ms. Sarita Mote, Assistant Manager- NSDL at evoting@nsdl.co.in

Process for those shareholders whose email ids are not registered with the depositories for procuring user id and password and registration of e mail ids for e-voting for the resolutions set out in this notice:

1. In case shares are held in physical mode please provide Folio No., Name of shareholder, scanned copy of the share certificate (front and back), PAN (self-attested scanned copy of PAN card) and AADHAR (self- attested scanned copy of Aadhar Card) by email to investor@mrpl.co.in.
2. In case shares are held in demat mode, please provide DPID-CLID (16 digit DPID + CLID or 16 digit beneficiary ID), Name, client master or copy of Consolidated Account statement, PAN (self-attested scanned copy of PAN card), AADHAR (self-attested scanned copy of Aadhar Card) to investor@mrpl.co.in. If you are an Individual shareholders holding securities in demat mode, you are requested to refer to the login method explained at step 1 (A) i.e. **Login method for e-Voting and joining virtual meeting for Individual shareholders holding securities in demat mode.**
3. Alternatively shareholder/members may send a request to evoting@nsdl.co.in for procuring user id and password for e-voting by providing above mentioned documents.
4. In terms of SEBI circular dated December 9, 2020 on e-Voting facility provided by Listed Companies, Individual shareholders holding securities in demat mode are allowed to vote through their demat account maintained with Depositories and Depository Participants. Shareholders are required to update their mobile number and email ID correctly in their demat account in order to access e-Voting facility.

THE INSTRUCTIONS FOR MEMBERS FOR e-VOTING ON THE DAY OF THE AGM ARE AS UNDER:-

1. The procedure for e-Voting on the day of the EGM/AGM is same as the instructions mentioned above for remote e-voting.
2. Only those Members/ shareholders, who will be present in the AGM through VC/OAVM facility and have not casted their vote on the Resolutions through remote e-Voting and are otherwise not barred from doing so, shall be eligible to vote through e-Voting system in the AGM.
3. Members who have voted through Remote e-Voting will be eligible to attend the AGM. However, they will not be eligible to vote at the AGM.
4. The details of the person who may be contacted for any grievances connected with the facility for e-Voting on the day of the AGM shall be the same person mentioned for Remote e-voting.

INSTRUCTIONS FOR MEMBERS FOR ATTENDING THE AGM THROUGH VC/OAVM ARE AS UNDER:

1. Member will be provided with a facility to attend the AGM through VC/OAVM through the **NSDL e-Voting system**. Members may access by following the steps mentioned above for Access to NSDL e-Voting system. After successful login, you can see link of “VC/OAVM link” placed under “**Join meeting**” menu against company name. You are requested to click on VC/OAVM link placed under Join Meeting menu. The link for VC/OAVM will be available in Shareholder/Member login where the EVEN of Company will be displayed. Please note that the members who do not have the User ID and Password for e-Voting or have forgotten the User ID and Password may retrieve the same by following the remote e-Voting instructions mentioned in the notice to avoid last minute rush.
2. Members are encouraged to join the Meeting through Laptops for better experience.
3. Further Members will be required to allow Camera and use Internet with a good speed to avoid any disturbance during the meeting.
4. Please note that Participants Connecting from Mobile Devices or Tablets or through Laptop connecting via Mobile Hotspot may experience Audio/Video loss due to Fluctuation in their respective network. It is therefore recommended to use Stable Wi-Fi or LAN Connection to mitigate any kind of aforesaid glitches.
5. Shareholders who would like to express there views/have question may send there question in advance mentioning there name, demat account number/folio number, E-mail ID, mobile number at investor@mrpl.co.in The same will be replied by the company suitably.

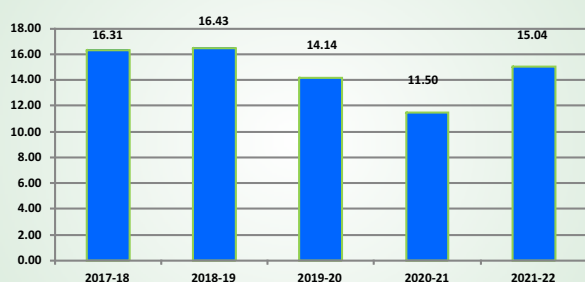
Other Instructions

1. The Scrutinizer shall, immediately after the conclusion of voting at the AGM, unblock the votes cast through remote e-Voting (votes cast during the AGM and votes cast through remote e-Voting) and make, not later than 48 hours of conclusion of the AGM, a consolidated Scrutinizer's Report of the total votes cast in favour or against, if any, to the Chairman or a person authorised by him in writing, who shall countersign the same.
2. The result declared along with the Scrutinizer's Report shall be placed on the Company's website www.mrpl.co.in and on the website of NSDL <https://www.evoting.nsdl.com> immediately. The Company shall simultaneously forward the results to BSE Limited and National Stock Exchange of India Limited, where the shares of the Company are listed.

Notes

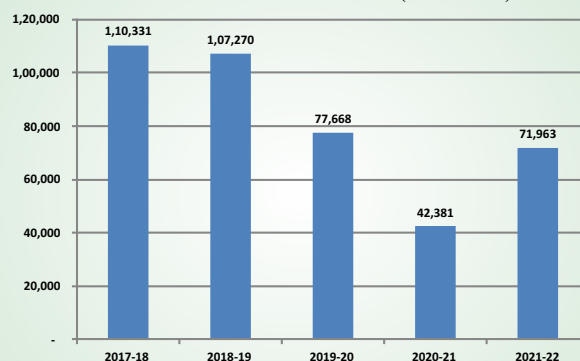
MRPL PERFORMANCE

THRUPUT (MILLION TONNES)



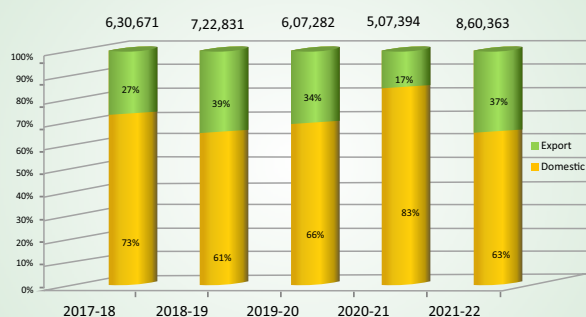
Figures for FY 2021-22 is after considering the amalgamation of erstwhile subsidiary company ONGC Mangalore Petrochemicals Limited (Refer Note No. 50 of the Financial Statements)

NET WORTH /TOTAL EQUITY (IN MILLION)



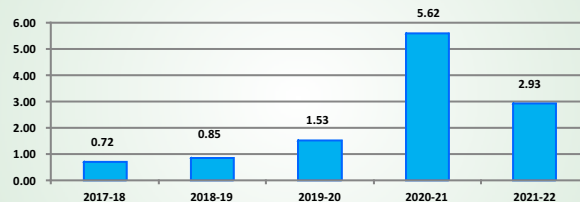
Figures for FY2020-21 are restated
(Refer Note No. 50 of the Financial statements)

TURNOVER (IN MILLION)



Figures for FY2020-21 are restated
(Refer Note No. 50 of the Financial statements)

DEBT EQUITY RATIO



1. Figures for FY 2021-22 is after considering the amalgamation of erstwhile subsidiary company ONGC Mangalore Petrochemicals Limited (Refer Note No. 50 of the Financial Statements)

2. Figures for all earlier periods including FY 2020-21 have been restated based on the revision in formula as per revised Schedule III of Companies Act, 2013.



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